DIGITAL MARKETING

DAVE CHAFFEY
FIONA ELLIS-CHADWICK
WITH MAJD ABED-RABBO



Ninth Edition

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Digital Marketing



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Ninth Edition

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Digital media and technology, an opportunity and a threat

Digital marketing has transformed how businesses and other organisations communicate with their audiences. Consumers now have access to a much wider choice of entertainment, products, services and prices from different suppliers and a more convenient way to select and purchase items. Organisations have the opportunity to expand into new markets, offer new services, interact with audiences in new ways and compete on a more equal footing with larger businesses. Marketers working within these organisations have the opportunity to develop new skills and to integrate these new tools to improve the competitiveness of the company.

In **Chapter 1** we introduce the 7Ds of digital marketing to highlight the many factors that contribute to effective digital marketing. The 7Ds are digital goals and strategy, digital audiences, digital devices, digital platforms, digital media, digital data and digital technology. The innovation in digital technology is relentless and exciting, but also challenging to marketers who have to decide on which new techniques are really significant and which are just industry ‘hype’ or ‘noise’. Some significant innovations such as the relatively recent rapid adoption of generative AI tools such as ChatGPT from OpenAI and Google Gemini force marketers to review their processes and tools. Throughout the text we emphasise the importance of integrating the 7Ds, such that digital marketing is not treated in isolation or driven by technology. Instead,

digital marketing should be aligned with marketing and business goals and strategy, while offering opportunities to impact strategy through new business models, revenue models and value propositions.

At the same time, the internet and related digital technology platforms give rise to many threats to organisations. For example, online companies such as ASOS and Zalando (clothing), Amazon (retail), Spotify (music), and Booking.com and Expedia (travel) have captured a significant part of their market and struck fear into the existing players. Many consumers now regularly use social networks such as Facebook, Instagram, LinkedIn, Snapchat, TikTok and X (formerly Twitter) as part of their daily lives, with the majority of access via smartphones. Engaging these consumers is an ongoing challenge but, as we will see, companies such as those above have taken advantage of these opportunities to interact with customers and evaluate these interactions, and this has helped them develop as worldwide brands.

Throughout this text we highlight the potential of digital data, analytics and insight to learn more about customers and their interactions, and customise marketing propositions and communications to increase relevance and response. We show that a data-driven or insight-driven marketing approach offers many advantages, but that organisations must carefully consider the implications for customer data privacy and security.

Management of digital marketing

With the success stories of companies capturing market share following the rapidly increasing adoption of the internet by consumers and business buyers, it is a prerequisite that all organisations must have an effective online presence to prosper, or possibly even survive! What Michael Porter said in 2001 is still valid today:

> The key question is not whether to deploy Internet technology – companies have no choice if they want to stay competitive – but how to deploy it.

What are the marketing communications techniques that businesses need to master to make effective use of digital marketing? The proliferation of new media channels, digital technologies and interaction options has given a challenge of understanding, prioritising and managing many new digital communications techniques. To help summarise these at a top level of the customer lifecycle or classic marketing funnel, Chaffey (2021) defined the RACE planning framework shown in Table P.1. RACE planning defines a structure of 5 × 5 = 25 key digital marketing techniques that need to be harnessed in most organisations to fully exploit digital marketing to reach, interact with, convert and engage online audiences across the customer lifecycle, from generating awareness,

conversion to sale (online and offline) and retention and growth of customers. RACE also emphasises the need to plan to create a coordinated, integrated approach to digital marketing, which is integrated with other communications activities. Many of the activities across RACE are introduced in **Chapter 1** as 'always-on' lifecycle communications, meaning businesses need to ensure that they can optimise their capabilities to achieve the RACE goals shown in the second row of Table P.1. For larger organisations, Table P.1 provides a summary of activities that need to be managed as part of digital transformation programmes, which review the innovation across people, process, tools and measures needed to increase competitiveness.

TableP.1

The RACE planning framework for managing key activities for integrated digital marketing across the customer lifecycle

Plan	Reach	Act	Convert	E
Create a digital marketing strategy or transformation plan	Increase awareness, drive website, mobile and social media visits	Generate interactions and leads	Achieve sales online or offline	Encour custom and ad
1.1 Situation review (Chapters 2 and 3)	2.1 Media effectiveness review (Chapters 8 and 10)	3.1 Customer journey effectiveness (Chapter 7)	4.1 Retargeting (Chapters 6 and 9)	5.1 Cus onboar (Chapt and 7)

1.2 Set vision and objectives, evaluate (Chapters 4 and 10)	2.2 Search marketing (Chapter 9)	3.2 Data profiling (Chapter 6)	4.2 Personalisation (Chapter 7)	5.2 Cus experie (Chapt
1.3 Strategy (Chapters 4–8)	2.3 Earned and owned media (Chapters 6–9)	3.3 Content marketing (Chapter 8)	4.3 Mobile experiences (Chapter 7)	5.3 Cus service (Chapt
1.4 Segmentation (Chapters 4 and 6)	2.4 Paid media (Chapter 9)	3.4 Landing pages (Chapter 7 and 8)	4.4 Multichannel selling (Chapter 4)	5.4 Em market (Chapt
1.5 Value proposition and brand (Chapters 4 and 5)	2.5 Acquisition plan (Chapters 8 and 9)	3.5 Content strategy and campaign plan (Chapter 8)	4.5 Conversion rate optimisation (Chapters 7 and 10)	5.5 Soc market (Chapt

Source: Chaffey (2021)

The table shows the range of different marketing activities or operating processes needed to support acquiring new customers through communicating with them on third-party websites and social media, attracting them to a company website, mobile app or social network and converting interest into leads and sales, and then using online customer

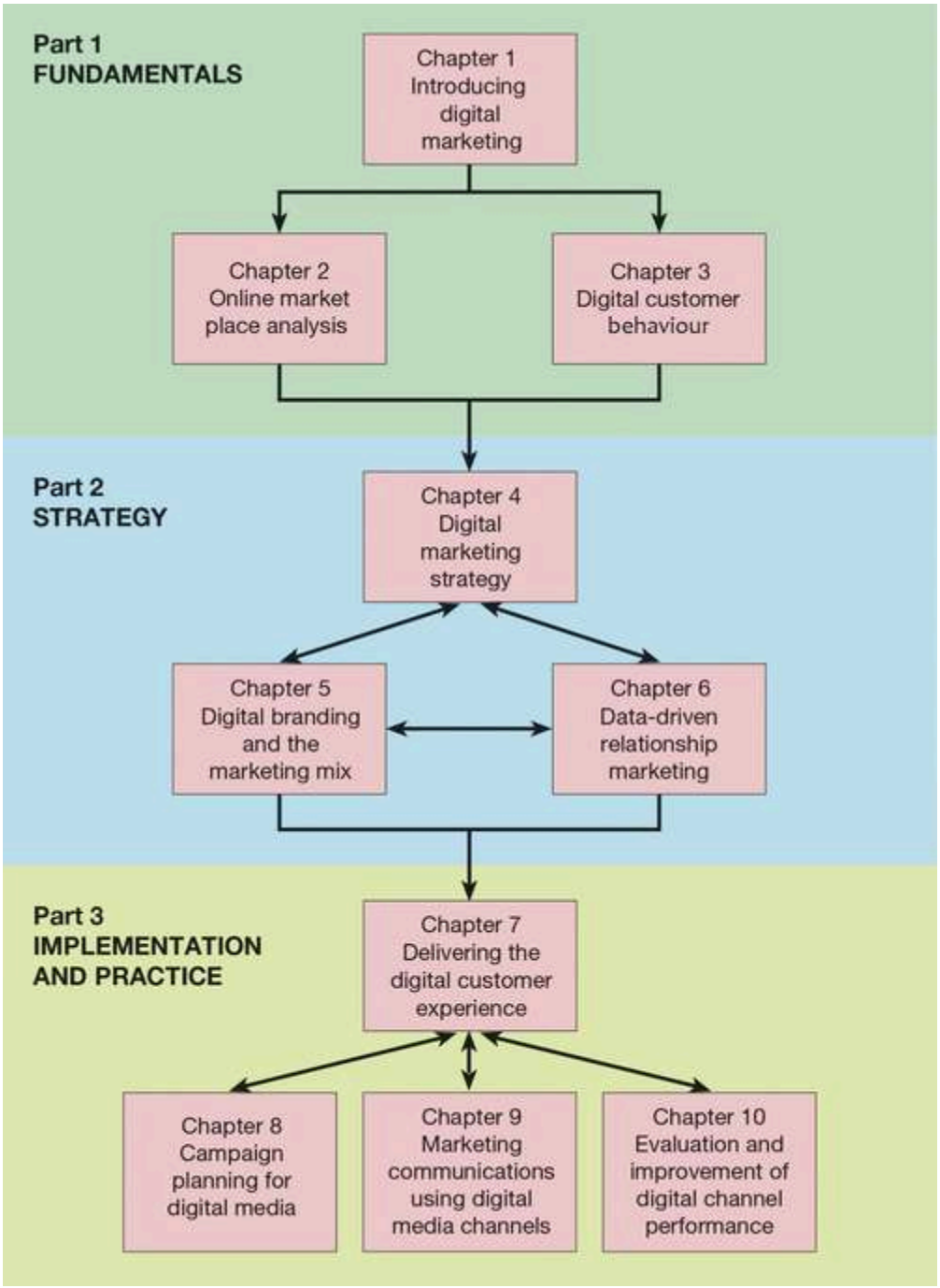
communications to encourage further purchases and advocacy. You can see that applying social media and content marketing is a part of RACE that can be deployed to support many activities, and therefore is one of the key management challenges in digital marketing, so we consider approaches to managing social media and content marketing throughout the text, with a focus in **Chapters 6**, **8** and **9**. Applying digital platforms as part of multichannel marketing to integrate customer journeys between traditional and digital media is also a major challenge and a theme throughout this text. Management processes related to governance of digital marketing include planning how digital marketing can be best resourced to contribute to the organisation and integrated with other marketing activities. The increased adoption of digital marketing also implies a significant programme of change that needs to be managed. New objectives need to be set, new communications strategies developed and staff developed through new responsibilities and skills.

Digital marketing – new skills required?

The aim of this text is to provide you with a comprehensive guide to the concepts, techniques and best practice to support all the digital marketing processes shown in Table P.1. This text (the structure of which is shown in Figure P.1) is based on emerging academic models together with best practice from leading adopters of digital media. The practical knowledge developed through reviewing these concepts and best practice is intended to enable graduates entering employment and marketing professionals to exploit the opportunities of digital marketing while minimising the risks.

FigureP.1

Structure of the text



Specifically, this text addresses the following needs:

- To know to what extent digital technology and media changes existing marketing models and how new models and strategies can

be applied to exploit the medium effectively.

- How to best integrate and align digital marketing with business and marketing strategies and communications, including dedicated digital transformation programmes and digital marketing strategies where necessary.
- Marketing practitioners need practical digital marketing skills to market their products effectively. Knowledge of the jargon – terms such as ‘marketing automation’, ‘click-through’, ‘cookie’, ‘uniques’ and ‘page impressions’ – and of effective methods of site design and promotion such as search engine marketing will be necessary, either for direct ‘hands-on’ development of a site or to enable communication with other staff or agencies that are implementing and maintaining the site.

The text assumes some existing knowledge of marketing in the reader, perhaps developed through experience or by students studying introductory modules in marketing fundamentals, marketing communications or buyer behaviour. However, basic concepts of marketing, communications theory, buyer behaviour and the marketing mix are outlined.

Are you a T-shaped marketer?

Given the complexity of digital marketing, we encourage readers to think about the mix of skills they will need in their future careers as digital marketing increases in importance as a contributor to business success. To consider your mix of skills, we recommend the T-shaped marketer concept which highlights core skills which will be important. The original versions of this presented in Smart Insights (2023) considered content and organic search as key skills, but we believe there is a risk in only developing tactical skills. Strategic skills such as those highlighted in Figure P.2 are most important since these help ensure digital marketing activities are integrated with marketing, impacting and aligning with the goals and strategy of the business. This book is designed to develop these strategic skills, which are often under-emphasised in other books, while we also explain details of best practices for marketing channels.

To help you develop your digital skills, we have an Essential Digital Skills feature near the start of each chapter to prompt practical steps you can take to improve your digital skills and become more competitive in the jobs market.

FigureP.2



The strategic T-shaped marketer.

Source: Smart Insights (2023)

We believe that, to succeed in their careers, marketers need to develop strategic skills as highlighted by the purple part of the T in our visual, plus develop knowledge of best practices for media channels shown across the top of the T.

Summary of changes for the ninth edition

The acclaimed structure of previous editions has been retained since this provides a clear sequence to the stages of strategy development and implementation that are required to plan successfully for digital marketing in existing and startup companies. There is one major structural change based on feedback received. **Chapters 2** and **3** on the micro and macro-environment have been combined with a new Chapter 3 focusing on digital customer behaviour. Introductory content on digital technology has been reduced and we focus only on Martech stacks. In this chapter we have introduced discussion of the T-shaped marketer explaining that, for career success, it is important to combine strategic with tactical skills.

The main changes introduced for the ninth edition, based on feedback from reviews and our close monitoring of the trends and latest developments, are:

- increased coverage and examples of data-driven marketing techniques including digital analytics, artificial intelligence and machine learning (in particular assessing the impact of generative AI (GenAI) services such as ChatGPT from OpenAI and Gemini from Google);

- incorporation of a new research spotlight feature in each chapter discussing significant academic research papers;
- updated mini case studies of examples of deploying organic and paid social media;
- new case studies in each chapter.

The main innovations included in the chapters are as follows.

Chapter 1 – Introducing digital marketing

- The impact of AI and, in particular, Generative AI is introduced from the outset.
- New activity: Introducing the options for using Generative AI tools to support digital marketing is aimed at encouraging critical thinking amongst students and marketers when using ‘GenAI’ tools given that many students and marketers are now using these tools.
- New research spotlight: Reviewing how and why so many businesses are adopting ‘digital marketing transformation’.
- New digital marketing insight: Updates on social media impact on brand discovery and the concept of deinfluencing.
- New case study: Temu: Rise of a marketplace giant.

Chapter 2 – Online marketplace analysis

- New Activity 2.2. Using ChatGPT and generative AI tools to support search engine optimisation in different sectors.
- Content from **Chapter 3** on the macro-environment added to the end of this chapter.
- Updates on legislation and examples of enforcement action taken against businesses. Coverage of the ‘cookieless future’ where third-party cookies are no longer permitted.
- Case studies of direct-to-consumer (D2C, DTC) e-commerce models highlighted.
- New research spotlight asks: Is trust a driver of e-commerce at Taobao, Chinese e-marketplace?

Chapter 3 – Digital customer behaviour

- A new chapter exploring the extensive research on the digital customer including frameworks to understand their motivations and behaviours.
- Guidance on macro-environment analysis is now included at the end of **Chapter 2**. This has been reduced, particularly where the details about digital legal and security requirements are now better known.
- This chapter features extensive research on digital consumer behaviour covering useful frameworks for evaluating B2C and B2B behaviours.
- Includes research on the negative impact of digital media and social media on consumers.
- Research spotlight: Do emojis make you smile?
- Case study: Social media and the changing face of celebrity influencers.

Chapter 4 – Digital marketing strategy

- New activity: Can generative AI be used to develop effective strategies?
- Examples updated including mini case studies, Nium: A B2B digital service delivered worldwide from Singapore and French sports retailer Decathlon creates a multichannel OVP in India.
- New research spotlight: Rethinking marketing strategy in a digital age.
- New case study structured by SOSTAC®: How Slack introduced a new B2B service and gained a $Billion valuation

Chapter 5 – Digital branding and the marketing mix

- Two new mini case studies: How a healthcare brand uses actionable personas to inspire people to use its digital platform and B2C brand Hestan Culinary uses programmatic advertising to boost awareness.
- Research spotlight: Mega or macro social media influencers: Who endorses better brands?
- Spotify case study completely updated: Spotify Act Global, Think Local to deliver relevance.

Chapter 6 – Data-driven relationship marketing using digital platforms

- New activity. Understanding the marketing opportunities available from OpenAI ChatGPT.
- New mini-case study: The power of a behavioural email programme retailer buy-a-gift.
- New digital marketing insight How businesses are benefiting from building ChatGPT into their services.
- New research spotlight: Data, analytics and customer satisfaction.

Chapter 7 – Delivering the digital customer experience

- New activity: The success factors for effective e-commerce experience design.
- New case study: How fashion retailer Zalando has used a strategic approach to AI to improve marketing communications.

Chapter 8 – Campaign planning for digital media

- Mini-case study 8.1: How agency Brainlabs has harnessed AI to produce more effectively targeted campaigns for its clients based on collation of insight.
- A new mini case study: How one marketing dedicated GenAI service has prospered.
- New activity: How businesses can manage the risks of GenAI tools.
- New digital marketing insight: Using ChatGPT GPTs to define campaign objectives.
- Mini case study: Lipton's Giovanni Pupo: Strategic media planning and data-driven decisions.
- New research spotlight: Social media: present and future.

Chapter 9 – Marketing communications using digital media channels

Chapter 9 is the longest chapter in the book by far since it has sections covering best practices for using different digital media channels in detail. These include organic and paid search marketing, digital PR and influencer marketing, social media marketing and email marketing. These are often covered in separate chapters in other texts, but typically without the same level of practical detail featured in this chapter. Updates in this edition include:

- Impact of GenAI discussed with examples and Google's latest guidance.
- Mini case study: How B&Q built a new creative framework for cross-platform campaign success covering use of Google Ads Pmax and video ads.
- Mini case study: Aromat South Africa spices up its media mix with a one-video strategy to maximise reach (with supporting YouTube videos).
- Advertising section updated to cover the latest trends.
- Digital marketing activity: Understanding what engages consumers on 'their socials'.

Chapter 10 – Evaluation and improvement of digital channel performance

- Importance of skills related to data-driven marketing and digital analytics emphasised at start of chapter. Updated for new version of Google Analytics (GA4).
- New section on the growing role of AI in data-driven marketing.
- New digital marketing insight: OpenAI launches new tool to support marketing analysis and reporting.
- New mini case study: How Melia used MMM automation to optimise digital advertising ROI.
- New case study: Airbnb's agile monitoring of its marketing offer.

TableP.2

In-depth case studies in *Digital Marketing,* 9th edition

Chapter	Case study	Themes
1 Introducing digital marketing	Temu: The rise of a new marketplace giant	Explores how Chinese commerce platform Te developed and commu global platform
2 Online marketplace analysis	Creating the beauty that moves the world	Assessing a consumer business models, mark communications

3 Digital customer behaviour	Social media and the changing face of celebrity influencers	Companion vision, bra target market, commur proposition, challenge reasons for failure
4 Digital marketing strategy	How Slack introduced a new B2B service and gained a $Billion valuation	Explains a classic strat process
5 Digital branding and the marketing mix	Spotify Act Global, Think Local to deliver relevance	Peer-to-peer services, r models, proposition de strategy, competition, r
6 Data-driven relationship marketing using digital platforms	Buffer: from idea to paying business customers in seven weeks	Testing concepts and ir value propositions usir driven marketing in a s business
7 Delivering the digital customer experience	How fashion retailer Zalando has used a strategic approach to AI to improve marketing communications	Strategy, proposition, s on-site search capabili
8 Campaign planning for digital media	Global Action Plan – campaigning for a better world	Exploring the campaig process at charity GAF examples of different p and social-media-led c
9 Marketing communications using digital media channels	Smart Insights: how content strategy fuels inbound marketing to grow an online B2B service	Digital media channel measurement using Go Analytics for a small b
10 Evaluation and improvement of digital channel performance	Airbnb's agile monitoring of its marketing offer	Strategy, measurement marketing communicat personalisation approa

The structure and content of this text

The text is divided into three parts, each covering a different aspect of how organisations use the internet for marketing to help them achieve competitive advantage. ~~Table P.3 shows how the text is related to established marketing topics.~~

Part 1 Digital marketing fundamentals (Chapters 1–3)

Part 1 relates the use of the internet to traditional marketing theories and concepts, and questions the validity of existing models given the differences between the internet and other media.

Chapter 1*Introducing digital marketing* considers using the internet as part of customer-centric, multichannel marketing; it also reviews the relationship between internet marketing, digital marketing, e-commerce and digital business, and the benefits the internet can bring to adopters; and outlines differences from other media and briefly introduces the technology.

Chapter 2 *Online marketplace analysis* reviews how digital media and technology changes the immediate environment of an organisation, including the marketplace and channel structure. It describes the type of situation analysis needed to support digital strategy by examining how customers, competitors and intermediaries, and the interplay between them, can be evaluated. It also covers micro-environment factors including technology innovation, legal, moral and ethical constraints and social, economic and political trends.

Chapter 3*Digital customer behaviour* considers the digital customer including identifying key areas of digital customer behaviour and

exploring the drivers of online behaviour which shape purchasing patterns. We also examine the importance of customer experience and how digital culture is affecting online customer behaviour.

TableP.3

Coverage of marketing topics in different chapters

Topic	1	2	3	4	5	6	7	8	9
Advertising								✓	
Branding				✓	✓	✓			
Consumer behaviour	✓	✓					✓	✓	✓
Channel and market structure	✓	✓		✓					
Communications mix				✓				✓	✓
Communications theory	✓							✓	✓
Customer service quality						✓	✓	✓	
Direct marketing						✓		✓	✓
International marketing		✓	✓	✓			✓		
Marketing mix		✓		✓	✓			✓	
Marketing research	✓	✓	✓						

Evaluation and measurement	✓			✓			✓	✓	✓
Pricing strategy		✓		✓	✓				
Promotion	✓	✓		✓				✓	✓
Public relations								✓	✓
Relationship marketing						✓	✓		
Segmentation		✓		✓	✓	✓		✓	
Services marketing					✓		✓		
Strategy and planning	✓	✓	✓	✓	✓	✓	✓	✓	✓
Technology background	✓		✓						✓

Part 2 Digital marketing strategy development (Chapters 4–6)

Part 2 describes the emerging models for developing strategy and provides examples of the approaches companies have used to integrate the internet into their marketing strategy.

Chapter 4*Digital marketing strategy* considers how the digital strategy can be aligned with business and marketing strategies, and describes a generic strategic approach with phases of situation review, goal setting, strategy formulation and resource allocation and monitoring.

Chapter 5*Digital branding and the marketing mix* assesses how the different elements of the marketing mix can be varied in the online environment as part of strategy formulation.

Chapter 6*Data-driven relationship marketing using digital platforms* details strategies and tactics for using digital communications to build and sustain ‘one-to-one’ relationships with customers.

Part 3 Digital marketing: implementation and practice (Chapters 7–10)

Part 3 of the text explains practical approaches to implementing a digital marketing strategy. Techniques for communicating with customers, building relationships and facilitating electronic commerce are all reviewed in some detail. Knowledge of these practical techniques is essential for undergraduates on work placements involving website, content or social media marketing activities, and for marketing managers who are dealing with suppliers such as design agencies.

Chapter 7*Delivering the digital customer experience* explains how an online presence is developed to support branding and customer service quality objectives. The stages of analysis of customer needs, design of the site structure and layout and creating the site are covered, together with key techniques such as user-centred design, usability and accessibility design. It also covers different service quality models used to assess experience.

Chapter 8*Campaign planning for digital media* describes the novel characteristics of digital media, and then considers different aspects of marketing communications that are important for developing a successful online campaign.

Chapter 9*Marketing communications using digital media channels* covers techniques such as banner advertising, affiliate networks, promotion in search engines, co-branding and sponsorship, email, online PR, viral and word-of-mouth marketing, with particular reference to social networks.

Chapter 10*Evaluation and improvement of digital channel performance* reviews methods for assessing and improving the effectiveness of a website and digital communications using digital analytics, with a focus on Google Analytics. The chapter briefly covers process and tools for updating content.

Who should use this text?

Students

This text has been created primarily as the main student text for undergraduate and postgraduate students taking specialist marketing courses or modules that cover e-marketing, internet and digital marketing, electronic commerce and e-business. The text is relevant to students who are:

- undergraduates on business programmes that include modules on the use of the internet and e-commerce, including specialist degrees such as digital marketing, electronic commerce, marketing, tourism and accounting or general business degrees such as business studies, business administration and business management;
- undergraduate project students who select this topic for final-year projects or dissertations – this text is an excellent supporting text for these students;
- undergraduates completing a work placement in a company using the internet to promote its products;
- students at college aiming for vocational qualifications, such as an HNC or HND, in business management or computer studies;
- postgraduate students taking specialist master's degrees in electronic commerce or internet marketing, generic MBAs and

courses leading to qualifications such as the Certificate in Management or Diploma in Digital Marketing or Management Studies that involve modules on electronic commerce and digital marketing.

Practitioners

Previous editions have been widely used by digital marketing practitioners including:

- marketing managers or specialists such as e-commerce managers or digital marketing managers responsible for defining digital marketing strategy and implementing and maintaining the company website;
- senior managers such as chief marketing officers (CMOs) and directors wishing to understand the potential of digital marketing for a company and who need practical guidelines on how to exploit this potential;
- technical project managers or webmasters who may understand the technical details of building a site, but have a limited knowledge of marketing fundamentals and how to develop an internet marketing strategy.

What does the text offer to lecturers teaching these courses?

The text is intended to be a comprehensive guide to all aspects of using the internet and other digital media to support marketing. The text builds on existing marketing theories and concepts, and questions the validity of models in the light of the differences between the internet and other media. The text references the emerging body of literature specific to internet marketing. It can therefore be used across several modules. Lecturers will find the text has a good range of case studies, activities and exercises to support their teaching. Website links are given in the text and at the end of each chapter to provide important information sources for particular topics.

Student learning features

A range of features has been incorporated into this text to help the reader get the most out of it. Each feature has been designed to assist understanding, reinforce learning and help readers find information easily, particularly when completing assignments and preparing for exams. The features are described in the order in which you will find them in each chapter.

At the start of each chapter

The ‘Chapter at a glance’ page is a summary of the content for each chapter. It contains:

- *Learning objectives and topics*: a list relating the learning objectives to the main sections in which they are covered in the chapter.
- *Case study*: an organisation is featured in the main case at the end of each chapter.
- *Links to other chapters*: a summary of where key concepts are also covered in other chapters.

In each chapter

- *Definitions*: when significant terms are first introduced in the main text, there are succinct definitions of these terms in the margin for easy reference.
- *Web references*: where appropriate, web addresses are given to enable readers to obtain further information. They are provided in the main text where they are directly relevant as well as at the end of the chapter.
- *Essential digital skills*: practical ideas to boost employability by showcasing students' interests and experiences.
- *Research spotlight:* Discusses significant academic research papers related to chapter content.
- *Mini case studies:* short features that give a more detailed example, or explanation, than is practical in the main text. They do not contain supplementary questions.
- *Digital marketing insights*: short features and examples of using research to facilitate data-driven marketing.
- *Activities*: exercises that give readers the opportunity to practise and apply the techniques described in the main text.
- *Case studies:* real-world examples of how companies are using the internet for marketing. Questions at the end of each case study are intended to highlight the main learning points from the example.

- *Chapter summaries:* intended as revision aids to summarise the main learning points from the chapter.

At the end of each chapter

- *Self-assessment exercises*: short questions that will test understanding of terms and concepts described in the chapter.
- *Exam and discussion questions*: these include questions that can be set for students or used for self-review by students. They include individual essays, topics for seminar discussion and short questions for exams to assess knowledge about a topic.
- *References*: these are references to books, articles or papers referred to within the chapter.
- *Note*: In addition to the end of chapter material in the text, website links are hosted at www.davechaffey.com/book-support, structured by chapter to enable students to click-through to relevant sites. These are significant sites that provide further information on the concepts and topics of the chapter.

At the end of the text

- *Glossary*: comprehensive definitions of all key terms and phrases used within the main text.
- *Index*: all key words and abbreviations referred to in the main text.

Support material

Free supplementary materials are available at Dave Chaffey's website at www.davechaffey.com/book-support to support all users of the text. This regularly updated website contains advice, comment, support materials and hyperlinks to reference sites relevant to the text. A companion website for lecturers and students is available from the publisher at go.pearson.com/uk/he/resources. Lecturers can download an Instructor's Manual and supporting PowerPoint slides.

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Dave is co-founder of Smart Insights (www.smartinsights.com), an online marketing training platform and blog providing advice and alerts on best practice and industry developments for marketers, digital marketers and e-commerce managers. Dave's personal blog features a glossary and other advice also created to help readers of Dave's books, available from www.davechaffey.com/book-support.



Dave also works as an independent digital marketing trainer and consultant. He has consulted on digital marketing and e-commerce

strategy for companies of a range of sizes from larger organisations such as 3M, Barclaycard, Dell, HSBC, Mercedes-Benz, Microsoft, Rentokil Initial and The North Face to smaller organisations such as Arco, Confused.com, Euroffice and Scan Computers.

Dave's passion is educating students and marketers about the latest and best practices in digital marketing, thus empowering businesses to improve their online performance through getting the most value from their web analytics and market insight. In other words, making the most of online opportunities and avoiding waste.

He is proud to have been recognised in 2004 by the Department of Trade and Industry as one of the leading individuals who have provided input and influence on the development and growth of e-commerce and the internet in the UK for the previous ten years. Dave has also been recognised by the Chartered Institute of Marketing as one of 50 marketing 'gurus' worldwide who have helped shape the future of marketing. He is also proud to be an Honorary Fellow of the Chartered Institute of Marketing and the Institute of Data and Marketing.

Dave has been a visiting lecturer on digital marketing and e-commerce courses at different universities including Birmingham, Cranfield, Derby, Leeds, Manchester Metropolitan and Warwick.

In total, Dave is author of five best-selling business books including *Digital Business and Ecommerce Management* (with Tanya Hemphill and David Edmunson-Bird), *Digital Marketing: Strategy, Implementation and Practice, Digital Marketing Excellence* (with P.R. Smith) and Total Email Marketing. Many of these books have been published in new editions since 2000 and translations include Chinese, Dutch, German, Italian and Serbian.

When offline, Dave enjoys fell-running, orienteering, indie guitar music and travelling with his family.

Dave is a volunteer at Abilitynet.org.uk helping people with disabilities, including visual impairment, to use digital devices.

Fiona Ellis-Chadwick BSc, PhD, PGCE

Fiona Ellis-Chadwick has a successful professional business and academic career. She had a successful commercial career in retail management before becoming an academic in 1998 and completing her PhD in 2000. Since then, she has been working on projects aiming to advance research in the fields of digital marketing, online retail management and the digital high street. She is currently working with central, regional and local government authorities and leading technology and retail organisations on projects that aim to ensure the future sustainability of UK high streets.



Additionally, as part of her academic career, Fiona is a very active researcher and innovator who frequently leads the development of

thought-provoking multimedia teaching materials, bringing together her knowledge of research and business. Fiona's work has been widely published in national and international journals, including *Journal of Business Research, European Journal of Marketing, International Journal of Retail Distribution & Management, Internet Research* and *Journal of Retailing and Consumer Services*.

Fiona is passionate about business research and education and creating value for society, having started her working career as a young entrepreneur building a retail business. She believes bringing management research to life is very important, especially in her current role as Director of Impact at The School of Business & Economics, Loughborough University.

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Dr Majd AbedRabbo MSc, PhD, IEng, FHEA

Majd is an associate professor in Digital Marketing and a published scholar with extensive knowledge in omnichannel marketing and retailing. Majd is an impact-driven researcher whose studies had been featured in impactful marketing journals including *Journal of Retailing & Consumer Services* and *International Journal of Retail & Distribution Management*, covering diverse topics in branding, consumer marketing and B2B marketing. Majd values innovative teaching methods in the marketing subject area, focusing on integrating marketing practice within his teaching to maximise students' learning experience. This authentic and inclusive teaching approach allowed Majd to receive a fellow of the UK Higher Education (FHEA) membership whilst doing his PhD. As a practitioner, Majd is a Certified Omnichannel Marketing specialist and currently serves as a marketing consultant for several SMEs, both nationally and internationally.

Google Scholar: https://scholar.google.com/citations?user=oEnxEGYAAAAJ&hl=en

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Dave Chaffey

Part 1

Digital marketing fundamentals

Chapter 1 introduces the opportunities and challenges of digital marketing and explains the different types of digital marketing platforms and media channels available to engage audiences online. It also introduces a planning framework that can be used to structure digital marketing strategies and campaigns. **Chapters 2** and **3** provide a foundation for developing an integrated digital marketing strategy by reviewing how the online marketplace of an organisation can be assessed as part of situation analysis.

1 Introducing digital marketing

- Introduction: how has digital marketing transformed marketing?
- Digital marketing goals and strategy

- Introduction to digital marketing strategy
- Business and revenue models
- Challenges in developing and managing digital marketing strategy
- Digital marketing audiences and buyer behaviour
- Digital devices and digital platforms
- Digital media
- Digital data
- Digital marketing technology

2 Online marketplace analysis

- Introduction to online marketplace analysis
- Situation analysis for digital marketing
- The digital marketing environment
- Customers: understanding how they interact with digital markets
- Customer choice and digital influence
- Customer characteristics
- Competitor analysis
- Suppliers, publishers, intermediaries and influencers
- New channel structures
- Digital business models
- Digital revenue models
- The digital macro-environment

3 Digital customer behaviour

- Who is the digital customer?

- Dimensions of online purchasing patterns and behaviours
- Social media and emotions
- Digital influence on digital customer behaviour
- Culture and the digital consumer

Chapter 1

Introducing digital marketing

Learning objectives and topics

After reading this chapter, you should be able to:

- Explain how the business opportunities and challenges of digital marketing can be managed using a strategic approach
    - Introduction: how has digital marketing transformed marketing?
    - Digital marketing goals and strategy
    - Business and revenue models
    - Challenges in developing and managing digital marketing strategy
- Review the options to achieve communications goals using different types of digital media and platforms
    - Digital marketing audiences and buyer behaviour
    - Digital devices, digital platforms and digital technology including Artificial Intelligence (AI)

    - Digital media
- Review how different types of marketing data and technology can be used to improve audience experiences and support business goals
    - Digital data
    - Digital marketing technology

Case study

Case study 1.1 Temu: Rise of a Marketplace giant

Links to other chapters

This chapter provides an introduction to digital marketing, and the concepts introduced are covered in more detail later in the text, as follows:

- **Chapters 2** and **3** explain marketplace analysis for digital marketing planning and managing consumer concerns such as privacy.
- **Chapters 4**, **5** and **6** in **Part 2** describe how digital marketing strategy can be developed.
- **Chapters 7**, **8** and **10** in **Part 3** describe strategy implementation.

Introduction: How has digital marketing transformed marketing?

For businesses to compete effectively today, it’s essential that they use digital marketing to support their business and marketing strategies. Each one of us now spends several hours each day using digital media, whether we’re looking for entertainment, social interaction or seeking new products. Brands that don’t have the right digital elements in place within their marketing communications programmes miss out on opportunities to influence consumers at key online touchpoints.

Digital marketing offers marketers many innovative communications techniques to reach and engage consumers and businesses online to support their goals. Compared to traditional media such as TV, print or cinema, these techniques may have many potential benefits. They offer interaction, personalisation to target audience interests and in some cases, such as in search engine or social media marketing, there may be organic options that don’t incur a direct media cost. Yet some traditional media remain effective, and consideration of how to integrate these is needed.

For the authors of this text, digital marketing is an exciting area to be involved with, since it poses many new opportunities and challenges yearly, monthly and even daily. Innovation is continuous, with the

introduction of new technologies, new business models and new communications approaches.

One of the most recent innovations is applying Artificial Intelligence (AI) for marketing. AI has been used in marketing for many years, for example in targeting ads and personalising websites, but direct use by marketers has accelerated with the rapid adoption of **Generative AI** tool ChatGPT from OpenAI and other similar services such as Gemini from Google. Using AI in business, marketing and throughout our lives looks set to transform our lives, so we explore the opportunities of AI throughout this book. We start this exploration with *Activity 1.1 Introducing the options for using Generative AI tools to support digital marketing*.

AI now contributes to the many digital marketing techniques and platforms used by marketers, so we also consider the challenges of managing the complexity of digital marketing and AI throughout this book. For example, marketers have to decide upon the best combination of paid and organic media to gain cut-through to reach the right audience, at the right time, in the right place given the proliferation of digital media. The media and technology options including AI services available change rapidly as innovations occur across the digital platforms.

In this text, we explain a strategic approach for businesses to take advantage of the opportunities of using digital communications and digital transformation. It's based on a systematic process to define the

opportunity (**Part 1**), develop strategies (**Part 2**) and implement digital techniques and best practices (**Part 3**).

How will this text help me?

To succeed in the future, organisations will need marketers, strategists and agencies with up-to-date knowledge of how to integrate digital marketing techniques into their marketing communications and develop new strategies to compete.

The aim of *Digital Marketing* is to support students and professionals in gaining and developing this knowledge. In this text, we will show how traditional marketing models and concepts can be applied to help develop digital marketing strategies and plans, and where new models are appropriate. We will also give many practical examples and best practices for applying digital marketing to effectively market an organisation’s products and services using the internet and other digital media.

What is digital marketing?

Digital marketing can be simply defined as:

> Achieving marketing objectives through applying digital media, data and technology.

This succinct definition helps remind us that it is the results delivered by technology that should determine investment in digital marketing, not the adoption of the technology! We also need to remember that despite the popularity of digital devices for product selection, entertainment and work, we still spend a lot of time in the real world, so integration with traditional media remains important in many sectors.

In practice, digital marketing focuses on managing different forms of **online company presence**, such as company websites, mobile apps and social media company pages, integrated with online communications techniques introduced later in this chapter, including search engine marketing, content marketing, social media marketing, online advertising, email marketing and partnership arrangements with other websites.

These techniques are used to support the objectives of acquiring new customers and providing services to existing customers that help develop

the customer relationship through **customer relationship management (CRM)**. However, for digital marketing to be successful there is still a need for integration of these techniques with traditional media such as print, TV, direct mail and human sales and support as part of multichannel marketing communications.

To use digital marketing effectively, many established businesses have adopted **digital transformation** programmes. Analyst Brian Solis (2017) of Altimeter defines digital transformation as:

> The evolving pursuit of innovative and agile business and operational models – fuelled by evolving technologies, processes, analytics, and talent – to create new value and experiences for customers, employees, and stakeholders.

The role of digital platforms in supporting integrated **multichannel (omnichannel) marketing** is a recurring theme in this text, and in **Chapter 2** we explore its role in supporting different **customer journeys** on the 'path to purchase' through alternative communications and distribution channels. Online channels can also be managed to support the whole buying process from pre-sale to sale to post-sale and further development of customer relationships.

Research from Google (2022) highlighted the importance of digital media in influencing offline purchases based on an analysis of more than 150 major retailers' marketing mix models across Europe, the Middle East, Africa and the US, representing billions of pounds in marketing investment. Their research recommended that:

> '*Retailers should be spending between 50–70% of their marketing budget on digital marketing channels and between 30–50% on traditional marketing. The middle of the road model: a 60/40 split*'.

As they note, this seems counter-intuitive, since most retail sales still happen in stores (approximately four out of five sales).

Activity 1.1

Introducing the options for using Generative AI tools to support digital marketing

Introduction

Generative AI tools rose to prominence with the launch of ChatGPT from OpenAI in late 2022. Since then, it has been widely adopted by marketers, mainly for writing copy based on prompts provided by the user, but also for data analysis, summaries and creating

outline plans. Although ChatGPT is well known, there are many other services that can offer some advantages and others for prompting with voice, text-to-image and text-to-video.

Purpose

This activity is aimed at encouraging critical thinking among students and marketers when using ‘GenAI’ tools given that many students and marketers are now using these tools. Since marketing professionals are already widely using GenAI tools, it’s important for marketing professionals and students who will join their teams in future, to understand their benefits, limitations and how best to use them. There are a series of practical activities in this book to answer these questions.

In this group activity we introduce the different marketing applications of AI and some of the options.

Activity

Work with other students to explore these questions:

1. Develop a common understanding of what Generative AI tools are using the example of ChatGPT and other similar tools from competitors.
2. Identify five options or ‘use cases’ for using Generative AI in digital marketing, identifying more if you can.
3. Review the relevance of these alternative tools for marketers, summarising their unique features, benefits and limitations.

- ChatGPT from Open AI – (https://chat.openai.com/). Generic freemium tool with free and paid plans. Consider other tools from Open AI such as DALL-E, GPTs and Sora.
- Gemini from Google – (https://gemini.google.com/). Generic freemium tool.
- Claude from Anthropic – (https://claude.ai/). Generic freemium tool. Pi from Inflection – (https://pi.ai/talk). generic freemium tool. Inflection was acquired by

Microsoft in 2024.

- Hyperwriter – (https://www.hyperwriteai.com/). Generic freemium tool.
- Perplexity – (https://perplexity.ai/). Generic freemium tool.
- Jasper – (https://www.jasper.ai/). Paid tool for marketers.
- Writesonic – (https://www.writesonic.com/). Paid tool for marketers.
- Copy.ai – (https://www.copy.ai/). Paid tool for marketers
- Canva – (https://www.canva.com/ai-image-generator/). Freemium tool for marketers.

Note that since innovation in AI technology and tools is rapid, each of these tools may no longer be available or have changed name or URLs owing to acquisition and merger.

Paid, owned and earned media

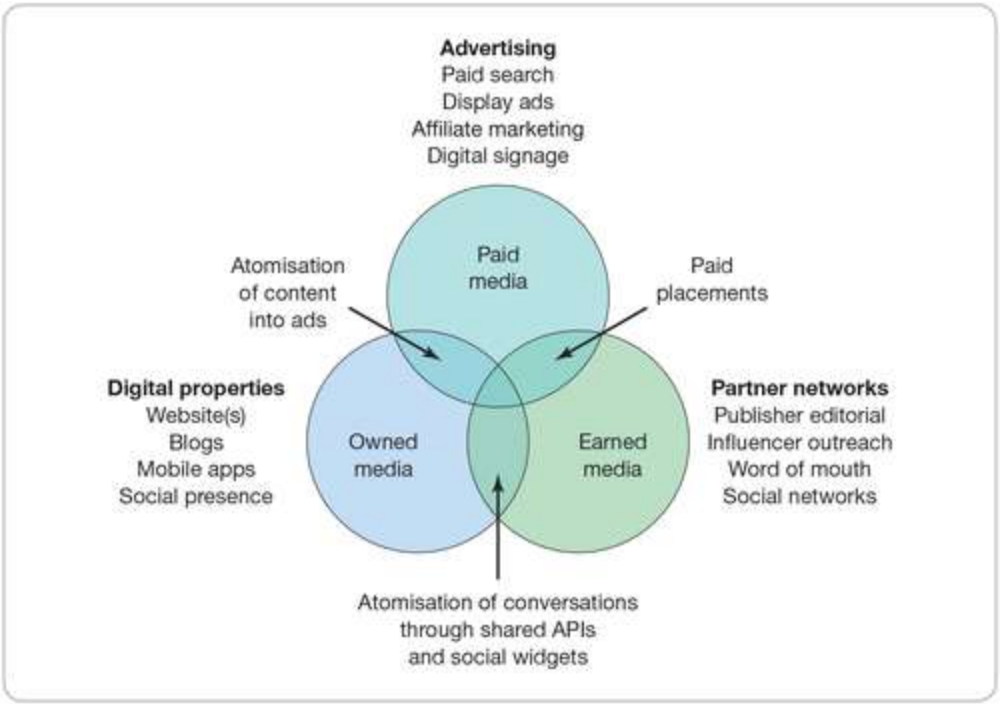
To develop a sound digital strategy today involves understanding a more complex, more competitive buying environment than ever before, with customer journeys including touchpoints in many different forms of online presence. To help develop a strategy to reach and influence potential customers online, it's commonplace to refer to three main types of media that marketers need to consider today (Figure 1.1):

1. **Paid media.** These are bought media where there is investment to pay for visitors, reach or conversions through search, display ad networks or affiliate marketing. Offline, traditional media such as print and TV advertising and direct mail remain important for some brands such as consumer goods brands.
2. **Owned media.** This is media owned by the brand. Online this includes a company's own websites, blogs, email list, mobile apps or its social presence on Facebook, Instagram, LinkedIn or X (formerly Twitter). Offline owned media may include brochures or retail stores. It's useful to think of a company's own presence as media in the sense that it is an alternative investment to other media and it offers opportunities to promote products using similar ad or editorial formats to other media. It emphasises the need for all organisations to become multichannel publishers.

3. **Earned media.** Traditionally, earned media has been the name given to publicity generated through PR invested in targeting influencers to increase awareness about a brand. Now, earned media also includes word of mouth that can be stimulated through viral and social media marketing, and conversations in social networks, blogs and other communities. It's useful to think of earned media as the sharing of engaging content developed through different types of partners such as publishers, bloggers and other influencers, including customer advocates. Another way of thinking about earned media is as different forms of conversations between consumers and businesses occurring both online and offline.

Figure1.1

The intersection of the three key online media types



You can see in Figure 1.1 that there is overlap between the three different types of media. It is important to note this since achieving this overlap requires integration of campaigns, resources and infrastructure. Content on a content hub or site can be broken down (sometimes described as microcontent) and shared between other media types through widgets powered by program and data exchange APIs **(application programming interfaces)** such as the Facebook API.

Essential digital skills

Keeping up to date with digital

At the start of each chapter you will find an *Essential digital skills* box that has practical ideas to improve your knowledge and tips on how to improve 'hands-on' digital skills, which are recommended by employers.

In this chapter, we recommend some techniques that marketers can use to stay up to date with developments in digital marketing and with their competitors. We recommend you develop the following skills:

- regularly reviewing the latest trends in digital marketing techniques;
- assessing the relevance to business of new features from the main digital marketing platforms such as Meta (Facebook, Instagram), Google and LinkedIn (useful for career development).

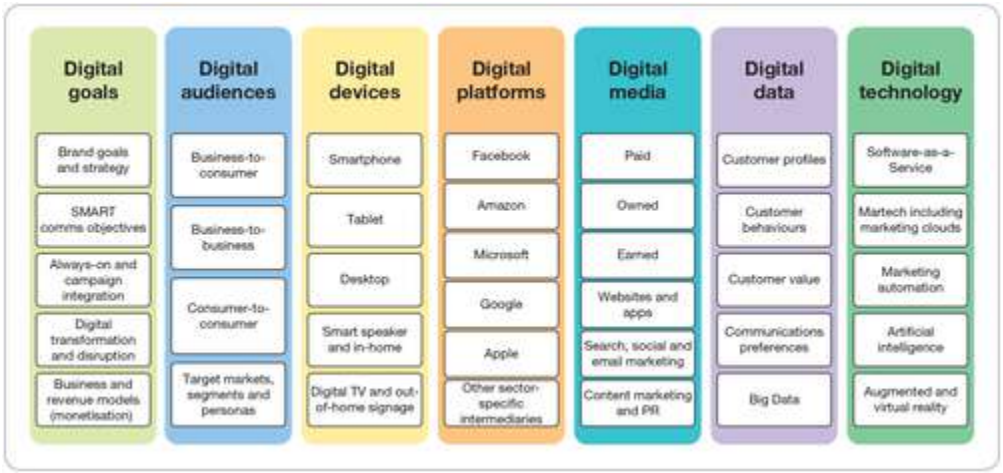
These are the techniques that Dave Chaffey uses to keep up to date with the latest developments:

- Follow digital marketing influencers within LinkedIn who are assessing new platform changes. Also cover specialist practitioners who recommend techniques for specific channels such as SEO, social media and website design.
- Use X lists to get focused updates from the best websites or influencers, which are grouped into streams. I monitor these in www.Hootsuite.com, which you can also use to set up streams for competitors.
- Use a feed reader app such as FeedlyTM to subscribe to different digital marketing news sites. The most popular articles are highlighted to help you filter out the biggest developments. Install Feedly and you will get recommendations of the best marketing sites.
- Subscribe to newsletters that cover the latest platform developments and best practices, for example, EconsultancyTM, MarTechTM and Smart InsightsTM.
- Ask Generative AI tools with an up-to-date large language model (LLM) about the latest trends. At the time of writing one of the best options is Google Gemini which will summarise the latest trends and platform changes in the current year. ChatGPT doesn't summarise developments within the last year.

To audit your digital marketing skills across the RACE planning framework, use the Smart Insights Skills Assessment tool available at http://bit.ly/smartdigiskills.

Figure1.2

The 7Ds or pillars supporting effective digital marketing


Digital goals
Brand goals and strategy
SMART comms objectives
Always-on and campaign integration
Digital transformation and disruption
Business and revenue models (monetisation)
Digital audiences
Business-to-consumer
Business-to-business
Consumer-to-consumer
Target markets, segments and personas
Digital devices
Smartphone
Tablet
Desktop
Smart speaker and in-home
Digital TV and out-of-home signage
Digital platforms
Facebook
Amazon
Microsoft
Google
Apple
Other sector-specific intermediaries
Digital media
Paid
Owned
Earned
Websites and apps
Search, social and email marketing
Content marketing and PR
Digital data
Customer profiles
Customer behaviours
Customer value
Communications preferences
Big Data
Digital technology
Software-as-a-Service
Martech including marketing clouds
Marketing automation
Artificial intelligence
Augmented and virtual reality

Context – the 7Ds of digital marketing

As part of defining the scope of opportunity when using a strategic approach to digital marketing, it's helpful to think about which digital audience interactions we need to understand and manage through marketing communications. Digital marketing today is about managing many more types of audience interaction than simply a company website or email marketing. It involves harnessing all of these other '7Ds of managing digital marketing interactions', which are summarised in Figure 1.2. This summarises the key concepts and pillars supporting digital marketing that are introduced in this chapter. The marketing activities relating to the 7Ds that should be reviewed as part of a strategic approach to digital marketing are:

- *Digital goals and strategy.* Reviewing what the business or brand is aiming to achieve through using digital marketing and how well it is contributing. Considering how digital marketing can help the business compete through digital marketing strategy to define digital transformation needed for existing businesses, including changes to business and revenue models, and prioritisation of always-on marketing in addition to campaign investments.
- *Digital audiences.* Understanding online audience characteristics, behaviours and preferences, summarised as personas, in order to deliver more relevant content and experiences to different target

segments, aimed at increasing interactions and so meeting business goals within the competitive online marketplace.

- *Digital devices.* Understanding how our audiences interact with businesses as part of the buying process using a combination of smartphones, tablets, laptops, desktop computers, TVs, gaming devices, smart speakers and other connected devices forming the **Internet of Things (IoT)** (see **Chapter 7**).
- *Digital platforms.* Assessing the relative importance of interactions and priority for communications on the major 'digital platforms' or online services, sometimes described by the acronym **'FAMGA'**. These businesses are influential in developing the operating systems, browsers, apps, social networks and search engines used to mediate digital interactions between businesses and consumers. Industry sectors may have their own platforms that are important in influencing purchase, for example specialist online publishers or comparison sites. For example, within the travel sector, TripAdvisor™ is an important platform, built using the infrastructure provided by different FAMGA players.
- *Digital media.* Prioritising the use of different communications channels for reaching and engaging audiences that are available, including advertising, email and messaging, search engines and social networks, which we'll introduce in this chapter.
- *Digital data.* Structuring and applying the insight businesses collect about their audience profiles; their interactions with businesses now

need to be protected by law in most countries.

- *Digital marketing technology.* Selecting the marketing technology or martech that is used to create interactive experiences including websites and mobile apps. Technology is also used to support the planning, execution, optimisation, insight and reporting for digital marketing channel activities that form marketing campaigns.

Digital marketing goals and strategy

Since digital media are enabled through technology, there is a danger that adoption of digital marketing technology will be led by technology decisions. This risk is highlighted in the *Harvard Business Review* article ‘Digital transformation is not about technology’. Tabrizi *et al*. (2019) suggest that businesses will often:

> Put the cart before the horse, focusing on a specific technology (‘we need a machine-learning strategy!’) rather than doing the hard work of fitting the change into the overall business strategy first. Not only should they align tech investments with business goals – they should also lean more on insider knowledge than outside consultants, acknowledge fears about job loss that those insiders may have, develop deep knowledge of how changes will affect customer experience, and use process techniques borrowed from the tech world (experimentation, prototyping, etc.) to facilitate change.

As with any strategic initiative involving investment in technology, it’s important to make the business case and set SMART objectives, as we

detail in **Chapter 4** on digital strategy. In this section we consider general benefits and applications of digital media and technology.

Goals of digital marketing

Since digital marketing should support marketing communications goals such as customer acquisition and retention, it's useful to consider a hierarchy of response model for how digital media and platforms support these goals. AIDA, which stands for Awareness–Interest–Desire–Action, is the classic hierarchy of response model you are likely familiar with. It was originally created to explain how individuals respond to media such as ads. However, it doesn't relate to the overall process of digital marketing for achieving customer acquisition, retention and brand metric goals.

Dave Chaffey developed the RACE digital marketing framework as a simple way to set and achieve goals across the **customer lifecycle** from acquisition and customer development to customer retention.

RACE (Figure 1.3 and Preface Figure P.1; Chaffey, 2021) is a practical framework developed by Dave Chaffey to help marketers set goals, measure performance and manage activities to improve the commercial value that their organisations gain from digital marketing. RACE is an evolution of the REAN (Reach–Engage–Activate–Nurture) framework originally developed by Xavier Blanc and popularised by Steve Jackson in his book *Cult of Analytics* (Jackson, 2009). It is intended to help create a simplified approach to reviewing the performance of online marketing and taking actions to improve its effectiveness.

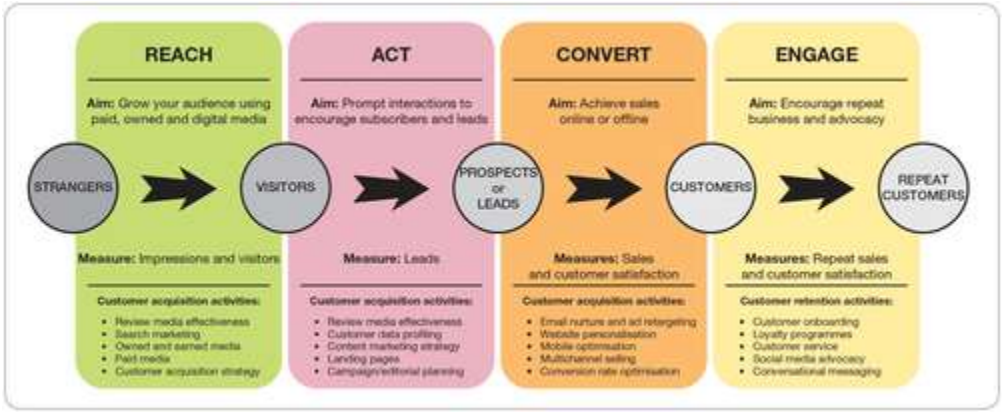
RACE consists of four steps designed to help engage prospects, customers and fans with brands throughout the customer lifecycle:

- *Step 1:* Reach – build awareness of a brand, its products and services on other sites and in offline media and build traffic by driving visits to web and social media presences.
- *Step 2:* Act – engage an audience with the brand on its website or other online presence to encourage them to interact with a company or other customers. In many sectors, the aim of the Act stage is lead generation, i.e. to gain permission to market to a prospect using email, SMS or mobile app notifications.
- *Step 3*: Convert – achieve conversion to generate sales on web presences and offline.
- *Step 4:* Engage – build customer relationships through time to achieve retention goals.

Digital channels always work best when they are integrated with other channels so, where appropriate, digital channels should be combined with the traditional offline media and channels. The most important aspects of integration are, first, using traditional media to raise awareness of the value of the online presences at the Reach and Act stages and, second, at the Convert and Engage steps where customers may prefer to interact with customer representatives.

Figure1.3

The RACE omnichannel marketing planning framework summarising aims, activities and measures



RACE can be used as a framework to structure the goals of both integrated digital marketing strategies and shorter-term campaigns, as shown by Mini case study 1.1.

We can also consider the benefits of digital marketing in supporting marketing goals by applying the definition of marketing suggested by the Chartered Institute of Marketing (www.cim.co.uk):

> Marketing is the management process responsible for identifying, anticipating and satisfying customer requirements profitably.

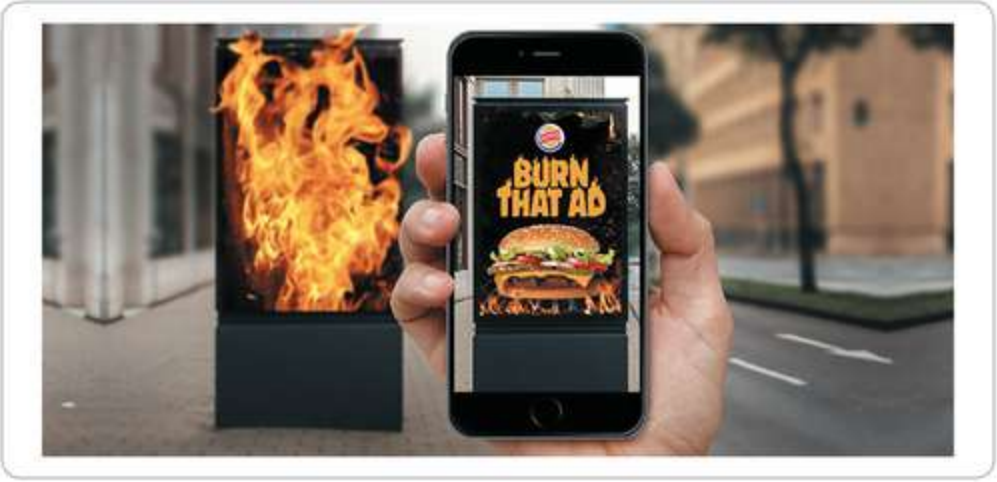
This definition emphasises the focus of marketing on the customer and commercial returns. Consider how digital marketing can be used to

support these aims as follows:

- *Identifying*. Digital interactions give a source of customer insight and a channel for marketing research to determine customers' needs and wants (**Chapters 2** and **10**).
- *Anticipating*. Using insight gained online, digital media provide a way to target communications in line with audience needs. The demand for digital content and services needs to be evaluated to ensure adequate resources are delivered (as explained in Chapters 2, **3** and **4**).
- *Satisfying*. A key success factor within digital marketing is achieving customer satisfaction through digital channels, which raises questions about the quality of customer experience (these issues of customer relationship management are discussed further in **Chapters 6** and **7**).

Mini case study 1.1

Burger King® Brazil makes creative use of augmented reality (AR) by 'flaming its competitors' ads'



Burger King's® 'Burn that ad' campaign

Source: The BURGER KING® and Whopper® trademarks and images are used with permission from Burger King Corporation. All rights reserved

The communications aim of the campaign was to drive people to download the BK app, use the AR feature in the real world and insist on Burger King flame grilling iconic taste. With the motto '*After all, flame grilled is always better*', digital interactions were encouraged through a feature in the Burger King app. It integrated a feature in its app that allowed users to scan any ad of the competition and burn it in the virtual world using augmented reality.

Conversion to sale was encouraged since users of the feature could get a free Whopper®, encouraging trial and future purchases. Longer-term engagement was encouraged by use of a mobile app, BK Express, specifically developed in Brazil enabling any customer to pre-order and avoid queues. The campaign aim was to achieve hundreds of thousands of app downloads and online voucher redemptions.

Source: The Drum (2019)

Chaffey and Smith (2017) suggested the 5Ss of digital marketing as a way of considering the business benefits of digital marketing. Table 1.1 shows our summary of these benefits.

Direct-to-consumer communications and e-commerce

Before the option of online sales, many businesses sold through intermediaries such as wholesalers or retailers. The internet now offers new options for direct-to-consumer (D2C) communications and sales through e-commerce. Digital transformation projects will often involve prioritising investments needed for transactional e-commerce as part of a move to **digital business**.

Electronic commerce (e-commerce) refers to both financial and informational electronically mediated transactions between an organisation and any third party it deals with. Thus, e-commerce involves management not only of online sales transactions, but also of non-financial transactions such as inbound customer service enquiries and outbound email broadcasts, so you can argue that e-commerce is open to all online organisations. However, e-commerce is often used to refer solely to selling online, i.e. transactional e-commerce.

E-commerce is often further subdivided into a **sell-side e-commerce** perspective, which refers to transactions involved with selling products to an organisation's customers, and a **buy-side e-commerce** perspective, which refers to business-to-business transactions to procure resources needed by an organisation from its suppliers.

Table1.1

The 5S goals of digital marketing

Benefit of digital marketing	How benefit is delivered	Examples of typical objectives
Sell – grow sales	Includes direct online sales transactions and sales from offline channels influenced online	Achieve 10 per cent of sales online In online sales in product category by 20 cent in one year
Speak – get closer to customers	Encourage interaction online using inbound marketing techniques such as search and social media marketing, and understand audience needs	Increase website visits or social media followers by 10 per cent within one ye
Serve – add value	Provide content and offers to encourage interactions leading to sales	Increase subscribers to newsletter by 1 cent within quarter
Save – save costs	Reduce offline media spend and customer service through using organic inbound marketing techniques Reduce customer support costs by ‘web self-	Reduce cost of customer acquisition b per cent
		Reduce cost-to-serve per customer by per cent

	service' where customers answer queries online	
Sizzle – extend the brand online	Improve the customer experience by offering new digital value propositions, exclusive online offers and customer communities	Improve brand metrics such as brand awareness, brand familiarity, favourab and purchase intent

Source: Chaffey and Smith (2017)

Geyskens *et al*. (2002) suggested that digital channels can be effective in delivering incremental sales compared to other channels, arguing that there are three main forms of demand expansion for an existing company when it adopts direct internet channels. These are:

1. *Market expansion*. This occurs when new segments of customers are reached who did not previously buy in a category – they give the example of Estée Lauder™, which hopes that the Clinique.com™ site will attract customers who avoid buying at a cosmetics counter because they find the experience intimidating.
2. *Brand switching.* This is done by winning customers from competitors.
3. *Relationship deepening.* This is selling more to existing customers.

Digital marketing gives excellent opportunities to grow a business by entering new markets, as the Zalando™ mini case study 1.2 explains for an e-commerce brand.

Mini case study 1.2

Zalando exploits the power of digital media and distribution to grow a multi-billion-euro business in less than five years

Once a single-country startup inspired by the successful business model of Zappos.com, Zalando was founded in 2008 by David Schneider, Rubin Ritter and Robert Gentz, with an early loan of €75,000 from German venture capital firm Rocket Internet SE. Zalando has become a €6 billion company and Europe's top fashion retail platform. In 2008, Zalando served only Germany; five years later it was serving 15 European countries. Today, they have around 50 million active customers in 25 markets.

Now, Zalando sells international and local brands, including international premium brands, as well as localised brands that are only available per country. For each of the 15 tailor-made websites per country it serves, it includes customised shipping, payment, fashion and marketing strategies unique to the culture and country. High-street stores have now been opened in large German cities.



The new Zalando campus in Berlin

Source: Zalando

Zalando is popular and successful for many reasons, including a media, content, merchandising and localisation strategy applied to each country, an effective customer satisfaction programme and focus on the mobile experience, which accounts for 80 per cent of 7 billion site visits each year. Mobile app users visit and purchase more often and have a higher Net Promoter customer satisfaction score. Investment in a superior digital experience is a key part of Zalando's strategy, summarised in Zalando (2024) as:

> *Zalando is also offering a more seamless and tailored digital experience with tools such as size advice, which uses*

> *computer vision and Artificial Intelligence (AI). About 60% of all items sold on Zalando already feature proprietary size advice.*

Its Google Ads™ programme is particularly important as a method for it to gain rapid awareness in each country it has entered, since other online media techniques such as SEO (too slow to grow an audience rapidly in a competitive market) and social media (relatively poor at impacting online sales) can fail to gain traction in a market. Using Google Ads and offline advertising plus the distribution infrastructure requires a significant investment, so substantial initial backing is needed for an international e-commerce business like this, which is evident since it took four-plus years to break even in the core regions of Germany, Austria and Switzerland.

Zalando's use of AI to personalise its customer experienced is explored in more detail in Case Study 7.

Source: Zalando (2024) and Zalando Investor Relations website

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social commerce is an increasingly important part of e-commerce for site owners, since incorporating reviews and ratings into a site and linking to social networking sites can help understand customers' needs and increase conversion to sale. It can also involve group buying using a coupon service, as with Groupon™. There is much discussion over the extent to which social media interactions between consumers directly influence

sales. Digital marketing insight 1.1 outlines research hinting at the complexity of understanding this relationship. We introduce social media marketing later in this chapter.

Key challenges of digital communications and how AI can assist

It is sometimes suggested by some suppliers of digital marketing services that they are ‘quick, cheap and easy’ to deploy. This is a great misconception since there are many challenges that need to be overcome when managing complex digital channels and campaign activities. Think of a Google Ads or Meta campaign as an example where, for a large retailer, hundreds of ads with different ad copy and creative have to be setup, tested and optimised in line with competitor behaviour. However, ad platforms now offer AI-features to help businesses create ads with less complexity. For example, with Google Ads Smart campaigns small business owners can set up a budget, choose your location preferences and add a few keyword themes. Based on these choices, Google Ads will show relevant ads. Although AI-tools are powerful, they do have limitations in that they can be a ‘black-box’ where fewer controls are possible and limited insights are available about how they perform.

Digital marketing insight 1.1

Social commerce and brand discovery – how much do social networks influence or ‘deinfluence’ purchase?

Research by GWI (2024), based on a global panel, shows how social media informs purchase decisions. The panel were asked about brand discovery with this proportion of all internet users agreeing that they find out about new brands/products via the following methods:

- Social media: 57%
- Ads seen on social media: 28%
- Recommendations/comments on social media: 22%
- Updates on brands' social media pages: 15%
- Posts or reviews from expert bloggers: 15%
- Endorsements by celebrities or well-known individuals: 14%
- Vlogs 11%

It showed that younger age groups show significantly higher propensity to be influenced by social media compared to older age groups when asked to rate their impact.

The report also highlights the concept of #Deinfluencing, which is the name given to social media personalities recommending which hyped products shouldn't be purchased, often recommending alternatives. They suggest that the trend initially gained traction owing to its focus on more authentic content, and as an antidote to overconsumption but also owing to the cost-of-living crisis where people are growing tired of expensive recommendations.

Source: GWI (2024)

Introduction to digital marketing strategy

The key strategic decisions for digital marketing are in common with traditional business and marketing strategy decisions. As we will see in **Chapter 4**, which defines a process for developing a digital marketing strategy, customer segmentation, targeting and **positioning** are all key to effective digital marketing. These familiar **target marketing strategy** approaches involve selecting target customer groups and specifying how to deliver value to these groups as a proposition of services and products. As well as positioning of the core product or brand proposition, online development of a compelling *extended product* or **online value proposition (OVP)** is also important (see Chapter 4). This defines how the online experience of a brand is delivered through content, visual design, interactivity, sharing, rich media and how the online presence integrates with the offline presence. All of the digital platforms referenced in this section have a clear, compelling OVP. Strategic decisions about the future OVP a brand offers are a key part of digital marketing strategy.

Key features of digital marketing strategy

The interaction and integration between digital channels and traditional channels is a key part of digital marketing strategy development. Digital marketing strategy is essentially a channel marketing strategy and it needs to be integrated with other channels as part of multichannel marketing. It follows that an effective digital marketing strategy should:

- be *aligned with business and marketing strategy* (for example, many companies use a rolling three-year plan and vision), with more specific annual business priorities and initiatives;
- use *clear objectives* for business and brand development and the online contribution of leads and sales for the internet or other digital channels – these should be based on models of the number using the channels;
- be *consistent with the types of audience* who use and can be effectively reached through the channel;
- define a *compelling, differential* ***value proposition*** for the channel, which must be effectively communicated to customers;
- specify the mix of online and offline communication tools used to attract visitors to the company website, or interact with the brand through other digital media such as email or mobile;

- support the customer journey through the buying process as they select and purchase products using the digital channel in combination with other channels;
- manage the online customer lifecycle through the stages of attracting visitors to the website, converting them into customers, and retention and growth.

Business and revenue models

For established multichannel organisations, digital media offer a range of opportunities for marketing products and services across the purchase cycle that companies need to review as part of their digital strategy. Consider the example of a low-cost airline. Digital media and technologies can be used as follows:

- *Advertising medium.* Display ads on publisher sites or social networks can be used to create awareness of brands and demands for products or services.
- *Direct-response medium.* Targeted search advertising enables companies to drive visits to a site when consumers show intent to purchase, such as searching for a flight to a destination.
- *Platform for sales transactions.* Online flight booking is now the most common method for booking flights, both for consumers and business travellers.
- *Lead-generation method.* For booking business flights, tools can be provided that help identify and follow up corporate flight purchases.
- *Distribution channel, such as for distributing digital products.* Today, airlines sell more insurance services than previously, for example.

- *Customer service mechanism.* For example, customers may ‘self-serve’ more cost-effectively by reviewing frequently asked questions.
- *Relationship-building medium.* Here a company can interact with its customers to better understand their needs and publicise relevant products and offers. For example, easyJet™ uses its email newsletter and tailored alerts about special deals to encourage repeat flight bookings.

Different forms of functionality of digital presence

The form of digital strategy developed by a company will depend on the sector and scale of a business. Chaffey (2015) identifies different types of digital presence and each has different objectives and functionality that are appropriate for different markets or industry sectors. Note that these are not clear-cut categories of websites or mobile apps, since any company may combine these types as part of its business model, but with a change in emphasis according to the market it serves. Increasingly, companies are using dedicated mobile apps and company pages on social networks such as Facebook, X and LinkedIn to similar purposes. Many influencers don’t have a website at all, focusing their online presence on their social network pages, including YouTube. As you review websites and company social presences, note how organisations have different parts of the site focusing on these functions of sales transactions, services, relationship-building, brand-building, and providing news and entertainment. The five main types of site or mobile app functions are as follows.

1 Transactional e-commerce

The website, app or social network enables purchase of products or services online and is typical in the retail, travel and financial services sectors. Transactional platforms can also support the business by

providing customer service and information for consumers who prefer to purchase products offline.

- Visit these examples: an end-product manufacturer such as Kia™ with an online ‘Build your Kia’ configurator (www.kia.com/uk), or an online retailer such as Zalando™ (www.zalando.com).

2 Services-oriented relationship-building for lead-building and support

The online presence focuses on content marketing to provide information to stimulate purchase and build relationships. Products and services are not typically available for purchase online. Rather, this content marketing led approach is typical in the business-to-business sector and for high-value or complex consumer products. Information is provided through the website and e-newsletters to inform purchase decisions. The main business contribution is through encouraging offline sales via generating enquiries or leads from potential customers. Such sites also add value to existing customers by providing them with detailed information to help support them in their lives at work or at home.

- Visit these examples: B2B management consultants Accenture™ (www.accenture.com) and B2C laser eye treatment company Optimax™ (www.optimax.co.uk).

Digital marketing insight 1.2

Direct-to-consumer e-commerce opportunities

direct-to-customer (D2C or DTC) e-commerce is an ongoing major opportunity available to established businesses. For example, the United States Insider Intelligence (2022) reports that D2C ecommerce sales have more than tripled in the past six years with D2C sales accounting for 1 in 7 ecommerce sales. The market has grown from $36 billion in 2016 to $128 billion in 2021 – a gain approaching $100 billion in about half a decade and they expect it will reach more than $200 billion by the end of 2024. They note that established brands – and not digitally native vertical brands (DNVBs) – will drive the vast majority of D2C ecommerce sales, accounting for 75% of US D2C ecommerce sales.

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3 Brand-building

This type of site or app provides an experience to support the brand. Products are not typically available for online purchase. The main focus is to support the brand by developing an online experience of the brand and it is typically used for low-value, high-volume fast-moving consumer goods (FMCG) brands for consumers.

- Visit these examples: Durex™ (www.durex.com) and Guinness™ (www.guinness.com).

4 Publisher or intermediary site

Publisher or intermediary sites such as sites for comparing brands provide news, entertainment or tools and typically have an advertising or affiliate

revenue model, as explained in **Chapter 2**. This is information both on the site and through links to other sites. These sites have a diversity of options for generating revenue including advertising, commission-based sales and sale of customer data (lists). Some publishers and influencers only have a presence on social networks.

- Visit these examples: Politics such as HuffPost™ (www.huffingtonpost.com) or JOE (YouTube focus with no website) (B2C) and Smart Insights (www.smartinsights.com) (B2B). G2™ (www.g2.com) enables comparison of marketing technology services based on recommendations from users.

These different types of sites tend to increase in sophistication as organisations develop their digital marketing. In Chapters 2 and **4** we look at **stage models** of the development of digital marketing services and capabilities, from static **brochureware sites** to dynamic **transactional e-commerce sites** that support interactions with customers.

5 Social network or community

These sites or parts of sites focus on enabling community interactions between different consumers (C2C model). Typical interactions include posting comments and replies to comments, sending messages, rating content and tagging content in particular categories.

Well-known examples include Facebook, Instagram, LinkedIn, Snapchat, TikTok and X. In addition to distinct social network sites such as these, social networks can also be integrated into other site types.

Challenges in developing and managing digital marketing strategy

Some of the challenges in managing digital marketing strategy that are commonly seen in many organisations (and should be managed) include:

- There are unclear responsibilities for the many different digital marketing activities (shown in Figure P.1 in the Preface).
- No specific objectives are set for digital marketing.
- Insufficient budget is allocated for digital marketing because customer demand for online services is underestimated and competitors potentially gain market share through superior online activities.
- Budget is wasted as different parts of an organisation experiment with using different techniques and martech suppliers without achieving economies of scale.
- New online value propositions for customers are not developed since the internet is treated as ‘just another channel to market’ without review of opportunities to offer improved, differentiated online services.

- Results from digital marketing are not measured or reviewed adequately, so actions cannot be taken to improve effectiveness.
- An experimental rather than planned approach is taken to using e-communications, with poor integration between online and offline marketing communications.

Research by Smart Insights (2021) investigated the challenges of managing digital marketing. Similar patterns of adoption are available in the Smart Insights (2024) *Future of Marketing* reports where the impact of AI is also considered. It was found that many businesses face challenges in these areas:

- Planning. Nearly half (42 per cent) of businesses surveyed do not have a defined digital plan or strategy although they are active in digital marketing, while more than half (63 per cent) also don’t have a clearly defined integrated marketing communications strategy to align against.
- Organisational capabilities. Many businesses either have already introduced (27 per cent) or were planning to introduce (35 per cent) a digital transformation programme, although a substantial proportion (25 per cent) of businesses don’t think it’s relevant for them.
- Integration of digital channels into marketing. The survey also asked respondents to rate the maturity of their digital marketing

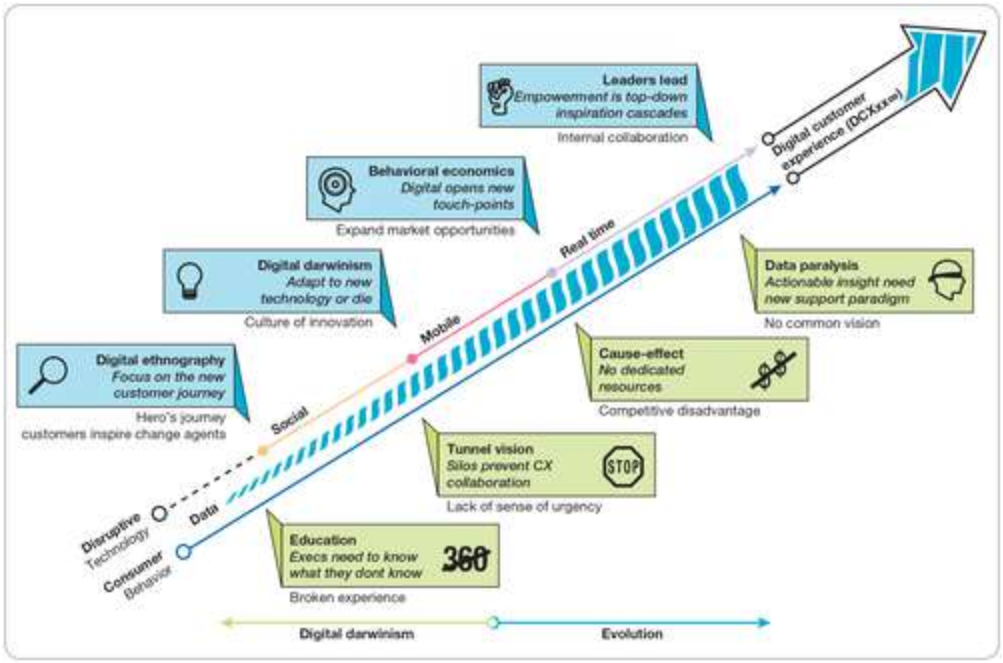
across the customer lifecycle on a five-point scale.

The majority of businesses were in categories 1 to 5. For example, for achieving sales online and/or offline, 68 per cent of businesses rated themselves at a maturity level of 1 or 2, while only 11 per cent rated themselves at the higher maturity level of 4 or 5. Most businesses have limited digital maturity and capabilities, scoring 1 (Initial) or 2 (Managed) on a five-point scale (with an average of 2.4).

Given the future importance of digital marketing and new entrants that are **digital disruptors**, larger organisations have introduced digital transformation programmes to help manage these challenges. Solis (2014) produced a visual proposing enablers and barriers to digital transformation (Figure 1.4). It shows how disruptive digital technologies such as social media, mobile platforms and real-time marketing should be harnessed to create an effective digital customer experience. McKinseys's 7Ss remain a useful framework for reviewing an organisation's existing and future capabilities to meet the challenges posed by the new digital channels (as shown in Table 4.7).

Figure1.4

The drivers and barriers to digital transformation



Source: Solis (2014)

Overcoming the challenges of developing and managing a digital marketing strategy is becoming increasingly significant. Research spotlight 1.1 explores how deploying a strategy is both important and can be transformative.

Research spotlight 1.1

Digital marketing transformation

Focus: *Digital transformation: A multidisciplinary reflection and research agenda*. Verhoef, P.C., Broekhuizen T., Bart, Y., Bhattacharya, A., Dong J., Fabian F. and Haenlein F. (2021)

Context: Innovation, business models and organisational structures

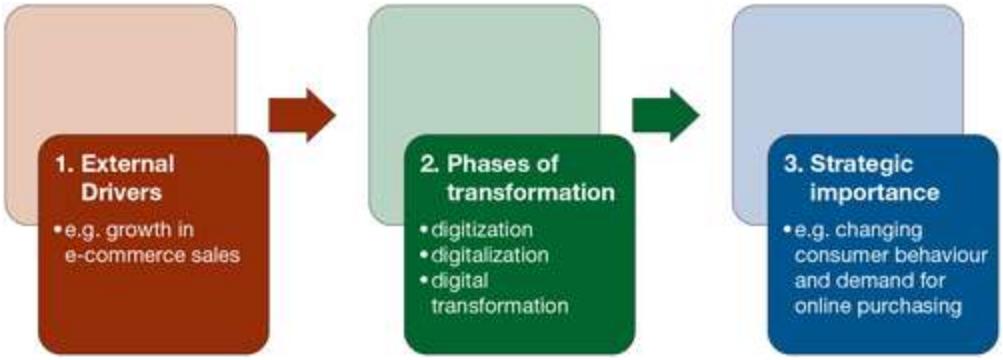
Since the first edition of *Digital Marketing Strategy* (Chaffey *et al*., 2000) the world of commerce has changed beyond recognition owing to advances of digital marketing technology and adoption by consumer, firms and organisations globally. Digital channels and resources have fundamentally altered how firms in traditional industries interact, engage and transact with their customers. Verhoef *et al*. (2021) show us how firms have been transformed in the digital age and suggest how they might succeed in the future.

The research: A literature review

Verhoef *et al*. (2021) explore how digital transformation has impacted on consumers, businesses and markets. This research takes a multidisciplinary approach. From an initial key word search 8,500 journal papers, were identified. Eventually, after several rounds of screening, 84 papers were found to be the most relevant and likely to provide insights into how digital transformation has been studied by academics and to identify the different stages of digital transformation. From Alibaba, to JD.com (retail industry); Netflix to Spotify (broadcasting and music industry); Booking.com to Airbnb (hotel industry), these are online brands which have used digital technologies and in doing so disrupted the very nature of doing business in their particular industries. The output has been digital transformation but how can other firms learn from these examples and use digital technologies to reimagine business activities. Verhoef *et al*. (2021) discuss three important drivers of change which flow towards creating the right conditions for digital transformation to occur (see Figure RS.1.1).

FigureRS 1.1

Key drivers of change flow towards digital transformation



Key findings

From here the researchers found digital transformation has three significant phases:

- *digitisation* of analogue information into useful digital contents, which can be stored and analysed (Dougherty and Dunne, 2012).
- *digitalisation* of business processes, which deliver customer benefits but can require organisational change in order to capture new business opportunities (Ramaswamy and Ozcan, 2016).
- *digital transformation* of the whole of a firm to pursue the new digital business opportunity and developed new business models (Iansiti and Lakhani, 2014).

To achieve this fundamental change, the research also finds firms must have or develop suitable digital resources and assets which can provide the organisation with the digital agility to enable the brand to take advantage of the emerging digital market opportunity. A firm must also devise organisational structures which adapt to the digital change. With resources and organisational structure in place the opportunity to benefit from digital growth becomes more apparent. Digital brands can grow quickly, when scalability is achieved for examples Lyft (ride-sharing platform) went from just under 3 million rides in 2013 to over 162 million in 2016 (Business Insider, 2017). Finally, the key to achieving full-blown digital transformation is measurement of performance. Digital metrics provide detailed insight, which can then be used to implement further change to drive growth, reduce costs and enhance customer experiences (Lemon and Verhoef, 2016).

Implications for digital marketers

- Evaluate the key drivers of change (Figure RS 1.1) identifying the opportunities and risks each phase presents.
- Consider the impact of moving from established traditional functional departments to a new digitalised structure of business processes.
- Understand the implications of digital transformation and how to create responsive and agile teams, which can become flexible, efficient and effective.

Research spotlight tasks

Imagine you are responsible for leading a consumer-facing digital transformation strategy for an existing Taxi firm.

a. Identify the *external drivers* of the digital transformation you are about to implement.

b. Suggest the *phases of the transformation* for the taxi firm and what needs to be done to achieve your strategy.

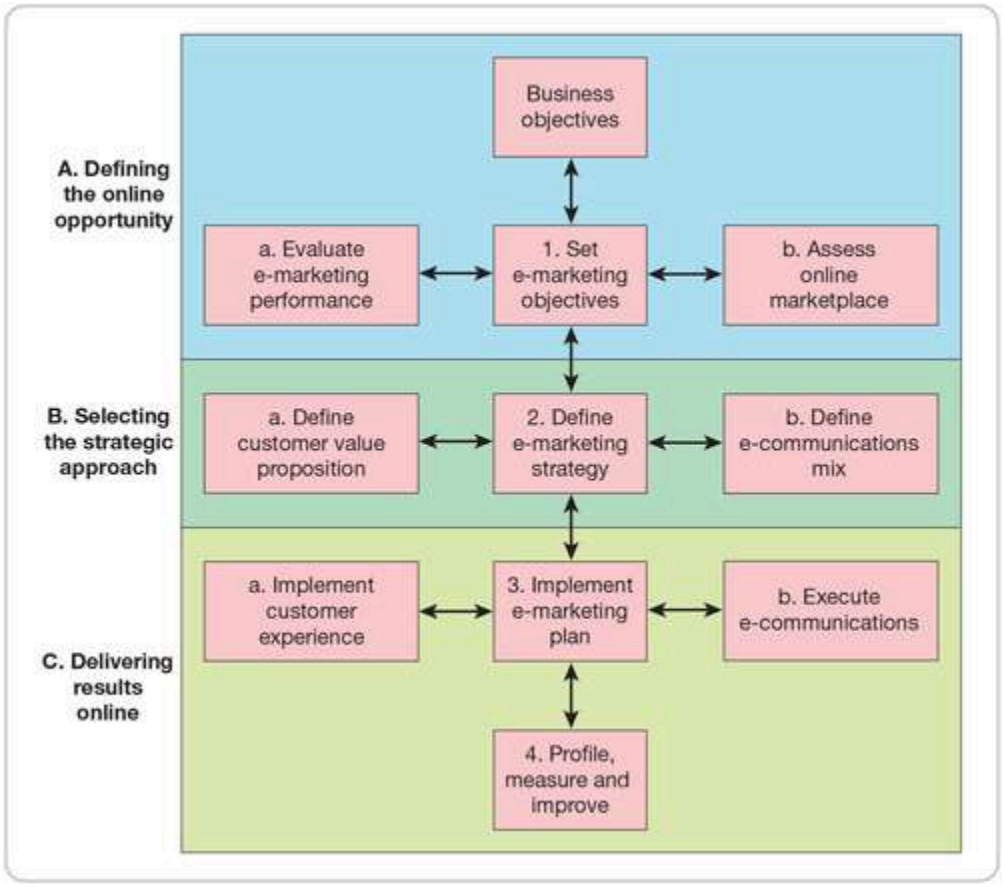
c. State the benefits which underpin the strategic importance of this fundamental business change.

A strategic framework for developing a digital marketing strategy

To realise the benefits of digital marketing and avoid the pitfalls that we have described, an organisation needs to develop a planned, structured approach. Consequently, this text defines a strategic approach to digital marketing that is intended to manage these risks and deliver the opportunities available from online channels. In Figure 1.5 we suggest a process for creating and implementing a strategic digital marketing plan that is based on our experience of strategy definition in a wide range of companies. This diagram highlights the key activities and their dependencies that are involved for the creation of a typical digital marketing strategy, and relates them to coverage in different chapters in this text.

Figure1.5

A generic digital marketing strategy development process



Note: 'e-marketing' is no longer commonly used in business, but is used here for brevity.

A. Opportunity: defining the online opportunity

Setting objectives to define the potential is the core of this phase of strategy development. Key activities are:

1. *Set digital marketing objectives* (**Chapters 4** and **8**). Companies need to set specific numerical objectives for their online channels and then resources to deliver these objectives. These objectives should be informed by and influence the business objectives and also the following two activities.

1a *Evaluate digital marketing performance* (Chapters 4 and **10**). Apply web analytics tools to measure the contribution of leads, sales and brand involvement currently delivered by online communications such as search engine marketing, online advertising and email marketing in conjunction with the website.

1b *Assess online marketplace* (**Chapters 2**, **3** and 4). Situation analysis review of the micro-environment (customers, competitors, intermediaries, suppliers and internal capabilities and resources) and the broader macro-environment that influences strategy, such as legal requirements and technology innovation.

B. Strategy: selecting the strategic approach

2. *Define digital marketing strategy* (Chapter 4). Select appropriate strategies to achieve the objectives set at stage A1.

2a *Define customer value proposition* (Chapters 4 to 7). Define the value proposition available through the online channel and how it relates to the core proposition delivered by the company. Review segmentation and targeting options. Review the marketing mix and brand values to evaluate how they can be improved online.

2b *Define digital communications mix* (Chapters 4, 8 and **9**). Select the offline and online communications tools to encourage usage of an

organisation’s online services and to generate leads and sales. Develop new outbound communications and event-triggered touch strategies to support customers through their relationship with the company.

C. Action: delivering results online

3. *Implement digital marketing plan* (**Part 3**). This details the implementation of the strategy.

3a *Implement customer experience* (**Chapter 7**). Build the website, mobile apps and create the marketing communications that form the online interactions customers make with a company. Create online customer relationship management capabilities to understand customers’ characteristics, needs and behaviours and to deliver targeted, personalised value (**Chapter 6**).

3b *Execute digital communications* (Chapters 8 and 9). Manage the continuous online marketing communications such as search engine marketing, partnership, social media marketing, sponsorships and affiliate arrangements, and campaign-based e-marketing communications such as online advertising, email marketing and microsites to encourage usage of the online service and to support customer acquisition and retention campaigns. Integrate the digital media channels with traditional marketing.

4. *Customer profiling* (Chapter 6). Monitoring and improving online activities and maintaining the online activities (Chapter 9). Capture profile and behavioural data on customer interactions with the company and summarise and disseminate reports and alerts about performance compared to objectives in order to drive performance improvement.

You will see that in the process diagram (Figure 1.5) many double-headed arrows are used, since the activities are often not sequential, but rather inform each other; so activity 1, set digital marketing objectives, is informed by the activities around it but may also influence them. Similarly, activity 4, profile, measure and improve, is informed by the execution of online activities but there should be a feedback loop to update the tactics and strategies used.

Digital marketing audiences and buyer behaviour

How much time do you, your friends and family spend online each day? Naturally, it depends on many factors, but you'll know from the 'screen time' warnings on your smartphone that it's significant and growing, unless you have managed a 'digital detox'.

The advent of digital media has prompted changes to buyer behaviour and communications, which we introduce in this section and are discussed further in **Chapter 3**. It's helpful to start by distinguishing between interactions with consumers (**business-to-consumer, B2C**) and with other businesses (**business-to-business, B2B**).

Digital media and technologies offer new opportunities for **direct-to-customer** strategies where brands can communicate directly to their consumers. For example, a publisher and authors can interact with their readers, or food brands can interact directly with their purchasers via their websites or social media.

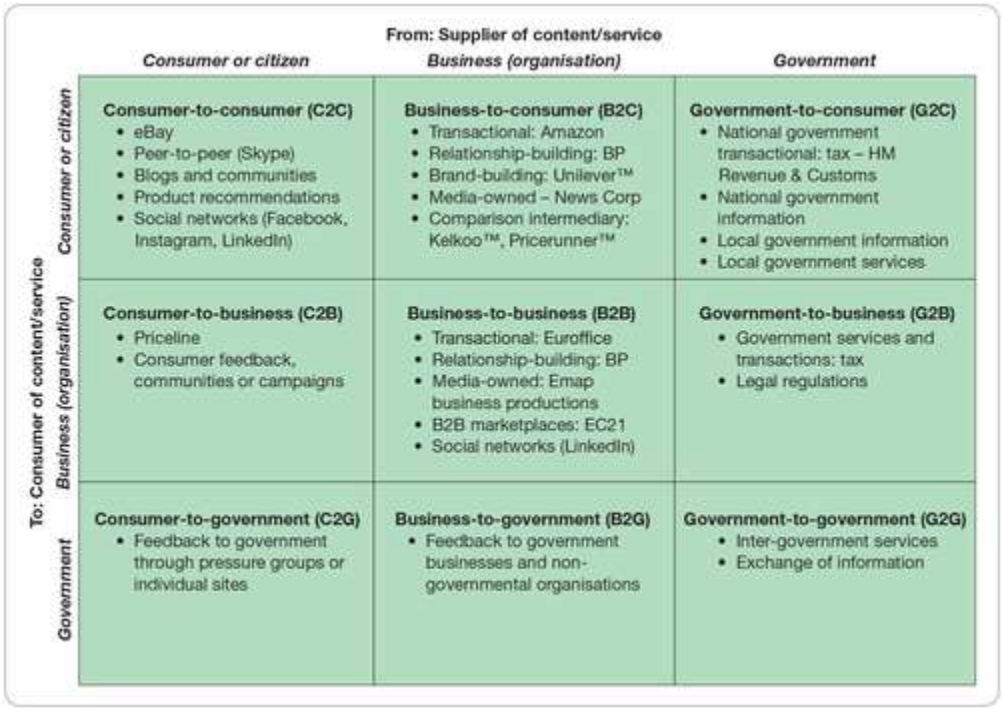
Figure 1.6 gives examples of different companies operating in the business-to-consumer (B2C) and business-to-business (B2B) spheres. Often companies such as easyJet and BP™ will have products that appeal

to both consumers and businesses, so will have different parts of their sites to appeal to these audiences.

Figure 1.6 also presents two additional types of transactions – those where consumers transact directly with other consumers (**consumer-to-consumer, C2C**) and where they initiate trading with companies (**consumer-to-business, C2B**). Common C2C interactions include transactional exchange (e.g. eBay™, www.ebay.com), financial services (e.g. Zopa™, www.zopa.com) and betting (e.g. Betfair™, www.betfair.com). In the early stages of the evolution of the web, Hoffman and Novak (1996) highlighted the potential importance of C2C interactions; the significance of their findings has been supported by the growth of social networks. In recent years digital platforms such as Facebook have touted VR-supported **Metaverses** for future C2C interactions (Their launch of this concept was described by The Verge, 2021).

Figure1.6

Summary and examples of transaction alternatives between businesses, consumers and governmental organisations



Government and public-service organisations deliver online or **e-government** services. Employees can be considered as a separate type of consumer through the use of intranets, which is referred to as employee-to-employee or E2E.

As we will see in the next section, adoption of digital devices and platforms within consumer audiences differs widely based on age. An increasing number of people, including many readers of this text, are **digital natives** who grew up with technology. However, other generations have lower levels of adoption and may need the benefits of such adoption

to be communicated. Even digital natives will face new technology to evaluate and adopt – smart speakers being a relatively recent example.

Benefits of digital media

In the section on digital marketing strategy, we described some of the applications of digital marketing to support communications with customers across the purchase cycle from generating awareness, achieving direct response for lead generation or sale and supporting customer service and relationship marketing. In this section we explore key differences between digital media and traditional media that savvy marketers exploit.

Digital marketing communications differ significantly from conventional marketing communications because digital media enables new forms of interaction and new models for information exchange. A classic summary of the differences between digital media and traditional media was originally developed by McDonald and Wilson (1999) and is still valid – they describe the ‘6Is of the e-marketing mix’, which are still useful to consider as they are practical benefits of digital marketing that the marketer should exploit since they highlight differences from other channels.

1 Interactivity

Figure 1.7(a) shows how traditional media are predominantly *push media* where the marketing message is broadcast from company *to* customer, although interaction can be encouraged through direct response to phone,

website or social media page. However, online it is often the customer who initiates contact and is *seeking* information through researching information on a website (Figure 1.7(b)). In other words, it is a '*pull*' mechanism where it is particularly important to have good visibility in search engines when customers are entering search terms relevant to a company's products or services.

John Deighton was one of the first authors to identify these characteristics of a digital medium (Deighton, 1996):

- the customer initiates contact;
- the customer is seeking information or an experience (pull);
- it is a high-intensity medium – the marketer will have 100 per cent of the individual's attention when he or she is viewing a website;
- a company can gather and store the response of the individual;
- individual needs of the customer can be addressed and taken into account in future dialogues.

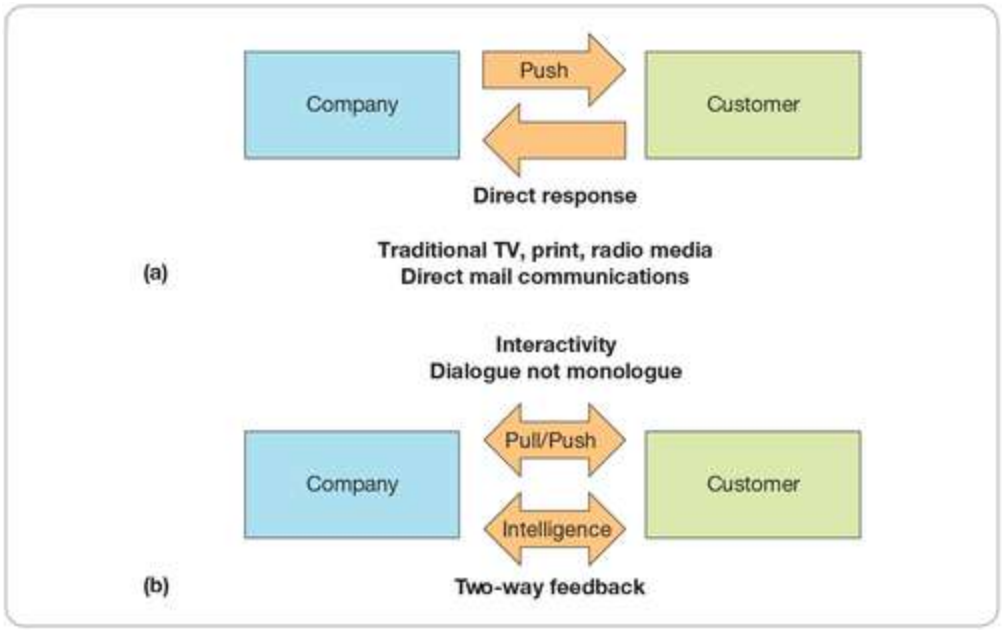
2 Intelligence

Digital media and technology can be used as a relatively low-cost method of collecting marketing research, particularly about customer perceptions of products and services, as described in **Chapter 10**, which reviews digital analytics and market research. Interactions with consumers across all the different customer touchpoints can be stored in **data lakes or data**

warehouses such as Google Big Query which can be used to analyse website interactions in Google Analytics to provide insight collectively known as ‘Big Data’.

Figure1.7

Summary of communication models for (a) traditional media, (b) new media



3 Individualisation

Another important feature of interactive marketing communications is that they can be tailored to the individual (Figure 1.8(b)) at relatively low costs, unlike in traditional media where the same message tends to be broadcast to everyone (Figure 1.8(a)). This individualisation is based on the intelligence collected about site visitors and then stored in a database and subsequently used to target and personalise communications to customers to achieve *relevance* in all media. The process of tailoring is

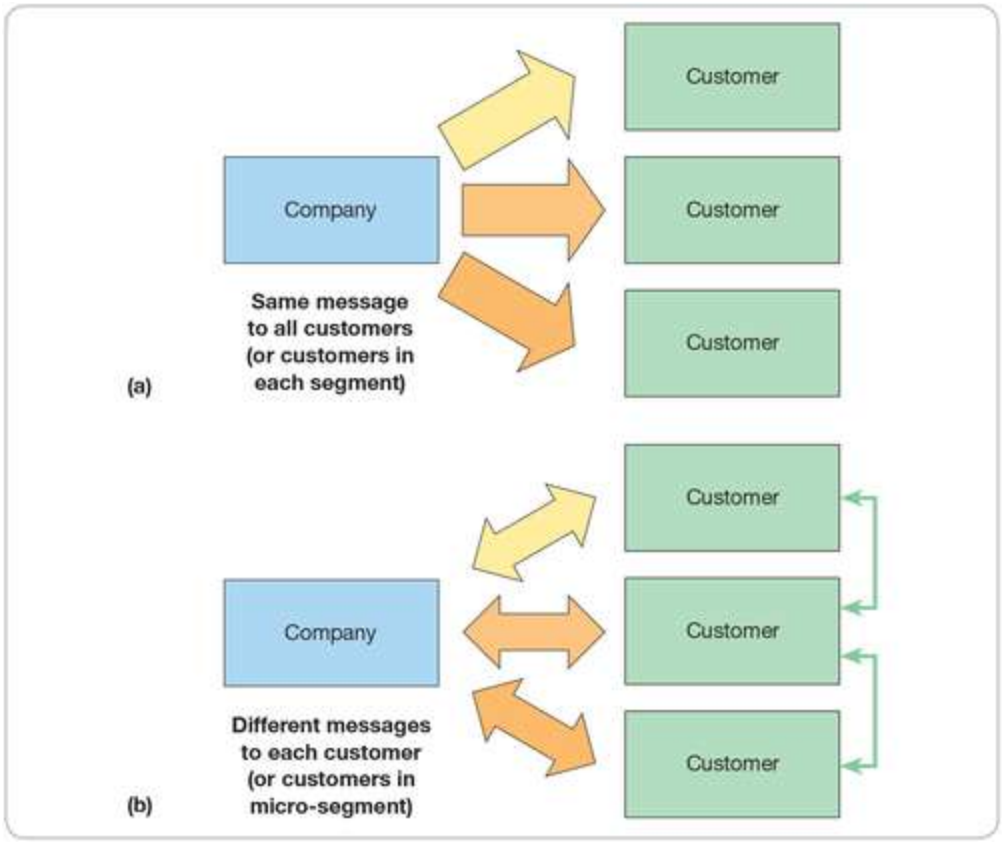
also referred to as **personalisation** – Amazon is the most widely known example, where the customer is greeted by name on the website and receives recommendations on site and in their emails, based on previous purchases. This ability to deliver **sense-and-respond communications** is another key feature of digital marketing and is explored further in **Chapter 6**.

4 Integration

The internet provides further scope for integrated marketing communications. Figure 1.9 shows the role of the internet in multichannel marketing. When assessing the marketing effectiveness of a website, the role of the internet in communicating with customers and other partners can best be considered from two perspectives. First, there is **outbound digital communications** from *organisation to customer*. We need to ask how does the internet complement other channels in communicating the proposition for the company's products and services to new and existing customers with a view to generating new leads and retaining existing customers? Second, **inbound digital communications** from *customer to organisation*: how can the internet complement other channels to deliver customer service to these customers? Many companies have now integrated email response and website call-back into their existing call centre or customer service operation.

Figure1.8

Summary of degree of individualisation for: (a) traditional media (same message); (b) new media (unique messages and more information exchange between customers)



Some practical examples of how the internet can be used as an integrated communications tool as part of supporting a multichannel customer journey (Figure 1.10) are the following:

- The internet can be used as a direct-response tool, enabling customers to respond to offers and promotions delivered in other media.
- The website can have a direct-response or call-back facility built into it. The Automobile Association™, for example, has a feature where a customer service representative will contact a customer by

phone when the customer fills in their name, phone number and a suitable time to ring.

- The internet can be used to support the buying decision, even if the purchase does not occur via the website, through assisted selling via live chat or phone. For example, Dell™ has a prominent web-specific phone number on its website that encourages customers to ring a representative in the call centre for support.

Figure1.9

Channels requiring integration as part of integrated digital marketing strategy

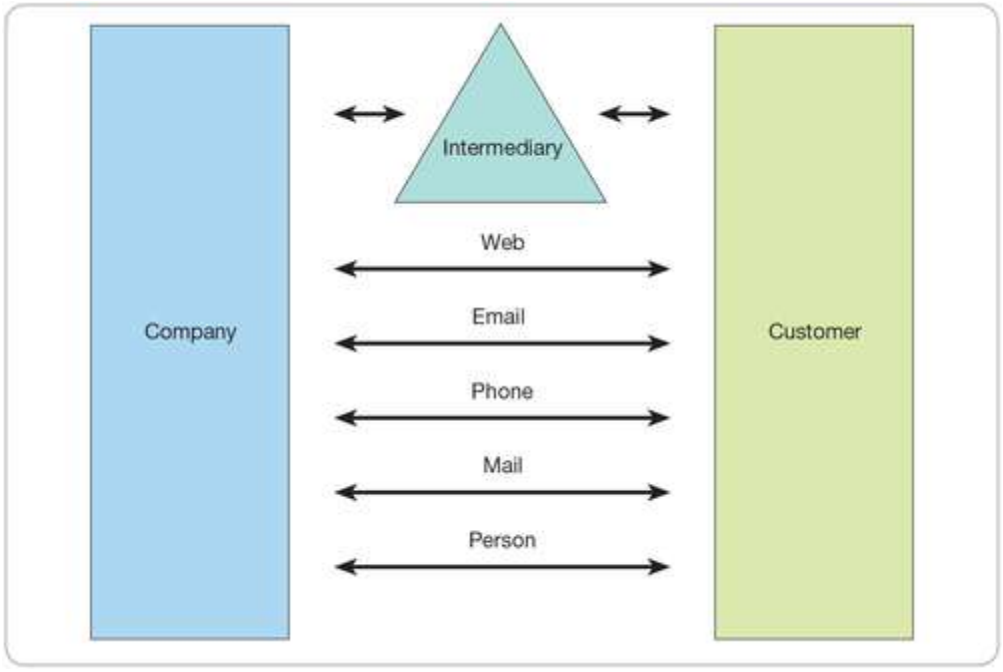
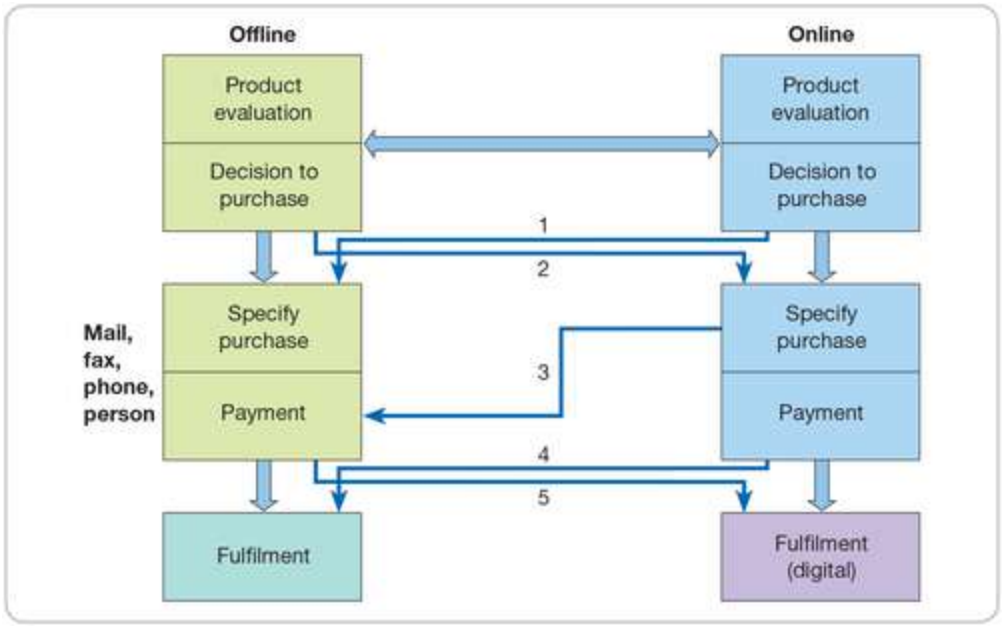


Figure1.10

The role of mixed-mode buying in digital marketing



5 Industry restructuring

Disintermediation and **reintermediation** are key concepts of industry restructuring that should be considered by any company developing a digital marketing strategy and are explored in more detail in **Chapters 2**, **4** and **5**.

For marketers defining their company's communications strategy it becomes very important to consider the company's representation on these intermediary sites by answering questions such as 'Which intermediaries should we be represented on?' and 'How do our offerings compare to those of competitors on these sites in terms of features, benefits and price?'.

6 Independence of location

Electronic media also introduce the possibility of increasing the reach of company communications to the global market. This gives opportunities to sell into international markets, which may not previously have been possible. The internet makes it possible to sell to a country without a local sales or customer service force (although these may still be necessary for some products).

In terms of deploying campaigns, there are further benefits of digital communications:

- *Accountability*. Digital media are potentially more accountable through the use of measurement systems known collectively as web analytics. Google provides a free tool known as Google Analytics™ (www.google.com/analytics) to enable its advertisers to test the value generated from its ads.
- *Testing*. Potentially, testing becomes more straightforward at a lower cost with the option to trial alternative creative executions, messaging or offers. Google offers another free tool – Google Optimize – to test alternative landing pages.
- *Flexibility*. Campaigns can be more flexible, with the capability to change copy or offers during a campaign. Alternative ads can be served within Google to evaluate which works best. Google Ads also offers dayparting, where ads can be displayed at different times of the day.

- *Micro-targeting*. Alternative messages can be delivered for different audiences according to what they are searching for. Potentially a company can show a different advert in Google Ads for each term searched.
- *Cost-control*. Costs can be controlled for each group of search terms entered by customers through the search engine, managed collectively, and bids made can be increased or decreased with the aid of software.

Activity 1.2

Integrating online and offline communications

Purpose

To highlight differences in marketing communications introduced through the use of the internet as a channel and the need to integrate these communications with existing channels.

Activity

List communications between a PC vendor and a home customer over the lifetime of a product such as a PC. Include communications using both the internet and traditional media. Refer to the channel-switching alternatives in the buying decision in Figure 1.10 to develop your answer.

Digital devices and digital platforms

To select relevant communications, it’s useful for marketers to understand the context of use of digital media, i.e. how, when and why users are accessing the internet and how this may relate to other channels such as TV or print media. This can help determine investment decisions and there are options within paid media to vary the timing to test for ROI improvements since budgets won’t enable us to target everyone. For example, to reduce wastage from targeting less-relevant audiences in digital media we can use:

- *device-specific targeting* to target users of a particular device, e.g. iPhone users;
- *dayparting to target* people when they are most likely to be active during the day or week. B2B marketers may downweight or stop spend during the evenings or weekends.

How many digital devices do you, your friends and family use? When the web first launched, very few had access and most likely it was through a desktop or laptop computer. The growth in smartphone usage changed when and where access occurred, with the majority of consumer usage now via smartphones and mobile apps.

When developing a strategic approach to digital media, it’s useful to assess how demand for new devices among different audiences varies so we can assess the relevance of these devices for our marketing activities. Since adoption varies constantly, it’s useful to consider key questions and sources, which we explore in Activity 1.3.

Activity 1.3

Understanding adoption of digital devices and platforms

Purpose

To reflect on the questions marketers should ask about consumer device and platform adoption and to share relevant sources to access this insight.

Context

You work in the innovation team for a cosmetic brand such as L’Oréal and are considering opportunities to add more interactive virtual and augmented reality (VR and AR) features to marketing communications aimed at increasing brand engagement and brand loyalty.

Activity

Identify the types of questions about device usage, media consumption and platform usage you would need to ask to gain insight on adoption within different age groups. Complete searches or access databases to identify useful sources for these types of questions.

Here are some examples of questions that you would seek to understand for different demographics such as age group, gender and income.

Device usage:

- How many devices?
- Adoption of device browsers or apps that support AR and VR. For example, for Apple or Android?

Media consumption:

- When are different types of media (and devices) used through the day?
- How popular are different mobile and desktop platforms for VR and AR?
- How common is multiscreening (where more than one device is used simultaneously)?

Platform usage:

- How popular are different social networks? Do they have support for interactivity?
- How many searches and what types of searches happen on Google?
- How does media spend compare between traditional and digital platforms?

Recommended resources: the digital marketing statistics sources section at www.davechaffey.com/book-support/

A similar activity towards the end of **Chapter 9** looks specifically at the best sources for understanding social media adoption and its influence on buyer behaviour.

Digital platforms

Digital platforms are where the majority of customer brand interactions occur today and this explains why it's recommended that retailers spend between 50 to 70 per cent of their media budget on digital media, although around 80 per cent of their sales are still offline according to the Google (2022) research mentioned at the start of the chapter in the section on omnichannel marketing. Despite the vast number of websites, access to these is mediated by search engines and social networks. So, to gain awareness and visibility, selection of digital marketing tactics requires knowledge of the latest communications options available via the digital platforms that online audiences use to interact. It's useful to review the FAMGA businesses here, since all offer organic and paid media options as part of their revenue model. Despite the choice available online, the dominance of a small number of platforms poses practical and ethical issues for marketers, which we explore further in **Chapter 3**. From a practical point of view, the majority of digital media spend is mostly divided between what has been called the Facebook–Google duopoly. Perrin (2019) reported that within the United States and United Kingdom, more than 60 per cent of digital media spend is now with Facebook and Google. This has led to increased competition on these platforms, with auction-based media spend driving higher advertising costs. Many consider this situation and the limited tax paid by some of these companies anti-competitive and this has led to the anti-trust investigations

in the United States and Europe. We consider the organic and paid media options for advertising on these platforms in **Chapter 9**.

Note that in some regions, such as Asia, the FAMGA businesses are less important, so options for reaching audiences on other dominant platforms are important. Plus, some sector-specific platforms may be important in particular sectors. For example, within the travel industry, TripAdvisor™ is used by so many consumers that marketers have to consider reviews and recommendations on this platform.

Digital media

The use of **digital media**, data and technology to support marketing activities has given rise to a bewildering range of labels and jargon created by both academics and professionals. In this section we focus on introducing these different digital media concepts and explaining how they are applied together to meet marketing goals.

Introduction to digital marketing communications

For many years, marketing campaigns were centred on traditional media channels including TV, print and radio ads and direct mail supported by public relations. But, in a few short years, since the web concept was first proposed in the late 1980s by Sir Tim Berners-Lee, there have been huge changes in marketing communications. The digital equivalents of these traditional media, which are known as **digital media channels**, are vital components of most marketing campaigns today. We will see that marketers have many options for digital marketing communications techniques that can be used across different digital media channels.

Six key types of digital media channels

Marketers often use ‘paid, owned and earned media’ to describe investments at a high level, but it’s more common to refer to six specific digital media channels when selecting particular always-on and campaign investments.

To simplify prioritisation, we recommend considering the paid, owned and earned options available within six digital media channels or communications tools, as shown in Figure 1.11. Combining the techniques in this way gives 18 digital communications techniques for

businesses to consider. Companies with a limited budget for paid media can focus on owned and earned techniques.

Figure1.11

Six categories of digital media channels or communications tools showing their relationship to paid, owned and earned media



Practical success factors and best practices for implementing these are explained in detail in **Chapter 9**, where we review their advantages, disadvantages and practical best practices to make them more effective. The six main media channels available to any business (and paid, owned and earned media options within these) are:

1. *Search engine marketing*. Gaining visibility on a search engine to encourage click-through to a website when the user types a specific keyword phrase. Two key search marketing techniques are paid placements using **pay-per-click (PPC)**, and placements in the *natural or organic listings* using **search engine optimisation (SEO)** where no charge is made for clicks from the search engine. As we see in Chapter 9, businesses are finding it increasingly

difficult gaining visits from organic search for several reasons including the use of tactics by Google to de-emphasise them by use of SERPs features and, more recently AI overviews. SEO can be considered owned media since it involves on-page optimisation by improving the relevance of content and technical improvements to the website to improve crawlability monitored through Google Search Console. SEO also has an earned media component where visibility in the search engines can be improved by getting relevant 'backlinks' from websites, which effectively count as a citation or vote.

2. *Social media marketing.* Includes both paid advertising on social networks and organic social media amplification where companies aim to gain visibility through content shared by social media feeds and pages that are owned media. Earned social media is where a brand or social update is shared by a publisher or partner.

3. *Display advertising*. Use of online ad formats such as banners and videos on publisher sites to achieve brand awareness and encourage click-through to a target site. These are usually considered as separate investments from paid search and paid social ads since **display ads** are typically displayed on publisher sites. Programmatic display refers to where media and target audiences are selected by trading or bidding against other advertisers. Native advertising involves paying to publish content that appears on a media site rather than a banner ad. It's similar to when companies

pay for features on pages in newspapers. It's also similar to sponsorship, and in both cases there may be a long-term relationship where a brand pays for its name to be associated with a publisher or event.

4. *Digital PR*. Involves maximising favourable 'offsite' mentions of your company, brands and products by other organisations and people, especially media sites or influencers such as celebrities. These mentions may create name awareness, but have the benefit that they can also drive visits through links and support SEO through backlinks. These mentions may occur on publisher websites, blogs or social networks, and podcasts accessed by your target audience. Guest blogging involves writing an article for which no fee is charged on another business's website. It's often a reciprocal arrangement. Influencer outreach is used in both B2B and B2C communications. It usually refers to working with individuals rather than publishers to gain mentions through their social media, blogs or podcasts. Digital PR also includes responding to negative or positive online brand mentions and conducting public relations via a site through a social media news centre or blog, for example.

5. *Digital partnerships*. Creating and managing long-term arrangements to promote your online services on third-party websites or through website content and messaging. **Affiliate marketing** involves a commission-based arrangement where the

advertiser pays only when a sale occurs. It's most applicable to the retail, travel and financial services sectors where an affiliate website will get paid for traffic when an online sale occurs. Co-branding is a paid or owned media technique where two brands are featured within email marketing or native advertising. Co-marketing is similar but it is a 'contra' arrangement, for which (usually) no fee is paid, when companies collaborate to share content with the aim of raising awareness and leads among the pooled audiences. For example, Dave Chaffey set up a co-marketing arrangement for publisher Smart Insights with martech vendor HubSpot, where joint research reports were created to raise awareness and generate leads for both brands. HubSpot has dedicated co-marketing managers in different regions to manage this activity, since the company views it as important.

6. *Digital messaging.* Traditionally, digital messaging to individuals who have subscribed to updates has focused on **email marketing**, which is still a commonly used digital media channel since it is cost-effective. However, email is used less by younger audiences who are more likely to subscribe to mobile push notifications from websites and apps. Digital messaging options include placing ads in third-party e-newsletters (paid media) or most commonly the use of an in-house list for customer activation and retention (owned media), or co-marketing techniques using other companies' newsletters. Buying or renting lists of email addresses is considered

as a spamming technique and not permitted under the privacy legislation described in **Chapter 2**.

Regardless of the form of media, it's useful to consider the need for a relevant **landing page** on a website, so that when the audience clicks through to the site they see a relevant message rather than a home page.

Social media marketing is an important category of digital marketing that involves encouraging customer communications on a company's own site, or social presences such as Facebook or Twitter or in specialist publisher sites, blogs and forums. It can be applied as a traditional broadcast medium – for example, companies can use Facebook or X to send messages to customers or partners who have opted in. However, to take advantage of the benefits of social media it is important to start and participate in customer conversations. These can be related to products, promotions or customer service and are aimed at learning more about customers and providing support, thus improving the way a company is perceived.

The growth of social networks was formally documented by Boyd and Ellison (2007), who describe social networking sites (SNS) as:

> Web-based services that allow individuals to (1) construct a public or semi-public profile within a bounded system, (2) articulate a list of other users with whom they share a

> connection, and (3) view and traverse their list of connections and those made by others within the system.

The interactive capabilities to post comments or other content and rate content are surprisingly missing from this definition.

According to Weinberg and Pehlivan (2011), social media is neither a perfect substitute for traditional marketing, nor is it a one-size-fits-all. Marketers can use social media effectively by taking their message directly to consumers and focusing on traditional objectives. We will review social media marketing options in more detail in **Chapters 6** and **9**.

Key communications concepts for digital marketing

In this section, we introduce fundamental digital marketing concepts that are significant opportunities provided by digital communications, built as part of digital marketing activities and often discussed by marketers. These are more readily achieved online compared to traditional media, but offline communications such as TV ads can also integrate with them. The concepts are:

1. Inbound marketing
2. Permission marketing
3. Content marketing
4. Digital audience engagement
5. Always-on lifecycle marketing communications.

1 Inbound marketing

Among marketing professionals, the digital media interactions discussed in Figure 1.11 are a powerful new approach to marketing, now commonly known as **inbound marketing** (Halligan and Shah, 2009) and referred to in Figure 1.7(b).

Inbound marketing is powerful since there are lower-cost organic options for which there is no media cost, including organic social media and search engine optimisation. Advertising wastage is reduced since we can target specific individuals when they are looking for products – they are proactive and self-selecting. But this is a weakness since marketers may have less control than in traditional communications where the message is pushed out to a defined audience and can help generate awareness and demand.

2 Permission marketing

Permission marketing is closely related to inbound marketing. It is an established approach to online marketing that is still highly relevant today as a practical foundation for generating online leads and audience engagement. 'Permission marketing' was a term first coined by Seth Godin. Godin (1999) noted that while research used to show we were bombarded by 500 marketing messages a day, with the fragmentation caused by the advent of digital media, this has now increased to thousands of messages a day. From an organisation's viewpoint, this leads to a dilution in the effectiveness of the messages – how can the communications of any one company stand out? From the customer's viewpoint, time is seemingly in ever shorter supply; customers are losing patience and expect reward for their attention, time and information. Godin refers to the traditional approach as **interruption marketing**. Permission marketing is about seeking the customer's permission before

engaging them in a relationship and providing something in exchange. This classic value exchange is based on information or entertainment – a B2B site can offer a free report in exchange for a customer sharing their email address, while a B2C site can offer a newsletter with valuable content and offers. Many retail sites today still feature an option to subscribe to a newsletter with a discount for first-time purchasers, since this is a practical method to gain potential customers. We cover the principles of permission marketing in more detail and with examples related to CRM in **Chapter 6**.

3 Content marketing

Success in permission marketing requires exceptional, compelling content. To emphasise the importance of content marketing to gaining permission, encouraging sharing and ongoing engagement through websites and social media, the concepts of **content marketing** and content strategy have developed to describe best-practice approaches to engaging audiences and achieving business outcomes through content. Previously, content was limited by the cost of printing and distributing brochures or direct mail, but these are no longer barriers, giving many more opportunities to engage audiences online through content in a rich variety of formats including web pages, downloadable guides, blog posts, social posts, videos, podcasts and interactive product selectors and quizzes.

You can see the challenge content strategy presents, since today there are so many different types of content delivered in different forms to different places on different access platforms, yet it is increasingly important to engage customers in digital media. Investment in managing content ideation, creation and distribution is needed to assess and define:

1. *Goals for content engagement value.* Which types of content will engage the audience and support conversion to a lead or sale? Is it simple product or services information, a guide to buying or using a product or service, that will engage your audience at different points in the lifecycle?
2. *Content media.* These include different text and rich media formats such as hosted and streamed video and audio.
3. *Content distribution.* Major distribution activities that are a key part of content marketing are paid promotion of content through ads, for example on Facebook, Google or LinkedIn, and free organic promotion through SEO and social media. PR using influencer outreach is also important. Content can also be automatically syndicated to different types of sites through feeds, APIs, microformats or embedded in sites through widgets displaying information delivered by a feed.
4. *Content interaction and participation.* Effective content today is not simply delivered for static consumption, it should enable interaction, commenting, ratings and reviews. These also need to be

monitored and managed both in the original location and where they are discussed elsewhere.

5. *Content management platform.* Content needs to be managed by teams and provided to users on different digital devices. We explain how to audit content as part of the overall digital experience in **Chapter 7**.

Smart Insights (Bosomworth, 2012) explain the key elements of a content hub using the diagram shown in Figure 1.12, or, as they put it, a ‘content marketing machine’:

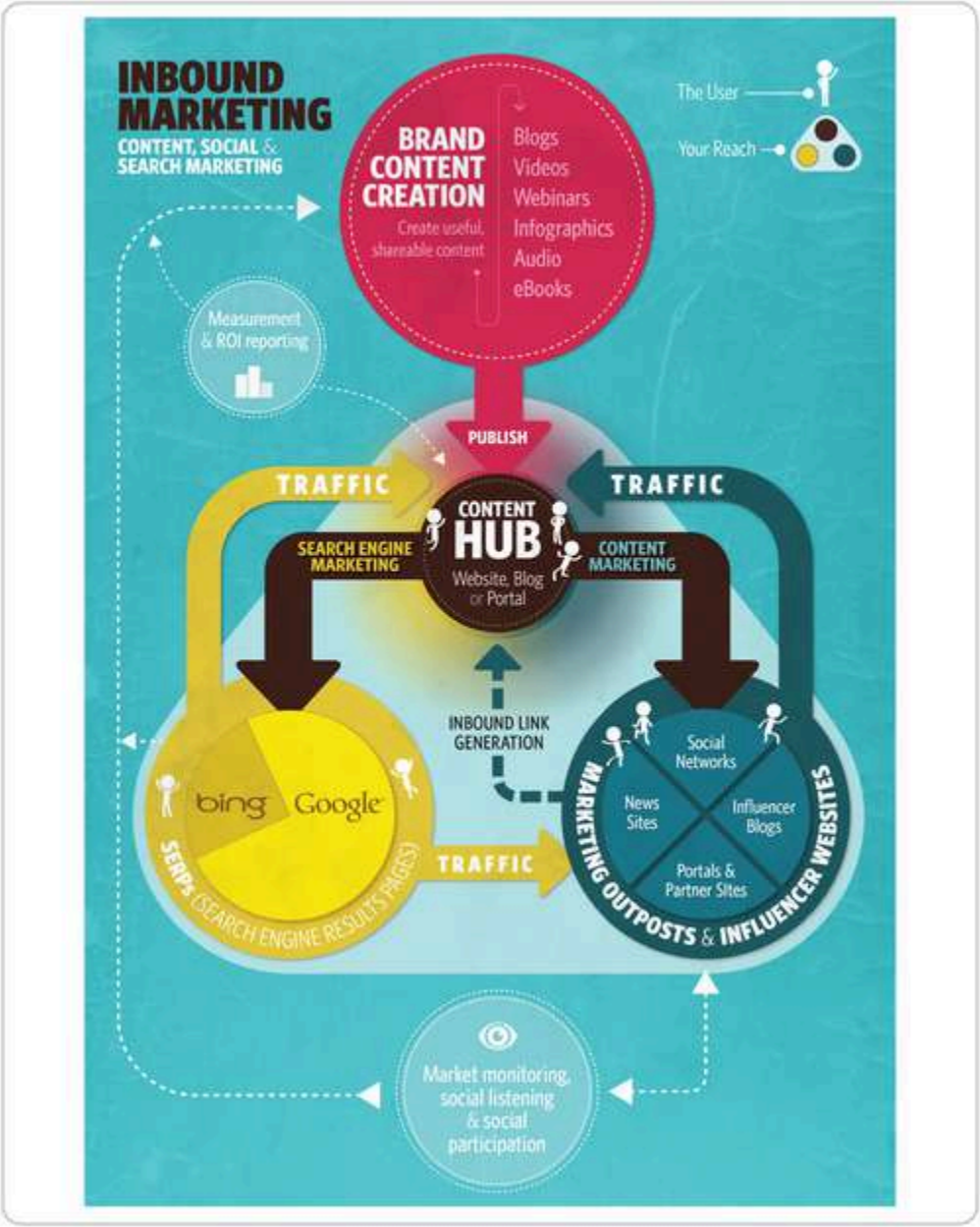
1. Create the right types of shareable content formats to meet customer interests and company commercial goals. The quality and range of content must be sufficient and sustained to compete. (In **Chapter 8**, the Smart Insights Content Marketing Matrix is presented as a method of reviewing the most appropriate content formats to use.)
2. A defined branded **content marketing hub** or repository for accessing all relevant content marketing assets.
3. Invest in seeding content and working with partner sites and influencers to increase awareness and sharing of content.
4. Content marketing should be aligned with search marketing and particularly search engine optimisation (SEO), since if there is a

regular stream of quality content then Google will favour the site when searchers are looking for information or products.

5. The right people, process and tools need to be in place to monitor content and sharing effectiveness in social media. This should include following up on any comments from social media.

Figure1.12

The content marketing hub



Source: Bosomworth (2012)

4 Digital audience engagement

In traditional ‘push’ media, there were few options for brands to interact with audiences directly. Digital media offers many more options for

direct-to-customer (D2C) communications, but with the challenge of gaining ‘cut-through’ given the amount of content.

This difficulty in gaining and keeping the attention of audiences across today’s fragmented media landscape has led to the emergence of the concept of **customer engagement** as a key challenge with which digital marketers are increasingly concerned.

We need to be careful to define engagement precisely, since the term is often used loosely to describe short-term audience engagement with a single communication, such as when a prospect engages with a single landing page, email or social media update. While this short-term interaction is important to boost response from these communications, what is arguably more important to business success today, and far more challenging, is *long-term engagement through time with our prospects, customers and subscribers*.

Adestra (2017) describes customer engagement as:

> Repeated interactions through the customer lifecycle prompted by online and offline communications aimed at strengthening the long-term emotional, psychological and physical investment a customer has with a brand.

This builds on the definition from Haven (2007), stating that customer engagement is:

> The level of involvement, interaction, intimacy, and influence an individual has with a brand over time.

The two biggest barriers to marketers achieving engagement, according to Adestra (2017), are gaining a single data view (31 per cent of respondents agreed) and lack of an integrated customer lifecycle engagement plan (according to 25 per cent of respondents).

To be successful in marketing communications today requires marketers to develop a deep understanding of digital audiences, which includes the insights on customer characteristics and behaviour we cover under the section on ‘Digital data’ and in Chapter 6 covering data-driven relationship marketing. Developing good customer insights to understand your audiences and then targeting them with more relevant communications and offers has always been a fundamental of marketing.

5 Always-on lifecycle marketing communications

In the pre-digital era, marketing activities were planned in campaign ‘bursts’ around new product launches and promotions. To be effective, digital marketing needs a change in mindset so that businesses invest sufficient time and budget into defining and optimising what are known as **always-on lifecycle marketing** activities, which can be used in an integrated way to maximise visibility and conversion through the customer lifecycle.

Figure 2.1 (see Chapter 2) summarises different types of always-on communications to support customer acquisition and retention. Often, in our experience, the opportunity of some of these always-on activities may have been missed because they haven’t been planned or optimised and this will lead to lower conversion rates. For example, it’s common for businesses that are new to digital marketing to not set up **retargeting**, which enables them to deliver ‘reminder’ ads that you may have seen after you have visited a website.

We will explain some of the terms further in the next section.

Digital data

The last two core digital marketing concepts that we will cover in this introduction help support and integrate the other concepts. The responsibility for managing and investing in these to deliver value from them is sometimes unclear, so it is useful to define specific responsibility for them.

The value of digital data to organisations is when it is transformed into structured information that can be used to support decisions and knowledge applied. The process of creating value from data about digital interactions is known as **digital analytics**. It was formerly known as web analytics, since it related only to websites, but is now used more broadly.

Since harnessing digital data effectively is important to improving digital marketing, we highlight the use of different measures and tools throughout, exploring it in more detail in **Chapter 10**, where we explain the applications of digital analytics and tools such as Google Analytics, which is freely available to all businesses with a website, to review and improve the use of their digital marketing.

Digital data helps support the other concepts of digital marketing as follows:

- *Digital goals.* Data is used to create forecasts of returns on digital media and report performance through digital dashboards (as described in **Chapters 4** and 10).
- *Digital audiences***.** Since online interactions of consumers with organisations are recorded, this gives us the potential to learn more about consumer characteristics and behaviour (as explored in **Chapter 2**). Consumers may have concerns about how their data is used and this is controlled by privacy law, so it's important for businesses to give consumers a choice of how their data is used and comply with the laws we review in **Chapter 3**.
- *Digital devices.* Digital analytics tools like Google Analytics can give us insight into which device, screen resolution and browser are being used to access a website or mobile app.
- *Digital platforms.* Digital analytics can also give insight into which platforms visitors are referred from to a website. For example, a visitor arriving from Facebook, Google or LinkedIn will be recorded when tracking is set up correctly (as explained in **Chapters 8** and 10).
- *Digital media.* Likewise, visits referred from other websites such as media sites or blogs will also be recorded in digital analytics. Again, tracking has to be set up to gain the best insights. We will see that visits referred from social media or email marketing require specific tracking codes to be set up. Detailed insights are available into the search terms visitors use to reach a website. Since

conversion to a lead or sale may potentially occur across multiple visits referred from different media and different devices such as smartphone or desktop, it's important to assess how different media support each other through integrated communications. We consider how **digital media attribution** is used to achieve this in Chapter 8.

To understand different types of digital data and their value, it's useful to consider different forms of customer data that can be collected and analysed during the course of customer journeys. The main types of data relate to the characteristics of a customer, known as the customer profile, and their behaviour. The profile recorded in a customer database typically includes disclosed data such as a name, email address and date of birth, plus inferred data such as a predicted lifetime value. The profile may also include communications preferences such as whether the customer wants to be contacted by email or phone, or the frequency and topic of email updates.

Think about the process by which you may select a holiday online over a period of time. You may know exactly where and when you want to travel and where you want to stay, and book in a single visit to a travel website. More likely, you may make several visits to the site prompted by different media following a search or interacting with social media or email. For each visit it's likely you will view multiple pages about destinations, hotels and options to travel. Before you decide on your destination you

may sign up for an e-newsletter to hear about offers. You will likely give your name, email address and nearest airport. You may also follow the brand on Facebook and Instagram. At a later point, you may book a holiday after responding to an offer you viewed on email or social media.

You can see that many different types of data will be collected for each customer. To gain insight from this diverse data requires that the goals for analysing the data are established and the quality of the data is known to be reliable. To collect and visualise the data at an aggregate level across many customer interactions and sales will require different forms of technology, which are collectively known as marketing technology.

Digital marketing technology

Technology plays a strong supporting role within digital marketing. Since the advent of the World Wide Web in the 1990s, many marketing and digital marketing technology services have been created to support digital marketing activities. They typically combine two main functions. Some, such as Google Analytics, focus on providing insight for the marketer on digital marketing effectiveness, while others focus more on running operational marketing processes to deliver more relevant messages to audiences. Collectively these are now called **marketing technology (martech)** (martech for short). Many of these are now cloud-based software-as-a-service tools (SaaS) that don't require software to be installed within a business, but the insight and management controls are accessed via a browser. For example, Google Analytics enables businesses to measure their website effectiveness and also test and personalise experiences with Google Optimize. Likewise, content management systems for editing content are now accessed via browsers and contain insight on engagement with content, with options to personalise experiences.

There are now over 13,000 potential martech tools that businesses can use, as identified by Scott Brinker (Brinker, 2024). Research by Grand View Research (2023) Research by Grand View Research (2023) shows the amount of global spend on marketing technology (MarTech) market was valued at USD 325.7 billion in 2022 and is expected to grow at a

compound annual growth rate (CAGR) of 19.8 per cent from 2023 to 2030.

BDO (2019) estimated that the combined UK and US marketing technology sector is worth $65 billion and martech could be worth up to $121.5 billion globally. The report suggests that, on average, around 20 per cent of marketing budget in the United Kingdom is spent on marketing technology, increasing to 30 per cent in North America. It begs the question of how many businesses are getting ROI, and taking time to fully customise martech to their businesses and ring-fence time for analysis of the insights.

The choice of available martech, its potential cost and uncertainty about return on investment presents a challenge to businesses that want to take advantage of the operational support and insight, but only want to select a limited number of tools and integrate the data from them. It can be difficult for newcomers to digital marketing to understand the options and the best types of solutions. To help understand the types of marketing technology and the latest approaches, complete Activity 1.4.

We will reference relevant technology to support marketing activities throughout this text, explaining the options for auditing a martech stack in **Chapter 2**.

To conclude this chapter, read Case study 1.1 which gives an example of how an online platform can become successful internationally where there is a good market fit between the brand value proposition and audience needs and effective implementation of the digital experience.

Activity 1.4

The latest marketing technology landscape

Purpose

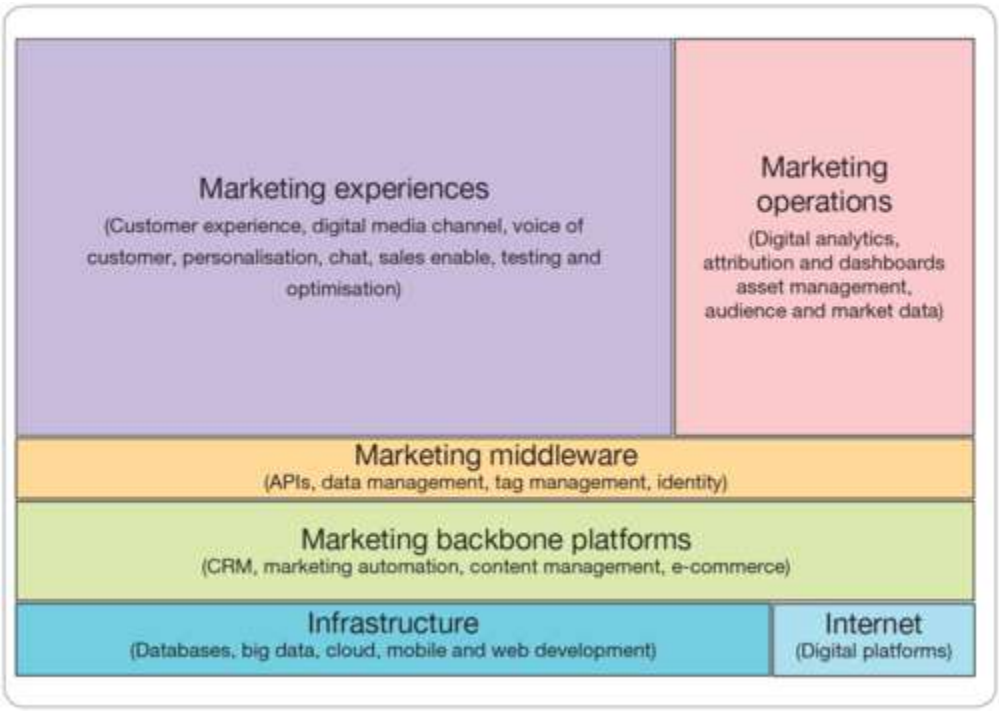
To illustrate the range of systems available to support marketers and to explain the main categories of service available. We look at different forms of martech to support marketing throughout the text and there is a dedicated section in Chapter 2.

Activity

1. Search for Scott Brinker's latest marketing technology 'Supergraphic' similar to that from Brinker (2024) for the current year on his chiefmartec.com site. For each of the six categories of service he identifies, summarised in Figure 1.13, write a simple description of how they can support digital marketing activities by reviewing the proposition as described on the websites of the most popular services in the category (the most popular are listed first).
2. Make a note to understand the different types of service defined in each category.
3. Choose one or two vendor systems and visit their websites to see how they explain the proposition and explain it to others in your group(s). Alternatively, identify the most popular service(s) in each category.

Figure1.13

Scott Brinker’s categorisation of modern marketing technology options



Source: Chiefmartec.com

Case study 1.1

Temu: The rise of a new marketplace giant

Context

There was a time during the COVID-19 pandemic where Amazon and eBay were the go-to marketplace for household-related items. It is not surprising that both companies enjoyed significant expansions in their business operations in a time where people were unable to shop in the physical store, but more importantly the lack of established e-commerce competition. Despite their continued success in the market, both marketplace platforms are facing extreme competition from the surge of the Chinese e-commerce platform Temu that offers a unique shopping experience for consumers including playing games, social shopping and winning prizes through active participation in the platform advertisement.

Launched in Boston, USA in September 2022, Temu has rapidly emerged as a formidable player in the global e-commerce landscape, experiencing exponential growth in app downloads, illustrating its burgeoning popularity. Starting with 440,000 downloads upon launch, the platform surpassed milestones, with

downloads exceeding 30 million by May 2023 following significant media attention. Despite minor fluctuations, downloads continued to soar, reaching a figure of 47.7 million in January 2024. Currently, Temu tops the list of mobile app downloads across the play stores of Apple and Android in 2024 (Forbes, 2024). Projections by ECDB anticipate continued expansion, forecasting Temu to achieve gross merchandise volume (GMV) of US$29.5 billion in 2024 and US$41 billion in 2025 (ECDB, 2024).

Operating under PDD Holdings Inc., a Nasdaq-listed entity based in Shanghai, Temu mirrors the business models of successful Chinese platforms such as Shein, Wish and AliExpress. By offering a diverse array of products across numerous categories – ranging from fashion and beauty to home essentials and electronics – Temu appeals to a wide demographic, enhancing its appeal among consumers. What sets Temu apart is its innovative marketing strategy, which has significantly bolstered its visibility and user engagement. Temu integrates a gamified shopping experience designed to captivate users and encourage extended interaction. For instance, Temu's platform is renowned for its reward-based interactions such as a reward lottery wheel every time you open the application, time-constrained puzzles to get rewards, or even offering users the opportunity to play mini games within the application. Akin to the competition, Temu's marketing

strategy has proven effective owing to the platform’s ability to sustain user engagement longer than its competitors.

Mission

Temu operates as a transformative force in the e-commerce industry, bridging the gap between consumers and a vast network of merchandise partners, manufacturers and brands. Founded on the mission to empower individuals to achieve a better quality of life, Temu distinguishes itself by offering affordable products that enable both consumers and merchandise partners to pursue their aspirations in an inclusive and supportive environment. Guided by values of empowerment, inclusivity, integrity and social responsibility, Temu aims to establish a fair open market for its stakeholders to enjoy the benefits of competitive pricing and network accessibility. Indeed, the platform's name, derived from ‘team up, price down’, underscores its commitment to leveraging collective purchasing power to deliver value and choice to its growing customer base.

Central to Temu’s operations are its core values (Temu, 2024):

- *Empowerment*: At Temu, the belief that everyone deserves the opportunity to realize their dreams drives every decision and action. By democratising access to a diverse range of

products, Temu empowers individuals to enhance their lifestyles and achieve their goals.

- *Inclusion and diversity*: Temu embraces and celebrates diversity in all its forms. The platform fosters an environment where differences are respected, ensuring that all individuals, regardless of background, feel valued and included.
- *Integrity*: Integrity forms the foundation of Temu's business practices. Operating with unwavering honesty, ethics and transparency, Temu establishes trust with its partners and customers alike.
- *Social responsibility:* Committed to making a positive impact on the world, Temu integrates social responsibility into its operations. Through initiatives that promote sustainability, ethical sourcing and community support, Temu strives to contribute meaningfully to society.

Online business model: Next-Gen Manufacturing at Temu

Beyond its interactive household shopping experience, Temu is committed to fostering connections between consumers and suppliers while offering an extensive product selection that caters to diverse consumer needs. As an intermediary platform, Temu connects buyers predominantly from China with sellers across

various regions, facilitating transactions without maintaining its own inventory. Temu introduced a pioneering approach to online shopping with its Next-Gen Manufacturing model, transforming traditional supply chain dynamics and enhancing consumer satisfaction through tailored production. Contrary to traditional manufacturing models such as made-to-stock, Temu's paradigm shift not only streamlines supply chain efficiency but also empowers businesses to thrive in an increasingly dynamic market environment by gaining access to wide range of consumers beyond the traditional retailing and wholesaling intermediaries. Temu's digital business model operates as follows:

1. User initiation

The process begins when consumers express their preferences and demands through the online Temu platform. Users specify their product requirements and place an order to the seller, which serve as signals to manufacturers regarding market needs.

2. Manufacturer response

Upon receiving consumer demand signals, manufacturers adjust their production and development processes accordingly. This responsive approach allows them to align closely with consumer preferences, optimising product fit and minimising the risk of overproduction or inventory surplus.

This innovative approach to e-commerce brings several advantages to both consumers and merchandise partners. First, it enables cost efficiency as goods are manufactured in response to specific consumer demand signals placed globally using its online platform. Thus, manufacturers reduce costs associated with surplus inventory and logistics, allowing for competitive pricing for consumers. Secondly, with the use of data analytics, Temu's marketplace offers enhanced product fit as manufacturing to consumer preferences ensures that products meet market demands more accurately, enhancing customer satisfaction and reducing the likelihood of unsold inventory. Inventory management remains one of the major challenges of the retail industry given the supply chain challenges around the globe. Through this consumer-centric manufacturing, manufacturers benefit from increased revenue potential as they align production volumes with actual market demand signals received through the online platform.

Using data to create value propositions

Temu's value propositions centres around cost-effective and engaging shopping experiences for its users. Temu stands out in the highly competitive e-commerce arena by offering a cohesive set of value propositions designed to cater to modern consumer preferences for affordability, convenience and sustainability. Primarily, Temu offers value propositions to manufacturers and

suppliers that ultimately benefit end consumers. Supported by PDD Holding's extensive network of suppliers and shipping partners, Temu maintains a streamlined logistics infrastructure that minimises delivery times and enhances service reliability. This capability addresses common challenges such as timely delivery and customer Service Excellence that overcome issues related to undelivered packages and unresponsive customer service. Importantly, Temu pioneers a real-time inventory management approach inspired by successful models like Shein's reverse-manufacturing strategy. Responsive to online demand, Temu integrates customer feedback directly into its supply chain, allowing for agile adjustments in product offerings based on real-time market demand. This strategy enables Temu to rapidly expand its product catalogue, offering a diverse selection that appeals to a broad spectrum of consumer preferences and interests.

Dynamic digital marketing tactics

Contrary to the traditional online shopping experience offered by marketplaces like Amazon, Temu employs dynamic online marketing tactics that integrate entertainment, social interaction and targeted promotions to enhance user engagement and drive growth in the competitive e-commerce landscape. Recognising the appeal of in-store shopping experiences, Temu introduces gamification elements to its platform. Games such as Fishland, Coin Spin and Card Flip not only entertain users but also

incentivise prolonged engagement. Through participating in these games, users can win rewards ranging from discounts to free items, stimulating a dopamine rush and fostering a sense of excitement akin to traditional shopping experiences. Capitalising on the effort expectancy theory (Vroom, 1964), Temu realised that if consumers to continue engaging with the platform for an extended period of time, they will need to feel rewarded for the work they will put. This strategy not only enhances user retention on the platform, but also amplifies user satisfaction, encouraging repeat visits and prolonged sessions on the Temu app to win monetary rewards for their next loved items.

Additionally, Temu recognised the role of earned media in facilitating its sales by capitalising on user referrals and word-of-mouth. Temu uses a referral programme where users are incentivised to invite friends and acquaintances to join Temu, thereby expanding the platform's user base organically. Referrers earn rewards, such as additional game credits or exclusive discounts, further motivating them to actively promote Temu within their social circles. This dual approach of gamification and referral marketing helps amplify user acquisition and retention efforts at Temu. Importantly, Temu created a group shopping experience that extends the concept of Group Buying, popular in Asian markets, to Western consumers. Users are able to form groups and leverage collective purchasing power to secure bulk

discounts on desired products. By facilitating a connected shopping experience, Temu recreated marketplace shopping into a social buying experience that cultivates a community-oriented shopping environment. Connected shopping experiences initiative not only drives sales but also reinforces customer loyalty through more informed purchasing decisions (AbedRabbo *et al*., 2021).

Revenue model

Temu employs a multifaceted revenue model designed to sustainably monetise its platform while enhancing user experience and fostering business growth. Central to Temu's revenue strategy is the imposition of commission fees on transactions facilitated through its platform. With each purchase made by consumers, Temu deducts a percentage as commission not only to ensure a steady income stream for Temu, but also aligns the platform's success with the success of its merchandise partners. In addition to commission fees, Temu cultivates customer loyalty and boosts revenue through subscription plans tailored for frequent users. These plans offer various benefits such as discounts on purchases, prioritised services like faster delivery options, and exclusive access to promotions. Finally, Temu strategically leverages its extensive user base and high user engagement with the application to generate supplementary income through targeted advertising. Businesses seeking to enhance their visibility and reach can feature their products prominently within the Temu app for a fee.

This advertising model not only provides businesses with a valuable platform for promotion but also diversifies Temu's revenue streams beyond transactional fees and subscriptions.

Growth sustainability

Certainly, Temu has positioned itself as a formidable contender in the global e-commerce arena by offering a digitally enhanced competitive pricing, free shipping and an engaging shopping experience. However, its path to sustained success is fraught with challenges and regulatory scrutiny, as evidenced by recent developments in France and Germany. Consumer sentiment varies across regions, reflecting both enthusiasm and scepticism towards Temu's offerings. For instance, the French government's recent implementation of a fast-fashion law, adding a €5 surcharge to environmentally harmful fashion items, underscores growing concerns about sustainability and consumer protection. This regulatory move reflects broader sentiment within the EU regarding the impact of global e-commerce giants on local economies and environmental standards. Meanwhile, In Germany, consumer surveys indicate significant doubt regarding Temu's potential to compete with established incumbents like Amazon and Zalando. More than half of German consumers express scepticism about Temu's extensive discounts and perceive its advertising as overly aggressive, highlighting challenges in building trust and brand credibility.

Across Europe, there is mounting pressure to regulate price dumping and tighten controls on imported goods. These initiatives aim to ensure fair competition, uphold environmental standards and protect local economies from the disruptive effects of global e-commerce platforms. Despite the soaring success of its mobile platform, Temu's future hinges on its ability to address regulatory environmental challenges while maintaining consumer trust and operational excellence through competitive pricing. For Chinese manufacturers selling through Temu, balancing growth with sustainable practices and ethical standards will be critical as it navigates the evolving regulatory landscape and competitive pressures in the global marketplace.

Questions

1. Investigate the core success factors behind Temu's business model in contrast to other marketplace platforms.
2. Consider the role of earned media in facilitating Temu's growth and engagement over the years.
3. Consider the role of gamification and personalisation in overcoming quality concerns for consumers.

Summary

1. Digital marketing refers to the use of digital media, technology and data to reach and interact with audiences using different digital devices and platforms, combined with traditional media, to achieve marketing objectives.
2. Artificial Intelligence, and in particular Generative AI, are changing digital marketing as the 'AI-assisted' marketer uses tools such as ChatGPT or Gemini to support planning and creation of campaign creative.
3. A customer-centric approach to digital marketing considers the needs of a range of customers using techniques such as personas and customer scenarios (**Chapters 2** and **7**) to understand customer needs in a multichannel buying process. Tailoring to individual customers may be practical using personalisation techniques.
4. Electronic commerce (e-commerce) refers to electronically mediated financial and informational transactions. Omnichannel retail is the dominant form with people taking the purchase decision online and buying offline, e.g. via click-and-collect. Others select offline and buy online.

5. Digital business is a broader term referring to how technology can benefit all internal business processes and interactions with third parties. This includes buy-side and sell-side e-commerce and the internal value chain.
6. E-commerce transactions include business-to-business (B2B), business-to-consumer (B2C), consumer-to-consumer (C2C) and consumer-to-business (C2B) transactions.
7. There are six key digital media channels: search engine marketing; social media marketing; display advertising; digital PR; digital partnerships; and digital messaging. These communications techniques are best used in an integrated form by applying the concepts of content, inbound and permission marketing.
8. Digital communications offer interactivity, immediacy and lower costs, but introduce complexity which can be managed through AI.

Exercises

Self-assessment exercises

1. Explain digital marketing.

2. Explain the importance of integrating digital and traditional communications channels through the customer lifecycle.
3. Outline different applications of digital marketing that can help meet business goals.
4. Explain what is meant by electronic commerce, social commerce and digital business. How do they relate to the marketing function?
5. Six digital media channels are introduced in this chapter. What are they and how do they work to reach, engage and convert an audience?
6. Summarise the main communications differences between digital and traditional media.
7. Distinguish between social media marketing, inbound and content marketing.
8. How can Generative AI assist the marketer in their activities.

Exam and discussion questions

1. Some would see digital media primarily as a means of advertising and selling products. What are the opportunities for digital marketing?
2. ‘Digital marketing and inbound marketing represents a pull medium for marketing rather than a push medium’. Discuss.
3. You are a newly installed marketing manager in a company selling products in the business-to-business sector. Currently, the company has only a limited website containing electronic versions of its brochures. You want to convince the directors of the benefits to the company of investing in the website. How would you present your case?
4. Explain the main benefits that a company selling fast-moving consumer goods should gain from its website and integrated digital campaigns.
5. Which digital marketing techniques can be used to increase awareness of a brand and encourage interaction with the brand?

6. What are the options for using Generative AI to support digital marketing and which factors need to be considered when selecting and using tools for this.

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Weblinks

A directory of recommended website links, including recommended videos, analysis tools and sources for statistics, is maintained by Dave Chaffey at www.davechaffey.com/book-support. The sites for this chapter cover media sites that focus on the latest developments in digital marketing.

Chapter 2

Online marketplace analysis

Learning objectives and topics

After reading this chapter, you should be able to:

- Identify and explore elements of an organisation’s micro-marketing environment that have implications for developing a digital marketing strategy
    - Introduction to online marketplace analysis
    - Situation analysis for digital marketing
    - The digital marketing environment
- Evaluate techniques for reviewing the importance of different players in the micro-environment: customers, competitors, suppliers, publishers, intermediaries and influencers, as part of the development of digital marketing strategy
- Review changes to business and revenue models enabled by digital markets

    - New channel structures
    - Digital business models
    - Digital revenue models
- Review the macro-environment factors affecting an organisation's digital marketing strategy and implementation including the:
    - Relevance of technology innovation
    - Legal, moral and ethical constraints of digital marketing
    - Social, economic and political trends

Case study

Case study 2.1 Creating the beauty that moves the world

Links to other chapters

- This chapter and **Chapter 3** on the digital customer, provide a foundation for later chapters on digital marketing strategy and implementation.
- **Chapter 4** explains how situation analysis is used as part of strategy development.
- **Chapter 5** considers the principal functions of the mix in digital strategy development.

Introduction to online marketplace analysis

In Chapter 1 (Figure 1.2) we introduced the 7Ds as a tool for considering the factors marketers need to evaluate when reviewing the opportunities and challenges of integrating digital media and technology into their marketing activities. In the next two chapters, we explore in more detail how organisations can review these factors as part of a situation analysis that will inform digital marketing strategy and campaigns.

In this chapter we cover the digital marketing micro-environment and macro-environment and in **Chapter 3**, we focus in more detail on digital customer behaviour. We begin by considering situation analysis and the digital marketing environment, then explore how customers interact with digital markets before looking at each of the key sets of players in the micro-environment: customers, intermediaries, competitors, suppliers and influencers. Our focus is on the customer is relatively brief in this chapter since we cover this in more detail in Chapter 3. Our review of tools to assess intermediary options helps inform decisions on digital media.

This chapter concludes by exploring new channel structures and business models for e-commerce and how existing companies can create business

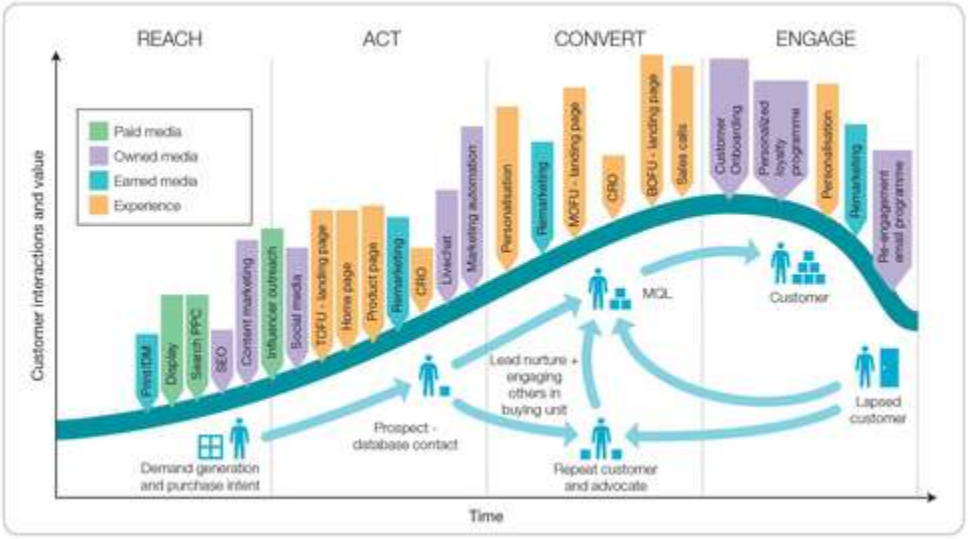
and revenue models that take advantage of digital marketplace opportunities.

Customer journeys and the online marketplace

The growth in use of digital media and technology has led to new **customer journeys** or paths to purchase that are highly complex, as purchase decisions are potentially influenced by many touchpoints (see Figure 2.1). This visual summarises how the potential paid, owned and earned digital media channels or communications tools offline may influence purchase across the customer lifecycle. It applies to a business-to-business organisation, although the media options would be similar for a B2C business. TOFU, MOFU and BOFU refer to top-, middle- and bottom-of-funnel content where content is used to support nurturing through the customer lifecycle.

Figure2.1

Customer lifecycle marketing touchpoint summary for a business-to-business organisation



Source: Chaffey (2020)

Figure 2.1 is intended to help businesses audit their use of digital communications as part of a ‘situation gap analysis’ where they can review whether they are using, or are investing sufficiently in, the most appropriate ‘always-on’ communications to achieve their goals across the RACE planning framework (introduced in **Chapter 1**). It highlights some of the many online marketing channels businesses can integrate to get the best results from digital marketing today. While some channels such as social media and SEO are well known, in our experience we find that some potential always-on marketing techniques such as ad and email retargeting and influencer outreach are used less widely.

In the **online marketplace**, purchase decisions are influenced by many sources of information (e.g. search results, customer reviews, online word of mouth, social media conversations and company websites). Additionally, potential customers are using multiple devices (sometimes simultaneously) to garner information that will inform their purchase decisions – for example, using smartphones or tablets while watching TV. This process is known as **multiscreening**. The digital influences are also supplemented by exposure to traditional communications such as TV, print or radio advertising.

Electronic word of mouth (eWOM) is a term used in academic research of digital dialogues, comments and conversations in consumer markets.

Digital marketing practitioners often use social media networks and blogs to engage their target audience in online conversations.

Situation analysis for digital marketing

The digital marketing environment or ‘online marketplace’ an organisation competes in is complex and dynamic. **situation analysis** supports the process of digital marketing strategy creation as shown in Figure 1.5. Organisations should carefully analyse the market context in which they operate, seeking to identify internal and external opportunities and threats.

What should be reviewed in situation analysis? From the perspective of a business creating a digital marketing plan, situation analysis should review the following factors:

A. *Customer analysis*. Digital marketing propositions and communications should be based around the customer – their characteristics, technology usage, behaviours, needs and wants.

B. *Marketplace analysis.* Including intermediaries, influencers and potential partners. This involves identifying and reviewing the main online influences on purchase behaviour. There are many influences to consider, including search engines, publisher media sites, blogs, review sites and social networks. Marketplace analysis also involves reviewing opportunities and threats from digital media and technology, including new business and revenue models.

C. *Competitor benchmarking*. It is essential to understand how organisations compete in a particular marketplace; benchmarking customer propositions and communications activities against direct and indirect competitors and out-of-sector businesses can identify opportunities for new approaches and digital marketing activities that need to be improved.

D. *Wider macro-environment*. These are the broader strategic influences we cover towards the end of the chapter.

E. *Internal review.* Another major part of the situation involves an inward-looking internal review of the effectiveness of existing digital marketing approaches. This will include reviewing current results from digital marketing by review of key performance indicators (KPIs) and dashboards, and the organisational capabilities and processes used to manage digital marketing, summarised as strengths and weaknesses. We explain how to review performance by selecting relevant goals and KPIs in **Chapter 4** (digital strategy) and **Chapter 10** (digital analytics).

Essential digital skills

Marketplace research and analysis

There is a wealth of information online (free and paid for) to help learn more about customers, competitors and potential partners, e.g. search tools, analytical services, government and company datasets.

Additionally, these information sources can help with case study assignments and for marketplace analysis as part of digital marketing planning.

Useful skills to develop:

- How to carry out customer analysis or competitor benchmarking using tools such as those in Tables 2.1 and 2.3. This can help you learn about customer profiling, behaviour, technology usage and its influence on the paths to purchase.
- How to conduct competitor and partner analysis. This can help you to benchmark businesses and their popularity and identify opportunities to apply new techniques to gain market advantage.

You can also identify practical ideas to boost employability by showcasing your interest and experience:

- Use the Google Keyword Planner to show you know how to review consumer search intent.
- Use tools for backlink analysis (such as Moz™, Majestic™ or SEMrush™, see **Chapter 9**) to understand competitors' content marketing and organic SEO techniques. ChatGPT and Google Gemini can supplement these.
- Use Gen AI to create a summary of the marketplace for a sector. You can prompt it to use the sections covered in this chapter or, alternatively, the Business Model Canvas explored at the end of the chapter as a framework.

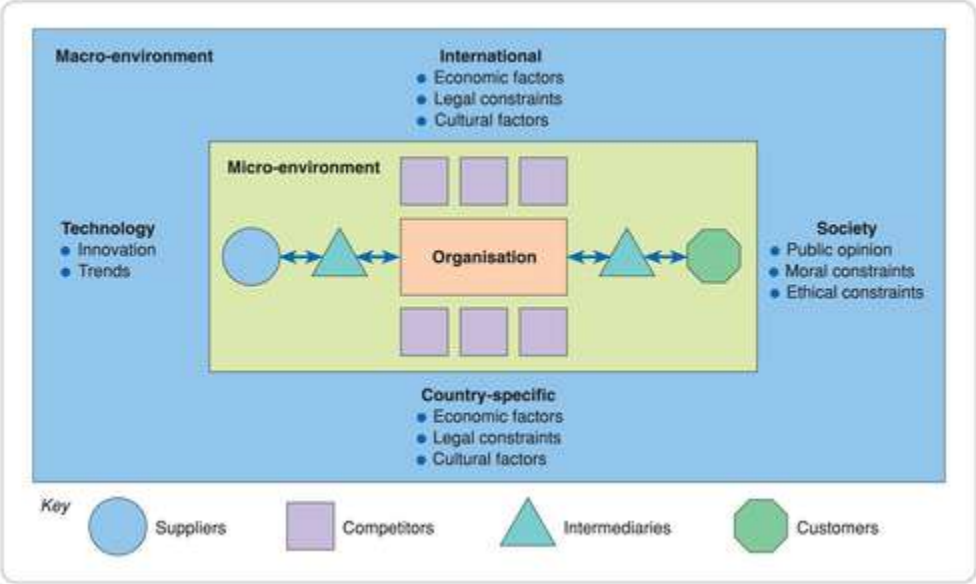
The digital marketing environment

The digital marketing environment involves two major elements: 1) **micro-environment** and 2) **macro-environment** (Figure 2.2). The micro-environment is known as *the operating environment*, and focuses on the players that shape the immediate trading environment. These players include the customers whose needs and wants are to be satisfied, along with the competitors, intermediaries and suppliers. These groups of players shape the online marketplace and a digital marketer needs to understand their behaviour and interpret this correctly in order to build and adapt an efficient and effective digital marketing strategy.

The macro-environment, sometimes known as 'the remote environment', consists of external forces that can significantly affect success. These forces originate from the marketplace that is largely beyond the immediate control of an organisation (e.g. economic conditions, changes to international trade legislation, technological developments and innovations, social change and political interventions). It is important to note the growing influence of social media networks, which are increasing the capacity of digital channels to inform and shape opinion on a global scale. For more detailed discussion, see **Chapter 6**.

Figure2.2

The digital marketing environment



The marketing environment can have a profound impact on performance; consequently, an organisation should continually monitor both micro and macro influences. This process is called **environmental scanning** in traditional marketing and online. Marketplace analysis helps to define the nature of the digital competitive market. The major online players, sometimes known collectively as FAMGA (Facebook, Apple, Microsoft, Google and Amazon), have developed and continually evolve their own proprietary infrastructure or **online market ecosystems** or digital platforms that enable interactions with consumers via the 7Ds of digital marketing we introduced in **Chapter 1**, i.e. digital goals, digital audiences, digital devices, digital platforms, digital media, digital data and digital technology, giving opportunities to enhance the customer experience and extend the firms' reach and influence. For example, Facebook uses APIs (i.e. Graph and Marketing) that enable companies to create audience profiles and run digital marketing campaigns via

marketing technology services that use these APIs. The various functions of these APIs are to facilitate greater levels of automated interactions between Facebook users' newsfeeds and profile pages. All the FAMGA companies have also been active in developing digital mobile and smart home devices, which give new opportunities to market to audiences.

As part of marketplace analysis, companies should evaluate the relative popularity of these ecosystems for different target audiences and the resources required to communicate using their platforms, such as social networks or search engines. Digital marketing insight 2.1 recommends marketplace analysis data sources and Activity 2.1 gives an example of how to apply them, referencing the 7Ds of digital marketing.

Digital marketing insight 2.1

Resources for analysing the online marketplace

Table 2.1 presents a selection of free and paid-for services that can be used for online marketplace analysis. The first six sources mainly give primary data with insights on consumer usage, behaviour and for benchmarking businesses. The final four groups of sources publish reports about consumers and adoption covering secondary data.

By reviewing insights compiled by searching these information providers, a digital marketing strategist can build an informed picture of customer behaviour and competitive performance and make forecasts for strategic planning.

Visit www.davechaffey.com/book-support for Chapter 2 to access the tools in this table.

Table2.1

Research tools for assessing digital markets

Tool provider and information sources	Focus and services
1 Google and Facebook tools See www.thinkwithgoogle.com/tools/ and Facebook.com/iq	Two of the largest platforms, which provide the best free, accurate tools for marketplace analysis. Recomı Google tools are:
	• Google Trends – trends in search volume by coui sign-in required. • Keyword Planner – this tool requiring registratio Ads gives details on number of searches each mc
	The recommended tool in Facebook IQ is now only a advertisers:
	• Audience Insights – provides Facebook audience breakdown by gender, age, interests and job titles information on top page likes.
2 SimilarWeb (www.similarweb.com)	Freemium tool enabling comparison of visitors to sit which channels prompt the visits. Sample dependent on users of the toolbar.
3 Emplifi (https://emplifi.io/resources/industry-benchmarks)	Freemium tool with free reports for benchmarking bı media popularity, in industry sectors e.g. in Facebool Instagram.
4 Global WebIndex (www.gwi.com)	Paid-for global audience panel service with useful in social media adoption via its blog. Nielsen is another The publisher Social Media Today (socialmediatoday covers the latest developments on social media platfc research on adoption.
5 Comscore (www.comscore.com)	Paid-for home-panel tool but free data on consumer l mobile and desktop for search engines and publisher

	from its Insights section.
6 Google Analytics (www.google.com/analytics)	Free and paid-for services, which provide insights in traffic.
7 Internet or Interactive Advertising Bureau (IAB) (UK: www.iabuk.com, Europe: www.iabeurope.eu; US: www.iab.com)	Research focusing on investment in different digital channels, in particular display ads and search market services.
8 Internet Media in Retail Group (IMRG) (www.imrg.org)	Data, analysis and insights for the retail industry. The Capgemini Sales Index provides benchmark statistics retail sales, mostly limited to members.
9 Government sources	Useful government sources include Office for Nation (UK, www.ons.gov.uk); Eurostat (EU, www.ec.europa.eu/eurostat/); Ofcom (UK, www.ofc excellent communications market reports); statistics. www.data.gov for the US.
10 Non-government organisations	Include Pew Research Center (US, www.pewresearch.org/topic/internet-technology/) go media adoption, and International Telecoms Union (a good source for mobile adoption. Data Reportal, St Marketing Charts
	www.datareportal.com, www.statista.com and www.marketingcharts.com are recommended for ins other sources.

Activity 2.1

Using digital research tools to assess variation in device usage

Understanding how target audiences interact with digital media and content is a vital part of digital marketing campaign planning.

Purpose

To explore the value of digital research tools in assessing variation in consumer preference for devices purchased online.

Activity

Using the resources listed in Table 2.1:

1. Create a table with a column for each of the FAMGA companies and a row for each of the 7Ds of digital marketing we introduced in **Chapter 1**, i.e. digital goals, digital audiences, digital devices, digital platforms, digital media, digital data and digital technology.
2. Student groups can fill in examples of specific devices, platforms, data and technology (for example, Meta includes, Facebook, Instagram, WhatsApp and Messenger social platforms, advertising media, API and Insights data and technology).
3. Identify recent examples of how innovations from these businesses have given marketers new options for interacting with consumers (for example, mobile, messaging, social or device developments).

The rate of environment change

In the digital world, changes in social culture and particularly pop culture (what's 'hot' and what's not) tend to be very rapid. Introduction of new technologies and changes in their popularity tend to occur frequently and with increasing speed from concept to commercialisation. Government and legal changes tend to happen over longer timescales. Therefore, digital marketers need to be alert to the forces that are important in the context of their own trading environment, so they can aim to ensure the competitiveness of the business. They should develop the capacity to respond to environmental changes and the emerging opportunities and threats by developing **strategic agility**, a concept associated with knowledge management theory, which 'requires inventing new business models and new categories rather than rearranging old products and categories' (Weber and Tarba, 2014), based on developing a sound process for reviewing marketplace opportunities and threats and then selecting the appropriate strategy options.

Strategic agility involves:

1. collection, dissemination and evaluation of different information sources from the micro- and macro-environment;
2. developing processes for generating and reviewing the relevance of new strategies based on creating new value for customers;

3. research into potential customer value against the business value generated;
4. implementation of prototypes of new functionality to deliver customer value;
5. measurement and review of results from prototypes to revise further to improve propositions or to end a trial.

Customers: understanding how they interact with digital markets

Understanding how customers interact with digital markets is important to research since it will reveal opportunities to reach and influence potential customers. It is the modern marketer's job to make the best investments to feature their brands and provide relevant content to support this decision-making process at every stage of the customer journey, especially as customers are interacting with brands in commercial and social contexts across multiple touchpoints (Edelman and Singer, 2015; Lemon and Verhoef, 2016). To help understand customers' interactions with physical and digital touchpoints, triggers and influences, journey maps can be used to summarise the behaviour of different types of target audiences. (See Figure 2.3 for an example of a customer journey map, showing channel switching as a consumer researches and buys a product.)

To help understand the influences on online customer journeys it is useful to produce an online marketplace map, as shown in Figure 2.4, which summarises how target customer segments might be influenced by different types of digital sites. The main elements of the online marketplace map are:

1. *Customer segments.* The marketplace analysis helps identify and outline different target segments, which have implications for

digital marketing, and helps to understand the target group's online media consumption, behaviour and relevant types of digital content. In a digital campaign or website design project, personas can be used to help understand the preferences, characteristics and online behaviours of different target markets.

2. *Search intermediaries.* As part of situation analysis, search intent in a market should be reviewed since search engines mediate the number of visits to websites based on the organic and natural rankings of a brand. Creating a target search keyword list evaluates the types of search terms used by consumers against the visibility or rankings for a brand for these terms, compared to competitors. Different types of search terms to review in the cosmetics market might include:

- Brand terms include brands and sub-brands' names, e.g. 'L'Oréal Paris', 'Garnier' or 'Maybelline New York'.
- Navigational terms for Brand + <Product>, e.g. 'Garnier skin care' or 'Garnier body care'.
- Generic search terms' visibility, e.g. 'skin care' or 'body care'.
- Specific 'long tail' terms of four or more keywords, e.g. 'beauty day cream for dry skin'.
- Qualifier terms added to describe consumer needs, such as 'best', 'cheap, 'new' or 'reviews'.

Figure2.3

An example of a customer journey map

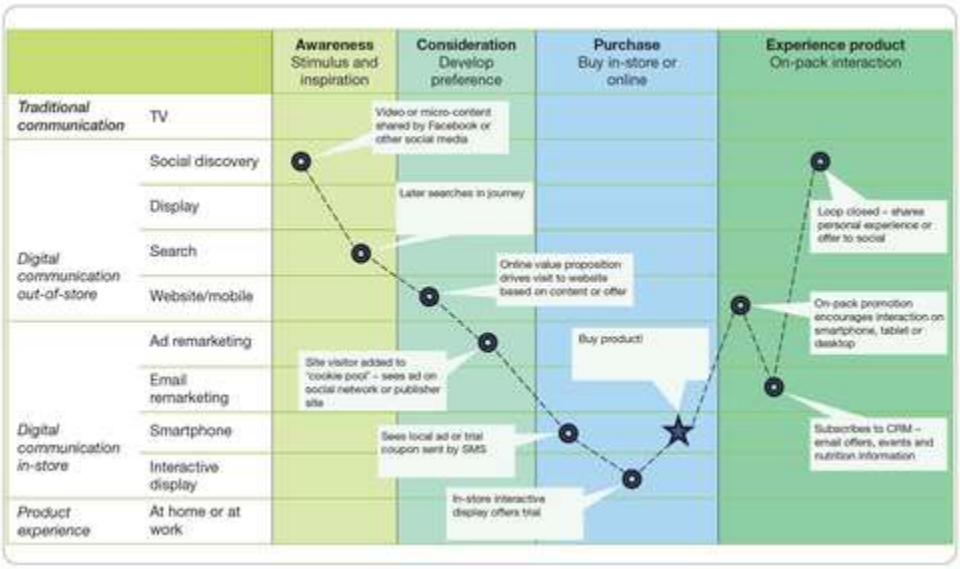
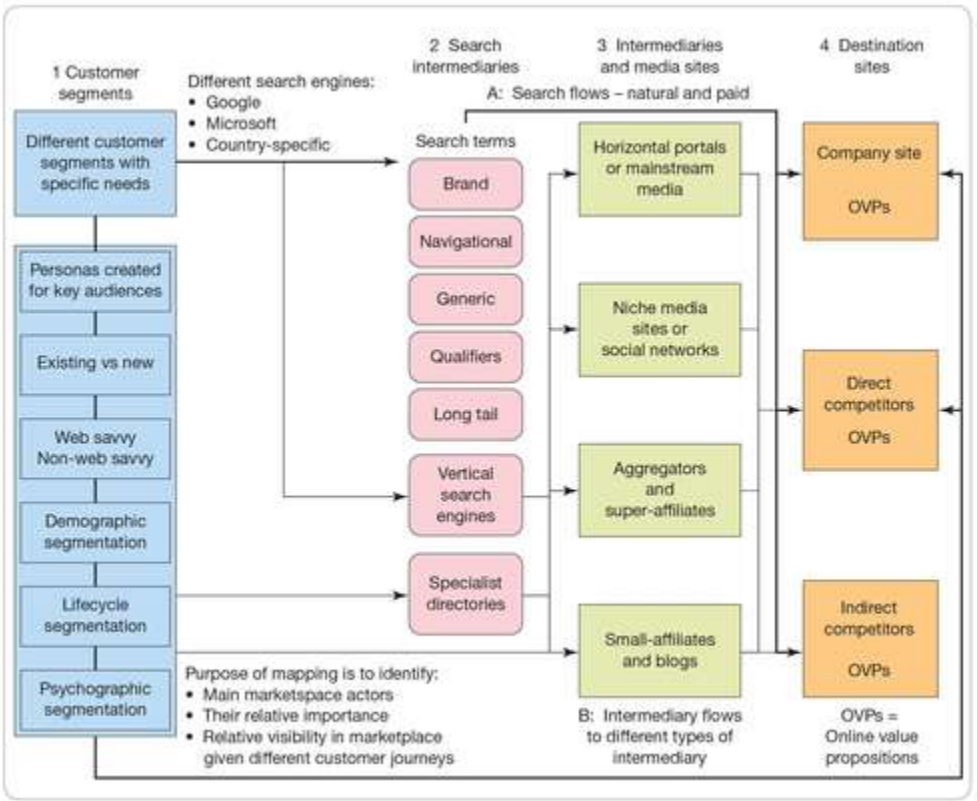


Figure2.4

An online marketplace map



We explain search intent and keyword analysis, and tools to assist in this in more detail in **Chapter 9**.

In many countries, Google is the dominant search engine, but in international marketing, visibility in other search engines may need to be considered such as in China (Baidu™) and Russia (Yandex™).

According to Aswani *et al*. (2018), it is important for firms to use reliable sources of search analytics such as customer search data, rankings and links between sites. Companies should know which search terms are effective in harnessing search traffic and either partner with them or try to obtain a share of the search traffic using the search engine marketing and affiliate marketing techniques explained in Chapter 9. Well-known, trusted brands that have developed customer loyalty are in a good position to succeed online since a common consumer behaviour is to go straight to the site through entering a URL, or from a bookmark or email. Alternatively, they may search for the brand or URL. By evaluating the type and volume of phrases used to search for brands and products in a given market, it is possible to calculate the total potential opportunity and the current **share of search** terms for a company. As explained in Digital marketing insight 2.2, share of search can be determined from Google Search Console, verified on the company site, which indicates the precise key phrases used by visitors in each country to reach a site compared with all searches (known as impressions). Activity 2.2 explores how ChatGPT can be used to find insight about markets and generate ideas for SEO.

Activity 2.2

Using ChatGPT and generative AI tools to support search engine optimisation in different sectors

Purpose

To review the opportunities for using GenAI tools to create insight around customer behaviour and create content ideas.

Group activity

Each group can use different GenAI tools to compare their value for SEO (explored in detail in Chapter 9). Each group should select a specific industry and business type, e.g. a laser eye treatment business with centres in major cities. Prompt each tool with these instructions.

1. Use Custom Instructions in ChatGPT to tailor the answers to a sector.
2. Identify different types of keywords groups for different types of search intent with search volumes (compare these to the Google Ads Keyword Planner (Table 2.1) for similarity). Ask the tool to present different types of search intent or ‘keyword clusters’ in a table.
3. Identify long-tail queries relevant to your chose business. A long-tail keyword is a specific phrase typically with three or more keywords that tends to be more specific and have lower search volume than more generic, higher volume terms with one or two keywords).
4. Ask the tool to create a content plan or outline of different content ideas in a blog post or FAQs that will target some of the keywords you have identified.

For other prompt ideas and examples see Backlinko (2024).

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3. *Intermediaries, influencers and media or publisher sites.* Media sites and other intermediaries such as individual influencers, social networks, **aggregators** and **affiliates** are often successful in attracting visitors via customer search or direct to their websites. Companies need to assess potential online media and distribution partners in the categories shown in Figure 2.4:

- *Mainstream news media sites or portals.* These include traditional (for example, *FT.com, The Times, Guardian*) or pureplay (such as Google News).
- *Niche/vertical media sites.* For example, Econsultancy™, Smart Insights™ and Marketing Land™ are in a business-to-business niche covering digital marketing.
- *Social networks and digital platforms.* For example, Facebook, YouTube, Instagram, X, WhatsApp, WeChat, LinkedIn.
- *Price comparison sites (also known as aggregators).* For example, Google Shopping™, PriceGrabber™, GoCompare™, Shopping.com™, Confused.com™ and MoneySuperMarket™.
- *Super-affiliates.* Affiliates gain revenue from a merchant they refer traffic to by being paid commission based on a proportion of the sale or a fixed amount. At one point they were important in

transactional e-commerce markets, accounting for tens of per cent of sales.

- *Niche affiliates or bloggers.* These are often individuals, but they may be very influential. For example, in the United Kingdom, Martin Lewis of MoneySavingExpert.com receives millions of visits every month. Smaller affiliates and bloggers can be important collectively. With the growth in readership and social interactions on blogs, identifying **key online influencers** within a market is important to help reach and engage target audiences.

4. *Destination sites and platforms.* These are the sites that the marketer is trying to attract visitors to, including transactional sites by retail, financial service, travel, manufacturers and other companies, or non-transactional sites such as brand or relationship-building sites, as introduced in **Chapter 1**. Destination sites also include presence on other social sites such as Facebook and X or mobile apps. Figure 2.4 refers to OVP or 'online value proposition', which is a summary of the unique features offered by brands in their online services and presences (described in more detail in **Chapter 4**). The OVP is a key aspect to consider within planning – marketers should evaluate their OVPs against competitors' and think about how they can refine them to develop a unique online experience.

Digital marketing insight 2.2

From share of search to share of searches – evaluating search marketing effectiveness

Share of search is a useful measure for reviewing the effectiveness of both organic and paid search marketing. It is particularly critical to competitiveness for businesses in sectors where there are high-involvement products, where people show high search intent and volume by searching for product information as part of the buying process. We have featured it in several previous editions to show the power of the search gap analysis technique where marketers compare actual organic and paid search visits to a site determined by Google Analytics, with potential visits based on number of searches available from Google Keyword Planner and Google Search Console.

Defining share of searches

This term is defined in research (Binet, 2020) by Les Binet, Head of Effectiveness, of agency adam&eveDDB, presented at an Institute of Practitioners in Advertising Effectiveness week presentation titled ‘A new way to track brands and advertising’.

Binet describes a high-level, competitor benchmarking technique that can be used for situation analysis as part of digital strategy. This technique relates to brand search terms, so is distinct from the gap analysis technique that reviews product-related search effectiveness.

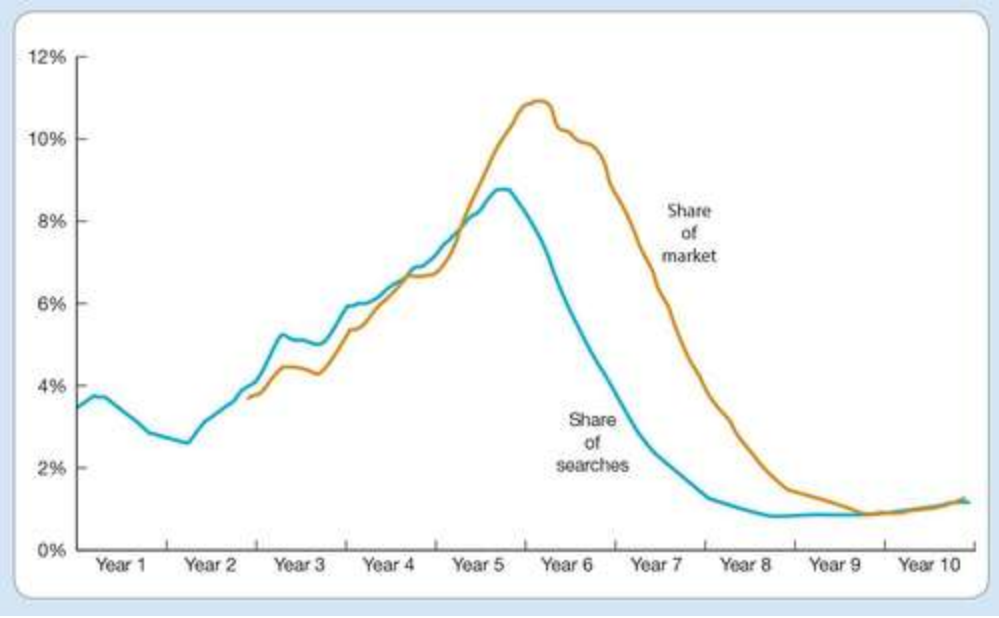
Binet defines share of searches as:

> *Share of searches = Searches for brand x/Searches for all brands in category*

You can see that this definition doesn't relate to how many are attracted to a website, it simply relates to the consumer intent based on the number of searches or impressions for a brand compared to all brands in a category. Binet and team reviewed historic data of search and purchase behaviour in three different markets (automotive, energy and phones). These data show that, as we might expect, there is a correlation between share of searches and market share. Simply put, more people will search for brands with better awareness and sales. Figure 2.5 shows the relationship between share of searches, i.e. search volume, and share of market for LG phones. You can see that share of searches is a leading indicator for share of market, with market share increasing and then decreasing – following a similar pattern for share of searches, but with a lag.

Figure2.5

An example of the relationship between share of searches and share of market for LG



Source: Binet (2020) (with permission)

However, such correlation doesn't prove causation and this isn't unexpected, but the research does establish a relationship by considering how changes in search share relate to market share.

A simple, practical take-away from this work is for marketers to review how brand search phrases vary through time as different campaigns and products are launched and always-on search investment is varied. Google Trends provides a simple version of this. Another technique to consider is to review different forms of brand searches, which break down into pure brand searches, e.g. ‘Citroën’, and product-specific ‘navigational’ searches where searchers seek to find a product, sub-brand or category directly without visiting the home page; for example, they might search for ‘Citroën Berlingo’, ‘Citroën C4’ or ‘Citroën Cactus’ if aware of them. The variation in search intent for these product-specific terms can be monitored through time to assess the effectiveness of marketing activities to promote them against competitor activity.

So far, we have started exploring how to evaluate how customers interact with digital markets. We now look more specifically at the digital consumer and the importance of analysing their buyer behaviour in the digital marketing environment.

Customer analysis to understand the digital consumer

As explored in more detail in **Chapter 3**, situation analysis for digital marketing should focus on the customer looking at how they engage with digital content and channels, the journeys they take and the touchpoints they encounter. In the digital world, customer actions are highly trackable and quantifiable, so digital marketers should know how to measure customer behaviour in relation to marketing objectives in highly precise ways. These ideas are equally applicable in consumer, business and not-for-profit markets settings, although the specific measurement and analysis tools will vary depending on the desired marketing outcomes.

In digital markets, this type of analysis involves research into the motivations, media consumption preferences and selection processes used by consumers as they use digital channels together with traditional channels to purchase online products and use other online services.

1. *Demand and gap analysis.* This market size assessment involves understanding the potential online reach against impressions, volume of visitors to an online presence and the extent to which prospects convert to tactical and strategic outcomes, e.g. lead generation and sales.

2. *Digital consumer behaviour*. Here a marketer wants to understand the needs, characteristics and digital experiences or behaviours of target consumers. These variables are often collectively referred to as **customer insight**. Based on this analysis, **customer segments** can be created that will be used to develop targeting approaches as part of strategy and planning (described in **Chapter 4** onwards).

Demand analysis and conversion marketing

Digital marketing managers should understand current trends and levels of use of the internet and different online services, and how they relate to services and products the organisation wishes to deliver online. This evaluation process is called **demand analysis**. The benefits of this form of forecasting are that companies can identify opportunities for influencing and delivering sales online based on actual use of digital media by individuals in the company's target market.

Assessing demand for digital services is achieved by using tools (such as those in Table 2.1) to enable marketers to set realistic strategic objectives for each target segment. To do this, the digital marketer also needs to assess the volume and share of customers who:

- are 'in market' for a service, i.e. they have intent to use it;
- have access to the digital channel;
- use specific online services that may affect the purchase decision, such as price comparison sites, social networks and specialist blogs;
- are influenced by using the digital channel but purchase using another channel as part of the multichannel buyer behaviour;

- purchase or use other services using the digital channel.

Implications for marketing planning: conversion models

As part of situation analysis and objective setting, experienced digital marketers build conversion models of the efficiency of their inbound marketing. Using this approach, the total potential online demand for a service in a particular market can be estimated and then the success of the company in achieving a share of this market determined. **Conversion marketing** tactics can be used to convert as many *potential* site visitors into *actual* visitors and then convert these into leads, customers and repeat customers. Conversion marketing metrics are discussed in detail in **Chapter 10**.

Multichannel conversion models

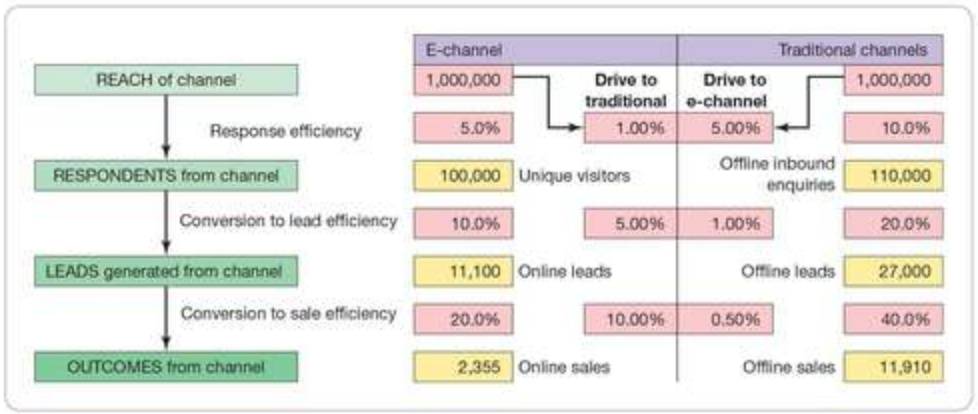
In reality, conversion modelling is complex because it needs to take into account both online and offline behaviour. For example, an advertiser may use Google Ads to promote its product, but some shoppers will buy online while others will prefer to use other channels to make their purchase, e.g. use the phone or buy in-store.

Therefore, it is useful to put in place the means of monitoring cross-channel conversions at different stages in the buying process as it can help a business to understand how it might improve performance in both online and offline channels by making the marketing spend more effective.

Figure 2.6 shows a model of how this works. The column on the left shows people who are reached by digital media who respond via a website or app (for example 5 per cent of 1 million or 50,000 unique visitors); unique visitors are also supplemented from respondents to traditional media shown in the right-hand column (i.e. 5 per cent of 1 million offline) to give 100,000 unique visitors in total. Tracking can be put in place to verify the model, for example, phone numbers that are unique to the website can be used as an indication of the volume of callers to a contact centre influenced by the website. Here, of 100,000 unique visitors in a period, 11,000 become online leads (10,000 online, plus others referred from traditional channels) while there are 27,000 offline leads including 5,000 referred from the online channel.

Figure2.6

Model showing conversion between the digital channel and traditional channels during the buying process


E-channel
Traditional channels
REACH of channel
1,000,000
Drive to traditional
Drive to e-channel
1,000,000
Response efficiency
5.0%
1.00%
5.00%
10.0%
RESPONDENTS from channel
100,000
Unique visitors
Offline inbound enquiries
110,000
Conversion to lead efficiency
10.0%
5.00%
1.00%
20.0%
LEADS generated from channel
11,100
Online leads
Offline leads
27,000
Conversion to sale efficiency
20.0%
10.00%
0.50%
40.0%
OUTCOMES from channel
2,355
Online sales
Offline sales
11,910

Competitor analysis

For any marketer, a key consideration is developing an understanding of how to satisfy customers better than the competition. In **Chapter 4** we explore developing competitive advantage in some detail. In this chapter, we will focus on the structure of competitive markets and insight about the way competitors behave.

The shape and nature of online competitive markets

According to Jobber and Ellis-Chadwick (2020), ‘an industry is a group of firms that market products that are close substitutes for each other’. However, some industries are more profitable than others, some are reasonably stable, while others are highly volatile. The variance between industrial sectors and specific markets is not all down to the abilities of the companies within the market to produce customer satisfaction. There are various forces that *shape the rules of competition*. Porter’s Five Forces model (Porter, 1980) has been widely used to help analyse the shape of competition and it is the nature of the forces and how they combine, he suggests, that ultimately allows the five competitive forces to shape strategy and determine how companies compete (Porter, 2008), see Table 2.2 for the impact of this model in relation to the internet. More recently, Porter and Heppelmann (2014) have discussed the ways in which information technology is revolutionising products and in doing so has created a new wave of technology-driven competition. Smart products have three core elements: 1) the physical components; 2) the smart component; and 3) connectivity, for example a car that is linked to a diagnostic machine, or continual monitoring of the vehicle’s performance, which then enables remote upgrades, as offered by Tesla. These authors also suggest that smart-connected products have new capabilities, which have tremendous potential to influence the competitive marketplace: monitoring, control, optimisation and autonomy. For example, the iRobot

Roomba™ vacuum cleaner has sensors and software, which enables automated cleaning of multiple room layouts. As such products develop, they become able to learn and self-diagnose the service needs of the product owner and eventually the product can operate with very few human interventions.

Porter and Heppelmann (2014) say that ‘smart-connected products will have a transformative effect on industry structure’. But they also argue that the well-established five forces model still provides a solid foundation for understanding how technology is reshaping competition and industry structure (shown in Table 2.2). The five competitive forces are:

- bargaining power of buyers;
- bargaining power of suppliers;
- threat of substitute products and services;
- threat of new entrants;
- intensity of rivalry.

Table2.2

Impact of the internet on the five competitive forces

Bargaining power of buyers	Bargaining power of suppliers	Threat of substitute products and services	Threat of new entrants	Rivalr existing

The power of online buyers is increased since they have a wider choice and prices are likely to be forced down through increased customer knowledge and price transparency (see Chapter 5)	When an organisation purchases, the bargaining power of its suppliers is reduced since there is a wider choice and increased commoditisation due to e-procurement and e-marketplaces	Substitution is a significant threat since new digital products or smart products can be readily introduced	Barriers to entry are reduced, enabling new competitors, particularly for retailers or service organisations that have traditionally required a high-street presence or a mobile sales force	The inter encourag commodi which ma easy to di products
For a B2B organisation, forming electronic links with customers may deepen a relationship and it may increase switching costs, leading to 'soft lock-in'	The reverse arguments regarding bargaining power of buyers	The introduction of new substitute products and services should be carefully monitored to avoid erosion of market share	New entrants must be carefully monitored to avoid erosion of market share	Rivalry b more inte product li decrease times for developm
		Internet technology enables faster introduction of products and services	Internet services are easier to imitate than traditional services, making it easy for 'fast followers'	The inter facilitates the globa increasin number o competit
		This threat is related to new business models, which are covered in a later		

		section in this chapter		

Bargaining power of buyers

This force is important in both B2C and B2B trading situations. From a B2C perspective, the bargaining power of the retail shopper is greatly increased when they are buying through digital channels such as the internet as they are able to evaluate products and compare prices. This is particularly true for standardised products where offers from different suppliers can be readily compared through online intermediaries such as search engines and price comparison sites, e.g. Kelkoo™ or Pricerunner™. Furthermore, smart-connected products using the IoT, as described in **Chapter 7**, are increasing opportunities for differentiation. The information provided through product connectivity allows manufacturers to know more about how customers actually use their products and services and this insight enables the creation of better-value goods and services.

Bargaining power of suppliers

Traditional trading relationships are being challenged in the digital marketplace. Leading tech brands, e.g. Google, Apple, AT&T™, have developed specific capabilities and resources, which they can deploy especially when the demand for connected products and services

increases. This gives these firms high bargaining power, especially as the features of smart products become more universal. The fundamental change that is occurring is that the basis of competition shifts away from a single product (from a single firm) towards a wider *product system* (multiple firms).

Threat of substitute products and services

This threat can occur from established or new companies. Smart digital products and services are creating new opportunities for substitution as they can offer increased product capabilities. For example, the Apple Watch and the Fitbit wearable fitness devices offer not only the capacity to monitor activity performance (running, pedometer) but also capture data on sleep patterns and other health-related data, enabling the user to vary their behaviour depending on their lifestyle goals. As a result, these smart products can offer superior performance over and above a conventional digital watch.

Threat of new entrants

In the past it was argued that new entrants could benefit from low operating costs and therefore were able to challenge the market. The logic behind the argument is that these new entrants have been able to enter the market rapidly since they do not have the cost of developing and maintaining a distribution network to sell their products and these products do not require a manufacturing base.

However, to succeed, new entrants need to be market leaders in executing marketing and customer service. These are sometimes described as *barriers to success* or *hygiene factors* rather than *barriers to entry*. But new entrants in the digitally connected world are now being challenged by high costs associated with developing complex connected and integrated products and services. According to Porter and Heppelmann (2014), barriers to entry increase when highly agile tech firms are able to leverage first-mover advantage (based on their superior capabilities and resources). But barriers can go down when completely new digital products and services bypass the existing incumbents in a market.

Intensity of rivalry

The nature of the rivalry between the companies trading online is largely determined by the number of players in a market and their relative sizes, the structure of costs and pricing, the switching costs customers will encounter if they change, strategic objectives and exit barriers. The flexibility and scope for smart digital products creates opportunities for firms to differentiate from the competition and to offer a greater range of value-added services, which heats up the intensity of the rivalry. Smart-connected products often span traditional product boundaries and firms can find themselves competing in completely new markets. For example, the Home Connect App™ links household appliances, heating, lighting and other devices together. Amazon Alexa, Tesla, Nest, IFTTT, myTaste

and Drop are all partners in the Home Connect ecosystem and they are all competing to be a chosen solution provider in the *connected* home.

By using the five forces model for analysing the structure and nature of the competition, digital marketers can gain insights into how firms compete in a particular marketplace. According to Porter and Heppelmann (2014), the competitive boundaries are expanding to encompass sets of related products and, as a consequence, the ‘basis of competition thus shifts from the functionality of a discrete product to the performance of a broader product system’. But these authors also remind us that it is important not to lose sight of the end user – for example, adding functionality that buyers don’t want to pay for doesn’t add value.

Competitor analysis and benchmarking techniques

Competitor analysis and benchmarking of competitor use of digital marketing for acquisition and retention of customers is especially important because of the dynamic nature of smart-connected digital products. As Porter and Heppelmann (2014) have suggested, this dynamism enables new services to be launched and elements of the marketing mix, such as price and promotion, to be changed far more frequently in the digital era. Copying of concepts and approaches within sectors is widespread, but can sometimes be controlled through patenting. For example, Amazon patented the ‘One Click’ approach to purchase, so this term and approach was not seen on other sites until 2017, when the patent expired. The implication of this dynamism is that **competitor benchmarking** is not a one-off activity while developing a strategy, but rather it needs to be continuous.

Competitor benchmarking is the term used for structured comparison of digital marketing approaches of an organisation’s services within a market. Its purpose is to identify threats posed by changes to competitor offerings, but also to identify opportunities for enhancing a company’s own web services through looking at innovative approaches in non-competing companies. Competitor benchmarking is closely related to developing the customer proposition and brand experience and is

informed by understanding the requirements of different customer personas, as introduced earlier in this chapter.

Benchmarking of services has different perspectives that serve different purposes:

1. *Internal capabilities:* such as resourcing, structure and processes vs *external customer-facing* features of the sites.
2. *Different aspects of the customer lifecycle:* customer acquisition, conversion to retention. Capabilities are benchmarked in each of the activities shown in Table P.1 in the Preface. For example, what are the capabilities of a competitor within search marketing through reviewing their presence in the paid and natural listings of the search engines?
3. *Qualitative to quantitative:* from qualitative assessments by customers through surveys and focus groups to quantitative analysis by independent auditors of customer acquisition such as those featured in Tables 2.1 and 2.3. Examples of KPIs include number of site visitors or reach within market, cost of acquisition, number of customers, sales volumes and revenues and market share; conversion (average conversion rates) and retention such as repeat conversion and number of active customers.
4. *In-sector and out-of-sector:* benchmarking against similar sites within sector and reviewing out of sector in sectors that tend to be

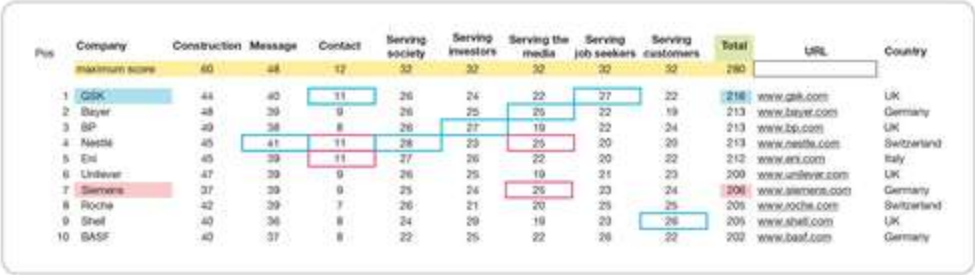
more advanced, e.g. online publishers, social networks and brand sites. Benchmarking services are available for this type of comparison from analysts such as Bowen Craggs Index (www.bowencraggs.com). An example of one of their benchmark reports is shown in Figure 2.7. You can see that this is based on the expert evaluation of the suitability of the site for different audiences as well as measures under the overall construction (which includes usability and accessibility), message (which covers key brand messages and suitability for international audiences) and contact (which shows integration between different audiences).

5. *Financial to non-financial measures:* through reviewing competitive intelligence sources such as company reports or tax submissions, additional information may be available on turnover and profit generated by digital channels. But other forward-looking aspects of the company's capability that are incorporated on the balanced scorecard framework (see **Chapter 4**) should also be considered, including resourcing, innovation and learning.

6. *From user experience to expert evaluation:* benchmarking research should take two alternative perspectives, from actual customer reviews of content and usability to expert evaluations.

Figure2.7

Benchmark comparison of corporate websites



Pos	Company	Construction	Message	Contact	Serving society	Serving investors	Serving the media	Serving job seekers	Serving customers	Total	URL	Country
	maximum score	60	48	12	32	32	32	32	32	280		
1	GSK	44	40	11	26	24	22	27	22	216	www.gsk.com	UK
2	Bayer	48	39	9	26	25	25	22	19	213	www.bayer.com	Germany
3	BP	49	38	8	26	27	19	22	24	213	www.bp.com	UK
4	Nestlé	45	41	11	28	23	25	20	20	213	www.nestle.com	Switzerland
5	Eni	45	39	11	27	26	22	20	22	212	www.eni.com	Italy
6	Unilever	47	39	9	26	25	19	21	23	209	www.unilever.com	UK
7	Siemens	37	39	8	25	24	25	23	24	206	www.siemens.com	Germany
8	Roche	42	39	7	26	21	20	25	25	205	www.roche.com	Switzerland
9	Shell	40	36	8	24	29	19	23	26	205	www.shell.com	UK
10	BASF	40	37	8	22	25	22	26	22	202	www.basf.com	Germany

Source: Used with permission from Bowen Craggs & Co. (www.bowencraggs.com)

In the physical world, a company's competitors tend to be visibly active in any given market and therefore are well known. However, in digital environments there may be new entrants that have the potential to achieve significant market share, which are less visible until they grow to a significant size. As a consequence, companies may need to benchmark performance of both existing and new players. Companies should review:

- well-known local competitors (for example, UK or European competitors for British companies);
- well-known international competitors;
- new digital companies – local and worldwide (within sector and out of sector).

Table 2.3 recommends marketing activities that can be benchmarked, structured across the customer lifecycle using the RACE planning framework. We have designed this as a practical competitor benchmarking framework that can be used for student case studies or to support digital marketing plans. The tools referred to may have freemium options, which

can be used for no fee. Links to these services are provided at davechaffey.com/book-support.

Table2.3

Competitor benchmarking elements to review across the RACE planning framework

RACE goal	Marketing activities and communications to review	Tools and techniques to s benchmarking
Reach – grow your audience using paid, owned and digital media	1. Website – compare reach of website including unique visitors by digital channel	1. Website audience intellige such as similarweb.com.
	2. Organic search marketing – keyword visibility, number of backlinks, site speed	2. Search marketing tools su SEMRush.com and Ahrefs.c showing ranking for target k Google site speed tools
	3. Paid search marketing – number of keywords targeted, average positions and cost-per-click	3. Google Ads impression sh measure and competitive ana from Spyfu.com and SEMRu
	4. Organic social media – content strategy of pages used to drive reach	4. Direct comparison of follc using tools such as Emplifi.i Brandwatch.io.
	5. Digital advertising – using programmatic and paid social media – types of ads used	5. Adbeat.com and WhatRunsWhere.com. Ad re to support other parts of RA also be reviewed after sites h visited
	6. Digital intermediaries – depending on sectors these may include comparison sites,	6. Manual review of interme appearing in search results fc defined customer keywords

	aggregators, influencers and co-marketing (B2B)	
Act – prompt interactions to encourage subscribers and leads	1. Customer journeys – what are the main outcomes the site or app is looking to achieve?	1. A manual assessment of na and home page calls-to-actio
	2. Explaining brand value proposition – how is the offer explained, how is it differentiated?	2. A manual review of key m tone of voice and validation page, landing pages and conv pages
	3. Audiences targeted and profiling – assess call-to-action and content appealing to specific audiences	3. A manual review of direct to audiences and profiling th fields on forms
	4. Lead generation – what are lead magnets, i.e. offers or content used to encourage people to subscribe?	4. Assess lead magnets on hc and how they differ for servi different sections of site
	5. Content strategy – how is content used to support consumer decision-making on the path to purchase?	5. Includes top-of-funnel for generation, but also middle-, of-funnel content, blog, reso centres and branded content
Convert – achieve sales online or offline	1. Email communications – contact strategy for welcome and nurture emails	1. Benchmarkemail.com for comparison and ReturnPath (Validity) for deliverability
	2. Pricing and promotions – comparing pricing and discounts for selected products	2. Paid services such as Price and Minderest.com
	3. Distribution options – options for delivery where relevant	3. For example, delivery fees click-and-collect
	4. Conversion rate optimisation – changes to key pages can be	4. Page monitoring using wachete.com or Changetowe

	monitored	Use of CRO tools and other can be assessed using Builtw or Similartech.com
	5. Assisted selling – review use of LiveChat and conversational marketing tools	5. Tools such as Intercom.co Drift.com
Engage – encourage repeat business and advocacy	1. Customer onboarding – how are new customers welcomed?	1. Manual review requiring r shopping
	2. Customer loyalty – are loyalty schemes used?	2. Manual review including levels
	3. Customer service and community – how is customer service delivered?	3. Manual review of commu forum options, including soc
	4. Customer email communications – including targeted offers and customer newsletter	4. Benchmarkemail.com for comparison and ReturnPath deliverability
	5. Ad retargeting – also relevant for Act and Convert	5. Manual review of ads or u Adbeat.com and WhatRunsWhere.com

In summary, it is important for digital markets to be able to identify and understand their competitors and in doing so be able to infer what their

strategies and future activities might be. We revisit competitor benchmarking in more detail in **Chapters 4**, **7** and **10**.

Suppliers, publishers, intermediaries and influencers

Traditionally, suppliers deliver the goods and services a business needs to carry out its business activities further down the supply chain. In the digital marketplace, the supply chain can take many different forms depending on whether physical or digital products are involved.

The most significant aspect of monitoring suppliers in the context of digital marketing is with respect to the effect suppliers have on the value of quality of product or service delivered to the end customer. Key issues include the effect of suppliers on product price, availability, design and creative features. Digital channels have had a significant impact in some business activity sectors, resulting in new channel structures for supply chains and new types of suppliers, which offer specialist services to the digital industry as a whole. Some new types of suppliers act as intermediaries and offer a wide range of specialist services including website development, technology management and integration.

For marketers to extend the visibility or reach of their company online, they need to be well represented by a range of intermediaries and

publishers through using sponsorships, online adverts, PR and influencer outreach, and content and search marketing, as explained in **Chapter 8**.

Publishers

Established publishers such as *The Economist*™, *Financial Times*™, *New York Times*™ and consumer magazines still have print and online versions that offer subscriptions. However, there are also options to gain visibility via online-only publishers such as the *Huffington Post*™, *Politico*™, *Mashable*™ and *BuzzFeed*™, which have built up considerable reach and influence. Many specialist online publishers and blogs have developed, catering for specific consumer and business interests. Identifying specialist sites on which to gain visibility may be a better option for reaching and influencing target audiences.

From a digital marketing perspective, online publishers or media sites can provide different services for a business to reach target audiences using the paid, owned and earned media:

- *Paid media:* many publishers belong to ad networks where they sell their ad inventory for programmatic display advertising or via the Google Display Network and Facebook Audience Network, where they can be targeted based on content viewed or their profile.
- *Owned media:* publishers will also have their own social media platforms, which may give additional opportunities to reach target audiences.

- *Earned media:* opportunities to publish native advertising, guides or guest blogs may also be available.

As part of situation analysis, businesses should identify potential publishers and other intermediaries they seek to work with by benchmarking against how competitors are using them. It can be useful to identify the most important publishers, determine the best media mix to use, develop relationships with editors and weight paid media investment to the most effective sites.

Intermediaries

Digital **marketing intermediaries** are firms that can help a company to promote, sell and distribute its products or services. They should not be confused with internet service providers, which provide hosting services. In the internet context, digital marketing intermediaries can be contrasted with destination sites, as shown in Figure 2.4, which are typically merchant sites owned by brands, manufacturers or retailers that offer information and products (in reality any type of website can be a **destination website**, but the term is generally used to refer to merchant and brand sites).

Online intermediary sites provide information about destination sites and are a means of connecting internet users with product information. The best-known online intermediaries are publishers or media sites covering general news and entertainment. Other consumer intermediaries provide price comparison for products, although they face competition from publishers and Google, who can also provide price comparison services. If you consider comparison sites in your country in sectors such as retail, travel or financial services you will find that there are some international providers, but also country-specific intermediaries.

Online intermediaries are businesses that support business and consumer audiences, so they can serve both B2B and B2C information exchanges.

Auction sites are another type of online intermediary that support the B2B and the C2C exchanges introduced in **Chapter 1**.

Online marketplaces have created multiple opportunities for businesses to trade and engage with their customers in innovative ways. In this final section of the chapter, we discuss the implications of new channel structures and digital business models.

Mini case study 2.1

Bark: the digital intermediary for finding professionals

Bark is an online services marketplace with over 5 million customers in eight countries around the world. When it launched in 2015, initially in the UK, their first customer was looking for a personal trainer in Hammersmith. They found one within the hour.

Bark was founded by successful serial entrepreneurs Andrew Michael and Kai Feller with a vision to make finding pros to get any job done easier and more efficient. To support growth, they acquired Skillpages.com, a company with over 20 million customers worldwide.

By 2017, they had reached the milestone of 100,000 professionals who had signed up to offer their services. They also achieved their millionth

'Bark', a small business in Wales, UK looking for a web designer. Professionals joining Bark send leads matching services offers to its professionals. Their revenue model is based on the small fee for each introduction given when professionals are given the phone number and e-mail address to reach out to each potential customer.

In 2017 Bark launched in the US, and then, in 2019, Canada, Ireland and South Africa. By this time the Bark team had grown to over 50 people. By 2020, 1 million professionals had signed up to Bark across the different countries.

Source: Bark (https://www.bark.com/en/gb/about-bark/)

Building and developing relationships across the supply chain is highly relevant. As boundaries between markets blur it is important to understand how relationships are formed, maintained and developed. Research Spotlight 2.1 explores the power of Guanxi in a C2C context, learning how relationships between buyers and sellers confer trust and help improve communications.

Research spotlight 2.1

Is trust a driver of e-commerce at Taobao, Chinese e-marketplace?

Focus: *The role of social media in enhancing guanxi and perceived effectiveness of e-commerce institutional mechanisms in online marketplace*. Chong, A.; Lacka, E., Li B., Chan, H. (2018)

Context: Chinese online shoppers and Taobao online marketplace

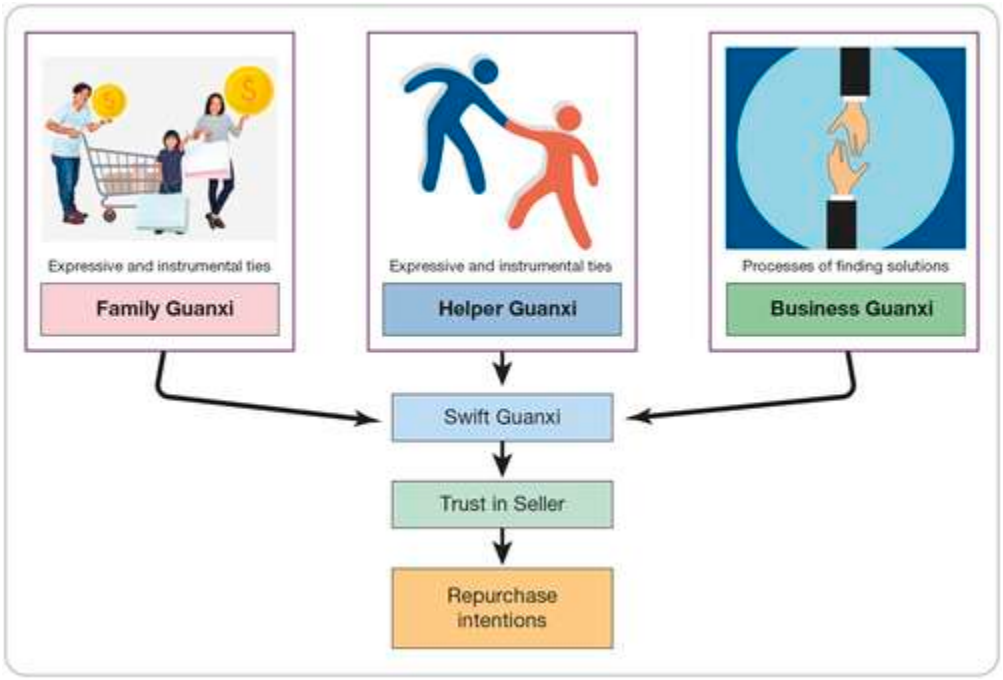
Amazon, eBay, Etsy, Alibaba and Taobao are examples of online marketplaces, which serve millions of customers with billions of products. These vast global e-commerce platforms rely on attracting new visitors but also need loyal returning customers to sustain and defend their businesses from competitors. Taobao, a key contributor to Alibaba Group profits handles more than 90 per cent of consumer-to-consumer (C2C) trade in China. Taobao is differentiated from other trading platforms due to it use of its social media framework and use in helping new and returning customer shape their revisit intentions. This is a key to the platforms e-commerce success.

The research

Chong *et al*. (2018) developed their research premises based around individual buyer's trust of an online seller in a C2C context. There can be a high-level of mistrust and fear of transaction failure is such online trading situations. The study aimed to discover the importance of trust on online purchasing and repurchase intentions. The research team looking at the extent to which a buyer perceives the seller can perform the transaction and explored the power of *Guanxi*. *Guanxi* has a role to play as it is a Chinese term for relationships which in business focus on social connections based on trust, mutual interests, and benefits (Goh & Sullivan, 2011). Guanxi has three categories and in this study: Family Guanxi which is about forming a strong network of personal ties. Helper Guanxi is focused on supporting individuals and Business Guanxi, forming relationships to find answers. Many of the characteristics of each are combined and referred to as *swift Guanxi* in this study So named due to the speed with which relationships are formed in interpersonal relationships online (see Figure RS 2.1).

FigureRS 2.1

Swift Guanxi



Source: Rawpixel.com/Adobe Stock Photo; Swift Guanxi

The research team collected data from Chinese consumers who shop online with Taobao using a survey.

Key findings

The study showed that shoppers develop trust and become repeat customers once they have developed a relationship with an online seller. Buyers build trust in the Taobao platform through swift Guanxi, which helps to make communications more effective.

Implications for digital marketers

- To replicate the success of the Taobao platform digital marketers should invest time and capacity for developing positive perceptions between buyers and sellers.

- Swift Guanxi is an approach, which can help to develop seller trust. Social media has a role to play in influencing trust as it has been found to support buyers and encourage their return to Taobao.

New channel structures

channel structures describe the way a manufacturer or selling organisation delivers products and services to its customers. Traditionally, a distribution channel will consist of one or more intermediaries, such as wholesalers and retailers. For example, traditionally a book publisher was unlikely to distribute its books directly to the end consumer, instead using wholesalers that have a large warehouse of titles that are then distributed to individual branches according to demand. A company selling business products may have a longer distribution channel involving more intermediaries.

The relationship between a company and its channel partners can be dramatically altered by the opportunities afforded by digital channels: web, mobile and social media networks. This occurs because the internet offers a means of bypassing some of the channel partners. This process is known as **disintermediation** or, in plainer language, ‘cutting out the middleman’. For example, publishers such as Pearson now have the option to sell texts such as this or ebooks direct to students like you, removing the need to pay distribution fees to wholesalers, or retailers in this case.

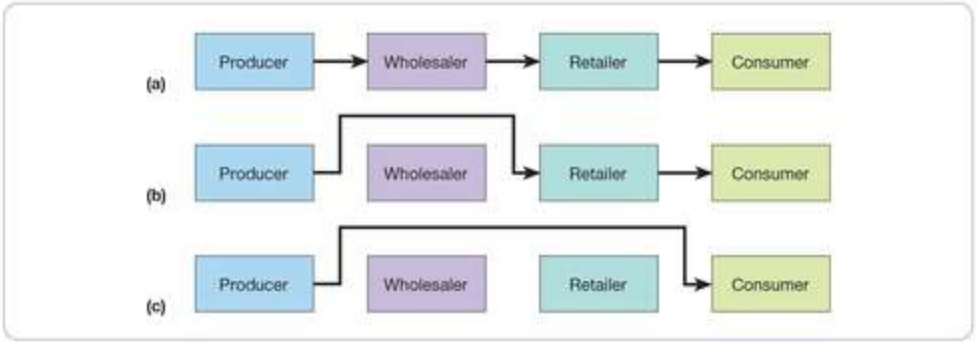
Figure 2.8 illustrates disintermediation in a graphical form for a simplified retail channel. Further intermediaries, such as additional distributors, may occur in a business-to-business market. Figure 2.8(a)

shows the former position where a company marketed and sold its products by ‘pushing’ them through a sales channel; it also shows two different types of disintermediation in which the wholesaler (b) or the wholesaler and retailer (c) are bypassed, allowing the producer to sell and promote direct to the consumer. The benefits of disintermediation to the producer are clear – it is able to remove the sales and infrastructure cost of selling through the channel, and some of these cost savings can be passed on to the customer in the form of cost reductions.

Moreover, since purchasers of products still require assistance in the selection of products, this has led to the creation of new intermediaries, a process referred to as **reintermediation**.

Figure2.8

Disintermediation of a consumer distribution channel showing: (a) the original situation; (b) disintermediation omitting the wholesaler; and (c) disintermediation omitting both wholesaler and retailer



What are the implications of reintermediation for the marketer? First, it is necessary to make sure that a company, as a supplier, is represented by the new intermediaries operating within your chosen market sector. This

implies the need to integrate, using the internet, databases containing price information with that of different intermediaries. For example, Google through its Google Shopping Product Listing Ads (PLAs) has become a major intermediary mediating access to retail inventory. This is well known and has given rise to anti-competition charges in Europe where Google has had to adjust its service. It is looking to grow its influence in other sectors such as travel and financial services, where it can compare flights and credit card deals, for example.

Second, it is important to monitor the ranges and prices of other suppliers within this sector (possibly by using the intermediary website for this purpose). Third, long-term partnering arrangements such as sponsorships need to be considered. Finally, it may be appropriate for the company to create its own intermediary to compete with existing intermediaries or to pre-empt similar intermediaries. For example, AliExpress was set up by Alibaba Group China’s global business-to-business trading platform to compete with Amazon; and US Expedia Group set up the Trivago hotel price comparison site as a challenger for Booking.com and Tripadvisor.

Digital business models

Defining a clear business model is essential for startup businesses trading in the digital world. For existing businesses moving part or all of their operations online, it is equally important to consider how to refine their current business model or add new services in the light of new opportunities made possible by the internet. The Business Model Canvas developed by Osterwalder and Pigneur (2010) is a valuable framework for summarising strategy for online businesses, and in particular startups, that have to summarise their business model to investors. It was published as part of a co-creation project involving 470 practitioners from 45 countries. It's also available as an app and downloadable templates on the Strategyzer site (www.strategyzer.com).

The main sections of the canvas, in a logical order to consider them, are:

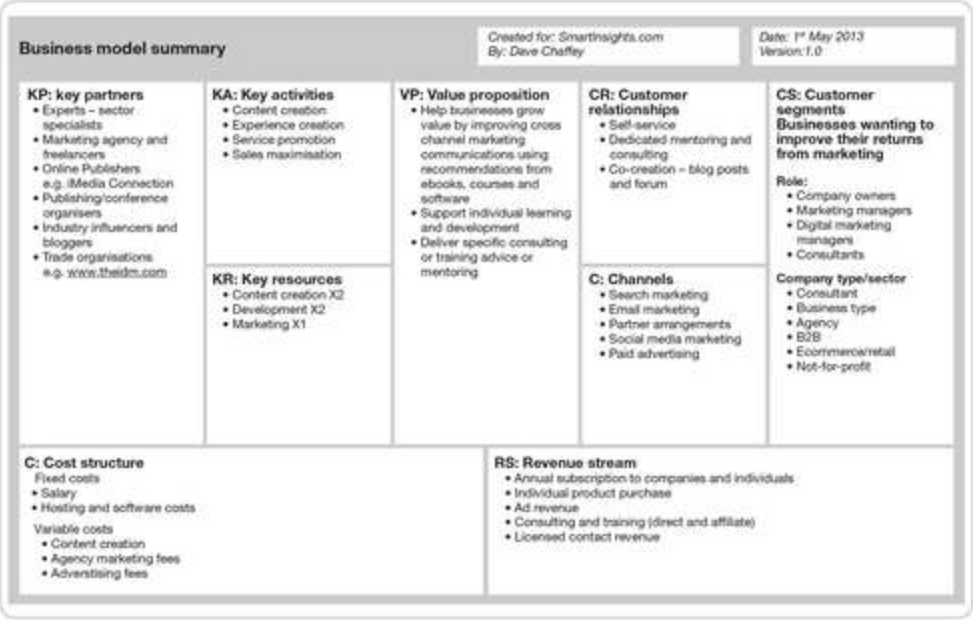
1. *Value proposition*. This is at the heart of what the business offers to its audiences and is arguably most important to success. More details are provided in a follow-up book by Osterwalder *et al*. (2014).
2. *Customer segments.* Different target audiences the value propositions will appeal to. In the business model canvas, the alternatives recommended are mass market, niche market, segmented (broken down further) or a range of diverse segments.

3. *Customer relationships.* The types of relationships that will be formed, for example self-service, automated services, communities or more personal assistance, and this may include co-creation of content.
4. *Channels.* The methods by which an organisation's services will be delivered and the audiences reached.
5. *Key partners.* To exploit online and offline value networks; forming partnerships gives an opportunity to expand reach and take advantage of existing organisations and online influencers that have built an audience.
6. *Activities.* The main activities that need to be performed to deliver the value proposition to develop revenue.
7. *Resources.* Different types of process and people to complete the activities to create and deliver the value proposition.
8. *Cost structure.* Different cost elements, which should be checked against activities and resources. Costs are classically broken down into fixed and variable costs and economies of scale.
9. *Revenue stream.* This is the method by which a business derives income. Common online options are: ad revenue, subscription fees, sales of physical or virtual goods or affiliate-based commission arrangements. Licensing and leasing are other alternatives.

An example of how these nine different elements of a business model can be applied is shown in Figure 2.9

Figure2.9

Example of a business model canvas summary



Source: Smart Insights (Marketing Intelligence) Ltd

It's a great framework, but it's always worth considering what the missing elements of frameworks are. It's arguably missing a method of specifying **key performance indicators (KPIs)** for evaluating performance of the business model. We recommend adding these to the relevant sections, in particular for revenue stream, cost structure and key activities. It also doesn't directly consider the impact of different forms of competitors. To help here, it's also useful to think through how the canvas would look for successful companies already active in this market.

We will look further at how to define elements of the business model such as value proposition and targeting in **Chapters 5** and **8**.

A review of the different **online business models** made available through e-commerce is of relevance to existing companies, but in particular startup companies and online intermediaries. Early research (Venkatram, 2000) highlighted how existing businesses needed to use the internet to build on current business models, while at the same time experimenting with new business models. While most large organisations have incorporated digital channels and models into their business planning, there are still thousands of small businesses that remain completely disconnected. Changes in the marketing environment have intensified the importance of an online presence; social media platforms provide ways to engage, interact and communicate with a variety of target audiences. Other events such as the COVID-19 global pandemic have created huge challenges for business, with governments around the globe imposing restrictions, which have forced businesses to temporarily close down physical operations and for customers to adhere to stay-at-home orders. In these circumstances businesses have been forced to adapt business models to explore and capitalise on online opportunities (Seetharaman, 2020).

Adapting to the demands of the marketplace often leads to new business models, which may be important to sustain or gain a competitive advantage over existing competitors, while at the same time heading off similar business models created by new entrants. More commonly, they may simply offer a different revenue stream through advertising or charging for services in a new way. For digital startups the viability of a

business model, and in particular their sources of revenue, will be reliant on funding from venture capitalists.

A recent example of the development of business models is the shift to Direct-to-consumer commerce (DTC or D2C) introduced in **Chapter 1**. The shift to D2Cwas accelerated because of the COVID-19 pandemic since this encouraged more people to adopt online purchase.

Some brands have shown greater agility to tap into this opportunity. In 2010, DTC made up just 15 per cent of Nike's total revenue. By 2021, the athletics retailer had grown DTC to 40 per cent (Retail Dive, 2021) through advertising and selling its products online via its own website and apps rather than via retailers. It has also managed to make its app so useful to the in-store experience that consumers without it are at a disadvantage. In some countries customers can scan QR codes to pull up products on their phone, they can start dressing rooms through the app, and signs throughout the stores show customers what else they can do with their phones.

D2C is also used to refer to when startup companies sell direct to consumers without the need for physical retails. Dollar Shave Club, referenced in Mini case study 2.2 is an example, where after acquisition it sought to expand through selling through traditional retailers. Another example of D2C involving an Internet influencer is Kylie Jenner's Kylie online cosmetic brand (https://kyliecosmetics.com).

Mini case study 2.2

Consumer brands Unilever and P&G demonstrates strategic agility

Unilever: Strategic agility in the personal care market through a DTC acquisition

In July 2016, Unilever acquired online-only subscription service Dollar Shave Club for a rumoured $1 billion. The digital direct-to-customer (DTC) subscription start-up brand offers razors delivered by post for a fixed monthly price and, according to Euromonitor, currently holds 54 per cent of the online shaving market in the US. Dollar Shave Club has rapidly disrupted the shaving market, which has traditionally been dominated by Gillette (owned by Procter & Gamble).

The monthly subscription service has also branched out into other product categories, including hair gels and body washes. According to Unilever, the acquisition was a push to ‘embrace disruption’ and the start-up’s direct-to-consumer business model provides Unilever with unique consumer and data insights. By moving from selling single products through third-party retailers, to targeting consumers directly via a subscription service, Unilever are becoming a consumer service company. Building relationships and nurturing customer loyalty will help secure longer-term revenues.



Source: Reproduced with permission of Dollar Shave Club, Inc (c) 2023 Dollar Shave Club, Inc All rights reserved.

Disrupting the supply chain model by building more direct relationships with consumers means that Unilever will be less reliant on one route to market (via retailers) and the company can cross-sell and bundle personal care products.

However, Business Insider (2022) considers that Unilever underestimated the difficulty of integrating Dollar Shave Club (DSC) into a multichannel business. Part of the strategy following the Unilever acquisition, was for DSC to introduce new products at various price points, including a $50-a-

bottle cologne, beard oil, bar soap and toothpaste. They also introduced DSC into physical retail stores such as Target and Walmart in the United States. Business Insider suggest that forecasts for expanding sales beyond the razor category to the Dollar Shave Club customer base were optimistic and that online customer acquisition costs were higher than anticipated making profitability difficult to achieve.

Product and Gamble: Focus on DTC e-commerce sales

In contrast, Procter & Gamble (P&G) has struggled with sustainable growth since 2010, following a slowdown in the global economy. As a result, it has undergone a strategic shift to shed almost 100 brands. According to CEO David Taylor, in order to ‘restart’ growth, P&G needs to ‘get back to making consumers aware of its products and communicating their benefits’. One way they have been trying to win back market share (from Dollar Shave Club) has been by launching ‘Gillette Shave Club’, an online subscription service, in June 2015. The company has also launched a subscription service for its Tide Pods laundry brand, to try to stop other markets it operates in being disrupted by online start-ups.

P&G has been shifting its resources and investment into digital (particularly mobile) to make the most of e-commerce. Retail Dive (2021) reported that with this focus, e-commerce accounted for 14 per cent of

P&G’s sales at the global level, while for Unilever the digital sales contribution was 9 per cent at the time.

Unilever has also seen the importance of e-commerce for its business; the channel is growing at 20 per cent per annum globally, and e-commerce in the UK and Ireland is growing at around 15 per cent. Online transactions have led to a significant change in the way Unilever communicates with consumers and the way they shop.

Unilever has identified the need for digital innovation for a number of years and, in 2014, launched the Unilever Foundry in the UK – a start-up accelerator designed to mentor and invest in digital marketing start-ups, in exchange for insight into new technology and trends. Since then, the Unilever Foundry has also launched a global crowdsourcing community, to encourage people to collaborate and aid its sustainability efforts.

The company has also been using other forms of collaborative innovation, such as an annual e-commerce hackathon in London. Participates are given multiple briefs, highlighting challenges faced by the company and its retail partners, such as:

- How do we get delivery for any grocery shop within 60 minutes or quicker and still drive profit?
- What business models can brands and retailers create to win sales using voice, VR, sensors and gesture-based technology?

- How can technology help drive efficiency in the supply chain for online grocery shopping and thus increase profitability?
- How can technology enable a seamless branded shopping experience no matter where you shop: online, in store, on your mobile, on your TV, etc.?

Strategic agility and incorporating innovation via entrepreneurial start-ups seem to be at the core of Unilever’s business, whereas P&G appear to be lagging behind and playing ‘catch up’.

Digital revenue models

revenue models describe different techniques for generation of income. For existing companies, revenue models have mainly been based upon the income from sales of products or services. This may be either for selling direct from the manufacturer or supplier of the service or through an intermediary that will take a cut of the selling price. Both of these revenue models are, of course, still crucial in online trading. There may, however, be digital options for generating revenue; a manufacturer may be able to sell advertising space or sell digital services that were not previously possible.

Digital publisher and intermediary revenue models

For a publisher, there are many options for generating revenue online based around advertising and fees for usage of online services. These options, particularly the first four in the list below, can also be reviewed by other types of business such as price comparison sites, aggregators, social networks and destination sites, which can also carry advertising to supplement revenue. The main types of online revenue model are:

1. *CPM display advertising on site. CPM* stands for **‘cost-per-thousand’**, where M denotes ‘*mille*’. This is the traditional method by which site owners charge a fee for advertising. The site owner charges advertisers a rate card price (for example £50 CPM) according to the number of times ads are served to site visitors. Ads may be served by the site owner’s own ads server or more commonly through a third-party ad network service such as DoubleClick (which is owned by Google).
2. *CPC advertising on site (pay-per-click text ads). CPC* stands for **‘cost-per-click’**. Advertisers are charged not simply for the number of times their ads are displayed, but according to the number of times they are clicked upon. Facebook has a choice of CPC or CPM for its advertisers. Google Ads is primarily CPC for sponsored ads displayed to searchers, but it offers CPM on content network of

publishers known as the Google Display Network (GDN). Google has its AdSense programme (http://adsense.google.com) for publishers that enables them to offer text- or image-based ads typically on a CPC basis, but optionally on a CPM basis. Typical CPCs for search ads can be surprisingly high, i.e. they are in the range £0.10 to £4, but sometimes up to £20 for some categories such as 'life insurance'. The revenue for search engines and publishers from these sources can also be significant: Google's annual reports (http://investor.google.com) show that this is around one-fifth of Google's ad revenue.

3. *Sponsorship of site sections or content types (typically fixed fee for a period).* A company can pay to advertise a site channel or section. For example, a healthcare firm could sponsor all articles in the relevant section of a publisher site. This type of deal is often struck for a fixed amount per year. It may also be part of a reciprocal arrangement, sometimes known as a 'contra-deal', where neither party pays.

4. *Affiliate revenue (CPA, but could be CPC).* Affiliate revenue is commission based – for example, if an Amazon book is sold via an ad on www.DaveChaffey.com, around 5 per cent of the cover price is received as a fee from Amazon. Such an arrangement is sometimes known as **cost-per-acquisition (CPA)**. Increasingly, this approach is replacing CPM or CPC approaches where the advertiser has more negotiating power. For example, manufacturing company

Unilever negotiated CPA deals with online publishers where it paid for every email address captured by a campaign rather than a traditional CPM deal. However, it depends on the power of the publisher, who will often receive more revenue overall for CPM deals. After all, the publisher cannot influence the quality of the ad creative or the incentivisation to click, which will affect the clickthrough rate and so earnings from the ad.

5. *Transaction fee revenue.* A company receives a fee for facilitating a transaction. Examples include eBay and PayPal who charge a percentage of the transaction cost between buyer and seller.

6. *Subscription access to content or services*. A range of documents can be accessed from a publisher for a fixed period. These are often referred to as premium services on websites. Publishers often use a **freemium** revenue model where subscribers gain free access to a limited number of sample articles or downloads, but this is limited or metered. This is a common approach on newspaper publishers' websites today, which may restrict to three articles per month, for example.

7. *Pay-per-view access to documents.* Here payment occurs for single access to a document, video or music clip that can be downloaded. It may or may not be protected with a password or **digital rights management (DRM)**. I, for example, pay to access detailed best-practice guides on internet marketing from Marketing Sherpa.

8. *Subscriber data access for email marketing.* The data a site owner has about its customers are also potentially valuable since it can send different forms of email to its customers if they have given their permission that they are happy to receive email from either the publisher or third parties. The site owner can charge for adverts placed in its newsletter or can deliver a separate message on behalf of the advertiser (sometimes known as a co-branded email). A related approach is to conduct market research with the site customers.

Forecasting revenue for an online business

Site owners can develop models of potential revenue depending on the mix of revenue-generating techniques from the four main revenue options they use on the site, given in the options above.

Consider the capacity of a site owner to maximise revenue or ‘monetise’ its site – which factors will be important? The model will be based on assumptions about the level of traffic and number of pages viewed plus the interaction with different types of ad unit. Their ability to maximise revenue will be based on these factors, which can be modelled in the spreadsheet shown in Figure 2.10:

- *Number and size of ad units*. This is a delicate balance between the number of ad units in each site section or page – too many obtrusive ad units may present a bad experience for site users, too few will reduce revenue. Figure 2.10 has a parameter for the number of ad units or containers in each ad revenue category. There is a tension with advertisers who know that the awareness and response they generate from their ads is maximised when they are as large as practical and in prominent placements. A more accurate revenue model would develop revenue for different page types such as the home page and different page categories, e.g. the money or travel sections.

- *Capacity to sell advertising.* Figure 2.10 also has a parameter for the percentage of ad inventory sold in each category – for example, for the CPM ad display revenue only 40 per cent of inventory may be sold. This is why you may see publisher sites with their own ‘house ads’ – it is a sign they have been unable to sell all their ad space. A benefit of using the Google AdSense publisher programme is that inventory is commonly all used.
- *Fee levels negotiated for different advertising models*. These will depend on the market competition or demand for advertising space. For ‘pay-per-performance’ advertising options such as the CPC and CPA models, it also depends on the response. In the first case, the site owner receives revenue only when the ad is clicked upon and in the second case, the site owner receives revenue only when the ad is clicked upon and a product is purchased on the destination merchant site.
- *Traffic volumes.* More visitors equate to more opportunities to generate revenue through serving more pages (which helps with CPM-based advertising) or more clicks to third-party sites (which helps generate revenue from CPC and CPA deals).
- *Visitor engagement.* The longer visitors stay on a site (its ‘stickiness’), the more page views that will accumulate, which again gives more opportunities for ad revenue. For a destination site a typical number of page views per visit would be in the range

five to ten, but for a social network, media site or community the figure could be greater than 30.

To assess how effective different pages or sites in their portfolio are at generating revenue using these techniques, site owners will use two approaches. The first is eCPM, or effective cost-per-thousand. This looks at the total the advertiser can charge (or cost to advertisers) for each page or site. Through increasing the number of ad units on each page this value will increase. The other alternative to assess page or site revenue-generating effectiveness is revenue per click (RPC), also known as ‘earnings per click’ (EPC). Alternatively, revenue can be calculated as ad revenue per 1,000 site visitors. This is particularly important for affiliate marketers who make money through commission when their visitors click through to third-party retail sites, and then purchase there.

Figure2.10

Revenue model spreadsheet

Ad revenue option	Measure	Site
Display advertising (CPM)	Pages served	**100,000**
	CPM (Cost-Per-Thousand)	£2
	% Inventory served	40%
	Avg. Clickthrough (CTR %)	0.10%
	Ad units served per page	2
	Clicks – CPM ads	80
	Revenue – display ads	**£160**
	Earnings per 100 clicks (EPC)	**£200**
	eCPM – display ads	**£1.60**
Fixed run-of-site sponsorship	% Inventory served	100%
	Avg. Clickthrough (CTR %)	0.30%
	Ad units served 1	1
	Clicks – fixed	300
	Revenue – fixed sponsorship	**£3,000**
	Earnings per 100 clicks (EPC)	**£1,000**
	eCPM – fixed	**£30**
Text ad advertising (CPC)	% Inventory served	100%
	Avg. Clickthrough (CTR %)	1%
	Avg. Cost-Per-Click	£0.30
	Ad units served per page	1
	Clicks – CPC ads	1,000
	Revenue – CPC ads	**£300**
	Earnings per 100 clicks (EPC)	**£30**
	eCPM – CPC ads	**£3**
Affiliate commission	% Inventory served	100%
	Avg. Clickthrough (CTR %)	0.50%
	Ad units served per page	1
	Clicks – Affiliates	500
	Destination conversion rate (%)	3%
	Average order value	£100
	Commission %	10%
	Revenue – affiliates	**£150**
	Earnings per 100 clicks (EPC)	**£30**
	eCPM – affiliates	**£1.50**
Overall metrics for site	**Clicks – total**	**1,880**
	Revenue – total	**£3,610**
	Earnings per 100 clicks (EPC) – total	**£192.02**
	eCPM – total	**£36.10**

Blue cells = input variables – vary these for 'what-if' analysis

Orange cells = Output variables (calculated – **do not overtype**)

Source: Smart Insights (Marketing Intelligence) Ltd

Introduction to macro-environment forces

In the first part of this chapter, we reviewed the influence of players who shape the immediate microenvironment. In this section, we review how macro-economic forces can influence digital marketing. These are forces that affect the marketplace, but over which companies operating have limited direct influence.

In the marketing literature, there are widely used mnemonics that aim to act as a memory aid for the macro-environmental forces (e.g. PEST, SLEPT and PESTLE), where each letter represents a slightly different arrangement of the following macro forces:

- Political forces;
- Economic forces;
- Social forces;
- Technological forces;
- Legal forces;
- Environmental forces.

For the professional digital marketer, the most important task is to carry out a regular assessment of the forces that are shaping the online

marketing environment and identify which forces may be opportunities or threats and so have implications for strategic marketing initiatives.

The forces listed have a different level of importance in influencing digital marketing activities. So, in this chapter our attention is on those forces that have the greatest direct impact on digital marketing and for which practical knowledge is required when working in marketing:

- *Technological forces.* Changes in technology influence marketing opportunities, create new product development opportunities, introduce new ways to access target markets through channel integration and create new forms of access platforms and applications. These relate to the digital devices, digital platforms, digital data and digital technology factors in the context of the 7Ds of managing digital marketing introduced in Figure 1.2. In this section we review how to assess adoption of technology innovations and reference specific technologies that we cover in the context of topics in future chapters.
- *Legal forces.* These determine the methods by which products can be promoted and sold online. Laws and ethical guidelines seek to safeguard individuals' rights to privacy and businesses' rights to free trade. We explain the most relevant laws businesses must comply with to protect consumer privacy.

Essential digital skills

The digital macro-environment

The most important professional skill for reviewing the macro-environment is the ability to keep up to date with developments in marketing – in particular, knowing about the latest technological options and legal requirements for marketing communications in different countries.

We recommend you develop the following skills:

- Understanding the types of laws that affect digital marketing, including requirements of disclosure for key activities, privacy for data capture, personal identification, ad serving and laws related to using influencers for social media.
- Assessing the relevance of different types of digital marketing technology and platform developments.

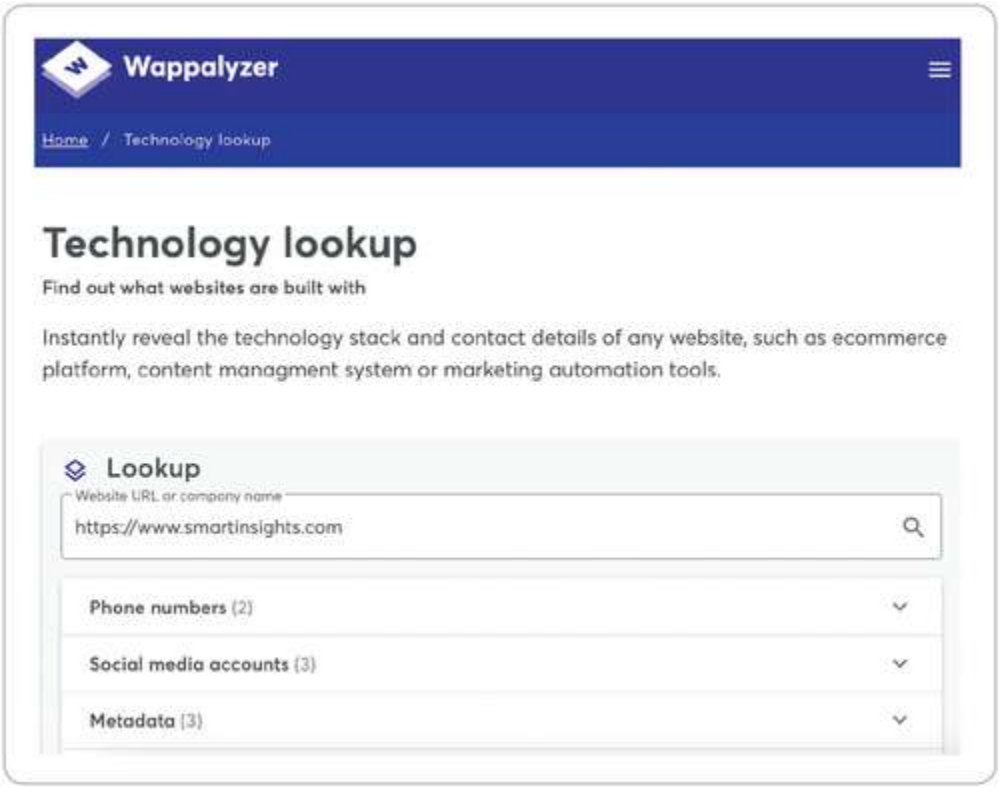
Practical ideas to boost employability by showcasing your interest and experience include:

- Registering with the trade associations in your country that keep marketers up to date with relevant laws, e.g. the Data and Marketing Association in the United Kingdom, the Association of National Advertisers in the United States and FEDMA in Europe.
- Finding out the government portals that provide guidance on privacy laws in marketing, e.g. the Information Commissioner's Office (www.ico.org.uk) in the United Kingdom.
- Using services such as BuiltWith.com™, SimilarTech™ and the Chrome extensions Wappalyzer™ (Figure 2.11) and Ghostery™ to understand the different types of marketing technology.

You can use a service such as Wappalyzer™ to find the types of technology used on a site, since it analyses JavaScript code tags that are visible in the source code served by the web server. For example, for Google Analytics to be used by a site, the web server will have to be set up to use the appropriate code within the <script> tags, which are evaluated by services like Wappalyzer™. In the case of www.smartinsights.com there are 27 different technologies in categories such as analytics, blogs, marketing automation and social media.

Figure2.11

Wappalyzer service for reviewing the marketing technology that is used to deliver a website experience and supporting communications



Source: Wappalyzer

Technological forces

Marketers need to understand some terminology and technical details of digital and internet technology, since these can inform strategic decisions and implementation where discussions will be needed with technical colleagues or staff at agencies or consultants. As users of the web and social media, every reader will have some basic knowledge of the technical underpinning, so we don't explain these. In this section, we focus on two practical considerations of digital technology that readers are less likely to be familiar with:

1. Having the technical knowledge marketers need when involved with creating a new website, blog or social media page. This context may be required if you're involved with a new business or launching a new product or campaign.
2. Awareness of different types of marketing technologies used to support always-on and campaign-based digital marketing activities. These are sometimes referred to as a **martech stack** in larger organisations.

For marketers involved with selecting the most appropriate technology to increase reach, deliver content and experiences, plus promote and track the website, they will use a range of **Software as a Service (SaaS)** technologies. Figure 2.11 shows how you can evaluate the SaaS a business uses to manage its marketing. Services such as those shown in

the Essential digital skills analysis can also be useful for competitor benchmarking, as described in **Chapter 2**, since they show the overall popularity of SaaS and you can effectively ‘spy on your competitors’ to see the services they use.

The SaaS approach is efficient compared to installing software, since businesses typically subscribe to different SaaS for different functions, with many offering data integration with other solutions. SaaS are sometimes free, or charge fees based on the number of users or interactions. For example, all businesses will select a **content management system (CMS)**, which marketers use to upload and edit content served to their audience. Smart Insights uses the WordPress CMS, which is often used for blogging and is open source, so free to use, and it uses Salesforce for managing customer data and personalised email communications (described in **Chapter 6**). Many smaller businesses use the freemium Mailchimp SaaS for sending out and tracking emails, which has no fee for small volumes.

Selecting a martech stack and managing technology innovation in a business

In **Chapter 1** we introduced the marketing technology or ‘martech’ that is used to manage many digital marketing activities and store data about customer interactions. Reviewing the latest trends in martech is part of macro-environment analysis, since new types of martech like augmented reality or artificial intelligence may offer new digital experiences, data management or communications techniques that change the basis for competition.

The concept of a martech stack has grown out of the categorisation of marketing technology based on Scott Brinker’s landscape, discussed in Activity 1.4. Businesses have always considered their portfolio of different types of business IT applications for operations such as finance, logistics and marketing, but traditionally they have been controlled by IT teams who have managed a limited number of ‘enterprise resource planning’ systems such as SAP. With the growth in cloud-based SaaS, it has become far easier for individual departments, and in particular marketing, who need to manage many digital marketing channels such as search and social media marketing, to deploy their own solutions.

Complete Activity 2.3 to explore the types of insight tools and operational marketing technology available to marketers today.

As businesses have deployed more martech services, the need to manage and integrate them has been highlighted. Many companies simply select individual marketing technologies to meet the immediate operational needs of managing their marketing. This can potential problems including:

- *No long-term plan for martech.* A haphazard approach of implementing different tools for different functions, sometimes referred to as ‘Random Acts of Technology’, or RAT.
- *Insufficient rigour when evaluating martech.* To select the most suitable technology requires the time for a structured review by someone who is experienced in IT or software selection and business case development.
- *Technology solutions from different vendors aren’t integrated. With* multiple tools, data silos can develop where you can’t extract or combine data from different applications without manual export processes.
- *Data are inconsistent.* A single customer view or ‘360-degree view of the customer’ is an aspiration for most businesses, but the reality is often that data in different analysis systems will report different values, so there is no ‘single version of the truth’.

- *Customer journeys can't be tracked across channels.* Customer journeys are now more complex than ever before, with a proliferation of digital marketing channels adding to traditional offline channels that remain important for most businesses. Then there are cross-device journeys as customers consume content on mobile and desktop devices.
- *New martech isn't rolled out with sufficient updates to training and process.* While the appeal of cloud-based SaaS is that they can often be installed by simply tagging the site with relevant JavaScript training in improvements to process are needed to gain the most value from martech.

Activity 2.3

Reviewing the range of martech and digital insight tools

Purpose

To review how different types of insight can be harnessed to improve digital marketing.

Activity

1. Review the Digital Marketing Tools wheel shown in Figure 2.12 and the infographic categorising 5,000 tools created by Brinker (2017) to gain an idea of the range of insight tools available.

2. Split up your groups so that you select a range of different types of business, e.g. small business, retailer, financial services, travel company, B2B service and consumer brand.
3. For your selected business, use a tool such as BuiltWith.com, SimilarTech or the Chrome extension Wappalyzer to see the martech installed.
4. Visit the full infographic containing examples of the tools at http://bit.ly/smartdigitaltools and discuss and categorise the tools by importance for a small business, choosing one of these options:

A. Essential.

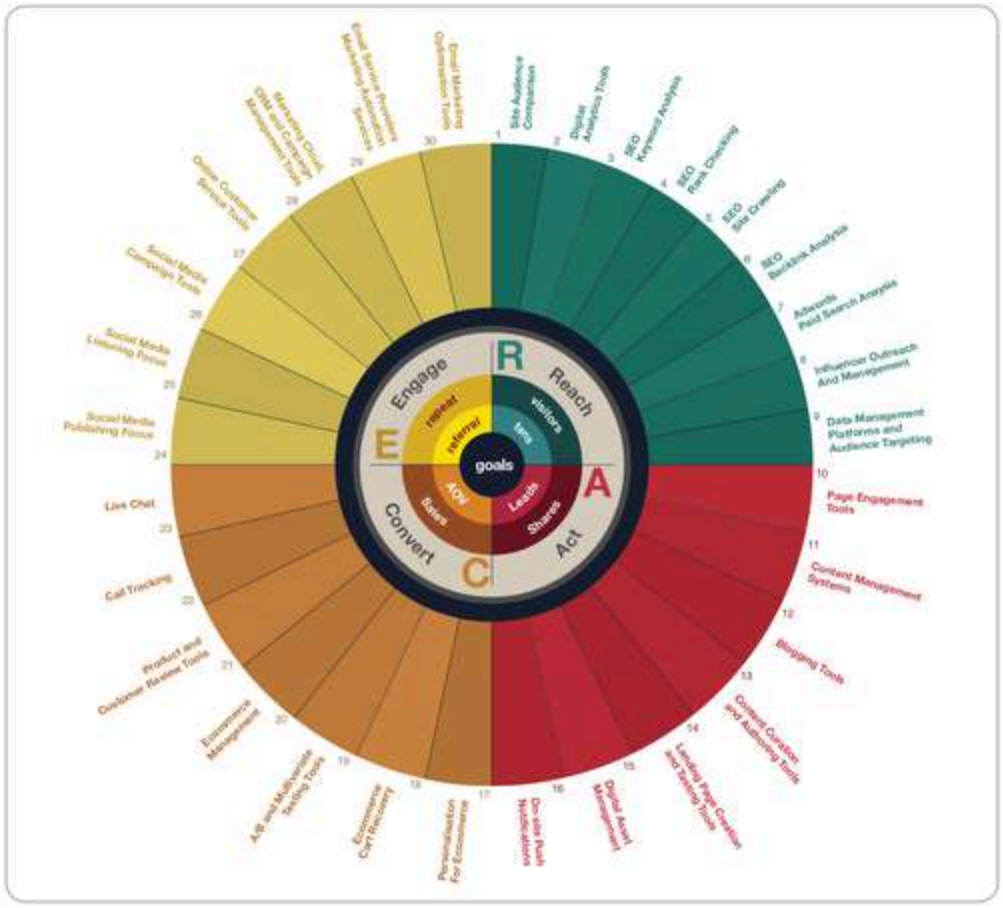
B. Useful for optimisation.

C. Less valuable for smaller businesses.

For example, categories 2 (Digital Analytics), 11 (Content Management Systems) and 29 (Email Service Providers) could all be seen as essential for all businesses.

Figure2.12

Thirty categories of martech and insight tools structured across the customer lifecycle



Source: Chaffey (2017)

We will review specific applications of martech in the context of increasing the effectiveness of digital marketing activities in future chapters:

- **Chapter 6** – data-driven marketing using artificial intelligence and Big Data for relationship marketing, including personalisation of messaging.

- **Chapter 7** – improving digital experiences using website personalisation, mobile apps, AR, VR and IoT.
- **Chapter 8** – tracking of marketing campaigns.
- **Chapter 9** – analysis and targeting for search marketing and digital advertising.
- **Chapter 10** – digital analytics.

Emerging technologies

The principles of the buyer behaviours by different adopters through time is often referred to as the diffusion–adoption process. It was identified by Rogers (1983), who classified those trialling new products as being innovators, **early adopters**, early majority, late majority, through to the laggards. It is still relevant to digital marketing since marketers have to consider both consumer adoption of new digital devices and martech by business.

The diffusion–adoption curve remains useful as it can help managers:

1. To understand there are varied responses from customers to adoption of a technology, or any product
2. To look at adoption of a new technique by other businesses – from an organisational perspective.

A commercial application of the diffusion–adoption curve was developed by technology analyst Gartner (2011). A compilation of recent hype cycles for marketing technology has been created by Smart Insights (Chaffey, 2024). Gartner described a **hype cycle** as a graphic representation of the maturity, adoption and business application of specific technologies.

Gartner (2011) recognised the following stages within the hype cycle (Figure 2.13):

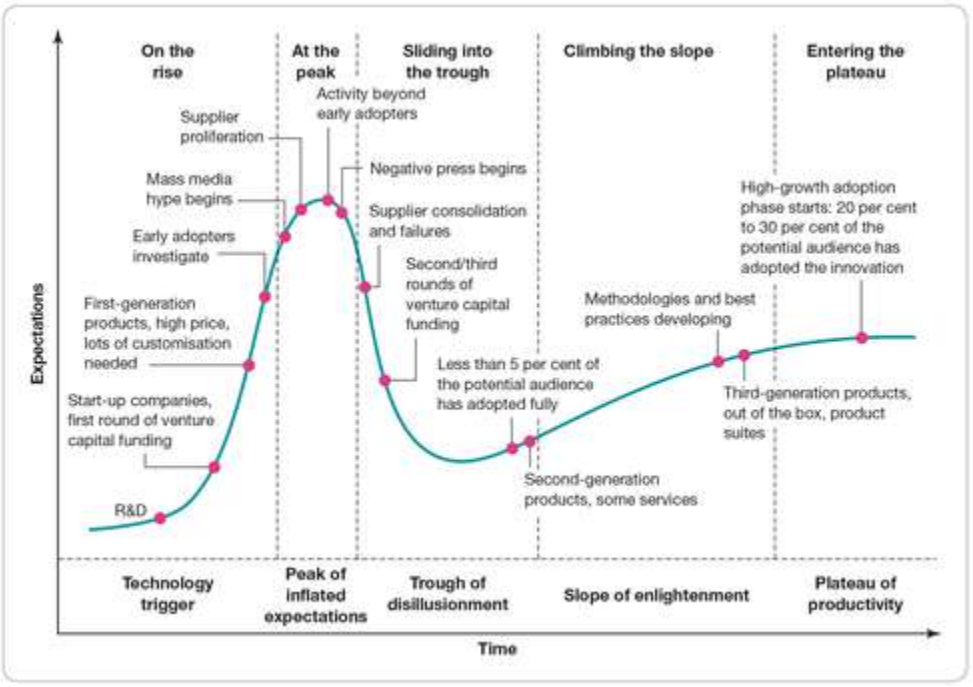
1. *Technology trigger.* The first phase of a hype cycle is the ‘technology trigger’ or breakthrough, product launch or other event that generates significant press and interest.
2. *Peak of inflated expectations.* In the next phase, a frenzy of publicity typically generates overenthusiasm and unrealistic expectations. There may be some successful applications of a technology, but there are typically more failures.
3. *Trough of disillusionment.* Technologies enter the ‘trough of disillusionment’ because they fail to meet expectations and quickly become unfashionable. Consequently, the press usually abandons the topic and the technology.
4. *Slope of enlightenment*. Although the press may have stopped covering the technology, some businesses continue through the ‘slope of enlightenment’ and experiment to understand the benefits and practical application of the technology.
5. *Plateau of productivity*. A technology reaches the ‘plateau of productivity’ as the benefits of it become widely demonstrated and accepted. The technology becomes increasingly stable and evolves in second and third generations. The final height of the plateau varies according to whether the technology is broadly applicable or benefits only a niche market.

We will now briefly review another specific aspect of marketing technology that needs to be considered by online digital marketers:

cybersecurity and blockchain. This is important to reduce online fraud and protect consumer security.

Figure2.13

Different stages of a Gartner hype cycle



Source: Gartner Group

Cybersecurity, blockchain and digital currencies

Digital marketers need to understand security issues and the risks they might encounter in order to manage their online activities effectively. There are many examples of security breaches where risks haven’t been mitigated. PwC (2024) conducted a survey of 5,000 larger businesses, which showed that the cost of security breaches is increasing. In 2024 the percentage who said they had a $1M+ breach was 36 per cent compared to 27 per cent in 2023, with over $42 billion in fraud losses reported in the last 12 months. Security breaches can also bring reputational damage to brands since large data breaches will be featured on mainstream media and may attract substantial fines by regulators, as evidenced by the Information Commissioner’s Office Enforcement Actions page (www.ico.org.uk).

From a consumer or merchant point of view, these are the main security risks involved in an e-commerce transaction:

- confidential details or passwords accessed on user’s computer, for example through keylogging software or malware;
- transaction or credit card details stolen in transit, for example through ‘packet sniffing’ software;

- customer’s credit card details stolen from merchant’s server, for example through hacking;
- customer’s details accessed by company staff (or through a hacker who is in the building and has used ‘social engineering’ techniques to find information);
- hackers who are not who they claim to be, using ‘social engineering’ to gain access to systems, and the innocent party can be drawn into a fraudulent trading situation.

In this edition we no longer consider security counter measures in detail since these aren’t the direct responsibility of the marketer in most businesses. Instead, we look at some of the opportunities of two innovations which may offer opportunities for marketers.

Blockchain and cryptocurrencies

Blockchain technology is an example of how it can be difficult to assess the relevance of a major technology innovation. In their guide to blockchain, *Wired*, Finley and Barber (2019) state: 'Depending who you ask, blockchains are either the most important technological innovation since the internet or a solution looking for a problem'. Certainly, from a marketing communications perspective it isn't as relevant to most companies compared to artificial intelligence and the predictive analytics techniques discussed in **Chapter 6**, although it may be used to support programmatic media buying. However, there are opportunities for marketing innovation using blockchain across many industries, as Mini case study 2.3 shows.

Blockchain technology is a form of cryptography that uses a secure database of groups of transactions that is accessed by different participants to help facilitate different transactions and provide an audit trail.

The original and best-known application of blockchain is Bitcoin, launched in 2008, which is built on a public ledger or database of transactions for which everyone has access to a copy. Bitcoin is a decentralised **digital currency or cryptocurrency** without a central provider such as a bank or other intermediaries. Each change to the ledger is cryptographically signed to prove that the person transferring virtual

coins is the actual owner of those coins. This involves a process called bitcoin mining to create a new bitcoin and maintain the transaction ledger by solving a computational puzzle. Bitcoin miners earn a fee for each coin mined, but the cost of high-end technology and electricity needed to mine a single bitcoin (which can amount to thousands of dollars) means that this is a niche activity.

Other industrial applications such as those discussed in the mini case study may involve a private blockchain. Like secure http or https, transactions use public and private keys, which ensure security.

Mini case study 2.3

How blockchain supports product innovation from ‘social plastic’ to ticketless concerts

Technology providers such as IBM are developing diverse applications for blockchain, many of which focus more on supply chain and logistics management than marketing, but are useful innovations.

Examples of these applications include:

- Henkel’s beauty consumer brands based in Germany (www.henkel.com) have partnered with social enterprise Plastic Bank as part of Henkel’s targets to reduce packaging and promote a

circular economy. Blockchain is used to manage payments to people in Haiti who collect plastic, since there are limited recycling schemes (see Figure 2.14).

- Nordea (www.nordea.com), a financial services provider based in northern Europe, has worked with partners in larger European banks to engage in international trading in order to develop a trade financing platform, we.trade, which will support its small and mid-size companies that are looking to reduce their risk and administrative cost of doing business with new partners. Patrik Zekkar, Global Head, Trade Finance & Working Capital Management, Nordea Bank Abp, explained the benefits like this: ‘The partnership with IBM to develop the blockchain solution and the collaboration with the banks, enables us to do things we were not able to do alone. Suddenly, we can reach currently 30 per cent of the European SME markets.’
- True Tickets (www.true-tickets.com), a US-based B2B service, is using blockchain for event and concert ticketing. Blockchain helps preserve ticket provenance by identifying all buyers and sellers, ensuring that both the tickets and the people buying them are legitimate. Second, the ticketing platform serves as an immutable ledger, allowing artists, venues, promoters and fans to track a ticket through each stage of its lifecycle, from creation to its use at an event. Following the COVID-19 pandemic, it can also provide a ticketless solution.

- Mediaocean (www.mediaocean.com), a marketing technology company that supports publishers and advertisers with programmatic advertising services, has worked with IBM to tackle media supply-chain transparency. This enables agencies and their clients to view all transactions and fees in the media-buying supply chain and data collection to reduce auditing steps, time and cost.
- In the section on ‘Political forces’ at the end of this chapter, we also explain how a new Central Bank Digital Currency (CBDC) based on blockchain technology is being explored in many countries.

Figure2.14

Process used by Plastic Bank in Haiti to support their recycling service to Henkel



Source: MOHAMED ABDULRAHEEM/Shutterstock

Sources: A summary of case studies featured in IBM (2020). For further information see www.henkel.com; www.nordea.com; www.true-tickets.com and www.mediaocean.com

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A manager may have read articles in the trade and general press or spoken to colleagues, which has highlighted the potential of a new technology-enabled marketing technique. They then face a difficult decision as to whether to:

- ignore the use of the technique completely, perhaps because it is felt to be too expensive or untried, or because they simply don't believe the benefits will outweigh the costs;
- ignore the technique for now, but keep an eye on the results of other companies that are starting to use it;
- evaluate the technique in a structured manner and then make a decision as to whether to adopt it according to the evaluation;
- enthusiastically adopt the technique without a detailed evaluation, since the hype alone convinces the manager that it should be adopted.

Depending on the attitude of the manager, this behaviour can be summarised as:

1. Cautious, a 'wait-and-see' approach.

2. Intermediate, sometimes referred to as ‘fast-follower’ approach. Let others take the majority of the risk, but if they are proving successful then rapidly adopt the technique, i.e. copy them.
3. Risk-taking, an early-adopter approach.

But as adoption of digital technologies has increased, the diffusion–adoption curve sometimes doesn’t follow the usual pattern of adoption. Digital services, such as ChatGPT, Instagram and Zoom, which are offered freely to the market, are rapidly adopted globally (Downes and Nunes, 2013) creating a ‘big-bang effect’ as new users rush to access the new service or product. But the problem that can occur with being an early adopter (as an organisation) is that being at the leading edge of using new technologies is often also referred to as the ‘bleeding edge’ due to the risk of failure. New technologies will have bugs or may integrate poorly with existing systems, or the marketing benefits may simply not live up to their promise. Of course, the reason for risk taking is that the rewards are high – if you are using a technique that your competitors are not, then you will gain an edge on your rivals. For example, RS Components (uk.rs-online.com/web/) was one of the first UK suppliers of industrial components to adopt personalisation as part of its e-commerce system. It learned the strengths and weaknesses of the service and now knows how to position it to appeal to customers. It offers facilities such as customised pages, access to previous order history and the facility to place repeat orders or modified re-buys. To offer further value it has also developed a ‘DesignSpark’ design engineering platform to help its customers, which

includes free software, a design library and a community for engineers. This has enabled it to build up a base of customers who are familiar with using the RS Components online services and are then less likely to swap to rival services in the future.

So, what action should marketing and e-commerce managers take when confronted by new techniques and technologies? There is no straightforward rule of thumb, other than that a balanced approach must be taken. It would be easy to dismiss many new techniques as fads, or classify them as ‘not relevant to my market’. However, competitors are likely to be reviewing new techniques and incorporating some, so a careful review of new techniques is required. This indicates that benchmarking of ‘best of breed’ sites within a sector and in different sectors is essential as part of environmental scanning. However, by waiting for others to innovate and review the results on their website, a company has probably already lost 6 to 12 months.

Legal forces

Digital content and experiences published across diverse media from mobile apps and websites to email to social media are subject to many laws. Marketers and business owners need to be aware of and ensure they comply with the laws relating to digital marketing to avoid incurring fines and reputational damage to the business. In this section we will highlight six of the main types of laws that marketers are subject to and give examples of enforcement actions taken against business and give guidance to mitigate these risks.

As with all legislation, laws are created in order to provide a framework of control and regulations that aim to protect individuals and businesses. Adhering to laws governing online content and media is challenging for marketers and businesses since:

- Digital media are relatively new and innovation occurs on different platforms from the likes of Meta, Google and TikTok which may require new legislation.
- Global distribution and access of online content means that businesses are subject to laws in different countries where their content and services are accessed.
- Laws develop at different rates in different countries, so marketers need to ensure they are compliant with every local jurisdiction they

trade in.

- Digital media and services aren’t covered by a single type of law, they may be subject to advertising laws, trading laws, data protection laws, disability and discrimination laws, intellectual property laws and others.
- If laws aren’t in place for new media, brands may need to define their own ethical approach in line with their brand values.

This section considers six of the most important legal issues for digital marketers (see Table 2.4).

Legal activities can be considered unethical

Digital marketers should be compliant with the law and adhere to **ethical standards** but the rate of technological innovation is rapid and consequently the law is often unclear. In this case, marketers need to tread carefully since unethical action can result in serious damage to the reputation of a company and negative sentiment can result in a reduction in online audience or sales.

1 Data protection and privacy law

privacy refers to a moral right of individuals to avoid intrusion into their personal affairs by third parties. Protection of privacy of personal data, such as our identities, likes and dislikes, is a major concern to consumers, particularly with the dramatic increase in **identity theft**.

Table2.4

Summary of significant laws that control digital marketing

Legal issue	Digital marketing activities affecte

1 Data protection and privacy law	Collection, storage, usage and deletion of perso information directly through data capture on for indirectly through tracking behaviour through w Email marketing and SMS mobile marketing Personalisation based on data collected to delive relevant product offers on a website or via an ad Use of viral marketing to encourage transmissio marketing messages between consumers Use of cookies and other techniques for recomm content and tracking on site Use of cookies or other fingerprinting technolog tracking between sites, for example for advertisi Use of digital assets installed on a user's PC for purposes, e.g. toolbars or other downloadable ut sometimes referred to as 'malware'
2 Disability and discrimination law	Accessibility of content, such as images for the impaired, within different digital environments: • website • email • mobile • social media • IPTV

	Accessibility affecting other forms of disability hearing difficulties and motor impairment
3 Brand and trademark protection	Use of trademarks and brand names within: • domain names • content on site (for search engine optimisati • natural search results • paid search advertising campaigns (e.g. Goo • representation of a brand on third-party sites partners, publishers and social networks • defamation of employees
4 Intellectual property rights	Protection of digital assets such as text content, audio and sounds through digital rights manager
5 Contract and distance-selling law	Validity of electronic contracts relevant to: cancellations returns errors in pricing distance-selling law international taxation issues where the e-con service provider is under a different tax regi purchaser

6 Online advertising law	Similar issues to traditional media: claims about the offer use of endorsements, e.g. celebrity endorsen social media and by vloggers causing offence (e.g. viral marketing)

Digital marketers can better understand their customers' needs by collecting and using this type of insight. Through collecting personal information it becomes possible to develop highly targeted communications and develop products that are more consistent with users' needs. Therefore, how should marketers respond to this dilemma? An obvious step is to ensure that marketing activities are consistent with the latest data protection and privacy laws. Although compliance with the laws may sound straightforward, in practice different interpretations of the law are possible and since these are new laws they have not been tested in court. As a result, companies have to make their own business decisions based on the business benefits of applying particular marketing practices against the financial and reputational risks of less strict compliance.

The main information types used by the digital marketer that are governed by ethics and privacy legislation are:

1. *Contact information.* This is the name, postal address, email address and, for B2B companies, website address.
2. *Profile information.* This is information about a customer's characteristics that can be used for segmentation. It includes age, sex and social group for consumers, and company characteristics and individual role for business customers (see **Chapter 6**).
3. *Platform usage information.* Through web analytics systems it is possible to collect information on type of computer, browser and screen resolution used by site users (see **Chapter 7**).
4. *Behavioural information (on a single site).* This includes the whole of the buying process as people view different pages and potentially buy and return to the sites. Traditionally, first party cookies have been used to identify returning visitors. Web analytics (**Chapter 10**) can be used to assess the web and email content accessed by individuals.
5. *Behavioural information (across multiple sites).* This can potentially show how a user accesses multiple sites and responds to adverts across sites. Typically these data are collected and used through an anonymous profile based on third-party cookies or IP addresses, which are not related to an individual.

Table 2.5 summarises how these different types of customer information are collected and used through technology. The main issue to be considered by the marketer is disclosure of the types of information

collection and tracking data used. We will now introduce the principles of the relevant laws for which marketers need to ensure their businesses are compliant.

Data protection law

Data protection legislation is enacted to protect the individual, to protect their privacy and to prevent misuse of their **personal data**.

In the United Kingdom, the enactment of the European GDPR legislation introduced in 2018 before Brexit is the Data Protection Act 1984, 1998 and 2018 (DPA), which is covered by the legal requirements of the 2018 UK Data Protection Act. Since Brexit the EU Commission have adopted adequacy decisions for the UK GDPR and the Law Enforcement Directive. This means data can continue to flow freely between the EU and the UK, in the majority of cases. The Information Commissioner's Office is the UK's independent authority, which 'upholds information rights in the public interest, promoting openness by public bodies and data privacy for individuals' (ICO, 2018a). The ICO provides detailed information at: https://ico.org.uk/. Any company that holds personal data on computers or on file about customers or employees must be registered with a data protection registrar (although there are some exceptions that may exclude small businesses). This process is known as **notification**.

The importance of being aware of data protection laws is evident from reviewing the news section of the ICO (https://ico.org.uk/about-the-

ico/media-centre/news-and-blogs/) which catalogues different enforcement actions, here are a selection at the time of writing:

- *ICO fines HelloFresh £140,000 for spam texts and emails* – Company sent 79 million spam emails and 1 million spam texts in seven months.
- *ICO fines financial services company £50k for spam text messages* – Over a six-week period LADH Limited sent more than 31,000 text messages without valid consent.
- *ICO writes to 53 of the UK's top 100 websites, warning that they faced enforcement action* – They were required to make changes to advertising cookies and notices to give consent to comply with data protection law.
- *ICO issues half a million pounds in new fines to tackle illegal nuisance calls* – give companies collectively made 1.9 million unwanted marketing calls which targeted the elderly and people with vulnerabilities.

Similar enforcement actions are taken in Australia (https://www.oaic.gov.au/), New Zealand (https://www.privacy.org.nz/) and Canada (https://www.oic-ci.gc.ca/en). In the European Union similar enforcement actions happen where fines up to 6 per cent of worldwide annual turnover can be applied in cases where there is breach of the digital service act obligations (For details, see https://digital-strategy.ec.europa.eu/en/policies/dsa-enforcement). In the United States

there is no overall national data protection agency, with the main forms of enforcement government enforcement, State Attorney General, and individual group action.

Table2.5

Types of information collected online and the related technologies

Type of information	Approach and technology used to capture a information
1 Contact information	• Online forms – online forms linked to a custon database • Cookies and new alternatives – used to remem specific person on subsequent visits (see Digit marketing insight 2.3)
2 Profile information including personal information	• Online registration forms collect data on social and company sites • Cookies can be used to assign a person to a pa segment by linking the cookie to a customer d record and then offering content consistent wit segment
3 Access platform usage	• Web analytics system – identification of comp operating system and screen characteristics bas attributes of visitors. Systems should not be co such at personally identifiable information (PI not be collected). Google Analytics 4 features sandbox' can be used adapt to the phasing out party cookies while enhancing AI-driven busin insights.

4 Behavioural information on a single site	• Purchase histories are stored in the sales order • Web analytics store details of clickstreams of t individual's sequence of web pages visited, bu aggregated in reports – individual details are n • Web beacons in email marketing – a single pix used to assess whether a reader opened an ema • First-party cookies are also used for monitorin behaviour during a site visit and on subsequen • If a user fails to stop Malware being installed c phone or computer this could collect additiona information such as passwords
5 Behavioural information across multiple sites	Third-party cookies are being phased out from new fingerprinting alternatives are used for ass visits from different sources such as online adv networks or affiliate networks (Chapter 9) Search engines such as Google have traditiona third-party cookies to track advertising; Googl through its Google Ads pay-per-click program

Business requirements for appointing team members responsible for data protection

The UK guidelines on data protection law are set out in the Data Protection Act (2018) and the related General Data Protection Regulation (ICO, 2018a). Both reference *controllers* of data and *processors* of data. The *controller* determines the purpose and means of processing personal data and the *processor* is responsible for carrying out the processing on

behalf of the *controller*. The GDPR applies to the gathering and using of personal and sensitive data and requires that personal data shall be:

a. processed lawfully, fairly and in a transparent manner in relation to individuals;

b. collected for specified, explicit and legitimate purposes and not further processed in a manner that is incompatible with those purposes; further processing for archiving purposes in the public interest, scientific or historical research purposes or statistical purposes shall not be considered to be incompatible with the initial purposes;

c. adequate, relevant and limited to what is necessary in relation to the purposes for which they are processed;

d. accurate and, where necessary, kept up to date; every reasonable step must be taken to ensure that personal data that are inaccurate, having regard to the purposes for which they are processed, are erased or rectified without delay;

e. kept in a form that permits identification of data subjects for no longer than is necessary for the purposes for which the personal data are processed; personal data may be stored for longer periods insofar as the personal data will be processed solely for archiving purposes in the public interest, scientific or historical research purposes or statistical purposes subject to implementation of the appropriate technical and organisational measures required by the

GDPR in order to safeguard the rights and freedoms of individuals; and

f. processed in a manner that ensures appropriate security of the personal data, including protection against unauthorised or unlawful processing and against accidental loss, destruction or damage, using appropriate technical or organisational measures (ICO, 2018b).

Anti-spam legislation

Laws have been enacted in different countries to protect individual privacy and with the intention of reducing **spam** or unsolicited commercial email (UCE).

Anti-spam laws do not mean that email cannot be used as a marketing tool but instead require that the recipient has to agree to receive the mailing. This approach is called **permission marketing**. Permissive email marketing is based on consent or **opt-in** by customers, and the option to unsubscribe or **opt-out** is the key to successful email marketing. Email lists can also be rented where customers have opted in to receive email. This is known as a **cold list**, so called because the company that purchases the data from a third party does not know you. Your name will also potentially be stored on an opt-in **house list** within companies you have purchased from where you have given your consent to be contacted by the company or given additional consent to be contacted by its partners.

Increasingly, specific laws to prevent spam are being incorporated into general privacy laws introduced earlier in this section.

A basic understanding of cookies is useful background for marketers since they have been used by the majority of websites for many years to personalise ads and experiences and track visits to sites. Legislation has been enacted in many countries to control them and today there is much discussion of the ‘cookieless future’ although currently this refers mainly to third-party cookies. So as a marketer you will likely need to make decisions about when, where and how cookies are served on websites and how the reasons and consent to this is communicated to website visitors. To learn more read Digital marketing insight 2.3.

Digital marketing insight 2.3

Understanding cookies and the cookieless future

A **cookie** is a data file placed on your computer that identifies that individual computer. ‘Cookie’ derives from the Unix operating system term ‘magic cookie’, which means something passed between routines or programs that enables the receiver to perform some operation.

The majority of content management systems still use cookies and cookies have proved useful to marketers to deliver more targeted relevant personalised communications to individuals such as promotions or more relevant content. Yet they have caused a lot of distrust among users who fear tracking, and legislation has resulted to encourage more

transparency over their use. Third-party cookies, which are particularly important for digital advertising across different publishers, social networks, search engines and brand websites, have proved to be a particular concern and laws such as GDPR, PECR and the CCPA have been enacted to govern their use. So, from 2024 platforms such as the Google Chrome Web browser and Apple Safari browsers are limiting their use. This has resulted in the ubiquitous ‘cookie privacy’ messages on websites encouraging users to opt in to different forms of cookies, but with the option to opt out of them.

Types of cookies

The main cookie types are:

- **persistent cookies**. These stay on a user’s computer between multiple sessions and are most valuable for marketers to identify repeat visits to sites.
- **temporary or session cookies** (single session). Useful for tracking within pages of a session such as on an e-commerce site.
- **first-party cookies**. Served by the site visitors are accessing. These can be persistent or session cookies.
- **third-party cookies**. Served by another site to the one being viewed, typically for publishers where an ad network will track remotely or where the web analytics software places a cookie. These are typically persistent cookies.

Cookies are stored as individual text files in a directory on a personal computer. There is usually one file per website. For example: dave_chaffey@british-airways.txt. This file contains encoded information as follows:

FLT_VIS |K:bapzRnGdxBYUU|D:Jul-25-1999| british-airways.com/ 0 425259904 29357426 1170747936 29284034 *

Although many web users may think personally identifiable information is stored, the information in the cookie file is essentially just an identification code that may link to a

customer database and the date of the last visit, although other information could also be stored.

Legal constraints on cookies

The PECR (Privacy and Electronic Communications) in the UK and later, the GDPR throughout Europe, gave companies guidance on their use of cookies and state that a **privacy statement** is required:

> You must tell people if you set cookies, and clearly explain what the cookies do and why. You must also get the user's consent. Consent must be actively and clearly given.

> There is an exception for cookies that are essential to provide an online service at someone's request (e.g. to remember what's in their online basket, or to ensure security in online banking).

> The same rules also apply if you use any other type of technology to store or gain access to information on someone's device.

Towards a cookieless future

Apple, provider of the Safari browser, removed default tracking of third-party cookies in March 2020. Google, provider of the Chrome browser, has pledged to remove tracking of third-party cookies in 2024. Google has taken longer to remove these cookies since its Google Ads service is dependent on these, so it has tested different alternatives. The current solution is the Topics API proposal in Chrome’s Privacy Sandbox which is aimed at protecting user privacy while enabling advertisers to show relevant content and ads. For example, if they browse content in the /Sports/Tennis/ category, it will be possible to target ads to this user based on this, but without detailed knowledge of their browsing behaviour which were previously shared through cookies. Topics enables the Chrome browser to identify recognizable interest categories based on recent browsing history to enable sites to serve relevant ads. There are over 400 categories, but only three recent categories will be used, so ads will be less relevant. Topics avoids sensitive categories, such as ethnicity or sexual orientation.

2 Disability and discrimination law

Laws relating to discrimination against disabled users who may find it more difficult to use apps or websites because of audio, visual, motor or other impairment are known as **accessibility legislation**. This is often contained within disability, equality and discrimination acts. In the United Kingdom, the relevant act is the Equality Act 2010, but in Northern Ireland the Disability and Discrimination Act 1995 still applies. An article by Eye-able (2023) summarises relevant accessibility laws in Europe, the UK, United States, Australia and New Zealand.

Web accessibility refers to enabling all users of a website to interact with it regardless of disabilities they may have or the web browser or platform they are using to access the site. The visually impaired or blind are the main audience whom designing an accessible website can help. Since mobile apps and smart TVs are now a key method of accessing online content, we now talk about ‘digital accessibility’. Coverage of the requirements that accessibility places on web and app design are covered in **Chapter 7**.

3 Brand and trademark protection

Online brand and trademark protection covers several areas, including use of a brand name within domain names and use of trademarks within other websites and in online adverts.

Domain name registration

Most companies are likely to own several domains, perhaps for different product lines or countries or for specific marketing campaigns. Domain name disputes can arise when an individual or company has registered a domain name that another company claims they have the right to. This is sometimes referred to as ‘cybersquatting’. If you are responsible for a company website, you need to check that relevant domain names belong to the business and they are automatically renewed by your hosting company (as most are today).

Reputational damage from advertising and PR activities

Companies fear reputational damage through advertising on sites with which they wouldn’t want their brand associated because of ad buys on social networks or ad networks (**Chapter 9**) where it was not clear what content their ads would be associated with. For example, Vodafone removed all its advertising from the social network Facebook after its ads

appeared on the group profile for the British National Party. Many other advertisers withdrew their advertising as a result.

Monitoring brand conversations in social networks and blogs

Online brand reputation management and alerting software tools offer real-time alerts when comments or mentions about a brand are posted online in different locations, including blogs and social networks. Some basic tools are available including:

- Talkwalker Alerts™ and Google Alerts, which will alert companies when any new pages appear that contain a search phrase such as your company or brand names.
- Buzzsumo™ shows content that is widely shared.
- Socialbakers™ provides insights on which brands are most shared in a category on social media.

There are also more sophisticated online reputation-management services that offer more in-depth analysis on whether the sentiment is positive or negative and cover other issues such as unauthorised use of logos and use

of trademarks. Examples include Brand24™, Sprout Social™ and Brandwatch™.

4 Intellectual property rights

intellectual property rights (IPRs) protect designs, ideas and inventions, and include content and services developed for e-commerce sites. Closely related is copyright law, which is designed to protect authors, producers, broadcasters and performers by ensuring they see some returns from their works every time they are experienced. The European Directive on Copyright (2001/29/EC) came into force in many countries in 2003. This was a significant update to the law, which covers new technologies and approaches such as streaming a broadcast via the internet. The EU Directive (EU) 2019/790 that came into force in May 2019 continues in the United Kingdom post Brexit and the extent to which the UK Government intends to change or update this remains unclear.

IP can be misappropriated online in two senses. First, an organisation's IP may be misappropriated and you need to protect against this. For example, it is relatively easy to copy web content and republish on another site, and this practice is not unknown among smaller businesses. Reputation management services can be used to assess how an

organisation’s content, logos and **trademarks** are being used on other websites.

5 Contract and distance-selling law

Online contract law relates to the sales process rather than marketing communications, so is mainly relevant to transactional e-commerce businesses. Regardless of legal jurisdiction, which is typically based where the merchant is located (‘the country of origin principle’), the principles of **distance-selling law** are that buyers, rights should be protected and there should be clarity and transparency about fees and processes, so additional costs shouldn’t be hidden by the ‘dark design patterns’ discussed in **Chapter 7**. It’s also important that merchants check the costs carefully since if items are mis-priced too low, the onus is on the retailer to supply goods at the fees advertised. Since returns are common for some e-commerce categories such as clothing, it’s also required that merchants are clear on their cancellation or returns policies and any associated costs.

For example, the UK Government lists these requirements of information that must be provided for distance selling to be legal before an order is placed (GOV.UK, 2021):

- business name, contact details and address;
- a description of goods or services;
- the price, including all taxes;
- how a customer can pay;

- delivery arrangements, costs and how long goods will take to arrive;
- the minimum length of their contract and billing period;
- conditions for ending contracts;
- how customers can cancel and when they lose the right to cancel;
- if they will still need to pay reasonable costs for using a service after they cancel;
- a standard cancellation form, if they can cancel;
- conditions for money given as a deposit or financial guarantees;
- what digital content does (for example, the language it's in or how to update software);
- the cost of using phone lines or other communication to complete the contract where it will cost more than the basic rate.

Tax law is closely related to distance-selling law. It's now common that online sales value-added tax (VAT) is paid by the consumer in their country, which is known as 'place of supply'. The details of taxation can vary depending on whether the supply refers to physical goods or digital goods.

Post-Brexit, e-commerce businesses in the United Kingdom have had to change their approach to how taxes are collected and paid for sales in other countries. However, the principle is similar. For VAT purposes, the

place of supply of a service is the place where that service is treated as being supplied to a consumer or business. This is the place where it's liable to VAT (if any). If the supply is in the United Kingdom, it is subject to UK VAT; if it's outside the United Kingdom, a local tax must be applied and paid in each country. From July 2021, businesses affected by changes to VAT rules can use a one-stop shop VAT accounting procedure to help manage overseas tax liabilities (Azets, 2021).

Taxation is also covered in the section on political influence, since there are ongoing discussions in many companies on whether higher digital taxes should be levied.

6 Online advertising and influencer marketing law

Advertising standards that are enforced by independent agencies. In the United States, the Federal Trade Commission (FTC) has guidance on Endorsements, Influencers, and Reviews (https://www.ftc.gov/business-guidance/advertising-marketing/endorsements-influencers-reviews). The UK's Advertising Standards Authority (ASA) *Committee of Advertising Practice (CAP)* code also apply online (although they are traditionally less strongly policed, leading to more 'edgy' creative executions online, which are intended to have a viral effect). One particular challenge of online advertising for consumers is that marketing communications must be obviously identifiable. This is a particular challenge where brands are working with influencers who share content in their feed which aren't a traditional paid ad labelled as 'Sponsored' by the platform. The ASA Guidance covers these cases:

- Where influencers must clearly show an organic social media posts is a post when promoting for their own or a brand's products, running a competition, prize draw or giveaway and getting commission through affiliate marketing.
- Marketing communications must not falsely claim or imply that the marketer is acting as a consumer (i.e. marketers should not leave

reviews about their companies or competitors on behalf of their business).

- Marketers and publishers must make clear that advertorials are marketing communications; for example, by heading them ‘advertisement feature’. This guidance is necessary since the increase in native advertising has meant that many pieces of content masquerading as ads haven’t been disclosed.

In the UK the ASA publishes rulings and maintains a list of ‘noncompliant advertisers’, many of which now relate to social media (https://www.asa.org.uk/codes-and-rulings/rulings.htm). Recent examples of rulings by the ASA against brand and influencer activity on social media (of which there are several each month) include:

- An Instagram post and an Instagram story about Vodafone on Alexandra Felstead’s account were not obviously identifiable as ads.
- Four organic posts from Supreme CBD on X were not obviously identifiable as ads, and claimed that a food could treat insomnia and anxiety.
- Four posts on influencer Millie Bracewell’s TikTok account were not obviously identifiable as ads for Erlem clinic, trivialised the decision to undergo cosmetic surgery and were directed at under-18s through the context they appeared in.

- A tweet by Ozzy Osbourne which promoted the PlayStation VR2 was not obviously identifiable as an ad.
- An Instagram post on Rio Ferdinand's account which promoted the Visit Qatar website was not obviously identifiable as an ad.

In the US, the Federal Trade Commission (FTC) has defined **native advertising** as 'blending advertisements with news, entertainment, and other editorial content in digital media', i.e. it is synonymous with 'sponsored content'.

An extension to the meaning of celebrity is that the ASA has ruled that social media influencers with over 30,000 followers are classed as celebrities and must adhere to the advertising codes. Digital marketers should take note and carefully scrutinise any claims they make to ensure they are within the codes of conduct.

Social forces

Social forces are closely linked with culture and have significant implications for digital marketing. Broadly speaking, the key factors that make up these forces are social communities based on demographic profile, social exclusion and cultural factors. Those issues related to consumer demographics and behaviour are covered in the next chapter.

Social exclusion

Analysis of demographic trends can reveal important issues, such as a significant group in each national population of at least a quarter of the adult population that does not envisage ever using the internet. Clearly, the lack of demand for internet services from this group needs to be taken into account when forecasting future demand. Furthermore, this raises the questions of social isolation, and **social exclusion**.

Research by Age UK (2023) found that almost 6 million people aged 65+ are unable to use the internet safely or aren't online at all noting that 'with the increasing reliance on technology, in addition to an ageing population, a lot of older people are at risk of becoming digitally excluded'. Key barriers for this group are lack of knowhow and digital skills; security issues and fear of fraud; and lack of access to technology. To overcome these barriers this study found that having someone close by to help, having the opportunity to learn how to use the technology, free access and technical support could all encourage more use of the internet by this group.

Developed countries with the economies to support it are promoting the use of IT and the internet through social programmes, such as the UK Government’s Digital Inclusion Strategy.

Economic forces

Globally, economic influences affect the level of success of business. Economic forces affect supply and demand and consequently it is important for digital markets to identify which economic influences they need to monitor. Classic economic factors (e.g. growth and unemployment, interest and exchange rates) can affect every aspect of business activity and are equally pertinent to off- and online businesses. International market growth and emerging economies, for example Central and Eastern European markets, Indian and Asian economies, also have the potential to influence digital marketing activities. In this section we explore the implications of economic forces for digital market growth and employment, interest and exchange rates and globalisation.

Market growth and employment

The economic environment can have a critical impact on the success of companies through its effect on supply and demand. Companies must choose those economic influences that are relevant to their business and monitor changes.

The impact of changes in demand can have far-reaching implications for digital marketing initiatives as this will affect the strength of market growth. Sophisticated technology enables companies to analyse purchasing patterns and forecast future demand. But this is only part of the picture of consumption that drives modern global economies. It is also important to monitor changes to trends (which affect market growth) in order to be able to make realistic predictions about how consumers and companies are going to behave in the future.

Economic growth

Throughout history there have been periods of strong economic growth followed by economic downturn and recession. The dot.com period of boom and bust at the beginning of the 21st century highlighted the fragility of high-tech markets and many of the emerging internet companies, which had high-value stock market valuations, crashed and no longer exist. However, from such disruption has emerged an online economy that is fuelling growth. When there is economic growth during

periods of boom, companies should be prepared to experience increased demand for their products and online services. During periods of economic decline, sales may decline as customers re-evaluate their needs and spending requirements. For digital marketers the challenge (from an economic perspective) is predicting the next boom or decline as they need to consider investments, research and development, and if they fail to correctly anticipate the changing state of the economy they may encounter difficulties or miss opportunities.

Globalisation

In recent years the world has become more accessible, global expansion and exports across the world are now possible and the internet has been an influencing factor in the growth in trade.

In the digital world, **globalisation** reflects the move towards international trading in a single global marketplace and the blurring of social and cultural differences between countries.

The internet provides opportunities for market expansion, a key driver of adoption according to Doherty *et al*. (2003). Cross border e-commerce has facilitated foreign trade, improved global supply chains and reduced costs. Exchange of information and interactive communications through digital channels have also contributed (Ding, 2020).

However, digital marketers need to be aware of the implications of trading in global markets and consider whether to develop bespoke branding and marketing campaigns or whether to apply a standardised approach, and should also not lose touch with the needs and wants of local markets.

Political forces

Political forces can have implications for digital marketing strategy and planning. The political environment is shaped by the interplay of government agencies, public opinion and consumer pressure groups, and industry-backed organisations such as TrustArc. Interaction between these organisations helps to create a trading environment with established regulations and privacy controls. The political environment has many factors that influence the trading environment, such as taxation, investment and management of business and public affairs. Political forces are closely intertwined with economic forces – for example, the government sets financial goals for the Bank of England, which in turn sets interest rates to control inflation. The government's influence over the economy has an impact on overall economic performance and also business investment. There may also be initiatives that relate directly to e-commerce that relate to new payment methods. Digital payment methods such as PayPal and Bitcoin have reduced centralised control and transparency. In many countries, a new Central Bank Digital Currency (CBDC) based on blockchain technology is being explored.

In 2020, the Bank of England published a discussion paper on CDBC, which it defined as an:

> electronic form of central bank money that could be used by households and businesses to make payments.

Since China announced a pilot programme for testing a CBDC in 2020, countries that are testing a CBDC to issue into public circulation include Sweden, France, the Philippines, Japan, Turkey and Switzerland.

Marketers can review political action enacted through government agencies to control the adoption of the internet, since this may give them opportunities for funding. Government actions include:

- promoting the benefits of adopting the internet for consumers and business to improve a country's economic prosperity;
- sponsoring research leading to dissemination of best practice among companies;
- enacting legislation to regulate the environment, for example to protect privacy or control taxation;
- developing strategies that create opportunities for growth and development of the digital economy.

As an example of a digitally-led initiative, the Department for Business, Energy & Industrial Strategy (BEIS) launched the UK's future Industrial Strategy, proposing a vision intended to transform the UK economy based

on five foundations: ideas, people, infrastructure, business environment and places. Technical innovation and global trade in goods and services are key elements of the strategy and therefore of great significance to digital marketers as the Government will develop policy to support the achievement of its goals. For example, key policies focus on major investment in harnessing the value of innovation, new skills training, development of the digital infrastructure and business growth (HM Government, 2017).

It is useful for marketers to be aware of the Government's policies to improve digital capabilities since there may be opportunities to gain funding for skills development or research and development. Many businesses in Australia and the United Kingdom have benefited from recruiting digital marketing apprentices as part of the skills development from such initiatives. This has helped businesses develop their employees' digital skills using matched government funding to support professional training from universities and other training providers. Swain (2020) outlines the remit of digital marketing apprenticeships.

Internet governance

internet governance refers to the controls put in place to manage the growth of the internet and its usage. Governance is traditionally undertaken by government, but the global nature of the internet makes it less practical for a government to control online. No one runs the internet and while there are many individuals, businesses and organisations that have a vested interest in ensuring the stability of the internet, there is no central governing body. ICANN oversees the allocation of domain names and internet protocols and the US Department of Commerce has some sway over decisions relating to the domain name system (DNS) root zone (top-level domain system) with ICANN; some academics argue that, ultimately, the US has the power to have the final word on decisions (Woltag, 2012). The Internet Engineering Task Force (IETF) is involved with the maintenance and development of technical standards.

The net neutrality principle

The **net or network neutrality** principle enshrines equal access to the internet such that telecom providers do not discriminate access to data or connectivity for different users based on their type or amount of content and platforms. For example, restricting access to streaming services for people who cannot afford higher fees violates net neutrality. The most common context for net neutrality is the desire by some telecommunications companies and ISPs to offer tiered access to

particular internet services. How net neutrality is implemented differs in different countries.

The second and less widely applied, but equally significant, concept of net neutrality is the wish by some governments (or other bodies) to block access to certain services or content. For example, the government in China limits access to certain types of content in what was glibly called ‘The Great Firewall of China’ (August, 2007).

More than a decade later China continues to implement censorship and control, although there have been many attempts to circumvent information censorship (Chandel *et al*., 2019). Google and the Chinese authorities have continued to argue over free and uncensored access to information. Google ended its search product in this region in 2010 but continues to sell hardware products and cloud computing services to Chinese firms with international trade operations, and looks for opportunities to develop more market share in the region (Kharpal, 2019).

Taxation

How to change tax laws to reflect globalisation of trade facilitated by the internet is a problem that many governments are grappling with. The fear is that the internet may cause significant reductions in tax revenues to national or local governments if existing laws do not cover changes in purchasing patterns. The tax revenue collected from platforms such as Amazon, Facebook and Google has attracted much attention in many countries, since because of their legal taxation arrangements, tax may be paid at lower rates in other countries, resulting in reduced tax in the country where products or services are sold. Deliberations on new digital or online sales taxes is an aspect of the macro-environment that merchants will pay close attention to since it will affect their profitability. For example, the UK Government has implemented a 2 per cent Digital Services Tax on the revenues of search engines, social media platforms and online marketplaces that derive value from UK users. The European Union has similar measures.

To conclude this chapter, read Case study 2.1 about L’Oreal Paris, the international cosmetics brand. We can learn how this global brand has

utilised digital channels and technologies to become a Digital First global corporation.

Case study 2.1

Creating the beauty that moves the world



Source: Monticello/Shuterstock

Context and company background

This case study explores the strategy and management adopted by L'Oréal Group when deploying digital technologies to advance market share to build a *Digital First* company and achieve digital transformation for the group.

L’Oréal Group operates in the beauty sector and its corporate goals seek to provide everyone with the opportunity to access excellent-quality beauty products, which are produced safely and responsibly. This goal statement gives the group the opportunity to focus its strategy and management on the business of product innovation and delivering customer value while adhering to exacting ethical principles and valuing diversity.

The L’Oréal Group consists of four divisions: Consumer Products, Professional Products, Active Cosmetics and L’Oréal Luxe. Each division serves different and distinct markets, with highly recognisable brands including Maybelline, L’Oréal Paris, Lancôme, Vichy, Matrix and Helena Rubenstein. Digital is now playing a very important part of each division of L’oreal. They have utilised various digital technologies and channels to achieve corporate goals through this transformative period. All divisions have embraced digital to leverage competitive advantage and create value for their target customers across the extensive product ranges: skincare, cosmetics, makeup, haircare and fragrances. Indeed, digital technologies play a significant role in the customers’ beauty product shopping journey (Ngarmwongnoi *et al*., 2020), highlighting the importance of investment in digital technologies in the cosmetic industry.

Strategic digital transformation

This organisation has had a long tradition of responding to the external macro-environment since its foundation in 1909, so it is no surprise that the senior management team has closely monitored the rising significance of digital technologies, given the implications for research and development, product innovation, communications and consumer behaviour. This global company's history of innovation has enabled it to become the largest beauty company in the world, with over 500 brands.

Internally, the micro-environment is also very focused, active and lively. Since 2006, when Jean-Paul Agon joined as CEO, the group has doubled its revenue to €30 billion. By fostering an organisational culture that is said to be demanding, managers are expected to be dynamic and 'should cultivate *saine inquietude*, or "healthy disquiet", among their teams, so as to see who rises to the occasion – and who sinks' (Abboud, 2020). Mr Agon refers to employees as a tribe, and this means sharing customs, codes and values, which enables the culture of the organisation to transcend international borders and fosters internal collaboration and communication. When it comes to digital transformation, fast pace of change was seen as a matter of survival. So, demands on the management team responsible for the digital transformation were significant. One such senior manager who has succeeded is Lubomira Rochet, who joined L'Oréal in 2015 as Chief Digital Officer, and she accepted a challenging brief: to revolutionise the

organisation's approach to digital and to create 'social and digital powerhouses'.

Furthermore, the L'Oréal Group took a strategic focus when looking at how it could adapt the business to operate effectively as the world moved into the digital economy, adopting the phrase 'Digital First company'. This meant enabling digital to touch every part of the business. The impetus to change the business and adopt a technology-driven orientation was in order to reflect the changing world and the ways in which consumption was undergoing a quiet revolution.

Developing expertise and capabilities

To build capabilities and the appropriate expertise within the organisation for the digital transformation, there were a number of strategic acquisitions and partnerships. For example, ModiFace, a Canadian beauty tech company, was acquired for its 3D virtual tool, which provides a makeup and skin diagnosis system that is then integrated with augmented reality (AR) tools. This addition to L'Oréal was an important move designed to support the reinvention of the company's beauty business (Agnew, 2018) and create greater digital interaction with customers. ModiFace's AR, with its artificial intelligence (AI) technologies, enabled the development of real-time beauty consultations, which allowed L'Oréal to build more personalised relationships (Williams, 2018).

ModiFace’s digital tools enable customers to try on makeup and hair-colour products and also links to social media platforms Facebook, Instagram, WeChat and Tmall. To utilise the link with social media platforms, the Garnier brand teamed up with Google Lens and ModiFace to allow Walmart customers in the United States to scan hair-colour packages on their phones and try on the hair colour using AR. A similar approach was taken with Amazon in the United States, and Boots the Chemist in the United Kingdom (Abboud, 2020).

Personalisation on a mass scale has been a key driver of digital transformation. My Little Factory, an internal development of an automated production line, linked to the Lancôme brand, can produce personalised skincare products based on an individual customer’s skin. Scanners gather customer data and then their own individual skin cream is prepared in store within 20 minutes. Viva Technology is another digital application using AI to recommend ideal skin foundation colours to customers (Ahssen, 2019).

Alongside the customer-facing changes, scaling through digital factories and data warehouses is used to improve manufacturing productivity, especially with regard to product innovation. 3D printing is used for prototyping, speeding up the design process and reducing the time to market for new products.

Additionally, there has been significant investment in staff, with recruitment of new skills to create a talent pool with special expertise, which means a blended approach bringing together business and technical knowledge. Everything the organisation does now has an *integrated Digital First* focus, with company structures digitally integrated into every aspect of the organisation (L'Oréal, 2021b).

Digital First: e-commerce and digital marketing

Since 2015 L'Oréal has been developing its e-commerce operation and it has taken five years to arrive at 12 per cent of revenue. This growth has continued and during the global pandemic interactions have increased significantly. L'Oréal's marketing team have utilised data management systems and AI to optimise customer experiences and make better use of this information to drive sales.

Digital marketing and social media platforms have been utilised to extend the reach of each of the group's divisions online. And, as a result, the company has significantly grown awareness and built up customer engagement; for example, ratings on YouTube have increased significantly, as has engaging with an increasing number of influencers. Again, this growth trend in use of digital marketing channels has been extended during the global pandemic, L'Oréal

having a 40 per cent rise in interactions with consumers across channels such as Facebook Messenger and WeChat to pass 60 million interactions this year (MarketLine, 2021). Use of digital channels and social media platforms has contributed to the digital transformation by changing how the company interacts with its customers and providing greater and more detailed information on which to base business decisions.

Digital technology has been used to invent completely new-to-the-world products. One such radical innovation was a digital-only makeup tool to target consumers on Tik-Tok and Snapchat (Fleming, 2020). The digital makeup allows social media users to try products and share the results on Google Duo, Snapchat and Instagram. Signature Faces lets the user wear virtual makeup. The aim is to engage the interest of Gen Z and allow them to express themselves online and in video calls (Serrano, 2020).

L’Oréal divisions and brands

Digital First and the integrated approach to the deployment of digital technologies, tools and techniques has been utilised in each of the groups’ divisions. The following are just a few examples of the different approaches showing how L’Oréal demonstrates the power of digital and how it is used to enable the digital transformation to continue to gain momentum through each division.

Consumer products

This division has concentrated on bringing customers closer to its brands through technology by finding ways to increase consumer engagement through social media. For example, Maybelline New York has encouraged customers to recommend their favourite products and even allowed them to sell the products to their friends and followers. Consumers have also been invited to engage through voting for their favourite fragrances (L'Oréal, 2021c).

Professional products

This division has focused on reinventing the professional trade through encouraging hairdressers to become influencers, through specialist training and through focus on consumer experiences. The professional salon teams are also given training support and digital intelligence to enable them to be better informed to meet the needs of the better-informed customers.



Source: Casimiro PT/Shutterstock

An opportunity has arisen through a new generation of salon owners who have grown up with digital and are now ready to use their knowledge and experiences in their businesses, supported by L'Oréal to find ways to rethink the customer experience and salon concepts. The Blond Absolu range, with vibrant formulas, hair treatments and active botanic ingredients, was launched in 2019, targeting salon customers with blonde hair. The launch campaign, headed by lead brand Kerastase, identified nine ambassadors to tell their own stories of their hair care regimes through the #YouDareWeCare. Their individual stories advocated the L'Oréal

brand but also sought to inspire women around the world (L’Oréal, 2019).

Active cosmetics

This division uses social media to build close relationships with its customers. Technical product knowledge is increasingly important and by giving consumers access to more information on skin and hair care, individuals are able to make better product choices and to enjoy the benefits of improved buying decision-making. For example, using AR and dermatological expertise, Vichy’s SkinConsult application detects signs of aging so it can adapt better skin treatments. The My Skin Track UV sensor and its accompanying mobile application can also measure exposure to pollution, pollen and other climatic conditions, giving customers the very best opportunities to maintain and protect their skin.

Enhanced shopping experiences with artificial intelligence

Recognising the importance of technology in facilitating consumers’ shopping journey, L'Oréal has invested heavily in the use artificial intelligence (AI) to optimise the beauty product shopping experience, showcasing a commitment to innovation and inclusivity (L’Oreal, 2024). One notable AI-powered product introduced by L'Oréal is La Roche-Posay’s SpotScan. Aiminig to combat bias and promote inclusivity, this free skin analysis tool

works on all skin phototypes, analysing a user's skin from three selfies and using predictive AI to offer personalised skincare suggestions. SpotScan's development involved creating a comprehensive data set covering the full range of skin types on the Fitzpatrick scale. Top dermatologists reviewed and rated these images based on the Global Acne Severity (GEA) scale to ensure that the AI algorithm can accurately detect and analyse various skin issues, providing reliable recommendations for users of all skin tones. Lily Truong, Director of Tech Innovation at L'Oréal, states:

> ‘The DNA of any good AI model is the data that it's built upon. And so we are here to develop our mission for beauty for all and beauty for each, and that means really being inclusive by design.’

Additionally, the acquisition of ModiFace, marked a significant milestone in L'Oréal's digital transformation. ModiFace’s technology offers try-on simulations of beauty products using live video, providing customers with a virtual experience that mimics real-life product application. This skin diagnostic tool uses deep learning and combines ModiFace’s AR capabilities with L'Oréal's extensive photo database and skin aging expertise (Marr, 2019).

For instance, Vichy SkinConsultAI, launched in Canada in early 2019, uses this technology to offer women a personalised skincare routine based on a selfie uploaded to the company's website. Similarly, ModiFace's technology through its photo-realistic results and automatic, AI-enabled shade calibration allows customers to enjoy a virtual try-on experience seamlessly on Amazon for an unlimited number of products, thereby improving their experiences with buying beauty products online (L'Oreal, 2024). In the recent collaboration with Amazon, Parham Aarabi, CEO of ModiFace, highlights the collaboration with Amazon Web Services to optimise the shopping experience for beauty products, saying:

> 'We are delighted to team up with Amazon to provide its customers an Augmented Reality makeup try-on that offers highly realistic results and makes online shopping even more comfortable. Thanks to a precise color rendering, enabled by our unique AI-powered technology, shoppers can easily try on thousands of lipsticks available on Amazon and purchase the shades that fit them best.'

Through these technological advancements, L'Oréal continues to revolutionise the beauty shopping experience, making it more

personalised, inclusive, and engaging for customers around the world.

L’Oréal Luxe

This division has benefited from clear focus and deployment of digital technologies, and international trade. L’Oréal Luxe is the leading cosmetic brand in mainland China and Lancôme is a very popular brand in this region. During the COVID-19 pandemic, this division concentrated on the e-commerce side of its operation in key international markets.

Lubomira Rochet has accelerated plans during the global pandemic. For example, in Dubai, beauty advisors were given specialist training in building relationships online with customers. This approach gained traction on social media networks and livestreaming events.

Currently, e-commerce accounts for 25 per cent of trade as a whole and in the United Kingdom there has been significant growth. During the pandemic, 77 per cent of media spend was on digital. Rochet believed this to be very important to strengthen relationships with customers during this difficult and challenging time (Fleming, 2020).

Sources: Abboud (2020); Agnew (2018); Ahssen (2019); Fleming (2020); L'Oréal (2019); L'Oréal (2021a); L'Oréal (2021b); L'Oréal (2021c); MarketLine (2021); Serrano (2020); Williams (2018)

Questions

1. Discuss how digital tools and technology are driving the development of the L'Oréal Group.
2. Mass personalisation has the potential to add value for customers. Explain how each of L'Oréal's divisions benefits from this focus on the individual customer.
3. Consider the extent to which the macro- and micro-environment influences have shaped L'Oréal's Digital First strategy.
4. Choose one of the L'Oréal divisions and find out more about how it is currently utilising digital technologies and tools to meet the company's corporate goals.

Summary

1. This chapter has explored how the digital marketing environment is constantly evolving and therefore should be monitored by all organisations in order to be able to respond to changes in the micro-environment or the immediate marketplace.
2. The micro-environment is within the reach of an organisation and therefore digital marketers should be aware of the management implications that arise from this arena. To be successful it is important to understand consumer and competitor behaviour and which suppliers and intermediaries offer services that will enable a company to achieve its digital marketing goals. We have explored each of the groups of players in the micro-environment including

- *Consumer* digital device usage and behaviour (covered in more detail in **Chapter 3**).
- *Competitors* – whose activities can be reviewed and benchmarked more readily online
- *Suppliers, publishers and other digital intermediaries* also have an important role to play in digital marketing.

3. Macro-environment factors that should be reviewed as part of environment scanning are often summarised as SLEPT:

- *Social forces* include variation in usage of the digital devices and platform; ethical issues include the need to safeguard consumer privacy and security of details and privacy issues include social exclusion, collection and dissemination of customer information, cookies and the use of direct email.
- *Legal forces* which are significant in digital marketing given the amount of data collection about customers. Contravening laws and codes of practice can have negative impacts on consumers and brand reputation. Digital markets and e-commerce managers should be aware of privacy and data protection, distance-selling rules, taxation and brand reputation protection, including domain name registration and copyright.
- *Economic forces* considered briefly in this chapter include classic economic factors, i.e. employment, interest rates and market growth, as well as emerging markets for digital marketers.
- *Political forces* involve the role of governments in promoting e-commerce and digital device usage, but also in

trying to restrict it, which raises the question of democracy and the Internet.

- *Technological forces* are arguably the most likely and most important for digital marketers to watch and assess. Rapid variation in technology requires constant monitoring of adoption of the technology by customers and competitors, and appropriate responses.

Exercises

Self-assessment exercises

1. Explain the components of the digital market environment.
2. Suggest reasons why environmental scanning is necessary.
3. Summarise how each of the micro-environment factors may directly drive the content and services provided by a website.
4. Discuss the players in the micro-environment and suggest how their roles are changing.
5. What actions should digital marketing managers take to safeguard consumer privacy and security?
6. What are the main changes to channel structures that are facilitated through the internet?
7. How should a marketing manager benchmark the online performance of competitors?

Exam and discussion questions

1. Imagine you are about to set up a business online. Set out a plan for investigating the micro-environment as part of your situation analysis.
2. Evaluate the usefulness of research tools for assessing digital markets. Suggest the limitations of two search tools of your choice.
3. Complete a competitor benchmarking for online services for an organisation of your choice.
4. Discuss the implications of not conducting environment scanning when launching a new product or brand.
5. Summarise the key elements of the macro-environment that should be scanned by a digital marketing and e-commerce manager.

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Weblinks

A directory of recommended website links, including recommended videos, analysis tools and sources for statistics from the online micro-environment, is maintained by Dave Chaffey at www.davechaffey.com/book-support.

Chapter 3

Digital Customer Behaviour

Learning objectives and topics

After reading this chapter, you should be able to:

- Identify the digital customer
- Understand dimensions of online buying behaviour
- Discuss digital customer experiences
- Recognise drivers of digital influence on digital customer behaviour
- Consider culture and the digital customer

Case study

Case study 3.1 Social media and the changing face of celebrity influencers

Links to other chapters

This chapter provides a foundation for later chapters on digital marketing strategy and communications from a customer perspective:

- **Chapter 2** reviews the marketing environment and marketplace analysis which includes assessment of digital customer behaviour.
- **Chapter 4** recommends how to develop a digital marketing strategy and consider customer profiles and markets.
- **Chapter 5** considers the digital marketing mix and the importance of customer behaviour.
- Chapter 6 through 10 explore customer communications and how to measure their effectiveness.

In this chapter we consider the digital customer, identify key areas of digital customer behaviour – consumer and business – and explore the drivers of online line behaviour which shape purchasing patterns. We also examine the importance of customer experience and how digital culture is affecting online customer behaviour.

Let’s begin by identifying the digital customer.

Who is the digital customer?

Simply stated, the digital customer is a person or a company that purchases goods and or services online. However, in online environments, buyers and sellers can interact in a wide variety of settings which have marketing potential, e.g. web sites, e-commerce platforms, social media networks, mobile apps, virtual worlds in the Metaverse. Also, barriers and boundaries are being eroded online as the world becomes more connected and the distinction between businesses, suppliers and end consumers can become blurred as online applications replace aspects of everyday life (Viltard, 2016). For example, when user-generated content (UGC) becomes an integral part of brands' communications the customer can have a powerful influence on other customer decision-making (see Mini case study 3.1).

Mini case study 3.1

Emotions, experiences and UGC

Social media networks and platforms create environments where customers can share their ideas, view and opinions. Businesses can carefully monitor and analyse social media posts to understand customer moods, likes, dislikes and then devise marketing tactics which aim to enhance the customer experience. There can be significant commercial benefits derived from capturing real-time insights into customer

experiences gleaned from social media and review postings. But concurrently, other end users also read and interact with UGC forming their own emotional responses to a brand which can influence buying intentions and outcomes.

Researchers Sykora *et al*. (2022), examined UGC from social media platforms of an automotive manufacturer; Fast, which offers spare parts for light commercial vehicles mainly in Europe. Providing 10,000s of parts for leading brands Peugeot, Fiat, Citroen, Opel, Nissan, ford Mercedes, Volkswagen (FastOriginal, 2024). Their aim was to better understand the emotional context of customer experiences and the impact on brand perceptions. The study leverages insights from analysis of UGC on social media platforms, X, using a technology intervention called EMOTIVE (Sykora *et al*., 2013), a bot detection tool, a profanity detector and data cleaning techniques to identify automated bot posts, remove profane and other false messaging. The case study research examined over 160,000 posts by over 83,000 users who were messaging directly at the Fast brand. The outcome for Fast was a more detailed understanding of their customers, going beyond, like, dislike and indifferent views. Importantly, the firm could also understand the power of influencer posts (positive and negative) on customers' perceptions of the brand and how a torrent of negative posts from an influencer/ public figure could change public perceptions of the brand and impact sales.

The research findings also highlighted three types of messaging which brands should monitor and react to ensure ongoing positive outcomes form social media campaigns.

Table3.1

Messages and brand outcomes (based on Skyora et al, 2022).

Types of messaging	Potential brand outcomes
Automated bots	The originator of a message can be very influential, but for the customer is rarely aware of the original of the message only the response to reading a message. A brand should take steps, so the to act on negative messaging generated by bots.
Influencers	Positive emotions generate happiness and favourable endorsem conversely negative emotions generate dislike, disgust and can social media campaigns. Brands should monitor social media ac react quickly to negative messaging in real time.
Purchasing customers	Customers often chose to post on social media to report quality which tend to be accompanied by negative emotions. Respondi and resolving the customer query can result in a shift from com advocate if there is a positive outcome instigated by the brand.

Sources: FastOriginal (2024); Sykora *et al.* (2022).

Online blurred boundaries challenge conventional understanding of the divisions between consumers and professional buyers, businesses, suppliers, intermediaries. But there are distinct categories of digital customers, which have implications for digital marketing:

- *Native digital consumers*: are individuals who buy goods and services online, they use digital and social media to garner information to inform their purchasing. These consumers lives are increasingly linked with digital technologies, and they tend to be younger age groups who have been born digital or at least grown up surrounded by the internet, the web, chat bots, social media and other associated technologies and they best represent this category. The willingness of these consumers to rely on the digital world for all their needs has raised the importance of digital customer engagement and digital customer experience strategies. Many businesses and brands are putting these customers in the centre of their digital transformation strategies (Hafezieh and Pollock, 2023).
- *Prosumers:* the digital world has enabled individuals to become more involved in production. Indeed, Vargo and Lusch (2008) considered the consumer to always be a co-creator of value between producers and consumers. By combining these words, the term *prosumer* (originally introduced by Toffler, 1980) has emerged and has come to represent '*the participatory culture bridging the intimate relationship between buyer and seller'* (Chatterjee *et al.*, 2023). Prosumers, contribute to production by designing their own service experiences and in doing so they are reversing the flow of value creation, which traditionally passed from a company to the consumer. In this case the process begins with the consumer and ends with the company. The active participation by the prosumer enables co-creation to take place and adds value to company.

Digital marketers should take note that prosumers are not just passive consumers of products and services but are actively engaged in the creation process and can help to create and improve value offered by businesses. There are different types of prosumers: self-service (help themselves to achieve their own goals e.g. creating a web site, using tools from service provider e.g. Wix, Go Daddy, Shopify); personalising (tailor goods and services for their use to meet their needs and in doing so add improvements for others); collaborative (create value for themselves and others) (Chatterjee *et al.*, 2023). Now read Digital marketing insights 3.1 to find out more about prosumers and fandoms.

- *Procurement professionals*: in B2B markets variation in online buying or extent of research during the buying process, professional buyers form procurement teams within the buying unit in the organisation, which buy goods and services for use within a business. In recent years the procurement function (business buying) has been undergoing significant changes due to globalisation, technology advances, internet-based buying systems, sustainability and changes in consumer purchasing patterns. This evolution of the buying function has impacted on the procurement professional as the skills required have become more demanding and management-orientated and less influenced by the individual (Tassabehji and Moorhouse, 2008). Today businesses spend significant proportions of their revenue on purchasing and this area has become important as it can lead to improvements in

manufacturing, finished goods, product choice, better relationships, innovations and sustainability across the supply chain (Guida *et al.*, 2023). This type of buying can be difficult and multifaceted and the implications of making incorrect purchasing decisions can have widespread impact on a business's long-term prospects. Digitisation of the procurement process has evolved over decades, from electronic data interchange (EDI and enterprise resource planning (ERP) which enabled resource planning and management of the administrative aspect of purchasing, through to advanced analytics and automated purchasing system, which support more strategic procurement aims and increase the visibility of spending data and buying activities (Barrad *et al.*, 2020). Businesses are increasingly innovating and applying new digital technologies to automate parts of the procurement process, including using artificial intelligence tools. The outcome of digitization is procurement has become more predictive, transactional and automated. However, there is still an important role for the procurement professional, but they must understand how to apply technology solutions, be able to make use of digital tools and systems to garner value and meet strategic goals (Deloitte, 2017). For digital marketers, who target procurement professionals in a B2B context making connections are vitally important.

Digital marketing insights 3.1

Prosumers and fandoms

Fandoms attract individuals (fans) who have a common interest. Fans are interested in things to very detailed levels and avidly share their knowledge and findings with others, frequently using social networks. Fans can come together around anything e.g. hobbies, fashion, music, literature and are often very active prosumers. Many popular television series have large followings of fans e.g. *Star Trek*, which has become a multibillion-dollar media franchise, with films, merchandise, games and a cohort of fans known as Trekkies, who attend conventions, and come together to produce Fanzines, blogs and even their own films. This is not the only television show to create an enduring subculture of fans. The *Game of Thrones* has attracted a large following of active fans who have created, wikis, fanfiction, reproduction of music, art and a search engine: https://asearchoficeandfire.com for fans to use to search their favourite books. This series and its fan-generated content online is not only a great example of proactive prosumers, but is also being used for education to teach students about the significant and important of fan culture (Anon, The Digital Citadel, 2024).

Activity 3.1

LinkedIn: Making professional connections

Purpose

To consider the insight about B2B decision makers available in online business networks such as LinkedIn.

Activity

Businesses rely on their connections to other businesses and key individuals to develop their business. In 2002, Reid Hoffman had an idea, which he launched in his living room, that he turned into the largest professional network in the world, LinkedIn. In 2016, Microsoft completed its acquisition of LinkedIn for $26.2 billion. Today there are over 1 billion million professional individuals signed up to the network in 200 countries worldwide, and the site supports 24 languages. The main elements of the revenue model are:

- Hire – tools to recruit candidates.
- Market – using targeted ads to reach and engage people in specific roles and sectors.
- Sell – using the search function and the premium Sales Navigator and InMail tools to contact potential business customers.
- Learn – developing skills through online learning (based on the acquisition of Lynda.com, now LinkedIn Learning).

These are all paid-for options to network with business people, but LinkedIn also offers lower-cost opportunities for B2B marketers to use organic marketing through company pages and networking (sometimes known as social selling).

Marketers working in B2B roles can use LinkedIn to find information about different members of the decision-making unit using the Search and Sales Navigator tools. Influencers can also be identified.

Questions

Use the free facilities available via the Search function on LinkedIn to gain insight about decision makers in a business. Choose three brands you are familiar with.

1. Find three examples of businesses using LinkedIn to access their target markets by visiting their business pages and reviewing the types of content they are publishing to appeal to different target audiences.
2. Use the LinkedIn Search function to find employees in a marketing role. Assess how many people have dedicated digital marketing channel roles.
3. Use the LinkedIn Campaign Manager or supporting documentation to determine the B2B audience attributes that can be used for targeting and insights (available if you have an account).

Now complete Activity 3.1 which shows how we can target different types of businesses and decision makers using LinkedIn. This activity also highlights the need to profile business demand for online services according to:

- Variation in organisation characteristics:
    - size of company – employees or turnover;
    - industry sector and products;
    - organisation type – private, public, government, not-for-profit;
    - country and region;
    - application of service – which business activities do purchase products and services support?
- Role of the target individual in an organisation:

- role and responsibility – job title, function or number of staff managed;
- role in buying decision – purchasing influence;
- department;
- product interest;
- demographics – age, sex and possibly social group.

Given the explicit and technical aspects of B2B buying the remainder of the chapter focuses largely on customers who are buying for their own individual needs.

So far, we have looked at the digital customer from three perspectives; native digital consumers who were born digital, who are having the most profound influence on brands and businesses transforming their marketing strategies to into digital. Prosumers, who proactively engage in the production and consumer process and are important to consider for their role in co-creation of value. Finally, procurement professionals, who are arguably the group whose ‘power’ in the buying process has become most controlled by digital technologies.

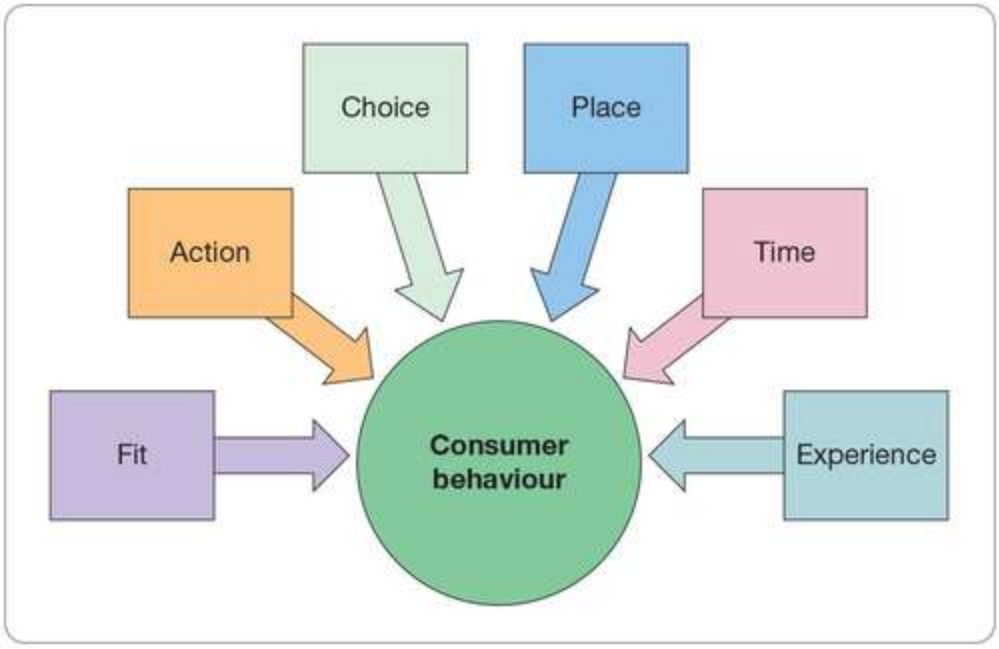
In the next section we explore the dimensions of online purchasing patterns and behaviours.

Dimensions of online purchasing patterns and behaviours

Here, we explore the complexities of purchasing online from the perspective of behaviours and psychology to understand how theories of human behaviour shape online shoppers' actions. According to Jobber and Ellis-Chadwick (2024) there are important questions which need to be answered when seeking to understand customer behaviour, and which have implications for digital marketing (see Figure 3.1). The focus in this section is on individuals (in B2C markets) rather than professional buyers (B2B markets) but for both types of buyers the key dimensions are relevant. In the case of the professional buyer the scale, scope, choice criteria vary from the individual largely due to the size of buying contracts, and impact of making wrong decisions.

Figure3.1

How to understand the digital consumer: key questions (adapted from Jobber & Ellis-Chadwick, 2024)



These key dimensions are based on questions borrowed from the wider field of marketing and help to delineate the various elements of online purchasing behaviour. Let’s explore each dimension, looking at the key questions and implications for digital marketing and planning.

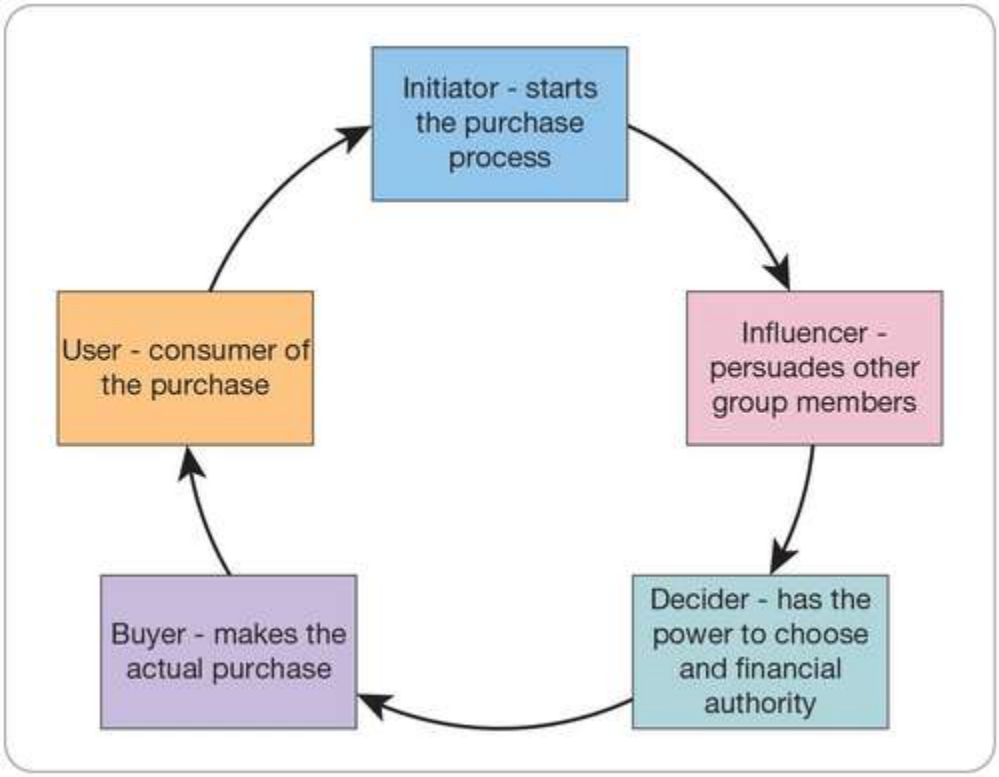
Fit – who buys?

The key question to address in this dimension is who is important in the buying decision-making process: who buys? In the offline world, theories of who buys focus on the buying centre concept. While this remains import in B2B procurement, for consumer purchasing online it is more likely to be the individual who buys, influenced by other online consumers rather than people known to them. However, in both consumer and business setting the buyer can be a lone purchaser but often is part of a group of influencers who inform buying decision-making in different ways and from a buying centre or group. A concept originally introduced by Webster and Wind (1972), to explain B2B buying, which involved distinct roles: influencers, deciders, buyers, users and gatekeepers (individuals who control access to the buying centre). Since most economies around the world have joined the digital economy technology has a major impact on purchasing in a B2B context. Digitisation of the purchasing function in many firms is making buying processes simpler and, in some cases, automation is removing the need for the buying group and the individuals involved (Cabanelas *et al.,* 2023). Also see above for discussion of procurement professionals.

Blackwell *et al.* (2005) explored similar ideas but from the consumer perspective identifying a set of roles. Each of the five roles can be assumed by family members, friends or reference group members and on occasions group members can take on more than one role (see Figure 3.2).

Figure3.2

Buying centre roles in offline consumer purchasing



Despite the significance of the buying centre in offline purchasing situations, online the concept has become diluted for a consumer perspective. Buying decision-making online is often subject to the influence of strangers (other consumer) reviews, and opinions, and these have overtaken recommendations from family and friends in terms of importance in online buying decisions. This shift has largely been driven by Web 2.0 and the sharing economy, whereby resources are shared with others via digital platforms, e.g. Uber (ride sharing), Airbnb (accommodation sharing), WeWork (office sharing) and customer-to-customer (C2C) trading e.g. eBay, Etsy, Vinted. Billions of transactions every year are conducted relying on the testimony of strangers in the form

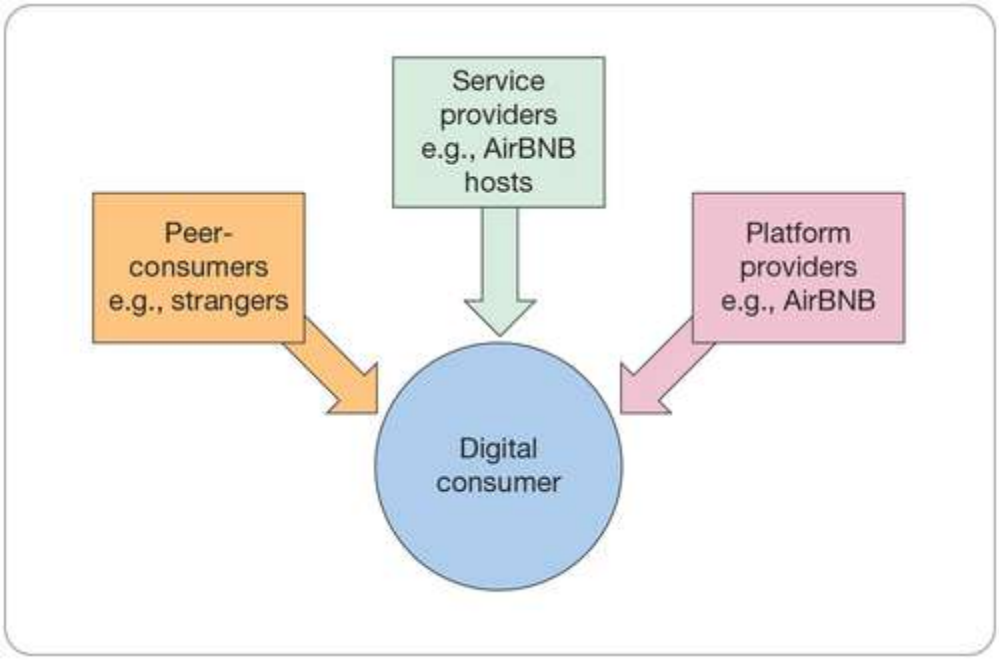
of feedback, reviews, ratings, which engenders a kind of trust between the buying and selling partners. Self-disclosure of this kind is important online for the development of interpersonal relationships and occurs when people voluntarily reveal personal information to others (Soderlund, 2020). Xu *et al*. (2021) also suggested digital consumer purchasing behaviour is influenced by; information content, quality and the information source. All influence purchase behaviour but the source of the information (see Figure 3.3) is interesting as there is limited evidence of influential relations between the service provider (who post pictures and information about the service); whereas the platform providers, which give service provider verification, collate reviews and ratings have a strong influence of purchase decisions.

For digital marketers when it comes to trying to harness the influence of information to generate trust and build lasting relationships it is important to get the right focus. For example, on sharing platforms while self-disclosure by peer consumers is an effective way to build trust with new customers (e.g., sharing of honest reviews) the same does not apply to individual service providers on Airbnb or drivers for Uber for example. Xu *et al*. (2021) found providing connections to individual service provider's social media profiles had a negative influence on consumer purchasing, which may be due to not being able to create online profiles which are attractive to new customers. Furthermore, it is important to get the balance right when service providers share personal information, revealing the right level of detail to engender trust in the consumer.

Digital marketers should aim to cut through the ‘noise’ and focus attention on core brand messages as too much information can reduce attention and dilute the level of influence. Too much information can reduce trust and cause potential customers to become suspicious. If the balance is achieved new customers may are more likely to trust the service provider and the platform provider and develop lasting relationships (Tran *et al*., 2022).

Figure3.3

Sources of information and influence on consumer buying-behaviour in the sharing economy (based on Xu *et al.*, 2021)



In the next section we delve into customer actions and how they buy.

Action – How do customers buy?

In this section we explore the generic consumer decision-making process; levels of involvement, attitudes and intentions, which can affect individual purchasing behaviour.

The consumer decision-making process

Beginning with Blackwell *et al.* (2005) model of consumer decision-making process which shows the basics and that there are different stages in the buying process (see Figure 3.4).

Figure3.4

The generic consumer decision-making process (Blackwell et al., 2005)

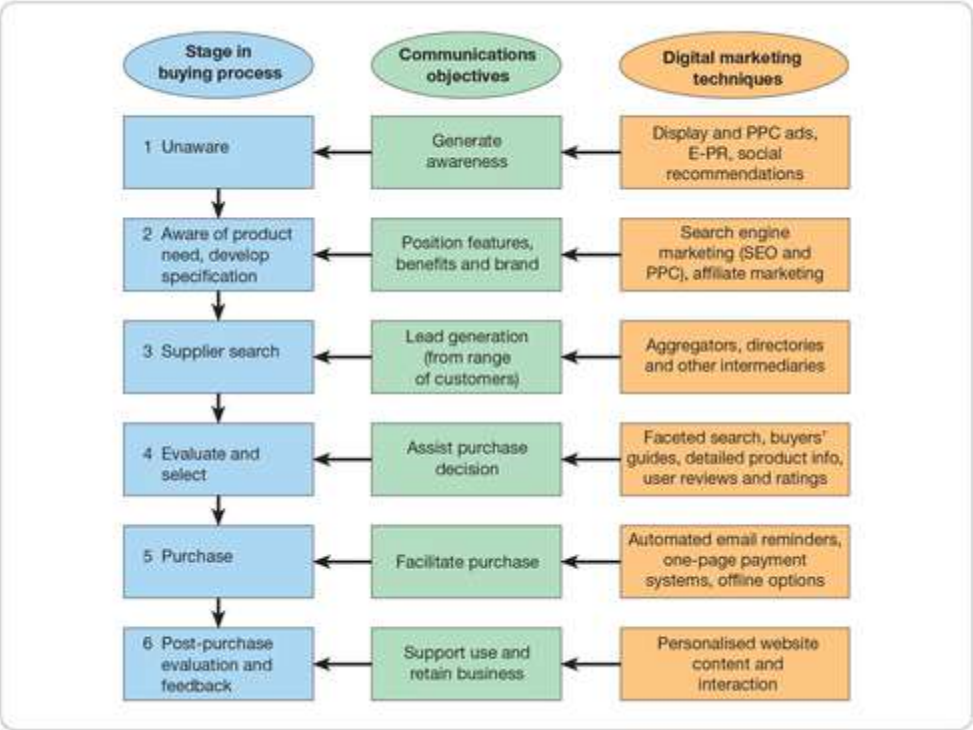


Figure 3.5 extends this generic buying model with the influences of digital technologies to give a summary of how digital channels can be used to support the different stages in the buying process. Each of which have implications for digital marketing practises and application of digital marketing tools (Patsiotis *et al.*, 2020). Also note social media can potentially support each stage as consumers ask others via social networks for recommendations or read reviews and ratings. In Figure 3.5 the boxes on the left show the typical stages a customer passes through in the

consumer decision-making process. The middle column shows how each stage might align with digital marketing objectives and the final column suggests digital marketing techniques, which might be used to achieve the objectives.

Figure3.5

A summary of how digital media can impact on the buying process for a new purchaser



The following section considers how digital channels can be effective at different stages to support of the consumer buying process.

1 Consumer: unaware company: generate awareness (of need for product or service)

Conventionally, generating awareness of need is achieved principally through the mass media used in offline advertising. The internet is relatively ineffective at this since it tends to have a more limited impact and reach than television, radio or print media. However, display advertising or paid search marketing can be used to supplement offline awareness-building, as explained in **Chapter 8**. Online equivalents of word of mouth or recommendations from friends or colleagues, perhaps influenced by a viral marketing campaign, can also create awareness of need. Some companies have effectively developed brand awareness by means of PR and media mentions concerning their success on the internet, with the result that even if a customer does not have a current need for a product, that customer may be aware of the source when the need develops.

2 Consumer: aware of need, develop specification company: position features, benefits and brand

Once a consumer is aware of a need and is considering which features and benefits, they require from a product or service, then they may turn straight to the web to start identifying the range of features available from a particular type of product using a generic search on search engines such as Google, Microsoft Bing, Baidu and Yahoo!. Influencing consumers through search engine marketing and affiliate marketing is important at this stage. Specification development effectively happens at the same time

as supplier search and more suppliers can be evaluated in greater depth than traditionally.

3 Consumer: supplier search company: generate leads (engage and capture interest)

Once customers are actively searching for products, the web provides an excellent medium to help them do this. It also provides a good opportunity for companies to describe the benefits of their websites and obtain qualified leads. The digital marketer must consider the methods a customer may choose for searching and then ensure the company or its product is featured prominently on these sites, whether they are search engines, aggregators or affiliate intermediaries.

4 Consumer: evaluate and select company: assist purchase decision

One of the most powerful features of websites, apps and social media sites is the facility to carry a large amount of content at relatively low cost. This can be turned to advantage when customers are looking to identify the best product. By providing relevant information in a form that is easy to find and digest, a company can use its website to help in persuading the customer. Brand values are important see **Chapter 5**, since a new buyer may prefer to buy from a familiar supplier with a good reputation – it can be more difficult for a company to portray itself in this way if it is unknown. It is important when acquiring new customer to ensure a

website is quick, efficient, user friendly, as a slow, poorly designed or shoddy website is unlikely to attract new customers.

5 Consumer: purchase company: facilitate purchase

Once a customer has decided to make purchase, the company will not want to lose the custom at this stage. The website, app or social media site should enable a customer to complete their purchase, e.g. offer standard credit card payment mechanisms, offer purchase and delivery options. Online retailers pay great attention to identifying factors that encourage customers to convert once they have added a product to their ‘shopping basket’. Security guarantees, delivery choices and free delivery offers, for example, can also help increase conversion rates.

6 Consumer: post-purchase evaluation and feedback company: support product use and retain business

The web provides great potential for retaining customers, as explained further in **Chapter 6**, since:

- value-added services such as free customer support can be provided by the website, and these encourage repeat visits and provide value-added features;

- feedback on products can be provided to customers; the provision of such information will indicate to customers that the company is looking to improve its service;
- email can be used to give regular updates on products and promotions and encourage customers to revisit the site;
- repeat visits to sites provide opportunities for cross-selling and repeat selling through personalised sales promotions messages based on previous purchase behaviour.

Figure 3.6 shows an example of purchasing influences for a real-world customer journey for a gamer selecting headphones. Influences include gaming blogs, comments on forums and videos.

Figure3.6

Example customer of journey for purchasing headphones



So far in this section we have reviewed the generic buying process which can help digital marketers define campaign objectives and allocation of digital tools in order to attract and convert more site visitors and eventually lead to sales. However, in many cases the buying situation is not as simple as portrayed in this linear model. Sharma *et al*. (2023), explored the awareness, interest, search, action and sharing model (AISAS) proposed as an extension of the basic buying process when purchasing is taking place in digital environments by Sugiyama and Andree (2011) to be more complex and non-linear. Sharing is an important part of the online customer experiences which is a new aspect

of social norms in digital environments and influence buying behaviour; examples of sharing include membership of online communities, discussion, blogs, online reviews and other social interactions (Fernandes *et al*., 2021). Sharma *et al*. (2023) suggest a circular model, whereby consumers can use influences from different sources to skip out stages in the buying process and follow different routes to purchase, e.g. to buy (action) as soon as they become aware of a product without needing to consider the intervening stages of information searching and evaluation. They also suggest newer digital technologies, AI, VR, AR, might be used by companies to stimulate this shortened buying cycle.

Since the exact stage of the buying process is likely to vary by customer, circumstances products and services it is important to consider other aspects of the buying process, which can help explain what might be happening. For example, when it comes to the evaluation of alternatives and deciding what to buy customers may seek to reduce their **evoked choice set** rather than go straight to purchase. In this case, the product type (and or service) will be an important factor in the short-listing process. This also helps to determine the individual's likely level of

involvement in the evaluation process. For example, buying a car online, requires a higher level of involvement than buying everyday groceries.

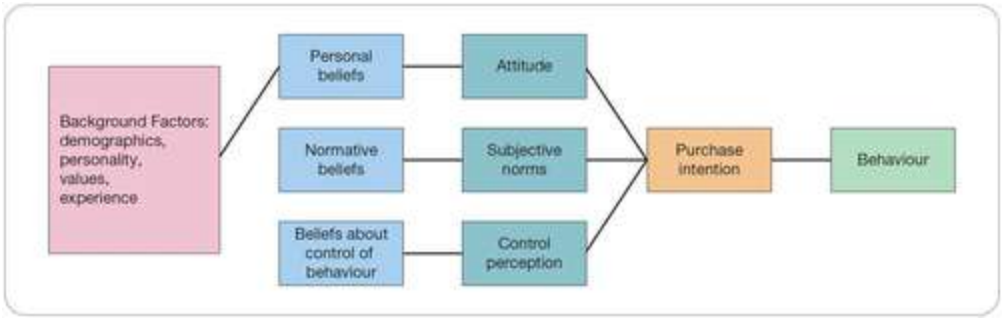
Level of involvement, attitudes and purchase intentions

Making a distinction between different levels of involvement implies different evaluation processes (Jobber and Ellis-Chadwick, 2024). Ajzen and Fishbein (1980) proposed a model to explain rational aspects of high-involvement consumer buying behaviour: theory of reasoned action. But this theory only explained situations where the buyer was in complete control, so when an individuals' information processing skills, emotions and compulsions are brought to bear, their behaviour is moderated (Jobber and Ellis-Chadwick, 2024). The need to explain the moderating factors of buyer behaviour led to the theory of planned behaviour (TPB) (Ajzen, 1985), which considers levels of control. Figure 3.7 shows the relationships between the elements in the model, highlights how both personal beliefs and those of others (normative beliefs) influence the purchase decision. For example, an individual may believe that buying a car online is too risky, as they will not see the car until it is delivered, however more generally it may be believed by the buyer's, friends and work colleagues that buying a car online, saves time, widens the available choice as a purchaser as it is not limited to buying from a local dealership, and increases overall convenience. So personal beliefs shape attitudes, while normative beliefs become subjective norms (based on agreement or lack of agreement of outside influences). In this scenario the subjective, norms are signals of approval. Control element relates to the individual's perception of how difficult it is to perform the purchase. This model helps

to explain what is involved in a high-involvement purchase decision. Our example of buying a car online is mostly this type of purchase, due to the cost, lifestyle, status and risks associated with making an incorrect buying decision. Now read Mini case study 3.2 and consider the extent to which social media influencers can determine social norms.

Figure3.7

Theory of Planned Behaviour model (Ajzen, 1991)



Mini case study 3.2

How social media influencers can shape our opinions: from meat eater to vegan

Whalar is a marketing agency that supports brands using influencer marketing. Neil Waller, one of the co-founders of the company, says of influencer marketing: ‘It’s a bit like Airbnb. Anyone could have gone and stayed in someone’s home, but Airbnb just put in a safety net and made it possible and scalable.’ Neil applies similar principles to help develop influencer networks and build trust in online communities, so companies

get the most out of social media influencer campaigns. Whaler has worked with many brands, including Dior, with its #DiorLoveChain campaign, Vodafone, with its #BeUnlimited campaign to raise awareness of unlimited data plans and Naked Glory to launch meat-free products to meat eaters in the United Kingdom.

Naked Glory aimed to raise awareness through its ‘Summer Eating’ campaign. Whalar used 15 creative influencers to generate unique content featuring the Naked Glory meat-free product ranges. The outcome was 63,700 engagements and significant increase in assets to support the campaign. Story impressions were higher than expected and the best-performing stories helped to raise top-of-mind awareness and contributed to shaping customer purchasing intentions, repeat purchasing and their recommendations.

Using Instagram, Facebook and other social media platforms, influencers act as opinion leaders and shape the behavioural attitudes and intentions of consumers. The TPB (Ajzen, 1985) shows the importance of both individual beliefs, which shape attitudes and normative beliefs which determine subjective norms. So Whalar’s approach is arguably legitimising influencers and in doing so enabling customers to develop trust in their views and opinions. For this to work effectively, there needs to be a strong match between the interests and personality of the consumer and the quality and values of the influencer’s messaging (Casaló *et al*., 2020). The Naked Glory influencers took the campaign

beyond Whalar’s expectations and generated 37 per cent more assets in the campaign. The results were to develop perceptions of Naked Glory as a vegan brand that meat eaters could enjoy.

Sources: Ajzen (1985); Avins (2018); Casaló *et al*. (2020); Whalar (2020)

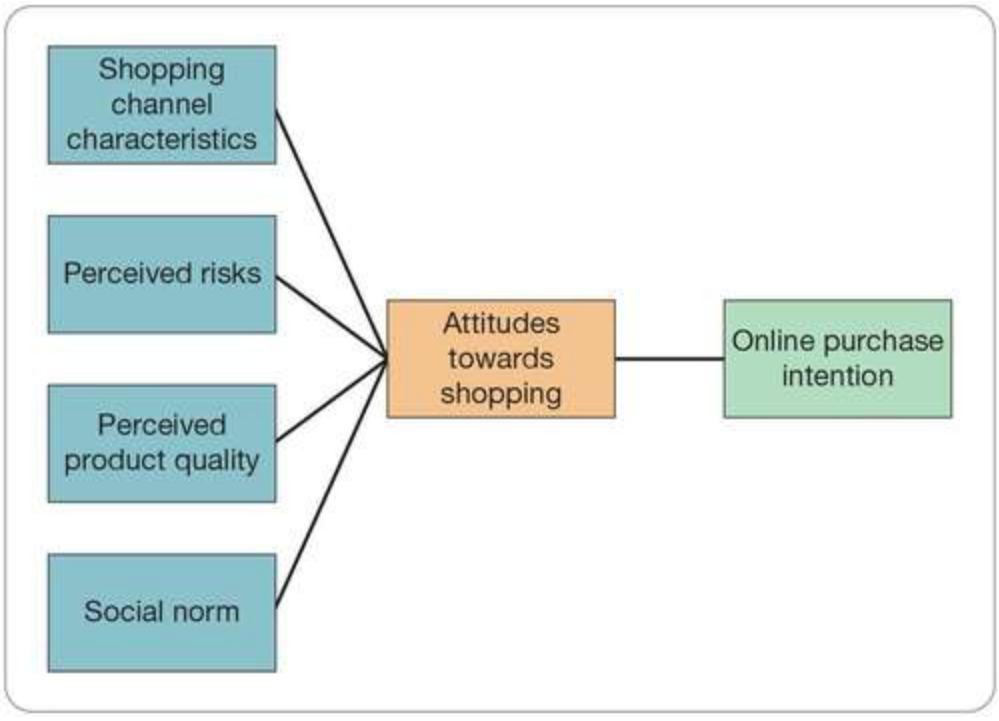
A low-involvement decision, like buying an item of weekly groceries online is much less complex. Ehrenberg and Goodhart (1980) proposed a very simple model which involves: becoming aware (awareness), making a trial purchase (trial) and repeating the purchase (repeat) if all went well. Sharma *et al*. (2023) in essence support this idea as a possible buying scenario but also suggest online there are many directions of influence which can complicate the simple low involvement purchasing process. The value of considering these models for digital marketers is to provide an understanding of how attitudes are shaped in online purchasing, to be able to consider the extent to which a buyer may become involved in the purchasing decision and to understand the importance of control: personal beliefs about the ease or difficulty of completing a purchase acting as a moderating variable in the process.

Di Virgilio and Antonelli (2018) extended the TPB to directly consider online purchase intentions. They found perceived usefulness of to be important in shaping attitudes. Their work focused on social media channels and the extent to which a buyer was likely to use social media as this was found to positively intensity purchase intentions if certain

conditions were met. Their model introduces the importance of using eWOM to engender trust in a social media platform. So, for digital marketers it is important to find ways to increase trust in order to increase use of social media in purchasing. For example, eWOW, can be used to support and influence buyers and boosting the reputation of the platform, improving information quality, providing secure transactions when purchasing can enhance trust creating better conductions for social commerce purchasing. Vascilica-Maria (2021) have taken the idea of the importance of the characteristics of the digital channel as influencing factors in online purchasing but also highlight perceived risks, consumer motivations, product quality and social norms being influences in shaping online attitudes (see Figure 3.8).

Figure3.8

Model of online consumer purchase intention (Vascilica-Maria (2021)



Developing an understanding of the psychological, social and economic variables, which shape how customers buy is an extensive area of ongoing research. In this section we have highlighted some of the key works which help us to build a foundation to explain buyer behaviours in online purchasing. Before completing this section read Digital marketing insights 3.2 to find out more about how emotions can impact on how individuals' actions in buying situations. Then complete Activity 3.2.

Activity 3.2

Do digital companies manipulate our behaviour?

Purpose

To evaluate the influence of major digital companies on consumer behaviour.

Activity

Watch this TED Talk: 'How Amazon, Apple, Facebook and Google manipulate our emotions' by Scott Galloway of NYSU (YouTube.com), which discusses the increasing dominance of some businesses.

1. What is the combined level of influence of Google, Apple, Amazon and Facebook, in terms of global GDP?
2. According to Galloway, what are the major concerns about this rising level of influence of the 'Big Four'?
3. Discuss the extent to which the behaviour of these firms is anti-competitive.

Digital marketing insights 3.2

Compulsive shopping: feeling the adrenal rush

Not all online shopping behaviour is planned and controlled. If an individual is buying items, they do not need on a regular basis, without ever using the goods, making impulsive unplanned purchases, engaging in dysfunctional buying, they are possibly a compulsive shopper and suffering from an addiction (Muller, 2021). Sometimes called shopaholics, compulsive shoppers can be influenced by emotional and psychological factors, which can explain why they become engaged with compulsive shopping (Sârghie, 2021). From a moment of euphoria and adrenaline rush when initially making an online purchase to downward feelings of low-self-esteem; obsessional tendencies; social anonymity this consumer is in serious difficulty. The spectrum of emotions felt by a compulsive shopper can include gratification, anger, guilt, relief. Moreover, there are longer-term negative outcomes of compulsive shopping behaviours, e.g. financial problems, distress, loneliness and anxiety (Akbari *et al*., 2023; Gori *et al*., 2022; Muller *et al*., 2021; Zheng *et al*., 2020).

Digital marketing techniques, are designed to engage consumers, promote repeat purchasing and engender loyalty. But Sârghie (2021) advocates digital marketing especially social marketing strategies should address compulsive buying. Table 3.2 highlights types of shoppers and behaviours, which might indicate compulsive buyer behaviour. Digital marketers should consider how they can identify and manage compulsive shopping behaviour as these types of shoppers are not good brand advocates and companies and brands should have a responsibility to their customers to ensure their safety and wellbeing.

Table3.2

Identifying compulsive shoppers adapted from Sârghie (2021)

Audiences	Healthy shoppers	Impulsive shoppers	New compulsive shoppers	Cor b
Behaviour	'I've got good shopping habits; I buy what I need and can pay for my purchases'.	I worry about my shopping sometimes, buying expensive items which I sometimes struggle to pay for'.	'Think I might be a compulsive shopper but am able to control it, I do buy lots of things I don't need'.	'Online a seriou in my li stop bu I get a b then I fe depress finance mess'.
Signals	Regular shopping online, with predictable patterns of purchasing, e.g. weekly shop, seasonal gift shopping.	Regular shopping online but with periods of intense activity or high spend.	Intense shopping activity.	Intense activity, associat problem

Choice – What are the choice criteria which influence buying decision making?

Customers buy products and services for their needs and decide which product or service provider is most likely to deliver the benefits they require. The choice criteria customer use can vary from those which are very tangible e.g. technical aspect of a product and its performance, of economic criteria, e.g. prices, running costs, value. To less tangible criteria which include social criteria,, e.g. belonging, status and personal criteria, e.g. self-image, ethics, emotions (Jobber and Ellis-Chadwick, 2024).

Customer choice and the subsequent decision making are also crucial to the purchasing process (online and offline), and digital media plays an increasingly important role in choosing products and services in buying decisions. Most buyers visit online to find information to inform what they buy, so the web and social media are:

- a vital part of the research process, as internet users now spend longer researching products online.
- used at every stage of the research process from the initial scan to the more detailed comparison and final checking of specifications before purchase.

This changing behaviour means customers are more informed and refer to a multiplicity of sources to find information to inform their final purchasing decision, e.g. brand websites, social media, review sites, traditional print media and personal recommendations (this topic is explored in detail in **Chapter 9**). Digital sources of information play a more important role in shaping purchase decisions. So, companies have to think carefully how they can maximise the value of positive comments and reviews and reinforce consumer perceptions through product quality and service experiences, both on- and offline.

Figure 3.9 shows when consumers first use the web they tend to limit its use to searching for product information, but as they become more confident, they are not only likely to involve digital channels and sources at a greater number of points in the purchasing process but are also likely to increase the value of the products they buy and the frequency with which they make purchases. This experience has been called ZMOT, 'zero moments of truth', when a potential customer begins learning about a product or service for the first time. Decisions taken at this early stage are important as they can influence long-term buying behaviour and can act as a differentiating moment (Steils *et al*., 2019). Furthermore, searching for evidence to validate these early purchasing decisions is important and often takes the form of user-generated product and service reviews. Customers also take account of ratings. But reviews and ratings are just a part of the process as confirming choice decisions. Equally important for some online buyers is finding ways to secure confirmation of the validity

of ratings and reviews, e.g. referring to blogs and social media. Past experiences also add to the choice decision (see section on experiences later in this section) (Fernandes *et al*., 2021). Types of digital content can also influence purchase choice. Now read Mini case 3.3 to find out more about how L'Oréal personalises advertising content to suit its customers. Developing an understanding of the processes involved in customer choice should enable marketers to identify how to tailor services to meet the needs of the customers so they move to the transaction dimension.

The proportion of internet users who will purchase different types of products online varies considerably based on the characteristics and demographic profile of the consumers, the product category and the past experiences of the shopper. Convenience remains one of the biggest drivers for online shoppers. Figure 3.10 compares the relative importance of different factors which encouraged the adoption of online purchasing among consumers. The most important drivers of online purchase according to respondents are shown on the left of the chart.

Figure3.9

Development of experience in internet use

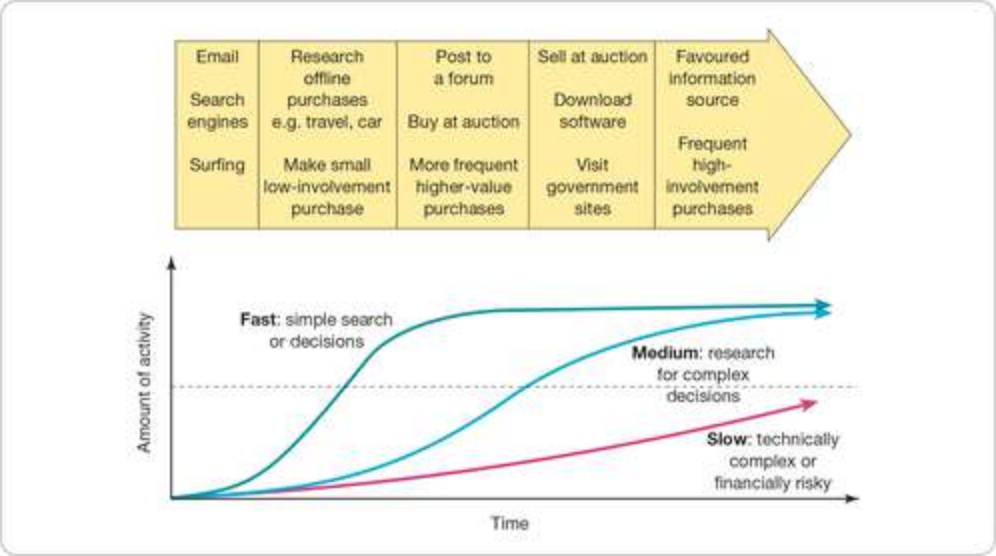
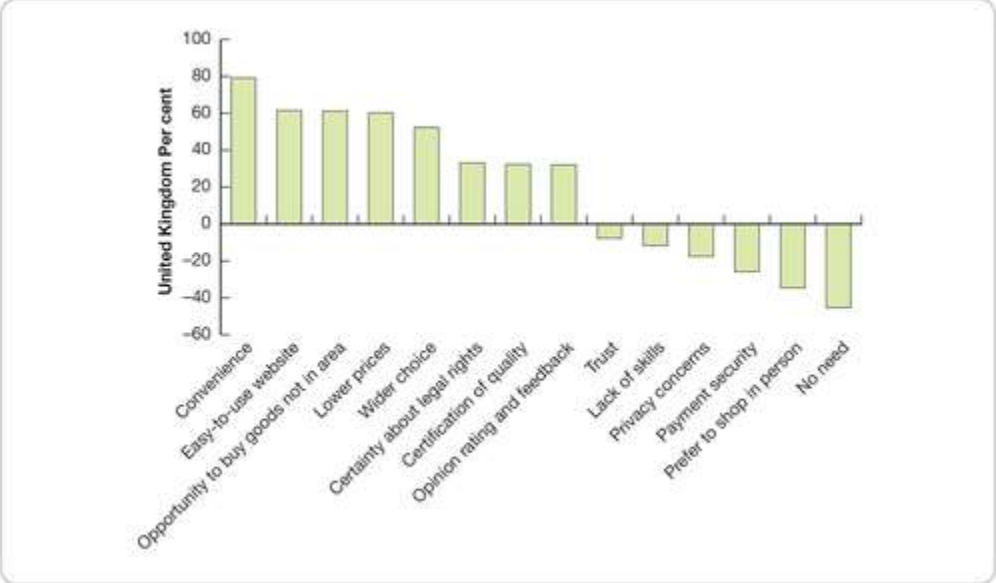


Figure3.10

Influences on online purchasing in the United Kingdom



Source: Chamberlin (2010)

Mini case study 3.3

L’Oréal uses video advertising on Facebook and Instagram to micro-target

Facebook has become successful in growing its online advertising revenue since it offers both conventional demographic targeting and other options that are more predictive of interest in a product, i.e. customer intent. These other options are based on the type of content an individual interacts with. Targeting options from Facebook’s Audience Insights tool that are available to advertisers for selecting audiences they want to reach include:

- Demographic – age, gender, education and job title.
- Interests – interests and hobbies, from preferred entertainment, shopping and fashion, sport and outdoors to technology.
- Behaviour – page likes, prior purchases and device usage.
- Life events – for example a new job, new relationship or recently moved.

La Roche-Posay, L’Oréal’s specialist line for sensitive skin, including skincare and sun protection products, gives an example of how this insight can be used to target potential customers more closely by delivering personalised ads. La Roche-Posay worked with Facebook Marketing Partner Aitarget to create a campaign that would reach people with relevant messages in personalised video ads based on interest and

demographic targeting. Kirill Nikonov Digital, eCommerce and CRM Manager, L'Oréal Russia explains: 'our suncare range comprises 20 products, all answering the needs of different skin types. That's why it was crucial for us to target customers accurately and offer them the product most suitable for their skin condition'.

The aim was to create multiple video ads, tailored to people with different skincare needs, and recommend a suitable product. Aitarget's personalised video creation tool enabled the brand to produce 20 video ads based on a template that it tuned to 10 very specific audiences. In total, more than 90 branded videos were generated and uploaded to La Roche-Posay's ad account, where multiple ad sets for different audiences were automatically created. Audiences – including groups such as young mums, outdoor lovers, acne sufferers, fitness fans and people with allergies – saw video ads with customised product images and personalised messages in their Facebook News feeds, Instagram feeds and in Instagram Stories.

Using this approach, La Roche-Posay reached three times more people with a three-week campaign at a peak time for buying sun protection products and also cut the cost of engagement with highly relevant personalised ads. It achieved:

- 3x increase in reach;
- 25 per cent lower cost-per-click;
- 3x lower cost-per-10-second video view.

Sources: Aitarget University https://uni.aitarget.com/insights/la-roche-posay/; Facebook Business https://en-gb.facebook.com/business/success/la-roche-posay-aitarget

Place and time – Where and when do they buy?

According to Jobber and Ellis Chadwick (2024), the *always on* consumer is constantly acquiring information from the web and sharing information via social media. They have places they like to shop online and time to research their online shopping. A large consumer study by AliExpress (2024) examined online shopping behaviour in Europe and found some interesting results about where shoppers like to buy:

- *Place*: the top places where consumers buy online, were found by the study to be:
    - online marketplaces, like Amazon, AliExpress, eBay, Etsy, Walmart.com
    - retailer web sites, e.g. ASOS, Zalando, Apple Inc, Amazon, IKEA
    - retailer mobile apps, e.g. Argos, Conrad (Germany)
    - second-hand platforms, e.g. vinted, eBay, Farfetched pre-owned, Depop
    - social media shops, e.g. Instagram, Facebook, TikTok. Social media platforms have become important destinations for more than just shopping; individuals can

use multiple platforms to gather information, share ideas and interact with their communities.

While websites remain the most visited destinations online, mobile apps are increasingly popular and almost all internet users globally use a mobile phone at some point to access their favourite digital destinations (Dataportal, 2024).

- *Time*: time spent online varies, depending on what you are doing. The amount of time we spend using digital resources has increased significantly in recent years as internet user populations and online resources have grown. Currently over two-thirds of the world's population has access to the internet (Dataportal, 2024). But there are many factors influencing the time you might spend online:
    - *Your age*: a study by WARC (2022) found Generation Z (16- to 24-year-olds) spend two-thirds of their media time online more than any other age group. Social media is their favourite destination along with streaming music and podcasts. For 25–35-year-olds online streaming is also a very popular destination but they spend less time online, especially since the COVID-19 pandemic.
    - *Where you live*: Northern Europe and North America are the most connected with almost all of the populations having access to digital recourses. Central African countries are the least connected with only around a third

of populations being able to get online. India, and parts of China are also poorly connected. Barriers to adoption include, high relative cost of access, poor computer literacy and low digital skills (Dataportal, 2024).

- *What you are doing*: the average time spent online researching products was between 1 to 2 hours a week. Interestingly the Spanish spend 9 to 10 hours a week and the French spent the least amount of time online AliExpress (2024). But online time is much greater when visiting social media platforms. GWI (2024) found a typical social media user spends nearly two and a half hours online daily. Young women tend to spend the most time on social media and men over the age of 55 to 64 spend an average of an hour and a half. YouTube is where people in total spend most time online, watching videos, followed by What'sApp, Tiktok, Facebook and Instagram.

The places we buy and spend our time online can vary like other aspects discussed so far. This section is a snapshot of popular digital destinations and time online. Now complete Activity 3.3 to explore further where and when customers might buy online.

Activity 3.3

When and where do consumers use social media?

In this activity we explore the who uses social media and which platforms they prefer touse to support purchase decisions?

Purpose

To consider where and when social media is important to consumer decision-making.

Activity

Visit the Datareportal at https://datareportal.com/reports/digital-2024-global-overview-report and review the Social Media statistics.

Imagine you are a digital marketing manager, who is planning a campaign to use social media to influence consumer decision-making. Explore the following questions:

1. What are the main reasons for using social media by age group and which age range is most likely to use social media to find product inspiration?
2. Choose one age group then find which is their favourite social media platform and how long they are likely to spend using the platform.
3. Identify which social media platform is most likely to be used by your chosen age group for brand research.
4. Consider social media against other channels and decide which you think might be the most effective.

Customer experience: How do they feel?

Customer experience (CX) is a complex concept and determining how customers feel is far from straightforward. Lemon and Verhoef (2016) defined CX as ‘a holistic construct that encompasses cognitive affective and sensorial responses generated from interactions with an array of brand owned, customer owned, partner owned and external touch points’. As use of the digital environment has grown, further research gives greater understanding of the online customer experience and how this interrelates with physical world experiences. According to AbedRabbo *et al*. (2022), touchpoints are fundamental to shaping CXs as a customer may encounter many during their shopping journeys. CX is also defined by the type of interaction with touchpoints, and these can be tangible, e.g. visiting a physical shop, looking at the products, the store layout and also sensory, e.g. the store ambiences. Online touchpoints tend to be more tangible, e.g. web sites, emails, social networks but video content, images, and discussions can connect with less tangible aspects of an online CX. Earlier we discussed the type of information customers use to search for information, which also can form touchpoints in a customer journey (see Figure 3.9). Empowering customers with information to use during the decision-making journey can positively influence expectations and behaviours (Watson *et al*., 2018). As customers increasingly prefer to shop across different physical and digital channels, creating a connected shopping experience as this increases the perceived value of their

shopping decisions (Betzing *et al*., 2018; Verhoef *et al*., 2015). This integration can also increase the quality of CX by enabling personalised services that further enhance consumer interactions (Hoffman and Novak, 2015). A connected shopping experience has been found to have a positive effect on customers' search, purchase and willingness-to-pay intentions (Herhausen *et al*., 2015; Pantano and Priporas, 2016). For digital marketers it is important to understand CX and to know how customers transition across physical to digital touchpoints at each stage in the customer journey. (See the first part of **Chapter 7** for further discussion of customer journeys.)

Figure 3.11 shows key conceptual areas to consider when seeking to understand customer motivations, influences and online experiences. It is important to consider how and the extent to which past experiences provide the basis for future customer evaluations. According to research (Arnold *et al*., 2005; Lemon & Verhoef, 2016; Rose *et al*., 2011), the antecedents or background to the online experience consist of an important list of concepts that can influence or motivate the consumer to engage with a digital offer. We suggest 8 antecedents which digital marketers should consider when analysing consumer behaviour and seeking to understand the extent to which online experiences are influencing shopping decisions.

1. *Information processing (IP).* Very important for digital marketers to consider as it shapes how a consumer deals with available data and

information that will shape their future behaviour. IP involves the mental processes and senses an individual uses to interpret the world they inhabit (Wang and Benbasat, 2013).

2. *Perceived ease of use.* Important to consider, as the easier a website or mobile site is to use, the more likely a customer will have a positive online experience (Cheung *et al*., 2005). Customers can also benefit from lower search costs and the efficacy of buying at any time from the comfort of their home or office.
3. *Perceived usefulness.* This refers to the extent to which the digital offer fits with the customer's daily life – for instance, shopping, booking train tickets online, banking (Arnold *et al*., 2005). It is here that the digital marketer can really start to develop a path to consumer benefits.
4. *Perceived benefits.* If a customer feels they will be rewarded in some positive way by engaging with a digital offer, this is likely to generate support for an online brand (Arnold *et al*., 2005).
5. *Perceived control.* If a customer is a skilled user of the digital technology in question, then they will feel they are able to function successfully in this environment. Earlier in the chapter we discussed how some mobile shoppers are confident whereas others are not.
6. *Skill.* This refers to the customer's ability to use the technology to achieve their desired goals (Klein and Ford, 2002). It has been

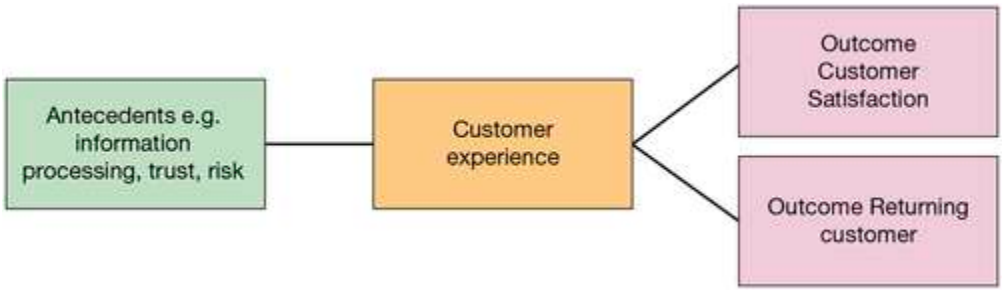
found that individuals *learn by doing* in the internet environment and so build their skill set over time – for example, the more frequent the visitor is to a website the greater their exposure and the higher their ability to engage with this digital content.

7. *Trust and risk.* Both play an important role in how a customer behaves online. Inexperienced internet users can feel vulnerable and fear the unknown. Customers should be able to achieve their buying goals with or without feeling they are exposed to undue risk (e.g. financial risk, social risk, personal risk). Marketers should seek to find ways to limit the risk of engaging with their online offer and seek to build trust through developing online relationships (Vize *et al*., 2013) and enabling customers to feel they are purchasing in a safe and secure online environment (Nepomuceno *et al*., 2013).

8. *Enjoyment***.** This is an outcome of a positive online experience and leads to perceptions of greater overall customer satisfaction.

Figure3.11

Key elements for understanding online customer experiences



A digital marketer should consider how each of these antecedents can influence a customer's motivations to engage with the digital offer and also look for opportunities to create competitive advantage by overcoming potential barriers. These eight antecedents can influence how the customer thinks (cognitive state) and feels (affective state) about their online experience and affect the outcomes of any subsequent behaviour. If the customer has a positive experience, this will increase the likelihood of them being satisfied and they will form positive repurchase intentions. Digital marketers need to be aware that it is important not only to develop the functional aspects of an online offer but also to consider how the emotional state and past experiences of the customer can affect customers' levels of engagement.

Social media and emotions

Social media is increasingly influential for capturing and sharing CX and is a major conduit through which consumers share, recommend and feedback on their product and service choices and experiences (Zhang *et al*., 2018). Social media networks are giving access to personalised recommendations in real time, based on individual personal experiences, which can be highly influential (both positive and negative depending on the nature of the recommendations). The use of social media networks, such as Facebook, Instagram, X and LinkedIn, have risen substantially since 2008. Social media has become important as a means of communicating and interacting online and also as a source of peer recommendations. The capacity of social media networks to display our personal feelings is extensive.

Now read Research spotlight 3.1 to find out more about how emojis can influence our feelings.

Research spotlight 3.1

Do emojis make you smile?

Focus: *Do emojis make you smile?* Shuqair, S., Pinto, D.C.; Herter, M.M. and Mattila, A. (2023)

Context: Emojis, online service interactions

Emojis are widely used in communications online, especially on social media platforms. They are used in many different contexts and their meaning can cut through language barriers to enable mutual understanding. Emojis are increasing used by businesses in communication messages and customer service interactions to communicate a variety of meanings.

The research

This study explores the use of emojis to find out more about how they work as a communication tool and how service providers online can use them to improve service encounters. The research involved studying the use of emojis: in social media setting; interactions between emojis (positive and negative) and the impact on online service encounters.

Key findings

Consumers can respond positively to online service messages which contain emojis. These symbols can enhance a service providers social presence, increase engagement and enhance the effectiveness of communication messages. However, it is important to recognise that the context of the exchanges is important. If the customer has experienced a negative service encounter, the use of emojis can have a negative effect and act to reinforce the negative experience.

Implications for digital markets:

- Make use of the positive impact of emojis when communicating with consumers; happy emojis can strengthen the effectiveness of a communication message.
- Avoid the use of emojis in negative service encounters, and complaint handling as this can have a detrimental outcome.

Research spotlight tasks

Review your own communications and consider the extent to which you use emojis.

- Identify the extent to which you use emojis as shorthand to convey emotions.
- Consider messages sent to you and identify which emojis do you find most beneficial.
- Imagine you wish to apologise to someone. Write a message including emojis to convey your sincerity over the mistake.

Now we have explored all of the dimensions of online we have insights into many aspects, which need to be considered when planning digital marketing campaigns. This section has highlighted different types of customer behaviour, varying responses to products and services and many other facets of customer behaviour which have implications for digital marketing. Our final digital marketing insight in this section is entitled ‘Capturing personas’. This is a very useful tool for identifying and capturing online target market segments. **Personas** are fictional profiles that represent a particular target audience. Personas are a tool, which can help understand online customer characteristics and behaviour and then create communications more relevant to your audience. Creating personas is a powerful technique for developing customer-centred online strategies, company presences and campaigns, and forms part of marketplace analysis.

Digital marketing insights 3.3

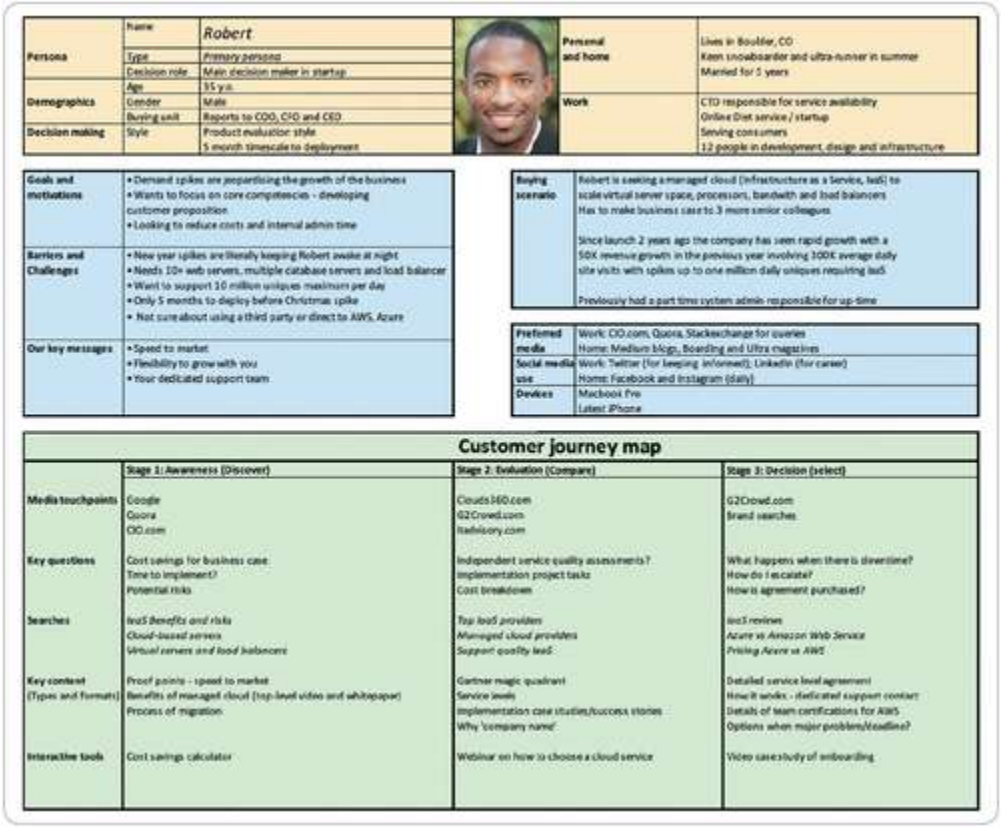
Capturing personas

Personas are essentially a ‘thumbnail’ description of a type of person. They have been used for a long time in research for segmentation and advertising, but in recent years have also proved effective for improving website design by companies that have applied the technique. To be effective for digital marketing, personas should go beyond a simple summary of audience characteristics, needs and aspirations. A detailed persona should also include psychographic information and can be made more practical, as shown by the example in Figure 3.12, by including a customer journey map showing content requirements as the customer moves through the three stages of the buying process. Such a persona can then be used to review and improve the effectiveness of content and calls-to-action on a website, and support communications in assisting conversion. Our exploration of the dimension of customer behaviour provides many opportunities to identity variables to use in persona profiles.

For an example of the application of personas, see Mini case study 3.4 about student consumer personas.

Figure3.12

A persona example recommending key insights to include



Persona	Name	Robert		Personal and home	Lives in Boulder, CO Keen snowboarder and ultra-runner in summer Married for 5 years
	Type	Primary persona			
	Decision role	Main decision maker in startup			
Demographics	Age	35 y.o.			
	Gender	Male			
	Buying unit	Reports to COO, CFO and CEO		Work	CTO responsible for service availability Online Diet service / startup Serving consumers 12 people in development, design and infrastructure
Decision making	Style	Product evaluation style 5 month timescale to deployment			

Goals and motivations	• Demand spikes are jeopardising the growth of the business • Wants to focus on core competencies - developing customer proposition • Looking to reduce costs and internal admin time
Barriers and Challenges	• New year spikes are literally keeping Robert awake at night • Needs 10+ web servers, multiple database servers and load balancer • Want to support 10 million uniques maximum per day • Only 5 months to deploy before Christmas spike • Not sure about using a third party or direct to AWS, Azure
Our key messages	• Speed to market • Flexibility to grow with you • Your dedicated support team

Buying scenario	Robert is seeking a managed cloud (Infrastructure as a Service, IaaS) to scale virtual server space, processors, bandwith and load balancers Has to make business case to 3 more senior colleagues Since launch 2 years ago the company has seen rapid growth with a 50X revenue growth in the previous year involving 100X average daily site visits with spikes up to one million daily uniques requiring IaaS Previously had a part time system admin responsible for up-time

Preferred media	Work: CIO.com, Quora, Stackexchange for queries Home: Medium blogs, Boarding and Ultra magazines
Social media use	Work: Twitter (for keeping informed); LinkedIn (for career) Home: Facebook and Instagram (daily)
Devices	Macbook Pro Latest iPhone

Customer journey map

	Stage 1: Awareness (Discover)	Stage 2: Evaluation (Compare)	Stage 3: Decision (select)
Media touchpoints	Google Quora CIO.com	Clouds360.com G2Crowd.com Itadvisory.com	G2Crowd.com Brand searches
Key questions	Cost savings for business case Time to implement? Potential risks	Independent service quality assessments? Implementation project tasks Cost breakdown	What happens when there is downtime? How do I escalate? How is agreement purchased?
Searches	*IaaS Benefits and risks* *Cloud-based servers* *Virtual servers and load balancers*	*Top IaaS providers* *Managed cloud providers* *Support quality IaaS*	*IaaS reviews* *Azure vs Amazon Web Service* *Pricing Azure vs AWS*
Key content (Types and formats)	Proof points - speed to market Benefits of managed cloud (top-level video and whitepaper) Process of migration	Gartner magic quadrant Service levels Implementation case studies/success stories Why 'company name'	Detailed service level agreement How it works - dedicated support contact Details of team certifications for AWS Options when major problem/deadline?
Interactive tools	Cost savings calculator	Webinar on how to choose a cloud service	Video case study of onboarding

Mini case study 3.4

Personas ‘with wings’

AMP is a marketing agency that offers a full suite of services for brands wishing to communicate in the digital marketplace. It uses customer personas as a way of developing understanding of its clients’ target audiences. It uses the persona to create a visual and contextual representation of the target audience, using demographics and psychographics. In building this representation, AMP also looks at the use of social media and technology, which gives an understanding of the likely touchpoints the target audience will encounter.

According to AMP Agency (2020), the Red Bull student persona is:

> ‘The thrill seeker
>
> He’s 24 years old
>
> Graduated from college 2 years ago with an English degree
>
> He is currently the assistant manager at a ski & board shop
>
> He makes £30,000 a year.

> Whether it’s jumping over cliffs into powder snow on a snowboard, racing down treacherous trails on a mountain bike or hitting the half-pike skateboard, he’s there because he’s a daredevil. He welcomes the new experiences and loves taking risks with adventurous activities like skydiving and windsurfing. He likes to live a fast-paced life and he’s always on the go. No matter how daring the challenge, he will always be there with a Red Bull in hand, on high energy and ready to jump.’

When developing a persona, a brand needs to understand how it is differentiated in the marketplace and use consumer data to understand consumer needs and behaviours in relation to the brand. By looking at a number of different variables, it should become possible for marketers developing digital campaigns to empathise with a particular target

audience and develop digital campaigns that not only attract but also meet the needs of the audience as well as delivering benefits for engaging with the campaign – thereby creating a win–win outcome for the company and its customers.

Digital influence on digital customer behaviour

In addition to the dimensions of customer behaviour, which explain many aspects of digital customer behaviour there are also other influences we can consider. The buying situation, personal, social and technological influences, captured in Table 3.3.

Table3.3

Influences on digital customer behaviour (adapted from Jobber and Ellis-Chadwick 2024)

Areas of influence	Factors affecting decision-making	Implications for marketing
The buying situation	Levels of problem solving	Level of information p indicates how much in provide and complexit
Personal influences	Information processing Lifestyle Lifecycle	Influences on buyer de making, e.g. lifestyle, i affect how customers r communication messa
Technology influences	Connectedness Artificial Intelligence (AI) Immersion	Scope of technology a of inform decision-mal can AI influence indivi behaviour?

Let’s explore each of these influences in a digital customer context.

- *The buying situation* according to Jobber and Ellis-Chadwick (2024) is important as if gives insights into the level of problems-solving a customer might become engaged with when making a purchase. Extended problem-solving will mean a customer is prepared to make detailed information searches, deliberate for a long period over the choices and options available to them, conduct analytical evaluations of their evoked choice set. Some of the reasoning behind this type of behaviour is due to the importance of making the wrong decisions. For example, buying a fashion item can be a utilitarian purchase in which case the problem-solving is limited but if the purchase relates to self-image and status and say the purchase of a luxury item the stakes are much higher. So, level of involvement increases, the number of alternative evaluated are greater and the time devoted to making the purchase decision longer. Another form of problem solving is habitual, where the customer frequently makes a similar purchase. A customer may rely on previous experiences to inform this type of buying situation. Subscription services from Amazon shopping to food menu services like Gusto and Hello Fresh, provide solutions for this type of buying situation and this approach is becoming increasingly important.
- *Personal influences*, individuals process information in different ways. The information they use to make their decision may vary

depending on how much they retain, attend to and distort. Lifestyle, interests, hobbies, family commitments can shape opinions and buying behaviour. Connected lifestyles can mean individuals are time poor and rely on online services to meet their needs (Norzieiriani *et al*., 2011). (See the section on customer profiling in the section on Customer lifecycle management strategy in **Chapter 6** for guidance on practices in profiling.)

- *Technology influences*, there are various aspects of technology, which have the potential to influence consumer decision-making:
    - Level of connectedness – digital environments are cluttered with advertising competing messages and a plethora of triggers to attract a customer's attention. Connected CXs offer more relevant interactions. Customers that are able to connect across multiple channels and online touchpoints are likely to have the best online experiences and be the most effective online consumers (Anon, 2023).
    - Artificial intelligence – uses sophisticated tools, based on natural language processing, neural networks and automation to collect, learns and interpret human behaviour. Retailers are using AI to enhance customer experiences and to offer extremely customised customer encounters as the technology can predict customer behaviour and trends in purchasing. By evaluating the

shopping experience AI purports to have a transformative influence on consumer decision-making and customer service (Sharma *et al*., 2023).

- Immersion in entertainment, retail and social activities using digital technology is growing in importance. Retailers are finding ways to use immersive technology to capture customer attention and increase engagement. For example, Marks & Spencer use digital ordering systems, Apps and digital kiosks to enable customer to purchase instantly. Digital integration and technology is also being used to create 3D immersive experiences and some luxury brands are showcasing their goods in this way to enable customer to interact and dynamic view their luxury offers (Retail Network Insights, 2024).

In the next section we investigate the influence of culture to the digital consumer by looking at how culture is shaped by the consumer and what this might mean for customer behaviour. We also consider the digital divide and digital deprivation.

Culture and the digital consumer

According to Dey *et al*. (2020) digital consumer culture is shaped by consumption behaviour. Internet technologies and digital applications have had a profound impact on human lives fundamentally changing consumption and customer behaviour. Individuals have found new ways of interacting and collaborating especially since the inception of Web 2.0 when the momentum of change has increased significantly, encouraged by social media and mobile technology development. Furthermore, communities have become extended, more diverse and transient. Our daily lives are constantly subject to new routines and behaviours, e.g. checking social media pages, reviewing news feeds, responding to messages (Dey *et al*., 2020). Moreover, online and offline boundaries have become blurred, e.g. purchasing a product may begin offline, order completed online, and post purchase reviews posted online. Dey *et al*. (2020) These authors suggest three aspects of digital consumer culture which are important to consider:

1. Consumer empowerment – the internet has enabled the sharing of information and knowledge to the extent of bringing a form of information democracy and greater equality to individuals. Consumers are also empowered as they can interact across geographical and social boundaries with much greater freedom than before. For example, celebrities, politicians and other public figures are openly criticized (and commended) as are companies and

brands via social media, blog posts and even videos on YouTube by individuals. And these individuals might even become online celebrities, with large numbers of followers resulting from their views and opinions (Kozinets and Cereno, 2014). Empowerment of the individual affords the digital consumer greater freedoms and autonomy. Consumers can exercise their right to be heard through digital platforms, which impacts on businesses and brands often with the outcome of improved service and better-quality products and services. For example, in the travel industry customer reviews, rating and other user generated content (UGC) are increasingly used to evaluate accommodation, tourist destination, restaurants and subsequently impact on sales as good ratings boost bookings, turnover and profitability (Ye *et al.* 2011).

2. Interchange between off and online – the real world is often parallelled by the online world and can also constantly inform our offline views. For example, social media platforms profiles, posts, status, check-ins, selfies are often used by individuals to keep tract and give meaning to their lives online. But it is experiences in the offline world which are used to create online comments, content and shape identity (Dey *et al*., 2020). Widespread events can emerge, which cross the online/offline boundaries, e.g. charitable acts offline can become viral sensations online, e.g. The ALS Association – a US nonprofit organization – the 'ice bucket challenge', which involved throwing ice water over a person's head to raise awareness of motor neuron disease become a global online

phenomenon, raising over $200 million (Robinson, 2015); Movember, has become an annual fundraising event raising awareness of men's health which spans the online/offline boundary, with actions in the real-world raising funds and awareness via the digital world (Movember, 2024). The rise of use of social media for social and political purposes is having far-reaching consequences. Individuals have mobilised various campaigns via social media to bring about change – for example, Occupy and the Arab Spring (Markham, 2016). Through social media there is a new form of political communication: politicians have direct contact with voters; campaigns can go viral and be shared with millions of social media users; adverts can be freely posted and shared via YouTube. Social media allows people to join together, and political lobbyists are very aware of the power of social media networks when it comes down to campaigning.

3. Dividing of identities – identity in the digital world is multi-dimensional as individuals can assume different roles, e.g. private, social and professional (work-related). But if an individual posts on social media this can add a layer of complexity as posts and interactions can be public and shared with work colleagues, friends, family members, and wider communities. So, an individual's identify online can be multifaceted and it can be difficult to decide which role is being projected. This interconnectedness of identities can lead to tensions outside private online discussions. For example, Gary Lineker, a BBC sport presenter posted his personal

views and opinions on political issues on X. His employer (BBC) considered he might have broken their impartiality rules (Dey *et al*., 2020; Sky News, 2023). Although this is a high-profile example, the same kind of tensions can arise for any individual as it is not always possible to compartmentalise individual multi-identities online (Dey *et al*., 2020).

These three aspects of digital consumer culture can combine to create new forms of consumer behaviour and shape how individuals interact. This interplay of relationships and identities, with digital technologies, online platforms and communities underpins the notion of digital consumer culture which is changing customer behaviours in profound ways (Dey *et al.*, 2020). However, it is important to consider there are still many individuals who are not able, willing or allowed to engage with the digital world and so they are in a state of digital deprivation and have limited access to digital consumer culture.

Studies of the digital divide and digital deprivation have identified various causes. Initially the focus was on access to Internet technology and identifying the causes of ‘have and have nots’ in terms of which sociodemographic variable caused the limits to access: age, race, gender, population density (Hoffman *et al*., 2001; Lythreatis *et al*., 2022). However, as use of the internet and digital technologies became ubiquitous, explanations of the divide looked to other types of inequalities: lack of skills; mental abilities and limits on usage, e.g.

psychological factors such as computer anxiety (Lythreatis *et al*., 2022). More recently other factors have been added as causes of the digital divide:

- personal elements, lack of trust of internet technology and its networks; lack of motivation; privacy concerns, attitude to risk, attitudes, beliefs and religion (Goncalves *et al*., 2018, Lythreatis *et al*., 2022).
- lack of infrastructure, in central Africa and other remote parts of the world there is a lack of access to the intermate due to infrastructure limitations and lack of skills and resources to deploy digital technologies (Dey *et al*., 2020).
- political restrictions, e.g. in China there is strict control over online content and information. The country's leadership uses censorship of content and screens social media posts in advance of publication which reduces freedom and autonomy of individuals and communities (The Economist, 2022).
- digital minimalism and digital addiction – these are other societal issues for marketers to be aware of since they may lead to decline in use of online services and make it difficult to reach some audiences online. The concept has arisen from the realisation that too much use of digital services can result in time lost to other activities such as relaxing and socialising and, in the worst case, to addictive behaviour. Some individuals decide a digital detox is important, cutting back on their access to all forms of digital

engagement. We explore these concepts in Digital marketing insight 3.4.

Digital divide and deprivation are better understood today and it is not just a matter of whether being a certain age or ethnic group restricted access to online. It is now a multi-layered set of concepts, which encompass the individual, their behaviours and capabilities and forces in the marketing environment. Digital marketing managers need to understand the spectrum of underlying causes of the digital divide and deprivation so they can adjust their marketing offers and find ways to limit inequalities if they are to thrive in dynamic and changing digital markets (Shams *et al*., 2021).

Digital marketing insight 3.4

Digital minimalism and digital addiction

Digital minimalism is a concept popularised by Cal Newport, a computer science professor at Georgetown University, in his book *Digital Minimalism: Choosing a Focusing Life in a Noisy World* (2020). In the book he defines digital minimalism as:

> *A philosophy of technology usage in which you focus your online time on a small number of selected and optimised activities that strongly support things that you value and then happily miss out on everything else.*

He recommends we consider the potential misuse of our time using digital devices and services and the harm this could cause. Facebook, X, YouTube and Instagram are examples of frequently used apps you will be familiar with, which grab the attention of billions of users daily. Newport says their addictive nature is partly by design since ‘attention engineers’ create features to encourage repeat usage, which leads to increased ad revenue. A similar view is expressed in the Netflix-commissioned film *The Social Dilemma* (2019), which features the impact of digital addiction, and former employees of digital platforms explaining the thinking behind the ‘attention economy’.

In a single day we may reach for our phones over 100 times to check out our favourite apps. According to Busby (2018) ‘social media platforms are using the same techniques as gambling firms to create psychological dependencies’, which can leave us locked into certain products and brands. By sending notifications to update us, the three dots that encourage us to scroll to find more content and other interactive rewards may compel users to scroll and refresh the screen in a similar way that a gambler might pull the handle on a slot machine. While this level of engagement can produce positive results for advertising, research has shown that heavy users of social media can become depressed and over-anxious, and at a very minimum can lead to large amounts of time being spent engaging with mobile apps.

Newport (2020) recommends three principles of digital minimalism that adherents may follow:

1. *Clutter is costly.* He suggests minimalists recognise that using too many devices, apps and online services, particularly social networks, can be negative and result in the individual value of some digital activities being offset by the lack of attention and focus on other more important work and what he describes as ‘high-value leisure’ activities, which have a positive impact. Newport has never used Facebook or other social networks regularly but believes he can be successful as a computer scientist and author without them.
2. *Optimisation is important.* He suggests adherents should complete a digital declutter, which involves considering which online services are used and the

cost/benefit of this. Some activities can be limited, or cut out entirely – for example, deleting social network apps or only accessing preferred social networks in the evening or on desktop. Various tools such as Freedom or SelfControl or, for apps, Cold Turkey or Flipd are recommended, which can be used to limit the use of social networks or other websites and apps.

3. *Intentionality is satisfying.* This highlights the positive aspects of becoming a minimalist, which are reported to include more time and greater focus on other activities. It also shows that most minimalists are not eschewing the use of digital technology completely; rather they review their use of digital services and then decide what they should focus on – Newport suggests seasonal and weekly plans, 'though they may not be for all'.

A video explaining a digital declutter and a TEDx talk are available from www.davechaffey.com/book-support, which explain the drivers behind digital minimalism. An extract from *The Social Dilemma* is also recommended.

How does digital minimalism relate to marketing?

The concept relates to marketing since it signifies an evolution of consumer behaviour where usage of social networks could become self-limiting when people realise it has a negative impact on their lives and take steps to use social networks less. Facebook's own reports to investors show declining numbers of active users in some key markets, although the overall global number of active users is increasing as the platform expands. Trends in active users tends to vary by age and it is to be expected that some demographics such as younger users spend more time on other platforms such as Instagram or TikTok.

Declining use of social media or particular networks may lead to difficulty in targeting some demographics. Changes in media investment may be needed to reach these audiences as some target audiences may choose to follow a digital diet – restricting their

use of online media and communications or opt for a digital detox and in doing so reject their life online (Skivko *et al.,* 2020).
Generally, Newport (2020) is highly critical of digital platforms created by the FAMGA companies, who he says have created an ‘attention economy’ where consumers are manipulated by ‘attention engineers’ to spend more time on their devices, since this will increase ad revenue monetisation.

He notes the negative impact of unrestricted online activities on psychological well-being and talks about the dangers of ‘digital addiction’ where young individuals, in particular, may overuse social networks in their drive for social approval.

Newport refers to a blog article by Facebook employees David Ginsberg and Moira Burke (2017), who asked: is spending time on social media bad for us? This article was notable since it was one of the first times Facebook acknowledged that using its platforms could be negative for a user and implied it could lead to changes of mood, or even depression. It references different research, which looks at negative and positive impacts. Newport notes that the positives are accentuated, and the suggested solutions are based more around how social media should be used rather than suggesting it should be used less. The article also notes changes Facebook has made to encourage more positive interactions with high-quality content within the newsfeed.

Activity 3.4

Planning for a digital detox

Understanding our online media and communications and the impact of withdrawal. Which part of our daily lives might be most affected by a withdrawal from online. A digital detox means getting away from digital information, communications and devices and

there can be many benefits, reduction of stress, avoid burnout and information overload, reduce compulsive online behaviours (Skivko *et al.,* 2020).

Purpose

To explore what it might mean to leave the digital world in all aspects of our lives: personal, social and business.

Activity

1. Make a list of the digital devices you use each day: e.g. computer, tablet, mobile phone, watch.
2. Create a blank version of Table 3.4 with your own devices and activities to show which devices you use in three areas of your daily life: personal, social and work-related. See example.
3. Now plan for you digital detox. First identify the device you use the most from your analysis in Table 3.4. Then plan how to reduce your exposure to this device. For example, delete social media apps from your phone, leave your phone out of sight at social gatherings and in meetings, don't take you phone to the bathroom, keep your phone in airplane mode and only exit when you need to use it. These suggestions are from broadcaster Gemma Cairney (2018).
4. Discuss with a group of friends/colleagues how your withdrawal from all things digital will a) affect your life, and b) have an impact on digital marketing.

Table3.4

Example template for planning your digital detox

	Mobile	Computer	Tablet	V
Personal	Communications, arranging meetings with friends	Communications Information gathering	Playing online games	Monitor activitie commur

	Checking the weather Shopping	Shopping		
Social	Posting on social			Checkin message
Education	Learning a language		Learning a language	
Work-related	Attending online meetings	Researching information, Writing reports		

In this chapter, we have explored the digital customer by identifying who they are and the dimensions which can affect their behaviour. We have paid attention to digital customer experiences and how these are transforming business practices and offers. We have also looked at other drivers of influence on customer behaviour by looking at the situations in which customers buy and personal and social influences on purchasing behaviour. Finally, we have considered the significance of digital customer culture on behaviour patterns.

This chapter provides a structured approach to looking at a complex field of study, which has attracted many, researchers, scholars, digital practitioners and industry commentators since the inception of the digital

world. The Chapter is the tip of the iceberg, which aims to stimulate your interest and provide pathways for further investigation into this fascinating area of study.

Case study 3.1

Social media and the changing face of celebrity influencers

This case study explores how the reach and influence of social media is changing and reshaping the marketing environment. It introduces the Social Media Marketing Framework (SMMF) as a tool to review and plan social media marketing.

Our fascination with the personal and private lives of others has given rise to the increasing capacity of social media to influence every aspect of human activity (Alalwan *et al*., 2017).

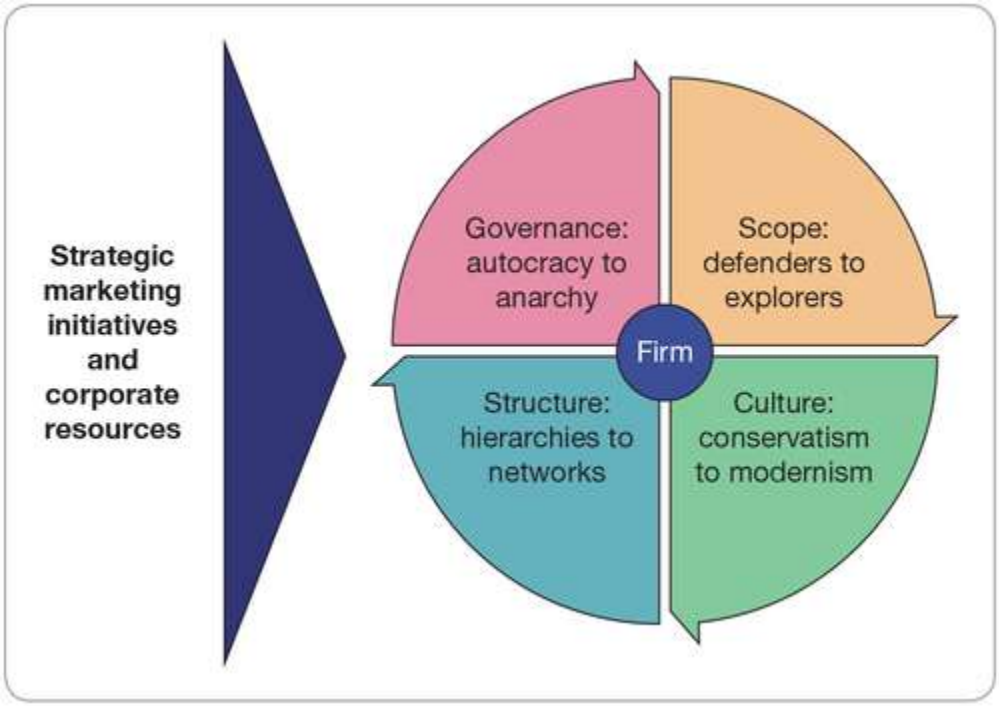
Research suggests that digital marketing managers can position their organisations in such a way that their use of social media becomes coherent, consistent and more powerful than if they were to adopt social media in an unstructured manner.

In this case we look at some evidence from high-profile social media cases and apply the strategic SMMF (Felix *et al*., 2017) with the aim of looking into the complexity of social media communications channel.

Social Media Marketing Framework (SMMF)

Figure3.13

Social Media Marketing Framework (adapted from Felix et al., 2017)



This framework offers a holistic way to consider the strategic application of social media. Felix *et al*. (2017) proposes there are four dimensions to social media marketing (see Figure 3.13):

1. *Scope*. This dimension focuses on the extent to which social media platforms are used on a spectrum from defender whereby social media content is mainly used as a one-way communications tool updating just a few stakeholders,

providing content to entertain and inform end users, or at the other end of the spectrum is used as an authentic collaborative environment, which facilitates reciprocal interactions between end users and companies and facilitates two-way reciprocal interactions.

2. *Culture.* This dimension extends from conservatism with internally focused, risk averse interactions with social media, and management tends to restrict and control use of these media to modernism which embraces the marketing opportunities afforded by social media. Modernist management approach supports the use of social media in an open and liberated manner.

This spectrum moves from social media as traditional mass-marketing channel (conservatism) to an open, flexible and all-embracing style of communication.

3. *Structure,* hierarchies to networks. At one extreme communications are subject to centralised control, clearly defined protocols are deployed and social media communications are assigned to one department to manage. At the other extreme, communications are decentralised and the responsibility of all employees, regardless of the department. In a truly networked approach, all employees

are on song with the DNA of the company and remove the need for social media specialists.

4. *Governance*. This dimension relates to company rules for using social media and to what extent employees are told what they can and cannot say on social media platforms. Autocracy implies centralized control whereas anarchy suggests there are no rules and total freedom to communicate via social media. Neither extreme is realistic in today's communication environment. Most companies using social media have guidelines, which have greater or lesser control over employee communications.

This framework seeks to highlight the complexities underlying the use of social media, and the importance of taking a multidimensional approach towards its application and management. As social media engagement continues to increase along with our level of engagement with the media more attention is given to how influencers are used in this context to achieve digital marketing objectives. Celebrity endorsement is nothing new but online has been used very successfully on social media platforms (Felix *et al*., 2017; Rutter *et al*., 2019).

Now let's look at some recent high-profile social media activity to see if the SMMF helps shed light on the reach and success of each of our pieces of evidence.

Evidence 1: Celebrity engagement – Kylie Cosmetics

Social media platforms, from Facebook, X and Instagram to LinkedIn, invite sharing of personal and commercial information, in various formats – text, photos, videos, audio, blogs and messages. In 2018, Kylie Jenner, US reality television celebrity and social media personality, reportedly wiped $1.5 billion dollars off the value of Snapchat by tweeting that she no longer read those messages.

Kylie, who seeks to constantly engage her audience, posted an indistinct image of her new baby daughter and got 11 million likes in just a few hours (BBC Newsround, 2018). Kylie is related to Kim Kardashian, famous in the United States for reality TV show *Keeping Up with the Kardashians*. Kim and the rest of the Kardashian–Jenner family have developed a powerful social media presence, which is also financially valuable (Gajanan, 2017). Kylie has utilised the reach of digital social media to build a $400 million cosmetics business in under two years. On her Kylie Cosmetics website, customers are encouraged to use the hashtag #KylieCosmetics to share photos of themselves wearing the makeup products. Her interest in social media came from YouTube teen makeup tutorials and she utilised this knowledge and an online show to grow the cosmetics brand.

Kylie is a mega influencer in her own right and is constantly seeking to reinvent herself and her brand to maintain the interest of her. Her use of social media is carefully controlled and messaging aimed to achieve a balance between self-exposure and measured commentary. Her Instagram feed followed this strategy and now is a display of her many brand activities. She has a sound understanding of her online audiences and provides the content they like in order to keep them returning. Kylie has over 400 million followers and outperforms the rest of the Kardashian–Jenner family member on social media (Boulet, 2024).

Evidence 2: Political campaigns – #grabyourwallet

In 2016, Shannon Coulter launched a campaign to encourage shoppers to stop buying Ivanka Trump apparel following derisory comments from former United States president Donald Trump about women. Her campaign, #grabyourwallet, called for action to boycott retailers stocking this fashion brand. As the social media campaign grew, more big-brand US retailers such as Neiman Marcus, Belk and Nordstrom reconsidered whether they should sell this merchandise. Interestingly, none of these retailers actually reported on links between the boycott and how it had affected sales. For Coulter, the campaign has burgeoned into a much wider expression of ‘anti-Trump sentiment’ and an economic boycott

against companies with connections to Donald Trump (Halzack, 2017). She sees this as being a way for consumers to get actively involved with others who share similar opinions.

Shannon Coulter is an activist with influence and leads Grabyourwallet, which is now a non-profit organisation and community of people promoting democracy; more equitable corporations and a force against unethical institutional practices (Grabyourwallet.org, 2024).

Evidence 3: Financial compliance

The financial services industry is typically risk-averse, so initially social media represented a major threat and as a result many banks, building societies and other financial institutions avoided being represented on social media platforms. But many of their customers had other ideas, as they increasingly demanded real-time responses from all of the companies and service providers they engage with. So, bank brands began investing in financial technology (FinTech), which resulted not only in faster and improved services but also widespread use of social media. Facebook, Twitter and other platforms are used in a controlled way: as a channel that facilitates customer interaction; a marketing channel to improve targeting and niche market expansion; a delivery channel for new products; and exploring new business models (Eldridge, 2017). But hereby is perhaps the biggest threat

of all: by embracing social media, financial services have conceded ‘customer mindshare’ to FAMGA (Facebook, Apple, Google, Microsoft and Amazon) and paved the way for online banks and financial services to replace the long-standing traditional financial services firms (Birch, 2018).

Starling Bank, is one such online challenger brand to traditional high-street banks in the UK. The online bank was proactive about using digital media to connect with its customers and used media agency Goat to create a multi-media ambassador campaign to increase engagement on social media platforms, Instagram and YouTube. The campaign aimed to increase conversations about the brand and move it into its target customers’ choice set. The campaign ran for 12 months and used influencers on both on and offline channels to drive engagement with the brand. The ambassadors (influencers) created authentic stories of their own financial experiences to generate interest and start conversations. The campaign was successful, creating 23 million impressions and 12.5 million engagement (Goat, 2024).

Evidence 4: From Spudman to Binley Mega Chippy: Tiktok and the power of the micro influencer

Harst and Angelopoulos (2024) found micro influencers can create powerful social media campaigns as they are often seen as more trustworthy and followers care about the information they post. Also, their insights into how to use different types of content to increase engagement show pictures can result in higher levels of engagement as can showing individuals (although impact relates to the extent of an influencer's audience).

Let's look at evidence from self-promoting micro influencers and the extent of their success.

Ben Newman or Spudman@spudarmy as he is known on TikTok is a local online sensation. He has over 3.6 million followers and uses pictures, selfies, videos and live stream of his activities selling takeaway food from his van in the centre of Tamworth. Ben offers his customers a free hot potato if they record and upload to his social media pages. He's a relative newcomer to social media but since the COVID-19 pandemic and his launch on TikTok inspired by his son his business has grown exponentially.

Get Baked got into trouble with the UK Government for importing ingredients from the US which were banned in the UK. Richard Myers, founder, owner and micro influencer was no stranger to social media and had a large following on Instagram built up from his down to earth messaging. But when 'Sprinklegate' hit social

media, Richard's online presence went wild, with a five-fold increase in Instagram followers and the local business went national. Furthermore, Get Baked found it had many celebrity mega influencers as supporters (Murray and Vinter, 2024).

Questions

1. Using desk research and the SMMF analyse the following cases to identify where each is on the four dimensions of the framework:
   a. KylieJenner @kyliecosmentics
   b. Shannon Coulter's #grabyourwallet and grabyourwallet.org
   c. Starling bank – https://www.starlingbank.com
   d. Ben Newman – spudman@spudarmy.
2. Suggest how the SMMF can be used to help brands improve their social media strategies.
3. Discuss the extent to which it is possible to strategically manage social media, using case evidence 1 to 4 in the case study.

Summary

1. This chapter has explored digital customer behaviour and how the internet, associated technologies, and applications have impacted on the customer, both B2B and B2C. Although the main focus of the chapter is on individual consumers. New behaviour patterns and routines are discussed, and the importance of changing customer behaviour for digital marketers is highlighted.
2. We have explored the digital customer and identified three types which are particularly pertinent to online consumption: Native digital consumers, prosumers and procurement professionals.
3. We have delved into six key dimensions of online purchasing: Fit, Action, Choice, Place, Time and Experience. In doing so we have looked at theories and concepts which explain buyer behaviour online and considered the implications for digital marketers.
4. We have explored digital influences on customer behaviour and considered three areas of influence: the buying situation, personal influences and technology influences,

each area giving further options for delving into digital customer behaviour.

5. Finally, exploring culture and the digital consumer revealed the intricacies and complexities of the digital consumer and identified three important aspects, which have implications for marketers: consumer empowerment, interchange between on and offline, dividing of identities. Additionally, we have considered the ongoing importance of the digital divide and digital deprivation.

Exercises

Self-assessment exercises

1. Explain who buys online, by identifying three types of digital customer.
2. Explain the dimensions of digital customer behaviour and the importance of each when planning a digital marketing campaign.
3. Discuss the stages in the consumer decision-making process and explain how digital channels might be used at each stage.
4. Suggest how touchpoints might help shape an online customer experience.
5. What is digital minimalism?
6. Discuss the different roles in a buying centre and discuss the extent to which these roles are important in online buying decisions.

Exam and discussion questions

1. Who is the digital customer?
2. Discuss the two key dimensions of online purchasing, justify your choice and the significance for digital marketing.
3. Explain the difference between high and low involvement buying.
4. Debate the extent to which you agree or disagree with the following statement. ‘Compulsive shoppers are a consequence of the progress of the world of e-commerce.’
5. Social media can be a powerful communication channel. Discuss the opportunities and pitfalls of these platforms with reference to the main social networks. Give examples of how brands have used social media positively or negatively.
6. Digital consumer culture is changing consumption and how we behave. Discuss changes and the implications for marketing.

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Weblinks

A directory of recommended website links, including videos, analysis tools and sources for statistics from the digital macro-environment, is maintained by Dave Chaffey at www.davechaffey.com/book-support.

Part 2

Digital marketing strategy development

In Part 2, we explore digital marketing strategy development by combining traditional approaches to strategic marketing planning with deploying digital media, data and technology. **Chapter 4** presents a framework for developing digital marketing strategies, **Chapter 5** discusses the opportunities for varying the marketing mix online and **Chapter 6** reviews strategies for digital customer relationship management.

4 Digital marketing strategy

- Introduction
- What is a digital marketing strategy?

- Why are a digital marketing strategy and digital transformation needed?
- How to structure a digital marketing strategy
- Situation analysis
- Competitor analysis
- Setting goals and objectives for digital marketing
- Strategy formulation for digital marketing
- Organisational issues of strategy implementation
- Assessing different digital initiatives including marketing technology

5 Digital branding and the marketing mix

- Introduction
- What is the marketing mix?
- Digital branding
- Product in a digital marketing context
- Price in a digital marketing context
- Place, channels and distribution in a digital marketing context
- Promotion and social media in a digital marketing context
- People, process and physical evidence in a digital marketing context

6 Data-driven relationship marketing using digital platforms

- Introduction
- Concepts of data-driven customer relationship marketing
- Customer lifecycle management strategy

- Data-driven marketing techniques
- Applying artificial intelligence and Big Data to support data-driven marketing
- Using data analysis and targeting techniques to increase customer loyalty and value
- Using social media to improve customer loyalty and advocacy

Chapter 4

Digital marketing strategy

Learning objectives and topics

After reading this chapter, you should be able to:

- Explain the importance to organisations of creating a digital marketing strategy and implementation process
    - What is a digital marketing strategy?
    - Why are a digital marketing strategy and digital transformation needed?
    - How to structure a digital marketing strategy
- Explain activities needed to inform a digital marketing strategy
    - Situation analysis
    - Competitor analysis
- Define different types of goals for digital marketing

    - Setting goals and objectives for digital marketing
- Evaluate alternative digital strategy approaches
    - Strategy formulation for digital marketing
- Assess success factors for digital strategy implementation
    - Organisational issues of strategy implementation
    - Assessing different digital initiatives including marketing technology

Case study

Case study 4.1 How Slack introduced a new B2B service and gained a $billion valuation

Links to other chapters

- Situation analysis to inform strategy is covered in **Chapters 2** marketing environment and **3** digital customers.
- **Chapter 5** explores elements of the marketing mix that may form part of strategy.
- **Chapter 6** describes customer relationship management strategies and online segmentation, which are vital for strategy development.
- **Chapter 8** describes goal setting for marketing campaigns and strategies for developing the right communications mix.

Introduction

In this chapter, we suggest an appropriate process for developing an integrated digital marketing strategy covering these strategy development activities:

1. situation analysis (drawing on our coverage in **Chapters 2** and **3**);
2. goal and objective setting;
3. strategy formulation;
4. organisational issues of strategy implementation.

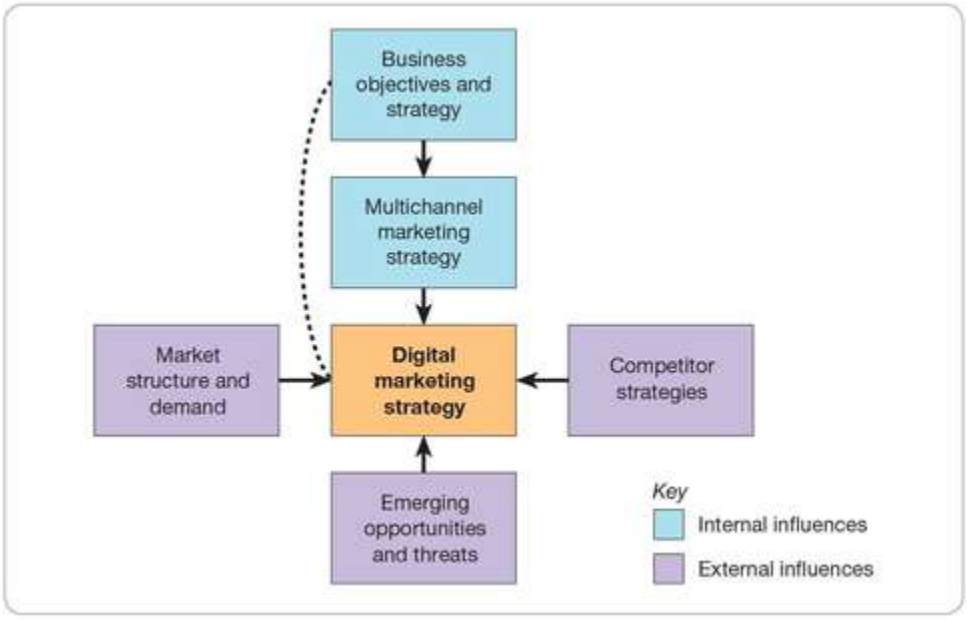
We start by considering the need for an integrated digital marketing strategy and its scope. In some smaller organisations the scope of digital marketing strategy is limited to changing investment in digital marketing communications. We suggest that more fundamental opportunities to use digital channels to impact business and revenue models should also be considered as part of digital transformation in larger, existing businesses. Both opportunities are explored in the eight strategy decisions to be considered as part of strategy formulation.

Figure 4.1 provides an overview of digital marketing strategy development. The internal influences include top-level business objectives, which influence marketing strategy and ultimately provide direction for the digital marketing strategy. Key external influences

include the market structure and demand, competitor strategies, and opportunities and threats, in particular those enabled by new digital technologies (e.g. mobile marketing and social media, virtual reality, artificial intelligence) and marketing tactics (e.g. use of search, advertising, personalisation and messaging). Methods for analysing the external environment to anticipate external opportunities and threats and competitors' actions have been introduced in Chapters 2 and 3.

Figure4.1

Internal and external influences on digital marketing strategy



Essential digital skills

Digital strategy development

Of all the topics in this text, strategy is perhaps the most difficult in which to develop your skills without direct experience of different sectors. But, by comparing examples of strategy development by online businesses and multichannel businesses of different sizes in different sectors, you will be able to generate ideas for digital disruption that other organisations have used that could apply in your sector.

We recommend you develop these skills:

- understanding digital revenue and business model trends (which we first introduced in Chapter 2); refer to forrester.com, gartner.com, mckinsey.com for recommendations in different industries. They regularly publish free articles or downloads on trends in digital marketing;
- understanding how to assess audience demand for services in a sector and the potential for a business to attract new customers at an acceptable cost-per-acquisition. This often forms the basis for assignments based on case studies to develop a communications strategy for a business.
- assessing the potential for using AI to create digital marketing strategies and plans. Activity 4.1 explores this.

Practical ideas to boost employability by showcasing your interests and experience include:

- using the Business Model Canvas framework (www.strategyzer.com) to summarise business models for the examples in this chapter or companies you are familiar with from your work experience;
- using the tools for assessing consumer demand for digital services, introduced in Table 2.1 – for example, using the Google Ads Keyword Planner to assess the cost and volume of attracting visits through paid search or Facebook IQ for increasing awareness using Facebook advertising;
- understanding the VQVC objectives explained in this chapter by accessing the Google Analytics demo account for their retail store (you can find it via Google).

What is a digital marketing strategy?

Fundamentally, a **digital marketing strategy** should provide consistent direction for an organisation's online marketing activities and channel integration. The aim is to ensure integration of digital and other marketing activities and to support overall business objectives. In most modern organisations, digital marketing strategy aims to *align with* marketing strategies to grow a business through customer acquisition and retention or to achieve communications goals in not-for-profit organisations. It may also aim *to impact* business and marketing strategy by identifying opportunities to create value for customers and the organisation by involving new business or revenue models such as subscription commerce. Our definition of digital strategy development emphasises the need to deploy digital media, data and technology integrated with traditional channels to achieve audience engagement goals to support marketing objectives (see **Chapter 1** where we define the '7Ds of digital marketing'). Wu *et al*. (2024) citing applications of digital marketing strategy in different sectors, define digital marketing strategies as '*organizational marketing programs that use digital technology to communicate with business partners and customers on an integrated platform or system to create new value*'. In this chapter we will explore

different forms of strategy encompassed by what we refer to as the online or digital value proposition.

Digital marketing strategy as a channel marketing strategy

For existing businesses, digital marketing strategy is a **channel marketing strategy**, which defines how a company should set *channel-specific objectives* and develop *differential* advantage. At the same time it should define how communications should integrate as part of a **multichannel marketing strategy** or **omnichannel strategy** (introduced in **Chapter 1**). Today's need for planning omnichannel marketing activities is explained by this definition from John Bowden, Senior VP of Customer Care at Time Warner Cable in Stocker (2014):

> Multichannel is an operational view – how you allow the customer to complete transactions in each channel. Omnichannel, however, is viewing the experience through the eyes of your customer, orchestrating the customer experience across all channels so that it is seamless, integrated and consistent. Omnichannel anticipates that customers may start in one channel and move to another as they progress to a resolution. Making these complex 'hand-offs' between channels must be fluid for the customer. Simply put, omni-channel is multi-channel done right!

This highlights that omnichannel also refers to the customer experience where customers are using multiple digital channels and traditional channels, but they rightly have the expectation that their experience is ‘seamless, integrated and consistent’.

A key aim is to use digital channels to enable companies and organisations to stand out from the competition when communicating with relevant target audiences. Digital channel strategy has two components – many may see it simply as a digital communications strategy (reviewed in Chapters 6 to 9), but it should also define changes to the brand proposition enabled by digital channels (reviewed in **Chapter 5** on the marketing mix), including digital branding, product, pricing, place, promotion and changes to customer service.

The strategy determines the strategic significance of digital channels relative to other communications channels used to communicate directly with customers at different **customer touchpoints**. See Figure 2.1 for further discussion of lifecycle customer touchpoints.

Which digital marketing activities should have focus?

The significance of the role played by digital channels, technologies and media in marketing planning has grown year on year. In many sectors, digital channel adoption was accelerated by the COVID-19 pandemic, with lockdowns requiring people to select and buy products online. While enhancing digital experiences for mobile and desktop users will continue to be a central part of digital strategy and implementation, digital marketers should also examine other key areas of focus, including:

- using marketing automation and AI tools for customer relationship development (as described in **Chapter 6**); these may include email, mobile and web-based personalisation based on predictive analytics from CRM databases;
- developing the overall customer experience across multiple channels, as described in **Chapter 7** in the section on customer experience management (CXM), including using structured experiments such as AB testing, and innovation such as augmented and virtual reality;
- maximising the results from integrating content-led always-on and campaign-based digital communications such as search marketing, social media, digital PR and advertising (as described in **Chapters 8** and **9**);

- harnessing social media marketing, both through use on its own site through user-generated content and through paid ads within the main social networks such as Facebook, Instagram, LinkedIn and X (as described in Chapter 9).

Content marketing fuels all of these digital marketing activities since creative content helps gain visibility across search, display advertising and social media marketing and persuades people to purchase via website, apps, emails and social media updates. So we also believe that defining a content marketing strategy (Chapter 6) is important to the future of all organisations. Strategy development may also involve redesigning business processes to integrate with partners, e.g. suppliers and distributors.

Table P.1 in the Preface suggests the range of digital marketing activities that must be managed as part of a digital marketing strategy, structured around the customer lifecycle defined as the four steps in the RACE digital marketing planning framework (Chaffey, 2015). Table 4.1 shows that the operational digital marketing activities that need to be implemented and managed as part of strategy can be usefully divided into those focusing on (1) customer acquisition, (2) customer conversion, proposition and experience development and (3) customer retention and growth. Improving the capability to execute many of these activities will be decided upon through the review process of creating a digital marketing strategy. An output from the digital strategy will be a series of

strategic digital marketing initiatives in the areas of customer acquisition, conversion or retention, such as those shown in Table 4.1. These initiatives will typically be prioritised and placed as part of a long-term e-commerce ‘roadmap’ defining required developments over a longer period, say one to three years.

Table4.1

Summary of typical focus for main types of strategic digital marketing initiatives

Type of digital marketing strategy initiative	Commentary	Examples
New customer proposition (product and pricing)	Innovative digital experience features or digital communications related to new products or services that will generate revenue or increase loyalty	ING uses Big Data AI analysis banking app to predict when cu may run out of money within t days
New business and revenue model	Brands can extend their influence in the value chain to increase revenue, particularly through new, direct-to-customer services or sales channels, or leveraging digital intermediaries	Pharma company Abbott introd FreeStyle Libre, a consumer su commerce option to improve a loyalty for its diabetes care dev
Customer acquisition	Innovative marketing designed to enhance digital capability and aimed to attract new customers	Content and inbound marketin by HubSpot™ to achieve a suc stock-market flotation in the U search engine optimisation (SE click (PPC)
		Co-marketing and influencer n
		Affiliate marketing and aggreg relevant for transactional busir

Customer conversion and customer experience initiatives	Innovative features that add functionality and increase conversion rates and average order values. Strategic initiatives aimed at improving the customers' brand experience	JD Wetherspoon's 'order & pa Customers can now find a tabl pay on their phone; food and d delivered directly to the table. at the bar or waiting to pay. Re barriers drives sales
Customer development and growth strategic initiatives	Investments to improve the experience and delivery of offers to existing customers	Volkswagen™ is increasing sa customer conversion through i ecosystems. The MyVolkswag customers to their car, providir updates and delivery informati connects smartphones and wat navigation and in-car security; Connect gives driving informa charging updates and car locat capabilities
Social media and content marketing	Broader application of content marketing and social media for acquisition, conversion and retention	Airbnb used Instagram and cel as Mariah Carey and Lady Ga influencers for the accommoda platform
Enhanced marketing capabilities through site infrastructure improvements	These typically involve 'back-end or back-office features' that won't be evident to users of the site, but will help in the management or administration of the site	CRM or personalisation
		Content management system
		Performance improvement – ir management information, web systems including systems for and AB testing
		Improve customer feedback fa

Resourcing and governance strategies	Changes needed to marketing management given the increased importance of digital media and technology	Process change
		Skills development
		Team structure

Source: Based on information from: www.ing.com; www.freestylelibre.co.uk/libre; www.cmswire.com; www.jdwetherspoon.com; www.volkswagen.co.uk; www.izea.com

Activity 4.1

Can generative AI be used to develop effective strategies?

With the advent of the ‘GenAI’ tools we introduced in *Activity 1.1 Introducing the options for using Generative AI tools to support digital marketing*, it has become possible for anyone to create develop in-depth plans. According to Smart Insights (2024) this has become a common practice with professionals with over half of marketing professionals polled on LinkedIn admitting to using ChatGPT for planning. It begs the questions of what is the quality of the plans…

Purpose

This activity explores techniques to improve the quality of these plans and assess their quality. As you would expect, the types of prompts used can make a large difference to the results.

Group activity

1. Use one of the free GenAI tools recommended in Activity 1.1 to create a campaign or marketing plan for a type of business you agree upon in your group.
2. Evaluate the strengths and weakness of the output from the LLM.
3. Share ideas on prompting techniques that will improve the quality of response.
4. Discuss the implications for businesses of staff using GenAI tools for this technique. How might they need to change their practices?

Sources: Dave Chaffey, The best Generative AI tools for writing marketing plans and strategies?https://www.smartinsights.com/digital-marketing-strategy/the-best-generative-ai-tools-for-writing-marketing-plans-and-strategies/

Why are a digital marketing strategy and digital transformation needed?

Creating business and marketing strategies are fundamental activities for most businesses as they seek to plan their future direction to compete within a marketplace. Given this, we think it’s useful to question why a digital marketing strategy is needed, what it involves and how it relates to other strategies. Many experienced marketers have suggested that a digital marketing strategy is unnecessary or tactical, as shown by the quotes and examples in Digital marketing insight 4.1. However, we believe that, for most organisations, a defined digital marketing strategy aligned with business and marketing strategy is valuable, since without it they may be using digital marketing without direction, leading to wastage of resources and missed opportunities. This can lead to a competitive disadvantage if more digitally savvy competitors are using digital marketing more effectively by investing appropriately in digital media, digital experiences and technology. With a dedicated digital marketing strategy, businesses can ensure they generate demand through omnichannel always-on and campaign activities as consumers and businesses seek solutions through online channels.

Research by Smart Insights (2024) reviewed approaches to planning digital marketing. They asked businesses of different sizes from around

the world ‘Does your organisation have a clearly defined digital marketing strategy?’ The answers were:

- No digital marketing strategy – 42 per cent.
- Digital marketing strategy integrated into our marketing strategy – 38 per cent.
- Separate digital strategy in a dedicated document – 20 per cent.

Clearly there are many businesses doing digital marketing without a strategic approach that may be at risk of competitive disadvantage for the reasons outlined in this section. For those with a digital strategy, the most favoured approach is a digital strategy integrated with the marketing strategy, and we would suggest this is what most businesses should aim for. They may also have a more detailed digital marketing plan owned by digital marketing specialists for improving always-on communications using marketing technology. As a first practical step in digital transformation, it is useful to create a separate specific document defining the need for investment in digital marketing and defining a long-term roadmap to transform the business using digital media and technology.

The previously referenced research by Smart Insights (2024) showed that many businesses either already have introduced (27 per cent) or were planning to introduce (35 per cent) a digital transformation programme. This requirement to run strategic digital initiatives suggests that businesses do believe that digital is sufficiently important for their future to warrant a separate focus to develop new processes, structures and skills

for business competitiveness. Reviewing marketing roles in organisations using LinkedIn shows that there are many new digital marketing roles for managing digital activities, from digital transformation to digital experiences and digital analytics through to the tactics such as search, social media and email automation. With many specialist roles in digital marketing in businesses, a digital strategy to prioritise and integrate their activities is important. Of course, traditional roles such as brand, product, marketing and campaign managers are still vital to shape and implement strategy.

Digital marketing insight 4.1

Is a digital marketing strategy needed in the post-digital world?

The term ‘post-digital’ has been used for many years to describe a world where digital marketing activities are simply part of marketing. This is effectively the way customers view the world; it’s entirely natural to use smartphones or laptops for selecting or buying products or services alongside traditional channels where needed — for example, for high-involvement purchases. Keith Weed, Head of Communications at Unilever™, says ‘we are no longer doing digital marketing, but marketing in a digital world’ (Weed, 2017).

In an article ‘The post-digital era is coming: are you ready?’, Paul Daugherty, Group Chief Technology Officer (CTO) at global consultancy Accenture, explains (Daugherty, 2019):

> Digital is indeed still important, but now it is simply the price of admission for doing business — it is no longer a differentiation advantage. . . In the post-digital world, differentiation comes from applying digital in powerful new ways. The technologies needed to innovate and differentiate go beyond the foundational adoption of digital tools and concepts. It's an era where building trust with customers, employees, business partners and communities through a responsible approach to technology is the top priority.

He rightly stresses that it is innovative use of digital technology to achieve competitive advantage that should be the focus.

Some have questioned the need for a dedicated digital marketing strategy. In *Marketing Week*, columnist Mark Ritson (2021) suggests in a comedic example of a modern job interview, that a candidate for a senior marketing job today who wants the job is obliged to state, if asked about a digital marketing strategy, that 'I think a digital marketing strategy is at the core of every successful company these days'. However, he believes that the correct, more realistic answer should be: 'No, because if I ever develop a 'digital marketing strategy' I clearly have no idea what I am doing. For starters, the digital prefix is inherently tactical in nature and execution'.

We hope to demonstrate in this text that although digital communications are tactical, digital channels also offer opportunities for competitive advantage through new business and revenue models and by executing digital tactics such as search, content and social media marketing more effectively than competitors to gain visibility, awareness and preference for brands online.

Digital skills need to be developed in these teams too and many larger organisations have a central ‘Digital marketing centre of excellence’. In an article ‘Inside 3M’s quest to be both big and fast’ (Lloyd, 2017), Erin Craven, 3M’s Executive Director of Marketing and Sales for Canada, describes her role as: ‘to help our marketers be better marketers and better sell in the digital world’. For 3M Canada, 3M’s 55,000 products (from Post-It Notes to respiratory masks) are managed by 100 marketers in 27 business divisions serving both consumer and B2B markets. The article explains that before creation of the centre of excellence, the organisation was siloed as expected for a complex company, and finding success in digital was only sporadic. She explains:

> ‘It wasn’t that we had too many cooks in the kitchen; we had too many kitchens’, she told *Strategy*. ‘Everyone knew they needed to "be digital," but everyone was dabbling in it. We weren’t building subject matter expertise.’

Her solution was to create a digital marketing centre of excellence that the 100 marketers can leverage. This specialised team of about 30 – staffed by a selection of internal team members and bolstered by external hiring to fill in the skill gaps – offers everything from SEO to digital content consultation. ‘Ruthless prioritisation is how we eat, sleep and breathe’, she says.

This example shows that a focus on digital marketing is ‘here to stay’ in many organisations, as digital requires focused resources and focused priorities, which must align with business priorities. It’s why there are so many digital transformation projects in play.

Now read Research spotlight 4.1 Rethinking marketing strategy in a digital age, which explores how a firm’s strategic resources can be used to create competitive advantage.

Research spotlight 4.1

Rethinking marketing strategy in a digital age

Focus: Digital Marketing strategy research by Wu, Botella-Carrubi and Blanco-Gonzalez-Tejero (2024)

Context: Small and medium-sized enterprises in developing economies

Widespread digitisation has made it possible for firms of all sizes to exploit new business opportunities and to rethink how to create value for customers and stakeholders, through marketing innovations. Deploying digital data is informing problem solving and helping to reduce risk and uncertainty from end-to-end of the supply chain. Moreover, using digital tools and techniques strategically is creating competitive and differential advantage through increased innovation and leveraging insights from analytical programmes across an organisation. In other words, digital marketing is reshaping marketing strategy improving productivity and promoting economic development (Parida *et al.,* 2019).

The research

Wu *et al*. (2024) used a resource-based view – Barney's (1991) managerial framework designed to ascertain the strategic resources a firm can use to create competitive advantage – to understand how SMEs in Taiwan, can better exploit their strategic resources to improve performance and create long-term competitive advantage. These researchers explored firms which are increasingly using digital marketing strategies to advance the business. By looking at the resource-based dynamic capabilities of each firm the study reveals the importance of specific capabilities, which have implications for successful and long-term performance of digital marketing strategies.

Dynamic capabilities explored are:

- Innovativeness, which means the extent to which a firm's culture is open to bringing new ideas or new ways of doing things (Story *et al*., 2015).
- Proactiveness: findings ways to introduce new services and actively understanding how customers interact with a firm to predict future demand; responding quickly to changes in the marketing environment and how firms take risks when pursuing market opportunities (Yunis *et al*., 2018).
- Managerial capabilities, referring to a firm's capacity to bring together resources in cohesive plans and align with strategic and marketing goals. Examples of specific managerial skills include leadership, and business knowhow, which can be used to foster the use of digital marketing (Morgan *et al*., 2018).
- Organisational agility refers to a firm's proficiency in responding to rapid changes in its marketing environment especially with regard to the deployment of strategic resources (Dwivedi *et al*., 2020).

FigureRS 4.1

Research Framework adapted from Wu *et al*. (2024)



Figure RS 4.1 shows a simple adaptation of the research framework, which found dynamic capabilities can improve competitive advantage and firm performance when deploying digital marketing strategies. They also found digital marketing affects performance, sales growth, return on investment, profits, market share and improved capabilities to respond to market demand.

Key findings

- Dynamic capabilities influence the adoption of digital marketing in international firms.
- Adoption of digital marketing affects a firm’s performance, innovativeness and profitability.
- To maximise the benefits of firms should seek to embed innovativeness and proactiveness in the organisational culture.

Implications for digital marketers

- Devise managerial rewards programmes to promote innovation in digital marketing.
- Identify, recognise and promote behaviours of knowledge sharing and transmission of information across the organisation.
- Develop training programs to build skills in innovation and proactive capabilities.

Research spotlight tasks

Based on this analysis of Wu *et al*. (2024):

a. Identify two examples of firms which have demonstrated proactiveness when introducing new services and or responding to customers.

b. Suggest ways your chosen example firms could refine their managerial capabilities to improve performance.

Challenges of managing digital marketing

Digital marketing is becoming increasingly pervasive across every aspect of an organisation's activities, but there are many challenges of managing digital media and technology to consider when seeking to integrate digital marketing across an organisation:

- *gaining buy-in and budget* consistent with audience media consumption and value generated;
- *conflicts of ownership and tensions* between a digital team and other teams such as traditional marketing, IT, finance and senior management;
- *coordination with different channels* in conjunction with teams managing marketing programmes elsewhere in the business;
- *managing and integrating customer information* about characteristics and behaviours collected online;
- *achieving consistent reporting*, review, analysis and follow-up actions of digital marketing results throughout the business;
- *structuring the specialist digital team* and integrating into the organisation by changing responsibilities elsewhere in the organisation;
- '*time to market*' for implementing new functionality on a site;

- *insourcing vs outsourcing online marketing tactics*, i.e. search, affiliate, email marketing, PR; staff recruitment requirements.

Given the scope and importance of digital marketing for many organisations, as we explained in **Chapter 1**, many large organisations are now implementing **digital transformation** programmes to manage these challenges, which have these features:

- Gain agreement of long-term digital marketing strategy and investment levels between relevant parts of an organisation, i.e. senior management team, marketing, corporate communications/brand, e-commerce/trading, IT and data management.
- Broad scope covering resource investment for digital media, data management and marketing technology.
- Consider changes to process, structure and skills (internal and resources) needed to implement change and agree integration of communications across traditional and digital channels.
- Review approach to insight, measurement and improvement, e.g. agreeing relevant KPIs, dashboards to review them and use of structured experiments to make improvements.
- Define a roadmap and change programme for implementing changes.

Figure4.2

Hierarchy of organisation plans including digital marketing plans



Ultimately, the transformation plan should integrate all of its strategic plans into the organisation's overall long-term business plan. Figure 4.2 shows a planning hierarchy for an organisation, from a corporate or business plan. The figure shows how the digital marketing plan supports other strategic and tactical initiatives.

Failure to plan how to manage digital channels can lead to the problems shown in Table 4.2, which can be reduced if a digital marketing strategy and transformation plan is in place to manage the problems. Activity 4.1 explores the benefits of a planned approach.

Table4.2

Digital marketing planning failures and solutions

Potential failure or problem	Potential solution
Underestimated customer demand for online services	Research demand, set objectives, allocate sufficien
Intense competition from existing and new market entrants that may spark digital disruption in sector through new business or revenue models	Analyse the market, especially the intensity of riva anticipate competitive responses, plan a clear mark strategy or potential changes to business and reven
Duplication of resources	Improve internal communications to avoid differen the marketing organisation purchasing different toc different agencies for performing similar online ma tasks
Insufficient resources and capabilities	Ensure budget and specific specialist digital skills a to support the strategic initiatives including 'alway activities to continuously engage audiences using s and email marketing
Relevant customer data not collected or uitlised	Research to ensure best-possible knowledge of targ customers; integrate customer data into existing sy
Lack of control	Measure and analyse regularly to take corrective ac ensure achievement of objectives
Lack of senior management support	Ensure support for a long-term digital transformati this will be needed to drive major strategic initiativ

Activity 4.1

Benefits of digital marketing planning

Digital markets are growing in complexity as reach extends through new applications, social media platforms and technologies (Vieira *et al*., 2019). Without a digital marketing strategy, new business, brand exposure and revenues can all be significantly affected, particularly since new entrants may encourage digital disruption within a sector.

Purpose

To consider the benefits and barriers to the adoption of dedicated digital marketing planning.

Task

Imagine you are a marketing manager responsible for the development of your organisation’s digital marketing strategy. Using an organisation you are familiar with, outline the barriers and potential benefits of proactive digital marketing planning.

How to structure a digital marketing strategy

Michael Porter (2001) suggested the internet has heightened the importance of strategy, but he encouraged businesses to be cautious and suggested where businesses should focus when developing their strategy. He suggested six principles that could help to sustain a distinctive strategic position:

1. Start with the *right goal*, which is grounded in real economic value.
2. Define a *value proposition*, which is unique but, importantly, deliverable.
3. Do things differently; create *a distinctive value chain*.
4. Be prepared to make *trade-offs*, tailoring a firm's activities to outperform rivals.
5. Create a *fit* between what the company does, where it wants to be and the resources available.
6. Establish *continuity*. Planning decisions follow the distinctive position set out by the original goals.

These principles remain fundamental to how to define value through a digital marketing strategy. More recently, Porter has recommended that innovative technologies are forcing companies increasingly to ask the

question ‘what business am I in?’ (Porter and Heppelmann, 2014) as competition intensifies, due to increased data processing power and almost universal connectivity. The other aspect of a digital marketing strategy that Porter didn’t consider, since it is more tactical, is how to improve digital marketing communications capabilities. This requires prioritisation of investment in digital marketing activities, such as those explored in **Part 3**, to improve reach, customer experience, conversion and retention.

Marketing planning and strategy comprises a complex and resource-intensive set of processes that can deliver great rewards if fully embraced (Jobber and Ellis-Chadwick, 2024). A **strategy process model** provides a framework that gives a logical sequence to follow to ensure inclusion of all key activities of strategy development and implementation. In a marketing context, these strategy development and implementation activities are coordinated through a marketing plan, and the process of creating this is known as **marketing planning**. McDonald (2003) defined marketing planning simply as:

> the planned application of marketing resources to achieve marketing objectives. . . Marketing planning is simply a logical sequence and a series of activities leading to the setting of marketing objectives and the formulation of plans for achieving them.

McDonald (2003) distinguished between strategic marketing plans that cover a period beyond the next financial year (typically three to five years) and tactical marketing plans that cover detailed actions over a shorter time period of one year or less, and this is equally applicable to digital marketing planning. In a similar way, we suggest that a strategic digital marketing plan, often known in large companies as a digital transformation plan, should place emphasis on four areas:

1. Identification of changes to competitive forces in the micro-environment and macro-environment that will influence customer demand for online experiences and products.
2. Developing value propositions for customers using online services as part of their buying process.
3. Definition of the integrated communications to support organisational goals and support via a marketing technology infrastructure and information architecture to deliver these value propositions as a customer experience.
4. Changes to governance of marketing activities affecting the structure, skills and systems or processes in an organisation.

Having a long-term *roadmap* to guide digital transformation activities for 18 months to three years may be needed given the scale of changes to structure, skills and technology. Equally, it is important to consider that digital environments are highly dynamic, and operational plans should

aim to promote strategic agility, so shorter-term flexibility needs to be built into the process. Outram (2015) argues for a 90-day planning approach where communications strategy performance is reviewed.

Figure 4.3 shows an overall omnichannel strategy process model created by Dave Chaffey and Dan Bosomworth to summarise activities involved in creating and implementing a digital marketing strategy. The six main process activities are from PR Smith's SOSTAC® Planning framework (explained at www.prsmith.org), which stands for Situation, Objectives and Strategy, Tactics, Action and Control. Note that each stage is not discrete; rather there is some overlap during each stage of planning – previous stages may be revisited and refined. SOSTAC® was originally developed as a general marketing strategy model, which didn't consider digital-specific activities. Within each part of the 'wheel', Chaffey and Bosomworth have identified key digital marketing activities that businesses should work on as part of the process of digital transformation. The elements of SOSTAC® planning in the context of how they are described in this text with respect to digital marketing strategy are:

1. *Situation analysis means 'where are we now?'*. Planning activities involved at this stage include performing a digital marketplace SWOT analysis (Figure 4.6), and reviewing the different aspects of the micro-environment (**Chapter 2**) including customers, competitors and intermediaries. Situation analysis also involves review of the macro-environment.

2. *Objectives means 'where do we want to be?'*. This can include a vision for digital channels, and also specific numerical objectives for the digital channels such as forecasts of visits, leads and sales based on a conversion model (e.g. Figure 2.6).

3. *Strategy means 'how do we get there?'*. Strategy summarises how to achieve the objectives for the different decision points explained in this chapter, including segmentation, targeting, proposition development, including digital branding and elements of the marketing mix (**Chapter 5**), and CRM (**Chapter 6**).

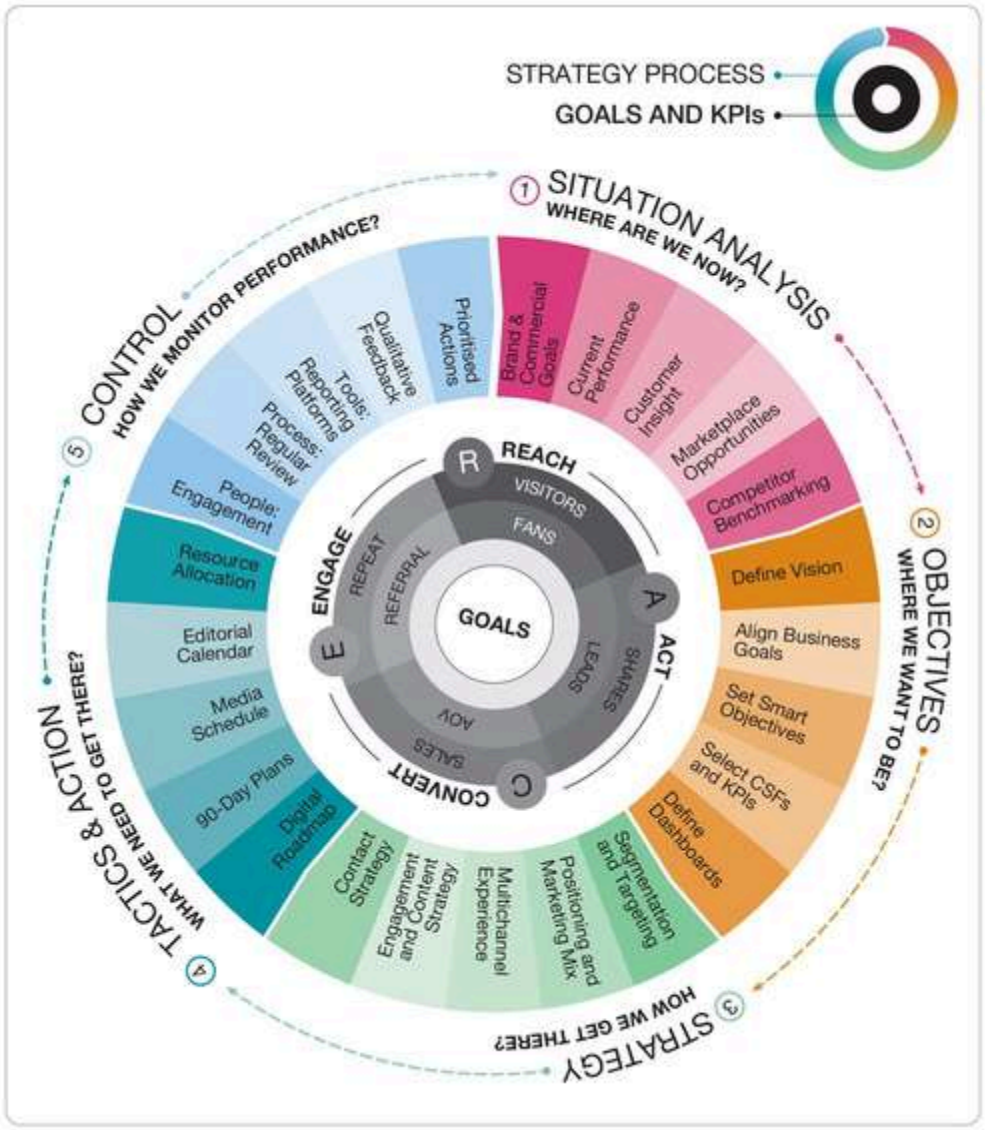
4. *Tactics defines the usage of tactical digital communications tools*. This includes specific details of the marketing mix (Chapter 5), CRM (Chapter 6), experience (**Chapter 7**) and digital communications (**Chapters 8** and **9**).

5. *Actions refers to 90-day action plans, change management and project management skills*. We refer to some of the issues of modifications to organisational roles and structures later in this chapter (the 7Ss of Table 4.7).

6. *Control* includes digital analytics to assess whether strategic and tactical objectives are achieved and how improvements can be made to enhance results further (**Chapter 10**).

Figure4.3

An omnichannel marketing strategy process model and implementation activities



Source: Chaffey (2016)

Arguably, due to the speed of development of digital technologies, there is a need for a more responsive, more agile approach to strategy planning (as discussed at the start of Chapter 2). Rather than a top-down, **prescriptive strategy** development approach, similar to Figures 4.1, 4.2 and 4.3, a more agile, **emergent strategy** approach is required, where strategic analysis, strategic development and strategy implementation are

interrelated. In reality, most organisational strategy development and planning processes have elements of prescriptive and emergent strategy reflecting different planning and strategic review timescales. The prescriptive elements are the structured annual or six-monthly budgeting process or a longer-term three-year rolling marketing planning process. But on a shorter timescale, organisations naturally also need an emergent process to enable strategic agility and the ability to respond rapidly to marketplace dynamics through 90-day plans.

We will now look at each of the steps involved in strategy development:

- situation analysis (drawing on our coverage in Chapters 2 and 3);
- goal and objective setting;
- strategy formulation;
- organisational issues of strategy implementation.

Situation analysis

The **situation analysis** in classic marketing planning is an audit of current effectiveness of a firm's activities. We reviewed issues to consider in a digital marketing audit in **Chapters 2** and **3**. The analysis involves a review of internal and external factors (for example, the marketing environment) that have implications for strategy development. More specifically, situation analysis involves:

- Assessment of internal capabilities, resources and processes of the company and a review of its activity in the marketplace. Consideration of the immediate competitive environment (micro-environment) including customer demand and behaviour, competitor activity, marketplace structure and relationships with suppliers and partners. (Micro-environment factors were reviewed in Chapters 2 and 3.)
- Performance review of how digital marketing channels' communications are contributing to marketing effectiveness and sales.
- Investigation of the wider environment in which a company operates, including economic development, government

regulations, legal issues and taxation, social and ethical issues, e.g. data protection and consumer privacy.

Internal audits of digital marketing

An internal audit involves reviewing the current contribution of the digital marketing activities within an organisation. More specifically, this consists of assessing effectiveness, performance measurement and reviewing web analytics. There are different levels to consider:

- *Business effectiveness.* Financial or commercial contribution from digital channels, including online leads, sales and profit and offline-influenced leads and sales, and how well it is supporting business objectives. The relative costs of developing and maintaining digital experiences and communications will also be reviewed as part of a cost–benefit analysis.
- *Marketing effectiveness.* Review leads (qualified enquiries); sales; customer retention, satisfaction and loyalty, including lifetime value; online market (or audience share); brand enhancement; customer service. For large organisations, these measures can be assessed for each of the different markets a company operates in or for product lines produced on the website.
- *Digital marketing effectiveness.* This includes a review of capabilities and evaluation of the contribution from digital media. Specific measures for digital media include the volume, quality, value and cost (VQVC, explained in more depth later in this chapter) of visits to the website, mobile and social platforms.

Evaluation also involves reviewing audience profile and customer satisfaction for digital experiences.

According to Chaffey and Smith (2017), key performance indicators (KPIs) for performance review of an online presence include:

- *unique visitors:* the number of separate, individual visitors to the site;
- *total numbers:* of sessions or visits to the website;
- *repeat visits:* average number of visits per individual;
- *duration:* average length of time visitors spend on the site;
- *conversion rates:* the percentage of visitors converting to subscribers (or becoming customers);
- *attrition rates:* through the online buying process;
- *churn rates:* percentage of subscribers lapsing or unsubscribing.

Digital marketing capability analysis

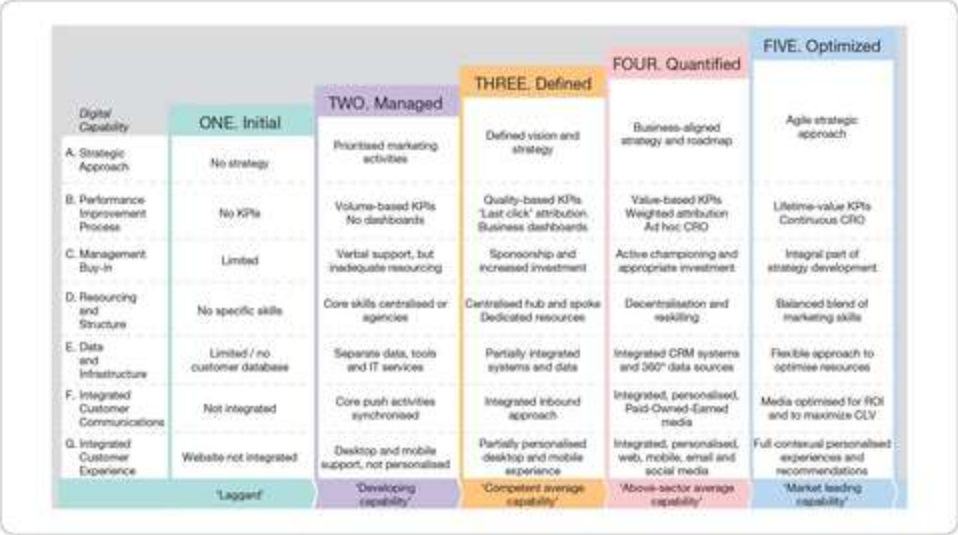
Dave Chaffey, writing for Smart Insights, has developed a modern stage-model framework for assessing internal digital marketing capabilities in larger organisations (Figure 4.4). This was inspired by the capability maturity models devised by the Carnegie Mellon Software Engineering Institute (www.sei.cmu.edu) to help organisations improve their software development practices. Businesses can audit their capabilities to deliver

effective marketing by assessing their level of capability on a scale from 1 (lowest capability) to 5 (highest capability) for different facets of capability shown from A to G. They can then discuss and set priorities for improving capabilities as part of digital transformation.

Now complete Activity 4.2, which illustrates the type of analysis needed for a digital marketing situation analysis.

Figure4.4

A digital marketing capability model



Source: Smart Insights (Marketing Intelligence) Ltd (http://bit.ly/smartbenchmarking)

Activity 4.2

Situation analysis for an e-commerce business

Purpose

To consider which elements of a situation analysis could help to avoid digital strategy failures (see Table 4.2).

Activity

1. Imagine you are a newly appointed digital marketing manager and you have been asked to present your views on how the company can improve its use of digital channels. Select an existing company to focus on and give context to this activity.
2. Map out how the company is currently using digital channels.
3. Make recommendations for how the company can increase and expand its use of digital channels.
4. Review the potential failure points in Table 4.2 to ensure that your answer to 3 (above) does not expose the company to the risk of failure.

Customer research

Research into customers should not be restricted to quantitative demand analysis. In **Chapter 3** we explored both qualitative and quantitative assessment of customers. Varianini and Vaturi (2000) point out that qualitative research about existing customers provides insights that can be used to inform strategy. Research by Doherty and Ellis-Chadwick (2010) suggests that using user profiling to capture the core characteristics of target customers involves more than using demographics: it also includes customer needs, attitudes, experiences and abilities of using digital technologies and the internet. A customer's profile can strongly influence where, when and how they engage with digital channels. See Digital marketing insight 4.2 about consumer profiles and digital targeting options.

Digital marketing insight 4.2

Consumer profiles: segmenting digital audiences

We can break consumers' profile data down into distinct sub-categories: classification variables, character variables and affinity profiles.

Classification variables are those personal attributes that tend to remain static throughout an individual's lifetime or evolve slowly over time. These variables are particularly useful for marketers as they can help to *identify* particular consumers and target groups.

According to Jobber and Ellis-Chadwick (2024), profile segmentation variables can be used to group consumers together in a meaningful way so they can be reached by suitable media communications. See Table 4.3 for a list of classification variables and possible implications for online target marketing.

Character variables are less straightforward to understand and identify for marketing purposes as they comprise any of the attributes of a consumer's perceptions, beliefs and attitudes that might influence online behaviour, e.g. innovativeness, enjoyment, skills and experience and emotions. Character variables are also more likely than classification variables to develop, change and be significantly modified over time by online shopping experiences. For example, if a consumer has negative beliefs about, say, privacy and security of online transactions, which are due to *lack of computer skills*, these *beliefs* are likely to shape negative *attitudes* towards the internet and reduce the *intention* to shop online. Conversely, if a consumer *believes* the internet is, say, *easy to use*, they are more likely to have a positive *attitude* towards the idea of online shopping and ultimately have an increased *intention* to shop online. Each stance may be continually reinforced by positive or negative feedback from online shopping experiences. See Figure 4.5 for a model of how character variables interact.

Table4.3

Consumer profile: classification variables

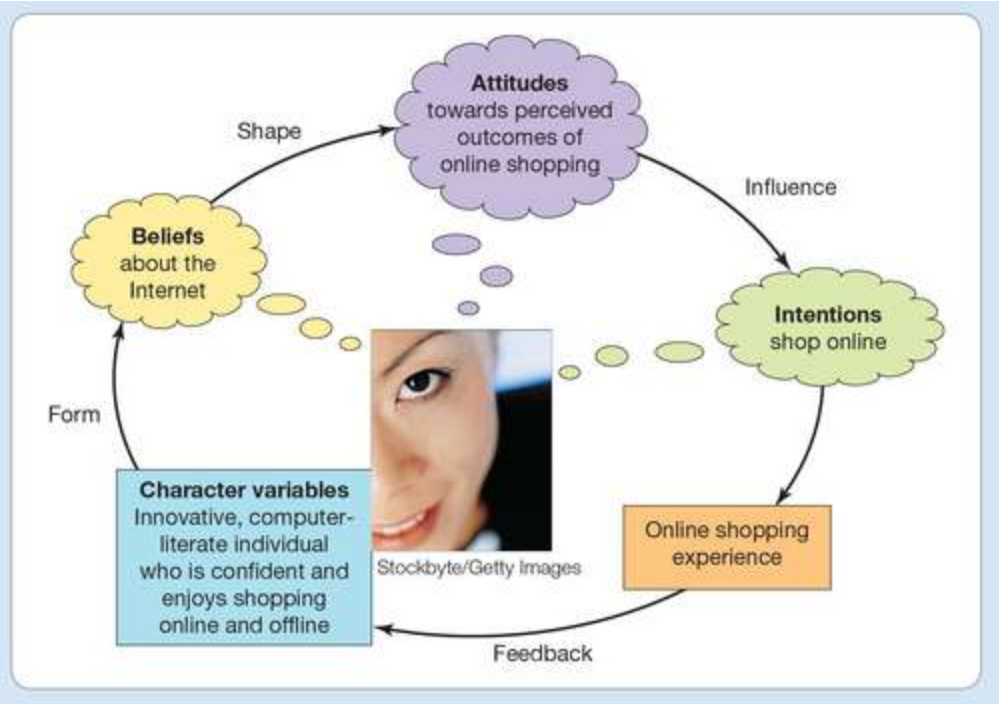
Profile variable	Online marketing impact
Age	Since digital platforms such as Facebook, Google and Microsoft a of birth as an identifier when people register, this variable can be targeting individuals of a specific age, unlike traditional media pl
Education and literacy	Influences how digital channels are used, e.g. university students not only useful for shopping but indispensable to support their stu Targeting also possible in Facebook, Instagram, Pinterest
Employment status	Employment places time constraints on online shopping behaviou and where individuals can access online shopping channels

Gender	Originally, male consumers made more purchases and bought hig items online than females (Yorgey, 2000). Now there is a greater l higher penetration of use across populations
Geography	Location is an important consideration: where people live can aff potential size of the online market. Geo-targeting is available in a networks and ad-networks
Household size	Household size has the potential to affect the number of people in purchasing decisions and the direction of influence. For example, to online purchasing, teenagers are perceived both as experts with families and as a stimulator of other family for use of technology 2020; Thomson and Laing, 2003)
Household type	Household type has the potential to affect product and service req major shifts towards single-person households have led to a shift purchasing patterns and times of purchasing. Working patterns ca problems if the goods cannot be delivered during working hours, associated challenges when delivering bulky and perishable goods
Income	Income affects purchasing power and influences whether individu access to the internet. Income is positively related to a tendency t offline and online. Younger shoppers (16–24) tend to spend the le Over-25-year-olds are most likely to buy higher-priced items onli 2021)
Mobility	Mobility affects channel access; fewer mobile targets may be enc shop online. This also applies to macro-populations, which are po by public and private transport
Race and ethnicity	Race and ethnicity affects access to technology and economic circ In the US, the number of African Americans with internet access increasing, but this sector of the population still lags behind Cauc Hispanics
Affinity and intent profiling	Although not classic demographic variables, this form of profilin targeting has become significant online since advertisers can redu

	by communicating to people who are interested in a lifestyle, e.g. members', or they are 'in-market', i.e. actively searching for a pr service, evidenced by their behaviour including the search keywo in Google, the groups they like in Facebook or the content of pag on publisher sites

Figure4.5

Character variables, beliefs, attitudes and shopping intentions



Digital channels also provide good insight on consumer behaviour, such as the content they consume, which can be used to deliver personalised messages on a website and in emails.

Affinity profiling is when customers are grouped according to their interests such as sport, dining out or health and fitness, or whether their interest has grown relative to a baseline, i.e. they are 'in-market'. This approach creates opportunities for online advertisers to use behavioural advertising, such as through intent-based targeting on Facebook based on

groups or celebrities the customers ‘Like’. Care needs to be taken to avoid challenges posed by this approach to customer selection as privacy, lack of discrimination and need for group protection should be considered. For example, if a digital campaign targets a group of people based around their interest in going to the gym, then race, ethnicity and gender of individuals should also be considered and factored into the campaign content (Wachter, 2020).

Resource analysis

resource analysis is related to capability analysis, but should include an assessment of the resources needed to improve capabilities:

- *Financial resources.* The cost components of running always-on activities such as site and content development, media and messaging. Mismatch between current spend and required spend to achieve visibility within the online marketplace should be reviewed against competitors, using tools such as SimilarWeb and Alexa (Table 2.1).
- *Technology infrastructure resources.* Marketing technology and data management including website hosting and platforms, marketing automation systems, analytics and marketing clouds.
- *Data and insight resources***.** The quality of data and tools to analyse the performance of digital channels and consumer characteristics and behaviour, including multichannel attribution to decide on the impact and effectiveness of different digital media channels and touchpoints.
- *Human resources.* These include digital marketing skills, both for digital marketing specialists and non-digital roles such as brand, campaign and product managers. Suitability of team structures and workflows can also be reviewed. For all companies there is the

challenge of recruiting new staff or re-skilling marketing staff to manage online marketing.

Competitor analysis

In **Chapter 2** we showed that competitor analysis, or the monitoring of competitor use of digital marketing and e-commerce to acquire and retain customers, is especially important in the dynamic online marketplace. This enables new services to be launched, media investments to be changed and prices and promotions altered far more rapidly than through print communications. Benchmarking of digital marketing activities such as those summarised in Table 2.1 and Table 2.3 is intended to:

1. review current approaches to digital marketing to identify areas for improvement;
2. benchmark with competitors who are in the same market sector or industry, and in different sectors;
3. identify best practice from more advanced adopters;
4. set targets and develop strategies for improving capabilities.

Intermediary analysis

Situation analysis will also involve identifying relevant intermediaries for a particular marketplace and looking at how the organisation and its competitors are using the intermediaries to build traffic and provide services. We also reviewed the impact of the different types of intermediaries on buyer behaviour in **Chapter 2**. For example, an online retailer should assess where its target customers might encounter its competitors, or know whether competitors have any strategic, long-term sponsorship arrangements or microsites created with intermediaries. Another aspect to consider is the way in which the marketplace is operating: to what extent are competitors using disintermediation or reintermediation? How are existing channel arrangements being changed? There are now many freemium online services available to companies to help them understand their effectiveness in attracting and retaining new customers, and competitors and intermediaries.

Assessing opportunities and threats

A SWOT analysis is a useful way to summarise the external opportunities and threats and is a core activity for situation analysis for digital marketing. The results of a digital channel-specific SWOT analysis (internal Strengths and Weaknesses and external Opportunities and Threats) should clearly highlight where actions should be taken (both short and longer term). A digital strategy should plan to counter the threats and take advantage of the opportunities. Figure 4.6 shows a generic application of SWOT. The SWOT should review the main areas of digital marketing activity: customer acquisition, conversion, retention and growth.

Figure4.6

A generic digital channel-specific SWOT analysis showing typical opportunities and threats presented by digital media



The organisation	**Stengths – S** 1. Existing brand 2. Existing customer base 3. Existing distribution	**Weaknesses – W** 1. Brand perception 2. Intermediary use 3. Technology/skills 4. Cross-channel support
Opportunities – O 1. Cross-selling 2. New markets 3. New services 4. Alliances/co-branding	**SO strategies** Leverage strengths to maximise opportunities **= Attacking strategy**	**WO strategies** Counter weaknesses through exploiting opportunities **= Build strengths for attacking strategy**
Threats – T 1. Customer choice 2. New entrants 3. New competitive products 4. Channel conflicts	**ST strategies** Leverage strengths to minimise threats **= Defensive strategy**	**WT strategies** Counter weaknesses and threats **= Build strengths for defensive strategy**

Often, the most rewarding strategies combine strengths and opportunities or counter threats through strengths. Figure 4.7 gives an example of typical digital SWOT analysis for an established multichannel brand.

Setting goals and objectives for digital marketing

Any marketing strategy should be based on clearly defined corporate objectives, and digital marketing should be an integrated element not considered separately from other business and marketing objectives. We emphasised this in **Chapter 1** where we recommended setting specific digital-channel goals that impact and align with business strategy. Porter (2001) criticised the lack of goal setting when many organisations have developed internet-related strategies. He noted that many companies, responding to distorted market signals, have used ‘rampant experimentation’ that is not economically sustainable.

We have found that the terms ‘goals’ and ‘objectives’ are often defined and used differently within different companies or parts of a business and this can lead to confusion when creating processes to track and improve marketing performance. Typically, in businesses you see that objectives are specific; they cover the SMART criteria that ensure specific targets for a time period and measure against these using sales or analytics systems. Goals are broader aims that are informed by a vision.

When defining objectives and goals you should use clear definitions. For digital marketing you can define different types of performance targets and measures, as shown in Figure 4.8:

1. *Vision*. A high-level statement of how digital marketing will contribute to the organisation.
2. *Goals.* These are the broad aims to show how the business can benefit from digital channels. They describe how your digital marketing will contribute to the business in key areas of growing sales, communicating with your audience and saving money.
3. *Objectives.* Specific SMART objectives to give clear direction and commercial targets. Objectives are the SMART targets for digital marketing, which can be used to track performance against target on a **digital marketing dashboard** (**Chapter 10**).
4. *CSFs and KPIs.* Key performance indicators (KPIs) are used to check you are on track. KPIs are specific metrics that are used to track performance to make sure you are on track to meet specific objectives. They are sometimes known as performance drivers or critical success factors (CSFs) for this reason. The examples shown in Table 4.8 are on more detailed parts of a digital marketing dashboard.
5. *Metrics and measures.* Other measures that may be referenced, but aren't typically used in high-level reporting or dashboards.

Figure4.7

An example of a digital channel-specific SWOT for an established multichannel brand showing how the elements of SWOT can be related to strategy formulation

The organisation	Strengths – S 1 Existing brand 2 Existing customer base 3 Existing distribution	Weaknesses – W 1 Brand perception 2 Intermediary use 3 Technology/skills (poor web experience) 4 Cross-channel support 5 Churn rate
Opportunities – O 1 Cross-selling 2 New markets 3 New services 4 Alliances/co-branding	**SO strategies** Leverage strengths to maximise opportunities = attacking strategy **Examples:** 1 Migrate customers to web strategy 2 Refine customer contact strategy across customer lifecycle or commitment segmentation (email, web) 3 Partnership strategy (co-branding, linking) 4 Launch new web-based products or value-adding experiences, e.g. video streaming	**WO strategies** Counter weaknesses through exploiting opportunities = build strengths for attacking strategy **Examples:** 1 Countermediation strategy (create or acquire) 2 Search marketing acquisition strategy 3 Affiliate-based acquisition strategy 4 Refine customer contact strategy (email, web)
Threats – T 1 Customer choice (price) 2 New entrants 3 New competitive products 4 Channel conflicts 5 Social network	**ST strategies** Leverage strengths to minimise threat = defensive strategy **Examples:** 1 Introduce new Internet-only products 2 Add value to web services – refine OVP 3 Partner with complementary brand 4 Create own social network/customer reviews	**WT strategies** Counter weaknesses and threats: = build strengths for defensive strategy **Examples:** 1 Differential online pricing strategy 2 Acquire/create pureplay company with lower costbase 3 Customer engagement strategy to increase conversion, average order value and lifetime value 4 Online reputation management strategy/E-PR

Figure4.8

The relationship between vision, goals, objectives and KPIs



Articulating the vision can help the marketing team, wider business and changes buy-in to the reasons for the change and investment needed to introduce new digital marketing techniques. For example, these quotes from senior leaders at Holiday Extras show how their leaders articulate the vision for introducing AI.

> ‘Our ambition is to be known as the leading travel-tech innovator, and AI is key to that story. Our leadership sees the OpenAI partnership as critical to maintaining our innovation moat.’
>
> *David Norris, Chief Growth Officer*

> ‘Our goal is for each and every customer to get unique recommendations for their trip. And there’s no better way to get

> there than AI.’
>
> *David Lee, Director of Innovation & Growth*

> Holiday Extras is a European leader in travel extras, helping travelers find the best airport lounges, hotels, parking, and insurance. They’ve been around for over 40 years, but seeks to remain on the cutting edge of innovation in the travel industry. Source: https://openai.com/index/holiday-extras/

Customer services is one priority for improving customer experience and reducing costs through using AI and the SYD AI chatbot, ‘your pocket travel insurance expert’ is strategic initiative the business has implemented so far.

Table4.4

Tangible and intangible benefits from digital marketing

Tangible benefits	Intangible benefits
Increased sales from new sales leads giving:	Corporate image enhancements lead to increased revenue from:
• New customers, new markets	• Enhanced brand

• Existing customers (repeat-selling)	More rapid, more responsive marketing communications including PR
Existing customers (cross-selling)	Improved customer service
Cost reductions from:	Learning for the future
Reduced time in customer service (customer self-service online)	Meeting customer expectations to have a website
Online sales	Identifying new partners, supporting existing partners better
Reduced printing and distribution costs of marketing communications	Better management of marketing information and customer information
	Feedback from customers on products

Table4.4

Tangible and intangible benefits from digital marketing

Tangible benefits	Intangible benefits
Increased sales from new sales leads giving: • New customers, new markets • Existing customers (repeat-selling) • Existing customers (cross-selling) Cost reductions from: • Reduced time in customer service (customer self-service online) • Online sales • Reduced printing and distribution costs of marketing communications	Corporate image enhancements lead to increased revenue from: • Enhanced brand • More rapid, more responsive marketing communications including PR • Improved customer service • Learning for the future • Meeting customer expectations to have a website • Identifying new partners, supporting existing partners better • Better management of marketing information and customer information • Feedback from customers on products

As a starting point for setting specific objectives, it is useful to think through the benefits of using digital channels and how these can be converted into specific objectives. Also identifying both *tangible benefits* (e.g. monetary savings or revenues), which are fairly straightforward to identify, and *intangible benefits* (e.g. customer service quality), which can be difficult to identify but can be fundamental to the overall customer experience. Table 4.4 presents a summary of typical benefits of digital marketing.

The online revenue contribution

A key objective for digital marketing is the **online revenue contribution** since this gives a simple measure of the proportion of online sales achieved in different product categories. This is a measure of the extent to which a company's online presence directly impacts on the sales revenue (or better profit) of the organisation. By understanding this contribution compared to others in their sector, business planners should be able to determine future resource allocation to online channels. These objectives can be specified for different types of products, customer segments and geographic markets. For example, traditional high-street food-and-fashion retailer Marks and Spencer™ partnered with Ocado to boost revenues from online food sales. The move aimed to increase the average online spend of M&S online shoppers to more than £20. A typical Ocado customer spends more than £100 per shop (Eley, 2020). But online fashion retailer ASOS and other online-only fashion businesses continue to eat into M&S's market share in the fashion sector, so M&S may need to consider increasing its investment in resources to boost its online revenue contribution from its fashion ranges as well. (See Case study 4.1 for further discussion of ASOS.)

It is important that companies set sales and revenue goals for online channels for which costs are controlled through an **allowable cost-per-acquisition**. This takes into account the cost of attracting visitors through

techniques such as affiliate marketing, paid search advertising or display advertising, as explained in budget models presented in **Chapter 8**.

For some companies (e.g. FMCG, manufacturer of multiple brands Unilever), it is unrealistic to expect a significant direct online revenue contribution. In this case, an indirect online contribution can be stated. This considers the internet as part of the promotional mix and its role in reaching and influencing a proportion of customers to purchase the product, generating trials or, in the case of a B2B company, leads. A company could set an **online promotion contribution** or indirect online revenue contribution of 5 per cent of its target market visiting the website or social media presence and interacting with the brand.

Setting SMART objectives

SMART is an easy-to-recall acronym that is used to assess the suitability of objectives. SMART stands for:

- *Specific.* Is the objective sufficiently detailed to measure real-world problems and opportunities?
- *Measurable.* Can a quantitative or qualitative attribute be applied to create a metric?
- *Actionable.* Can the information be used to improve performance? If the objective doesn't change behaviour in staff to help them improve performance, there is little point in it!
- *Relevant.* Can the information be applied to the specific problem faced by the manager?
- *Time-related.* Can the information be constrained by or compared for different time periods?

With SMART objectives, everyone is clearer what the target is and progresses towards it and, if necessary, action can be taken to put the company back on target. For SMART digital marketing objectives for an online presence such as a website or mobile app it is important to measure traffic, value and cost. Applying the VQVC mnemonic is a technique used to test whether businesses are using the right types of goals and measures

for their objectives and reporting on digital marketing dashboard. VQVC stands for:

1 Volume measures (of traffic)

Digital analytics systems such as Google Analytics have specific measures for volume:

- *Unique visits.* The number of individuals who visit the site in the specified period.
- *Visits.* The total number of times the site was accessed by different individuals.
- *Page views.* The total number of pages viewed by individuals.

These measures can be used with objectives and to monitor performance against planning models.

2 Quality measures

To understand the effectiveness of the online experience, conversion measures assess the quality of the visitors and their experiences. These measures give an indication of how a visitor has engaged with a site and include:

- *Bounce rate.* Percentage of visitors who leave immediately after viewing only one page. A high bounce rate is a sign of poor-quality

traffic and/or experience.

- *Duration.* Dwell time, which is measured as average time on page or time on site.
- *Pages per visit.* Arguably more useful than dwell time since it shows how many pages a visitor views on average. Conversion rates to lead and sale are arguably the most important quality measure since they show what proportion of visits convert to commercial outcomes.

3 Value measures

Value shows the communications effectiveness and commercial contribution of digital marketing to a business. Here we're looking for outcomes that show intent to purchase, or purchase itself. For an e-commerce site this is straightforward – we can look at measures such as sales transactions and average order value. However, it's less obvious for the many non-transactional sites, like B2B sites. Here it's necessary to set up goals customised for the business in Google Analytics for when user actions are completed for qualified leads.

- *Goal value per visit.* If you assign a value to a goal such as a download, you can then compare how different visitor sources contribute value to the site. For example, how does social media marketing compare to email, or is LinkedIn more or less valuable than X? This is very powerful for checking your marketing investments.

- *Revenue per visit.* For sites with e-commerce tracking, Google will report revenue per visit, which enables similar analysis to that of goal value.
- *Page value.* If marketers review this measure for pages, they can determine which pages are prompting the creation of value, enabling the business to improve customer journeys.

4 Cost measures

Cost includes the cost of content and experience creation and promotion – i.e. paid, owned and earned media costs. Cost-per-acquisition is typically used to assess media effectiveness.

Examples of SMART objectives across VQVC, including those to support goal setting in customer acquisition, conversion and retention categories for digital marketing strategy, are:

- *Digital channel contribution objective.* Achieve 10 per cent online revenue (or profit) contribution within two years.
- *Acquisition objective.* Acquire 50,000 new online customers this financial year at an average cost-per-acquisition (CPA) of £30 with an average profitability of £5.
- *Acquisition or conversion objective.* Migrate 40 per cent of existing customers to using online ‘paperless’ bill payment services within three years (e.g. for a bank or utilities company).

- *Acquisition objective.* Increase by 20 per cent within one year the number of sales arising from a certain target market (e.g. 18–25-year-olds).
- *Conversion objective.* Increase the average order value of online sales to £42 per customer.
- *Conversion objective.* Increase site conversion rate to 3.2 per cent (would be based on model of new and existing customers in different categories).
- *Conversion objective.* Increase percentage of online service enquiries fulfilled online by ‘web self-service’ from 85 to 90 per cent.
- *Retention objective.* Increase annual repeat new customer conversion rate by 20 per cent.
- *Retention objective* (existing customers). Increase percentage of active users of the service (purchasing or using of other electronic services) within a 180-day period from 20 to 25 per cent.
- *Retention objective.* Increase customer satisfaction rating for channel from 70 to 80 per cent.
- *Growth objective.* Increase new prospects recommended by friends (viral marketing or ‘member get member’) by 10,000 per annum.
- *Cost objective.* Achieve a cost reduction of 10 per cent in marketing communications within two years.

Frameworks for objective setting

A significant challenge of objective setting for digital marketing is the potential of there being many different measures to consider, so these should be grouped to be meaningful and presented on performance dashboards.

Table 4.5 illustrates specific digital marketing measures within the four main areas of organisational performance managed through the balanced scorecard technique used in larger businesses (e.g. Hasan and Tibbits, 2000). In our presentation we have placed objectives within the areas of **efficiency** (‘doing the thing right’) and **effectiveness** (‘doing the right thing’). For example, *efficiency* involves increasing conversion rates and reducing costs of acquisition. *Effectiveness* involves supporting broader marketing objectives and often indicates the contribution of the online channel.

Table4.5

Example allocation of digital marketing objectives within the balanced scorecard framework for a transactional e-commerce site

Balanced scorecard sector	Efficiency	Effectiven
Financial results (business value)	Channel costs, channel profitability	Online contribution
		Online contribution
		Profit contributed

Customer value	Online reach (unique visitors as % of potential visitors)	Sales and sales per
	Cost-per-acquisition or cost-per-sale (CPA/CPS)	New customers
	Customer propensity	Online market shar
		Customer satisfacti
		Customer loyalty in
Operational processes	Conversion rates	Fulfilment times
	Average order value	Support response ti
	List size and quality	
	Email active (%)	

Leading and lagging performance indicators

When developing goals and measurement systems used to review and improve performance of digital channels, it is also helpful to consider which are leading and lagging indicators of performance. Trends should be identified within these – e.g. are they increasing or decreasing year on year (often used as a good like-for-like comparison) – or compared to the previous week, month or average for a recent period?

A **leading performance indicator** is a metric that is suggestive of future performance – think of the amber preceding the green light on traffic

lights on a short timescale. The benefit of leading indicators is that they enable managers to be proactive in shaping future performance. There tend to be fewer leading performance indicators, but these can be applied to e-commerce:

- *Shares of searches.* An increase in the proportion of brand searches within a market was shown to be predictive of a future increase in market share (see Digital marketing insight 2.2).
- *Repeat sales metrics.* If repeat conversion rates are falling or the average time between sales (sales latency) is falling, then these are warning signs of future declining sales volume for which proactive action can be taken, e.g. through a customer email marketing programme.
- *Customer satisfaction or advocacy ratings such as the Net Promoter Score.* If these are trending downwards or return rates are increasing, this may be a sign of a future decline in repeat sales since more customers are dissatisfied.
- *Sales trends compared to market audience trends.* If, for example, online sales are increasing at a lower rate than overall online audiences for a product category are indicated, e.g. through panel data, Connexity or searches in particular categories, then this is a warning sign that needs to be acted upon.

A **lagging performance indicator** is one where the measure indicates past performance. Lagging indicators enable corrective action to be taken.

Some also identify a coincident performance indicator, which is more suggestive of current performance. Lagging performance indicators for a transactional retail site include:

- ***Sales volume, revenue and profitability.*** These are typically compared against target or previous periods.
- *Cost-per-acquisition (CPA).* The cost of gaining each new customer will also be compared against target. Variations in trends in CPA for different referrers (traffic sources) and between different product categories can potentially be used as leading indicators.
- *Conversion efficiency metrics.* For an e-commerce site these include process efficiency metrics such as conversion rate, average order and landing page bounce rates.

These lagging indicators are used operationally on a daily or weekly basis so that performance can be diagnosed and reviewed.

Strategy formulation for digital marketing

strategy formulation involves the identification of alternative strategies, a review of the merits of each of these options and then selecting the strategy that has the best fit with a company's trading environment, its internal resources and capabilities. Companies should be realistic about what their strategies can achieve and base digital strategies on sound logic and analysis.

Strategies are agreed to be most effective when they support specific business objectives (e.g. increasing the online contribution to revenue, or increasing the number of online sales enquiries). A useful technique to help align strategies and objectives is to present them together in a table, along with the insight developed from situation analysis that may have informed the strategy. Table 4.6 shows how objectives, strategies and performance indicators can be mapped to produce this logical and connected flow of activity.

Here different digital marketing communications techniques are grouped according to whether they support customer acquisition, conversion or retention.

The key decisions for digital marketing are the same as strategic decisions for traditional marketing. They involve selecting target customer groups and specifying how to deliver value to these groups. Segmentation, targeting, differentiation and positioning are all key to effective digital marketing.

The main thrust of digital marketing strategy development is taking the right decisions on the selective targeting of customer groups and different forms of value delivery for online channels. Digital marketing strategy is a channel marketing strategy and should:

- be based on objectives for online contribution of leads and sales for this channel;
- support the customer journey as they select and purchase products using this channel in combination with other channels;
- define a unique, differential proposition for the channel based on the quality of content and experience;
- specify how this proposition is communicated to persuade customers to use online services in conjunction with other channels;
- manage the online customer lifecycle through the stages of attracting visitors to the website, converting them to customers and retention and growth;

- be consistent with the types of customers that use and can be effectively reached through the digital communications channels and targeted using **online tactical marketing segmentation**.

Furthermore, digital marketing strategy development involves reappraising a company's approach to strategy based on familiar elements of marketing strategy plus assessing the relevance of new digital business and revenue models. We believe there are eight important decisions to consider. The first four are concerned with fundamental questions of how an organisation delivers value to customers online and which products are offered to which markets online. The next four are more concerned with the mix of marketing communications used to communicate with customers across multiple channels, with the final decision referring to organisation and governance.

Table4.6

An example of the relationship between objectives, strategies and performance indicators

Objectives	Substantiation (informed by situation analysis or insight)	Strategies to achieve goals	Key pe indicat succes
1 Acquisition objective Acquire 50,000 new online customers (based on current sales) this financial year at an average cost-per-acquisition (CPA) of	Based on growth forecast 40,000 sales per year, but with incremental sales arising from new affiliate programme and SEO development	Start affiliate marketing programme and improve SEO. Existing media mix based on pay-per-click and display advertising supported by offline media Use social	Overall C online sal Incremen and % of affiliate n programn

£30 with an average profitability of 5%		media engagement to generate leads	of strateg ranked in positions search res
2 Acquisition (or conversion) objective Migrate 40% of existing customers to using online 'paperless' bill payment services and email communications within three years	Extrapolation of current natural migration coupled with increased adoption from offline direct marketing campaign	Direct marketing campaign using direct mail, phone prompts and online persuasion to encourage adoption. Use of incentive to encourage change	Number a existing c registerin online ser Number a customers using onl at differe after initi registerin
3 Conversion objective Increase the average order value of online sales to £42 per customer	Growth estimate based on current AOV of £35 plus model suggesting 20% increase in AOV	Use of new merchandising system to show users related 'next best product' for different product categories	% of site respondir merchanc cross-sell messages
4 Conversion objective Increase site conversion rate to 3.2%	Model showing separate increase in conversion for new and existing customers based on strategies shown right	Combination of strategies: Incentivised email follow-up on checkout abandonments for new customers	Variations conversio new and customers product c
		Incentivised email follow-up on checkout abandonments for new customers	

		AB and multivariate messaging improvement of landing pages	
		Refinement to quality of traffic purchased through pay-per-click programme	
5 Retention objective Increase annual repeat new customer conversion rate by 20%	Business case based on limited personalisation of offers to encourage repeat purchases via email	Delivery of personalised product offers by email 5% second purchase discount voucher	Increased rate of re contact p Conversi second p discount
6 Growth objective Increase new prospects recommended by friends (viral marketing or ‘member get member’) by 10,000 per annum	Model based on encouraging 2% of customers to recommend friends annually (based on trial scheme)	Supported by direct mail and email recommenda-tion programme	Response direct ma

Decision 1: Market and product development strategies

Ansoff's (1957) strategic marketing grid can be applied for a simple review of market and product development using an adapted form of the matrix shown in Figure 4.9. This summarises how the internet and digital channels can potentially be used to achieve four strategic directions:

1. *Market penetration.* The internet can be used to sell more existing products into existing markets.
2. *Market development.* Here the internet is used to sell into new geographical markets, taking advantage of the low cost of advertising internationally without the necessity for a supporting sales infrastructure in the customers' countries.
3. *Product development.* New products or services are developed that can be delivered by the internet. These are typically digital products.
4. *Diversification.* In this sector, the internet supports selling new products, which are developed and sold into new markets.

Let us now review these strategic options in more detail.

1 Market penetration

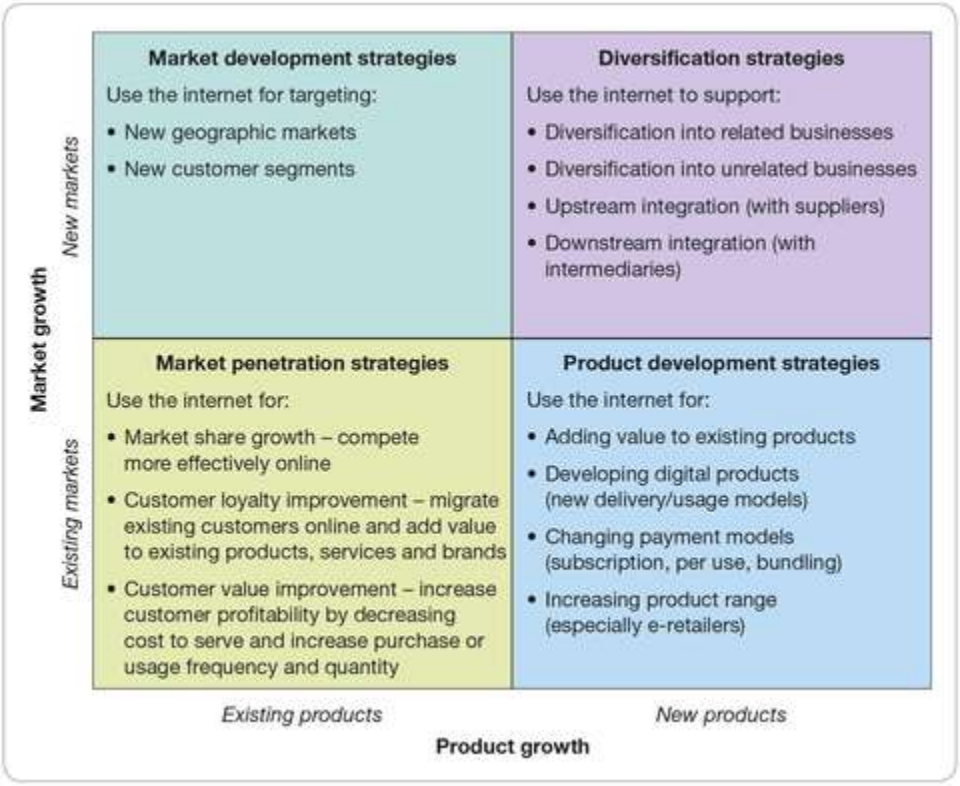
This involves using digital channels to sell more existing products into existing markets. Digital channels have great potential for achieving sales growth or maintaining sales through the market penetration strategy. As a starting point, many companies will use digital marketing communications to help sell existing products into existing markets, although they may miss opportunities indicated by the strategies in other parts of the matrix. Figure 4.9 indicates some of the main market penetration techniques:

- *Market share growth.* Companies can compete more effectively online if they have websites that are efficient at converting visitors to sales (as explained in **Chapter 7**) and mastery of the 'always-on' online marketing communications techniques (reviewed in **Chapter 8**), such as search engine marketing, social media marketing and online advertising.
- *Customer loyalty improvement.* Companies can increase their value to customers and so increase loyalty by migrating existing customers online, and by adding value to existing products, services and brands by developing their online value proposition (see Decision 4 and **Chapter 6**).
- *Customer value improvement.* The value delivered by customers to the company can be increased by increasing customer profitability through decreasing cost to serve (and so price to customers) and at the same time increasing purchase or usage frequency and quantity,

for example using the marketing automation and personalisation techniques (described in Chapter 6). Many companies will offer competitive online prices or discounts to help increase their market share. Approaches to specifying online pricing are covered in **Chapter 5**.

Figure4.9

Using digital channels to support different organisational growth strategies



2 Market development

Online channels are used to sell into new markets, taking advantage of the relatively low cost of advertising internationally without the necessity for

a supporting sales infrastructure in the customer's country. Online channels have helped low-cost airlines such as easyJet and Ryanair to cost-effectively enter new markets served by their routes. This is a relatively conservative use of digital channels, but is a great opportunity for SMEs to increase exports at a low cost, though it does require overcoming the barriers to exporting. We saw in **Chapter 1** how Zalando, a Germany-based fashion retailer, has entered many European markets using techniques such as search engine marketing, display advertising and social media marketing to create awareness and demand for services. New entrants that gain market share using new **digital disruption** techniques of innovative business or revenue models are sometimes referred to as 'digital disruptors'. We look at some examples of innovations under the heading of 'Product development'.

Digital disruption involves new entrants to a market and agile existing businesses deploying new business models and revenue models based on digital media, data and technology. The best-known examples of disruptors are Amazon (retail), Airbnb (accommodation), Tripadvisor (travel), Uber and Deliveroo™ (personal transportation and food delivery) and Zoom (video communications).

Innovation from the main digital platforms that consumers use to interact and select products, such as Apple, Amazon, Google, Facebook, Instagram, X and Pinterest, also provide options for disruption. For example, Amazon (Machine Learning at Amazon Web Services) and

Google (Google Cloud Machine Learning at Scale) have launched low-cost artificial intelligence solutions that can be deployed by businesses across sectors to achieve digital disruption. Another example of digital disruption is in the home, where technology is rapidly changing how we live with smart home technology products giving us more instant and flexible control over heating, lighting and entertainment, e.g. Amazon Echo, Google Home and Nest, smart plugs and remote-access security cameras.

Existing products can also be sold to new market segments or different types of customers. Virtual inventory enables new offerings to be made available to smaller segment sizes, an approach known as micro-targeting. This may happen simply as a by-product of having a website – e.g. RS Components (https://uk.rs-online.com), a supplier of a range of MRO (maintenance, repair and operations) items, found that 10 per cent of the web-based sales were to individual consumers rather than its traditional business customers. easyJet also has a section of its website to serve business customers. Digital channels may offer further opportunities for selling to market sub-segments that have not been previously targeted. For example, a product sold to large businesses may also appeal to SMEs that have previously been unable to serve because of the cost of sales via a specialist sales force.

3 Product development

The web can be used to add value to or extend existing products for many companies. For example, many car manufacturers have developed vehicle configurators to give customers more choice or developed mobile apps, for example for service information or charging electric cars. Similarly, music and book publishing companies have found new ways to deliver products through new development and usage models such as subscription and pay-per-use. Retailers can extend their product range and provide new bundling or subscription options online also.

Truly new products or services often offer a combination of physical and digital elements. For example, the Fitbit, Nike Fuel Band and Garmin VivoSmart became popular wearable fitness trackers with GPS, which monitors human activity and performance in a range of settings from running to sleeping, supplemented by analysis and coaching through mobile apps. These innovations can be traced back to when the Fitbit was first introduced. Interestingly Nike no longer provides the Fuel Band, deciding to focus on clothing sales, but it does still maintain the free Nike Run Club digital platform since it thinks this aligned with its brand. This is an example of an extended digital product which continues to innovate with a digital value proposition (see Decision 4 in this chapter), which supports its brand values by including Training Plans, Guided Runs (voiced by athletes), Wellness Tips and Running Challenges). When developing new products, it is important to consider the time it takes from concept to market testing of the new product. Pure, digital innovations, such as ChatGPT and Instagram, can experience short development

timelines and rapid adoption. Digital products can also prove disruptive in B2B markets as Mini case study 4.1 shows.

Mini case study 4.1

Nium: A B2B digital service delivered worldwide from Singapore

Nium is a Singapore-headquartered business that in 2024 was listed by the Straits Times as one of Singapore's fastest growing businesses.

Nium is a cross-border payments company. Initially founded by Prajit Nanu and Michael Bermingham, and launched as a consumer-remittance platform Instarem in 2014. In 2016, the company introduced its B2B payments platform targeted at business users, including banks and businesses. It opened offices in the UK, Hong Kong and Malaysia. It rebranded as Nium in 2019.

From its inception, the vision of the Nium founders was to make the proposition straightforward and cost-effective. Excessive paperwork and multiple touchpoints increase the overheads and the time taken for end-to-end transfers. The team at NIUM, wanted to bring transparency to the otherwise obscure world of international money transfers, making the payments journey better for their customers. As a startup business it was disruptive in providing payments solutions that fitted current trends, for

example, global workforces where employees were working remotely and require payment in their local currency.

In 2021, the International Cricket Council (ICC) and Nium entered a multi-year strategic partnership involving and integrating several global ICC events including in Australia, India, United Arab Emirates and Oman. This illustrates how sponsorship tied in with physical events, featured widely in different media can be used to gain awareness in many countries (at least, those where cricket is popular).

In 2023, Nium's CEO, Prajit Nanu, stated in a Bloomberg interview that his company plans to go public in the US by 2025.

Sources:
https://www.straitstimes.com/multimedia/graphics/2024/01/fastest-growing-companies-2024/,
https://www.currencycloud.com/company/case-study/giving-instarem-a-better-customer-experience/, https://en.wikipedia.org/wiki/Nium

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4 Diversification

In this sector, new products are developed that are sold into new markets. The internet alone cannot facilitate these high-risk business strategies, but it can facilitate them at lower costs than have previously been possible. The options include:

- *Diversification into related businesses.* A low-cost airline can use the website and customer emails to promote travel-related services such as hotel booking, car rental or travel insurance at relatively low costs either through its own brand or through partner companies – e.g. Ryanair offers its customers discounts if they book car hire or accommodation.
- *Diversification into unrelated businesses.* Again, the website can be used to promote or deliver less-related products to customers, which is the approach used by the Virgin brand, for example, which moved from travel services to unrelated services such as Virgin Media and Virgin Money.
- *Upstream integration with suppliers.* This is achieved through data exchange between a manufacturer or retailer and its suppliers to enable a company to take more control of the supply chain (e.g. the ASOS marketplace (https://marketplace.asos.com) enables the retailer to offer products from independent retail brands and boutiques).
- *Downstream integration with intermediaries.* Again, this is achieved through data exchange with distributors such as online intermediaries. OnTheMarket.com is an intermediary service that links house buyers and those wishing to rent with property agents. The property agents provide the full services while

OnTheMarket.com acts as a portal for customers to browse before contacting agents directly.

Decision 2: Business and revenue models strategies

Strategy formulation often requires companies to evaluate new models, since to survive in the digital age means companies need to constantly innovate in order to defend market share from competitors and new entrants. Companies at the leading edge of technology such as Facebook and Google constantly innovate through acquiring other companies and internal research and development. Case study 4 on ASOS at the end of this chapter also highlights innovation in the ASOS **business model** facilitated through online channels.

This approach to supporting strategic agility through ongoing research and development is sometimes known as a **Skunkworks** or, more commonly, a digital lab, or a digital innovation centre in larger businesses.

Another method of developing new approaches is to encourage other companies in your sector; this was an approach taken by John Lewis™ with the JLab (www.jlab.co.uk).

While all digital strategies should consider all of the available options (including to do nothing), we note that companies can make less-radical changes to their **revenue models** through the internet that are less far-reaching, but may nevertheless be worthwhile. For example:

- Transactional e-commerce sites (e.g. Amazon.com and Lastminute.com) can sell advertising space or run co-branded promotions on site or through their email newsletters or lists to sell access to their audience to third parties.
- Retailers or media owners can sell on white-labelled services through their online presence such as ISP, email services or photo-sharing services.
- Companies can gain commission through selling products that are complementary (but not competitive to their own); e.g. a publisher can sell its books through an affiliate arrangement with an e-retailer.

Decision 3: Target marketing strategy

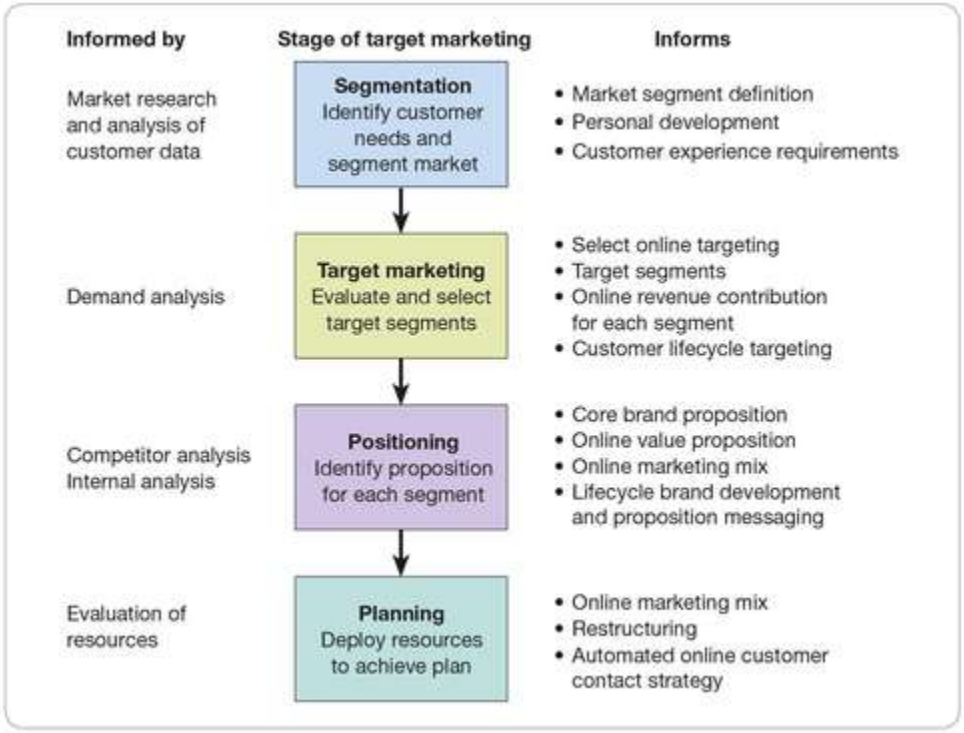
Deciding on which markets to target is a key strategic consideration when planning a digital marketing strategy. **Target marketing strategy** involves the four stages shown in Figure 4.10. The two key decisions for the marketing strategist are:

- *Segmentation/targeting strategy.* A company's online customers will often have different demographic characteristics, needs and behaviours from its offline customers. It follows that different online approaches to **strategic market segmentation** may be an opportunity, and specific segments may need to be selectively targeted through online media channels, the company website or email communications. As we will see, personal development and lifecycle targeting are common approaches for online targeting.
- *Positioning/differentiation strategy.* Competitors' product and service offerings will often differ in the online environment. Developing an appropriate online value proposition is an important aspect of this strategy.

The first stage in Figure 4.10 is *segmentation*. Segmentation is a management technique that allows businesses to focus their efforts on the customers they can serve best. When creating digital marketing plans it is useful to distinguish between strategic market segmentation and online tactical segmentation, which is used for online targeting.

Figure4.10

Stages in target marketing strategy development



Strategic market segmentation can be defined as (Jobber and Ellis-Chadwick, 2024):

> the identification of individuals or organisations with similar characteristics that have significant implications for determining marketing strategy.

In a digital marketing planning context, market segments should be reviewed to assess:

- the current market size or value and future projections of size;
- the organisation's current and future market share within the segment;
- the cost-effectiveness and likelihood of a target segment engaging with the organisation's offer across all aspects of the buying process – for example, whether it is cost-effective to generate demand for leads and sales, use organic media based on content marketing or paid media such as programmatic display, pay-per-click advertising (Google Ads), paid social ads or affiliate marketing;
- needs of each segment, in particular unmet needs;
- competitor market shares within the segment;
- organisation and competitor offers and propositions;
- usage of the site and conversion to action through web analytics.

Options for segmenting online customers by activity levels, which is an online tactical marketing segmentation approach, are covered in more detail in **Chapter 6** and segmenting site visitors through web analytics systems is covered in **Chapter 10**.

Stage 2 in Figure 4.10 is target marketing. Here we can select segments for targeting online that are most attractive in terms of growth and profitability. These may be similar or different compared to groups

targeted offline. Some examples of customer segments that are targeted online include:

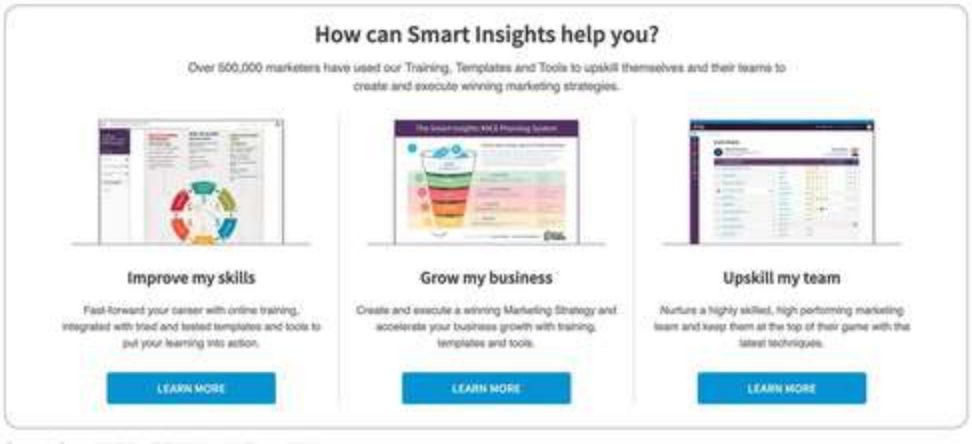
- *The most profitable customers.* Using the internet to provide tailored offers to the top 20 per cent of customers by profit may result in more repeat business and cross-sales.
- *Larger companies (B2B).* An extranet could be produced to service these customers and increase their loyalty.
- *Smaller companies (B2B).* Large companies are traditionally serviced through sales representatives and account managers, but smaller companies may not warrant the expense of account managers. However, the internet can be used to reach smaller companies more cost-effectively. The number of smaller companies that can be reached in this way may be significant, so although the individual revenue of each one is relatively small, the collective revenue achieved through internet servicing can be large.
- *Particular members of the buying unit (B2B).* The site should provide detailed information for different interests that supports the buying decision, e.g. technical documentation for users of products, information on savings from e-procurement for information systems or purchasing managers, and information to establish the credibility of the company for decision makers.
- *Customers that are difficult to reach using other media.* Customer profiles give insights into likely use of digital media channels, and can help companies struggling to reach younger customers.

Meeting customers where they are and on the channels they use is an important consideration. Chipotle, a Mexican-style restaurant chain in the United States, decided to encourage its customers to celebrate National Avocado day using TikTok. The campaign involved the hashtag #GuacDance and entering a free competition by uploading a video to TikTok. This was the first time the restaurant had used this channel but it was a highly effective campaign, which attracted hundreds of millions of views (Engel, 2019).

- *Customers that are brand loyal***.** Services to appeal to brand loyalists can be provided to support them in their role as advocates of a brand.
- *Customers that are not brand loyal.* Conversely, incentives, promotion and a good level of service quality could be provided by the website to try to retain such customers.

Figure4.11

Smart Insights site segmentation



Source: Smart Insights (Marketing Intelligence) Ltd

Priority segments can be targeted online by using navigation options to different content groupings such that visitors *self-identify*. For example, like many businesses, the main navigation option for computer manufacturer Dell is product based (e.g. laptops vs gaming), but to engage business audiences the ‘Solutions’ menus offer choices for industries such as healthcare or higher education, or for small businesses. As a B2B online marketing training provider, Smart Insights similarly uses a segmented navigation to appeal to different business sectors. It also uses calls-to-action on its home page that enable it to appeal to different target groups. Figure 4.11 shows a ‘segmented customer journey’, which gives three choices, with the next page tailored for each audience that self-segments based on their needs. This segmented approach helps to increase relevance and so conversion, but also gives insights from analytics on how many share an interest. Here, the business has shared with us that the relative proportion of clicks on buttons is 40 per cent ‘Improve my skills’ (mainly individuals), 40 per cent ‘Grow my business’ (mainly leaders in companies) and 20 per cent ‘Upskill my team’ (team leaders in companies with a training need).

As part of digital strategy development, we recommend reviewing these options for segmenting and targeting audiences online:

1 Identify customer profile-based demographic characteristics

This is a traditional segmentation based on the disclosed or inferred customer demographics. For B2C companies this will include age, sex and geography. For B2B companies, it will include size of company and the industry sector or application they operate in.

2 Identify customer lifecycle groups

Figure 4.12 illustrates this approach. As visitors use online services they can potentially pass through seven or more stages. Once companies have defined these groups and set up the customer relationship management infrastructure to categorise customers in this way, they can then deliver targeted messages, either by personalised on-site messaging or through emails that are triggered automatically by different rules. First-time visitors can be identified by whether they have a cookie placed on their digital device or other ‘digital fingerprints’ related to mobile or social media use. Once visitors have registered, they can be tracked through the remaining stages. A particularly important group is those customers who have purchased one or more times. For many e-retailers, encouraging customers to move from the first purchase to the second purchase and then on to the third purchase is a key challenge. Specific promotions can be used to encourage further purchases. Similarly, once customers become

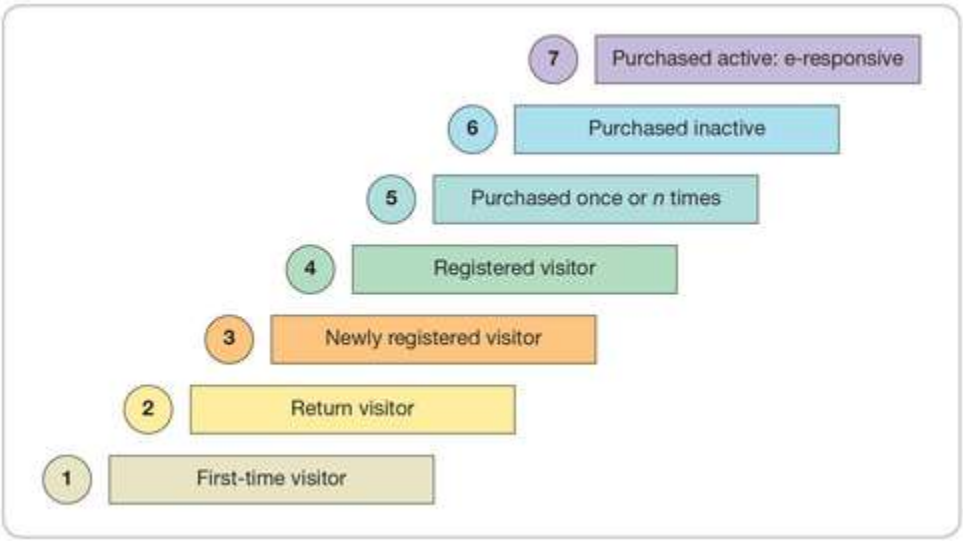
inactive (i.e. they have not purchased for a defined period such as three months) further follow-ups are required.

3 Identify behaviour in response and purchase value

As customers progress through the lifecycle shown in Figure 4.12, database analysis can be used by the marketer to build up a detailed response and purchase history, which considers the details of recency, frequency, monetary value and category of products purchased. Grouping customers by their current and future value and techniques can be used to develop strategies to retain valuable customers and migrate lower-value customers to a higher value in future (see Chapter 6).

Figure4.12

Customer lifecycle segmentation



4 Identify multichannel behaviour (channel preference)

Regardless of the enthusiasm of the company for online channels, some customers will prefer using online channels and others will prefer traditional channels. Drawing a channel chain for different customers is useful to help understand this. It is also useful to have a flag within the database that indicates the customer's channel preference and, by implication, the best channel to target them through. Customers who prefer online channels can be targeted mainly by online communications such as email, while those who prefer traditional channels can be targeted by traditional communications such as direct mail or phone.

5 Tone and style preference

In a similar manner to channel preference, customers will respond differently to different types of messages. Some may like a more rational appeal, in which case a detailed email explaining the benefits of the offer may work best. Others will prefer an emotional appeal based on images and with warmer, less formal copy. Testing is needed based on customers'

profile characteristics and response behaviour, and then developing different creative treatments accordingly.

Decision 4: Positioning and differentiation strategy (including the marketing mix)

Stage 3 in Figure 4.10 is positioning. Ultimately, positioning defines how a company wants to compete and this is determined by the chosen market segmentation, the actual target market and the differential advantage offered by the product or service (Jobber and Ellis-Chadwick, 2024). The key to this stage of decision making is to focus on the minds of customers in the chosen target markets (Ries, 2017). In their minds, most consumers either have a brand attached to a product category or they do not; maybe because it is an underdeveloped category (e.g. the electric car) or they have yet to exercise a preference. In the case of the new category, there is opportunity for a brand to take first-mover advantage (Yang *et al*., 2017), as Tesla™ has done in the electric car market. Either way, to make a connection with a prospect's mind, it is better to promote a small feature of a brand that is known to the prospect rather than a major feature that is unknown (Ries, 2017). By taking this approach, it becomes possible to connect with the target prospect and establish the foundations of a differential market positioning, and then build from this point.

Differential advantage

The aim of positioning is to develop a **differential advantage** over competitors. Jobber and Ellis-Chadwick (2024) suggest that market segmentation is at the heart of developing a differential marketing strategy. Marketing strategists use elements from the marketing mix to establish the difference between their company and their rivals'. According to Wang *et al*. (2019) the use of pricing to differentiate a brand is dependent on many different factors:

- the uniqueness of the goods in a particular market;
- competition for the goods;
- perceptions of quality;
- effectiveness and reliability of a brand's offer.

Online the same principles apply, but in a highly complex and dynamic marketplace. Key decisions are about how to enter the mind of the prospective customer, which is the position where the brand wishes to be (as shown in Figure 4.13).

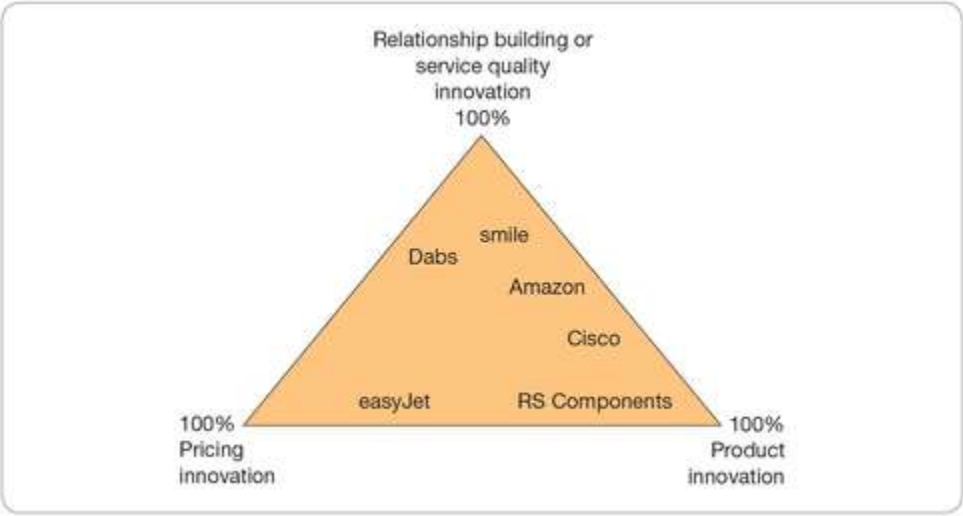
To make use of this pricing power, retailers vary the goods they sell at a particular price level, the convenience of the offer and a blend between physical product and online service. Initially, many online retailers relied on lower prices online to draw in customers but this is no longer the case. However, some retailers are better at improving their market competitiveness by increasing their differentiated position than others.

Amazon has used price combined with attention to customer experience, service and delivery efficiency to build brand dominance. Read Mini case study 4.2 on Decathlon to see how international brands should tailor their approach to differentiation to international markets supported by their online presence.

Although these examples apply to large brands, smaller brands also need to consider how digital interactions and content can enhance their brand. Wu *et. al*. (2024) note that in the digital environment, digital marketing is key to corporate positioning and value generation is linked with factors such as innovativeness, proactiveness, organisational agility and managerial capabilities, which are, in turn, pivotal in the organisation's strategy.

Figure4.13

Alternative positionings for online services



Mini case study 4.2

French sports retailer Decathlon creates a multichannel OVP in India

According to its Global CEO Barbara Martin Coppola, India is one of its most important markets and it is looking to increase its retail presence further in that country. For Decathlon, India is among the top ten global markets, growing at ‘twice the rate’ of others. It entered the market in 2009 and now operates a network of 129 stores. Decathlon has plans to increase local sourcing of products to 85 per cent in the from the present 60 per cent. Currently 65 per cent of what is produced in India (by Decathlon) is exported.

With a market of this size, it’s important for a multichannel retailer like Decathlon to recognise and respond to variation in customer requirements including uptake of different sports. Their research shows that cities like Bengaluru, Delhi, Hyderabad and Kolkata follow different kinds of sports passions. For example, in cities like Hyderabad Badminton is popular, while running is picking up in Delhi. Different segments also have to be accommodated. Key segments within sports in India are:

- Hopeful customers: Individuals with decent sports skills but tight budgets.

- Beginners: Those with limited skills and smaller budgets, often trying out sports.
- Casual enthusiasts: Individuals with disposable income, more interested in the fashion aspect of sports brands.
- Elites: Skilled athletes and professional players who sought high-performance gear.

While offline is currently the main distribution channel, Decathlon has invested in its website (www.decathlon.in) and mobile apps to enhance customer service to provide a differential advantage to its brand. To improve customer service, it has implemented Freshdesk to integrate multiple ticketing channels such as emails, calls, website chat and social media. Freshdesk has helped Decathlon to integrate the offline experience of customers as well by capturing their feedback when users visit the store. The customer is asked to rate their experience by selecting the appropriate emoji on a touchscreen device near the billing counter. If the customer is unsatisfied, it is recorded as a ticket and shared with the User Happiness team for further action.

Online registration and purchase is encourage by OVP features including a discount on first purchase, free delivery on larger purchases, clearance sales and booking for expert-assisted shopping and other in-store services.

The Decathlon India mobile app is important both for engagement and purchasing. It offers deals, discounts, free shipping vouchers to help

savings. For integrated retailing it offers a Scan & Go which allows customers to scan the products they want, pay on the app and walk out of the store.

Sources: https://www.decathlon.in/, https://business.outlookindia.com/news/decathlon-to-accelerate-investments-in-india-on-production-retail-expansion-global-ceo, https://indianexpress.com/article/business/companies/india-to-be-among-top-5-markets-for-decathlon-in-next-5-years-9211646/, https://medium.com/@abhisheksinghrana985/the-rise-of-decathlon-in-indias-sports-market-case-study-c00551ed40bb and www.freshworks.com/freshdesk/resources/case-study/decathlon/.

Online or digital value proposition

In a digital marketing context, differential advantage and positioning can be clarified and communicated by developing an **online value proposition (OVP)**. Developing an OVP involves:

- developing online content and services and explaining them through messages that:
    - reinforce core brand proposition and credibility;
    - communicate what a visitor can get from the online services of a brand that they can’t get from the brand

offline and ideally they can’t get from competitors or intermediaries.

- communicating these messages to all appropriate online and offline customers with touchpoints in different levels of detail, from straplines to more detailed content on the website or in print.

Communicating the OVP on the site can help create a customer-centric website. Virgin Wines™ used an OVP to communicate its service promise as follows:

- And what if. . . *You are out during the day*? We promise that our drivers will find a safe place to leave your wine; but if it does get stolen, we just replace it.
- *You find it cheaper elsewhere*? We will refund the difference if you are lucky enough to find a wine cheaper elsewhere.
- *You live somewhere obscure*? We deliver anywhere in the UK, including Northern Ireland, the Highlands and Islands and the Scilly Isles for £5.99.
- *You are in a hurry*? We deliver within seven days, or your delivery is free.

Many strategic planning decisions are based around the OVP and the quality of online content and customer experience delivered by a company. Since digital content is vital to differentiating businesses, it is a key part of digital strategy to prioritise investment to produce sufficient

high content as part of a content strategy (covered in **Chapter 6**) and customer experience strategy (covered in **Chapter 7**). For some brands, it may be worthwhile investing in apps (such as the Nike Run Club) which help develop the relationship with a brand. They may also be necessary for a D2C service such as Abbot Freestyle Libre glucose monitoring that is delivered by a sub-domain (www.freestyle.abbott) and mobile app. Interactive features can be particularly important for transactional sites in that they may enhance the user's experience and so encourage conversion and repeat sales. Examples of how companies have developed their OVP through interactive features include customer reviews and ratings, podcast product reviews, a blog with customer comments enabled, buyers' guides and video reviews (see Activity 4.3 for examples). Businesses that have a clear content marketing strategy (discussed in Chapter 6) are more likely to have agreed to invest in content to achieve these features.

Having a clear online value proposition has several benefits:

- It helps distinguish an e-commerce site from its competitors (this should be a website design objective).
- It helps provide a focus on marketing efforts so that company staff are clear about the purpose of website or mobile app services.
- If the proposition is clear, it can be used for PR, and word-of-mouth recommendations may be made about the company.

- It can be linked to the normal product propositions of a company or its product.

We look further into options for varying the proposition and marketing mix in **Chapter 5**.

Activity 4.3

Online value proposition

Purpose

To explore the concept of online value proposition.

Activity

Visit the following websites and summarise their online value proposition. You should also explain how they use the content, imagery and navigation of the website to indicate their value proposition to customers:

- Shopify (www.shopify.com);
- Airbnb (www.airbnb.com);
- Netflix (www.netflix.com);
- HubSpot (www.hubspot.com);
- RS Components DesignSpark (rs-online.com/designspark/).

Decisions 5 and 6 relate to **multichannel prioritisation**, which assesses the strategic significance of the internet relative to other communications channels. In making this prioritisation it is helpful to distinguish between **customer communications channels** and distribution channels.

Decision 5: Customer engagement and social media strategy

Each day there are millions of social network status updates, new blog posts, videos and news articles published. As consumers spend more time online reading and interacting with this content, the challenge of engaging them increases. Given this, we believe that every company must develop a **customer engagement strategy** as a key part of its digital marketing strategy. This customer engagement strategy reviews approaches to create compelling content and experiences that form the online value proposition.

Increasingly, it's most straightforward to achieve online engagement not on a company website but through a social presence on one of the main social networks such as Facebook, Instagram, LinkedIn, X or other specialist networks. Given the popularity of these social networks, many companies will seek to develop an overall **social media strategy**.

When developing an approach for using each social network to build engagement and community, there are some common decisions across the networks that focus on the types of content and how it is published. The answers for each social network will vary, but there are some common themes that should be part of an overall engagement and content marketing strategy. Here are some key questions to consider:

- *Question 1. Who are our target audience?* For a single company, the typical audience of each social network will differ in terms of demographics. If you review a sample of profiles for your own followers or competitors, you will get a feel for the typical audience and can develop the typical customer personas you are targeting.
- *Question 2. What are the content preferences of our audiences?* The type of content that audiences like to see on each network is shown by the content they share or rate highly. For example, on Facebook it may be that videos work well, on X infographics and on LinkedIn posting a provocative statement.
- *Question 3. Which content types should have priority?* Based on your analysis of customer needs and competitor benchmarking, you can define the types of editorial topics and post formats that are most engaging or shareable when covered in your content stream.
- *Question 4. How do we differentiate the social channel from other communications channels?* Each network will differ and have different preferences for types of content that fit the channel. If you can define a powerful offer for the social channel, it will encourage people to subscribe to that channel even if they are already using other channels. For example, Gymshark, a retailer of fitness apparel, has millions of followers using its Instagram channels. The brand's understanding of the power of social media as a channel to market has led to sustained growth of the brand (Gilliland, 2019).

- *Question 5. Should we consider content frequency and an editorial calendar?* To engage an audience requires regular content, but what does regular mean? Will there be several status updates a day or only several updates a week? How do these link to other content, such as that on a blog? There will be many different types of content, some will be quick to create, others will take much longer and need planning or resourcing; this is where an editorial calendar is essential. An editorial calendar for social media or a blog is part of a broader content marketing strategy (**Chapter 6**).
- *Question 6. How do we manage publication and interaction?* Each social platform needs someone to update the content, but also to respond and interact on other social networks. A decision has to be taken as to whether this happens in-house or whether some of it can be outsourced to a third party.
- *Question 7. Should we use software for managing the publishing process?* Software can't create content for you, but it can streamline the process. Tools such as Hootsuite™, Falcon or Sprout Social™ enable status updates to be shared across different networks. For example, status updates can be shared across Facebook, LinkedIn or X. However, a personalised approach is recommended also.
- *Question 8. Should we be tracking the business impact of social network activity?* Tools are available from each of the platforms to help marketers review their effectiveness. For example, Facebook Insights is a service available to page owners on Facebook. There

are also analytics features within tools such as Hootsuite showing which messages were popular based on sharing and click-through rates.

- *Question 9. How do we optimise the social presence?* Tracking isn't worthwhile unless it is reviewed and acted upon. The insights available will enable you to test, learn and refine marketing activities. This is known as **social media optimisation (SMO)**. We return to social media strategy at the start of Chapter 6.

Decision 6: Multichannel distribution strategy

distribution channels refer to the flow of products from a manufacturer or service provider to the end customer. At the centre of any distribution channel are the movement of goods and the flow of information between different organisations involved in moving goods from the point of manufacture and the point of consumption. Depending on the *players* that make up the supply chain, its structure can vary and this structure will determine whether goods get to the right place at the right time. Players in a supply chain can include retailers, suppliers, intermediaries, third-party logistic solution providers and transportation companies that provide relevant services (e.g. warehousing and distribution management for their clients).

In order to make best use of digital channels, according to Fulgoni (2014), there are three priorities for retail businesses:

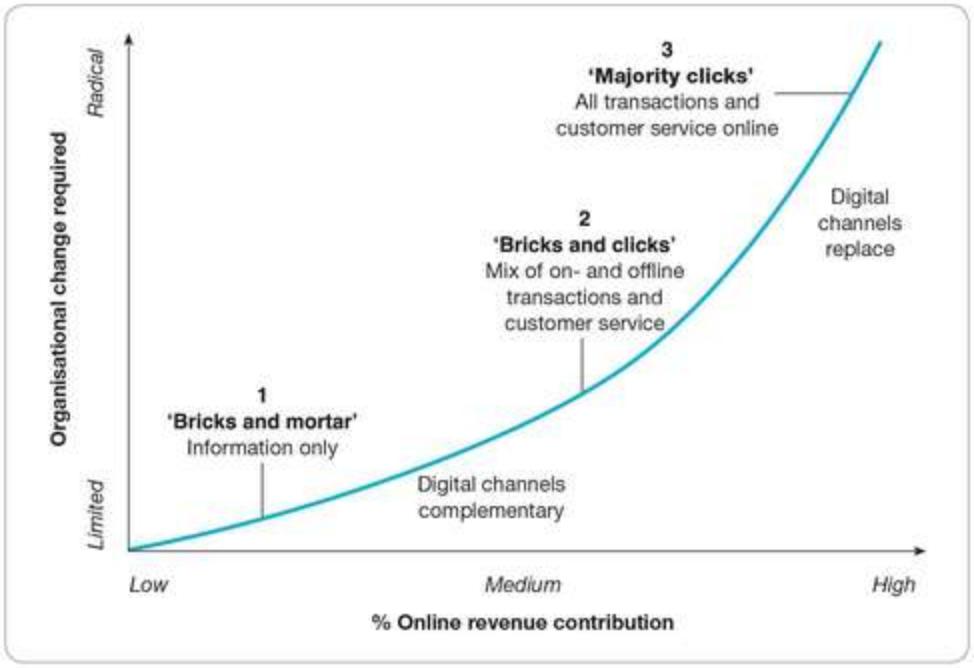
1. Eliminate silos and create seamless experiences for consumers all the way along the path to purchase. Look for ways to bring together the on- and offline worlds and avoid isolated marketing campaigns that do not integrate. If there is any friction along the journey, a shopper is likely to defect to another supplier (e.g. if a retailer sells products at different prices online to in-store).

2. Increase opportunities to interact digitally by understanding more about their paths to purchase (e.g. provide incentives along the way through digital advertising and mobile promotions).
3. Analyse and measure consumer behaviour at all touchpoints in order to develop deep and insightful understanding of what is driving shoppers' choices and purchase decisions.

The options for integrating physical and digital channels are shown in Figure 4.14. The online revenue contribution typically increases through time. It is informed by the customer demand analysis of propensity to purchase or reserve a particular type of product via online channels. If the objective is to achieve a high online revenue contribution of greater than 70 per cent then this will require fundamental change for the company to transform to a **clicks-and-mortar** or **clicks-only (internet pureplay)** company.

Figure4.14

The continuum of strategic options for a company in relation to the importance of the internet as a consumer channel



Source: Adapted from Dholakia et al. (2010)

Digital marketing insight 4.3 gives examples of how retailers have developed their digital channel strategies to support mixed-mode buying.

Digital marketing insight 4.3

Retail digital channels and mixed-mode buying

The increasing popularity of online purchase has encouraged businesses to offer new options for online purchase. FT.com (2024) reports that online sales are predicted to command 41 per cent of the global retail market by 2027, up from 18 per cent in 2017. They note that this figure is skewed by markets in Asia-Pacific – notably China where 59 per cent of sales are online compared to 15 per cent of US retail sales and 27 per cent of UK sales already come from digital transactions. Retailers have devised new operational

strategies that incorporate their operations and digital technology to meet consumer needs for online purchase and mixed-mode buying. For example:

- *Bricks-and-clicks retailers* (involves multichannel retailers who traditionally sold from physical stores that now offer e-commerce sales). The digital channel is integrated into their businesses either strategically or tactically as a marketing tool or a sales channel to support **mixed-mode buying**. In the United Kingdom, the majority of major high-street brands use this type of multichannel approach, including next.co.uk, sainsburys.co.uk and specsavers.co.uk.
- *Clicks-and-mortar retailers* (involves online retailers developing a physical store). For example, Oak Furnitureland™ started with an eBay shop, which was so successful that the company started selling through physical stores. This strategy has enabled growth and the company has become one of the United Kingdom's leading retailers (Found, 2016). Some pureplay retailers are now venturing offline, with Amazon and Zalando™ opening high-street stores following the trend set by manufacturers such as Apple and Samsung™.
- *Pureplay or online retailers* (involves 'click-only' and operating entirely online). While these retailers do not have fixed-location stores they will have physical operational support systems (e.g. distribution warehouses), as is the case with Zalando and ASOS™ (read more in the ASOS case study at the end of this chapter). As a result, retailers are becoming increasingly more creative with how they are using the internet and associated digital technologies to serve the needs of their customers. A high proportion of customers now use multiple channels when making purchase decisions, combining online research with physical store visits (Hart *et al*., 2017).
- *Mixed-mode buying.* The process by which a customer changes between online and offline channels during the buying process, including research online, purchase offline; research offline and purchase online; and click-and-collect.

Research (Hart *et al*., 2017; Stocchi *et al*., 2016) found that on a typical visit to a town centre, consumers refer to multiple digital touchpoints before and during their shopping journeys. Digital marketers should be aware of how their target markets respond to digital

to ensure they maximise opportunities to engage customers at every stage in their journeys.

It is not only retailers that make use of multiple channels to engage their customers – airlines (British Airways™), rail companies (Virgin Trains™), pubs and restaurants (JD Wetherspoons™) use virtual channels (apps, websites, email marketing) to integrate the physical customer experience with the digital to deliver services and communicate with customers.

Decision 7: Multichannel communications strategy

Customer communications channels refer to how an organisation influences its customers to select products and suppliers through the different stages of the buying process through inbound and outbound communications. As part of creating a digital marketing strategy, it is vital to define how the digital integrates with other inbound communications channels used to process customer enquiries and orders, and with outbound channels that use direct marketing to encourage retention and growth or deliver customer service messages. For a retailer, these channels include in-store, contact-centre, web and outbound direct messaging used to communicate with prospects and customers. Some of these channels may be broken down further into different media (e.g. the contact centre may involve inbound phone enquiries, email enquiries or real-time chat). Outbound direct messaging may involve direct mail, email media or web-based personalisation.

The multichannel communications strategy must review different types of customer contact with the company and then determine how online channels will best support these channels. The main types of customer contact and corresponding strategies will typically be:

- inbound sales-related enquiries (customer acquisition or conversion strategy);

- inbound customer-support enquiries (customer service strategy);
- outbound contact strategy (customer retention and development strategy).

For each of these strategies, the most efficient mix and sequence of media to support the business objectives must be determined. Typically, the short-term objective will be conversion to outcome such as sale or satisfactorily resolved service enquiry in the shortest possible time with the minimum cost. However, longer-term objectives of customer loyalty and growth also need to be considered. If the initial experience is efficient, but unsatisfactory to the customer, then they may not remain a customer!

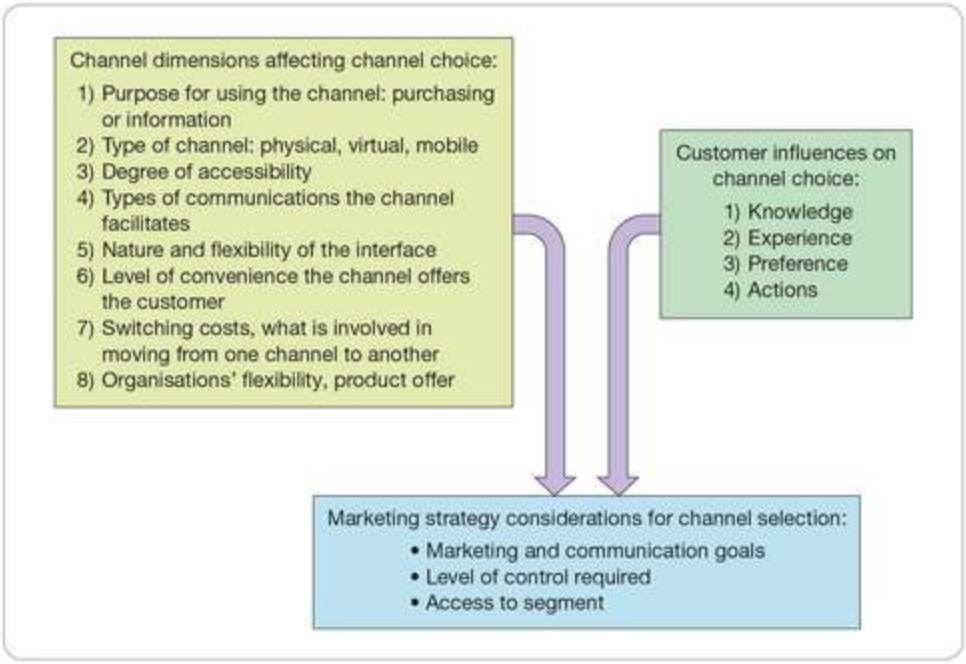
The multichannel communications strategy must assess the balance between:

- *Customer channel preferences.* Some customers will prefer online channels for product selection or making enquiries while others will prefer traditional channels.
- *Organisation channel preferences.* Traditional channels tend to be more expensive to service than digital channels for the company; however, it is important to assess effectiveness and the ability of channels to convert the customer to sale (e.g. a customer who responds to a TV ad to buy car insurance may be more likely to purchase if they enquire by phone in comparison to web enquiry) or

in developing customer loyalty (the personal touch available through face-to-face or phone contact may result in a better experience for some customers, which engenders loyalty).

Figure4.15

Influences on customers of multichannel decision making



Source: Adapted from Dholakia et al. (2010)

Figure 4.15 is based on the work of Dholakia *et al*. (2010), who suggested that there are eight dimensions to consider when making channel choice. This figure shows these dimensions and suggests the factors that affect consumer decision-making. The channel dimensions have implications for planning and point to key decision areas for an organisation that is developing its channel and communication strategies. For example, dimension 3 – accessibility – is becoming increasingly important with the

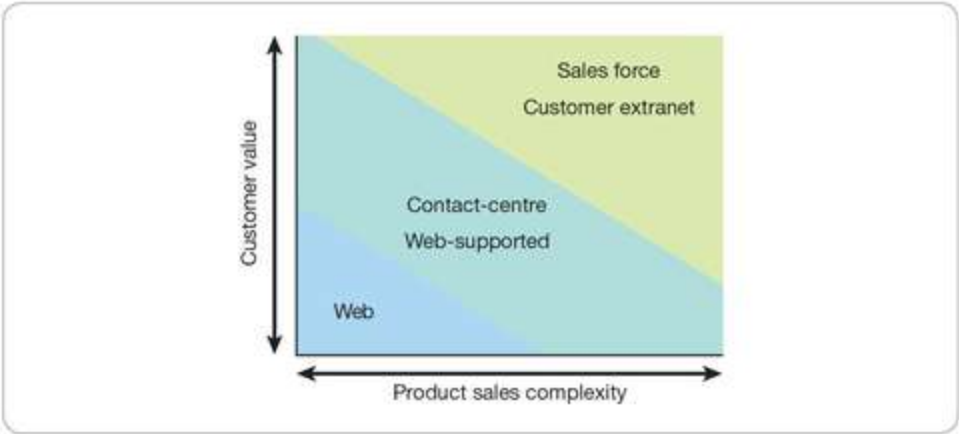
widespread adoption of wireless technology and mobile phones; dimension 5 – flexibility of the interface – some channels offer limited flexibility whereas others can be instantaneously tailored (e.g. advertising, which through emotion recognition software can potentially provide a personal message as a customer passes by an outdoor billboard).

Multichannel communications strategy needs to specify the extent of communications choices made available to customers and the degree to which a company uses different channels to communicate with particular customer segments (Figure 4.16). Deciding on the best combination of channels is a complex challenge for organisations. Consider your mobile phone company – when purchasing you may make your decision about handset and network supplier in-store, on the web or through phoning the contact centre. Any of these contact points may be either direct with the network provider or through a retail intermediary. After purchase, if you have support questions about billing, handset upgrades or new tariffs you may again use any of these touchpoints to resolve your questions. Managing this multichannel challenge is vital for the phone company for two reasons, both concerned with customer retention. First, the experience delivered through these channels is vital to the customer's decision as to whether to remain with the network supplier when their contract expires – price is not the only consideration. Second, outbound communications delivered via website, email, direct mail and phone are critical to getting the customer to stay with the company, by recommending the most appropriate tariff and handset with appropriate promotions, but which is

the most appropriate mix of channels for the company (each channel has a different level of cost-effectiveness for customers that contributes different levels of value to the customer) and the customer (each customer will have a preference for the combinations of channels they will use for different decisions)?

Figure4.16

Channel coverage map showing the company's preferred strategy for communications with different customer segments with different value



Decision 8: Online communications mix and budget

The decision on the amount of spending on online communications and the mix between the different communications techniques such as search engine marketing, affiliate marketing, email marketing and online advertising closely relates to Decision 6. In **Chapters 2** and **3** we discussed the changes in levels of adoption of different channels and media, and these changes have a cascade effect in terms of implications for planning the communication mix.

Making these decisions requires digital marketers to decide the focus of their communications and whether the primary purpose is customer acquisition, retention or relationship building.

In the case of e-commerce operations, Agrawal *et al*. (2001) suggest that success can be modelled and controlled based on the customer lifecycle of customer relationship management. They suggest using a scorecard, which is based on **performance drivers** or critical success factors, e.g. costs for acquisition and retention, conversion rates of visitors to buyers to repeat buyers, together with churn rates. There are three main parts to their scorecard:

1. *Attraction.* Size of visitor base, visitor acquisition cost and visitor advertising revenue (e.g. media sites).

2. *Conversion.* Customer base, customer acquisition costs, customer conversion rate, number of transactions per customer, revenue per transaction, revenue per customer, customer gross income, customer maintenance cost, customer operating income, customer churn rate and customer operating income before marketing spending.
3. *Retention.* This uses similar measures to those for conversion customers.

We will return to this topic in **Chapter 8**, where we will review the balance between **campaign-based communications** and always-on communications. Campaign-based digital communications are often tied into a particular event such as the launch or relaunch of a website or a product – e.g. an online advertising campaign may last for a period of two months following a site relaunch, or for a five-month period around a new product launch. Always-on communications investments in inbound marketing techniques should be continuous, to meet continuous interest in products from consumers searching for them online.

Companies wishing to advertise using digital channels are also making changes; they are having to invest in new staff with the required skills to

understand the new media and many established brand images need to be changed to succeed online.

Organisational issues of strategy implementation

The 7Ss are a simple useful framework for reviewing an organisation's existing and future capabilities to meet the challenges posed by the new digital channels, and some of the aspects of these challenges are shown in Table 4.7.

Table4.7

Summary of some of the organisational challenges of digital marketing that need to be managed in the context of the 7S framework

Element of 7S model	Application to digital marketing strategy	Key issues from practice an
Strategy	The significance of digital marketing in influencing and supporting the organisation's strategy	Gaining appropriate budgets a demonstrating/delivering valu from budgets. Annual planning
		Techniques for using digital m impact organisation strategy
		Techniques for aligning digital with organisational and marke
Structure	The modification of organisational structure to support digital marketing	Integration of digital marketin commerce teams with other m marketing (corporate commun brand marketing, direct marke staff
		Use of cross-functional teams groups

		Insourcing vs outsourcing
Systems	The development of specific processes, procedures or information systems to support digital marketing	Campaign planning approach -
		Managing/sharing customer in
		Managing content quality
		Unified reporting of digital ma effectiveness
		In-house vs external best-of-br external integrated technology
Staff	The breakdown of staff in terms of their background and characteristics such as IT vs marketing, use of contractors/consultants, age and sex	Insourcing vs outsourcing
		Achieving senior management in/involvement with digital ma
		Staff recruitment and retention working
		Staff development and training
Style	Includes both the way in which key managers behave in achieving the organisation's goals and the cultural style of the organisation as a whole	Relates to role of digital marke influencing strategy – is it dyn influential or conservative and a voice?
Skills	Distinctive capabilities of key staff, but can be interpreted as specific skill sets of team members	Staff skills in specific areas: su selection, project management management, specific e-marke approaches (SEO, PPC, affilia marketing, email marketing, or advertising)
Superordinate goals	The guiding concepts of the digital marketing organisation, which are also part of shared values and	Improving the perception of th importance and effectiveness o marketing team among other s

	culture. The internal and external perception of these goals may vary	managers and staff (marketing and IT)

Source: Chaffey (2005)

You may have encountered the 7S framework, summarised by Waterman *et al*. (1980) and developed by McKinsey and Company consultants in the 1980s. It is often referenced when referring to the management of a business. Dave Chaffey has summarised some of the strategic resource management issues that require consideration, as shown in Table 4.7. These remain relevant factors for organisations to review today since many businesses are still undertaking digital transformation programmes.

Wu *et al.* (2024) have reviewed the impact of different organisational factors in determining digital marketing effectiveness. In a study of SMEs based in Taiwan they test a model of characteristics such as innovativeness, proactiveness, organisational agility and managerial capabilities in relation to an organisation's strategy. They conclude that their study demonstrates that innovativeness, proactiveness and managerial capabilities play a pivotal role in influencing the adoption of DM strategies, and additionally, the adoption of DM strategies has a discernible impact on organisational performance.

Subsequent chapters in this text cover strategy implementation in more detail:

- **Chapter 5** – options for digital branding and varying the marketing mix in the digital environment.
- **Chapter 6** – implementing customer relationship management.
- **Chapter 7** – delivering online services and developing digital experiences via websites, mobile apps and virtual reality.
- **Chapters 8** and **9** – interactive marketing communications and digital media channel best practices.
- **Chapter 10** – evaluation using analytics and maintaining the online presence.

In each of these areas, such as CRM or development of website functionality, it is common that different initiatives will compete for budget. The next section reviews techniques for prioritising these projects and deciding on the best portfolio of e-commerce applications.

Assessing different digital initiatives including marketing technology

A further organisational capability or governance issue is the decision about prioritising different systems for implementing marketing applications. Typically, there will be a range of alternative strategic initiatives competing for budgets, many of which have a high marketing technology component. Limited resources will dictate that only some applications are practical and a long-term roadmap may be needed to prioritise them.

Portfolio analysis can be used to select the most suitable initiatives or projects. For example, Daniel *et al*. (2001) suggest that potential e-commerce opportunities should be assessed for the value of the opportunity to the company against its ability to deliver. Typical opportunities for strategic digital marketing initiatives for an organisation that has a simple, static site might be:

- content management systems or online catalogue facility;
- CRM system – lead generation and inbound marketing system;
- CRM system – customer service management;

- CRM system – personalisation of content and promotion recommendations for users;
- partner relationship management extranet for distributors or agents;
- transactional e-commerce facility.

The full range of marketing technology options are covered in **Chapter 10**. Such alternatives can be evaluated in terms of their risk against reward.

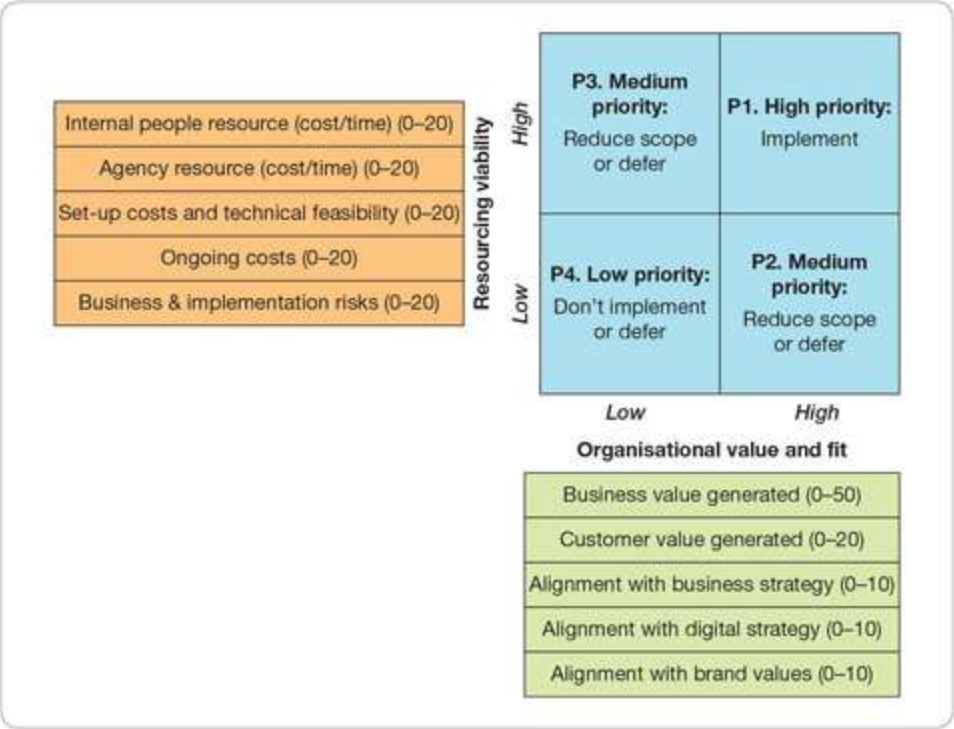
For information systems investments, the model of McFarlan (1984) has been used extensively to assess the future strategic importance of applications in a portfolio. This model has been applied to the e-commerce applications by Daniel *et al*. (2008) and Chaffey (2019). Potential e-commerce applications can be assessed as one of the following categories:

- *Key operational:* essential to remain competitive. Example: partner relationship management extranet for distributors or agents.
- *Support:* deliver improved performance, but not critical to strategy. Example: e-CRM system – personalisation of content for users.
- *High-potential:* may be important for achieving future success. Example: e-CRM system – customer service management.
- *Strategic:* critical to future business strategy. Example: e-CRM system – lead generation system is vital to developing new

business.

Figure4.17

Matrix for evaluating digital marketing business investment alternatives



Tjan (2001) suggested a matrix approach of viability (return on investment) against fit (with the organisation's capabilities) for digital applications that remains representative of the decision-making process many organisations follow. Viability is ideally based on a quantitative business case assessment of the value of a new application that will be generated through increasing conversion and retention rates. Fit is a more subjective measure based on the ease of implementation given the fit of an application with an organisation's existing processes, capabilities and culture.

Our recommendation for a form of portfolio analysis is shown in Figure 4.17 as the basis for benchmarking current e-commerce capabilities and identifying strategic priorities. The five criteria used for organisational value and fit (together with a score or rating for their relative effectiveness) are:

- *Business value generated (0–50).* This should be based on *incremental* financial benefits of the project. It can be based on conversion models showing estimated changes in number of visitors attracted (new and repeat customers), conversion rates and results produced. Consideration of lifetime value should occur here.
- *Customer value generated (0–20).* This is a 'softer' measure that assesses the impact of the delivered project on customer sentiment, for example would they be more or less likely to recommend a site, would it increase their likelihood to visit or buy again?
- *Alignment with business strategy (0–10).* Projects that directly support current business goals should be given additional weighting.
- *Alignment with digital strategy (0–10).* Likewise for digital strategy.
- *Alignment with brand values (0–10).* And for brand values.

The cost elements for potential e-business projects are based on requirements for internal people resource (cost/time), agency resource

(cost/time), set-up costs and technical feasibility, ongoing costs and business and implementation risks.

The online lifecycle management grid

Earlier in the chapter, in the section on objective setting, we reviewed different frameworks for identifying objectives and metrics to assess whether they are achieved. We consider the online lifecycle management grid at this point since Table 4.8 acts as a good summary that integrates objectives, strategies and tactics across the RACE lifecycle management framework. It can be used to select the most relevant performance metrics to track digital marketing contribution and performance on a digital marketing dashboard. It forms a summary of how to track the effectiveness of digital marketing strategies and tactics.

The columns isolate the key performance areas of site visitor acquisition, conversion to opportunity, conversion to sale and retention across RACE. The rows isolate more detailed metrics such as the tracking metrics and performance drivers from higher-level metrics such as the customer-centric key performance indicators (KPIs) and business-value KPIs.

In the bottom two rows of the table we have added typical strategies and tactics used to achieve objectives, which summarise the relationship between common digital objectives and techniques to achieve these objectives:

- *Online targeted reach strategy*. The aim is to communicate with relevant audiences online to achieve communications objectives.

The communications commonly include campaign communications such as online advertising, PR, email, viral campaigns and continuous always-on communications such as search engine marketing or sponsorship or partnership arrangements. The strategy may involve: (1) driving new, potential customers to the company site, social pages or mobile apps; (2) migrating existing customers to use online channels; or (3) achieving reach to enhance brand awareness, favourability and purchase intent through ads, influencer marketing and sponsorships on third-party sites. Building brand awareness, favourability and purchase intent on third-party sites may be a more effective strategy for low-involvement FMCG brands where it will be difficult to encourage visitors to the site.

- *Offline targeted reach strategy.* The objective is to encourage potential customers to use online channels, i.e. visit websites and transact or download apps where relevant. The strategy is to communicate with selected customer segments offline through direct mail, advertising, PR and sponsorship.
- *Online value proposition strategy.* Defines the digital value proposition for acquisition and retention to engage with customers online. Includes content, experience and promotional incentives used to encourage trial.
- *Online sales efficiency strategy.* The objective is to convert site visitors to engage and become leads (e.g. through registering for an

e-newsletter or placing the first item in the shopping basket) and to convert them to buy products and maximise the purchase transaction value using nurturing and personalisation, optimised through a structured testing programme.

- *Offline sales impact strategy.* The aim is to achieve offline sales or click-and-collect transactions from new or existing customers. Strategy defines how online communications through the website and email can influence sales offline, i.e. by phone, mail order or in-store. For B2B companies that don't transact online, digital channels are aimed at developing sales conversations with business development staff.

Table4.8

Online performance management grid for an e-retailer

Metric and growth	Reach	Act	Conversion to sale	Cu eng
Tracking metrics	Unique visitors	Opportunity volume	Sales volume	Email l
	New visitors			Email r quality
	Conversation volume			
Performance drivers (diagnostics)	Bounce rate	Macro-conversion rate to lead or opportu-nity and micro-conversion efficiency	Conversion rate to sale	Active (%) (sit active)
	Conversion rate: new visit to start		Email conversion rate	Repeat rate for

	quote			purchas
	Brand/direct visits			
Customer-centric KPIs	Cost-per-click and per-sale	Cost-per-lead	Cost-per-sale	Lifetim
	Brand awareness	Customer satisfac-tion	Customer satisfaction	Custom index a
	Conversation polarity (sentiment)		Average order value (AOV)	Product custom
Business-value KPIs	Audience share	Online product requests (n, £, % of total)	Online originated sales (n, £, % of total)	Retaine growth
	Share of voice			
Strategy	Online targeted reach strategy	Lead generation strategy	Online sales generation	Retenti custom strategy
	Offline targeted reach strategy		Offline sales impact strategy	
Tactics	‘Always-on’ continuous communications mix	Usability	Usability	Databas quality
	Campaign communica-tions mix	Personalisation	Personalisation	Targeti
	Online value proposition	Inbound contact strategy (customer service)	Inbound contact strategy (customer service)	Outbou strategy
			Merchandising	Persona

			Triggered emails	

Note: Conversation polarity refers to assessing positive vs negative sentiment through social media listening.

Source: Neil Mason's Applied Insights acquisition, conversion, retention approach to the Smart Insights Reach, Act, Convert, Engage framework introduced in Chapter 1.

Case study 4.1 gives an example of how one business has rapidly developed a new B2B proposition which has been adopted worldwide. It gives an example of summarizing a strategy using the SOSTAC® framework discussed earlier in the chapter. This case study is structured within the 6 steps of the SOSTAC® strategy process detailed in PR Smith, 2022.

PR Smith(2022) SOSTAC® Guide to your Perfect Digital Marketing Plan. Self-published by PR Smith. Details available from https://prsmith.org/sostac/ .

Case study 4.1

How Slack introduced a new B2B service and gained a $billion valuation

Context

Slack, the workplace communication tool, has emerged as a significant player in the market of collaboration and communication tools, fundamentally changing how organisational teams collaborate. Thanks to its intuitive interface, robust features and strong emphasis on user experience, Slack swiftly became the preferred platform for organisations worldwide with over 77 per cent of Fortune 100 companies trusting Slack as their communication tools (Shah, 2024). With a global presence spanning over 150 countries and serving more than 200,000 paid customers, Slack boasts a substantial daily active user base of 280 million as of 2023. It achieved a remarkable billion-dollar valuation within just 8 months of its 2014 launch, leading to a market evaluation of $26.51 billion in 2023.

Slack's rapid ascent exemplifies the effectiveness of a user-centric market strategy coupled with relentless innovation. Its growth

trajectory and widespread adoption underscore valuable insights into how innovative market approaches can propel a company to leadership in the competitive landscape of collaboration and communication tools. Slack's mission, ‘To make work life simpler, more pleasant and more productive,’ underscores its dedication to enhancing workplace efficiency. Positioned as an AI-powered workspace, Slack integrates conversations, applications and customer interactions into a unified hub, driving productivity and growth across businesses of all sizes. Unlike traditional email systems, Slack offers instant communication capabilities – from group messaging to one-on-one interactions – significantly reducing reliance on meetings and emails by 27 per cent and 32 per cent, respectively (EnterpriseAppsToday). Importantly, its platform that promotes inclusivity allows users to remain informed about the information circled around the group without the need for scrolling through emails to find the relevant information. This optimised user experience addresses a critical problem in relation to employee’s work efficiency within large teams in the workplace.

In this case study, we examine Slack’s marketing strategy from the lens of the SOSTAC framework to help you identify how this billion-dollar company created a successful marketing strategy using the effective steps of building marketing strategies.

Situation analysis

Slack's digital strategy is deeply rooted in addressing a pervasive challenge faced by many teams: communication overload. In today's fast-paced work environments, teams often struggle with fragmented communication across various platforms, leading to inefficiencies and information silos. Following careful examination of the customer’s pain points and SWOT analysis of the competition, Slack identified several critical problems that were prevalent in workplace communication and collaboration:

- *Communication fragmentation:* Teams often communicated through multiple channels such as emails, instant messaging apps, project management tools and face-to-face meetings. This fragmentation led to information silos, where important updates and discussions were dispersed across various platforms, making it difficult for team members to stay informed and aligned.
- *Information overload*: The sheer volume of messages, notifications and emails inundated team members, causing distractions and reducing productivity. Employees struggled to prioritise important communications amidst the flood of incoming messages, leading to missed deadlines, misunderstandings and inefficiencies in decision-making.

- *Lack of integration*: Many existing tools and platforms operated in isolation, requiring users to switch between different applications to access information, share files and communicate with team members. This lack of integration hindered workflow continuity and added complexity to daily operations, slowing down project timelines and increasing administrative overhead.
- *Difficulty in collaboration*: Traditional methods of collaboration, such as email threads and file-sharing platforms, often lacked real-time interaction capabilities and effective project management features. This hindered teamwork, as team members faced challenges in coordinating tasks, tracking progress and accessing shared resources seamlessly.
- *User experience challenges:* Existing communication tools were often clunky, unintuitive and lacked user-friendly interfaces. This resulted in resistance to adoption among team members, especially those accustomed to more modern consumer apps that offered intuitive design and seamless user experiences.

Recognising the gaps in the marketplace, Slack positioned itself as a solution that streamlines communication, organises projects, and integrates essential applications into a single cohesive platform. The platform allows users to consolidate their communications,

reducing the need to switch between multiple tools and minimising distractions. This centralisation not only enhances productivity but also fosters collaboration by providing teams with a unified space to interact, share files and manage tasks efficiently. Moreover, Slack's transforms how teams collaborate by offering features that facilitate real-time messaging, project management and seamless integration with other business applications. This comprehensive approach addresses the fundamental challenges of modern workplace communication, making Slack a strategic solution for organisations striving to enhance efficiency and teamwork.

Objectives

Following the identification of its value propositions, Slack developed that its core marketing objectives around ‘serving’ the customer and ‘saving’ its transactional costs. ‘Serve’ and ‘Save’ objectives are part of the 5S objectives of digital marketing, referring to the strategic goals of serving customer needs effectively and efficiently (serve), while also saving costs or improving efficiency in operations (save). These objectives are crucial in defining how a company's strategy aligns with meeting customer demands and optimising internal processes.

Slack's objectives align closely with the serve and save framework in the SOSTAC model, focusing on enhancing transparency and centralisation within organisational communications.

First, Slack revolutionised organisational communication by providing a platform where teams could not only see what their colleagues across departments were working on but also access a comprehensive record of all project-related communications. This transparency improved collaboration, reduced duplication of efforts and facilitated better project management across departments, thus serving the objective of enhancing organisational efficiency and communication clarity. Second, Slack centralised communication tools and resources into a single platform as employees juggled multiple tools such as email for formal communication, file-sharing platforms like Dropbox and various messaging apps for team interactions. Slack consolidated these functions into one interface, allowing users to communicate, share files and manage projects seamlessly within the same application. This centralisation minimised the need for switching between different tools, reduced distraction from notifications and streamlined workflows, thereby saving time and improving productivity across the organisation.

Through correcting aligning its objectives to customer needs, Slack not only served the need for efficient communication and collaboration but also saved operational costs associated with managing multiple communication tools. These initiatives were instrumental in solidifying Slack's position as a leader in the collaboration and communication tools market, demonstrating its

commitment to meeting user needs while optimising organisational efficiency.

Strategy

Targeting the right customer segment was central to the success of Slack’s marketing strategy. Slack identified that the main beneficiaries of this platform are team managers working in cross-organisational projects. Teams often face significant bottlenecks in project workflows, leading to wasted time and hindered productivity. Recognising that executives prioritise outcomes and efficiency, Slack understood that by empowering teams with better communication tools, the resulting improvements in project delivery and time management would resonate positively at the executive level.

To target the right customers for the platform, Slack's strategy diverged from traditional approaches by adopting a bottom-up approach, focusing on team managers rather than top-level executives. This approach entails targeting users or mid-level managers within organisations first, allowing for organic adoption of the platform without the need for extensive approvals from senior management. By engaging directly with team leaders, Slack leveraged the economic accessibility of its application to gain traction swiftly within companies, navigating corporate hierarchies in a more fluid and natural manner. As team managers and

individual users experienced the tangible benefits from using Slack, they would become advocates for its adoption upward within their organisations, reinforcing its value proposition and paving the way for broader organisational acceptance.

Tactics

Thriving with customer experience

Fundamental to its strategy, Slack emphasised the importance of providing superior experiences to its clients to ensure the success of its platform. Customer experience (CX) refers to the overall perception a customer has of a company based on their interactions throughout the customer journey (Verhoef *et al.*, 2009). It encompasses every touchpoint and interaction, from initial awareness through to post-purchase support (Lemon and Verhoef, 2016). A positive customer experience is crucial for fostering loyalty, satisfaction and advocacy, ultimately driving business growth. Slack prioritised customer experience as a cornerstone of its strategy, leveraging user feedback to continuously improve its platform and services. From the outset, Slack founders Stewart Butterfield, actively solicited and listened to user feedback, viewing it as a critical aspect of its marketing mix:

> ‘Sometimes you will get feedback that is contrary to your vision,’ Butterfield says. ‘You may be trying to drive in a

> particular direction that people don’t necessarily understand at first. In our case, we knew the users we had in mind for this product. So in the early days, we looked at our customers, really just testers at that point, and we paid extra attention to the teams we knew should be using Slack successfully.’

Slack's commitment to responsiveness was evident in their approach to customer support. They ensured that every email received a reply and treated every help ticket as an opportunity to enhance service and strengthen customer loyalty. This proactive engagement not only resolved immediate issues but also built trust and loyalty among users. By iterating based on user feedback, Slack enhanced its platform's functionality and usability, aligning product development with user needs and preferences. This iterative process allowed Slack’s platform to stay agile and responsive to market demands, contributing to its rapid growth and widespread adoption. Butterfield says that even these early criticisms were welcome, because ‘every customer interaction is a marketing opportunity. If you go above and beyond on the customer service side, people are much more likely to recommend you’.

Personalised marketing offer

Slack operates on a robust subscription-based model complemented by a freemium offering, catering to a wide range of organisational needs and preferences. Understanding the challenges of financial investment in communication softwares, Slack understood the need for business to try the benefits of the platform, then offer a tailored subscription package to clients according to their experience with the freemium model. Initially, Slack's freemium service allows users to access a basic version of its platform at no cost, providing essential communication and collaboration tools. This strategy not only attracts a broad user base but also serves as a pivotal entry point for potential customers to experience Slack's capabilities firsthand without financial commitment. Upon their feedback, Slack's team offer clients the opportunity to subscribe to one of its client-centred plans: Pro Plan, Business + Plan, Enterprise Grid. The features of each category vary in terms of uptime, security protocols, personalisation policies and customer support.

Slack's personalised subscription-based model seamlessly integrates with its freemium strategy by offering a clear upgrade path from the free tier to premium plans whilst maintaining customers' financial interest at heart. This approach not only encourages initial adoption through the free service but also facilitates upselling opportunities as organisations recognise the value and scalability of Slack's paid offerings. This tactic was

pivotal for Slack’s accelerated success in the market ahead of its competition due to its customer first strategy that leverages on personalisation as an effective tool for customer retention.

Actions

Slack capitalised on its customer journey touchpoints to ensure that they successfully communicate the value proposition of the platform. They integrated a mix of owned, earned and paid media to generate traffic through direct access, organic search and referrals is a clear demonstration of a strong brand, effective word-of-mouth marketing and excellent search engine visibility. This combination of brand recognition and effective SEO strategies has been key to its growth.

Earned media – WOM marketing

Slack's digital strategy is intricately woven with the power of word-of-mouth marketing, recognised as one of the most influential and cost-effective methods for expanding its user base (Ngramnwongnoi *et al*., 2020). Word-of-mouth marketing refers to the organic spread of information about a product or service through personal interactions and recommendations. It leverages the trust and credibility that individuals place in the opinions of their peers, making it a potent tool for brand advocacy and customer acquisition (Erkan and Evans, 2016). Central to this strategy is Slack's proactive encouragement of its existing users to

invite colleagues, friends and partners to join the platform. Incentives such as free features, credits and discounts further motivate users to advocate for Slack within their networks, amplifying its reach and impact.

Genuine endorsements from peers, coupled with positive reviews and testimonials, played a pivotal role in driving rapid adoption and widespread acceptance of Slack among businesses and teams globally. This strategy harnesses the authenticity and trust inherent in personal recommendations, thereby accelerating Slack's organic growth trajectory. According to Slack's CEO Butterfield, 'begging and cajoling friends at other companies,' including Cozy and Rdio, to try Slack helped them to gain the right feedback from customers, while generating the right leads for the business:

> 'Rdio, in particular, was much bigger than us. They used it with a small group of front-end developers for a while but then it spread to the whole engineering group and then to all 120 people in the company. … Suddenly we saw what the product looked like from the perspective of a much larger team, and it was pretty gnarly.'

This early phase not only facilitated crucial product feedback but also generated anticipation and awareness ahead of its official

launch. The response was overwhelming: during the preview phase, the opportunity to request invitations attracted 8,000 users on the first day and 15,000 within two weeks. This momentum continued post-launch, with Slack quickly amassing 285,000 daily active users within a year and surpassing the one-million-user milestone the subsequent year. Slack's pioneering approach to word-of-mouth marketing, supported by a robust community engagement strategy and strategic beta testing, cemented its reputation as the fastest-growing business application in history.

Paid media – communicating where they slack

Lemon and Verhoef (2016) highlight that the customer journey refers to the process a potential customer goes through from awareness of a product or service to making a purchase decision and becoming a loyal advocate. Slack followed the stages of the decision-making process to identify where customers are likely to engage with Slack:

- *Awareness*: This is the stage where potential customers first become aware of Slack's collaboration and communication platform. They might encounter Slack through various channels such as social media (Twitter, YouTube, Instagram, Facebook), search engines, or word-of-mouth recommendations.

- *Consideration*: Once aware of Slack, potential customers enter the consideration stage. Here, they evaluate Slack's features, benefits and how it addresses their communication and collaboration needs compared to alternatives. This stage often involves researching online, reading reviews and exploring Slack's website and content.
- *Decision*: In the decision stage, potential customers decide whether to purchase Slack's services. Factors influencing this decision include pricing, features, customer testimonials and the perceived value Slack offers in streamlining communication and enhancing productivity.
- *Purchase*: At this stage, the customer commits to purchasing Slack's services, either through signing up for a subscription or implementing Slack within their organisation.
- *Post-purchase:* After purchasing Slack, customers enter the post-purchase stage. Here, Slack aims to enhance customer satisfaction, encourage product adoption and foster loyalty. This stage is critical for retaining customers and encouraging them to become advocates for Slack within their own networks.

Given the above, Slack effectively communicates with customers across various channels in the B2B domain, tailored to each platform's strengths and audience preferences. For instance, on

social media: Slack maintains a diverse presence on key platforms such as Instagram, LinkedIn, Twitter, YouTube and Facebook. Each platform serves a specific purpose: on Instagram, Slack focuses on branding with visually appealing content; LinkedIn adopts a professional tone, showcasing work culture and thought leadership; Twitter emphasises customer service and engagement; YouTube provides informative and engaging content through videos; and Facebook ensures consistent audience interaction.

Additionally, Slack demonstrates a deep understanding of its users' needs through targeted email marketing campaigns. They nurture prospects with informative and visually appealing emails that highlight product features, customer success stories and industry insights. This approach helps maintain customer engagement and educates prospects throughout their journey.

At its core, Slack’s content strategy is tailored to the needs of customers from each platform. Slack's ‘Customer Stories’ page and extensive resource library on its website play crucial roles in enhancing the customer experience. These resources include blogs, guides, reports and ebooks that provide valuable insights, best practices and use cases. Through these strategic communication channels, Slack effectively engages with its B2B audience at every stage of the customer journey.

Control

In the competitive landscape of Software as a Service (SaaS), Slack has strategically implemented control mechanisms centered around key metrics and continuous development to drive user engagement and retention.

- *Establishing key metrics*: Slack has identified a pivotal metric for user engagement: the exchange of 2,000 messages. As Butterfield indicated, this metric serves as a threshold beyond which users are more likely to continue actively using the platform. This ‘magic number’ not only gauges user interaction but also informs Slack's strategy to enhance engagement. Slack carefully examines this metric and adjust its content marketing communication with its user to promote activities that lead to reaching this milestone. This careful evaluation by Slack motivates users to deepen their integration with the platform, thereby improving retention rates.
- *Continuous development*: From its inception to its current status with millions of daily active users, Slack attributes much of its success to continuous development fueled by user feedback. Embracing a culture of listening, Slack treats every user comment and suggestion as an opportunity for improvement. This proactive approach ensures that each

email and support ticket serves not just to resolve issues but also to gather insights that drive product evolution. Likewise, Slack prioritises product qualified leads (PQLs) over marketing qualified leads (MQLs), focusing on users who have demonstrated significant value through their engagement with the platform. This prioritisation not only enhances user satisfaction but also increases the likelihood of converting these engaged users into loyal paying customers.

Questions

1. Investigate the effect of superior customer experience as a digital marketing strategy in the success of Slack.
2. Considering the control phase of the SOSTAC platform, what other digital marketing metrics should Slack take into account to maintain and grow its success?
3. Explore the role of the customer journey in helping Slack identify the correct channels to target leads and communicate with clients.

Summary

1. A digital marketing strategy defines priorities for investment in strategic initiatives to meet goals of improving online leads and sales and brand positioning.
2. Digital marketing strategy development should follow a similar form to a traditional strategic marketing planning process and should include:

- goal setting;
- situation analysis;
- strategy formulation;
- resource allocation and monitoring.

A feedback loop should be established to ensure the site is monitored and modifications are fed back into the strategy development.

3. Strategic goal setting should involve:

- setting business objectives that digital media and channels can help achieve;

- assessing and stating the contribution that digital will make to the business in the future, both as a proportion of revenue and in terms of whether digital will complement or replace other media;
- stating the full range of business benefits that are sought, such as improved corporate image, cost reduction, more leads and sales and improved customer service.

4. The situation analysis will include assessing digital marketing capabilities including internal digital communications effectiveness, processes and resources.
5. Strategy formulation involves defining a company's commitment to digital, setting an appropriate value proposition for customers and identifying the role of the digital channels in exploiting new markets, marketplaces and distribution channels and in delivering new products and services. In summary:

- Decision 1: Market and product development strategies.
- Decision 2: Business and revenue models strategies.
- Decision 3: Target market strategy.
- Decision 4: Positioning and differentiation strategy (including the marketing mix).

- Decision 5: Customer engagement and social media strategy.
- Decision 6: Multichannel distribution strategy.
- Decision 7: Multichannel communications strategy.
- Decision 8: Online communications mix and budget.

6. The McKinsey 7Ss provide a useful framework for reviewing organisational issues that are important to implementing digital strategies as part of digital transformation. These are: Strategy, Structure, Systems, Staff, Style, Skills and Superordinate goals.

Exercises

Self-assessment exercises

1. How does a digital market strategy integrate with corporate and marketing strategies?
2. What is the role of monitoring in the strategic planning process?
3. Summarise the main tangible and intangible business benefits of digital channels to a company.
4. What is the purpose of a digital marketing audit? What should it involve?

5. What does a company need in order to be able to state clearly in its mission statement its strategic position relative to the internet?
6. What are the market and product positioning opportunities offered by digital channels?

Exam and discussion questions

1. Discuss the frequency with which a digital marketing strategy should be updated for a company to remain competitive.
2. Explain the essential elements of a digital marketing strategy.
3. Discuss the extent to which the eight key strategy decisions are important to a new online retail business.
4. The digital environment is disruptive, volatile and highly susceptible to change. Strategy involves long-term planning and future resource allocation. Discuss the conflicts raised by these two statements for a firm planning its future digital strategy.
5. Suggest how to develop a target marketing strategy for a digital marketing campaign for a takeaway fast-food business.
6. How should a business formulate a plan to assess the relevance of marketing technologies including AI to meeting digital communications objectives.
7. Explain what is meant by the online value proposition and give two examples of the value proposition for online businesses of your choice.
8. Imagine you are the marketing director for a high-street fashion retailer:

- suggest how you would integrate digital media into your marketing strategy;
- outline and justify the objectives you would set for a digital strategy designed to grow the online revenue contribution.

9. For a company of your choice, devise a digital marketing strategy.

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Weblinks

A directory of recommended website links, including recommended videos, analysis tools and sources for statistics, is maintained by Dave Chaffey at The sites for this chapter cover the latest digital trends in different industry sectors.

Chapter 5

Digital branding and the marketing mix

Learning objectives and topics

After reading this chapter, you should be able to:

- Consider branding in a digital marketing context and assess the opportunities for digital brand-building
    - Digital branding
- Apply the elements of the marketing mix in a digital marketing context
    - What is the marketing mix?
    - Digital branding
    - Product in a digital marketing context
    - Price in a digital marketing context
    - Place, channels and distribution in a digital marketing context
    - Promotion and social media in a digital marketing context

- People, process and physical evidence in a digital marketing context

Case study

Case study 5.1 Spotify act global, think local to deliver relevance.

Links to other chapters

This chapter is related to other chapters as follows:

- **Chapter 2** introduces the impact of the internet on market structure and distribution channels.
- **Chapter 3** explores digital consumers and behaviours.
- **Chapter 4** describes how digital marketing strategies can be developed.
- **Chapters 6** and **7** explain the service elements of the mix in more detail.
- Chapter 7 explains how site design can be used to support and enhance brand values.
- **Chapters 8** and **9** explain the promotion elements of the mix in more detail.

Introduction

This chapter discusses the importance of branding and how the traditional **marketing mix** can be applied in a digital marketing context. The chapter builds on key issues associated with digital marketing strategy (in more detail than was possible in **Chapter 4**). As part of our discussion of product we review how digital branding can support how brands are developed. The chapter is structured by introducing the marketing mix, looking at **digital branding** online and then each element of the marketing mix in turn, and reviewing the implications of digital technology. Less coverage is given to the promotional element of the mix as this is the focus of Part 3 of the text, and more specifically **Chapter 9**.

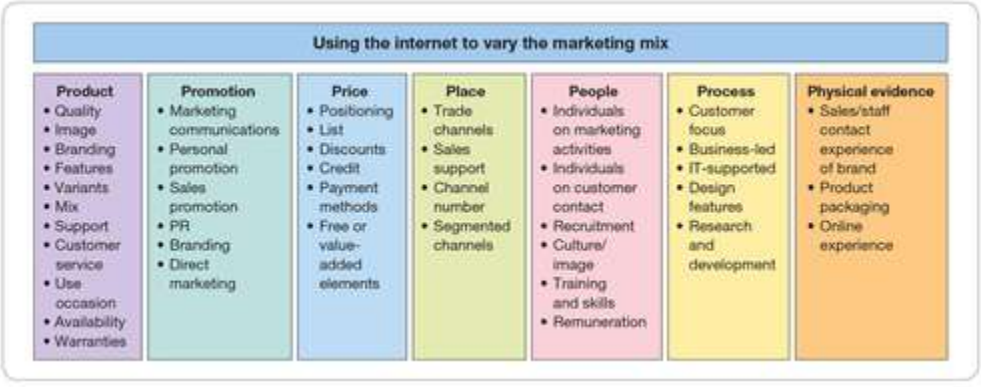
What is the marketing mix?

Marketers will be familiar with the marketing mix, but this introduction is included for context for those digital marketers who are less familiar with the concept. The marketing mix – originally referred to as the 4Ps of product, price, place and promotion – was first proposed by Jerome McCarthy (1960) and is still used as an essential part of formulating and implementing marketing strategy by many practitioners. The popularity of the mix as a guide for the application of marketing techniques is driven by the apparent simplicity of the framework. However, in the 1980s the 4Ps was challenged for not referencing the importance of customer service. The result was that the mix was extended to 7Ps, which includes three further elements (the service mix) that better reflect service delivery: people, process and physical evidence (Booms and Bitner, 1981). A key function of the mix from a strategic marketing perspective is to use elements of the mix to create differential advantage. Differential advantage is when a firm creates added value by varying the mix to stand out from competitors and get noticed by customers (Jobber and Ellis-Chadwick, 2024). For example, Comparethemarket.com helps its customers save time and money when searching for insurance products and financial products, or switching energy providers, by comparing companies to find the best deal. Figure 5.1 shows the 7Ps and lists aspects of each element of the mix that a firm might use to create differential advantage. Marketing thinking is constantly evolving and since 1990 there has been a shift in emphasis in the application of the marketing mix

towards the development of relationship building and value creation. Some writers even argue this is a paradigm shift, altering the underlying marketing philosophy guiding the application of marketing tools and concepts (Berry, 2008), whereas others suggest the move to more relationship-oriented marketing is in response to growing customer demands and increasingly complex technology-driven trading environments (Singh *et al*., 2011). Vargo and Lusch (2004) suggest companies and their customers engage in exchanges which leads to actual value creation. Their work on co-creation of value argues that this can occur at every point where companies and their customers interact. Sanchez *et al*. (2019) found the greater the knowledge of the customer, the more sensitivity a firm can develop when planning promotions, leading to greater added value and stronger competitive resistance. So co-creation of value is an important concept to consider when planning how to apply digital marketing tools and techniques strategically.

Figure5.1

The seven elements of the marketing mix



Digital branding, social media and technology provide many new opportunities for the marketer:

- to vary the application of the marketing mix;
- to develop new routes to delivering competitive and differential advantage;
- to create new market positions;
- to build and service relationships in increasingly innovative ways;
- to cut through the barriers of time and space, and offer continuous and instantaneous access to products and services.

Think about these opportunities while tackling Activity 5.1.

Digital marketing affects all aspects of the traditional and service marketing mix, and in this chapter we explore:

- *Product*: reviewing opportunities for modifying the core or extended product for digital environments.
- *Price:* focusing on the implications for setting prices in digital markets; new pricing models and strategies.
- *Place:* considering the implications for distribution for digital marketing.

- *Promotion:* exploring promotional techniques in advance of more detailed coverage of new techniques in **Chapters 8** and **9**.
- *People, process and physical evidence:* reviewing the principal ideas in advance of more detailed discussion in **Chapters 6**, **7** and **10**, where the focus is on how these elements of the mix relate to customer relationship management and managing an organisation's digital presence.

Activity 5.1

How the marketing mix creates opportunities to gain differential advantage

Purpose

To highlight the scope for applying digital technology as a strategic marketing tool.

Activity

Review Figure 5.1 then consider each of these companies and how they have used elements of the marketing mix to differentiate their brand online and create new market opportunities:

- ASOS – online clothing brand;
- WhatsApp – social media platform;
- Alphabet (Google) – internet search and advertising;

- Airbnb – homestay accommodation;
- Netflix – subscription-based streaming service;
- Amazon Web Services (AWS) – on-demand cloud computing;
- GoDaddy – domain registrar;
- AliExpress – online shopping.

But before we examine each of the elements of the marketing mix, we are going to consider digital branding.

Essential digital skills

Applying the marketing mix to digital marketing

The techniques businesses apply to the marketing mix are sector dependent and are best learned through experience of working in these sectors. To build your knowledge, we recommend you consider the different types of businesses you interact with and think about how they apply marketing to vary their proposition and add value to their brands. Types of businesses to review where you may work in future, as explained in **Chapter 1**, are:

- transactional e-commerce businesses (retail, travel, financial services, distribution);
- relationship-building businesses (such as B2B lead generation) and high-value consumer products, such as health-related products (e.g. laser eye treatment); financial products (e.g. savings and investments);

- consumer brands, some of which may not transact online through their own e-commerce site (e.g. independent specialist food and drink delivery services); or those that may sell direct through an e-commerce site (e.g. clothing, hardware manufacturers) or online marketplace (e.g. Amazon, eBay, Etsy, AliExpress, Taobao);
- content producers, publishers and social networks – companies that can offer digital products such as streaming and downloads have been transformed by digital channels.

Practical ideas to boost employability by showcasing your interests and experiences:

- include benchmarks in your assignment where competitors are compared based on differences in their brand value proposition and online marketing mix;
- explore different frameworks to assess brand identity and digital brand experience (such as WEBQUAL, which is covered in Chapter 7);
- develop copywriting skills that create compelling product descriptions and describe brands in the appropriate tone of voice – see the voice and tone section in the Mailchimp style guide (https://styleguide.mailchimp.com/voice-and-tone/), for example;
- evaluating how brands incorporate interactivity including Generative AI features into their online communications to increase brand engagement. We will consider further examples of this in the next two chapters.

To audit your digital marketing skills across the RACE planning framework, use the Smart Insights Skills Assessment tool available at http://bit.ly/smartdigiskills.

Digital branding

branding is important online as it helps customers differentiate between products and services from different suppliers, manufacturers and producers. Furthermore, branding is how companies set themselves apart from their competitors. Consequently, how a brand is developed and presented online is particularly important because online visitors to website and users of Apps and other digital platforms have limited physical cues to help form an opinion about a company and its services, such as talking to a customer service or sales representative or the ambiance of the physical store. Branding can add value across the supply chain, act as a barrier to competition, increase consumer trust and generate high levels of profitability.

Before examining online brands, let's consider the fundamentals of branding. A brand is far more than the name or logo associated with a company or products. Traditionally, manufacturers and producers develop their products and services into brands in order to create unique market positions in the minds of their customers (Jobber and Ellis-Chadwick, 2024). From a manufacturer's perspective, well-known brands feature in product categories such as laundry liquids, soup, cars and computers. However, all businesses can be considered as brands, can apply branding principles to differentiate their offering and may develop sub-brands for different products and services.

To identify a unique position – within basic categories – a manufacturer builds a brand around the basic core product in order to distinguish their offering from the competition. Unilever™, global manufacturer of many well-known household brands, produces the Persil Laundry detergent brand, while its rival Procter & Gamble™ produces the Ariel Laundry detergent brand. Each of these brands can then be divided into variants, which extend customer choice within the brand and offer opportunity for differentiation from competitors. For example, Persil has introduced Wonder Wash, a short-cycle technologically advanced laundry liquid. In addition to manufacturer brands, there are also own-label brands (e.g. Essential Waitrose), which are brands developed by distributors (in this case UK supermarket Waitrose & Partners). Own-label brands often provide lower-cost alternatives to the customer than the category-leader brands, which are often highly priced.

For physical products, brand producers take the core product, create a brand name and an image, and then augment the product through service, guarantees, design quality, packaging and delivery. Customers can then choose between brands by selecting those that best suit their needs and wants. However, it is not only manufacturers and products that should be concerned with online branding. All businesses are perceived as brands. Developing and maintaining an online presence is increasingly important for all businesses large and small, as the digital elements are increasingly important in governing brand perception. A company’s website, mobile

apps and social media presence all affect the perception of the brand and are part of the brand experience (see **Chapter 7**).

A key concept at the heart of creating a brand is positioning and, according to Jobber and Ellis-Chadwick (2024), ‘creating a unique position in the marketplace involves a careful choice of target market and establishing a clear differential in the minds of the people’. There is value to be gained; brands that are able to get into the minds of the customers contribute to **brand equity**. There are a range of brand elements to consider:

- brand domain – key target markets, where the brand competes;
- brand heritage – the background and culture of the brand;
- brand values – the core characteristics, e.g. price, quality, performance;
- brand assets – distinctive names, symbols, images;
- brand personality – the character of the brand;
- brand reflection – how the customer perceives themselves as a result of buying the brand.

These principles of branding apply online and offline, but online brands increasingly need to ensure integration between the perception of their offer in both digital and physical environments. For example, the supermarket brand Tesco™ developed Tesco.com and has been able to

leverage some advantage from its long-established offline brand to build credibility online. Since 1995, Tesco has grown its online offer into becoming one of the world's largest online grocery retailers and the United Kingdom leads the way in this sector online (Dunning, 2017). The Tesco brand's success can be attributed to maintaining the quality of the service on- and offline by using all the traditional elements of brand building to position Tesco.com. Migrating a brand in the other direction from online to offline offers some challenges, not least because digital brands have to consider how to operate and provide the same levels of service and quality in the physical world. Read Mini case study 5.1 to find out how Amazon is seeking to develop its brand in an offline setting.

For startup and established online brands, the issue of branding is complex. Furthermore, the internet and digital technologies have changed the global brand landscape. Since 1998, online brands have emerged and rapidly become household names, for example, Google, Amazon, eBay, Facebook, TikTok. Digital technology has also brought distinctive features to the online **brand experience** (Morgan-Thomas and Veloutsou, 2013). As discussed, an online brand is similar to its offline counterparts in many ways but, according to Morgan-Thomas and Veloutsou (2013), the major difference is the context in which the customer experiences the brand. Online context tends to be:

Mini case study 5.1

Expansion of an online brand offline



Source: Shachima/Shutterstock

According to Bravo *et al*. (2011), ‘in recent years the offline and online spheres of strategic brand management are becoming more and more interconnected’. Part of the reason for this is that when offline companies decide to sell their product online, they also need to establish the logistical and technical networks to support the operation. However, as companies seek to commercialise their products by using digital channels, the crossover from offline to online can lead to the creation of new online products and extend a brand’s reach to a wider target audience. By operating offline, brands can build value in both environments, by extending their existing brand. For an offline brand, a core reason for expanding online is accessing new markets, adding customer value and

increasing flexibility through the use of multichannels. According to Burt (2010), established brands are ‘getting more, rather than less important’. However, for a brand moving from online to offline, the focus and opportunities are slightly different. Online brands can create awareness for their product and service offers and it may be possible to enhance consumer trust in the online brand (Delgado and Hernandez, 2008). But online brands must get it right if they are to enhance their brand positioning by going offline. Amazon has been experimenting with physical stores using an innovative format: completely automated stores called AmazonGo. The first new concept store opened in Seattle, Washington, USA, in 2016. It had no cashiers or self-service scanners; instead, hidden technology devices were able to record every item a shopper took from the shelves and put into their bags. These items were held in a virtual shopping basket until the shopper had finalised their purchases, then as they exited the store their Amazon account was automatically charged (Wingfield, 2018). But Amazon faced many technical challenges in making this new concept store work, so expansion for their physical stores has made slow progress., In 2021, following more store openings in the United States, the AmazonGo concept store was launched in London, but this was closed two years later. Shoppers are now able to pick groceries in-store and leave without stopping to pay for their goods. Amazon has not grown the number of stores dramatically in the US, with just 22 in the US suggesting limited opportunities for using offline stores to increase profitability.

- information rich;

- dynamic;
- characterised by excessive information flows;
- technologically innovative.

These authors (Morgan-Thomas and Veloutsou, 2013) expand further on the implications for online brand experiences. On the negative side, the virtual nature of the digital marketplace means there is a lack of physical cues and heightened challenges due to the intangibility of the environment and increased uncertainty of what engaging in an online experience will deliver. However, on the positive side, digital environments create opportunities for increased interactivity and real-time brand experiences, which can be empowering for the customer. Therefore, an online brand should seek to build links with customers by delivering positive online experiences, which then lead to satisfaction and positive intentions to interact with the brand in the future.

Consequently, positioning online brands requires marketers to think creatively about the traditional elements of a brand and also consider new elements:

- *Online brand domain:* where the brand competes, and the target market the brand serves. Online there are additional considerations, such as how customers and competitors recognise the brand. This is important owing to the lack of physical cues. A company URL, e.g. www.google.com, helps with recognition and can ensure customer

visits. Google has established and maintained its market-leading position in the search engine marketplace by following the company's mission to 'organize the world's information and make it universally accessible'.

- *Online brand heritage***:** Lloyds Banking Group, Burberry, Rolls-Royce and Guinness are brands with heritage over 100 years. These firms gain competitive advantage through longevity, continuity and company resources gained over time. This long-term stability adds value to the brand (Paek *et al*., 2020), whereas for digital brands where use of the internet has only been possible on a commercial scale since 1989, brands must look for additional ways to develop their heritage. One way to do this is by offering genuine value. Online brands can get very close to their customers through use of digital technology and should seek to develop genuinely valuable relationships and find ways to reassure target markets of the potential heritage base value of the brand (Paek *et al*., 2020).
- *Online brand values:* the core characteristics users of the brand consider valuable. Digital brands can create value through engagement with customers and facilitate co-creation of brand value, which in turn can enhance brand loyalty and usage (Loureiro *et al*., 2017). eWOM, 'the exchange of product and brand-related marketing messages and meanings between two or more consumers without inducement by marketers', can be a powerful force for stimulating online consumer engagement (Kozinets *et al*., 2010).

For example, X is a digital brand, which has harnessed highly dynamic interactions to create brand value. A trending tweet can have far-reaching influence for consumers, businesses and governments. It is important for online brands to emphasise the benefits of engaging with the brand and also to develop a unique personality that is engaging and shareable (Brown, 2014).

- *Online brand assets:* distinctive names, symbols and images, which uniquely identify a brand and help to distinguish it from competitors (Tollington, 1998) such as Amazon's smile, Apple Inc's Apple; Nike's tick – symbols the brand has to help its users quickly identify and assimilate with the brand. Words too can be important, e.g. Mastercard's association with the word 'priceless'. These distinctive brand assets can be widely used in advertising and act as a shortcut to link brands with their customers (WARC, 2020). Creating a visual identity using brand assets is important as it ensures a company presents a standardised message at whatever touchpoint (online and offline) customers interact with a brand (Brown, 2014).
- *Online brand personality:* the human characteristics of the brand, which its customers use to determine the added value offered by the brand and also to express their own individual personalities through association with the brand (Valette-Florence *et al*., 2011). Brand personality refers to the symbolic meaning of a brand and associated characteristics, which determine a customer's

perceptions of the brand online. For example, Nike's brand personality is active lifestyle, competitive, exciting, provocative; Mercedes Benz is superior, exclusive, elegant, efficient Online brand manufactures need to understand their brands from the customer's perspective to create brand personalities which resonate with their target audiences and create connections. A novel development in the field of online branding is the emergence of human brands: individuals which have become globally recognised brands in their own right. Cristano Ronaldo, a professional footballer is one such powerful human brand, with over 500 million followers on his social media platforms (ESPN, 2021). Athletes, sports personalities and influencers are just some examples of how human brands can create authentic brands which reach widespread networks and target audiences to create loyalty and enhance their reputations (Anderski *et al.,* 2023). It is important to note the difference: personality of a brand is a product or service associated with human characteristics, whereas a human brand is a real live individual.

- *Online brand reflection:* how the customer perceives themselves as a result of buying the brand. Being authentic and transparent about what the brand stands for is important if an online brand is to create positive brand associations.
- *Online value proposition:* in **Chapter 4** we explained that as part of digital strategy development, brands should consider how they can

add value to their audiences through the types of interactive content and services that are offered.

We return to the concept of brand promise at the start of **Chapter 7**, since this is closely related to delivering customer experience.

Success factors for online branding: brand advocacy

In **Chapter 1**, we considered five classes of websites or parts of sites that support different organisational goals. Brand websites offer scope to achieve various marketing goals but it is important to recognise that all types of websites, including transactional sites, relationship-building sites, portals and social networks, should seek to provide a favourable brand experience. Brand websites offer scope to achieve various marketing goals, for example from raising awareness of new products and services, building relationships and customer retention. But whatever the actual goals, websites that ensure high levels of involvement, interactivity and a sense of control over the online experience for the site visitor are more likely to be successful than sites that do not offer such features (Voorveld *et al*., 2009).

For the site itself, it is not the quantity of visitors that is important; rather it is about the quality of visitors, since brand sites are most likely to attract **brand advocates**, who can be important in influencing others to make them aware of the brand or to trial the brand.

Brand advocacy has become increasingly important online and involves advocates (e.g. satisfied customers, influencers) in ‘“standing up for” and speaking on behalf of the brand’ (Wilk *et al*., 2019: 419). In consumer markets, rapid increases in the speed and number of purchase decisions

made have also led to an explosion in the use and influence of brand advocates. According to research, over 90 per cent of consumers trust online brand advocates, as opposed to 20 per cent for online advertisements (Geyser, 2020). Social media has revolutionised brand advocacy through widely connected platforms on which to share user-generated content, making it easy for shoppers to recommend and promote a brand online (Wilk *et al*., 2021). According to Wilk *et al*., online brand advocacy is multidimensional, having cognitive, affective and virtual visual cues as well as unique forms of online communication, which can be highly visual, have global reach and are more permanent than offline advocacy. This explains why many leading brands seek to encourage online brand advocacy through events, which stimulate consumer engagement, for example, Starbucks' #redcupcontest or Harley Davidson's product launch 'United We Ride', which invites customers to 'Join the Reveal' and be a part of an experience. Encouraging customers to join the excitement associated with the brand and then to share their experiences has not only led to incredible increases in the number of brand advocates but also creates a sense of belonging and customer loyalty (Wilk *et al*., 2021). These researchers found in their study looking at brand advocacy not only that brand loyalty is a strong indicator of a customer's willingness to act as an advocate for a brand, but also that the advocates become more loyal and more connected to the brand as a result of publicly sharing their relationships with that brand.

Now read Research spotlight 5.1 to discover the powerful role a brand endorser can play in determining customer engagement online.

Research spotlight 5.1

Social media – who has the most influence?

Focus: Mega or macro social media influencers: Who endorses better brands?

Bores-Tiago, M., T.; Santiago, J., and Tiago, Flavio (2023)

Context: Celebrity endorsement, brand credibility, social media endorsers

Online, promoting a brand is increasingly challenging as digital markets become more complex, chaotic and crowded with international competitors. To successfully promote a brand in such an environment requires a strong online presence with many followers. Endorsers (influencers) act as brand advocate in social media spaces but with differencing levels of success. This study explores social media endorsers (mega and macro), the impact on brand engagement and seeks to identify who are the best brand endorsers for achieving strategic objectives.

The research

The research team's (Borges-Tiago *et al.,* 2023) first step was to use bibliometric analysis – a form of statistical analysis of publications – to understand the relevance of brand endorsement and types of endorser. This analysis produced a visualisation of the key concepts and the interconnections from this field of research. Over 59,000 papers were identified and distilled into the key concepts, which would underpin their research. See

Figure 5.1 RS Key research concepts. The second step was to identify a range of endorsers, 24 in total. These included mega endorsers (global celebrities >1 million followers) and local macro endorsers (1,000 – 40,000 followers). The next step was a survey questionnaire which explored responses to questions about brand familiarity, credibility, engagement, equity, involvement with influencer and influencer credibility. The results were then analysed.

FigureRS 5.1

Key research concepts.



Key findings

Discussion of the results indicated:

- Different levels of influence based on brand equity could be seen depending on the type of endorser.
- Having the *right* endorser can enhance brand awareness and engagement and improve brand equity.
- Mega and micro endorsers have different levels of influencing power.

The findings highlight the importance of customer involvement with endorsers as this underpins the perceived credibility of the endorser. Celebrity credibility transfers to a brand regardless of the type of influencer. But consumer involvement with endorsers can leverage customer brand engagement and macro-influencers can have more influence than mega-influencers with celebrity status.

Implications for digital marketers

- Social media platforms offer much scope for users to engage with brand endorsers and so digital marketers should select endorsers to suit the target audience of their brands.
- Strategic branding objectives can be met using different levels of endorsers.
- Choose between mega, macro and even micro influencers to maximise the level of customer engagement.

Research spotlight tasks

Imagine you are the digital brand manager for a popular sportswear brand. The brand is launching a new range of football kit for children.

a. Carry out desk research to identify 10 potential endorsers for the brand.

b. Categorise your selection into mega and macro endorsers.

c. Suggest how you might use one mega and one macro endorser on a social media platform as part of your brand's launch.

Success factors for online branding: brand identity

Aaker and Joachimsthaler (2000) highlighted the importance of a brand's individual and unique attributes, and also emphasised the importance of developing a plan to communicate the key features of the brand identity. **brand identity** is again more than its name, according to Pareek and Harrison (2020) – it involves a brand as:

- a symbol (name, logo, symbols, slogans, and also any physical representation: packaging, presentation);
- a product (product attributes, quality, uses and users);
- an organisation (innovativeness, vision, company culture, social responsibility initiatives);
- a communication (advertising, positioning, celebrity endorsement, promotion, peer influence);
- a servicescape and experience (service environment, site, atmosphere, consumer feedback on experiences, reputation).

The importance of understanding the multiple dimensions of a brand's identity is to enable managers to assess their brands and determine

whether each of the facets are contributing positively or negatively to a brand’s identity.

Success factors for online branding: brand names for online brands

Research has found that the characteristics of the word chosen to represent a brand can influence consumer behaviour (Vitevitch and Donoso, 2011) and be linked to the propensity with which a buyer will engage with a brand. This study suggests that in order to increase the likelihood that a consumer will engage with a new brand, it should be easy to pronounce, have interesting arrangements of syllables and consonants so as to make the name easy to recall but should not be too similar to other words (thereby causing confusion with other brand names).

In essence, good brand names (Activity 5.2) are those that are easy to remember and pronounce but also have potential to catch the attention of customers (Brand Name Generator, n.d.).

In summary, effective online branding requires focus on the market opportunity and understanding the differential value offered, which can then be communicated using elements of the marketing mix. The next section explores in turn each of the elements of the digital marketing mix, beginning with product.

Activity 5.2

How to develop a new brand name

Purpose

To illustrate the process and challenge of registering a new brand online. This is a challenge, given most common domain names are registered, so creativity is required.

Activity

Search for online brand name generator tool. These are typically available from E-commerce, web site or domain name services providers. Examples include GoDaddy, Shopify and Wix.

Generate new brand names that you feel have potential as online brands in a sector of your choosing. Evaluate your choice using the following criteria:

1. Easy to pronounce Y/N?
2. Easy to remember Y/N?
3. Intriguing word pattern (syllables and consonants) Y/N?
4. Has the potential to attract attention Y/N?
5. Not close to existing known word(s) Y/N?
6. Creates a feeling of trust Y/N?
7. Has an ‘air’ of professionalism Y/N?
8. Suitable top-level domains available Y/N?

Once you have a name that you feel has potential to be successful (more than five Ys), suggest some products that could fit with the name.

Product in a digital marketing context

The **product variable** of the marketing mix refers to characteristics of a product (tangible) as well as a service product (intangible). Product decisions should be informed by market research where customers' needs are assessed and the feedback is used to modify existing products or develop new products. There are many alternatives for varying the product in the digital context when a company is developing its digital marketing strategy; product decisions can usefully be divided into decisions affecting the **core product** and the **extended product**. The core product refers to the main product purchased by the consumer to fulfil their needs, while the extended or augmented product refers to additional services and benefits that are built around the core of the product. See Table 5.1 for examples of core and extended products. Defining products in the digital context can be complex, and much of the overall offer is delivered via digital media channels. However, many digital brands provide physical products – for example, Amazon (general merchandise, clothing, electronic goods and lots more), ASOS (clothing), Tesco (groceries and non-food goods) and Screwfix (DIY goods).

The main implications of digital technology for the product element of the mix are:

1. options for varying the core product;
2. options for offering digital products;
3. options for changing the extended product;
4. conducting research online;
5. speed of new product development;
6. speed of new product diffusion.

Table5.1

Brands' core and extended products and service products

Brand	Core Product	Extended Product
Amazon Kindle	Kindle device, e-books	Kindle apps, digital forums, promotions, freeb
Deliveroo	Food delivery services	Community and food blogs, what's new, prom competitions, customer reviews
Google Search	Online information search	Web activity and privacy controls, search prec location services
YouTube	Video, audio	News feeds, trending topics, business services support
Microsoft Corp	Software products	Product guides, advice centre, learning and tra services, security services
Shutterstock	Photographs, graphics and art	Design templates, curated collections of imag hub
Apple News	Documents, news articles	Expert-curated selections of news, personalisa privacy, no tracking by advertisers

Pearson Revel	Educational packages	Training and support packages, student suppo guides
Smart Insights	Professional services	Training in marketing skills, tailored content, guides
Ticketmaster	Ticket seller	Gift cards, events guides, apps
GoDaddy	Web services	SEO tools, marketing support, web security se
Zoom	Video communication	User guides, online education tutorials, custor

1 Options for varying the core product (online)

For some companies, there may be options for new digital products that will typically be information products that can be delivered over the web. Originally, Ghosh (1998) talked about developing new products or adding ‘digital value’ to customers. The questions he posed still prove useful today:

- *Can I offer additional information or transaction services to my existing customer base*? For example, a fashion retailer can provide customer reviews and fashion previews. Karma is a brand built around providing information and personal digital shopping assistants (www.karmanow.com) to help save time and money when shopping online. A travel booking company like Opodo can provide information guides, video tours of resorts and feedback reviews from travellers’ of accommodation and facilities at a destination.
- *Can I address the needs of new customer segments by repackaging my current information assets or by creating new business propositions using the internet?* For example, many products can have accompanying e-books, videos and tutorials to inform customers. Fashion brand Rebecca Minkoff™ offered ‘Connected Bags’, which gave each item a digital identity in the cloud that, when accessed, unlocked exclusive offers, e-commerce services,

private styling sessions with Rebecca, style recommendations, video content, an invitation to the following show and elite experiences to enjoy with lifestyle partners. It also automatically qualified the customer for a loyalty programme (Arthur, 2017).

- *Can I use my ability to attract customers to generate new sources of revenue such as advertising or sales of complementary products?* com, booking.com and trivago.com are digital brands that sell travel-related services, but also generate significant advertising revenue.
- *Will my current business be significantly harmed by other companies providing some of the value I currently offer?* Consider the consequences if competing companies digitally adapt their products in order to develop a stronger market offer and take advantage of the prevailing marketing environment. Online retail spend soared during the global pandemic, reaching the highest-ever percentage of retail sales in the United Kingdom, indicating an appetite for online purchasing. Fashion retailers ASOS, Next plc and com focused on the changing market conditions and gained record sales through their sophisticated online operations, whereas Debenhams, Topshop, Peacock and Jaeger called in the administrators as they too struggled against market conditions but lost out to online competitors.

Some of the markets transformed most by the internet are those where products can be transformed into digital services, such as music

(downloading or streaming of digital tracks), books (e-books), newspaper and magazine publishing (online access to articles), software, and videos and films (digital downloads and online subscription services). (See the chapter-end case study for a further discussion of subscription services.)

Digital technology also introduces options for **mass customisation** of products, particularly digital products or products that can be specified online. The internet has provided a channel through which manufacturers can not only sell the personalised products but also use the internet as a source of information for developing highly targeted products. For example, ASOS has revolutionised the way *fashionistas* shop in the United Kingdom (and around the globe). ASOS introduced the 'catwalk view', where fashion-hungry online shoppers can watch products being walked down the runway before they buy. The brand also sells fashionable clothing from a range of designers and its own in-house team. Its business model relies on quick turnover of 'on trend' fashion items to the mid and lower ends of the clothing market (see chapter-end case study in **Chapter 4** for further discussion of ASOS).

Mass customisation (Davis, 1997; Pine, 1993) has previously been heralded as a business strategy, which derives benefits from the personalisation of products ranging from cars to training shoes. However, online mass personalisation often occurs today without the customer's knowledge: Amazon provides personalised product recommendations; Netflix offers viewing suggestions based on past viewing history of films

and programmes; and Spotify selects music playlists based on a listener's preferences.

Mass customisation will involve input from customers in creating product variants to satisfy individual customer needs (Pallant *et al*., 2020). Customisation can be simple; Moonpig.com, Funkypigeon.com and printed.com offer customers the opportunity to create individual cards and gifts. A more complex customisation is offered by Nike By You, where the customer designs their own sports shoes (https://www.nike.com/gb/nike-by-you).

Companies can also consider how the internet can be used to change the range or combination of products offered. Some companies, such as fashion retailers, may only offer a subset of products online, whereas furniture retailers may use their website to expand their ranges and customer choice. **Bundling** is a further alternative, bringing together a range of products. Koukova *et al*. (2008) found that the internet has encouraged the bundling of information-based products, such as newspapers, books and music videos, in physical and digital formats. Sky Cinema has used this approach and the Disney Corporation has purchased Fox's film and TV assets to launch a new streaming service to rival Netflix (Barnes, 2017), and may bundle together digital services. The benefits for the sellers are that digital products provide opportunities to leverage advantage as there are marginal costs involved with supplying digital versions and considerable cost savings if customers switch to the

digital offer. Therefore, the introduction of physical and digital product bundles offers much scope for new approaches to product delivery and pricing strategies (Koukova *et al*., 2008).

Finally, websites and mobile apps provide a platform for providing information about the core features of the product. However, the availability of information can impact on price as the price has become more transparent. Comparison sites such as Comparethemarket.com™ enable online shoppers to assess the price of car insurance, for example, from many suppliers in one location.

2 Options for offering digital products

Publishers, TV companies, media owners and other companies that can offer digital products such as published content, music or videos now have great flexibility to offer a range of product purchase options at different price points, including:

- *Subscription*. A recurring fee paid for goods and services. This is a traditional newspaper or magazine publisher revenue model, but subscription can potentially be offered for different periods (for example, three months, twelve months or two years) and at different price points. This business model is now used by many different product sellers, e.g. Bloom & Wild – bloomandwild.com (flowers and gifts); Abel & Cole – abelandcole.co.uk (food delivery boxes); Hellos fresh – Hellofresh.com (meal-kit delivery service).
- *Licensing*. Slightly different to subscriptions insofar as a licence is a payment made for a defined time period (usually a year) for a pre-agreed range of services. (See Digital marketing insight 5.1 for further discussion of subscription services.)
- *Pay-per-view.* A fee for a single download or viewing session at a higher relative price than the subscription service – for example, music products from iTunes. Customers can enjoy instant download in a similar way to a mobile company ‘pay-as-you-go’ model, e.g. Sky Sports Box Office – offers pay-per-view entertainment.

- Bundling. Different channels or content can be offered as individual products or grouped at a reduced price compared to pay-per-view.
- *Ad-supported content.* There is no direct price set here. Instead, the publisher's main revenue source is through adverts on the site (CPM display advertising on-site using banner ads and skyscrapers), a fixed sponsorship arrangement or CPC, which stands for 'cost-per-click' – more typical when using search ad network publishing, such as Google AdSense, which makes a significant contribution to Google's revenue.

Other options include affiliate revenue from sales on third-party sites or offering access to subscriber lists.

The digitisation of products presents opportunities to some industries and threats to others. Newspapers are an example of an industry where the internet has had a far-reaching impact. Most popular quality newspapers are now successfully using subscription-based business models to maintain their readership. Indeed, *The Guardian, The Daily Telegraph* and *The Independent* (popular UK newspapers) have a larger online readership than the equivalent print versions (Reid, 2014). However, the increase in fake news articles has revived interest in traditional media brands, in part due to many of these media brands having long-standing heritage and being more trusted than the newer digital brands (Moody, 2017).

The example in Mini case study 5.2 exemplifies a customer-centric approach to digital marketing using detailed personas that are used to inform communications which are more inspiring than simple 'thumbnail' personas. Abbott typically creates localised landing pages or microsites for its major markets, so you can see how localisation varies in your country with different personas and value messaging compared to other markets.

Mini case study 5.2

How a healthcare brand uses actionable personas to inspire people to use its digital platform

FreeStyle Libre 3 sensor and app on the smartphone. The CGM device measures glucose levels and sends data to the digital health application.



Source: Felix Geringswald/Getty Images

Background to the development of the Freestyle Libre digital product

Abbott Diabetes Care is part of Abbott Laboratories is an American multinational medical devices and health care company with headquarters in Green Oaks, Illinois, United States. The company was founded by Chicago physician Wallace Calvin Abbott in 1888 to formulate drugs. Today, it sells medical devices, diagnostics, branded generic medicines and nutritional products.

A new market for home-based continuous glucose monitor (CGM) became possible with the falling cost of digital devices and the potential for integration with other Internet-connected consumer devices such as

smartphones and PCs. People with diabetes could now monitor their diabetes with a CGM. A CGM is a device used for monitoring blood glucose on a continual basis instead of monitoring glucose levels periodically by drawing a drop of blood from a finger. The original Freestyle Libre was introduced by Abbott in 2015. Today it is used for regular, at home monitoring and can be programmed to transmit a low blood sugar (hypoglycemia) or high sugar warning via Bluetooth to a nearby device.

Freestyle Libre can be purchased as a subscription service and is an example of a direct-to-consumer (DTC) service introduced by a brand. Abbott has been successful in growing its market share and now and its landing page offers potential subscribers to "Discover the #1 sensor-based glucose monitoring system used worldwide".

How Abbott uses personas for Freestyle Libre

Abbott has dual audiences who need to be informed about this service, for which it uses different platforms so that it is clear which type of audience the content is aimed at two audiences for which personas are developed.

1. *Consumers* – Branded microsites explaining the service and with E-commerce purchase and subscription options

   For consumers, Abbott tasked agency GALE to create a deeper connection with their audience in the United States. Through social

listening, they found that people with diabetes wanted to hear from a trusted source – other people with diabetes. They created an always-on social approach featuring real FreeStyle Libre users rather than actors, so designed to create a more genuine and deep emotional connection to people with diabetes.
The agency searched nationwide for unique relatable stories that would captivate and inspire the audience of people with diabetes. Musicians, comedians, and athletes shared how the FreeStyle Libre systems helped them continue to do the things they love. These stories represented different audiences referenced in the Healthcare section below.

Examples of content shared via video and social media such as debunking diabetes myths are shared in the video provided in their campaign case study. Content was tailored for different platforms popular with different personas including Facebook, Instagram, Pinterest and TikTok. During this campaign in 2022, paid social became the number two sales driver for FreeStyle Libre systems – surpassing broadcast and traditional advertising methods. These sales results made FreeStyle Libre systems the top prescribed CGM over all competitors, while giving more people with diabetes the access to potentially live-saving technology.

2. *Healthcare professionals* – The Freestyle Academy portal offering scientific resources and education for healthcare professionals

Examples of personas used for healthcare professionals to make them more relatable:

- Ruby (age 18) is a normal teenager who was diagnosed with Type 1 diabetes 8 years ago. She's having trouble accepting the need to manage her condition and is struggling to adapt to her insulin therapy. Her insulin bolus levels are selected by Ruby for practical reasons.
- Daniel (age 67) is a retired baker who still likes to bake and cook. He’s concerned about regular overnight hypoglycaemia and consequently chasing sugars in the morning. The detailed case study explains Daniel and his Healthcare Team use the FreeStyle Libre 2 system and LibreView to minimise overnight hypoglycaemia and manage exceptional hyperglycaemic swings in the morning.
- Jackie (age 56) is a pub landlady which means late nights and irregular mealtimes. Jackie tends to rely on eating sugary foods to prevent overnight hypoglycaemia after work. Read about how Jackie and her Healthcare Team use the FreeStyle Libre 2 system and LibreView to reduce overnight hypoglycaemia without relying on sugary foods.

Abbott detailed personas: https://pro.freestyle.abbott/uk-en/home/scientific-resources-education/education-training/case-studies.html

Results

Review of content on www.freestyle.abbott

Source: Gale Agency campaign case study: https://www.gale.agency/case-studies/abbott

Sources: https://en.wikipedia.org/wiki/Abbott_Laboratories, https://en.wikipedia.org/wiki/Diabetes; https://www.gale.agency/case-studies/abbott

3 Options for changing the extended product

When a customer buys a new computer or mobile phone it consists not only of the tangible product, and peripheral devices, but also the information provided by the salesperson, the instruction manual, the packaging, the warranty and the follow-up technical service. These are elements of the extended product. Chaffey and Smith (2017) suggest examples of how the internet can be used to vary the extended product:

- endorsements;
- awards;
- testimonies;
- customer lists;
- customer feedback;
- warranties;
- guarantees;
- money-back offers;
- customer service (see people, process and physical evidence);
- incorporating tools to help users during their selection and use of the product.

Digital marketing insight 5.1

Zoom freemium products



Source: Cabeca de Marmore/Shutterstock

Zoom is an American communication technology company based in San Jose, California, which provides video and audio conferencing.

Video conferencing has been widely used in business markets for many years but less so in consumer markets. However, during the global COVID-19 pandemic in 2020, Zoom became a popular choice for individuals around the world who wanted to keep in touch with relatives and friends, whom they were not allowed to visit in person, as well as for businesses, whose staff were told to work at home whenever possible. Zoom has different licensing and pricing options depending on the target market. These include both free and paid options, which are sometimes described as a freemium business model (as introduced in **Chapter 2**):

- *Basic service for personal meetings* – free, limited to 100 participants; up to 40 minutes and unlimited one-to-one meetings. Ideal for family and friend meetings. But for some groups, the ‘freemium licence’ with its time limits is not enough, so they can move to a paid licence.
- *Pro service for small teams* – an annual licence, which includes additional social media streaming, group meetings up to 30 hours and up to 1,000 participants, giving clubs and societies, for example, the opportunity to establish regular group meetings for multiple participants.
- *Business service* – again an annual licence, with the addition of recording services, managed domains and company branding, giving businesses the opportunity to communicate with staff, and hold meetings, conferences and sales meetings with customers.

Once customers are attracted to a site and have begun to learn about the brand, then the companies can offer freemium content (which, as the name suggests, is free) or sample content or trial products. Through providing freemium content, more customers will be encouraged to enter into a paid-for relationship with the organisation. In other cases, a premium may be charged for innovative new services – for example, at Amazon Web Services, offers for new (qualifying) customers include unlimited capacity for support of software, data migration, streaming and cloud computing services (www.aws.amazon.com).

4 Conducting research online

Digital channels provide many options for learning about product preferences and can be used as a relatively low-cost method of collecting marketing research, particularly when trying to discover customer perceptions of products and services. Sawhney *et al*. (2005) reviewed options for using digital media for new product innovation where they contrasted the traditional new-product research process with a digitally augmented co-creation process. They suggested that online research tools should be evaluated according to how they can be used: 1) front-end developments of ideation and concept against back-end developments involving product design and testing; and 2) the nature of collaboration – broad/high reach against deep/high richness.

Options for performing new-product development research online include:

- *Online focus group.* A moderated focus group can be conducted to compare customers' experience of product use. Many companies now have permanent customer panels they can use to ask about new ideas.
- *Online questionnaire survey.* These typically focus on the site visitors' experience, but can also include questions relating to products.

- *Social media listening.* Comments mentioned in social media can be added alongside customer feedback and support forums.
- *Customer feedback or support forums.* Comments posted to the site or independent sites such as social networks may give suggestions about future product innovation. Freshworks™ Freshchat messaging is a product that helps companies to use live chat to improve target marketing and lead conversion for businesses (com). This platform enables a company to communicate and collaborate both inside and outside the company. The platform also has the capacity to integrate with CRM, e-commerce and analytics systems.
- *Web analytics.* A wealth of marketing research information is also available from response data from email and search campaigns and the website itself, since every time a user clicks on a link offering a particular product, this indicates a preference for products and related offers. Such information can be used indirectly to assess customers' product preferences.

The use of online surveys has grown – SurveyMonkey and Qualtrics are examples of online brands that have continued to make advances in the level of sophistication of their online survey platforms, which can be tailored for use by individuals and organisations. Globally, the market research industry has grown in recent years and online surveys have made a substantial contribution to this growth. Online research can take many different forms and be delivered via various channels: web, email, apps, mobile. Now that nearly 60 per cent of the world's population has some

form of access to the internet, gathering data can have a greater reach, crossing international boundaries if required (Kemp, 2020). Other positives of this form of survey are flexibility, speed and timeliness, and ease of data entry (Evans and Mathur, 2018). But there are some hurdles to overcome too: email invitations considered as junk mail and quickly deleted; sampling skewed towards the responding internet population; privacy issues over mass data collection; and low response rates. YouGov is a UK digital market research company that conducts international research using surveys and group analytic research. It works with many brands and has developed a daily brand tracker, YouGov BrandIndex. Taking advantage of the instantaneous nature of online surveys, YouGov is able to probe trends and opinions almost in real time (YouGov, 2021).

5 Speed of new product development

Digital channels give instant access to target markets and provide platforms, which enable new products to be developed more rapidly as it is possible to test new ideas and concepts and explore different product options through online market research. Companies can use their own panels of consumers to test opinion more rapidly and often at lower costs than for traditional market research. Another aspect of the velocity of new product development is that the network effect of the internet enables companies to form partnerships more readily in order to launch new products.

6 Speed of new product diffusion

In the early days of the internet, Quelch and Klein (1996) noted that to remain competitive, organisations would have to roll out new products more rapidly to international markets. Downes and Nunes (2013) examined product diffusion by looking at ‘big-bang disruptions’ and they suggested ‘internet fads could “infect the whole world in a matter of days”’. Video game *Angry Birds* was downloaded 24 million times within a day of it becoming available. Their argument was that such market disruptors occur due to ‘unencumbered development, unconstrained growth and undisciplined strategy’. X was developed during a hackathon, which occurred during a technology conference, with minimal investment but it offered better performance than similar products and was widely adopted across the globe. Its innovative short-message format and hashtags facilitated user engagement, which enabled X to quickly become the most-used microblogging platform (Chang, 2010).

Earlier, Malcolm Gladwell’s book *The Tipping Point* (2000) emphasised the importance of word-of-mouth communication on the impact of the rate of adoption of new products, especially through the internet. He advises how marketers should help create a ‘tipping point’ for a new product or service – the moment when a domino effect is triggered and an epidemic of demand sweeps through a population like a highly contagious virus.

Marsden (2004) provides a good summary of the implications of the **tipping point** for marketers. He says that ‘using the science of social epidemics, *The Tipping Point* explains the three simple principles that underpin the rapid spread of ideas, products and behaviours through a population’:

1. *The law of the few:* the spread of any new product or service is dependent on the initial adoption by ‘connectors’ who are socially connected and who encourage adoption through word of mouth and copycat behaviour. In an online context, these connectors may use personal blogs, email newsletters and podcasts to propagate their opinions.

2. *The stickiness factor:* attachment to characteristics and attributes of a product or a brand. Gladwell (2000) stresses the importance of testing and market research to make the product effective. Marsden (2004) suggests that there are certain cross-category attributes that are key drivers for product success:

   a. Excellence: being perceived as best of breed;

   b. Uniqueness: clear one-of-a-kind differentiation;

   c. Engagement: fosters emotional involvement;

   d. Cost: perceived value for money.

3. *The power of context:* Gladwell (2000) suggests that, like infectious diseases, products and behaviours spread far and wide only when they fit the physical, social and mental context into which they are launched, suggesting there is value for marketers in devising products tested to fit their context, situation or occasion of use.

In **Chapter 9**, we will see how marketers seek to influence this effect through what is known as 'viral marketing'.

Market opportunity for new products

There are ideas that suggest the internet is reshaping market opportunities and that niche markets hold much value online. The **long tail concept** is an example. The phenomenon, now referred to as the 'long tail' following an article by Anderson (2004), was arguably first applied to human behaviour by George Kingsley Zipf, professor of linguistics at Harvard, who observed the phenomenon in word usage. He found that if the variation in popularity of different words in a language is considered, there is a systematic pattern in the frequency of usage or popularity. Zipf's 'law' suggests that if a collection of items is ordered or ranked by popularity, the second item will have around half the popularity of the first one and the third item will have about a third of the popularity of the first one and so on (Newitz, 2013). In general:

> The kth item is 1/k the popularity of the first.

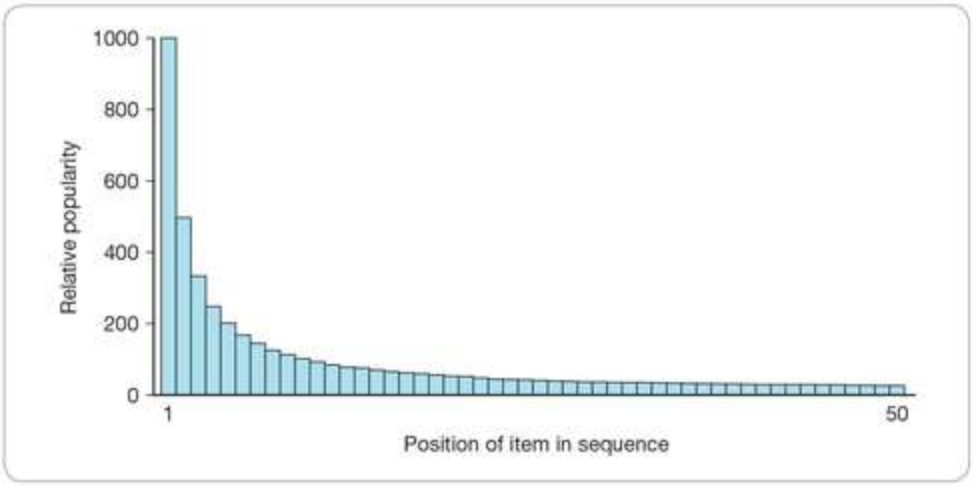
Look at Figure 5.2, which shows how the ‘relative popularity’ of items is predicted to decline, according to Zipf’s law, from a maximum count of 1,000 for the most popular item to 20 for the 50th item.

In an online context, this ‘law’ can be applied to the relative popularity of a group of websites or web pages or products on an individual site, since they tend to show a similar pattern of popularity. There are a small number of sites (or pages within sites) that are very popular (known as ‘the head’, which may account for 80 per cent of the volume) and a much larger number of sites or pages that are less popular individually, but still collectively important. Returning to the product context, Anderson (2004) argued that for a company such as Amazon, the long tail (or Zipf’s law) can be applied to describe the variation in preferences for selecting or purchasing from a choice of products as varied as books, smartphones, fitness devices, travel or financial services. This pattern has also been identified by Brynjolfsson *et al*. (2003, 2010), who presented a framework that quantifies the economic impact of increased product variety made available through electronic markets, and they suggest that the long tail approach is also useful for approximating market–sales relationships:

One reason for increased product variety on the Internet is the ability of online retailers to catalogue, recommend, and provide a large number of products for sale. For example, the number of book titles available at Amazon.com and Amazon's Kindle store has over 90,000 titles available, which is many times larger than the number of books on the shelves of a typical Barnes & Noble superstore, and the number of books stocked in a typical large independent bookstore.

Figure5.2

Zipf's law, showing decrease in popularity of items within an ordered sequence



Price in a digital marketing context

The **price variable** of the marketing mix refers to an organisation's pricing policies, which are used to define **pricing models** and to set prices for products and services, which ultimately differentiate a brand. The internet has implications for pricing in many sectors. Original research suggested two approaches commonly adopted for pricing online: 1) startup companies tended to use low prices to gain a customer base; and 2) existing companies just transferred their existing prices to the web (Baker *et al*., 2000; Xing *et al*., 2006). However, as organisations are increasingly developing multichannel strategies in order to give their customers more opportunities to interact with brands, it becomes more difficult to justify online and offline pricing policies, especially in consumer markets. Currys PC World, for example, sells through multichannels and not only offers uniform pricing across its brands but also has an app that allows its users to search for products by keyword or barcodes, get instant pricing information, up-to-the minute stock availability, and also shop and manage orders and accounts (Dixons Carphone, 2019).

Airlines use revenue management systems and dynamic pricing models to generate maximum revenue. However, for companies selling goods and services, it is becoming harder to legitimise differential online pricing as this can reduce buyer confidence and trust. Trivago is an online brand that has created business out of price variations in the travel industry, and it

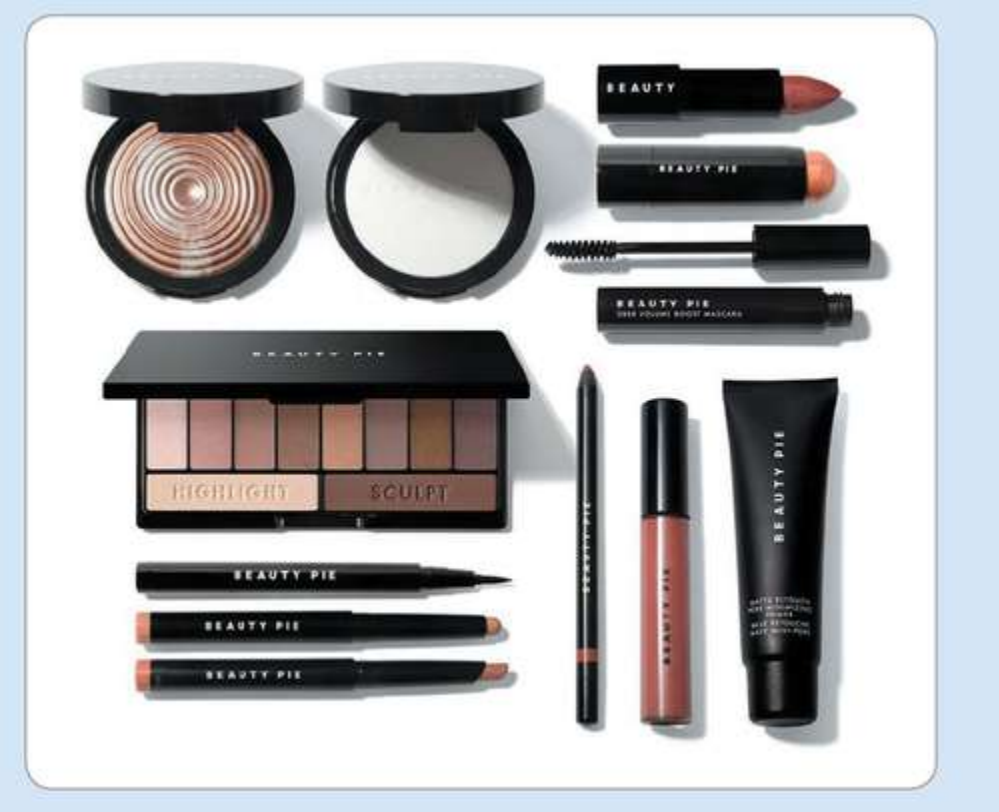
not only shows consumers price comparisons for accommodation but also provides insights on pricing for hoteliers. The Trivago Hotel Price Index uses meta search on hotel pricing from over 400 other booking sites and compares over 2 million hotels and accommodation providers to track pricing fluctuations and trends. The index is a widely used source of information on accommodation pricing (https://businessblog.trivago.com/trivago-hotel-price-index/).

The pricing element of the mix invariably relates to the product element (even when the offer is a service), since online pricing depends on the range of products offered and the point in its lifecycle at which a product is. Extending the product range may allow these products to be discounted online. Some organisations have launched new products online that have a lower price element; for example, banks have launched ‘eSavings’ products where higher interest rates are offered to online customers in order to attract new customers. Alternatively, they may offer insurance products with a 10 per cent online discount in order to encourage customers to switch to the digital channel. Often these agreements are dependent on the customer servicing their account online, which helps reduce the cost-base of the bank. This then relates to the service elements of the mix since service has to be delivered online.

New market entrants have also used price to differentiate their brand online. See Digital marketing insight 5.2 to see how Beauty Pie has created a new business model to sell cosmetics online.

Digital marketing insight 5.2

Beauty Pie has created a luxury brand at discount prices



Source: Used with permission of MARCIA KILGORE

Beauty Pie sells luxury beauty products at lower prices than leading brands and is disrupting the beauty industry. Potential customers join the beauty product buyers' club to gain access to products from many of the world's leading third-party labs. By cutting out intermediaries and the cost associated with selling on the high street, and using plain environmentally friendly packaging, members are able to enjoy high-quality luxurious products at the lowest possible prices. Beauty Pie sells directly to the customers.

Canadian founder Marcia Kilgore explains the concept, ‘It’s like a buyers’ club for luxury beauty product addicts. You join and your membership is like an access pass to shop from the backdoor of many of the world’s leading cosmetic and skincare suppliers without paying 1000% extra cost normally attributed to celebrity marketing, middlemen and retailer markups. It’s a fairy tale for beauty junkies’ (Young, 2018).
The site builds in interactivity to engage visitors with the home page offering a product finder to Get glowing, with an expert-customised skincare routine: Just take this quick and easy quiz to find the products that will work magic on your skin.

Beauty Pie’s innovative business model relies on price transparency and getting the best product to a customer at the price Beauty Pie pays the producer. The company then makes its income from the membership fees and at the same time builds a very loyal customer base. Customers can select different levels of membership from £5 a month to £99 a year and each type offers a different bundle of benefits, but all are based on making over 80 per cent on typical high-street prices.

Sources: www.beautypie.com; Young (2018)

The main implications of the internet for the price aspect of the mix, which we will review in this section, are:

1. increased price transparency and its implications on differential pricing;
2. price uncertainty;
3. innovative pricing approaches (including dynamic pricing, price testing and auctions);

4. alternative pricing structure or policies.

1 Increased price transparency

The internet has introduced consumers to increasing access to pricing information and in doing so has empowered them with more information on prices of goods and services (Hanna *et al*., 2019). Quelch and Klein (1996) described two contradictory effects of the internet on price that are related to **price transparency**. First, a supplier can use the technology for **differential pricing** (for customers in different countries, for example). However, if precautions are not taken about price, the customers may be able to quickly find out about the price discrimination through price comparison and they will object to it. Indeed, there is an underlying change brought about by the internet, which means that buyers can be nearly as well informed about market prices as the sellers (Rossi and Chintagunta, 2016).

Pricing online has to take into account the concept of **price elasticity of demand**. This is a measure of consumer behaviour based on economic theory that indicates the change in demand for a product or service in response to changes in price. Price elasticity of demand is determined by the price of the product, availability of alternative goods from alternative suppliers (which tends to increase online) and consumer income. A product is said to be ‘elastic’ (or responsive to price changes) if a small change in price increases or reduces the demand substantially. A product is ‘inelastic’ if a large change in price is accompanied by a small amount of change in demand.

Although, intuitively, we would think that price transparency enabled through the digital price comparison services such as Google Shopping; Kelkoo; Shopzilla, which leads to searching by product rather than by store level, would lead to common comparisons of price and the selection of the cheapest product, the reality seems different. Pricing online is relatively inelastic. There are two main reasons for this: 1) pricing is only one variable – consumers also decide on suppliers according to other aspects of the brand, such as familiarity, trust and perceived service levels; and 2) consumers often display **satisficing behaviour**. The term 'satisfice' was coined by Herbert Simon in 1957 when he said that people are only 'rational enough' and that they suspend or relax their rationality if they feel it is no longer required. This is called 'bounded rationality' by cognitive psychologists. In other words, although consumers may seek to minimise some variable (such as price) when making a product or supplier selection, most may not try too hard. Online, this is supported by research (Allan, 2012; Johnson *et al*., 2004), which has shown that shoppers visit a number of web stores before making their purchase decisions. As choice and interest in buying online has grown, in line with the proliferation of online business, the number of sites consulted has grown significantly during the last decade. In the travel industry it has been suggested that as many as 38 websites might be visited before choosing a hotel room. However, consumers currently visit around four to five websites on average when making travel choices but they are also likely to consult social media and customer reviews before making their final purchase decision (DiMiao, 2017). This reduction can be explained

by the growth in the number of intermediaries (e.g. booking.com, laterooms.com, trivago.com), which act as a portal for tens of thousands of holiday accommodation providers and destinations. The number of sites and digital information sources can also vary depending on the product or service being sought. Such services can help in consumer decision-making as the consumer can feel they are sufficiently informed about pricing options to make a choice (Hanna *et al*., 2019).

Retailers or other transactional e-commerce companies operating in markets where their products are readily reviewed online need to review their strategy towards the impact of aggregators, which facilitate price comparison. One strategy for companies in the face of increased price transparency is to highlight the other features of the brand – such as the quality of the retail experience, fulfilment choice or customer service – to reduce the emphasis on cost as a differentiator. Another strategy is to educate the market about the limitations in aggregators, such as incomplete coverage or limited information about delivery or service levels.

Arguably, this conflict shows the importance of companies that are featured within aggregators possessing a strong brand that can offer additional value in terms of customer service or trust. It also shows the continuing importance of offline advertising in shaping consumer perceptions of brands and driving visitors directly to a destination site.

For business commodities, auctions on business-to-business exchanges can also have a similar effect of driving down price. Purchase of some products that have not traditionally been thought of as commodities may become more price sensitive. This process is known as **commoditisation**. Examples of goods that are becoming commoditised include electrical goods, cars and even cut flowers (Lu *et al*., 2016).

2 Price uncertainty

Closely connected to price transparency, a price uncertainty influences when and how consumers buy. When unaware of the market price of an item, shoppers use information sources to develop knowledge of the degree of price variability before making their purchase decisions (Stigler, 1961).

Comparing prices online to reduce uncertainty has a cost in terms of time, and many online aggregators or comparison sites have benefited from this underlying behaviour in price-based decision-making (e.g. skyscanner.net aggregates prices in the airline travel industry and booking.com in hotel accommodation). The complexity of the product can also have an influence and customers are not always able to feel confident they have found the best price online so seek advice from real people, for example estate agents or insurance agents (Hanna *et al*., 2019).

When setting prices to attract customers, variability is a pricing tactic used to reduce uncertainty and any potential impact over making an *incorrect* purchasing decision. Variability in pricing can mean:

- *High variability:* Uber uses surge pricing based on demand; when demand for ride-sharing services is high then prices are high but when demand is low prices fall. Price elasticity of demand assesses the extent to which a change in price will influence the demand for

a product. It is calculated as the change in quantity demanded (expressed as a percentage) divided by the change in price as a percentage. Different products will naturally have different coefficients of price elasticity of demand depending on where they lie on the continuum of consumer tastes, from relatively undifferentiated commodities to luxury, highly differentiated products where the brand perception is important.

- *Low variability:* everyday low pricing (EDLP). This approach is used by discounters in many consumer-facing industries, for example ALDI, Lidl, ASDA, Amazon, Ryanair.

When setting pricing strategies online, both price transparency and uncertainty should be taken into account as this will influence the extent to which customers are able to find sufficient information to make a buying decision. And sellers can also determine whether there is a need for real people to aid the process or whether apps, websites and other digital information services can give the reassurances needed (Hanna *et al*., 2019). When setting prices, managers should consider various approaches towards pricing and the extent to which the market segments they serve are willing to search out pricing information. Southwest Airlines' strategy is to provide extensive price information, which has benefited sales for the brand. Kayak, an online travel agency, has added to its price transparency by adding price alerts and price forecasting tools to enable travellers to choose the time of purchase to get the best prices (Hanna *et al*., 2019).

Other factors companies should be aware of to assist in pricing are (Baker *et al.*, 2000):

1. *Precision* – each product has a price-indifference band, where varying price has little or no impact on sales.
2. *Adaptability* – online it is possible to respond more quickly to the demands of the marketplace. For example, it may be possible to dynamically alter prices in line with demand. Tickets.com adjusts concert ticket prices according to demand and has been able to achieve 45 per cent more revenue per event as a result.
3. *Segmentation pricing* means setting different prices based on customer groupings. Many businesses use this technique and precisely define products for certain group profiles. Amazon targets high-income families interested in the environment with its Whole Foods stores.
4. *Premium pricing* (or skimming the market) involves setting a higher price than the competition to reflect the positioning of the product as a high-quality item.
5. *Penetration pricing* is when a price is set below the competitors' prices to either stimulate demand or increase penetration. This approach was commonly used by dot.com companies to acquire customers. The difficulty with this approach is that if customers are price-sensitive then the low price has to be sustained – otherwise customers may change to a rival supplier. This has happened with

online banks – some customers regularly move to reduce costs of overdrafts, for example. Alternatively, if a customer is concerned by other aspects such as service quality, it may be necessary to create a large price differential in order to encourage the customer to change supplier.

Since the internet has become a more mainstream shopping channel, consumers are tending to focus more on the quality of the services provided rather than the price, in much the same way as they do when buying products in the physical world.

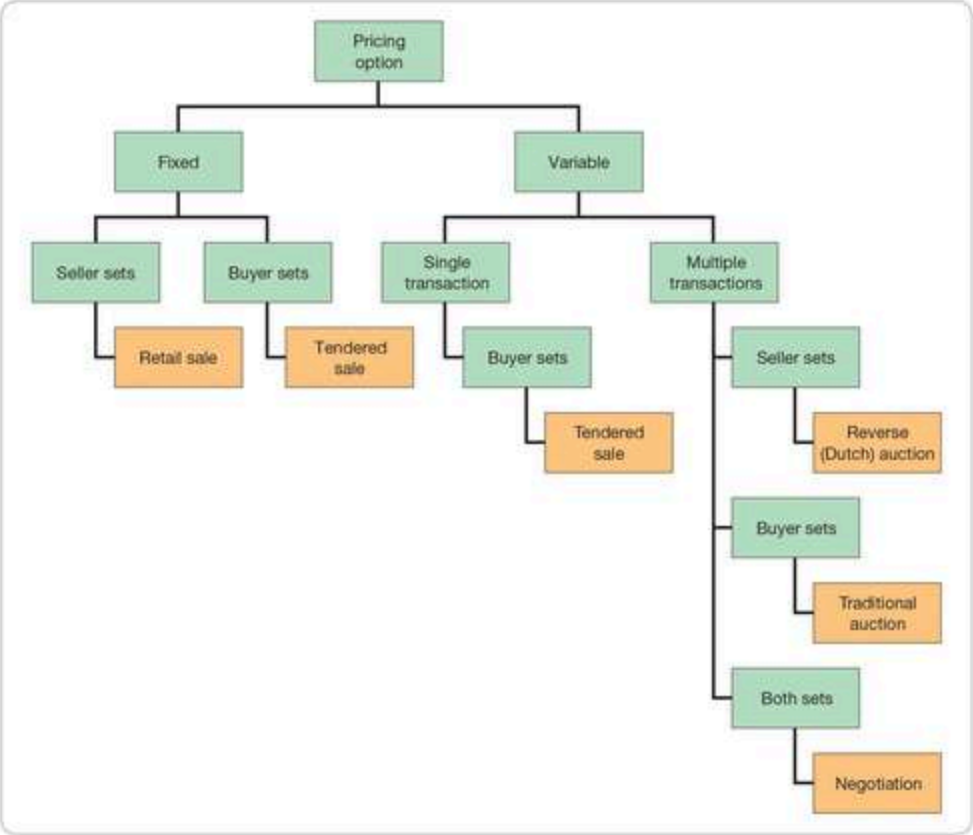
3 Innovative pricing approaches

The internet has proved to have the technological capacity to create new pricing options. Figure 5.3 summarises different pricing mechanisms, which have been used effectively online. While many of these were available before the advent of the internet and are not new, the internet has made some models easier to apply. In particular, the volume of users makes traditional or **forward auctions** (B2C) and **reverse auctions** (B2B) more tenable – these have become more widely used than previously.

An **offer** is a commitment by a trader to sell under certain conditions, such as a minimum price. A **bid** is made by a trader to buy under the conditions of the bid, such as a commitment to purchase at a particular price. In a sealed-bid arrangement, suppliers submit their bids in response to a **request for proposal (RFP)** posted to a website at a set time. In an open-bid arrangement, suppliers bid sequentially through a series of product lots or sub-groups and can view their competitors' bids and respond in real time. A moving end-time (a 'soft close') is used for each lot, which means that any bid within the last minute of the closing time automatically extends the end time for a few minutes to allow other bidders to respond.

Figure5.3

Alternative pricing mechanisms



Price testing and dynamic pricing

The internet introduces new opportunities for **dynamic pricing** – for example, new customers could automatically be given discounted purchases for the first three items. Care has to be taken with differential pricing since established customers will be unhappy if significant discounts are given to new customers. Amazon trialled such a discounting scheme and it received negative press and had to be withdrawn when people found out that their friends or colleagues had paid less. If the scheme had been a clear introductory promotion this problem may not have arisen.

Shipping fees

The setting of shipping fees can have a dramatic effect on both conversion rates and profitability, according to research completed by Lewis *et al*. (2006). They note the popularity of free shipping offers when the basket size is above a certain amount, but also note that it can potentially cause profitability to fall if it is not set at the right level. They also suggest that different shipping fees could potentially be offered to different segments. Shipping fees can also be varied according to the time it takes for items to be delivered.

One further approach with innovation in treatment of shipping fees is to offer a loyalty programme in return for free express shipping – the basis of the Amazon Prime programme.

4 Alternative pricing structure or policies

Different types of pricing may be possible on the internet, particularly for digital, downloadable products. Software and music have traditionally been sold for a continuous right to use. As explained in more detail in the section on product, the internet offers new options such as payment per use, rental at a fixed cost per month, a lease arrangement and bundling with other products.

Further pricing options that could be varied online include:

- basic price;
- discounts;
- add-ons and extra products and services;
- guarantees and warranties;
- refund policies;
- order cancellation terms.

As a conclusion to the section on pricing, we summarise the research by Baye *et al*. (2007), which has many interesting examples of innovative online pricing approaches. They recommend that online retailers should ask the following questions when reviewing pricing online:

- *How many competitors are there at a point in time?* They suggest a product's markup should be increased when the number of rivals falls and decreased when the number of rivals increases. They also recommend that since the identity of competitors online will differ from traditional offline rivals, it is important to include key online competitors.
- *What is the position in the product lifecycle?* A product's markup should be decreased over its lifecycle, or when new versions are introduced.
- *What is the price sensitivity or elasticity of a product?* They suggest continuously experimenting to learn from changes in the price sensitivity of a product.
- *At what level is pricing set?* The optimal markup factor should be applied at the product level rather than category or firm level, based on price testing at the product level. They also note the variation of conversion rates and click-through fees from paid search engines and aggregators at the category or product level, which makes it important to have micro-management of pricing.
- *Are rivals monitoring my price?* Be unpredictable if rivals are watching; exploit 'blind spots' if rivals are not watching.

- *Are we stuck in the middle?* A middle pricing point is suboptimal, particularly if prices can be set to target the lowest point in the market.

Place, channels and distribution in a digital marketing context

The **place variable** of the marketing mix refers to how the product is distributed to customers. Typically, for offline channels, the aim of place is to maximise the reach of distribution to achieve widespread availability of products while minimising the costs of inventory, transport and storage. In an online context, thanks to ease of navigating from one site to another, the scope of place is less clear since place also relates to promotion and partnerships. Take the example of a retailer of mobile phones: for this retailer to reach its potential audience to sell and distribute its product, it has to think beyond its own website to third-party websites where it can promote its services. Successful retailers are those that maximise their representation or visibility on third-party sites that are used by their target audiences. For this example, these third-party sites will include search engines, online portals reviewing mobile phones and product comparison sites.

Table5.2

Different places for virtual marketplace representation

Place of purchase	Examples of sites
A Seller-controlled	• Vendor sites, i.e. home site of organisation selling products or s e.g. **Amazon, Wayfair, Dunelm**
B Seller-oriented	• Intermediaries controlled by third parties to the seller such as di and agents – e.g. Opodo (www.opodo.com), which represents tl

	carriers, and Amazon marketplace, where third parties can sell p
C Neutral	• Intermediaries not controlled by buyer's industry • Comparison sites – e.g. uSwitch (www.uswitch.com) in the ene
D Buyer-oriented	Discount sites for consumers such as voucher code sites – e.g. www.myvouchercodes.com, and cashback sites – e.g. Quidco (www.quidco.com)
E Buyer-controlled	Website procurement posting or reverse auctions on company's e.g. www.Maistro.com enables businesses to post tenders for pr marketing and other sectors

The main implications of digital for the place aspect of the mix reviewed in this section are:

1. place of purchase (see options shown in Table 5.2);
2. new channel structures;
3. channel conflicts;
4. virtual organisations.

1 Place of purchase

Suggesting the concept of place in relation to the internet may seem peculiar, but as it is a global virtual environment that crosses geographical boundaries, the issues associated with distribution, logistics and the point at which sales and other transactions take place are important for digital marketers. For example, when selling physical goods there are cost and time issues associated with fulfilment (local, regional and international) together with issues of trust, culture and local support networks. However, in the case of sellers of digital products there is no physical limitation on fulfilment. For example, Netflix and iTunes™ have proved successful in offering their services worldwide.

Early research (Evans and Wurster, 1999) argued that there are three aspects of 'navigational advantage' that are key to achieving competitive advantage online and are still relevant today. Each relate to the place element of the mix:

1. *Reach* – the number of customers a business can connect with via online channels.
2. *Richness* – the depth or detail of information that is both collected about the customer and provided to the customer. The latter is related to the richness of product information and how well it can be personalised to be relevant to individual needs.

3. *Affiliation* – this refers to whose interest the selling organisation represents – consumers' or suppliers' – and stresses the importance of forming the right partnerships. This particularly applies to retailers. The authors suggest that successful online retailers will reward customers who provide them with the richest information on comparing competitive products.

Syndication

Traditionally, **syndication** referred to articles or extracts from books being included in other publications such as newspapers and magazines. In an online context, this practice relates to place and partnerships, and needs to be reviewed for online content owners, since there may be opportunities to generate additional revenue by re-publishing content on third-party sites through feeds, widgets or data exchange, or it may be possible to increase exposure on partner sites and so generate awareness or visits to the company site.

Care should be taken when using syndication as it also has implications for other companies, and in particular retailers, since syndication of information from their product catalogues to third-party aggregators is important to extend their reach. Retailers need to consider participating in Google Shopping so that Product Listing Ads (PLAs, Figure 5.4) are displayed to increase awareness (see Chapter 9, the section on search marketing).

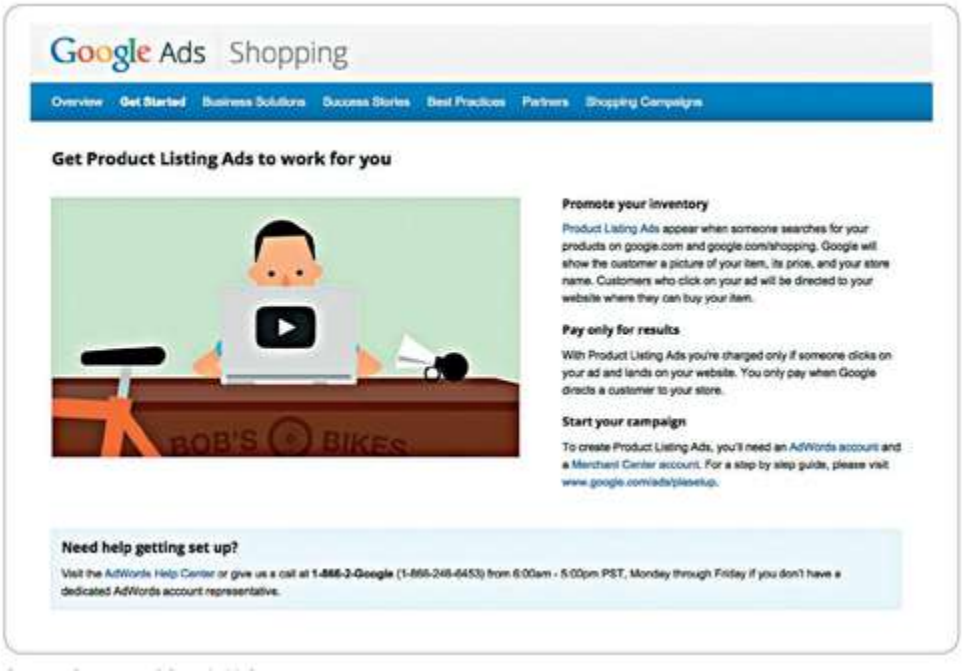
Integrating product data with a range of aggregators can be time-consuming. Channeladvisor (www.channeladvisor.com) provides e-commerce solutions to help retailers and brands to handle shipping and fulfilment in one place.

Payment mechanisms – purchase place

Traditionally, online purchase would occur at the retailer through a partnership with an online secure payment provider such as Worldpay™ (www.worldpay.com). Effectively, the purchase transaction occurs on a different domain, but it is important that customers are reassured that the payment process is secure and seamless. Retailers often offer payment mechanisms where the purchaser has already set up payment with another payment provider, such as PayPal (www.paypal.com). This approach can assist with reassurance about privacy and security, and increase purchase convenience and choice for the user, so these options also have to be reviewed. Currently, the development of mobile internet technology and smart devices means online payment can happen almost anywhere. Alipay and WeChat Pay payment via social media platforms are examples of the variety of emerging mobile payment services. While mobile payment services have increased flexibility of where and when we buy, fears about such issues as money safety and privacy invasion have increased. Mobile payment service providers need to ensure high levels of trust and quality of service if they are to develop long-lasting relationships with customers (Cao *et al.*, 2018).

Figure5.4

Google Shopping™ (www.google.com/shopping)



Source: Courtesy of Google LLC

Localisation

Providing a local site, with or without a language-specific version and additional cultural adaptations, is referred to as **localisation**. A site may need to support customers from a range of countries with:

- different product needs;
- language differences;
- cultural adaptation.

Further approaches used for cultural adaptation and localisation are described in **Chapter 7** in the section on localisation.

2 New channel structures

New channel structures enabled by the internet have been described in detail in **Chapters 2** and **4**. The main types of phenomena that companies need to develop strategies for are:

- *Disintermediation*. Digital marketers should ask themselves the question: is there an option for selling direct? But they should also remember that selling direct can lead to channel conflicts (mentioned in the next section).
- *Reintermediation*. The new intermediaries created through reintermediation described by Sarkar *et al*. (1996) should be evaluated for suitability for partnering in affiliate arrangements – e.g. Kelkoo, which receives a commission on each click or sale resulting from a referral from its site.
- *Countermediation*. Countermediation refers to the strategic options to make better use of online intermediaries, such as through partnering with independent intermediaries, purchasing or creating an independent intermediary. For example, a group of European airlines have joined forces to form Opodo (www.opodo.com), which is intended to counter independent companies such as Lastminute.com (www.lastminute.com) and eBookers (www.ebookers.com) in offering discount fares.

When considering channel structures, it is important to remember there may be implications for the physical distribution channel – e.g. grocery retailers have had to identify the best strategy for picking customers' goods prior to home delivery. Options include in-store picking (selection of items on customer orders) and regional picking centres. The former is proving more cost-effective.

3 Channel conflicts

A significant threat arising from the introduction of an internet channel is while disintermediation gives a company the opportunity to sell direct and increase profitability on products, it can also threaten distribution arrangements with existing partners. Such channel conflicts were originally described by Frazier (1999), and need to be carefully managed, particularly where brands and manufacturers offer an exclusive, or highly selective, distribution approach and operate in international markets or widely dispersed territories. Channel conflicts are bound up in the ‘nature of power that is exercised by one channel member over others’ (Moore *et al.*, 2004).

Further channel conflicts involve other stakeholders, including sales representatives and customers. For many B2B purchases, sales representatives remain an essential method of reaching the customer to support them in the purchase decision. Here, following training of sales staff, the internet can be used as a sales support and customer education tool. Business development representatives may use LinkedIn Sales Navigator as part of ‘social selling’ to learn more about the individuals they are selling to, gaining insight on their background and aspirations.

To assess channel conflicts, it is necessary to consider the different forms of channel the internet can take. These are:

- a communication channel only;
- a distribution channel to intermediaries;
- a direct sales channel to customers;
- any combination of the above.

To avoid channel conflicts, the appropriate combination of channels must be arrived at and the source of the conflict identified. For example, Frazier (1999) noted that using the internet as a direct sales channel may not be wise when a product's price varies considerably across global markets. Frazier suggests in some situations it may be best to use the internet as a communication channel only.

Digital channel strategy will, of course, depend on the existing arrangements for the market. If a geographical market is new and there are no existing agents or distributors, there is unlikely to be channel conflict in that there is a choice of distribution through the internet only or appointments of new agents to support internet sales, or a combination of the two. Often SMEs will attempt to use the internet to sell products without appointing agents, but this strategy will only be possible for retail products that need limited pre-sales and after-sales support. For higher-value products such as engineering equipment, which will require skilled sales staff to support the sale and after-sales servicing, agents will have to be appointed.

For existing geographical markets in which a company already has a mechanism for distribution in the form of agents and distributors, the situation is more complex and there is the threat of channel conflict. The strategic options available when an existing reseller arrangement is in place have been described by Kumar (1999):

- *No internet sales.* Neither the company nor any of its resellers makes sales over the internet. This will be the option to follow when a company, or its resellers, feels that the number of buyers has not reached the critical mass thought to warrant the investment in an online sales capability.
- *Internet sales by reseller only.* A reseller who is selling products from many companies may have sufficient aggregated demand (through selling products for other companies) to justify the expense of setting up online sales. The manufacturer may also not have the infrastructure to fulfil orders direct to customers without further investment, whereas the reseller will be set up for this already. In this case it is unlikely that a manufacturer would want to block sales via the internet channel.
- *Internet sales by manufacturer only*. It would be unusual if a manufacturer chose this option if it already had existing resellers in place. Were the manufacturer to do so, it would probably lead to lost sales as the reseller would perhaps stop selling through traditional channels.

- *Internet sales by all.* This option is arguably the logical future for internet sales. It is also likely to be the result if the manufacturer does not take a proactive approach to controlling internet sales.
- *Franchising.* This mode of channel management creates opportunities for a manufacturing brand to establish a franchising business where the reseller has an exclusive contract with rights to sell in particular areas. For example, LocalEats helps franchisees to launch their own local food-ordering company with all the support of the original franchisor.

Businesses will need to review the channel options constantly to ensure they remain viable and competitive.

4 Virtual organisations

Benjamin and Wigand (1995) stated that ‘it is becoming increasingly difficult to delineate accurately the borders of today’s organisations’, and a further implication of the introduction of electronic networks such as the internet is that it becomes easier to outsource aspects of the production and distribution of goods to third parties. This can lead to the boundaries within an organisation becoming blurred. Employees may work in any time zone, and customers are able to purchase tailored products from any location. The absence of any rigid boundary or hierarchy within the organisation should lead to a company becoming more responsive, cost effective, flexible and having a greater market orientation. SaaS marketing-related businesses such as the social media management tool Buffer (see Case study 6) and the marketing project management tool Basecamp have used the virtual organisation model for many years. The global COVID-19 pandemic enforcing the need to work from home (WFH) as part of lockdown restrictions accelerated the move to working practices typical of virtual organisations.

Research (Bahcecik *et al.*, 2019; Kraut *et al.*, 1998) has suggested the following features of a **virtual organisation**:

- Processes transcend the boundaries of a single form and are not controlled by a single organisational hierarchy.

- Production processes are flexible, with different parties involved at different times.
- Parties involved in the production of a single product are often geographically dispersed.
- Given this dispersion, coordination is heavily dependent on telecommunications and data networks.

All companies tend to have some elements of the virtual organisation. The process whereby these characteristics increase is known as **virtualisation**. Malone *et al*. (1987) argued that the presence of electronic networks tends to lead to virtualisation since they enable the governance and coordination of business transactions to be conducted effectively at lower cost.

One aspect of virtualisation is that companies should identify opportunities for providing new services and products to customers looking to outsource their external processes. The effect of this is that it may offer companies opportunities to outsource some marketing activities that were previously conducted in-house. For example, marketing research to assess the impact of a website can now be conducted in a virtual environment by an outside company rather than by having employees conduct a focus group.

At a more practical level, electronic partnerships can be used to deliver the entire marketing mix referenced in this chapter through standardised data exchange interfaces, which include:

- advertising through paid search networks (e.g. Google Ads);
- promoting services through feeds on price comparison search engines (e.g. Kelkoo or Google Shopping);
- promoting services through affiliate networks (e.g. CJ Affiliate™) or advertising networks (e.g. Google AdSense™ publishers programme);
- procuring expertise for short-term digital marketing work through an online web skills marketplace such as Guru™ (www.guru.com) and Upwork™ (www.upwork.com);
- use of secure payment system services such as PayPal or Google Pay™;
- analysis of web performance through online web analytics services (e.g. Google Analytics™).

Promotion and social media in a digital marketing context

The **promotion variable** of the marketing mix refers to how marketing communications are used to inform customers and other stakeholders about an organisation and its products.

The internet and digital marketing techniques are highly important and have significant implications for marketing communication planning and for this reason digital promotions are covered in depth in **Chapters 8** and **9**. In this chapter the aim is to briefly outline the core components of promotion.

According to Jobber and Ellis-Chadwick (2024), ‘Good communications are the lifeblood of successful market-oriented companies and their brands. But creating good communications presents many challenges.’ Digital technology is changing the way individuals and business communicate, the channel through which they communicate and the number of touchpoints encountered. Modern businesses are developing more integrated approaches towards the use of communications tools in order to maximise the opportunities to deliver messages to their target audiences. The main elements of the promotional mix a business might use to communicate, and their online equivalents summarised by Chaffey and Smith (2017), are shown in Table 5.3.

Specification of the promotion element of the mix is usually part of a communications strategy. This will include selection of target markets, positioning and integration of different communications tools. The internet offers an additional marketing communications channel to inform customers of the benefits of a product and assist in the buying decision. Here are some different approaches for looking at how the internet can be used to vary the promotion element of the mix:

1. reviewing new ways of applying each of the elements of the communications mix – such as advertising, sales promotions, PR and direct marketing;
2. assessing how the internet can be used at different stages of the buying process;
3. using promotional tools to assist in different stages of customer relationship management, from customer acquisition to retention. In a web context this includes gaining initial visitors to the site and gaining repeat visits using a number of communications techniques, such as:
    a. reminders in traditional media campaigns of why a site is worth visiting – such as online services and unique online offers and competitions;
    b. direct email reminders of site proposition – new offers;

c. frequently updated content – including promotional offers or information that helps your customer do their job or reminds them to visit.

The promotion element of a marketing plan also requires three important decisions about investment for the online promotion or the online communications mix (discussed further in **Chapter 8**):

- *Investment in site promotion compared to site creation and maintenance.* Since there is often a fixed budget for site creation, maintenance and promotion, the e-marketing plan should specify the budget for each to ensure there is a sensible balance and the promotion of the site is not underfunded.

Table5.3

The main elements of the promotional mix

Communications tool	Online implementation
Advertising	Display ads, including programmatic ad-buying (see Chapter 9), pay-search advertising, targeted ads in social networks
Selling	Virtual sales staff, site merchandising, assisted selling (including live affiliate marketing
Sales promotion	Incentives such as coupons, rewards, online loyalty schemes
Public relations	Online PR and influencer outreach, blogs, e-newsletters, newsletters, networks, links and viral campaigns
Sponsorship	Sponsoring an online event, site or service

Direct mail	Opt-in email using e-newsletters and focused ‘solus’ emails
Exhibitions	Webinars, virtual exhibitions and white-paper distribution
Merchandising	Promotional ad-serving on retail sites, personalised recommendations email alerts
Packaging	Virtual tours, real packaging displayed online
Word of mouth	Social, viral, affiliate marketing, email a friend, links

- *Investment in online promotion techniques in comparison to offline promotion.* A balance must be struck between these techniques. Typically, online promotion investment now exceeds that for offline promotion.

- *Investment in different online promotion techniques.* For example, how much should be paid for display, search, influencer marketing, programmatic or social media ads.

Mini case study 5.3 gives an example of the value of programmatic ads in generating awareness and sales. Hestan Culinary have also used integrated media and influencer relations campaigns to promote a once-a-year sale offering 20 per cent of some product lines. Their agency Zapwater secured five top-tier media placements generating approximately 120 million media impressions for an ad value of $1220 and partnered with seven influencers who created 51 pieces of content reaching an audience of 390,000 on social media. Borges-Tiago *et al.* have evaluated whether

mega or macro social media influencers are most effective. Their finding from surveying different brands was that smaller influencers engage customers better than celebrities.

Mini case study 5.3

B2C brand Hestan Culinary uses programmatic advertising to boost awareness

Hestan Culinary sells high-quality pots, pans and other cookware that’s backed by Michelin-star chefs. After seeing sales drop, they needed an effective revenue growth digital marketing solution that also improved their Return on Advertising Spend (ROAS). To address this situation, their strategy was to target casual cooking enthusiasts using programmatic advertising to increase awareness of the brand.

Their agency, Singlegrain, used the self-serve programmatic advertising service StackAdapt to run a combination of native and catalogue feed ad units. Both had strong performance with the catalogue feed leading the way in conversion.

StackAdapt is a demand-side platform (DSP) that enables advertisers to serve their digital ads on multiple publishers, across different advertising channels. DSPs make this process simple for agencies and brands by consolidating inventory into a single platform and providing access to a number of targeting tactics including first- and third-party audience

targeting, i.e. you can upload customer profiles for your own business for targeting or use data from other providers to reach desired audience segments.

Contextual ad targeting was used based on keywords to display both types of ads next to relevant content. S tack Adapt explains the value in using native ads this way: 'Native ads are consumed in the same way people view editorial content. This can lead to consumers looking at native ads 53 per cent more frequently than display ads. Native ads tend to register higher lift in purchase intent at 18 per cent per cent and brand affinity at 9 per cent, when compared to display ads.'

After the first month of the campaign, Hestan Culinary achieved a 218 per cent increase in conversions and a ROAS that went from 1.91 to 9.20. These metrics were sustained for over 45 days after the launch, and Hestan Culinary achieved more revenue.

Source: Agency Single Grain: https://www.singlegrain.com/digital-marketing/9-successful-digital-marketing-case-studies/ and technology provider StackAdapt (stackadapt.com)

People, process and physical evidence in a digital marketing context

The people, process and physical evidence elements of the mix are closely related and often grouped as ‘the service elements’. They are significant since the level of perceived service will impact on a customer’s loyalty and the probability of their recommending the service. Since this issue is closely related to the online customer experience, we also look at issues of website performance and response to customer emails in **Chapter 7**, including review of frameworks such as WEBQUAL and E-SERVQUAL for assessing service effectiveness.

Online there are two distinct considerations when looking at the service elements of the marketing mix. The first is the extent to which each of the service elements offers new potential to vary the online offer. The second is the disruptors: new types of services business that have altered the way we do things.

1. *Digital potential of the online service mix*

   Rayport *et al.* (2005) identified key management considerations when combining technology and human assistance in the service

delivery context. We have added some typical examples of applications for each type:

- *Substitution*. Deploying technology instead of people (or the opposite situation), for example:
    - frequently asked questions section on a website;
    - chatbot or avatar offering answers to questions, as in the IKEA ‘Ask Anna’ feature, which uses artificial intelligence and connects to all of the products in the brand’s ranges and converses digitally in 21 languages;
    - automated email response or a series of ‘Welcome’ emails educating customers about how to use a service;
    - using video to demonstrate products online.

- *Complementarity*. Deploying technology in combination with people, for example:
    - call-back facility where the website is used to set up a subsequent call from a contact centre;
    - online chat facility and live chat – the user chats through exchanging text messages on the website are used for improving responsiveness of a company’s online customer service;
    - an employee using a Wi-Fi-enabled hand-held device to facilitate easy rental-car returns.

- *Displacement*. Outsourcing or ‘off-shoring’ technology or labour, for example:
    - a fast-food chain centralising drive-through order taking in a remote call centre;
    - the online chat or call-back systems referred to above can be deployed at a lower cost through outsourcing.

2. *Service disruptors*

According to Furunes and Mkono (2019), the sharing economy is often referred to as ‘collaborative consumption’, which has impacted across many service sectors. Digital technology has connected individuals and business in new and exciting ways to facilitate a level of interaction and sharing to a level not previously possible. Airbnb has changed accommodation booking; Uber and Lyft have changed personal transport and delivery; Deliveroo, UberEats and DoorDash have changed food service delivery; and each of these examples also highlights the role of other important service-related concepts, which have enabled use of underutilised resources and affected perceptions of service quality:

- Value co-creation (Camilleri and Neuhofer, 2017) through a ‘reciprocal and mutually beneficial relationship’ (Vargo and Lusch, 2004). Shifting demographics of online generations has seen a rise in the importance of different types of benefits from customer

service encounters: Millennials enjoy authentic experiences, discovering local cultural experiences, which has benefited services such as Airbnb and food delivery services (Kim and Lee, 2020).

- Trust is especially important for intangible service offerings. Online trust is important in the sharing economy but is subjective. For transactions to occur where the service provider and the customer are unknown to each other, businesses need to find ways to instill trust. The inclusion of photographs online for identification of the people involved in the service provision can identify and provide reassurances to the customer by stimulating visual-based trust (Ert *et al*., 2016).
- Building a positive reputation can help build trust. Yacouel and Fleischer (2012) found online reviews to be highly effective in the hotel booking sector.

Furunes and Mkono (2019) also raise managerial issues arising from a move to the sharing economy as customer expectations of the service offer may be altered due to the following:

- Customer mega-gaps in service expectations; conflicts between what is delivered and the online service promise. For example, this research found failed expectations when takeaway food doesn’t appear as it looks online; delivery too slow; tech problems when ordering; and perceptions of the level of professionalism offered by couriers and drivers.

- Complaint service, service failure and service recovery. Service failure is an important consideration as dissatisfied customers can get themselves heard online, often more effectively than offline. Customers' involvement in shaping a service through their feedback and the collaboration that occurs as customers answer other customers' questions in forums can be a powerful influence on future behaviour. Furunes and Mkono (2019) found fragmented supply chains in the sharing economy led to difficulties in reporting complaints and getting suitable recompense to enable service recovery to take place.
- Over-standardisation: narrowly defined services can suffer from customers perceiving the service as limited and lacking in scope to satisfy their needs.

We will now review the different parts of the service elements of the mix in more detail.

People

The **people variable** of the marketing mix relates to how an organisation's staff interact with customers and other stakeholders during sales and pre- and post-sales communications with them. Furunes and Mkono (2019) examined how workforce scripts change as new entrants join the sharing economy and begin offering peer-to-peer services (e.g. Airbnb, Uber, Lyft, Deliveroo). This can mean traditional employer–employee relationships are altered and as a result deviate from perceived norms. This extends to workers' remunerations, income security of employment contracts and an overall casualisation of labour. This can lead to further complications, placing the service provider (worker) in a riskier work scenario where there are fewer guarantees and rights than if they were fully employed, which in turn can impact on the delivery of the service encounter. Their research looking at food-delivery services in the sharing economy found that while there were high levels of satisfied customers there were also very dissatisfied customers, which revealed that the people involved in the service delivery were key to shaping customer perceptions of the service as a whole.

Chaffey and Smith (2017) make a similar point to Rayport *et al*. (2005) when they suggest that, online, the main consideration for the people element of the mix is the review of how staff involvement in the buying is changed, either through new roles such as replying to emails or online

chat enquiries, or through their being replaced through automated online services.

While the options for this form of customer service outlined above are straightforward, what is challenging is to implement the applications effectively. For example, if an FAQ doesn’t have sufficient relevant answers or a call-back does not occur at the right time, then the result will be a dissatisfied customer who is unlikely to use a service again or will tell others about their experience using feedback and a rating, which can then appear on shopping comparison engines.

To manage the service and quality of inbound communications, organisations must devise plans to accommodate the five stages shown in Figure 5.5.

Stage 1: Customer defines support query

Companies should consider how easily the customer can find contact points and compose a support request on site. Best practice is clearly to find email support options. Often, finding contact and support information on a website is surprisingly difficult. Standardised terminology on site is ‘Contact Us’, ‘Support’ or ‘Ask a Question’. Options should be available for the customer to specify the type of query on a web form, or the company should provide alternative email addresses such as products@company.com or returns@company.com on site, or in offline communications such as a catalogue. Providing FAQs, apps or automated

diagnostic tools should be considered at this stage to reduce the number of inbound enquiries.

Finally, the website should determine expectations about the level of service quality. For example, inform the customer that ‘your enquiry will be responded to within 24 hours’.

avatars are increasingly being used to reduce the need for enquiries, such as ‘Ask Anna’ on the IKEA site. Research by Holzwarth *et al*. (2006) found that use of an avatar-based sales agent can lead to more satisfaction with the retailer, a more positive attitude towards the product and a greater purchase intent. They investigated the usage of ‘attractive’ versus ‘expert’ advisers, dependent on the complexity of the purchase decision.

Figure5.5

Stages in managing inbound email



Stage 2: Receipt of email and acknowledgement

Best practice is that automatic message acknowledgement occurs. This is usually provided by **autoresponder** software. While many autoresponders only provide a simple acknowledgement, more sophisticated responses can reassure the customer about when the response will occur and highlight other sources of information.

Stage 3: Routeing of email

Best practice involves automated routeing or workflow. Routeing the email to the right person is made easier if the type of query has been identified through the techniques described for Stage 1. It is also possible to use pattern recognition to identify the type of enquiry.

Stage 4: Compose response

Best practice is to use a library of pre-prepared templates for different types of queries. These can then be tailored and personalised by the contact centre employee as appropriate. The right type of template can again be selected automatically using the software referred to in Stage 2.

Stage 5: Follow-up

Best practice is that if the employee does not successfully answer the first response, then the email should suggest call-back from an employee or a live chat. Indeed, to avoid the problem of ‘email ping-pong’ where several emails may be exchanged, the company may want to proactively ring the customer to increase the speed of problem resolution, and so solve the problem. Finally, the email follow-up may provide the opportunity for outbound contact and marketing, perhaps advising about complementary products or offers.

Process

The **process variable** of the marketing mix refers to the methods and procedures companies use to achieve all marketing functions – such as new product development, promotion, sales and customer service (as described in the previous section). The restructuring of the organisation and channel structures to accommodate online marketing, which was described in the previous chapter, is part of process.

Customer contact strategies are a compromise between delivering quality customer service with the emphasis on customer choice and minimising the cost of customer contacts. Typical operational objectives that should drive the strategies and measure effectiveness are:

- to minimise average response time per contact (email) and the range of response time from slowest to fastest – this should form the basis of an advertised service quality level;
- to minimise clear-up (resolution) time – for example, number of contacts and elapsed time to resolution;
- to maximise customer satisfaction ratings with response;
- to minimise average staff time and cost per email response.

Customer contact strategies for integrating web and email support into existing contact centre operations usually incorporate elements of the

following options:

- *Customer-preferred channel.* Here the company uses a customer-led approach where customers use their preferred channel for enquiry, whether it be phone call-back, email or live chat. There is little attempt made to influence the customer as to which is the preferable channel. Note that while this approach may give good customer satisfaction ratings, it is not usually the most cost-effective approach, since the cost of phone support will be higher than customer self-service on the web, or an email enquiry.
- *Company-preferred channel*. Here the company will seek to influence the customer on the medium used for contact. For example, easyJet encourages customers to use online channels rather than voice contact to the call centre for both ordering and customer service. Customer choice is still available, but the company uses the website to influence the choice of channel.
- *Delivering customer services and assisted sales through live chat is increasingly popular.* For example, mobile phone company EE uses LivePerson for customer service and assisted sales.

Physical evidence

The **physical evidence variable** of the marketing mix refers to the tangible expression of a product and how it is purchased and used. In an online context, ‘physical evidence’ refers to the customer’s experience of the company through digital channels. For example, a digital showroom can be created as a flagship store and replace a physical high-street store. The global pandemic has encouraged more brands to use different ways of working, and digital showrooms have been used to support brands in the sales process. Virtual reality and video conferencing have enabled a digital/physical presence (Figure 5.6). While government restrictions stopped viewings of houses taking place in person, estate agents utilised videos and 360-degree images to sell properties.

Physical evidence includes issues such as site ease of use or navigation, availability and performance, which are discussed further in **Chapter 7**.

Figure5.6

Virtual retail fashion showroom



Source: Aliaksandr Yarmolovich/Shutterstock

Case study 5.1 concludes the chapter.

Case study 5.1

Spotify Act Global, Think Local to deliver relevance

Context

The streaming industry has revolutionised how audiences consume music and media, offering unparalleled access to a vast array of media content online seamlessly across multiple channels. Such platforms are redefining entertainment and transforming the global media landscape. A significant player in reshaping the industry is Spotify. The digital platform that offers online audio and video streaming services, providing content from record labels, media companies, and creators around the globe. Commonly known for its sophisticated recommendation system, delivering music, podcasts, and video content to users, Spotify continues to dominate the media industry, reaching a market capitalisation of $62 billion in July 2024 (Yahoo Finance, 2024), with platform users surpassing half a billion monthly listeners across 184 countries and markets. The aim for growth continues for Spotify as CEO Daniel Ek ambitiously aims to grow Spotify to 1 billion users

by 2030 (Reuters, 2024), a goal that reflects the platform's rapid and impressive growth trajectory.

Contrary to its key competitors Amazon and Apple Music, Spotify successfully dominated global markets quickly partly due to its effective localisation strategy. Embracing the slogan “Think Global, Act Local,” Spotify's localisation and product development teams prioritise understanding local markets while creating personalised experiences for users worldwide. This approach has been crucial in attracting and retaining users, enhancing their engagement with the platform. Indeed, former Chief Marketing Officer Seth Farbman highlighted the importance of localisation within Spotify, stating:

> ‘The localisation is much more important within music and within Spotify than it would be within most global brands. That means we continue to maintain strong regional and local marketing teams, but it also gives us the opportunity to cut across all of it. No matter where you are in the world, there are shared experiences, and they are of interest to everyone.’

At the heart of Spotify’s value proposition is its promise of providing ‘Music for Everyone.’ Spotify has consistently been at

the forefront of personalisation, even dedicating a role of VP of Personalisation to ensure that user experiences remain uniquely customised. The platform delivers high-quality content across various devices, offering users the ability to enjoy top-notch music streaming, personalised playlists, and tailored music recommendations based on historical listening tastes. Understanding the complexity of different cultures across its markets, Spotify offers a tailored approach to its services, allowing users to enjoy some features for free to build a relationship with platform, with additional features available through premium subscriptions.

This case study explores how Spotify's marketing mix approach has been instrumental in its global expansion, establishing the platform as the leading choice for music listeners worldwide. Through strategic localisation, personalisation, and innovative marketing, Spotify continues to set the benchmark in the online music streaming industry.

Product customisation

In international marketing context, personalisation remains a key marketing strategy to facilitate entry to new markets. Recognising the cultural differences across western and eastern markets in shaping consumer decision-making, Spotify emphasised the significance of tailoring user experience with its product through

extensive market research in understanding local artists and music preferences of each market. Spotify users have access to local and international music seamlessly when they open a streaming app, in a move to embrace the local music taste for each market. Spotify's streaming product is continuously adjusted against the recommendations of the regional teams that research the new trends in the markets to identify and cater to the unique preferences of local users.

A prime example of Spotify's product customisation approach dates to 2019 where the regional India launch team engaged with the local music scene by attending concerts, parties, and engaging in conversations with people across the country. The results of the market research in India highlighted that many Indian listeners wanted to connect with music that others were listening to on the platform, not just their own playlists. Consequently, Spotify introduced 'Sound of City' playlists, tracking trending songs in major cities like Mumbai, Delhi, Bengaluru and Chennai. The success of Spotify in Asian markets was also witnessed in Japan where the regional team highlighted the need for a karaoke feature into the Japanese version of the platform given its importance to the Japanese users. This adaptation was critical for competing with established Japanese streaming services.

Embodying the “Think Global, Act Local” ethos, Spotify provided further modifications to the platform beyond its music catalogue. In 2021, Spotify embarked on the "Scaling Translations" project, adding support for 36 new languages. This initiative involved stripping the product down to essential elements and then building it back up with both standard and region-specific features tailored to each market. Cecilia Qvist, Spotify’s former Global Head of Markets, highlighted the importance of meeting user expectations from the moment they open the app, noting that these expectations vary significantly across different markets. For instance, when launching in North Africa and West Asia, Spotify introduced an Arabic version of the app, accounting for the right-to-left reading orientation of Arabic. This involved flipping text and UI elements while maintaining familiar playback controls, demonstrating a nuanced understanding of local user expectations. Likewise, Spotify's commitment to localisation is further exemplified by its strategic partnerships and language support initiatives. In 2022, Spotify partnered with FC Barcelona, leading to the renaming of the stadium to Spotify Camp Nou and the addition of Catalan language support to engage with local fans. In 2023, Spotify expanded its language offerings to include Basque and Galician, further personalising the user experience and fostering connections between creators and their audiences.

Adaptive Pricing Model

Customer prior experience with intangible services plays a significant role in shaping the service provider’ ability to retain and upsell the customer in the long run. Consequently, Spotify employs a dual pricing strategy that combines a freemium model with a subscription-based service, effectively catering to the diverse needs of its users. The freemium model offers basic access to Spotify's vast music library for free, supported by ads. Understanding users’ financial capabilities, the freemium model lowers the barrier to entry across markets, enabling a large number of users to experience the platform without any initial cost. This strategy fosters a positive relationship between Spotify and its users, who can explore and enjoy the platform's offerings before committing financially. The effectiveness of this model is evident in Spotify's impressive conversion rate: 46% of free users upgrade to the premium service.

For users seeking an enhanced experience, Spotify provides a premium, ad-free service at a market-specific subscription fee per month. Once a user subscribes to Spotify, they become part of a larger network of Spotify users, and they feel connected to that community through following a friend’s playlist, making blended playlists, or comparing their Spotify wrapped top artists. Spotify excels in this aspect, maintaining an 85% retention rate despite its rapid user growth. This success can be attributed to Spotify’s ability to leverage the social and network effects inherent in music

listening behaviours. Premium subscribers become part of a larger community of Spotify users, engaging with friends through shared playlists, blended playlists, and features like Spotify Wrapped, which showcases top artists and listening habits.

Notably, central to the success of its premium subscription model, Spotify spotted the effect of exchange rate, household income, and market-bases prices in consumers' interest in subscribing to its premium services. Accordingly, Spotify implemented a market-based pricing model that takes into account these factors to breakdown the barriers to entry in foreign markets. For example, the cost of a Spotify Premium subscription is generally higher in Europe and North America compared to Asia, Africa, and South America. Denmark has the highest subscription costs, while India enjoys the lowest. Likewise, the subscription cost represents a more significant portion of the average monthly income. In Nicaragua, a Spotify Premium subscription accounts for nearly 4% of the average monthly income, whilst in Qatar, the subscription cost is only 0.1% of the average monthly income, providing excellent value for users. This variability highlights that while Spotify aims to be affordable, the value perceived by users can differ significantly across different markets.

Additionally, Spotify enhances accessibility by accepting 130 different payment types. This broad range of payment options

allows users to pay for their subscriptions with methods that are familiar and convenient to them, thereby removing potential barriers to subscription. Sandra Alzetta, Spotify's VP Global Head of Commerce and Customer Service, underscores this inclusive approach:

> ‘We love the fact that we can expand our addressable target market by offering new payment methods. We’re also conscious that we can significantly increase inclusivity by offering the right payment methods. We don’t want to disadvantage any demographics.’

Technology-enhanced service delivery:

In efforts to maintain its market position, Spotify continues to invest in the process of delivering its online services to customers. A key area of focus is the use of artificial intelligence and machine learning to analyse users’ listening habits and historical behaviours. Spotify relies on its platform data analytics ability to tailor the albums and playlists displayed on a user's home screen, ensuring a more personalised and engaging experience. Spotify has also incorporated Reinforcement Learning (RL) to anticipate what users might want to listen to in the future. RL helps maximise the long-term satisfaction users derive from the platform by

predicting and recommending music that aligns with their evolving preferences. This proactive approach ensures that Spotify remains relevant and continues to meet the dynamic tastes of its user base. Spotify employs a RL with Human Feedback model, wherein users indirectly teach the AI to improve its performance every time they play or skip a song. This continuous feedback loop is the perfect foundation for ongoing personalisation and improved recommendations, ensuring that the platform remains highly adaptive and responsive to individual user preferences.

Recently, one of Spotify’s most recent technological innovations is the AI DJ feature, which offers a curated selection of music accompanied by spoken commentary about the tracks and artists.

This feature represents a significant shift towards a more passive, lean-back listening experience, relying on the platform's recommendations rather than active user selection. This AI DJ not only curates music, but also adds a personal touch by providing contextual information, enhancing the overall user experience. These investments in optimising the process of the platform forms a foundation for the success of Spotify in a future dominated by artificial intelligence technology.

Stakeholder driven marketing

Spotify’s growth in the streaming industry was facilitated by its users’ word-of-mouth across online platforms, collaborations with music artists globally, as well as establishing partnerships with companies who complement the music product. As a start, Spotify's promotion strategy relies on the use of social media platforms to connect with users and promote new features and content. For example, Instagram partnered up with Spotify to allow users the ability to add music from the Spotify’s catalogue on their posts, reels and stories on the social media platform (AlHusseini, 2023). Likewise, Instagram and Spotify collaborated in launching a new Instagram Reels feature, enabling fans to effortlessly interact with music they find on Instagram by saving and listening on Spotify. This initiative encourages users of both platforms to create Reels featuring their favourite music, as well as offer editorial track recommendations from Spotify within Instagram, allowing users to easily link out and create Reels directly from Spotify.

In addition to its collaboration with Instagram, Spotify leverages word-of-mouth marketing by encouraging users to share their favourite songs and playlists with friends and followers on social media. This strategy expands Spotify's reach, introducing the service to new users by capitalising on the trust inherent in user-generated content, which significantly influences consumer purchase decisions. In 2019, Spotify lunched "Your Daily Drive"

campaign that featured a playlist designed to help people stay focused and motivated while driving by offering them relevant music and news tailored to their interests. The campaign featured Spotify's real users sharing their stories about how the playlist has helped them stay focused and motivated on the road. Beyond average users, Spotify also partnered with micro-bloggers and social media influencers to endorse its subscription-based service. These influencers share their enjoyable music streaming experiences with their audiences, reflecting a desirable lifestyle that resonates with followers. Influencer marketing harnesses the power of aspiration, shaping consumers' desires for self-esteem and self-actualisation (Belanche *et al.,* 2021). Spotify creates a sense of aspiration among average users by showcasing the music lifestyle of social media celebrities, thus encouraging them to subscribe to Spotify to emulate this lifestyle.

Beyond direct advertising, Spotify has developed both local and global partnerships with companies like Starbucks and Uber to enhance its brand presence and reach new audiences. The collaboration with Starbucks, known as the "First-of-Its-Kind Music Ecosystem," offers Starbucks visitors the opportunity to enjoy decades' worth of playlists in-store. Additionally, Starbucks employees receive Premium subscriptions. This partnership not only strengthens Spotify's brand image through its association with Starbucks—a leading player in the hospitality industry—but

also introduces Starbucks customers to Spotify's unique playlists, generating interest in the premium service with minimal marketing effort. Similarly, Spotify's collaboration with Uber allows riders to connect their Spotify accounts with their Uber accounts, enabling them to stream their favourite tunes during their ride. This integration showcases Spotify's ability to seamlessly blend with other platforms, providing a connected and personalised experience for users. By enhancing the riding experience for Uber customers, Spotify encourages them to subscribe to its service, capitalising on the convenience and enjoyment of a tailored music experience. Indeed, connected experiences across digital and physical platforms form a strong foundation for consumer retention in today's market (AbedRabbo *et al.*, 2021).

In a more traditional marketing approach, Spotify uses email and mobile push notifications as a personalised marketing tool to reach out to users and promote new releases and playlists. These playlists are developed by the machine learning technology of the platform and communicated to the user immediately using the opted-in communication channels. The personalised marketing approach has helped Spotify to build customers' engagement with the platform as they feel a sense of belonging to Spotify based on their 'personal' interaction with online platform.

Questions

1. Investigate the role of customisation and personalisation of Spotify’s product in establishing market dominance in the streaming industry.
2. From a PESTEL analysis viewpoint, evaluate how the dynamic pricing model of Spotify helped its entry in developed vs. developing markets.
3. Discuss the role of connected experiences across Instagram and Uber in building Spotify’s brand and user experience in the online industry.

Summary

1. This chapter has explored the marketing mix in a digital context and focused on the opportunities for varying the marketing mix.
2. *Branding* has been explored from a traditional and digital perspective, highlighting key considerations for digital markets and brand managers. Each of the established elements of a brand offline (e.g. domain, value, assets, heritage) have been considered as to how they relate to the online world.
3. *Product.* Opportunities for varying the core product and the extended product through new information-based services have been examined.
4. *Price.* The internet leads to price transparency and commoditisation, and hence lower prices. Dynamic pricing gives the ability to test prices or to offer differential pricing for different segments or in response to variations in demand. Digital pricing models such as auctions create opportunities for a more flexible and dynamic approach towards pricing.

5. *Place.* This refers to place of purchase and channel structure on the internet. There are three main locations for e-commerce transactions: seller site, buyer site and intermediary. New channel structures are available through direct sales and linking to new intermediaries.
6. *Promotion.* This aspect of the mix is discussed in more detail in **Chapters 8** and **9**.
7. *People, process and physical evidence.* These aspects of the mix are discussed in more detail in **Chapters 6** and **7** in relation to customer relationship management and service delivery.

Exercises

Self-assessment questions

1. Review the extended marketing mix (7Ps) and for each element of the mix identify an important change in the digital context.
2. Give examples of core and extended products you might encounter in digital environments.
3. Explain the implications of the digital media for price.
4. What are the implications of the digital media and channels for place?

5. Explain how digital channels have altered how companies can differentiate their brands online.

Exam and discussion questions

1. 'The marketing mix is no longer a valid concept in the internet era.' Discuss.
2. Critically evaluate the impact of the digital marketing context in relation to the elements of the mix for an industry sector of your choice.
3. Discuss the potential impact of digital channels on a firm's pricing policies.
4. Discuss the opportunities offered by the place element of the mix for a) physical retailers and b) digital retailers.
5. Explain the opportunities provided by digital channels for leading brands when launching new products.
6. Discuss the extent to which the internet has affected the physical high street.
7. Explain how an organisation can vary its promotional mix using the internet.
8. The global pandemic has significantly disrupted the marketing environment, creating opportunities for digital brands to thrive. Examine the extent to which each of the elements of the marketing mix have contributed to such online success.

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Weblinks

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Chapter 6

Data-driven relationship marketing using digital platforms

Learning objectives and topics

After reading this chapter, you should be able to:

- Assess the relevance of and alternative approaches for using digital platforms for customer relationship management by encouraging interactions through social media, mobile messaging and email marketing
    - Introduction
    - Concepts of data-driven customer relationship marketing
    - Customer lifecycle management strategy
- Evaluate the potential of data-driven marketing, artificial intelligence and ‘Big Data’ using digital technology and marketing automation to deliver more relevant interactions and encourage customer loyalty

    - Data-driven marketing techniques
    - Applying artificial intelligence and Big Data to support data-driven marketing
    - Using data analysis and targeting techniques to increase customer loyalty and value
- Assess how to integrate social and mobile interactions to develop social CRM capabilities
    - Using social media to improve customer loyalty and advocacy

Case study

Case study 6.1 Buffer: from idea to paying business customers in seven weeks

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Links to other chapters

This chapter is related to other chapters as follows:

- **Chapter 4** introduces customer lifecycle-based segmentation models.
- **Chapter 7** has guidelines on how to develop the right customer experience to assist in forming and maintaining relationships including website personalisation.
- **Chapter 8** describes methods of acquiring customers for one-to-one marketing.

- **Chapter 10** gives examples of relationship marketing in the business-to-consumer and business-to-business markets.

Introduction

Building long-term relationships with customers is essential for any sustainable business. So, what are the implications of the digital age for loyalty? The advent of digital marketing means that comparing and switching providers of services is easier than previously. Yet digital marketing also offers businesses opportunities to become more relevant to their customers using innovative **data-driven marketing** techniques with new options for Artificial Intelligence (AI). **Marketing automation** has proved popular when combined with **customer relationship management (CRM)** databases to develop more relevant always-on communications to communicate with new prospects and customers. In the context of the 7Ds of digital marketing we introduced in **Chapter 1**, this chapter focuses on applications of digital data and digital technology with a focus on owned media (email marketing, organic social media and website integration).

In this chapter we will explore how techniques such as online personalisation, artificial intelligence and machine learning can harness data available about our audiences. Analysis can then be used to build relationships and encourage loyalty and decrease **churn rates** by delivering more relevant communications and customer service through personalised online messaging. Although the focus is on customer communications, many data-driven marketing techniques can also help

increase conversion rates as businesses communicate with prospects or leads of a company before they purchase.

Failure to build relationships to gain repeat visitors and sales has caused the collapse of many online startups, which have forfeited large expenditure on customer acquisition. Research summarised by Reichheld and Schefter (2000) showed that acquiring online customers is so expensive (they suggested 20–30 per cent higher than for traditional businesses) that startup companies may remain unprofitable for at least two to three years. The research also shows that by retaining just 5 per cent more customers, online companies can boost their profits by between 25 and 95 per cent.

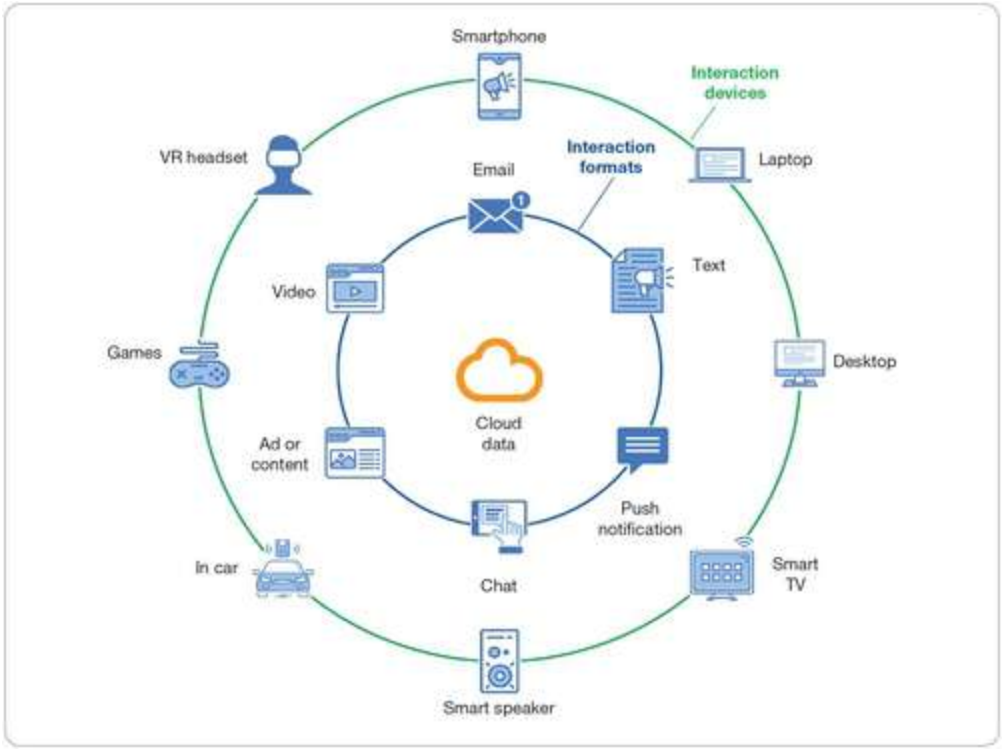
Digital technologies are powerful since brands can interact directly with individuals to deliver relevant personal communications based on insight about individuals or groups of similar people, which is typically stored in the cloud or inside a company within multiple databases. Figure 6.1 summarises the online messaging techniques available to businesses today for interacting directly with audiences. Traditional direct mail can also be used to complement these communications. Interaction formats used to deliver communications to individuals are shown in the inner circle. The outer circle shows the many different digital devices that we can use to deliver communications, giving a choice to audiences.

It’s clear that there are many options for delivering communications. The challenge for marketers is that as the number of options and messages delivered has increased it has become more difficult to make an impact. Considering email, Radicati Group (2023) forecast that the number of worldwide email users, including both business and consumer users, will grow from over 4.3 billion in 2023 to over 4.8 billion by 2027. According to the report, email use continues to see strong growth with both consumer and business users, as it is an integral part of the overall Internet experience and an email account (i.e., email address) is required to sign up to any kind online activity, including social networking sites, instant messaging and any other form of online presence. Since email is still the most pervasive form of electronic communication for both business and consumer users, it is a key technique alongside mobile text and push notifications and emerging formats. On average, a consumer receives approximately 75 messages per day, so to gain ‘cut-through within the crowded inbox’ requires both creativity and targeting to deliver a relevant message. Other forms of personal messaging are increasing in importance, as catalogued by Datareportal (Kemp, 2024), which reported that, globally, the messaging apps with the most number of active users were WhatsApp (2 billion), Facebook Messenger (2 billion) and Weixin/WeChat (1.3 billion). A further three (QQ, Telegram and Snapchat) are also significant. These may not all offer the sophisticated targeting options of email marketing, but offer the potential to improve customer loyalty by interacting directly with individuals alongside push notifications in mobile apps and SMS text marketing. They’re particularly

relevant for audiences that don’t use email marketing. This increase in digital messaging highlights why a lifecycle customer relationship management strategy informed by data about customers is important to gain audience engagement through more personalised messages that offer greater value than competitor messages, which are less relevant. This chapter details the data-driven analysis and personalisation techniques available to the marketer, showing through examples how they can be applied to B2B and B2C markets using marketing automation.

Figure6.1

Digital communications options to support relationship development with online audiences using direct messaging



Essential digital skills

Customer data analysis and marketing automation

The digital marketing skills needed by employers are to evaluate engagement and develop creative ways to improve audience engagement and loyalty. Specific skills include:

- boosting subscribers and profiling them through landing pages;
- planning a web, email and app-based contact strategy for improvement engagement;
- understanding and testing personalisation using rules and AI-based approaches;
- auditing marketing automation technology use by a company using the tools recommended at the start of **Chapter 2**, such as BuiltWith and Wappalyzer;
- assessing multichannel audience engagement and value using techniques such as RFM;
- developing creative ways to engage audiences through social media.

Practical ideas to boost employability by showcasing your interests and experiences include:

- using a free email management tool such as Mailchimp or free HubSpot CRM to broadcast emails to a group;
- configuring a Generative AI tool such as ChatGPT to support customer service, for example using a GPT. You can review the OpenAI GPT Store to familiarise yourself with the version and marketing tools available (see Activity 6.1);
- understanding how personalisation works by trialling the free personalisation within Google Optimize on a blog.

Activity 6.1

Understanding the marketing opportunities available from OpenAI ChatGPT

Purpose

OpenAI and other GenAI providers have innovated rapidly and this gives marketers a bewildering range of options from which they have to decide which are relevant for their business.

Activity

Review the current options available for ChatGPT compared to the summary below. Summarise the options that you think are most relevant for marketers and make the case for paying for premium features. Assess the benefits of paying for these features or investing in other dedicated marketing AI platform such as Jasper.ai, Copy.ai or Hoppycoppy.co.

See also the different examples covered in the OpenAI customer stories featured in Digital marketing insight 6.1.

1. ChatGPT options

These are important features and plans that people can decide to use. They include

- *Custom Instructions.* An important feature available in all versions. Enable users to specify how ChatGPT should respond in the context of your job and business to produce copy more suitable for your business and audience. More details are available in our copywriting modules.

- *ChatGPT Plus – the premium version*. You can see from the screen grab that if you want to use the latest model and features you have to pay.
- *GPT Team and Enterprise.* These options provide lower-cost per seat and improved features. GPT Team Plan: Minimum of three users. GPT Enterprise Plan: Minimum of 500 users.
- *GPTs – custom versions of ChatGPT.* Combine instructions, extra knowledge, and any combination of skills for specific use cases. You can upload your own content to help tailor responses. These replaced Plugins which are no longer available.

2. Large Language Model versions

As a user of ChatGPT, you have to be sure you are using the best LLM for the job. Typically, this is the most recent version, but these are only available in premium plans. The options are:

- *GPT-3.5*. Available at launched. Dated to 2020 training data.
- *GPT-4.* Training data also limited to 2021. Superior reasoning, faster response, but Google Gemini is more up-to-date.
- *GPT4o (Omni).* Currently the latest model. Accepts as input any combination of text, audio, image, and video and generates any combination of text, audio, and image outputs
- *GPT-5.* Will include more up-to-date data.

3. ChatGPT transformation options

Remember that GPT stands for Generative Pre-trained Transformers! These are the main ways that marketers use ChatGPT can use different inputs to create different outputs depending on the model they are using:

- Text-to-text – using prompts to create text responses
- Text-to-image – using prompts to create videos using DALL-E

- Image-to-text – using Optical Character Recognition (OCR)
- Text-to-video – currently not launched

4. Voice instructions are possible for these transformations in the more recent versions.

Concepts of data-driven customer relationship marketing

Over the last three decades or more, relationship marketing, direct marketing and database marketing have combined to enable customer relationship management (CRM). CRM systems are popular for supporting the following applications that develop relationships with prospects and customers, particularly in B2B organisations:

1. *Marketing automation.* Marketing automation and CRM systems such as Salesforce and Eloqua can be used to nurture prospects by sending a sequence of targeted email communications after they show initial interest in a service, for example after they download a case study or attend a webinar.
2. *Sales force automation.* Sales representatives are supported in their account management through tools to arrange and record customer visits. Today, within business-to-business marketing, these include support for **social selling** through services such as LinkedIn Navigator and **account-based marketing (ABM)** for larger organisations with multiple people in the buying unit. Automated tools also support **sales cadences**, which make it easy for sales people to send updates via email and LinkedIn to nurture prospects.
3. *Customer service management.* Representatives in contact centres respond to customer requests for information by using an intranet to

access databases containing information on the customer, products and previous queries. It is more efficient and may increase customer convenience if customers are given the option of **web self-service**, i.e. accessing support data through a web interface. With the advent of generative AI tools, many businesses are benefiting from using ChatGPT and similar services to improve the quality of customer service and reduce costs as Digital marketing insight 6.2 shows.

4. *Customer communications management.* Managing communications integrated across different channels including direct mail, email, mobile messaging, personalised web messages and social networks.

5. *Analysis and reporting.* Reporting on the volume, quality and value of leads in the sales pipeline through techniques such as lead scoring and grading, which we describe in the section on permission marketing.

Since the advent of cloud-based Software-as-a-Service (SaaS) for CRM through platforms such as Salesforce and Eloqua (now part of Oracle), marketing automation technology has been more widely adopted across both B2C and B2B businesses of all sizes and that define rules that schedule more relevant emails and personalised communications on company websites. Cloud-based SaaS such as inbound marketing platforms HubSpot and GetResponse have made CRM and marketing automation more affordable to companies in a range of sizes and

industries. In 2021 HubSpot passed the milestones of 100,000 business customers and $1 billion in annual recurring revenue (PR Newswire, 2021). Smaller businesses and startups can use CRM services such as Mailchimp and Constant Contact for email at lower cost, or free of charge for even smaller lists.

Marketing automation to support lifecycle marketing is the term used most commonly by marketing professionals today, rather than the more clunky e-CRM, to which we referred in previous editions.

Marketing automation is a potentially powerful digitally enabled technique since, if configured to deliver targeted messages, it can provide more relevant, more contextual messaging to customers, which has an improved response and value to customers because of its relevance. Marketing automation can support different touchpoints across the customer lifecycle, as shown in Figure 2.1. For prospect and customer communications in larger enterprises, the management of these messages is also known as **marketing orchestration** – part of the 'always-on' approach to communications used to deliver relevant messages, as shown in Digital marketing insight 6.1 about the goals of marketing orchestration. The analogy of a conductor and their orchestra is appropriate since it suggests the large number of people who need to be aligned in their actions at the right time.

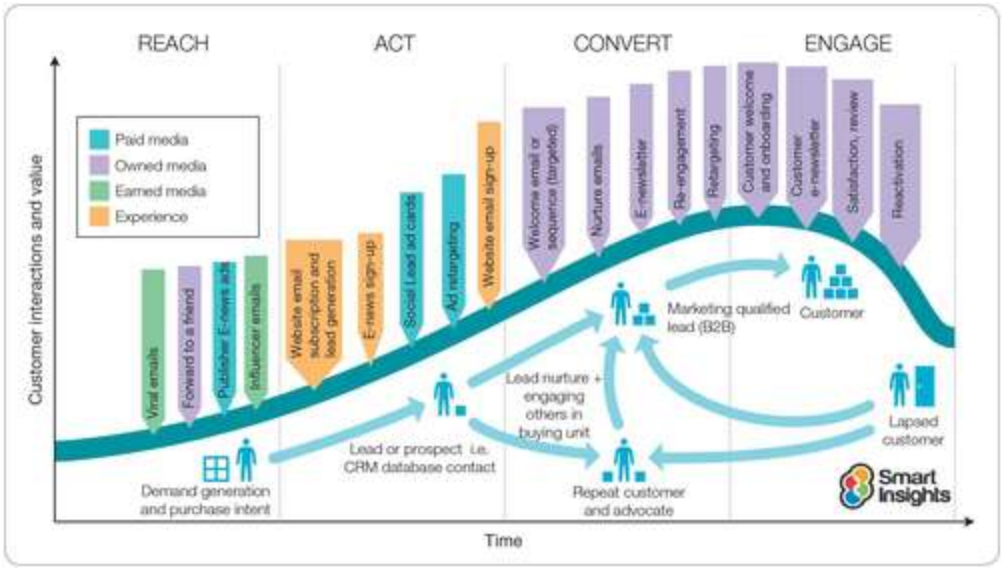
Marketing automation enables every online customer interaction or response to a communication to be followed up by a series of relevant communications delivered by the right combinations of channel (web, email, phone, direct mail) to elicit a response or further dialogue. However, this ‘always-on’ approach to inbound marketing requires a defined **contact or touch strategy** to be created within the marketing automation system. In our experience, some businesses do not take advantage of the benefits of marketing automation platforms since they don’t set up a contact and targeting strategy, simply sending similar emails to everyone.

Figure 6.2 recommends opportunities for using email marketing throughout the customer lifecycle to form a contact strategy. As with Figure 2.1, which considers other digital marketing touchpoints, you can use this type of visual for a ‘gap analysis’ to review opportunities to use email marketing for relationship marketing. We will examine some of these techniques, such as welcome and nurture emails, in more detail later in the chapter.

Creating an automated contact strategy or policy is an example of **contextual marketing**, where the aim is to deliver relevant messages that fit the current context of what the customer is interested in, according to the searches they have performed, the type of content they have viewed or the products they have recently purchased.

Figure6.2

Opportunities for using email marketing to support customer lifecycle marketing goals



Source: Smart Insights (Marketing Intelligence) Ltd

Digital marketing insight 6.1

The goals of marketing orchestration

We have used this summary of how businesses need to manage customer communications in previous editions under the moniker coined by Dave Chaffey of ‘right touching’ or **one-to-one marketing**; it is now updated to explain the aims of marketing communications orchestration using marketing automation. Initially, automation was achieved by rules-based techniques, such as ‘send a series of three welcome emails to new customers with different repeat purchase offers over a period of three weeks’. Today, artificial intelligence can be used to deliver the right message at the right time, not using rules but instead based on learning from historic response patterns.

The aim of marketing orchestration can be defined as the development of:

- A multichannel communications strategy
- Customised for individual prospects and customers forming segments
- Across a defined customer lifecycle

Which . . .

- Delivers the right message
- Featuring the right value proposition (product, service or experience)
- With the right tone
- At the right time or context
- With the right frequency and interval
- Using the right media/communications channels

To achieve . . .

- Right balance of value between both parties

A contact policy should also be developed to manage and control communications so that they are at an acceptable level as both automated event-triggered emails and manual emails such as newsletters and campaign emails are sent. The contact policy should indicate the following:

- *Frequency* – e.g. minimum once per quarter and maximum once per month.

- *Interval* – e.g. there must be a gap of at least one week or one month between communications.
- *Content and offers* – we may want to limit or achieve a certain number of prize draws or information-led offers.
- *Links* – between online communications and offline communications.
- *A control strategy* – a mechanism to make sure communications guidelines are adhered to – e.g. ensuring brand messages are checked, tested and optimised and customers are contacted at a suitable frequency in line with their privacy statements.

While commentators recommended an aim of ‘one-to-one’ personalisation of marketing communications for many years, more recently, technology analyst Gartner (Frank, 2015) has acknowledged that due to privacy concerns, this may not be possible, instead recommending the concept of personification, where targeting is based on shared characteristics of a segment rather than an individual.

We can expect to see more marketing technology service providers and digital platforms developing targeting that uses personification techniques. This will still enable digital communications to be tailored based on the characteristics, interests and behaviours of a group of similar consumers rather than an individual, such that an individual’s personal information is not used. However, since there is different privacy

legislation in different countries, as described in **Chapter 3**, solutions will have to comply with these.

Google's announcement of 'Federated Learning of Cohorts (FLoC)' to replace third-party cookies to deliver relevant ads 'by clustering large groups of people with similar interests' (Bindra, 2021) is an example of the trend of personification. This is now known by Google as 'Topics'. It was introduced to reduce Google's use of third-party cookies to improve user privacy. It's an example of how personalisation quality may be reduced by customer privacy concerns and laws that seek to protect user privacy.

Digital marketing insight 6.2

How businesses are benefiting from building ChatGPT into their services

Since ChatGPT launched, some innovative businesses have been quick to embrace it and have reaped the benefits highlighted by examples provided by OpenAI.

Their case studies highlight how many sizeable businesses are using ChatGPT and other GenAI tools to support their proposition and service delivery. They also highlight the importance of acting and having a planned approach, for example, Stéphane Bancel, CEO of Moderna says:

> *‘We believe very profoundly at Moderna that ChatGPT and what OpenAI is doing is going to change the world. We’re looking at every business process—from legal, to research, to manufacturing, to commercial—and thinking about how to redesign them with AI.’*

While Brad Miller, Chief Information Officer of Moderna highlights the need for staff training and support for success:

> *‘90% of companies want to do GenAI, but only 10% of them are successful, and the reason they fail is because they haven’t built the mechanisms of actually transforming the workforce to adopt new technology and new capabilities.*’

Here’s our summary of some of the achievements of companies in different sectors featured in the case studies that stood out:

- **Healthcare – Moderna adoption of GPTs** (customised Chatbots trained on in-company documentation): Within two months of the ChatGPT Enterprise adoption Moderna had 750 GPTs across the company, 40 per cent of weekly active users created GPTs, each user has 120 ChatGPT Enterprise conversations per week on average.
- **Retail payments – Klarna using ChatGPT for customer service**. Their AI assistant has had 2.3 million conversations, two-thirds of Klarna’s customer service chats; it is doing the equivalent work of 700 full-time agents; it is on par

with human agents in regard to customer satisfaction score; it is more accurate in query resolution, leading to a 25 per cent drop in repeat inquiries; customers now resolve their queries in less than 2 mins compared to 11 mins previously. It's available in 23 markets, 24/7 and communicates in more than 35 languages. It's estimated to drive a $40 million USD in profit improvement to Klarna in 2024.

- **Insurance – Oscar**. Two main use cases are described. First, summarizing clinical documentation. Documenting a single conversation between a patient and the medical team can take a human more than 20 minutes. With OpenAI's API, Oscar has cut the time spent documenting medical care conversations and reviewing lab test results by nearly 40 per cent. Secondly, building a claims assistant. With OpenAI's API, Oscar has built an assistant that navigates the claim trace efficiently and automates the process of answering questions about the patient's claims. The claims assistant has reduced the time it takes for the claims processing team to resolve escalations by 50 per cent, with accuracy on par or better than human agents. Oscar expects to automate investigation for at least 4,000 tickets per month, or 48,000 tickets by the end of the year.
- **Legal services – Harvey partnered with OpenAI to create a custom-trained case law model**. This shows the value of training ChatGPT to a specific sector. To test the new case law model, Harvey worked with 10 of the largest law firms. They provided attorneys with side-by-sides of the output from the custom case law model, versus the output from GPT–4 for the same question. They were surprised by how strong the reaction was: 97 per cent of the time, the lawyers preferred the output from the case law model. Typically, it was because it was a longer, more complete answer. It went into the nuance of what the question was asking and covered more relevant case law.
- **Holiday Extras – a European leader in travel extras, helping travelers find the best airport lounges, hotels, parking, and insurance**. They have numerous use cases across the business:
    - *Develop content in multiple languages*: ChatGPT Enterprise plays a critical role in localising copy across different locales, which was

previously very time-intensive. 'Tasks that would have taken weeks before only take hours now.'

- *Data analysis*: James Smith, Data Tech Lead, shared that non-technical employees have found unique ways to use ChatGPT. ‘People who are less technical or data-literate are able to upload CSVs and identify trends, something they never could have done before. They’re able to contribute to the discussion in new ways.’
- *UI/UX design*: 'Building a UX Scoring GPT to help us become more metrics-driven. Not only can it provide a quantified score, but it can also point out specific issues on the page and provide actionable design feedback.'
- *Provide a superior customer support experience*: With 30 per cent of customer service inquiries now being handled by an AI bot before getting to a human, customer support costs have dropped across the company. Simultaneously, NPS (customer satisfaction) scores have risen from 60 per cent to 70 per cent.

Source: Multiple ‘customer service’ case studies at https://openai.com/news/stories/

The challenge of customer engagement

Forrester (Haven *et al*., 2007) heralded **customer engagement** as ‘marketing’s new key metric’, given the rapidly increasing online **media fragmentation** and the challenges of keeping customers engaged with brands due to the proliferation of choice. Since this time the need to measure and put in place tactics to improve engagement has become more widely understood.

Customer engagement is sometimes used to refer to engaging customers in the short term, for a single touchpoint, such as whether someone dwells on the site for a significant time or whether they interact with an email. Customer engagement also refers to the long-term ability of a brand to gain a customer’s attention on an ongoing basis.

The commercial aim of engagement is to maximise customer value through using customer interactions to lead to more profitable relationships.

An example of the challenge and the need for automated reminder messages for consumers to engage is provided by mobile messaging service Airship™ (2024), which researched the impact of push notifications on new mobile app users. It found that around three-quarters or app users for both Android and iOS typically opt-in to push notifications, but with their report showing a large variation between and

within industry sectors. Typically fewer than 10 per cent of people open push notifications. A previous study had shown that within 90 days of first opening the app, 95 per cent of opt-in users in the study who didn’t receive any push notifications churned – that is, they deleted or stopped using the app. In contrast, app users who received push notifications in the 90 days after their first opening of the app had nearly three times (190 per cent) higher retention rates than those who did not.

Benefits of using marketing automation to support customer engagement

Using digital platforms for CRM involves integrating the customer database with websites and messaging to make the relationship targeted and personalised. Through doing this, marketing can be improved by:

- *Targeting more cost-effectively.* Traditional targeting, for direct mail for instance, is often based on mailing lists compiled according to criteria that mean that not everyone contacted is in the target market. For example, a company wishing to acquire new affluent consumers may use postcodes to target areas with appropriate demographics, but within the postal district the population may be heterogeneous. The result of poor targeting will be low response rates, perhaps less than 1 per cent.
- *Permission marketing.* Also known as inbound marketing, this has the benefit that the list of contacts is *self-selecting* or pre-qualified. A company will only aim to build relationships with those who have visited a website and expressed an interest in its products by registering their name and address.
- *Mass customisation of the marketing messages* (and possibly the product). This automated personalisation process is described in a subsequent section. Technology makes it possible to send tailored emails at much lower cost than is possible with direct mail and also

to provide tailored web pages to smaller groups of customers (microsegments).

- *Increased depth and breadth of information* (and improved nature of relationship). Digital media enables more information to be supplied to customers as required through content marketing. The nature of the relationship can be changed, in that contact with a customer can be made more frequently. The frequency of contact with the customer can be determined by the customers – whenever they have the need to visit their personalised pages – or they can be contacted by email by the company.
- *Deeper customer understanding and more relevant communications* can be delivered through a sense-and-respond approach. Examples of **sense-and-respond communications** include: tools that summarise products purchased on-site and the searching behaviour that occurred before these products were bought; online feedback forms about the site or products, completed when a customer requests free information; questions asked through forms or emails to the online customer service facilities; online questionnaires asking about product category interests and opinions on competitors; new product development evaluation – commenting on prototypes of new products.
- *Lower cost.* Contacting customers by email or through their viewing web pages costs less than using physical mail, but, perhaps more importantly, information needs to be sent only to those

customers who have expressed a preference for it, resulting in fewer mail-outs.

- *Delivering loyalty programmes.* Loyalty schemes are often used to encourage customer extension and retention. You will be familiar with points-based schemes run by retailers.
- *Opportunities for gamification.* **Gamification** involves applying game-based thinking to a brand, business or organisation to engage and develop loyalty. Research shows that game play itself stimulates the human brain (releasing dopamine) and the now-proven mechanics from gaming can be brought into marketing, and especially mobile marketing. Some key features of gamification applied to digital marketing are:
    - creative concept to engage;
    - game mechanics to encourage play (badges, points, leader boards levels, interactions);
    - game dynamics can be altered to reward and even penalise;
    - game currencies to provide the motivation – this can be financial, status, need for doing good, pleasure and influence.

Mini case study 6.1 shows how one brand is using gamification to reach and engage smartphone users.

Mini case study 6.1

Nestlé uses gamification to engage smartphone users

Brands such as Nestlé™ have, for many years, successfully used TV and traditional media. But with consumer behaviour changing, reaching people who don’t watch linear TV poses a challenge.

This example, shown in the video (https://www.youtube.com/watch?v=IDdfs8NC3yc), explains how gamification can be used as a new technique by brand advertisers looking to engage users on their smartphones when commuting or relaxing. Steve Pollack, Head of Media Communications, Nestlé UK, explains the benefits that a brand advertiser sees from its new platform:

> *The great beauty of running an ad in a video in a game is that we can offer something to the gamer and they hopefully will then view the ad. We give them a good value exchange: they see our ad, we give them a power up or an extra life.*

In this gamification campaign, Nestlé worked with King Games, which has a network of over 200 games-related sites, plus Google’s DoubleClick ad network.

All advertising that runs on King Games is user-initiated. This means that the player gets to choose and engage in advertising for a value exchange, such as a reward – an extra life, currency or booster, for instance.

King Games believe that giving the user the choice of whether to engage with an ad or not and when to do so creates a more positive experience overall and improves results for advertisers. ‘We’re finding that the players that actually consume advertising in that form are playing the games longer and having more fun’, says Ben Fox, VP of Business Development of King Advertising.

For this Nestlé campaign, the results from advertising in King Games have included a 3 per cent click-through rate on Android and 99.5 per cent view-through rate (meaning that a very high proportion who participate eventually visit the Nestlé site).

Source: Google LLC (2017)

Customer lifecycle management strategy

In this section we will review classic methods of orchestrating communications based on the position of customers in the lifecycle and the use of ‘sense-and-respond’ communications to build customer loyalty at each stage of the **customer lifecycle**.

To plan these communications requires consideration of the business goals of engagement using a high-level view of the classic customer lifecycle of select, acquire, retain, extend as shown in Figure 6.3:

1. **Customer selection** means defining the types of customers that a company will market to. It means identifying different groups of customers for which to develop offerings and to target during acquisition, retention and extension. Different ways of segmenting customers by value and by their detailed lifecycle with the company are reviewed.
2. **Customer acquisition** refers to marketing activities to form relationships with new customers while minimising acquisition costs and targeting high-value customers. Service quality and selecting the right channels for different customers are important at this stage and throughout the lifecycle. For an online business, acquisition may involve a single-step conversion – for example, if a

new visitor arrives on a site and purchases on the first visit. Typically, a longer, multi-step process is needed for conversion to sale where a visitor returns to the site. To facilitate conversion, customer lifecycle marketing should seek to form an initial relationship through asking for contact details for communication, such as email address, mobile number or a social media contact. This is the permission marketing approach, which we explain in the next section. For online SaaS startups, there is an additional step of **activation**, which means that a person registered with an online brand takes further action(s), such as trying the service.

3. **Customer retention** refers to the marketing activities employed by an organisation to keep its existing customers, i.e. to encourage them to buy again or continue a contract that renews for a service. Identifying relevant offerings based on their individual needs and detailed position in the customer lifecycle (e.g. number and value of purchases) is key.
4. **Customer extension** refers to increasing the depth or range of products that a customer purchases from a company. This is often referred to as ‘customer development’.

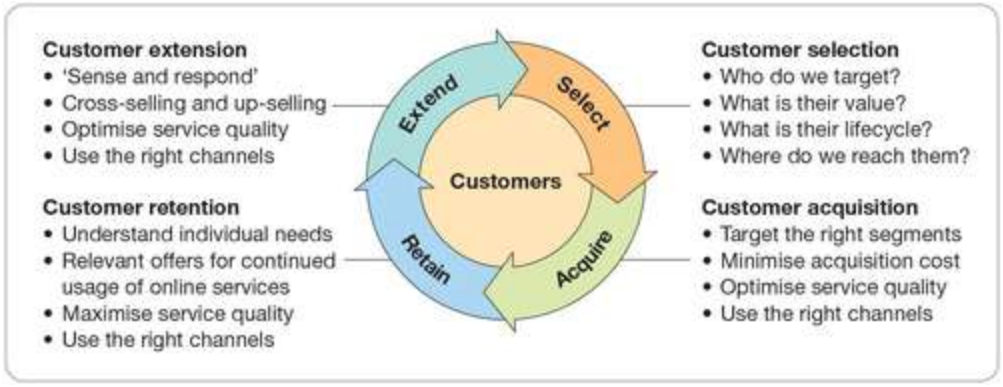
There is a range of customer extension techniques that are particularly important to online retailers:

- *Re-sell.* Selling similar products to existing customers – particularly important in some B2B contexts as rebuys or modified rebuys.

- *Cross-sell.* Selling additional products that may be closely related to the original purchase, but not necessarily so.

Figure6.3

The four classic marketing activities of customer relationship management



- *Up-sell.* A subset of cross-selling, but in this case selling more expensive products.
- *Reactivation.* Customers who have not purchased for some time, or have lapsed, can be encouraged to purchase again.
- *Referrals.* Generating sales from recommendations from existing customers – for example, member-get-member deals.

Peppers and Rogers (1997) recommended the following stages to achieve these goals, which they popularised as the 5Is:

- *Identification.* Learn the characteristics of customers in as much detail as possible to be able to conduct the dialogue. This involves

collection of contact information such as an email address or mobile number, and profiling.

- *Individualisation.* Individualising is using mass customisation and personalisation to define the company's approach to each customer, offering a benefit to the customer based on the identification of customer needs. The effort expended on each customer should be consistent with the value of that customer to the organisation.
- *Interaction.* Continued dialogue to understand both the customer's needs and the customer's strategic value.
- *Integration.* Integration of the relationship and knowledge of the customer must extend throughout all parts of the company, harnessing data integrated from different systems.
- *Integrity.* Since all relationships are built on trust, it is essential not to lose the trust of the customer. Efforts to learn from the customer should not be seen as intrusive, and privacy should be maintained. (See **Chapter 3** for coverage of privacy issues related to CRM.)

Permission marketing

Permission marketing is a significant concept that still underpins online CRM in management of the customer lifecycle. ‘Permission marketing’ is a term coined by Seth Godin (1999). It is best characterised with just three (or four) words:

> Permission marketing is . . . anticipated, relevant and personal [and timely].

Godin (1999) noted that while research used to show we were bombarded by 500 marketing messages a day, with the advent of the web and digital TV this has now increased to over 3,000 a day! From the marketing organisation’s viewpoint, this leads to a dilution in the effectiveness of the messages – how can the communications of any one company stand out? Godin refers to the traditional approach as **interruption marketing**. Permission marketing is about seeking the customer’s permission before engaging them in a relationship and providing something in exchange. The classic exchange is based on information or entertainment – a B2B site can offer a free report in exchange for a prospect sharing their email address, which will be used to maintain a dialogue through messaging. You will see permission marketing in action on many retailer sites where

they seek to capture email addresses of first-time visitors in return for a discount code to be used for first purchase, sent via email or SMS.

From a practical e-commerce perspective, we can think of a customer agreeing to engage in a relationship when they check a box on a web form to indicate that they agree to receive further communications from a company, which as we saw from the discussion of communications law in **Chapter 3** is now a legal requirement in most countries. This approach is widely known as **opt-in**. This is preferable to **opt-out**, the situation where a customer has to consciously request not to receive further information.

The importance of incentivisation in permission marketing has also been emphasised by Seth Godin, who likens the process of acquisition and retention to dating. He suggests that the stages of 'dating' the customer are:

1. offering the prospect an *incentive* to volunteer;
2. using the attention offered by the prospect, offering a curriculum over time and teaching the consumer about your product or service;
3. reinforcing the *incentive* to guarantee that the prospect maintains the permission;
4. offering additional *incentives* to get even more permission from the consumer;

5. over time, using the permission to change consumer behaviour towards profits.

Figure 6.4 gives a summary of a common, effective process for permission-based online relationship building to support engagement through the different stages of the customer lifecycle. This is example is for a retailer, but within B2B marketing a similar approach might be used within a different type of value exchange – for example, providing an email address in return for access to a white paper containing advice.

The stages are:

- *Stage 1. Attract new and existing customers to online presence.* Digital inbound communications and offline communications channels described in **Chapter 9**, such as search, social media marketing and direct mail, are used to drive visitors to a website, Facebook or other form of presence such as an app that enables opt-in. In B2B marketing visitors can be directed to a dedicated **landing page** by paid media such as Google Ads or LinkedIn ads.
- *Stage 2a. Prompt and incentivise visitors to action.* Two key types of incentives to consider are:**lead generation offers** and **sales generation offers**, such as the discount coupon shown in Figure 6.4 (1). This features a ‘lightbox’ or ‘pop-up’, which is commonly used in B2C markets to ensure the site visitor views the offer and

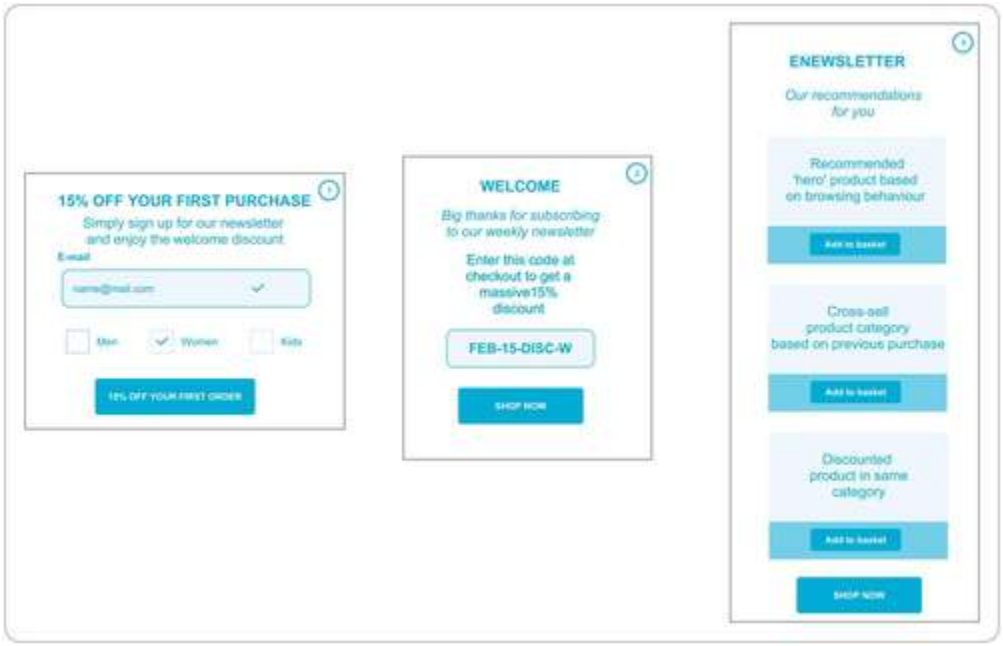
responds. Less interruptive panels at the foot of the page can also be used.

Types of offers marketers can devise include information value, entertainment value, monetary value and privileged access to information The beauty of digital marketing is that different offers can be tested for different audiences using AB or multivariate testing (**Chapter 10**) and the offers refined to increase response.

To get visitors to take notice, prominent calls-to-action or pop-ups can boost conversion rates. For example, a pop-up to encourage free subscription which was resisted by Dave Chaffey for several years, increased lead conversion by 40 per cent when deployed on Smart Insights. Many web users will be annoyed by pop-ups, yet for site owners they do increase the number of leads, so the number of pop-ups is now increasing and is likely to do so further.

Figure6.4

Wireframes summarising an effective process of permission-based online relationship building



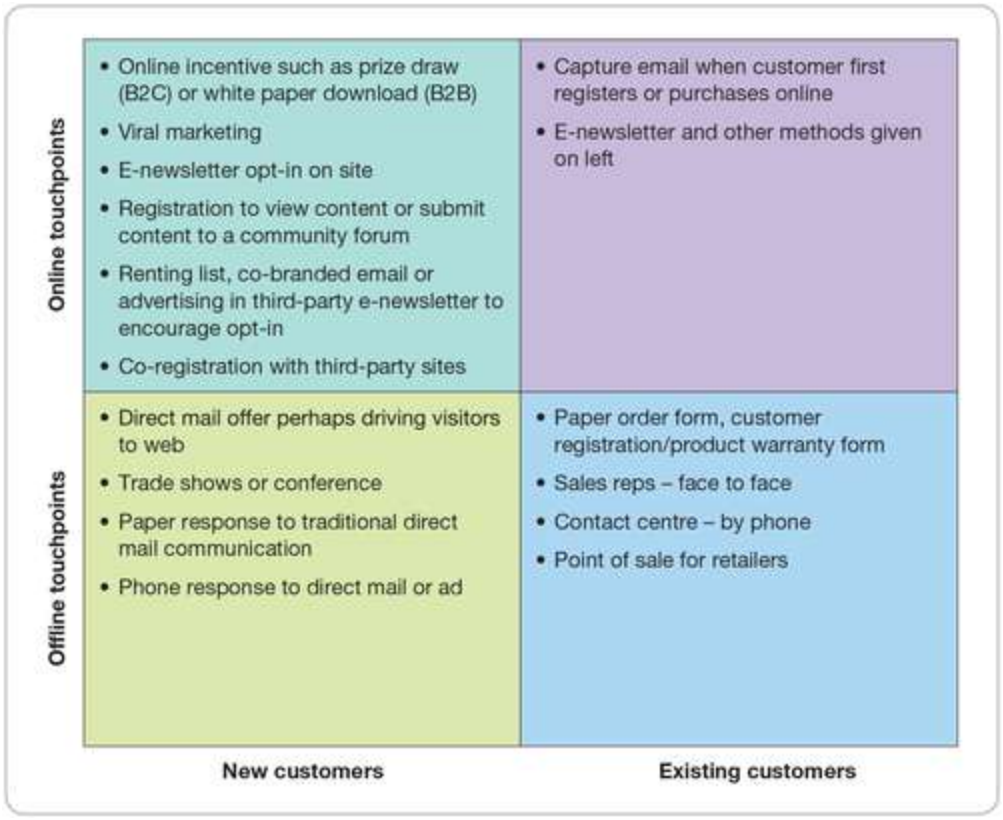
- *Stage 2b. Capture customer information to maintain relationship. Capturing profile information is commonly achieved through an online form such as that within the lightbox shown in Figure 6.4 (1), which the customer must complete to receive the offer. It is important to design these forms to maximise their completion. Factors that are important are:*
    - *branding* to reassure the customer;
    - *key profile fields* to capture the most important information to segment the customer for future communications – for example, postcode, airport and preferred activities (not too many questions should be asked);
    - *mandatory fields* – mark fields that must be completed or, as in this case, only include mandatory options, in this case to select an interest in clothing;

- *privacy* – ‘we will not share’ is the magic phrase to counter the customer’s main fear of their details being passed on; a full privacy statement should be available for those who need it;
- *KISS* – ‘Keep it simple, stupid’ is a well-known American phrase;
- *WIFM* – ‘What’s in it for me?’ Explain why the customer’s data is being captured; what benefits it will give them;
- *validation* – of email, postcode etc., checking data as far as possible to make it accurate.

As well as online data capture, it is important to use all customer touchpoints to capture information and keep it up to date, since this affects the ability to target customers accurately. Figure 6.5 provides a good way for a company to review all the possible methods of capturing email addresses and other profile information.

Figure6.5

Matrix of customer touchpoints for collecting and updating customer email contact and other profile information



Apart from the contact information, **customer profiling** information is also important so that relevant content and offers can be delivered to them. For example, B2B company RS Components asks for:

- industry sector;
- purchasing influence;
- specific areas of product interest;
- how many people you manage;
- total number of employees in company.

Once initial data about a customer has been collected, it can be enriched by adding other data to gain a better understanding of customer needs and behaviours. This is sometimes known as progressive profiling. The risk here is that if data is entered into different systems, data quality issues may arise with inaccurate data. Management measures should be put in place to create an accurate **single customer view**. This is a significant issue with CRM systems since data can be collected offline and in different online systems such as on the website, transactional e-commerce, or within social media and a separate email system.

- *Stage 3: Initiate dialogue using online communication.* To build the relationship between company and customer it's common to send a welcome email as shown in Figure 6.4.(2) or a mobile message. This may provide a discount, but should also communicate brand positioning and online value proposition. Clinique provides a good example of a brand with an effective welcome sequence of multiple emails.
- *Stage 4. Maintain dialogue using relevant online and (where needed) offline communication.* After an initial welcome sequence, it's common to send a newsletter or campaign emails to showcase a brand's offer to the prospect or customer. In Figure 6.4 (3) the e-newsletter is tailored using **dynamic content insertion**, where the customer preferences are accessed from the CRM database to recommend relevant products based on what they have browsed on the site or purchased previously.

Direct mail or phone contact may still be cost-effective forms of communication, particularly within B2B markets, since these can also be tailored and may have more ‘cut-through’ compared to an email. With direct mail campaigns the aim may be to drive traffic to the website in a web response campaign using techniques such as:

- online competition;
- online web seminar (webinar);
- sales promotion.

A further objective in stages 3 and 4 is to improve customer information quality. In particular, emails may bounce – in which case offline touchpoints need to be planned to contact customers for their latest addresses.

With the advent of social media marketing, the permission marketing concept has been applied to social networks where opt-in involves ‘liking’ a brand on Facebook or following a company on X, LinkedIn or Instagram. Of course, email offers a key benefit over social media channels since messages can be tailored to the individual.

Writing for *What’s New in Marketing*, Chaffey (2004) extended Godin’s principles to CRM with his ‘e-permission marketing principles’, which remain relevant for reviewing use of email marketing and other messaging types:

- *Principle 1. Consider selective opt-in to communications. In other words, offer choice in communications preferences to the customer to ensure more relevant communications. Some customers may not want a weekly e-newsletter; rather, they may only want to hear about new product releases. Remember opt-in is a legal requirement in many countries. Three key communications preferences options, selected by tick box, are:*
    - *content* – news, products, offers, events;
    - *frequency* – daily, weekly, monthly, quarterly alerts or digests;
    - *channel* – email, social network, direct mail, phone or SMS.

- *Principle 2. Create a 'common customer profile'*. A structured approach to customer data capture is needed; otherwise some data will be missed – as is the case with the utility company that collected 80,000 email addresses, but forgot to ask for the postcode for geo-targeting! This can be achieved through a common customer profile – a definition of all the database fields that are relevant to the marketer in order to understand and target the customer with a relevant offering. The customer profile can have different levels to set targets for data quality (level 1 is contact details and key profile fields only, level 2 includes preferences and level 3 includes full purchase and response behaviour).

- *Principle 3. Offer a range of opt-in incentives*. Many websites now have ‘free–win–save’ incentives to encourage opt-in, but often it is one incentive fits all visitors. A bundle of incentives or different incentives for different audiences will generate a higher volume of permission, particularly for business-to-business websites.
- *Principle 4. Don’t make opt-out too easy*. Often marketers make it too easy to unsubscribe. Offering some form of opt-out is now a legal requirement in many countries due to privacy laws and can help deliverability rates for email. However, wise permission marketers such as Amazon use the concept of ‘My Profile’ or a ‘selective opt-out’. Instead of unsubscribe, they offer a link to a ‘communications preferences centre’ web form to update a profile that includes the option to reduce communications, which may be the option taken rather than unsubscribing completely.
- *Principle 5. Watch, don’t ask (or ‘sense and respond’)*. The need to ask interruptive questions can be reduced through the use of monitoring clicks to better understand customer needs and to trigger follow-up communications. Some examples include:
    - monitoring click-through to different types of content or offer;
    - monitoring the engagement of individual customers with email communications;
    - follow-up reminders to those who don’t open the email first time.

- *Principle 6. Create an outbound contact strategy*. Online permission marketers need a plan for the number, frequency and type of online and offline communications and offers. This is a contact or touch strategy, which is particularly important for large organisations with several marketers responsible for email communications. We describe contact strategies in more depth in the next section.

Mini-case study 6.2 illustrates many of the principles of permission-based email focusing on an agency implementing a behavioural email programme where a CRM systems is used to send timely emails at relevant points in the customer lifecycle.

Mini case study 6.2

How Buyagift increased revenue with a behavioural email programme

Buyagift provides a range of gift experiences including spa days, short breaks, track days, flying lessons, and food and drink experiences. The company sells over 500,000 gifts per year and receives around 750,000 monthly website visitors.

Previously Buyagift was using a basic email marketing model and was receiving effectively results without the use of behavioural emails. The

business recognised that these results could be improved significantly through implementing a complementary automated behavioural email campaigns.

Features of new email programme:

Automated email campaigns were setup to encourage customer interaction at different stages of the customer journey, such as:

- Welcome
- Abandon browse
- Abandon basket
- Product reviews
- Anniversary

To aid in conversion, an abandon basket email offering 20 per cent off would be triggered within just minutes of abandonment for those who had added a product to their shopping basket but had not completed the checkout process.

Automated email campaigns were formulated, based on the following criteria:

1. *Segmentation data derived from customer analysis:* When a customer meets a pre-defined criteria, it triggers an email to them.

2. *Website behaviour derived from tags:* When a customer visits the website, their behaviour on the site is tracked and relevant emails formulated accordingly.
3. *Auto loaded data feeds:* The customer receives information relating to the experiences that are of interest to them.

The emails generated were based on profile data and real time behavioural data, ensuring that customers only received details regarding relevant gift experiences. They were triggered by insight derived from customer data.

Other features of the campaign were:

- Rules were implemented to restrict the frequency of emails, whilst maintaining sufficient regularity. This ensured that customer interest was maintained while keeping unsubscribe levels to a minimum.
- Recipient personalisation was achieved through the use of dynamic content which inserted relevant copy and images into the email based on the interests of the customer.
- Since Buyagift knew that customer reviews were vital in helping other customers to choose the gift experience that was right for them, follow-up emails were sent with £10 off the reviewer’s next purchase upon submission. This rewarded the customer and provided an incentive for future purchases.

- A holdout control centre was created for email signups to ensure that messaging was providing positive results and that behavioural emails were not influencing purchase behaviours. Control cells were created to be a statistically-valid proportion of the overall volume – a true representation of Buyagift's customer base. This control cell was used to measure performance against mailed segments on a monthly basis, thus ensuring that the value of emails was maintained over the lifetime of a customer.

Redeye summarise these results from implementing the programme.

- *Return-on-investment.* Buyagift received a return on investment (ROI) of 3015 per cent from the campaign, generating revenues of over £200,000 per month by implementing automated behavioural emails. 32 per cent of monthly revenue was derived from only 4 per cent of the total behavioural email campaign volume, demonstrating the relevance and value of the targeted emails to customers.
- *Engagement.* The uplift achieved from email recipients and those making a subsequent purchase was 150 per cent above the control cell, demonstrating that recipients of the behavioural emails were more inclined to purchase versus those who did not receive them. The control cell also highlighted a positive response from customers who received relevant content related to their Buyagift.com browsing activities. Open rates, for example, reached

a high of 62 per cent for abandon basket emails, thus demonstrating effective customer engagement.

- *Customer loyalty*. This also increased with customers remaining engaged within the email channel and with the brand overall. Implementing the review email generated a conversion rate of over 50 per cent and nearly 2,000 reviews were received during the company's seasonal peak.

Source: Summarised from: https://www.redeye.com/our-work/case-studies/buyagift

Profiling leads with lead scoring and lead grading

Lead scoring and **lead grading** are data-driven marketing techniques often used for high-value B2B marketing services, which assess a person's profile and behaviour to determine whether they have potential to become a customer, i.e. are they a 'hot lead' or less likely to convert? This is a powerful technique since some businesses may receive hundreds or even thousands of new database contacts each month as a result of inbound permission marketing techniques. Lead scoring and grading enables businesses to prioritise their time in contacting prospects by phone to ask about their interest in a service. It can also be used to target email, text messages or ads to people with different levels of interest and fit. Most marketing automation systems such as Salesforce Pardot and HubSpot use a scoring system like this to represent lead scoring and grading, although these features are not always used. Consultants experienced in lead scoring may be required to customise the marketing automation system for each business. Although this technique is typically deployed in B2B marketing it can be applied to consumer services that are high value and/or have an extended decision time. For example, a luxury travel agency could classify new enquirers in this way.

Figure6.6

The relationship between lead scoring and lead grading

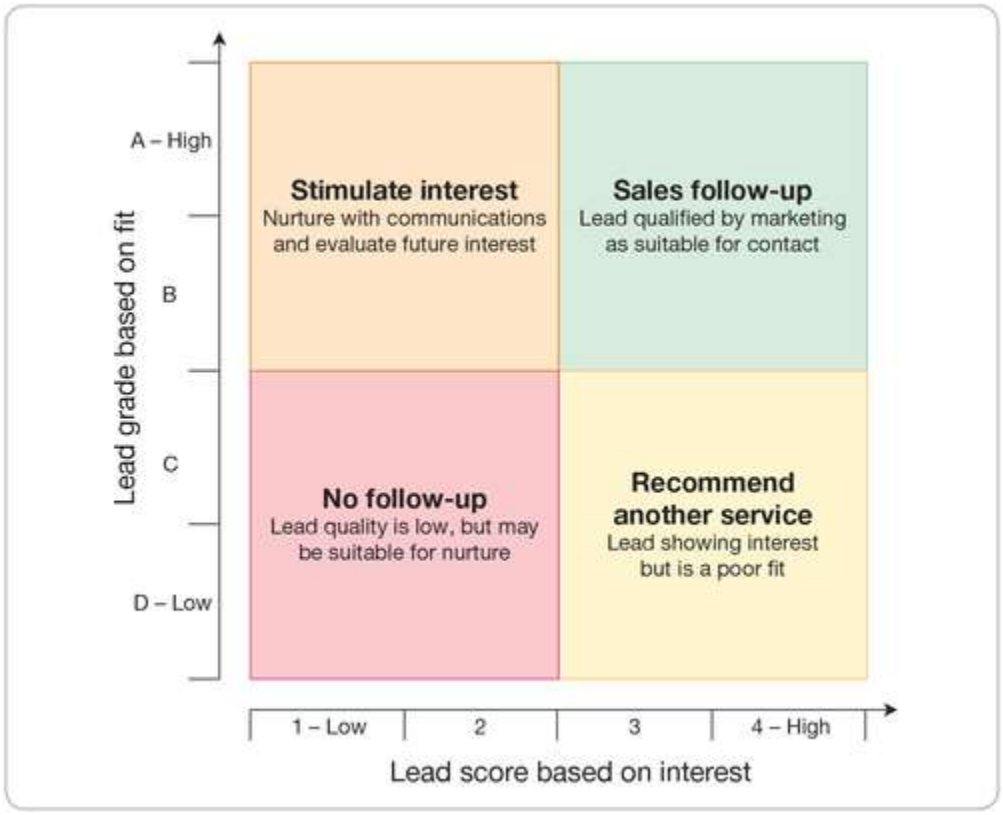


Figure 6.6 shows the relationship between lead scoring and grading, defining four segments of leads. Lead scoring and grading breaks these down further based on the codes shown on the axis. Highest scores top right are A1 and lowest scores, in the bottom left, are D4 (some businesses may break this down with a different granularity, for example to A1 to C3 or A1 to E5). Note that the terminology of lead scoring and grading may overlap; it's commonplace to base lead scoring solely on fit (without behaviour), in this case it is confusingly still called lead scoring, although strictly it is lead grading.

The highest-quality leads categorised as **marketing-qualified leads (MQLs)** typically warrant follow-up by a phone call and, if they are

confirmed as a suitable fit, will be recorded as **sales-qualified leads (SQLs)** in the CRM system. SiriusDecisions (Aguiar, 2018) explains the different types of MQLs and SQLs in more detail in its Demand Waterfall process.

Note that the system is not precise, since a lead may show a good fit but may not have interacted much on the website since they received information elsewhere, such as at a trade show. For this reason, manual inspection of all leads may also be valuable. For expensive B2B services, account-based marketing (ABM) techniques may be used to identify other people in the decision-making unit that are also involved in deciding on a purchase. This involves identifying multiple people from a company to target, for which LinkedIn Sales Navigator can be used, and then contacting them through social selling or phone-based prospecting.

People with lower scores such as C1, C2 or B3, B4 are added to **lead nurture** segments where there is no proactive approach to contact leads since the purchase may not occur immediately.

Defining contact strategies

Developing contact strategies that define the trigger, aims, messaging, offer and time interval for communications is a vital skill to develop the most effective customer communications programme. Figure 6.7 shows recommendations of different contact strategies from Kath Pay, an email marketing automation consultant who created this visual to show the opportunity for retailers to communicate with their audiences via email.

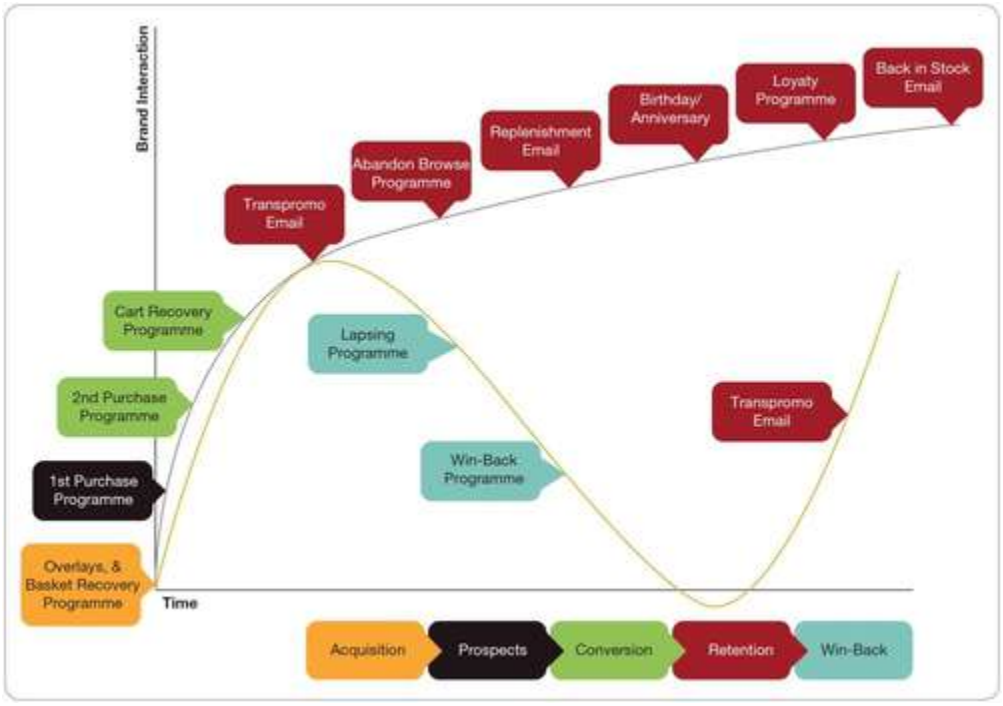
Let’s now look in more detail at examples of contact strategies at different points in the customer lifecycle. An example of a welcome contact strategy is shown in Table 6.1.

Note that additional customisation through a dynamic content email is possible based on knowledge of the subscriber. Dynamic content can also be added to panels of an e-newsletter to increase engagement. This can also include real-time information – for example, a retailer could include weather information or stock levels.

Mini-case study 6.3 gives another example of a contact strategy, when a retailer can gain sales by following-up with an email (or push notification) after a ‘basket abandon’, i.e. a shopper has browsed products, added one to their shopping cart or basket, but not purchased. The case shows how these types of communications need to be planned or tested.

Figure6.7

Options for lifecycle email marketing messages for a retailer



Source: Kath Pay, Holistic Email Marketing (2016) What is lifecycle marketing?, https://www.holisticemailmarketing.com/blog/what-is-lifecycle-marketing/ (accessed 30 July 2018)

Table6.1

Example of welcome contact strategy

Message type		Interval/trigger condition	Outcomes required	Mediu message/s
1	Welcome message	Guest site membership sign-up immediate	Encourage trial of site services Increase awareness of range of commercial and informational offerings	Email, post-tra page

2	Engagement message	1 month inactive (i.e. no visits)	Encourage use of forum (good enabler of membership) Highlight top content	Email, home p panels deep in
3	Initial cross-sell message	1 month active	Encourage membership Ask for feedback	Email
4	Conversion	2 days after browsing content	Use for range of services for guest members or full members	Phone or email

Mini case study 6.3

WHSmith uses behavioural email to encourage engagement

Behavioural email marketing or remarketing is a classic ‘sense-and-respond’ marketing automation approach. In this case, a classic abandoned shopping cart follow-up email, but with three alternative communications that were tested, with these results:

1. Generic branded follow-up email: + 10 per cent conversion rate.

2. Personalised remarketing email with a promotional code for a 5 per cent discount time-limited to 72 hours: + 100 per cent conversion rate.
3. Personalised remarketing email with a promotional code for a 5 per cent discount time-limited to 48 hours: + 200 per cent conversion rate.

A survey was conducted (VE Interactive) of those customers who had clicked through from the remarketing emails and had made a purchase, but who hadn't actually used the promotional codes! Interestingly, it was found:

- these customers had still reacted to the remarketing email as a prompt to return to the WHSmith website;
- it was the expiry date of the call to action that had prompted them to return, even though they did not then take advantage of the 5 per cent discount promotional code.

Source: VE Interactive Case Study published on Smart Insights (Marketing Intelligence) Ltd: www.smartinsights.com/email-marketing-ecrm-alerts/email-remarketing-an-example-of-how-to-test/ (accessed January 2015)

Another situation where automated communications need to be put in place is for the 'emotionally' unsubscribed who are inactive members of

an email subscriber list. They represent a significant issue in the management of customer email marketing programmes. The orange curve in Figure 6.7 shows how engagement can fall from the level shown.

Although unsubscribe rates are usually low (for example, less than 0.1 per cent per email sent) there can be upwards of 50 per cent of a list who are ‘emotionally unsubscribed’ – i.e. they are not actually unsubscribed, but rarely open or click, suggesting that email is not an effective communications channel.

To avoid this and to maintain engagement, it is important to ensure that the contact strategy has been planned and implemented to deliver relevant messages. The lapsed and ‘win-back’ contact strategies in Figure 6.7 show how these can be addressed. Some other steps that can be taken to manage this issue include:

- Measure the level of activity in email response at a more granular level, e.g. review open, click, purchase rates or other actions at different points in time compared to when the subscribers first signed up. Response rates from different segment types who have taken different actions can also be reviewed to see how engaging they find the e-newsletter.
- Test different frequencies. It may be appropriate to reduce frequency if customers become ‘emotionally unsubscribed’ and then emails received will have a larger impact. List members can

also be surveyed for their preferences, possibly as part of a reactivation campaign.

- Develop automated customer lifecycle emails as part of the contact strategy, which are relevant and tailored according to the interests of the subscriber. Lifecycle emails will include welcome email contact strategies, reactivation email strategies and other service messages such as customer feedback surveys.
- Ensure the fields that are used to customise messages are those that are most likely to be relevant. Often these won’t be the obvious fields such as gender, but contextual information related to content or products that have been recently consumed.
- Use offline communications such as direct mail and phone where list members express a preference for these.

Data-driven marketing techniques

Data-driven marketing is an established practice. Direct marketers sending costly large-volume mailings have traditionally tested different creative and offers using **split-testing** to test different elements of their communication before sending out the best performing offer to a larger audience. They also use **hold-out testing** where a control group are excluded from a campaign to understand the incremental effect of changing communications.

Such techniques are now also useful for applying a test, learn, refine approach to digital marketing communications such as emails sent to customers or ads within social media feeds. Advances in software have also enabled more sophisticated data-driven marketing approaches that enable individuals to receive communications customised for them based on knowledge of their preferences and previous behaviours, such as interaction with web or email content, which are stored in customer databases. In this section, we will review the considerations for personalisation and look at more recent **predictive analytics** techniques

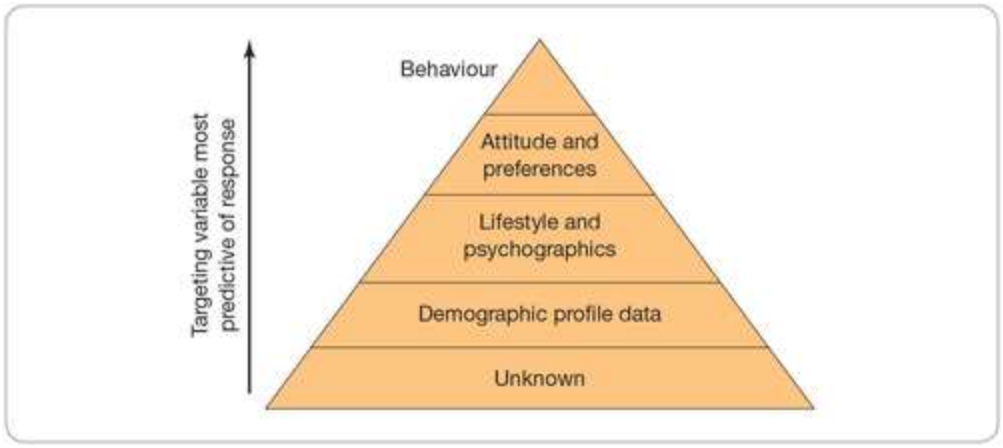
for applying artificial intelligence, which are beneficial to harness the large volumes of data available about online customer interactions.

Personalisation and mass customisation

Increasingly, companies gather much personal data through the application of digital technology and then use it to develop personalised communication messages, with the aim of making the content appear more aligned to an individual's interests. The different targeting variables shown in Figure 6.8 can be used to deliver more relevant, contextual personalised email or web messages. The targeting techniques towards the apex of the pyramid tend to elicit the highest response since they are based more on a consumer's current needs and characteristics. However, not all individuals respond favourably; indeed some react negatively towards brands that adopt this approach because of fears over security of personal data and the feeling they are being manipulated (Tucker, 2014). The research question was: 'How strengthening privacy controls affects advertising performance', using Facebook advertising campaigns. Tucker (2014) found that when individuals were given more control over privacy settings they were more likely to respond positively to personalised communications. The implication is that brands should consider giving individuals more control over how their information is used – for example, through tailoring content they receive via email through a **customer preferences centre**.

Figure6.8

The extent to which different types of segmentation variables tend to be predictive of response



Recommendations based on profile information, behaviour or predictive analytics are usually known as **personalisation** or sometimes **mass customisation**. A well-known example of personalisation is when Amazon recommends similar products according to what others in a segment have offered.

Collaborative filtering is a method of implementing personalisation where site visitors are recommended content or offers by comparing them with customers in its database. The best-known example of this technology in action can be found on the Amazon website (www.amazon.com), where the database reveals that customers who bought book X also bought books Y and Z. This is a more sophisticated machine learning or AI-driven technique, compared to simple rules-based personalisation where visitors in categories are given fixed personalised recommendations.

Customer identity management

Permission-based marketing and the automation of marketing information can create issues in respect of consumer privacy law (as discussed in **Chapter 3**). Careful management is required to ensure protection of customer data and this should lead to better-quality targeting. The concept of **customer identity and access management (CIAM)** is one element of this requirement. Forrester (Maxim *et al*., 2017) explains these benefits of CIAM services, which are available from CRM-independent CIAM providers, such as Akamai™ Identity Cloud, SAP™ Gigya™, LoginRadius™, Auth0™, and CRM™ providers such as Salesforce and Microsoft:

- *Streamline new customer acquisition and registration processes through social log-in.* Allowing customers to use bring-your-own-identity (BYOI) from a recognised social identity provider, such as Facebook, Google, LinkedIn or PayPal, and preregister on a site is a large component of many CIAM implementations.
- *Manage user consent to meet compliance with global privacy requirements.* Multinational brands with millions of customers must address demands globally where different regions and countries have different privacy requirements.
- *Provide user-centric capabilities for preference management.* This involves updating communications preferences or opting-out in a preference centre.

- *Integrate with other systems and report on performance*. CIAMs can integrate with CRM systems, but do not replace their messaging functionality.

Applying artificial intelligence and Big Data to support data-driven marketing

‘Big Data’ is a high-level term used to describe analysis techniques and systems that exploit the large volumes of data that are now captured by businesses. Marketing applications of Big Data exploit the different types of data now collected when businesses interact with their audiences. The two main benefits of Big Data for marketing are:

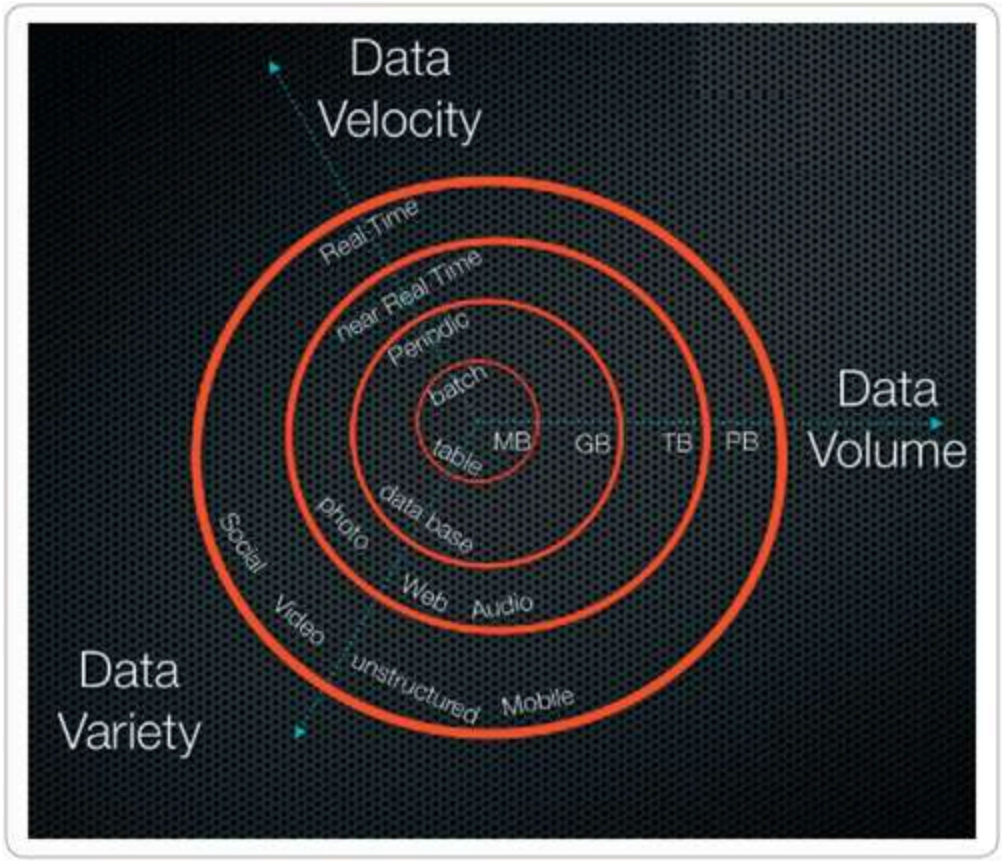
- identifying insights such as trends and patterns through analysis of large, complex, interrelated data sets, which can inform future strategies and tactics;
- identifying success factors to make communications more relevant by improving messaging – for example, by selecting the best timing, copy or offers.

An example of the insights that are available from Big Data that can be applied is provided by the US retailer Target™. Using data about women’s shopping habits, Target was able to identify that a woman buying large quantities of unscented lotion, cotton balls, supplements and washcloths might mean that she’s anywhere from a few weeks pregnant, to very close to her due date. Of course, such approaches have their risks. In one case, a teenager received direct mail from Target promoting ‘cribs

and bibs' – before she had even told her father about the pregnancy (Hill, 2012).

Figure6.9

A summary of the three main dimensions of Big Data



Source: Soubra (2012)

The opportunity and challenge of **Big Data for marketing** is often described from a technical point of view using the three dimensions, or vectors, shown in Figure 6.9:

- *Data volume* refers to the increase in data that is now available for online interactions with websites and social media.
- *Data velocity* shows how marketers now have access to real-time data, such as real-time analytics of interactions on web and mobile sites, and also social media interactions.
- *Data variety* shows how new types of unstructured data, including, again, social media interactions, offer potential too. This also suggests the potential of integrating different sources of data to gain more customer insight.

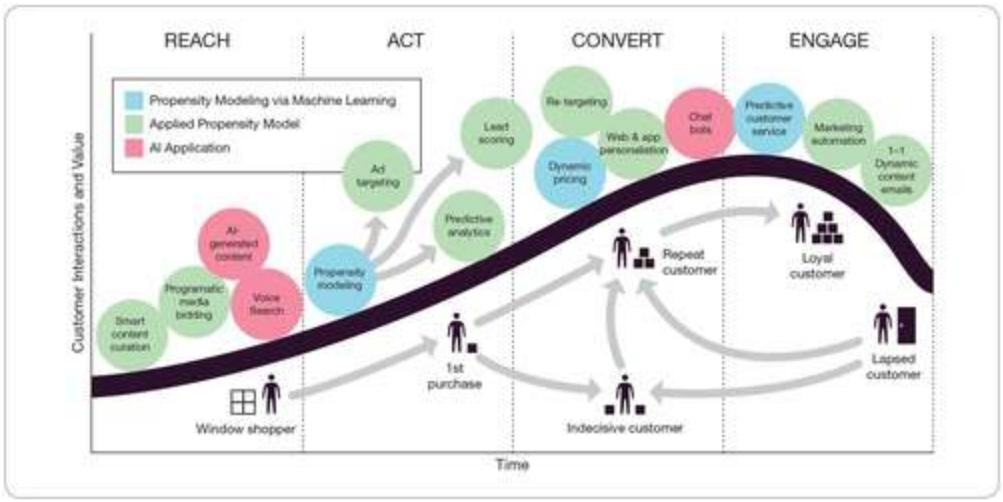
Some have argued that 'Big Data' is a classic example of 'The Emperor's New Clothes' fable – i.e. it is a term created by systems vendors and consultants to generate demand for services that have been previously available under another label. Others note that many marketers are not exploiting the 'Small Data' available through campaign reporting and digital analytics, discussed in **Chapters 8** and **10**. Since initial launch of the Big Data concept, new practical **artificial intelligence** and **machine learning** technologies have developed to help marketers analyse and apply the insights.

Artificial intelligence for marketing

The visual in Figure 6.10 defines the many opportunities of applying artificial intelligence in marketing, structured around the Smart Insights RACE customer lifecycle we introduced in **Chapter 1**.

Figure6.10

Marketing applications of artificial intelligence through the customer lifecycle



Source: Smart Insights (2021) 15 Applications of artificial intelligence in marketing for 2022, Smart Insights blog article by Dave Chaffey, 25 August

1 AI-generated content

For over ten years, AI-based natural language generation (NLG) software has been used by larger businesses which could afford these services for originating content. Today, these type of services are available to businesses of all services for free with ChatGPT and similar GenAI

services. Examples of how businesses are using ChatGPT for different marketing applications are covered in Digital marketing insights 6.2.

Another type of marketing-based AI application that can be used by email marketers to generate content is Phrasee (www.phrasee.co/about/). This uses AI technology to generate and optimise effective subject lines for emails. By using vast amounts of data on the effectiveness of email subject lines, it is able to get better results in terms of opens and clicks than human copywriters. Persado (www.persado.com) provides another NLG predictive analytics tool, which classifies and recommends email content based on its emotional impact.

2 Smart content curation

AI-powered content curation allows you to better engage visitors on your site by showing them content relevant to them. This technique is most commonly found in the ‘customers who bought X also bought Y’ section on many sites, but can also be applied to blog content and personalising site messaging and services more widely. Think of Netflix’s recommendation system being able to consistently recommend you shows you’d be interested in.

3 Voice search and conversational user interfaces

Voice search appliances or personal assistants have been developed by major online platforms such as Facebook, Google, Amazon and Apple after the initial launch by Amazon of its Alexa home appliance. The implication for marketers is that as search queries become more conversational, they need to ensure they are answering the questions posed by searches in natural language.

4 Programmatic media bidding

Programmatic media buying can use propensity models generated by machine learning algorithms to more effectively target ads at the most relevant customers. This uses the Real-time feature of Big Data, since bidding for the most suitable audience to deliver content to occurs in real time when a publisher serves an ad.

5 Propensity modelling

Propensity modelling is the goal of a machine learning project. The machine learning algorithm is supplied with large amounts of historical data, and it uses this data to create a propensity model that is able to make accurate predictions about the real world. An example is shown in Mini case study 6.4.

Digital twins are a concept that can be applied across customer relationship management (CRM), which typically involve AI to define the

digital twin. Digital twins can be used in CRM systems to gather data about individual customer interactions, preferences, and behaviors. This data can help companies improve customer service, increase productivity and optimise efficiencies:

- *Improve segmentation and targeting of communications*. Deliver more engaging emails based on understanding what has been effective for generating interactions and conversion in many previous email campaigns.
- *Improve customer service.* Support agents can use the data to offer tailored solutions and anticipate needs. For example, if a customer contacts a help centre, their interactions can generate data that can be fed into the digital twin model, allowing it to learn and adapt to new challenges.
- *Increase productivity*. Companies can use digital twins to test upgrades and new features before releasing them to the public to avoid errors.

6 Predictive analytics

Propensity modelling can be applied to a number of different areas, such as predicting the likelihood of a given customer to convert, predicting what price a customer is likely to convert at, or which customers are most likely to make repeat purchases. This application is called predictive analytics because it uses analytics data to make predictions about how customers behave. The key thing to consider is that a propensity model is

only as good as the data provided to create it, so if there are errors in the data or a high level of randomness, it will be unable to make accurate predictions. Marketers should question analysts about how representative the data set is and the statistical validity of the predictive model.

7 Lead scoring

Propensity models generated by machine learning can be trained to score leads based on certain criteria so that your sales team can establish how ‘hot’ a given lead is, and if it is worth devoting time to. This can be particularly important in B2B businesses with consultative sales processes, where each sale takes a considerable amount of time on the part of the sales team. By contacting the most relevant leads, the sales team can save time and concentrate their energy where it is most effective. The insights into leads’ propensity to buy can also be used to target sales and discounts where they are most effective.

8 Ad targeting

Machine learning algorithms can run through vast amounts of historical data to establish which ads perform best on which people and at what stage in the buying process. Using this data, companies can serve them with the most effective content at the right time. By using machine learning to constantly optimise thousands of variables you can achieve more effective ad placement and content than by using traditional methods.

9 Dynamic pricing

All marketers know that sales are effective at shifting more product. Discounts are extremely powerful, but they can also hurt your bottom line. If you make twice as many sales with a two-thirds smaller margin, you've made less profit than you would have if you didn't have a sale.

10 Web and app personalisation

Using a propensity model to predict a customer's stage in the buyer's journey can let you serve that customer, either on an app or on a web page, with the most relevant content. If someone is still new to a site, content that informs them and keeps them interested will be most effective, while if they have visited many times and are clearly interested in the product then more in-depth content about a product's benefits will perform better. We explore this further in **Chapter 7**.

11 Chatbots

Chatbots mimic human intelligence by being able to interpret consumers' queries and complete orders for them. Specialist chatbot services are available for companies such as retailers to manage their customer services. Alternatively, brands can develop their own approach using APIs from platform providers such as Meta's Facebook Messenger, WhatsApp and OpenAI's ChatGPT (see Digital marketing insight 6.2 for examples).

12 Retargeting

Similar to ad targeting, machine learning can be used to establish what content and offers are most likely to bring customers back to the site to purchase again based on historical data. By building an accurate prediction model of what content works best to win back different types of customers, machine learning can be used to optimise your retargeting ads to make them as effective as possible.

13 Predictive customer service

Inbound enquiries of all types can be routed to the relevant support article or customer support person via a series of questions. This rules-based customer service has been used for voice calls. AI enables more natural language questions to be asked, which again helps to route to the most relevant article or person.

14 Marketing automation and 15 1-1 dynamic content emails

Marketing automation techniques such as those described in the mini-case study for Buyagift generally involve a series of rules, which trigger interactions with the customer via messaging on email, smartphone notifications or web personalisation. Marketing automation adoption has been limited by the time needed to set up and optimise these rules.

Machine learning can analyse customer interaction data and establish when are the most effective times to make contact, what words in subject lines are most effective and much more.

Using data analysis and targeting techniques to increase customer loyalty and value

The ultimate commercial aim of customer marketing approaches such as marketing automation and CRM is to increase engagement with customers, leading to increased **customer loyalty** and so directing sales from these customers and indirect sales through advocacy. Understanding the different levers that contribute to increased engagement and loyalty among different customer groups should be the starting point in developing a customer retention and growth strategy.

Determining what customers value

Consider the different forms of online interaction a consumer can have with a brand that can determine their perceptions of satisfaction and influence loyalty. Figure 6.11 shows how, when using digital media for online retention marketing, our ultimate goal, on the right of the diagram, is customer loyalty. The factors on the left help to deliver two main drivers of loyalty. First, **emotional loyalty**, where loyalty to a brand is demonstrated by favourable perceptions, opinions and recommendations, including social sharing. The success factors at the top of the diagram are all related to the customer experience of online services (as we will explore further at the start of **Chapter 7**). These tend to influence emotional loyalty the most, and these are important in determining customer satisfaction.

The second type of loyalty is **behavioural loyalty**, where loyalty relates to repeat sales, repeated site visits, social interactions and response to marketing campaigns. To achieve these repeat sales, companies work hard to deliver relevant marketing communications, either through email and social media communications, web-based personalisation or through traditional media.

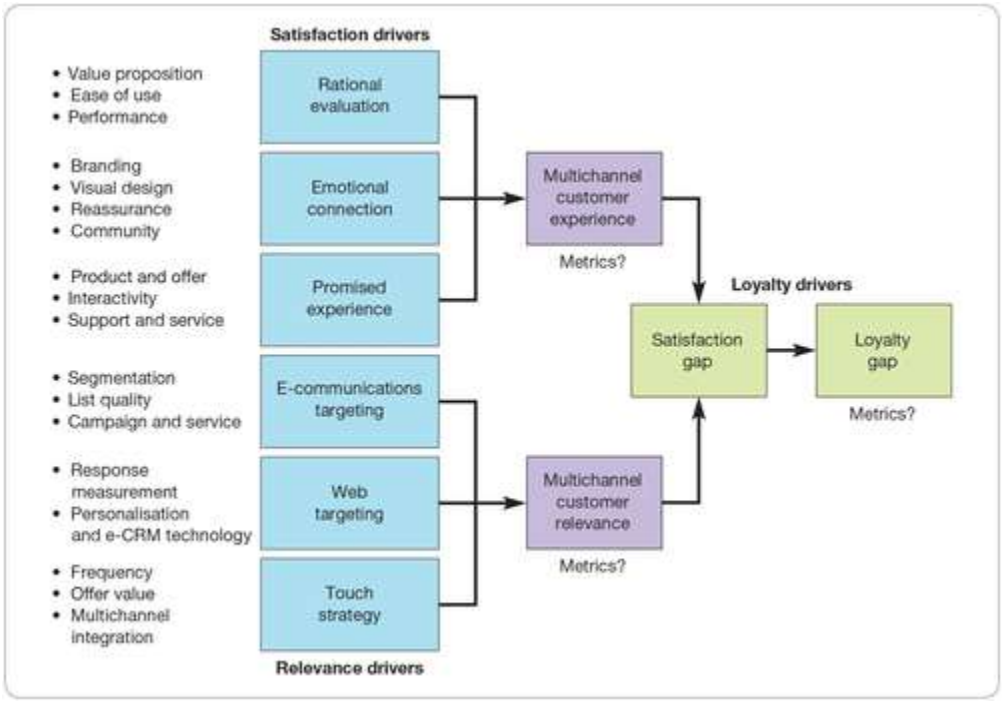
Figure 6.11 shows typical loyalty drivers to review, but customer research is essential to understand how specific factors affect loyalty and how satisfaction influences loyalty.

The relationship between satisfaction and loyalty

Although the terms ‘satisfaction’ and ‘loyalty’ are sometimes used interchangeably, we have seen that they do not necessarily correspond. **Customer satisfaction** refers to how happy a customer is about the quality of products and services. As a customer’s satisfaction with products and/or services increases, so should their behavioural and emotional loyalty, together with advocacy (see Table 6.2 in Mini case study 6.4: How car manufacturers use loyalty-based segmentation).

Figure6.11

Factors affecting customer satisfaction and loyalty



Mini case study 6.4

How car manufacturers use loyalty-based segmentation

An approach to reconciling customer satisfaction, loyalty, value and potential (SLVP) is to use a value-based segmentation. This modelling approach is often used by car manufacturers and other companies that are assessing strategies to enhance the future value of their customer segments. This approach involves creating a segmentation model combining real data for each customer about their current value and satisfaction, and modelled values for future loyalty and value. Each customer is scored according to these four variables:

- current satisfaction;
- repurchase loyalty;
- current value;
- future potential.

Table6.2

Loyalty-based segmentation for car manufacturers

SLVP score	Nature of customer	Segment strateg

Moderate satisfaction and loyalty. Moderate current and future potential value	An owner of average loyalty who replaces their car every three to four years and has a tendency to repurchase from brand	Not a key segment to influen should encourage to subscrib newsletter club and deliver ta messages around time of rene
High satisfaction, moderate loyalty. Low future and potential value	A satisfied owner but tends to buy second-hand and keeps cars until they have a high mileage	Engage in dialogue via email and use this to encourage adv make aware of benefits of bu
Low satisfaction and loyalty. High current and future potential value	A dissatisfied owner of luxury cars who is at risk of switching	A key target segment who ne contacted to understand issue reassure about quality and pe

As we have seen, however, there may be customers with a high degree of satisfaction who don’t exhibit behavioural loyalty and, conversely, customers who are loyal according to their behaviour but who may be at risk of defection since they are not satisfied. The implications are that it is important not only to measure satisfaction with online services, but loyalty also. In this way, we are able to identify customers at risk of defection who are likely to choose an alternative and those in the zone of

indifference. This is an important category of customer who, although they may have a high degree of satisfaction, is not necessarily loyal.

Measuring the voice of the customer in digital media

Online voice of customer (VoC) measures are useful for reviewing customer sentiment online. The satisfaction ratings we have reviewed are one example of VoC measures. Another approach, which we will explore in **Chapters 7** and **10**, is intent-satisfaction surveys where the reasons why a customer is visiting a site are compared against their success in completing tasks and their satisfaction ratings. This is a key technique for improving online customer journeys.

Net Promoter Score (NPS) is a key VoC measure of advocacy originally popularised by Reichheld (2006) in his book; the 'ultimate question' is essentially 'would you recommend us?'. The aim is to work out techniques to maximise this NPS. Reichheld explains the main process for NPS as follows:

1. Systematically categorise customers into promoters, passives or detractors. If you prefer, you can call them loyal advocates, fair-weather friends and adversaries.
2. Create closed-loop processes so that the right employees will directly investigate the root causes that drive customers into these categories.

3. Make the creation of more promoters and fewer detractors a top priority so employees up and down the organisation take actions based on their findings from these root-cause investigations.

In practice, consumers are asked ‘Would you recommend [brand/company X] to a friend or colleague?’, answered on a scale between 0 (not at all likely) and 10 (extremely likely). The actual score is calculated by subtracting the percentage of detractors (those giving 0–6 answers) from promoters (9–10s). The middle section, between 7 and 8, are the so-called ‘passives’.

So, the idea is that after surveying as many customers as possible (to make it representative) and to show you are listening, you then work backwards to determine which aspects of the experience of interacting with a brand create ‘promoters’ or ‘detractors’.

Using measures to differentiate customers by value and engagement

A core approach to relationship marketing is to focus our limited resources and marketing activities on the most valuable customers. Within the online customer base of an organisation, there will be customers who have different levels of activity or engagement with online services and purchasing. A good example is a bank – some customers may use the online account once a week, others far less frequently and some not at all. Figure 6.12 illustrates the different levels of activity in this case and how the measures can be used to identify customers who have not engaged and to develop automated contact strategies to encourage them to engage. Figure 6.12(a) shows the situation where a newly registered customer did not interact for five months. Automated reminder communications could encourage a person in this category to engage. Figure 6.12(b) shows the ideal situation where a person is engaging regularly. Research can be used to find what these people find most useful. Figure 6.12(c) shows where someone has shown initial interest, but this has lapsed. Figure 6.12(d) shows someone who has never been active.

In different sectors, suitable thresholds or ‘hurdle rates’ should be developed to report on overall levels of engagement and purchase behaviour. For online retailers, it’s common to report on percentage of customers who are active once a year. For a loyalty programme for a cinema or theatre, it might be the percentage of customers who attend

every 30 or 90 days. Using direct communications, such as email, personalised website messages, direct mail and phone communications, to new, dormant and inactive users should increase the percentage of active users. To understand what may limit retention or to test new tactics to increase engagement and loyalty measures, **cohort analysis** can be used. Table 6.3 shows a fictitious cohort analysis for new subscribers to a social media listening service such as Buffer (explored in Case study 6). This cohort analysis covers a six-month period starting in January. For new customers in January, retention data for this cohort is available for all six months. If you imagine there were 100 new customers at the start of January, by the end of month 1 there are 73 customers declining to 35 in month 6 due to churn. Cohort analysis can be used to evaluate the impact of changes to an online service including changes to fees or features. If, for example, pricing was increased in March and April, this would account for reduced retention, with the situation reversed in May and June through reducing prices. Cohort analysis similar to this is now available in Google Analytics (**Chapter 10**).

Another key metric, in fact the *key* retention metric for e-commerce sites, refers to repeat business. The importance of retention rate metrics was highlighted by Agrawal *et al*. (2001). The main retention metrics they mention that influence profitability are:

- *Repeat-customer base:* the proportion of the customer base that has made repeat purchases.

- *Number of transactions per repeat customer:* this indicates the stage of development of the customer in the relationship (another similar measure is number of product categories purchased).
- *Revenue per transaction of repeat customer:* this is a proxy for lifetime value since it gives average order value

Figure6.12

Activity segmentation of a site requiring registration

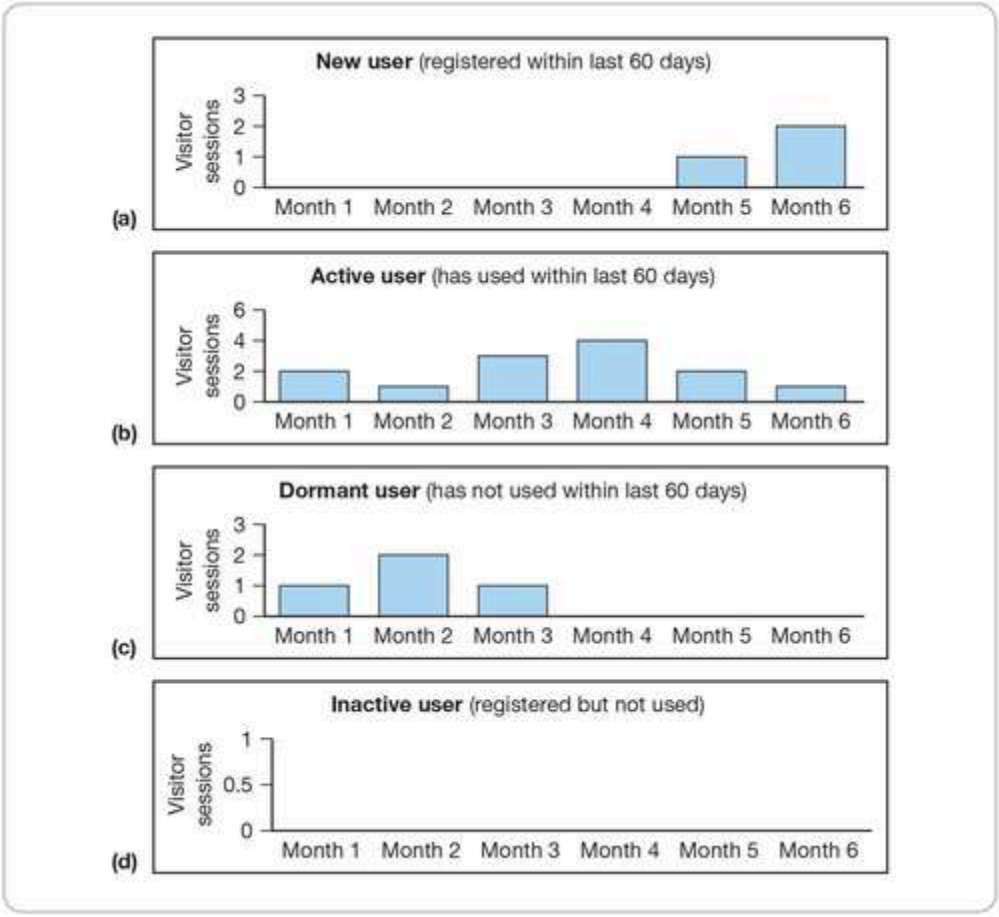


Table6.3

A sample cohort analysis showing retention after paid subscription to an online service

Cohort formed	Retention end month 1	Retention end month 2	Retention end month 3	Retention end month 4	Retention end month 5	
January	73%	64%	56%	48%	41%	
February	75%	63%	57%	47%	39%	
March	61%	56%	50%	44%	-	
April	62%	54%	49%	-	-	
May	76%	65%	-	-	-	
June	79%	-	-	-	-	

Lifetime value modelling

An appreciation of **lifetime value (LTV)** is key to the theory and practice of customer relationship management.

Digital technology has enabled marketers to become more sophisticated in how they can identify and target valuable customers. Kumar *et al*. (2007) explain it this way:

> By applying statistical models, they can predict not only when each customer is likely to make a future purchase but also what he or she will buy and through which channel. Managers can use these data to estimate a potential lifetime value for every customer and

> to determine whether, when and how to contact each one to maximise the chances of realising (and even increasing) his or her value.

However, while the term is often used, calculation of LTV is not straightforward, so many organisations do not calculate it. Lifetime value is defined as the total net benefit that a customer, or group of customers,

will provide a company over their total relationship with the company. Calculating lifetime value can indicate to businesses how much they can spend on media to acquire new customers, since allowable customer acquisition cost shouldn't exceed average lifetime value. This enables potentially more to be spent on customer acquisition than by judging it solely on the profit from a single sale on an e-commerce site.

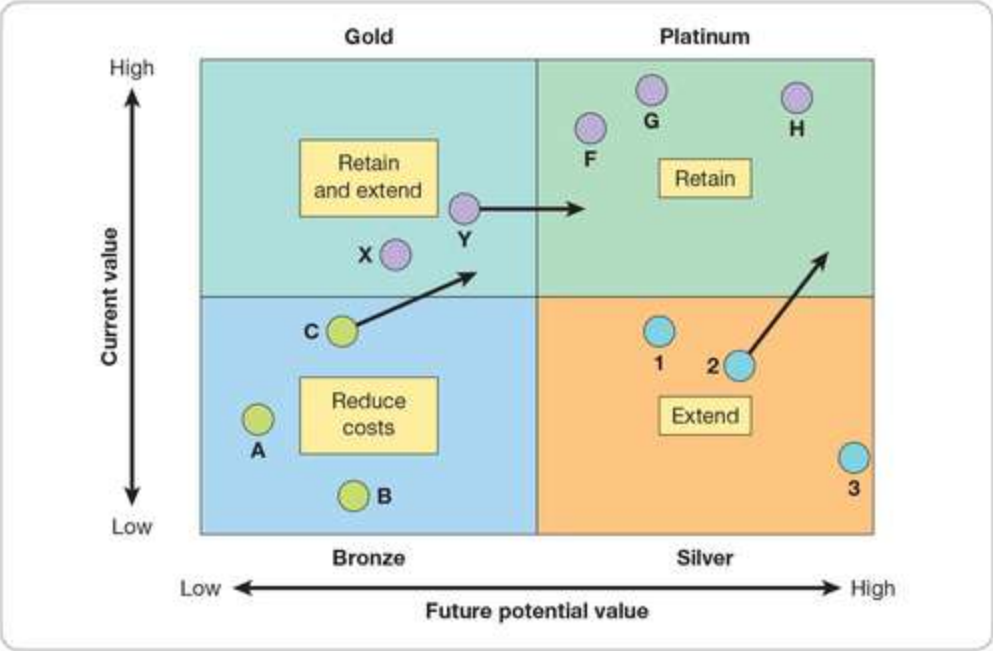
Calculation of lifetime value is based on estimating the income and costs associated with each customer over a period of time, and then calculating the net present value in current monetary terms using a discount rate value applied over the period. Table 6.4 in Activity 6.1 gives an example of how an LTV calculation is typically evaluated using a spreadsheet format. In this case, revenue of an annual cohort of 100,000 donors in year 1 (Row A) donates £10 million in total (Row D) based on an estimate of donations per year (Row C). The model assumes that, initially, 50 per cent of these donors will be lost in year 1, with retention increasing each year to 70 per cent (Row B). The model uses an estimate of profit (Row E) and how that declines through time because of inflation by applying a discount rate (F) to calculate LTV (Row I). You are referred to Kumar *et al*. (2007) for a more detailed explanation of LTV calculations.

LTV can also be used more strategically to identify and compare critical target segments and measure the effectiveness of alternative customer retention strategies including investing in marketing technology, as shown by Activity 6.1.

Figure 6.13 gives an example of how LTV can be used to develop a CRM strategy for different customer groups. Four main types of customers are indicated by their current and future value as bronze, silver, gold and platinum. Distinct customer groupings (circles) are identified according to their current value (as indicated by current value) and future value (as indicated by lifetime value calculations). Each of these groups will have a customer profile signature based on their demographics, so this can be used for customer selection. Different strategies are developed for different customer groups within the four main value groupings.

Figure6.13

An example of an LTV-based segmentation plan



Activity 6.1

Charity uses lifetime value modelling to assess returns from new CRM system

A charity is considering implementing a new email marketing system to increase donations from its donors. The charity's main role is as a relief agency that aims to reduce poverty through providing aid, particularly to the regions that need it most. Currently, its only email activity is a monthly e-newsletter received by its 200,000 subscribers, which features its current campaigns and appeals. It hopes to increase donations by using a more targeted approach based on previous customer behaviour. The email system will integrate with the donor database, which contains information on customer profiles and previous donations.

The company is considering three solutions that will cost between £50,000 and £100,000 in the first year. In the charity, all such investments are assessed using lifetime value modelling.

Table 6.4 is a lifetime value model showing customer value derived from using the current system and marketing activities.

A. *Donors* – this is the number of initial donors. It declines each year dependent on the retention rate (row B).

B. *Retention rate* – in lifetime value modelling this is usually found to increase year-on-year, since customers who stay loyal are more likely to remain loyal.

C. *Donations per annum* – likewise, the charity finds that the average contributions per year increase through time within this group of customers.

D. *Total donations* – calculated through multiplying rows A and C.

E. *Net profit* (at 20 per cent margin) – LTV modelling is based on profit contributed by this group of customers; row D is multiplied by 0.2.

F. *Discount rate* – since the value of money held at a point in time will decrease due to inflation, a discount rate factor is applied to calculate the value of future returns

in terms of current-day value.

Table6.4

Lifetime value model for customer base for current system

	Measure	Year 1	Year 2	Year 3	Year 4	
A	Donors	100,000	50,000	27,500	16,500	10,'
B	Retention	50%	55%	60%	65%	70%
C	Donations per annum	£100	£120	£140	£160	£18
D	Total donations	£10,000,000	£6,000,000	£3,850,000	£2,640,000	£1,'
E	Net profit (at 20% margin)	£2,000,000	£1,200,000	£770,000	£528,000	£38
F	Discount rate	1	0.86	0.7396	0.636	0.5
G	NPV contribution	£2,000,000.0	£1,032,000.0	£569,492.0	£335,808.0	£21
H	Cumulative NPV	£2,000,000.0	£3,032,000.0	£3,601,492.0	£3,937,300.0	£4,

	contribution					
I	Lifetime value at net present value	£20.0	£30.3	£36.0	£39.4	£41

G. *NPV contribution* – this is the profitability after taking the discount factor into account to give the net present value in future years. This is calculated by multiplying row E by row F.

H. *Cumulative NPV contribution* – this adds the previous year's NPV for each year.

I. *Lifetime value at net present value* – this is a value per customer calculated by dividing row H by the initial number of donors in Year 1.

Based on preliminary tests with improved targeting, it is estimated that with the new system, retention rates will increase from 50 to 51 per cent in the first year, increasing by 5 per cent per year as currently. It is estimated that in year 1 donations per annum will increase from £100 per annum to £120 per annum, increasing by £20 per year as currently.

Question

Using the example of the lifetime value for the current donor base with the current system, calculate the LTV with the new system.

Some bronze customers, such as groups A and B, realistically do not have development potential and are typically unprofitable, so the aim is to reduce costs in communications and if they do not remain as customers

this is acceptable. Some bronze customers, such as group C, may have potential for growth so for these the strategy is to extend their purchases. Silver customers are targeted with customer extension offers and gold customers are extended where possible, although they have relatively little growth potential. Platinum customers are the best customers, so it is important to understand the communication preferences of these customers and not to over-communicate unless there is evidence that they may defect.

In-depth analysis of customer data has traditionally been completed by catalogue retailers such as Argos, Littlewoods Index™ or retailers such as Boots using techniques like customer order gap analysis or **recency–frequency–monetary value (RFM) analysis**.

RFM analysis is a technique that tends to be little known outside retail circles, but CRM gives great potential to apply it in a range of techniques since we can use it not only to analyse purchase history and targeting outbound communications, but also visit or log-in frequency to a site or online service and response rates to email communications.

We will now give an overview of how RFM approaches can be applied, with special reference to online marketing. We will also look at the related concepts of latency and hurdle rates.

Recency

This is the recency of customer action, e.g. purchase, site visit, account access, email response. Novo (2003) stresses the importance of recency when he says:

> Recency, or the number of days that have gone by since a customer completed an action (purchase, log-in, download, etc.), is the most powerful predictor of the customer repeating an action . . . Recency is why you receive another catalogue from the company shortly after you make your first purchase from them.

Online applications of analysis of recency include monitoring through time to identify vulnerable customers who have become inactive, and scoring customers to preferentially target more responsive customers for cost savings.

Frequency

Frequency is the number of times an action is completed in a period of a customer action – e.g. purchase, visit, email response (for example, five purchases per year, five visits per month, five log-ins per week, five email opens per month, five email clicks per year). Online applications of this analysis include combining with recency for ‘RF targeting’.

Monetary value

The monetary value of purchase(s) can be measured in different ways – for example, average order value of £50, total annual purchase value of £5,000. Generally, customers with higher monetary values tend to have a higher loyalty and potential future value since they have purchased more items historically. One example application is to exclude these customers from special promotions if their RF scores suggest they are actively purchasing. Frequency is often a proxy for monetary value per year since the more products purchased, the higher the overall monetary value. Ultimately it is possible to simplify analysis by just using recency and frequency.

Latency

latency is a powerful concept, closely related to frequency – it is the average time between customer events in the customer lifecycle. Examples include the average time between website visits, second and third purchases and email click-throughs. Online applications of latency include putting in place triggers that alert companies to customer behaviour outside the norm, such as increased interest or disinterest, and then to manage this behaviour using e-communications or traditional communications. For example, if a B2B or B2C organisation with a long interval between purchases found that latency decreased for a particular customer, then they may be investigating an additional purchase via email

or website (their recency and frequency would probably increase also). Emails, phone calls or direct mail could then be used to target this person with relevant offers according to what they were searching for.

In this research, to measure customer engagement, Monetate (2017) reviewed its retailer customer data in the United Kingdom and United States to assess how frequently customers began a new session within a set time period – specifically the number of sessions and the number of days it took for a customer to complete a purchase. For first-time customers, the baseline latency from first visit to purchase is an average of 25 days and 3.5 sessions to complete a purchase. For returning customers who make their second purchase, 32 days are needed, on average, to convert – an additional week compared to the average first-time purchasers. Customers returning to make their third purchase need, on average, 27 days to complete their transaction. Practical implications of reviewing latency in retail and other sectors are that businesses can compare latency to length of time to when emails are automatically triggered to encourage a follow-up action such as purchase. You can potentially change the number of emails and frequency by asking how many emails are appropriate in the period, or to nudge? They can also change on-site personalisation time frames for recommending ‘next-best product’ or ‘next-best content’ to encourage repeat purchase.

Hurdle rate

According to Novo (2003), **hurdle rate** refers to the percentage of customers in a group (such as in a segment or on a list) who have completed an action. It is a useful concept since it can be used to compare the engagement of different groups or to set targets to increase engagement with online channels, as the examples below show:

- 20 per cent of customers have visited in the past six months;
- 5 per cent of customers have made three or more purchases this year;
- 60 per cent of registrants have logged on to the system this year;
- 30 per cent have clicked through on email this year.

When reviewing email marketing effectiveness based on consumer engagement it's useful to consider longer-term engagement measured using hurdle rates rather than open and click-through rates on individual broadcasts of emails or newsletters. More email marketers are now using the measures of open reach and click reach to achieve this. Alchemy Worx (2020) explains how these can be calculated:

> Open reach is calculated by counting the number of subscribers on your list that have opened at least once and dividing that by the number of subscribers that have received at least one email from you over a given time period. This

> could be a quarter or a year, depending on your send frequency and specific goals.

Click reach is calculated in a similar way based on the number of unique clicks within a longer time period.

Grouping customers into different RFM categories

In the examples above, each division for recency, frequency and monetary value is placed in an arbitrary position to place a roughly equal number of customers in each group. This approach is also useful since the marketer can set thresholds of value relevant to their understanding of their customers.

RFM analysis involves two techniques for grouping customers:

1 Statistical RFM analysis

This involves placing an equal number of customers in each RFM category using quintiles of 20 per cent (10 deciles can also be used for larger databases), as shown in Figure 6.14. The figure also shows one application of RFM with a view to using communications channels more effectively. Lower-cost digital communications can be used to correspond with customers who use online services more frequently since they prefer

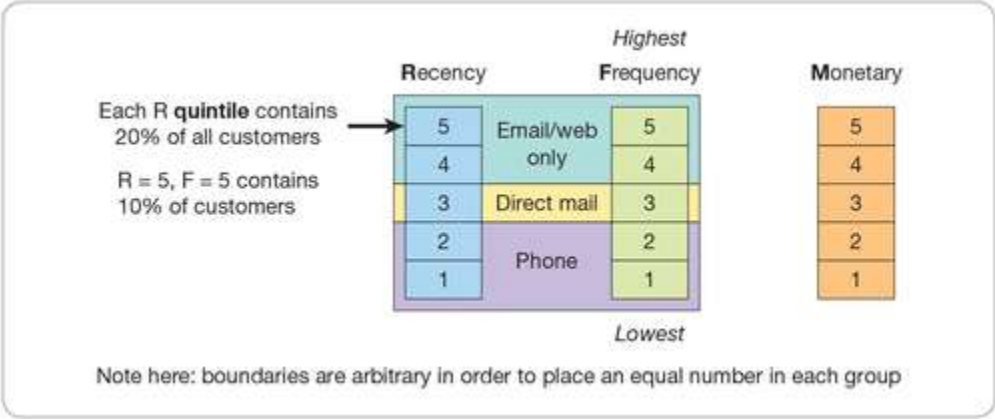
these channels, while more expensive offline communications can be used for customers who seem to prefer traditional channels.

2 Arbitrary divisions of customer database

This approach is also useful since the marketer can set thresholds of value relevant to their understanding of their customers.

Figure6.14

RFM analysis



For example, RFM analysis can be applied for targeting using email according to how a customer interacts with an e-commerce site. Values could be assigned to each customer as follows:

Recency:

1. Over 12 months
2. Within last 12 months

3. Within last 6 months
4. Within last 3 months
5. Within last 1 month

Frequency:

1. More than once every 6 months
2. Every 6 months
3. Every 3 months
4. Every 2 months
5. Monthly

Monetary value:

1. 1 – Less than £10
2. 2 – £10–£50
3. 3 – £50–£100
4. 4 – £100–£200
5. 5 – More than £200

Simplified versions of this analysis can be created to make it more manageable – for example, a theatre group uses these nine categories for its direct marketing:

Oncers (attended theatre once):

- attended 6–12 months
- attended >12 but <36 months
- Very rusty oncer – attended in 36+ months

Twicers:

- attended 6–12 months
- attended >12 but <36 months
- Very rusty twicer – attended in 36+ months

2+ *subscribers:*

- Current subscribers – booked 2+ events in current season
- booked 2+ last season
- booked 2+ more than a season ago

Plotting customer numbers against recency and frequency in this way for an online company gives a great visual indication of the health of the

business and groups that can be targeted to encourage more repeat purchases.

Product recommendations and propensity modelling

propensity modelling is one name given to the approach of evaluating customer characteristics and behaviour, in particular previous products or services purchased, and then making recommendations for the next suitable product. However, it is best known as recommending the 'next-best product' to existing customers. It is now more common to use machine learning or artificial intelligence to assess propensity than to use the more rigid assignments of RFM. However, we retain the RFM concept and examples since it is a useful technique for assessing customer behaviour and value.

A related acquisition approach is to target potential customers with similar characteristics through renting direct mail or email lists or advertising online in similar locations.

The following recommendations are based on those in van Duyne *et al*. (2003):

1. *Create automatic product relationships (i.e. next-best product).* A low-tech approach to this is, for each product, to group together products previously purchased together. Then for each product, rank product by number of times purchased together to find relationships.

2. *Cordon off and minimise the 'real estate' devoted to related products.* An area of screen should be reserved for 'next-best product prompts' for up-selling and cross-selling. However, if these can be made part of the current product, they may be more effective.
3. *Use familiar 'trigger words'.* That is, familiar from using other sites such as Amazon. Such phrases include: 'Related products', 'Your recommendations', 'Similar', 'Customers who bought . . . ', 'Top three related products'.
4. *Editorialise about related products.* That is, within copy about a product.
5. *Allow quick purchase of related products.* For example, through prompts to purchase specific products labelled 'Recommended products' or 'Bought by other customers'.
6. *Sell related products during checkout.* And also on post-transaction pages, i.e. after one item has been added to the basket or purchased.

Now read Research spotlight 6.1 to find out more about how marketing analytics can be used to improve customer satisfaction.

Research spotlight 6.1

Data, analytics and customer satisfaction

Focus: *Understanding the relationship between marketing analytics, customer agility and customer satisfaction: A longitudinal perspective*, Agag, G., Shehawy, Y. M.; Almoraish; Eid, R., Labadi, H. C., Labben, T. G. and Abo, S.S. (2024).

Context: Marketing analytics, customer satisfaction, customer agility, data driven behaviour

Businesses are finding they have increasing amounts of data to analyse to build greater understanding of their customers. Data-driven strategies are an opportunity to focus on customers and their behaviour. Agag *et al* (2024) studied marketing analytics to find the potential in relation to developing customer satisfaction.

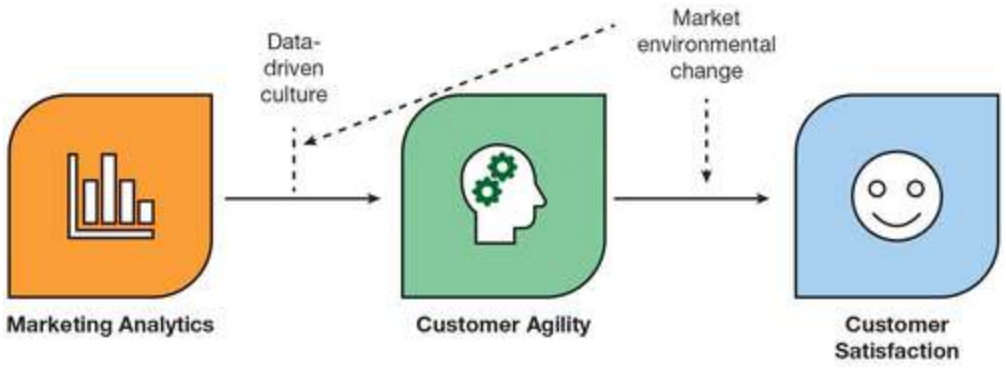
The research

Previously, many marketing managers have reported disappointing results when deploying marketing analytics to guide strategic marketing initiatives designed to create value. But as the marketing capabilities of a company increasingly relates to its ability to utilise data resources, it is important to understand the relationship between marketing analytics, the output and implications for decision-making and customer satisfaction. This research used an online survey targeting senior managers, with experience of working with data analytics in various industries, including, retail, service industry, finance, technology and healthcare. The aim was to explore relationships between marketing analytics, customer agility (the company's ability to listen to the customer, gather marketing intelligence and respond to competitive opportunities (Zhou *et al.,* 2018)) and customer satisfaction. Figure RS 6.1 captures the research model which suggests that marketing analytics influence customer agility which can be key when looking to improve customer satisfaction. So, they wanted to discover what happens when there is a change in the market, and whether data-driven marketing analytics can enable improved decision-

making especially in chaotic marketing environments. Figure RS 6.1 Linkages between marketing analytics, customer agility and customer satisfaction.

FigureRS 6.1

Linkages between marketing analytics, customer agility and customer satisfaction.



Key findings

- Marketing analytics are a key driver of customer agility: listening to customers using market intelligence to leverage opportunities can improve customer satisfaction rates.
- Timely responses (demonstrating customer agility) to environmental change results in greater customer satisfaction.

Implications for digital marketers

- Invest in creating a data-driven culture, which recognises the value in marketing analytics.
- Communicate the findings of marketing analytics in an accessible format, to enable technical and non-technical marketers to recognise the significance of the data analysis.
- Improve customer agility and response time to leveraging market opportunities.

- Enable dynamic capabilities, communications and response time to leverage strategies which improve customer satisfaction.

Research spotlight tasks

Picture yourself in role of Head of Data Analytics in a large consumer-facing business.

a. Make a list of external market factors which could impact on your customers.

b. Identify which of these factors are likely to affect customer satisfaction in the short term.

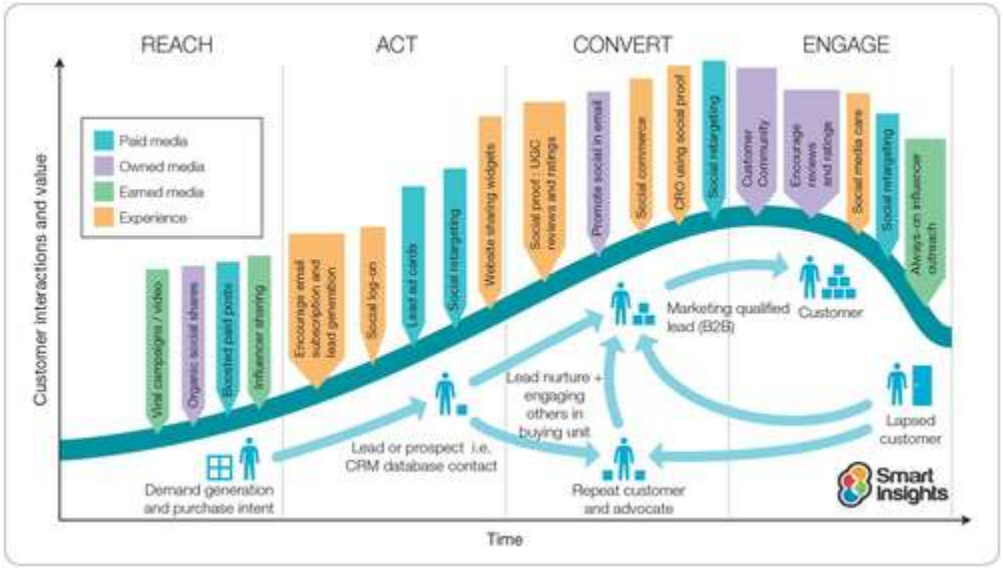
c. Present to your team ideas of how customer data could be used to increase customer agility in light of one of the short-term factors identified.

Using social media to improve customer loyalty and advocacy

We have seen throughout this chapter that targeted email marketing remains a powerful tool to communicate with audiences through the customer lifecycle. Similarly, social media marketing can be used to achieve marketing goals across different parts of the lifecycle, as shown in Figure 6.15.

Figure6.15

Opportunities for using social media marketing to support customer lifecycle marketing goals



Source: Smart Insights (Marketing Intelligence) Ltd

Figure 6.15 shows how different types of social media activity can be planned to achieve different goals for B2B audience development, as

shown by the goals below the curve. Similar social media activities to achieve goals apply for B2C markets:

- *Reach – increase awareness and grow an audience using paid, owned and earned media:* Organic amplification of social updates by loyal customers, advocates and followers, plus organic viral marketing activities and targeted paid social buys such as boosted posts (see **Chapter 9**).
- *Act – prompt interactions, subscribers and leads:* Organic and paid social media encourages website visits that apply permission marketing to generate new database contacts. Some social networks such as LinkedIn and X enable permission marketing within the social feed though lead ad cards.
- *Convert – achieve sales online or offline:* Nurture prospects and leads towards sale – **ad retargeting** using paid social media is particularly effective for this since it can be used to target an individual in a similar way to email nurture that is not possible with organic social media.
- *Engage – encourage repeat business by developing customer satisfaction, loyalty and advocacy:* Ad retargeting and uploading customer lists to social media platforms can also be used to target customers who have previously purchased. Encouraging customers to write and share reviews of their experience is particularly important to encourage conversion of other customers using **social proof**.

In this section we will consider how the insights about customers available through social media can be applied as part of data-driven marketing, with a focus on customer communications that develop loyalty and advocacy.

Court *et al*. (2009), in the classic *McKinsey Quarterly* white paper 'The consumer decision journey', discuss the 'Loyalty Loop', which shows opportunities for brands to reinforce the loyalty of their own customers or encourage switching after purchase during what it calls the 'Enjoy, Advocate, Bond' stage. They found that more than 60 per cent of consumers of facial skincare products conduct online research about the products *after* purchase – a touchpoint not normally considered in the classic marketing funnel.

When consumers are happy with a purchase, they'll recommend it by word of mouth including social media, but if a consumer is disappointed by the brand, they may criticise it through social media. Part of social CRM activities is to encourage online advocacy and limit negative word of mouth. Presi *et al*. (2014) explored how customers who share their negative service experience by creating user-generated content (UGC) in social media can be segmented according to their motivation. They found that altruistic, vengeful and economic motivations are strong drivers for UGC creation after a negative service experience.

Social media marketing has many applications throughout the customer lifecycle, but arguably it is most effective when it is used to develop existing relationships and encourage advocacy to create brand awareness and favourability. This advocacy is not limited to customers, it can also involve influencers, partners and employees.

This section covers strategy and practice for **organic social media marketing** for customer loyalty, PR and advocacy; social media will be explored in Chapter 9, with the focus on paid social media communications. This is the main section on social media in the text since often it is most effective for customer communications and advocacy.

Brian Solis (Solis, 2011), analyst at Altimeter, captured the potential of social media for brands when he said:

> Brands are either part of the conversation or they're not and, as a result, they're either part of the decision-making cycle, or they're absent from the heart, mind, and actions of the connected customer.

What is social media marketing and why is it important?

Most consumers and businesses will understand **social media marketing** simply as using organic and paid posts in the feeds of the main social networks such as Facebook, Instagram, LinkedIn, Pinterest, Snapchat, X (formerly Twitter) and other social networks that have the most active users in each country. While these are important, and we discuss best practices further in **Chapter 9**, there are other aspects of harnessing social media for managing customer media relationships.

The CIPR Social Media Panel (CIPR, 2011) described the application of social media to customer relationship and brand building well when they described it as follows:

> Social media is the term commonly given to Internet and mobile-based channels and tools that allow users to interact with each other and share opinions and content. As the name implies, social media involves the building of communities or networks and encouraging participation and engagement.

This definition shows that the most important feature of these social media channels is that they encourage prospects and customers to interact

and create UGC.

What is social CRM?

Given the potential of social media for customer communications, it's natural that a new marketing term, **social CRM**, developed to describe social media integration with CRM, although it is widely used today. In B2B marketing, it's still common to talk about social selling, which is achieved by business development team members equipped with LinkedIn Navigator identifying prospects and leads and customers and interacting with them to establish need and add value.

To create a holistic approach to social media marketing for customer relationship development it's useful to review different applications of social media marketing across the functions of a business.

This framework shows the value of social media in collecting customer insights across different business functions. The scope of each area is:

1. *Marketing.* Increasing awareness through social networks as described in ~~Chapter 9~~. Monitoring, analysis and response of customer conversations through social listening tools.
2. *Sales.* Social selling plus understanding where prospects are discussing selection of products and services offered by you and competitors, and determining the best way to get involved in the conversation to influence sales and generate leads.

3. *Service and support.* Customer self-help through forums provided by you and neutral sites.
4. *Innovation.* Using conversations to gain ideas for new product development or enhance online offerings.
5. *Collaboration.* Sharing insight from social media monitoring throughout an organisation using internal collaboration tools such as Slack.
6. *Customer experience.* This references the use of social CRM to enhance the customer experience and add value to a brand. Altimeter gives the example of using VIP programmes offering collaboration between customers with shared characteristics to add value and create advocacy (Solis, 2011).

However, many businesses, particularly publishers and SaaS, do offer ‘social log-on’ to enable customers to readily sign in or subscribe, which can increase conversion rates. They can also gain some insights about customers – for example, Facebook and Instagram users tend to add their date of birth and location to their profile. This is provided by many CIAM platforms with specialists such as Auth0 and LoginRadius.

What are the main social media platforms?

Social networks are among the most popular sites on the internet along with search engines, and may be thought of as the only type of social platform. However, when developing a social media or social CRM strategy based on reviewing customers' opinions and sentiment it's worth considering other types of sites that can affect customer acquisition and loyalty.

The main types of social platforms to assess are:

1. *Social networks.* In most countries, the core social platforms where people interact through social networks are Facebook, Instagram, Snapchat and TikTok for consumer audiences, LinkedIn for business audiences and X for both.
2. *Social publishing and news.* Nearly all newspapers and magazines, whether broad or niche, now have an online presence with the option to participate through comments on articles, blogs or communities.
3. *Social streaming.* There are numerous rich and streaming media sites including photos (e.g. Pinterest), video (e.g. YouTube) and podcasting.

4. *Social reviews.* Sites such as Trustpilot and Feefo aggregate customer feedback and ratings, so it's important to understand negative comments as part of customer loyalty management. In some sectors, such as SaaS and martech, services ratings on sites such as G2, Capterra and GetApp can be important when prospects are benchmarking services.
5. *Social commenting in blogs.* A company blog can form the hub of your social media strategy and you can look at tapping into others' blogs, whether company or personal or through blog outreach. Some influencers will also make recommendations on their blogs, which are shared by social media.
6. *Social customer service.* Company X and Facebook pages, and their own customer support forums, are increasingly important for responding to customer complaints or pre-sales enquiries.
7. *Social customer communities.* These are communities and forums independent of the main networks. Some companies create their own communities for sharing customer feedback. Such open Q&A forums are particularly important in some sectors such as mobile phone and network providers. Larger brands use platforms like Qualtrics and Vision Critical to establish closed customer communities.
8. *Social knowledge.* These are reference social networks such as Answers.com, Quora™ and Wikipedia. They show how any

business can engage its audience by solving its problems and subtly showing how products have helped others.

9. *Social search.* When Google+ was launched, and before it was shut down, search engines incorporated social features such as voting for sites via a Google+1. However, the voice of the crowd is still important to determine which sites rank more highly in search results pages (i.e. sites and articles that have a higher click-through rate tend to be ranked more highly).
10. *Social commerce.* Mainly relevant for the retail and travel sectors, social commerce originally included sites comparing reviews and deals including sharing of coupons. Social commerce also involves organic sharing or purchases on social networks. Today, social commerce mainly refers to when social networks such as Facebook and Instagram facilitate online purchases direct from company pages and feeds.

We haven't identified mobile platforms or apps separately since all social networks are available through smartphone apps – indeed, social media statistics show that these apps account for the majority of consumer usage.

Social media activities requiring management

A social media strategy will define how social media can support marketing goals. We recommend these six activities are reviewed to define strategies for how social media can support each goal:

1. listen and manage reputation;
2. transform the brand through social media;
3. acquire new customers;
4. increase sales to existing customers;
5. deliver customer service.

All activities should run on a continuous and campaign basis. To support them, they require both a content and a communications strategy to be defined and sufficient resources to implement.

Activity 1. Define listening and reputation strategy

To develop a social media listening approach, you need to understand social media usage for each of:

- *your audience:* who they are, how they participate, what they're saying and sharing;
- *your activity:* through official social media channels and interactions through your site, but also through employee mentions;
- *your competitors:* for direct and indirect competitors, you need to review how their activities compare to yours;
- *online publishers and other key intermediaries:* these are a form of indirect competitor and are also important as influencers.

Social media sharing services such as the market leaders Buffer™ described in Case study 6 and Hootsuite.com™ are useful in all companies for making it easier to share posts on their company feeds in social media and tracking how they are spread. However, another type of service for **social media listening and social media monitoring (SMM)** is useful, particularly in larger businesses, for social media. Examples of these tools include Talkwalker, Meltwater and Sprout Social™, which can monitor 'conversation polarity', which is an indication of positive or negative sentiment. These tools can also be used to assess how influencers impact brands, as described in Mini case study 6.5.

But listening is just listening, so at the same time you need to develop a social media governance approach for how to follow up on positive or negative mentions.

Activity 2. Transform the brand through social media

To fully exploit social media across all functions will require companies to make major changes to their brand, company structure and how everyone in the company communicates.

Some key areas for delivering this transformation are:

- *Set scope for social media activities.* Understand the intersection of social media and your business activities. It's not just about your Facebook, Instagram, X or LinkedIn presence, it cuts across all customer marketing activities.
- *Review social media capabilities and priorities.* Social media marketing isn't new for most companies, they will already be using social media. But they won't be using it to the max. Benchmarking where you are now against where you want to be in the future is the key to future success.
- *Governance: define who is responsible for social media.* We've seen that exploiting social media requires the involvement of many people in larger companies. So you need to decide who does what and how different groups work together.
- *Reviewing the personality of your brand and setting a vision.* Social media and content marketing give many opportunities to make your

brand more engaging, which have to be thought through. The whole personality of your brand may have to be revisited too.

Activity 3. Acquire new customers using social media

For most marketers, the ultimate appeal of social media marketing is to use it to increase sales through reaching new prospects and converting them to customers, as discussed further in **Chapter 9**.

Mini case study 6.5

A beauty and skincare brand uses social media listening to understand influence effectiveness

L’Occitane en Provence chose to collaborate with micro-influencers on Instagram because it also allows the brand to target a younger clientele compared to its in-store demographics. A strategy with a long-term vision as well as the activation of a network of several micro-influencers also allows L’Occitane en Provence to increase the frequency of product views thanks to mentions across different publications.

Working with influencer agency Hivency and Talkwalker, a launch campaign for a new skincare product, the Reset Eye Serum, used 14 selected micro-influencers, operating mainly on Instagram, with a campaign duration of 30 days.

During this period, these influencers gained 6,270 likes and 671 comments with a 2 per cent engagement rate. The engagement rate is used to measure the engagement of consumers with a brand on social networks, blogs and videos. Micro- and nano-influencers generally have a higher engagement rate than macro-influencers or celebrities.

Source: Talkwalker (2020)

Activity 4. Increase sales to existing customers

Applying social media to increase sales to existing customers focuses on developing your customer communications strategy to encourage more social interactions on your site, leading to more social shares to gain the amplification effect.

Activity 5. Enhance customer service through social media marketing

Improving customer service or ‘social customer care’ through social media is not a major focus of this chapter since we focus more on communications that directly increase sales through reaching or converting more of an audience.

However, to find out more about how customer service can be delivered through social media, we recommend reading the advice of consultant

Guy Stephens of Foviance (Chaffey, 2010). He talks about how specific customer service activities should be managed, including:

- social listening to identify customers requiring service;
- outreach to answer customer questions or resolve problems;
- using service to improve product and service offerings;
- management of a company's own service forums or other service platforms such as Get Satisfaction.

To conclude this chapter, the case study reviews how data-driven digital marketing has been used to support the growth of a startup business that offers a service for social media scheduling and tracking.

Case study 6.1

Buffer: from idea to paying business customers in seven weeks

This case study features a B2B service used for managing and tracking social media updates. It illustrates success factors for an agile startup business developing into a profitable mature business that adopted a data-driven mindset to drive growth. The founder believes in ‘radical transparency’ to openly share tests and insights, and this makes it a useful case study to learn from since interesting details are often not revealed in other cases.

Joel Gascoigne formed Buffer in Birmingham in the United Kingdom. The initiation of the company was data driven. From his ‘lightbulb’ moment of a service to improve social sharing and scheduling, his minimum viable product (MVP) was a landing page to assess interest in the service. Initial registrations and feedback via Twitter were sufficient for him to commit to launch the project and he personally designed and built the first version of the Buffer application for using with Twitter over seven weeks, as described by Buffer (Gascoigne, 2011). Today it supports Instagram, Facebook, Pinterest, LinkedIn and other channels also.

Buffer’s value proposition

Gascoigne describes his vision for the product like this:

> I wanted to take the scheduling feature of many Twitter clients and apps and make that single feature awesome. I believed that single feature was worthy of its own application. The aim was to create something genuinely useful with a delightful experience. The fundamental idea was to create a way to queue up tweets without scheduling each tweet individually.

After the initial landing page test was validated, a further test was run to assess how much people would be prepared to pay. A freemium revenue model was devised where there was a free service that businesses could subscribe to, with more advanced scheduling available for subscribers to paid plans. Gascoigne found that sufficient people were clicking on the details of the $5 and $10 per month plans to suggest some people were prepared to pay. Today, payment plans vary from $60 to $120 per year.

After reaching a critical mass of registrations, Gascoigne built and designed the first version of the application software during evenings and over weekends over a span of seven weeks. This

again used the MVP concept to minimise features, but show a clear benefit for the paid plan. Initially, Gascoigne was bootstrapping the company by working on web development contracts at the same time.

In 2016, Buffer would extend the proposition to social media customer service by launching a ‘Reply’ feature based on an acquisition of another company. Ultimately that was not successful and in 2020 Buffer retired that feature.

Today, Buffer’s value proposition communication centres on the marketer’s ‘use-case’ of managing social media as part of marketing campaigns. It offers to ‘Plan and analyse your campaigns’ by scheduling, tagging content by initiative and reviewing work in detailed reports. It also offers ‘auto-scheduling’ and recommendations on when, what and how often to post to maximise audience engagement. Insights it provides marketers include:

- Best time to post
- Best type of post
- Best posting frequency

Buffer has also taken advantage of AI innovations and in 2023 launched a Buffer’s AI Assistant that will generate new posts for a

Buffer schedule, repurpose existing posts and suggest ideas for compelling content.

The company has also somewhat reduced the functionality of the free plan and in 2018 it highlighted some of the limitations of the freemium model, which incurs costs for supporting free users and providing the service to them. At this time, according to Buffer (2024) it had:

- c30,000 people signing up for a free Buffer account every week;
- around 1,000 requests for help every week from prospects and customers;
- 30,000 paying customers and over 120,000 monthly active Free users;
- 91.6 per cent Customer satisfaction in the last 90 days.

Buffer are a useful business to learn from since with their transparent approach they provide detailed metrics available from their Dashboard (https://buffer.com/metrics).

Launch and marketing to achieve growth

On launch, Buffer found that, with the initial pricing, there was a 4 per cent conversion rate from the free plan to the paid plan. The first paying customer was achieved after four days of launch and within a few weeks users reached 100, and then increased to 100,000 users within the next nine months!

As new customers subscribed, Gascoigne resisted the temptation to simply build more features; rather he assessed the business model, including marketing and customer development. Gascoigne notes:

After the first paying customer, I took a step back, acknowledged that as a major milestone and decided a slight shift in focus was required. As a developer, it is easy to pile in more features at that point. I knew it was time to focus on marketing and further customer development. It was time to keep the balance of development, marketing and customer development with a product which had proved it was ‘good enough’.

By early 2011 the company reached what Gascoigne (2020) describes as ramen profitability, i.e. where you’re making just enough to pay your living expenses. For him, that first goal was £1,200 per month.

In July 2011, the co-founders decided to move the startup venture from the United Kingdom to San Francisco in the United States, and Buffer was converted into an incorporated business and received investment funding to grow further.

By October 2012, it was reported on Buffer's blog that '1.5–2 per cent of users are on the paid plan, predicting $800,000 in annual revenue'. Soon after, Buffer intentionally made its salary calculation algorithm public, which it still does today now it has reached 90 employees.

Buffer does not employ most of its 90 employees locally. It has had a remote workforce since 2012 when the decision was made to run Buffer as a virtual business, predating the approach that was later enforced on many businesses by the global pandemic. One technique used to develop a feeling of belonging in the remote team was to develop ten shared values:

1. Choose positivity.
2. Default to transparency.
3. Focus on self-improvement.
4. Be a no-ego doer.
5. Listen first, then listen more.

6. Have a bias toward clarity.
7. Make time to reflect.
8. Live smarter, not harder.
9. Show gratitude.
10. Do the right thing.

Buffer’s social media and content marketing strategy

As might be expected from a company offering a service for social media marketing, social media has been important to the growth of Buffer. Its success in social media for a B2B service is suggested by over 1 million Twitter followers, 200,000 followers on Facebook and Instagram, and a further 40,000 page followers on LinkedIn. Ultimately, its success in social media has been based on its content strategy. Since launch it has had an active blog telling the company story, but also providing guidance for marketers about how to improve their social media marketing and marketing more broadly. As well as blog posts covering best practices for digital marketing it has also created a ‘Library’ section to educate on marketing techniques, including templates to help marketers manage their social media marketing and campaigns.

Listed are some examples of resources published by Buffer that are indicative of the content editorial schedule it has developed to

support increases in awareness. These types of content offering value evidenced by a ‘clickbait’ B2B title can help attract visits at low cost by social media amplification as they are shared online, and they can also potentially attract visits from organic search and backlinks from other sites:

- *How to Use Facebook to Market Your Business*. Article in the guides category covering best practice, repeated for other social networks.
- *Why We Have Our Best Ideas in the Shower: The Science of Creativity*. From the self-improvement category, offering to teach and inspire.
- *We Analyzed 43 Million Facebook Posts From the Top 20,000 Brands.* From the trends category, which shares the latest data and approaches, including sharing learning from its own anonymised customer data.
- *Nike’s Secret to Success on Instagram: Building an Engaged Community.* From the case studies category.

Marketing automation to support customer development and retention

Since new prospects and customers sign up to Buffer via their email, automated emails are a key technique to welcome prospects

and develop its customers. The email sequence from Buffer for people using the free platform or trial has included:

- A welcome email from a team member recommending initial usage to schedule a post.
- A second email offering to ‘Use Buffer to grow your reach, engagement and sales’.
- A third email featuring customer testimonials linking to the Analytics reports.
- A fourth email offering to teach: ‘3 things top social media marketers do’. . . naturally Buffer facilitates these.
- Other emails include practical actions of downloading the browser extension to make scheduling of curated content easier and downloading the mobile app.
- Monthly reports.
- Feedback on customer successes, highlighting social shares that performed well, and encouraging people to learn more.

Conclusion

At the end of 2020, Joel Gascoigne wrote a retrospective blog article: ‘Reflecting on 10 years of building Buffer’ (Gasgoine, 2020). This illustrates the opportunities and challenges faced by an online startup business and the need to adopt an agile mindset to respond to changes in the marketplace, most recently caused by

the pandemic. Gascoigne also talks about some of the rewards and pressures of running an online business:

In the early days, it's easy to treat a startup as a sprint, but it's really a marathon. It's vital to pace yourself and take care of yourself. Regular rest is a necessity, and I'm going to continue to work towards incorporating rest and true vacations into my annual cycle. Additionally, as with life, there are seasons to a company. There have been stages of growth, market changes and role evolutions. There are always periods with different focuses, and it is a continual journey towards ideal equilibrium.

I've learned that it's hard to grow without compromising, and after doing so, you might have to work to find your purpose again. This is an example of the hard work it takes to create something enduring. If you are to be successful long-term, you have to take time to reflect and rediscover your passion, and sometimes make some bold changes to get back on track.

Questions

1. Explain the data-driven customer acquisition and retention techniques that Buffer used to grow the company.
2. How has Buffer used social media and content marketing to grow the business?

Source: Buffer (2024), Gascoigne (2011, 2018, 2020)

Summary

1. Marketing automation and CRM enable ‘sense-and-respond’ communications, where personalised emails or web-based messages can be delivered based on disclosed or inferred customers’ preferences stored as customer profiles.

2. Today, generative AI tools such as ChatGPT and predictive analytics are increasingly used for customer communications.

3. CRM also involves management of online services to deliver customer service that is aimed at improving brand loyalty.

4. The classic model for permission marketing supported by marketing automation is:

    - Attract customers to website, partner microsite or social presence such as Facebook.

    - Incentivise in order to gain contact and profile information.

- Capture customer information to maintain the relationship and profile the customer.
- Maintain dialogue through using online communications to achieve repeat site visits.
- Maintain dialogue consistent with customer’s profile using email, social media messaging or, where cost-effective, direct mail or outbound phone contact.

5. Personalisation technologies enable customised emails (or direct mails) to be sent to each individual (or related groups) and customised web content to be displayed or distributed using push technology. Increasingly, machine learning artificial intelligence is used to deliver more relevant messages compared to rules-based approaches.
6. CRM also involves review of customer advocacy through techniques such as Net Promoter Score (NPS) and development of programmes to encourage customer advocacy.
7. The development of online communities through social networks, particularly Facebook company pages and LinkedIn groups or independent communities linked to the company site, is a key part of social CRM.

8. Development of an independent customer community may give additional benefits since the community will be more aligned with company goals and customer brand experience.

9. Management of customer value through customer lifetime value and recency–frequency–monetary (RFM) analysis is a core technique for targeting marketing programmes at customers who will generate the most future value for an organisation.

Exercises

Self-assessment exercises

1. Why are digital platforms so suitable for relationship marketing?
2. Explain ‘personalisation’ in a digital marketing context.
3. What is meant by ‘customer profiling’?
4. What are the options for using artificial intelligence to improve marketing communications?
5. How can customer concerns about privacy be responded to when conducting one-to-one marketing using digital communications?
6. Choose an e-commerce sector, e.g. retail, travel or financial services, to explain why different types of automated contact strategies are important.

7. Explain the concept and applications of RFM analysis to different types of web presence.
8. Explain the concept and applications of lifetime analysis.

Exam and discussion questions

1. Explain the factors that influence the development of multichannel customer contact strategies.
2. Explain how customer lifetime value analysis can be applied to improve all aspects of the customer lifecycle.
3. Explore the options, success factors and barriers to delivering artificial intelligence and Big Data applications for marketing.
4. Explore the legal and ethical constraints on implementing relationship marketing using digital media.
5. Explore the opportunities and methods for personalising an interactive web session and adding value for that individual customer.

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Weblinks

A directory of recommended website links, including recommended videos, analysis tools and sources for statistics, is maintained by Dave Chaffey at www.davechaffey.com/book-support. The sites for this chapter cover websites focusing on CRM, marketing technology services, data management and loyalty.

Part 3

Digital marketing: implementation and practice

In Part 3, practical success factors for implementing and managing digital marketing strategy are described, including website and app development to ensure a quality customer experience (**Chapter 7**), marketing communications to promote a site (**Chapters 8** and **9**) and the evaluation of company digital presences (**Chapter 10**).

7 Delivering the digital customer experience

- Introduction
- Planning website, app design and redesign projects
- Initiation of a digital experience project

- Defining site or app requirements
- Designing the information architecture
- Designing the user experience
- Mobile design requirements and techniques
- The Internet of Things
- Virtual reality and augmented reality
- Online retail merchandising
- Evaluating the impact of service quality on e-loyalty

8 Campaign planning for digital media

- Introduction
- The characteristics of digital media
- Step 1. Goal setting and tracking for interactive marketing communications
- Step 2. Campaign insight
- Step 3. Segmentation and targeting
- Step 4. Big idea, offer, message development and creative
- Step 5. Budgeting and selecting the digital media mix
- Step 6. Integration into overall media schedule or plan

9 Marketing communications using digital media channels

- Introduction
- Search engine marketing
- Digital public relations and influencer relationship management

- Digital partnerships including affiliate marketing
- Digital display advertising
- Digital messaging including email marketing and mobile messaging
- Social media and viral marketing
- Offline promotion techniques

10 Evaluation and improvement of digital channel performance

- Introduction
- Performance management for digital channels
- Using Google Analytics to evaluate and improve digital marketing
- Marketing research using the internet and digital media
- Content management process
- Responsibilities for customer experience and site management

Chapter 7

Delivering the digital customer experience

Learning objectives and topics

After reading this chapter, you should be able to:

- Describe the different stages and processes needed to create an effective website or mobile app and to optimise its performance
    - Planning website, app design and redesign projects
    - Initiation of a digital experience project (including domain registration, hosting, performance and availability)
- Define the success factors that contribute to an effective digital experience delivered as a website, mobile app or, where relevant, in-store, virtual or augmented reality
    - Defining site or app requirements (including usability, accessibility, personalisation and cultural customisation)
    - Designing the information architecture

- Designing the user experience
- Mobile design requirements and techniques
- The Internet of Things
- Virtual reality and augmented reality
- Online retail merchandising
- Evaluating the impact of service quality on e-loyalty

Case study

Case study 7.1 How fashion retailer Zalando has used a strategic approach to AI to improve marketing communications

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Links to other chapters

This chapter is related to other chapters as follows:

- **Chapter 2** explains the technique of persona development, which is used to inform the creation of digital experiences.
- **Chapters 4** and **5** describe the development of the digital strategy and tactics that inform online experiences including defining the online value proposition.
- **Chapters 8** and **9** describe approaches to promoting websites.

- **Chapter 10** describes the analysis of digital customer experience and its maintenance.

Introduction

In the context of the 7Ds of digital marketing we introduced in **Chapter 1**, this chapter focuses on how to achieve digital marketing goals by creating and optimising digital experiences. We explore the processes that should be put in place to manage the digital technology and data, with a focus on websites and mobile apps forming owned media.

Managing the **digital customer experience** for a brand used to be relatively straightforward: businesses simply had a website accessed via desktop computers and an email newsletter alongside offline channels to sale. Today, the picture on the **customer journey** or 'path to purchase' is far more complex, with the combination of digital touchpoints where marketers seek to influence consumers stretching across paid, earned and owned media on different devices. Consider the customer-facing touchpoints of a brand's digital experience. These can include a desktop or mobile-optimised site, mobile apps, company pages on social media, emails, connected devices and the Internet of Things (IoT). For multichannel retailers, the digital experience also includes providing digital devices in-store, including augmented and virtual reality. An indication of the need to produce a customer-centric online presence that supports different customer journeys was given by Alison Lancaster, at the time the head of marketing and catalogues at John Lewis Direct and then marketing director at Charles Tyrwhitt™ (www.ctshirts.com) who have had an e-commerce site since the web was in its infancy, who said:

A good site should always begin with the user. Understand who the customer is, how they use the channel to shop, and understand how the marketplace works in that category. This includes understanding who your competitors are and how they operate online. You need continuous research, feedback and usability testing to continue to monitor and evolve the customer experience online. Customers want convenience and ease of ordering. They want a site that is quick to download, well-structured and easy to navigate.

Structure of this chapter

This chapter focuses on success factors for creating effective customer-facing digital experiences. We will focus on company websites and mobile apps. To review the factors that determine the effectiveness of an e-commerce experience, it is helpful to consider the full customer journey, which is also known as the **e-commerce conversion funnel** for a purchase. Consider a simple e-commerce site such as that shown in Figure 7.1. The Google Merchandise Store is used to collect data for the 'Demo Account' that users of Google Analytics can use to learn how to review data in Google Analytics. Here we see the home page, where many visitors will land. From here there are many different customer journeys before potential purchase. Some directed shoppers may have a purchase in mind and start by performing a search. Others, who are less directed, perhaps seeking a gift, may prefer to browse.

Figure7.1

Google Merchandise Store (shop.googlemerchandisestore.com)

Google

New Apparel Lifestyle Stationery Collections Shop by Brand Sale



Shop Trending Collections











Sustainable Spotlight

The Ripl Effect

This is no ordinary water bottle. Every RIPL Goods bottle funds a day of employment for a Balinese local to collect plastic from beaches. The plastic they collect is then used to make water purifiers, reducing their community's reliance on bottled water.
The Google Merchandise Store is proud to say that by partnering with RIPL Goods we have funded just under 5 years of employment for their team in Bali while removing the equivalent of 1.5 million plastic bottles from the environment. By supporting RIPL, you're bringing everything full circle and making waste plastic useful again.

Shop Now

Learn more about our commitment to sustainability

1-855-300-2945
Monday - Friday: 8:00am - 8:00pm EST

Email Us
Then we'll take it from there.

Sustainability

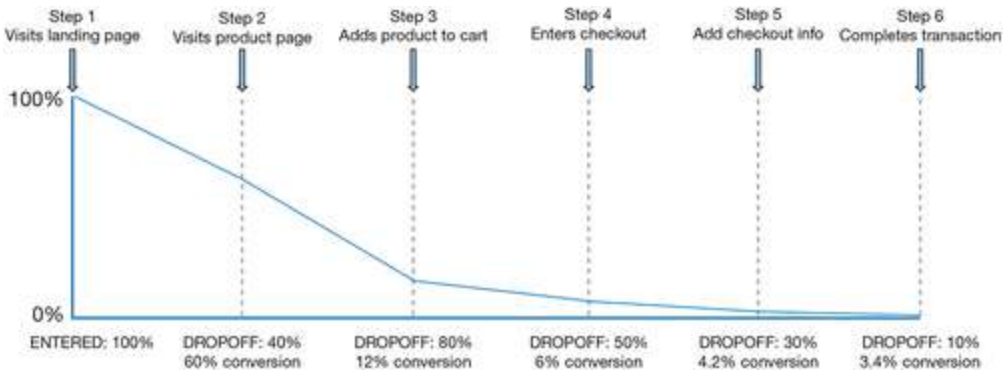
Customer Support
FAQ | Returns and Exchanges | Shipping

Privacy Policy | Terms of Use
Operated by Robertson Marketing All Rights Reserved © 2023

Whatever the route that is followed on the customer journey, there are some common steps before purchase. These are shown in Figure 7.2. Note that this is not a complete view of the conversion funnel since optional routes such as searching for a product, or viewing a category page aren't shown. Of course, some purchasers may want to return items too. This visual is intended to show the challenges for e-commerce managers in achieving a successful conversion outcome from the site visit. To create effective experiences that maximise the potential conversion for an e-commerce website, it is helpful to consider these stages and potential drop-off at each stage as part of the **analysis and design** process.

Figure7.2

A schematic representation of the steps in a conversion funnel forming parts of the customer journey for an e-commerce site. Dropoff rates are selected to be representative based on data published by e-commerce service providers such as Kibo (2022).



As part of considering the success factors that encourage conversion complete Activity 7.1 to review some of the consequences of poor analysis and design and consider what factors need to be managed to increase conversion.

Activity 7.1

The success factors for effective e-commerce experience design

Purpose

To highlight the impact of poor analysis and design on conversion and customer satisfaction.

Activity

Form a focus group and discuss your own experiences of online purchasing. What have been your problems and frustrations that have stopped you purchasing for different types of products? Relate these to the stages of the customer journey or conversion funnel shown in Figure 7.2.

We start the chapter by considering the requirements for a presence that delivers appropriate rational and emotional values. We then look at the processes and stages involved in managing a project to improve the customer experience. Our coverage on website design is integrated with consideration of researching online buyer behaviour, since an appropriate experience can only be delivered if it is consistent with customer behaviour, needs and wants. We then go on to review delivery of service quality online. This includes aspects such as speed and availability of the

site itself, which support the rational values, and also fulfilment and support, which are a core part of the promised experience.

Essential digital skills

Digital experiences and websites

While many students will use social media accounts, not all will take the additional time to set up a blog or simple website. By creating a blog and updating it you can learn a lot about the challenges of managing digital experiences. Understanding the basic technical principles of website coding using JavaScript and HTML can also be useful for marketers managing the projects where website designers and developers build sites and experiences. Instructional sites like these provide content, videos and tools for learning and testing these principles when building a simple site:

- W3Schools.com
- Freecodecamp.com
- Learn-HTML.org
- FreeCodeCamp.org

You can also prompt ChatGPT or Gemini to create or review code you produce for your project. We recommend you develop these skills:

- how to explain the purpose and proposition of a website;
- how to encourage different forms of audience interaction with a website, e.g. recommended content, navigation, social sharing or data capture, e.g. through a contact form;

- using analytics tools to understand the path and interactions of visitors to a website.

  Practical ideas to boost employability by showcasing your interests and experiences include:

- Create a blog using a free or low-cost platform such as Wordpress.com or Wix.com and write about an area of marketing or a hobby that interests you.
- Apply different themes to the blog to see how cascading style sheets work.
- Set up analytics on the blog, e.g. Google Analytics, so you can understand audience interactions with the site.

Creating effective digital experiences

Given the popularity of digital devices for finding out about brands and services, improving the capability to create and maintain these effective online brand presences is a key part of digital marketing. An ‘effective’ digital experience must both support marketing goals and deliver relevance and a satisfactory digital customer experience for its audience.

In this chapter we will explain different practical techniques that businesses need to use to create digital experiences that support both business and user goals, including:

- *Project management and quality assurance* – using agile techniques to rapidly prototype, test and refine digital experiences.
- *Conversion rate optimisation (CRO)* – increasingly being used by companies to improve the commercial contribution of online presence to a business by testing different persuasion marketing techniques.
- *Usability* – improving the user or customer experience (often abbreviated to UX or CX) and customer journeys.
- *Information architecture* – structuring website content and navigation to improve ‘findability’.
- *Content marketing strategy* – deciding on the types of content, different formats and how frequently they are updated.

- *Accessibility* – support for disabled users, in particular those that are visually impaired or have difficulty with motor control.
- *Performance* – ensuring the site pages download rapidly and the site is available continuously.
- *Search engine optimisation (SEO)* – ensuring the site is visible within Google and other search engines, and ranks competitively (we cover these techniques at the start of **Chapter 9**).

Frameworks defining effective digital experiences

One of the first frameworks for considering the success factors for an effective online experience was published in the first edition of this book and is shown in Figure 7.3. This is based on a diagram by de Chernatony (2001), who suggested that delivering the online experience promised by a brand requires delivering rational values, emotional values and promised experience (based on rational and emotional values). The different success factors shown reflected best practices and differ from those of de Chernatony.

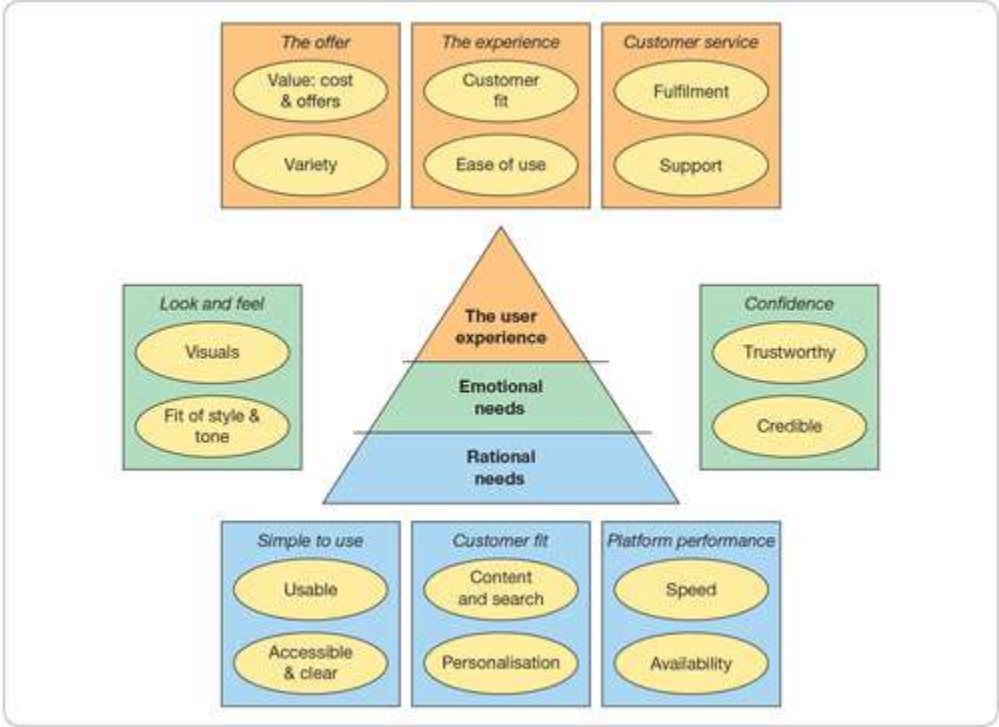
The factors that influence the online customer experience can be presented in a pyramid form of success factors (the different success factors reflect current best practice and differ from those of de Chernatony).

The diagram also highlights the importance of delivering service quality online, as has been indicated by Trocchia and Janda (2003).

The diagram also highlights the importance of delivering service quality online, which we discuss next.

Figure7.3

The online customer experience pyramid – success factors



Source: Based on de Chernatony (2001)

Research by Christodoulides *et al.* (2006) has tested the importance of a range of indicators of online brand equity for online retail and service companies. This analysis was performed across these five dimensions of brand equity, assessed by asking the following questions:

Emotional connection

Q1: I feel related to the type of people who are [X]'s customers

Q2: I feel like [X] actually cares about me

Q3: I feel as though [X] really understands me

Online experience

Q4: [X]’s website provides easy-to-follow search paths

Q5: I never feel lost when navigating through [X]’s website

Q6: I was able to obtain the information I wanted without any delay

Responsive service nature

Q7: [X] is willing and ready to respond to customer needs

Q8: [X]’s website gives visitors the opportunity to ‘talk back’ to [X]

Trust

Q9: I trust [X] to keep my personal information safe

Q10: I feel safe in my transactions with [X]

Fulfilment

Q11: I got what I ordered from [X]’s website

Q12: The product was delivered by the time promised by [X]

WEBQUAL is a similar framework for e-commerce sites covering 14 dimensions across four broad areas of ease of use, ease of information gathering, ease of transactions and entertainment value (Loiacono *et al*., 2000, 2007). We review alternative customer service frameworks such as SERVQUAL at the end of the chapter.

Consider how these elements of effective online brand experience might differ today. Differences could include support for interactions with other customers, including rating of content or products, support for different digital devices, and integration with other online and offline channels. More recent research into assessing company digital capabilities in the context of **customer experience management (CXM)** is limited. Klaus (2014) identifies three levels of company approach to CXM: Preservers, Transformers and Vanguards. He categorises Vanguards as having a ‘clear strategic model of CX management impacting all areas of the organisation, and developing commensurate business processes and practices to ensure its effective implementation. While Transformers merely acknowledge the broad-based challenges of CX management, Vanguards integrate functions and customer touchpoints to ensure

consistency of the desired customer experiences across their own business.’

Online service quality frameworks

Delivering service quality in e-commerce can be assessed through reviewing existing marketing frameworks for determining levels of service quality. Those most frequently used are based on the concept of a ‘service–quality gap’ that exists between the customer’s expected level of service (from previous experience and word-of-mouth communication) and their perception of the actual level of service delivery. We can apply the elements of service quality on which Parasuraman *et al*. (1985) suggest that consumers judge companies. Note that there has been heated dispute about the validity of this SERVQUAL instrument framework in determining service quality – see, for example, Cronin and Taylor (1992). Despite this, it is still instructive to apply these dimensions of service quality to customer service on the web (see, for example, Chaffey and Edgar (2000); Kolesar and Galbraith (2000); Trocchia and Janda (2003); and Zeithaml *et al*. (2002), summarised by Valvi and Fragkos (2012)):

- *Tangibles* – the physical appearance of facilities and communications.
- *Reliability* – the ability to perform the service dependably and accurately.
- *Responsiveness* – a willingness to help customers and provide prompt service.

- *Assurance* – the knowledge and courtesy of employees and their ability to convey trust and confidence.
- *Empathy* – providing caring, individualised attention.

For e-commerce, such dimensions are often discussed for their impact on e-loyalty, i.e. reviewing whether service quality is sufficient for repeat purchases. Additional non-service factors such as perceived value also need to be assessed for their impact on repeat purchase, as noted by Valvi and Fragkos (2012), who review no less than 62 instruments or frameworks for reviewing e-loyalty! These authors propose a new general conceptual framework that leads to e-loyalty, dividing antecedents into pre-purchase, during purchase and after-purchase factors, based on the act of purchase.

As well as applying these academic frameworks, organisations can use benchmarking services such as ForeSee™ (www.foreseeresults.com), based on the American Customer Satisfaction Index methodology that assesses satisfaction scores based on the gap between expectations and actual service. Net Promoter Score (NPS), which is discussed in **Chapter 6** in the section on 'Measuring the voice of the customer in digital media', is the most commonly used measurement and technique for assessing loyalty within e-commerce.

It should also be remembered that the level of service selected by an online transactional service is based on the relationship between the costs

to serve, the value of the product and the likelihood of the channel to increase conversion. Take the example of a bank: online customer service will typically have a lower cost-to-serve, yet may reduce conversion rates, particularly for more complex products. We introduced some of these methods of delivering online customer service in **Chapter 5**:

1. *Straight-through processing.* Transaction typically occurs without intervention from staff for a relatively simple product such as a savings account.
2. *Call-backs.* The customer has the option to specify the bank call if there is anything they are unclear on.
3. *Live chat.* Online discussion between service representative and the client. This may be invoked proactively if analysis suggests the customer is having difficulty in deciding.
4. *Co-browsing.* Sharing of screen to walk through application process.
5. *Phone.* Typically, this has the highest cost, but often the highest conversion rate.

Two of the most significant frameworks for assessing online service quality are:

- WEBQUAL (Loiacono *et al.*, 2000, 2007), which considers 14 dimensions. It has been criticised for relating too much to functional design issues rather than service issues. Consider other

limitations, which could include rating of content or products, trust factors, support for different digital devices or integration with other online and offline channels. Green and Pearson (2011), for example, cover the trust factors and perceived risk. The dimensions of WEBQUAL are:

1. *Information quality* – the concern that information provided is accurate, updated and appropriate.
2. *Functional fit to task* – the extent to which users believe that the website meets their needs.
3. *Tailored communications* – communications can be tailored to meet the user's needs.
4. *Trust* – secure communication and observance of information privacy.
5. *Response time* – the time it takes to get a response after a request or an interaction with a website.
6. *Ease of understanding* – easy to read and understand.
7. *Intuitive operations* – easy to operate and navigate.
8. *Visual appeal* – the aesthetics of the site.
9. *Innovativeness* – the creativity and uniqueness of the website.
10. *Emotional appeal* – the emotional effect of using the website and intensity of involvement.

11. *Consistent image* – that the website does not create dissonance for the user by an image incompatible with that projected by the firm through other media.
12. *Online completeness* – allowing all or most necessary transactions to be completed online (for example, purchasing on the website).
13. *Relative advantage* – online service is equivalent to or better than other means of interacting with the company.
14. *Customer service* – the response to customer enquiries, comments and feedback when such response requires more than one interaction.

- E-SERVQUAL (Zeithaml *et al*., 2002) contains seven dimensions. The first four are classified as the core service scale, and the latter three dimensions are regarded as a recovery scale, since they are only relevant when online customers have questions or problems:

1. *Efficiency* refers to the ability of the customers to get to the website, search for information or transact as required.
2. *Fulfilment* involves the accuracy of service promises, including products' in-stock availability and delivering the products in the promised time.
3. *Reliability* is associated with the technical functioning of the site, including availability and performance.

4. *Privacy* is related to assurance that shopping behaviour data are not shared and that credit card information is secure.
5. *Responsiveness* refers to the ability of e-tailers to provide appropriate support information to customers when requested.
6. *Compensation* involves returns facilities for refunds, and return shipping and handling costs.
7. *Contact* is the ability of customers to talk to a live service agent online.

Both are useful frameworks that can still be applied to evaluate online service quality today, although arguably they omit the importance of accessibility, findability techniques, multichannel integration and customer reviews and ratings.

Online marketers should assess what customers' expectations are in each of these areas, and identify where there is an **online service–quality gap** between the customer expectations and what is currently delivered.

As mentioned at the start of the chapter, Klaus (2014) notes that there have been limited attempts to review more holistic digital customer experiences, despite the development of broader customer experience management assessment such as EXQ – a multiple-item scale for assessing service experience, developed by Klaus and Maklan (2012).

We will now examine how the five determinants of online service quality apply online.

Tangibles

It can be suggested that the tangibles dimension is influenced by ease of use and visual appeal based on the structural and graphic design of the site. Design factors that influence this variable are described later in this chapter.

Reliability and responsiveness

The reliability dimension is dependent on the availability of a website – in other words, how easy it is to connect to the website as a user. Many companies fail to achieve 100 per cent availability and potential customers may be lost for ever if they attempt to use the site when it is unavailable.

Reliability of email and social media response remains a key issue. Superoffice (2021) analysed the customer service quality of 500 worldwide companies of a range of sizes. They found that:

- 62 per cent of companies did not respond to a customer service request.
- 90 per cent of companies did not acknowledge an email had been received.
- 99 per cent of companies did not follow up with customers.
- Only 11 per cent of companies answered both questions in the first reply.
- The average response time to handle a customer service request was 12 hours 10 minutes

Responsiveness is also indicated by the performance of the website – the time it takes for a page request to be delivered to the user’s browser as a

page impression, as discussed for the Google data presented earlier in this chapter (Karnowski, 2017).

Assurance

In an email or social media response context, assurance can best be considered as the quality of response.

Empathy

Although it might be considered that empathy requires personal human contact, it can still be achieved, to an extent, through email and web communications.

Provision of personalisation facilities is also an indication of the empathy provided by the website, but more research is needed as to customers' perception of the value of web pages that are dynamically created to meet a customer's information needs.

It can be suggested that, for managers wishing to apply a framework such as SERVQUAL in an e-commerce context, there are three stages appropriate to managing the process:

1. *Understanding expectations.* Customer expectations for the e-commerce environment in a particular market sector must be understood. The SERVQUAL framework can be used with market research and benchmarking of other sites to understand requirements such as responsiveness and empathy. Scenarios can also be used to identify customer expectations of using services on a site.
2. *Setting and communicating the service promise***.** Once expectations are understood, marketing communications can be used to inform the customers of the level of service. This can be achieved through

customer service guarantees or promises. It is better to under-promise than over-promise. A book retailer who delivers a book in two days when three days were promised will earn the customer's loyalty better than the retailer who promises one day but delivers in two! The enlightened company may also explain what it will do if it doesn't meet its promises – will the customer be recompensed? The service promise must also be communicated internally and combined with training to ensure that the service is delivered.

3. *Delivering the service promise.* Finally, commitments must be delivered through on-site service, support from employees and physical fulfilment. Otherwise, online credibility is destroyed and a customer may never return.

Tables 7.1 and 7.2 summarise the main concerns of online consumers for each of the elements of service quality. Table 7.1 gives the main factors in the context of SERVQUAL and Table 7.2 presents the requirements from an e-commerce site that must be met for excellent customer service.

Multichannel customer service preferences

Preferences among consumers for getting advice and support from different channels will vary according to their demographics. The CMO Council (2019) researched preferences in a survey of more than 2,000 consumers with nearly equal representation from five generational cohorts – the Silent Generation, Baby Boomers, Gen Xers, Millennials and Gen Zers. Eighty-one per cent of the survey respondents were from the United States, and the balance were from Canada, the United Kingdom, Ireland and Australia/New Zealand.

Fifty-nine per cent of consumers agreed that it was important a company was ‘omnichannel’ to them, agreeing with the statement ‘I don’t need companies to be everywhere, except when I really need something’. When survey participants were asked what makes a channel indispensable, the top three attributes identified were convenience (50 per cent), reliability (45 per cent) and speed (41 per cent). The research also asked participants what communication channels they expected companies to provide. The top five channels identified were:

- email (86 per cent of respondents);
- telephone (65 per cent);
- website (53 per cent);

- text (52 per cent);
- in person (48 per cent).

When survey participants were asked what communication channel they couldn’t live without, the two channels most frequently identified by respondents – telephone (28 per cent) and in person (17 per cent) – were both non-digital.

A further assurance concern of e-commerce websites is the privacy and security of customer information (see **Chapter 3**). Reassurance can be provided by trust marks, which are independent third-party images or logos that e-commerce sites display. Some of the most commonly recognised trust marks include the Verisign, McAfee, TRUSTe, secure HTTP (e.g. Comodo) and PayPal verified site marks.

The relationship between service quality, customer satisfaction and loyalty

As we discussed in Chapter 6 (see Figure 6.11), it is key for organisations to understand not only the levers that determine service quality and customer satisfaction, but also loyalty or repeat purchases.

Rigby *et al*. (2000) assessed repeat-purchase drivers in grocery, clothing and consumer electronics e-tail. It was found that the key loyalty drivers were similar to those of Dell, including correct delivery of order, but other factors such as price, ease of use and customer support were more important.

Table7.1

Online elements of service quality

Tangibles	Reliability	Responsiveness	Assurance and
Ease of use	Availability	Download speed	Contacts with call c
Content quality	Reliability	Email response	Personalisation
Price	Email replies	Call-back	Privacy
		Fulfilment	Security

Table7.2

Summary of requirements for online service quality

Email response requirements:

• Use of autoresponders confirming processing of query
• Defined response times and individuals responsible
Personalised emails if this is appropriate
Opt-ins and opt-outs must be provided for promotional emails with a suitable offer in exchang customer information
Accurate response to inbound email noting customer's preferred response type: email, or phor
Layout should be clear; with named individual and privacy statements included
Website requirements:
Company targets for site performance and availability
Support for customer-preferred channels (email, phone, in person or postal mail)
Clear contact points, including mail to (a link specified, which sends an email or leads to a for
Personalisation options for customers
Tools to help users answer specific questions, such as FAQs or interactive databases
Testing of site usability and efficiency of links, HTML, plug-ins and browsers to maximise ac
Graphic and site design to achieve ease of use and relevance of content with visual appeal

Case study 7.1 explores how a strategic approach to investment in AI has supported more relevant communications to support the growth of an international retailer.

Conversion rate optimisation (CRO), merchandising and personalisation

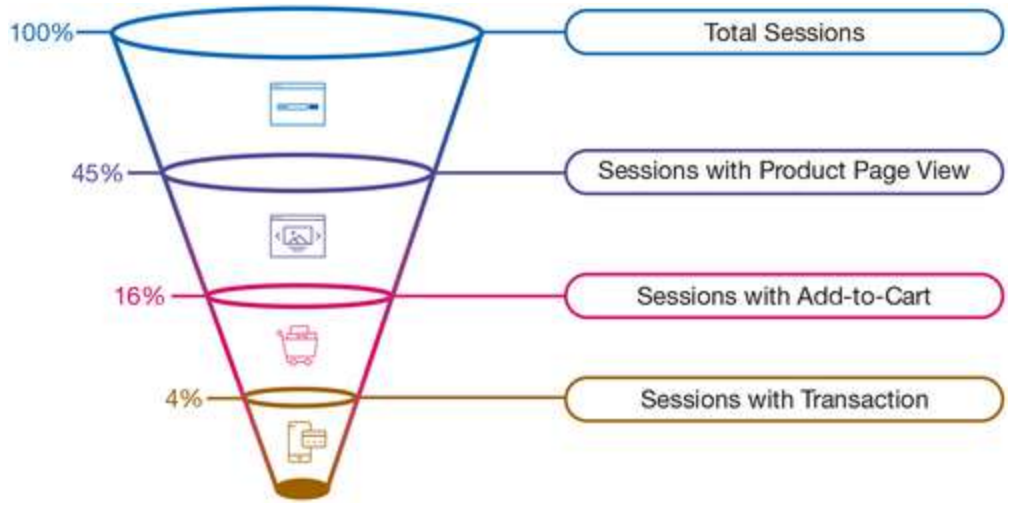
The conceptual approaches described above reveal some of the success factors that can be improved to increase conversion. However, many sites now fulfil most of the requirements for an effective experience since they use templates for different pages following standard design patterns that follow convention so the interface will be readily learned by users. To improve conversion on sites that already have the minimum requirements many businesses and their agencies now use the **conversion rate optimisation (CRO)** approach.

The value in CRO is evident from Figure 7.4 which shows the challenge in achieving e-commerce conversion. We have created this visual based on data from data from Kibo which provides personalisation software for large brands based in the UK, US and EMEA. You can see that even for well-known brands with teams focused on merchandising and conversion, typical conversion rates are well below 1 in 10 visitors conversion. CRO involves breaking down opportunities to increase conversion though the customer journey or funnel shown in Figure 7.4. Overall conversion can be increased by benchmarking and then putting in place tests to increase conversion rates for the separate stages of people viewing product pages and adding to cart (or basket) and then converting. Options for improving conversion to each outcome at each stage include:

- *Product pages*: Merchandising on home page. Featuring popular products on social media carousels. Personalisation to highlight the most relevant products and deals for a visitor or return visitor.
- *Add-to-cart*: Vouchers for discount to first time purchasers delivered by email (when they subscribe to email) or social media. Social proof indications through reviews from other customers
- *Conversion to sale*: Increasing trust through reassuring about the brand, security, value

Figure7.4

Conversion funnel for an e-commerce site showing representative figures for conversion through the funnel



Note that CRO isn't a single methodology or framework, instead it uses a data-driven process to improve conversion by testing improvements to different parts of the customer journey. It is also based on research to understand possible barriers to conversion within the site. CRO starts by

agreeing goals for improvement and then identifying potential tests to improve conversion.

From the term ‘CRO’ it might be expected that the sole goal is increasing conversion rate, but other goals, for tests may include key performance indicators such as bounce rate, conversion rate, average order value (AOV) and revenue per visit (RPV). Croxen-John and van Tonder (2021) note that, for retailers, reviewing the impact on RPV is preferable since this combines the impact of the test on both conversion rate and average order value. An example of improving RPV is presented in Mini case study 7.1.

Mini case study 7.1

Xero Shoes uses AB testing to improve Revenue per visit for their home page by 6 per cent

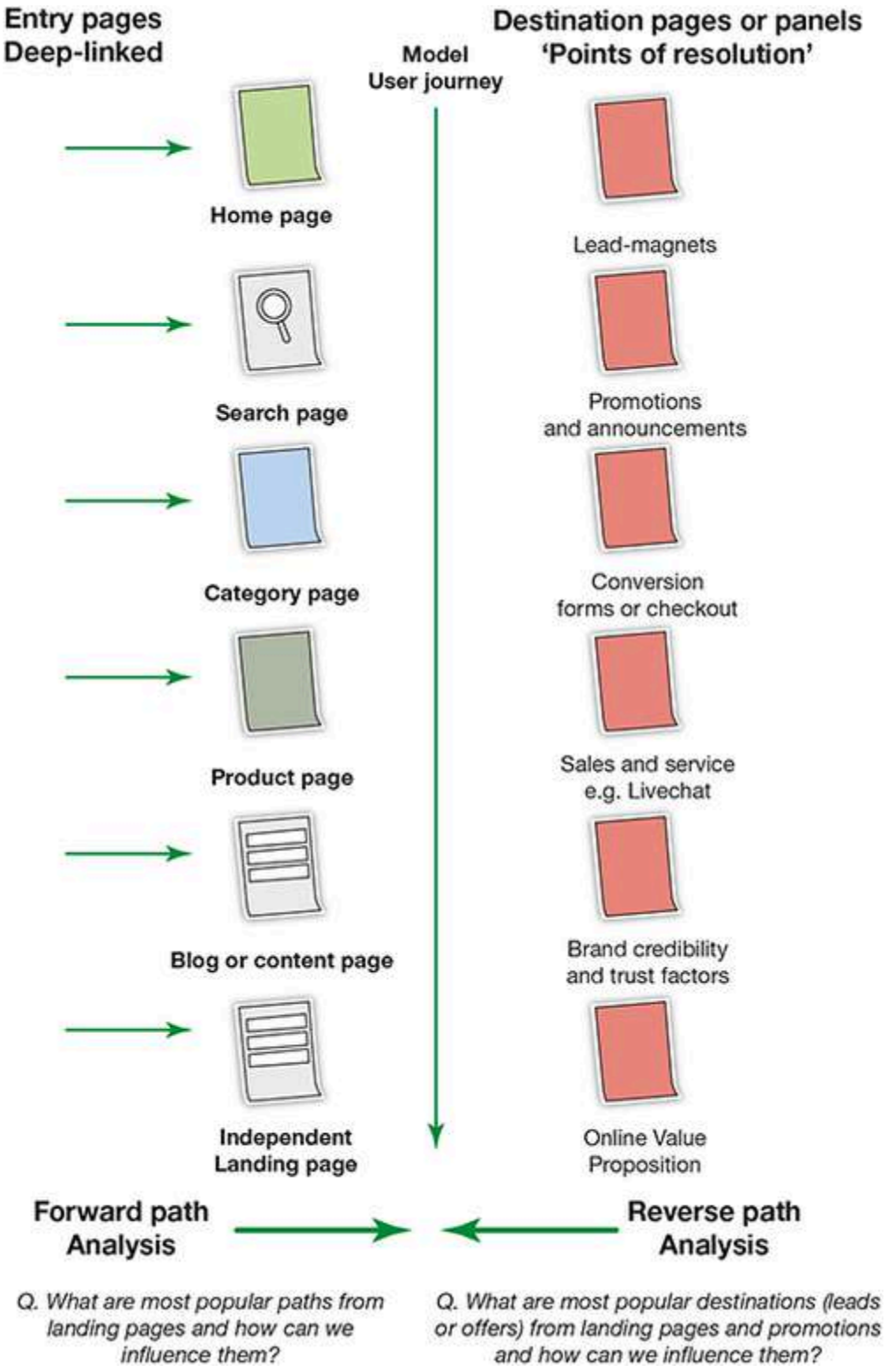
Xero Shoes are a lightweight, low profile running sandal. When AWA started working with Xero Shoes to identify improvements there were no product links on a relatively short home page. Research conducted with site visitors showed that it was difficult for visitors to form an overall view of the different shoes on offer. The test hypothesis was that showing products on the homepage would send more traffic to the product detail

pages, which would lead to an increase in sales. The updated home page design yielded a 6.45 per cent increase in RPV.

When considering tests which will have the highest impact, it is useful to use analytics services like Google Analytics to review the ‘footfall’ across different types of pages. For e-commerce sites, the tests which will reach statistical significance most quickly will be those which across page templates with the highest number of visits, including top navigation (all pages), product pages or category pages. For non-e-commerce sites, the impact on conversion rate (to lead, sales or subscription) is most common. Figure 7.5 shows potential entry points and destination pages within the customer journey of an e-commerce website. The most popular entry pages or landing pages can be reviewed by the relevant reports within Google Analytics. Deep-linked pages are pages that are directly linked to from other sites. Analysts use **forward and reverse path analysis** to review pages which can potentially be improved. A forward path analysis considers how people move forward through a site from key landing pages. This will depend on the visual prominence of ‘calls-to-action’ and their value to users and fit with their ‘top tasks’. A reverse path analysis works backwards from a page to determine previous pages from which people prompted a visit to the page. Reverses path analysis is of most value when working back from a key outcome page such as a lead generation form or checkout page to see which pages refer the most visits.

Figure7.5

Potential touchpoints across different page types within an e-commerce website visit


Entry pages
Deep-linked
Model
User journey
Destination pages or panels
'Points of resolution'
Home page
Search page
Category page
Product page
Blog or content page
Independent
Landing page
Lead-magnets
Promotions
and announcements
Conversion
forms or checkout
Sales and service
e.g. Livechat
Brand credibility
and trust factors
Online Value
Proposition
Forward path
Analysis
Reverse path
Analysis
Q. What are most popular paths from landing pages and how can we influence them?
Q. What are most popular destinations (leads or offers) from landing pages and promotions and how can we influence them?

Managers of e-commerce sites need to be aware of the purpose of different page types shown in Figure 7.5 and how to analyse their effectiveness in analytics to test improvements to them. We summarise the main types of pages for an e-commerce site in Table 7.3. To understand the different page type review these pages against the Google Merchandise Store (shop.googlemerchandisestore.com).

Table7.3

The main role of different e-commerce website page template types with corresponding techniques to improve their effectiveness

Page type	Purpose	Tests and merchandising to cons
Home page	A popular entry point when people are looking for a known brand, it needs to appeal to both first time and returning visitors and explain the brand promise and exhibit trust.	Balance between branding and product cat Which product categories and visuals? Pos promotions? Promotions for first time visit Shorter vs longer pages. Although it might that simpler pages perform best, longer pag explain a wider selection to a diverse audie
Search page	To help people find a particular product they are looking for. Many visits involve a search according to analytics so merchandising to improve search can be important.	Analytics gives insights on how many sear successful or fail.

Category page. Commonly known as Product Listing page (PLP)	These often attract visitors from search engines who are searching for a product category rather than a specific product.	Recommending the top products in a categ personalisation is important for these pages are common landing pages, they need to cc trust about the brand.
Product page Commonly known as the Product Description Page (PDP)	Detail the features and benefits of products to encourage purchase.	The layout and balance between text and vi be tested. The effectiveness of different typ visuals and video can be tested.
Blog or content page	These pages may be important for organic search or sharing to social media to generate interest in products	These pages don't usually have sufficient f be tested
Lead magnets	These can be used to encourage people to signup for email communications which supports conversion. It is common for retailers to offer a discount for first time purchasers in exchange for email addresses.	These 'magnets' may often be best served i 'lightboxes' or pop-ups to get people's atte can be tested for visual impact. The 'welcome' sequence of a series of ema e-commerce site to potential customers can
Promotions and announcements	A single location showing 'deals' for the whole business or in different categories.	Deals are often highlighted in the main nav particular colour.

Conversion forms or checkouts	A series of forms used to collect customer information and payment.	For larger sites it may be worth optimizing
Sales and service	Frequently asked questions about delivery and returns can be important points of resolution.	The range and type of questions and answe tested.
Brand credibility and trust pages including Online Value Proposition	These are particularly important for less well-known brand since they can show the provider is reputable and trustworthy.	The online value proposition is often summ stripe featuring on every page of the site w pages for different parts of the OVP, e.g. D Returns or Range. See AO.com or Currys.c examples.

Scoring systems can be used to prioritise potential James Flory, Senior Experimentation Strategist at CRO agency Wider Funnel recommends the PIE potential test scoring method. He explains (Wider Funnel (2021)) that PIE stands for:

- *Potential*: How much improvement can be made? (Think of how large the barrier to conversion you're solving really is. Is the thing you're solving really stopping people from converting? Do you have strong evidence to support the change? Have you seen this tactic work elsewhere?)
- *Importance*: How much impact can these improvements have on our primary business goal? (Think traffic volume and conversion rates affected. Is this a high traffic page that is worth your time and

resources? Are you making changes to key landing pages that receive a ton of paid traffic, or are you changing a single blog page that's lower on the totem pole?)

- *Ease*: How easy would it be to actually make these improvements? (Think both technically and politically.)

You give each hypothesis a score within the three areas, and can see in which order you should perform each test.

In its simplest form, **A/B or AB testing** refers to testing two different versions of a page or a page element such as a heading, image or button. Some site visitors are served different versions of these alternately, with the visitors to the page randomly split between the two pages. Hence it is sometimes called 'live split testing'.

When running AB tests, new 'challenger' pages are compared to an existing baseline or control page (or audience sample). Two new alternatives can be compared to a control page, which is known as an ABC test.

Multivariate testing is a more sophisticated form of AB testing that enables simultaneous testing of pages for different combinations of page elements that are being tested. This enables selection of the most effective combination of design elements to achieve the desired goal.

Candidate pages for testing should be reviewed regularly and results recorded for different page elements tested. They should then be evaluated for business impact (i.e. estimated reward estimated from increase in leads and sales, strategic and brand fit) against ease of implementation (i.e. based on costs, resources and technical differences).

Candidates for testing can include different page types and elements within a page. For example, on a landing page you could test the impact of:

- The primary value proposition or campaign message
- Your hero shot – the main photo or product shot
- The body text that describes the details of your offer
- Your bullet points (features & benefits)
- Change the wording of your primary call to action (CTA)
- Change your lead gen form

Every test should have a hypothesis, for example:

> If I do ‘X’ I think it will improve ‘Y’

To review the effectiveness of new page variants, knowledge of statistical significance confidence levels is needed since increases in success indicators could be misleading if they are only small variations or a decision is taken too early. There are specialist services for running AB tests such as Optimizely, Visual Website Optimizer and Unbounce (which focuses on landing pages).

Website personalisation

As prospects and customers use business websites and apps, we can use technology to learn a lot about their behaviours, preferences and characteristics. This includes both implicit data based on behaviour and explicit data collected through profiling forms, surveys and quizzes either by the business or through linking to third-party data sources. There are questions about consumer privacy with personalisation and the legal constraints on this which were discussed in **Chapter 4**. Yet research suggests that consumers do see the recommendations of relevant content and products. Research from McKinsey reported by FT.com (2024) suggests some of the benefits of personalisation. They found that consumers who were surveyed agreed that:

- 76 per cent of consumers are more likely to purchase from brands that personalise
- 78 per cent of consumers are more likely to make repeat purchases from brands that personalise
- 78 per cent of consumers are more likely to refer friends and family from brands that personalise

Personalisation aims to deliver more relevant experiences through customised recommendations that improve conversion to lead or sale or improve engagement with a brand.

Although many of us will have experienced personalisation through retail product recommendations like those from Amazon, the definition shows the relevance of personalisation to all types of businesses. For example, B2B companies that don’t sell on line can use personalisation to recommend relevant content to sustain prospects’ interest in a business and so nurture them towards sale. Mini case study 7.2 shows how a B2B company uses personalisation.

Mini case study 7.2

How B2B organisation Würth UK uses personalisation to connect customers with over 40,000 products

This case study covers a range of basic recommendation and personalisation techniques that retailers can review against those they use. Its based on how Würth UK have applied the Fresh Relevance tool as described by Reece Smith, User Experience Supervisor and Online Shop Coordinator at Würth UK.

Business

The Würth Group is a market leader in the development, production & sale of fastening and assembly materials, chemical-technical products & PPE.

Würth UK has been supporting customers all around the UK for 50 years as of 2023. In the UK, Würth is a core supplier to many workplaces, including but not limited to, Automotive, Cargo (Agriculture and Heavy Machinery & Vehicles), Metal (Maintenance & Fabrication), Wood and Construction. With the benefit of all Würth's customers and pursuant to the Würth Group's philosophy of operating as multi-channel and multi divisional organisation, Würth UK employs around 450 employees, of which 320 are in sales.

Home page recommendations

Würth UK uses different types of recommendations for different parts of their website. On their homepage, popular products are displayed based on what current site users are browsing and what's been looked at in the past 48 hours to help guide new visitors towards best-selling products. On the product page, 'frequently bought together' recommendations are shown based on what people who purchase the product also buy, to showcase products that work well together and increase AOV.

Also on the product page, are recommendations based on the user's interaction with the site blended with what other users are browsing. Würth UK is also using Fresh Relevance's testing and optimisation module to test the wording on their 'add to basket' call-to-action buttons on product recommendations to help provide the best user experience and generate the most clicks.

At the bottom of the page, users can also see their search history, so they can quickly and easily find their recently browsed items.

The classic sign-up incentive used by many retailers is also used. In this case it is 5 per cent off when you spend £25.

Würth UK has also seen success with cart abandonment emails, and is planning to implement browse abandonment, back in stock and price drop emails in the future.

Abandoned cart emails

Würth UK has also seen success with cart abandonment emails, and is planning to implement browse abandonment, back in stock and price drop emails in the near future.

Social proof

Würth UK includes popularity messaging on their product recommendations and Product Description Pages (PDPs), displaying how many shoppers are browsing or have recently bought the item. See the article 5 ways to win over undecided shoppers with popularity messaging to learn alternative techniques for popularity messaging.

The business has also made use of Fresh Relevance's integration with Feefo. "We used to display our Feefo rating on the homepage but it didn't look right. Now, the stars are shown under each product name and the product reviews appear in a popover when customers click on the rating," explains Reece.

Reece Smith explains: "*We used to display our Feefo rating on the homepage but it didn't look right. Now, the stars are shown under each product name and the product reviews appearing in a popover when customers click on the rating*".

Results

By applying these techniques in the UK, Würth achieved these benefits through product recommendations from Fresh Relevance:

- 1303 per cent return on investment
- 72.4 per cent increase in revenue

Sources: Würth UK (https://eshop.wurth.co.uk/en/GB/GBP/) and Fresh Relevance (https://www.freshrelevance.com/resources/case-study/wurth-uk/)

Insight used for personalisation

Digital personalisation provider Monetate (2017) (since acquired by Kibo) recommends that opportunities for personalisation for a transactional e-commerce business are based on three main types of implicit data that can be captured in analytics:

- *Context.* For example, first-time or return visits, type of device, location, time of day and referral source.
- *Behaviours.* For example, content viewed, particularly viewed products and categories and items in abandoned baskets.
- *History.* Past purchases, involvement in loyalty programme and past email interactions (also behaviours).

We recommend adding a fourth, although not all personalisation systems enable integration with other data sources such as profile information:

- *Profile characteristics.* These are explicitly disclosed data captured about details such as gender, age or company data, or profile information inferred from third-party data from similar audiences related to where they live.

As we explained in **Chapter 4**, it's now a legal requirement in most countries to disclose how personal data will be used for personalisation according to data protection and privacy law. Monetate (2017) has distinguished between three different levels of personalisation in their

‘pyramid of personalisation’ (Figure 7.6), which is useful when businesses are reviewing their capabilities. These levels are:

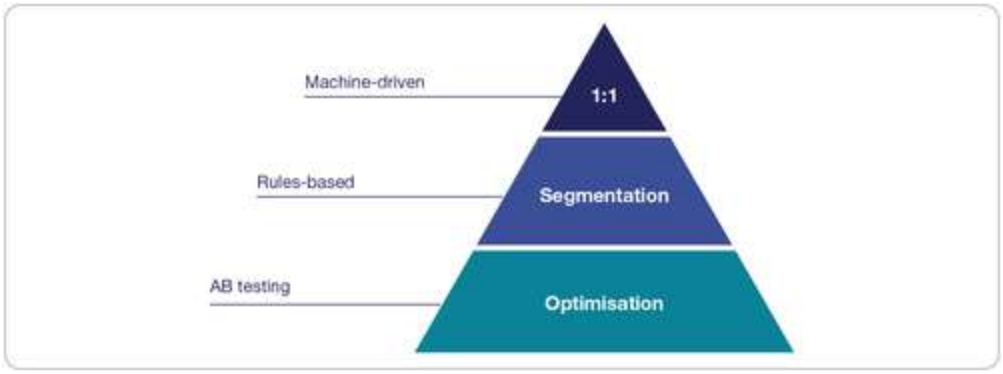
1. *Optimisation using AB testing.* This technique is used as part of conversion-rate optimisation to identify which page elements and variations are important to increasing conversion. It isn’t typically personalisation based on data collected, but involves serving different content to some groups of users compared to a control.

2. *Segmentation using rules-based targeting.* Here rules are set up in a personalisation system to serve different content to different audience groups based on the four types of implicit data mentioned previously. For example, first-time visitors can be served a different message to repeat visitors, or a ‘next-best product’ can be recommended to a previous purchaser.

3. *1:1 Personalisation.* This approach goes beyond predefined rules to use machine learning or predictive analytics to serve the most relevant messages to an individual, based on all the known profile information and how others similar in their characteristics have responded in the past.

Figure7.6

Personalisation pyramid for websites



Source: Monetate

Online retail merchandising

For online retail site owners, web merchandising is a crucial activity, in the same way it is for physical retail store owners. In both cases, the aims are similar – to maximise sales potential for each store visitor. Online, this means presenting relevant products and promotions to site visitors, which should help boost key measures of site performance such as conversion rate and average order value. You will see that many of these approaches are related to the concept of **findability**. Some of the most common approaches used are:

Expanding navigation through synonyms. Through using a range of terms that may apply to the same product, the product may become easier to find if a site visitor is searching using a particular expression.

Applying **faceted navigation** or search approaches. Search results pages are important in online merchandising since conversion rates will be higher if relevant products and offers are at the top of the list. Faceted navigation enables website users to ‘drill-down’ to easily select a relevant product by selecting different product attributes.

Web merchandising

The aim of web merchandising is to maximise the sales potential of an online store for each visitor. This means connecting the right products

with the right offer to the right visitor, and remembering that the online store is part of a broader experience including online and offline advertising, in-store visits, customer service and delivery.

Featuring the best-selling products prominently. Featuring strongest product lines prominently is a common approach, with retailers showing ‘Top 10’ or ‘Top 20’ products.

Use of bundling. The classic retail approach of buy-one-get-one-free (BOGOF) is commonly applied online through showcasing complementary products. For example, Amazon discounts two related books it offers. Related products are also shown on the product page or in checkout, although care has to be taken here since this can reduce conversion rates.

Use of customer ratings and reviews. Reviews can be important in influencing sales. Research from online ratings service Bazaarvoice™ showed that for one of its clients, CompUSA™, the use of reviews achieved:

- 60 per cent higher conversion;
- 50 per cent higher order value;
- 82 per cent more page views per visitor.

> The solution allows us to maintain an e-commerce site offering great customer experience; where it is easy for customers to find the products or inspiration they need. It enables us to connect with our market in a much more customer-led way, and that ultimately means higher revenue. Voyado Elevate has given us the ability to use real time customer data as the fuel for behavioural search, faceted navigation and trend sensitive contextual recommendations".

Planning website, app design and redesign projects

Despite the growth in social media, the company website, which today must be effective for users accessing via desktop, smartphone and tablet devices, is still at the heart of online communications. For the experience to be effective, a sound process is needed to design, build and refresh the online experience. In the past, it has been a common mistake among those creating a new website for the first time to ‘dive in’ and start creative design and content creation without sufficient forward planning. We cover approaches to planning development in this section.

The website design process involves analysing the needs of owners and users of a site and then deciding on the best way to build the site to fulfil these needs. Without a structured plan and careful design, costly reworking is inevitable, as the first version of a site will not achieve the needs of the end users or the business.

The process of website development summarised in Figure 7.7. Note that this is idealised because, for efficiency, many of these activities have to occur in parallel. It’s also the case that today, web sites are often updated continuously compared to a previous situation where major redesigns might occur every few years and be accompanied by promotion to explain the features and benefits of the site to existing customers. However,

complete redesigns still happen in many businesses if they are required by a re-brand or a re-platforming required where a new platform such as a content management system or an agency is selected. Figure 7.8 gives a real-world example of the relationship between these tasks, and how long they may take, for a typical website project.

The main development tasks that need to be scheduled as part of the planning process for any digital experience are as follows:

1. *Pre-development tasks.* For a new site or app, these include domain name registration and deciding on the company to host the website. They also include preparing a brief that sets out the aims and objectives of the site, and then – if it is intended to outsource the site – presenting the brief to rival agencies to bid for and pitch their offering.

Figure7.7

Summary of the process of website development

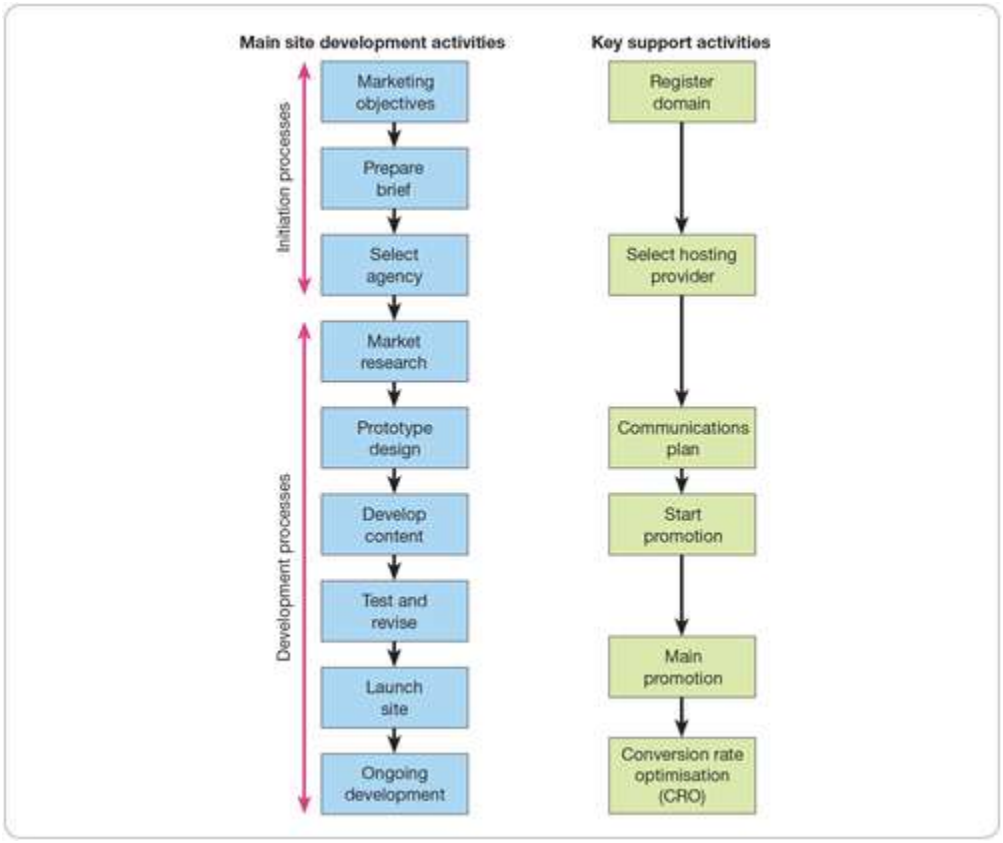
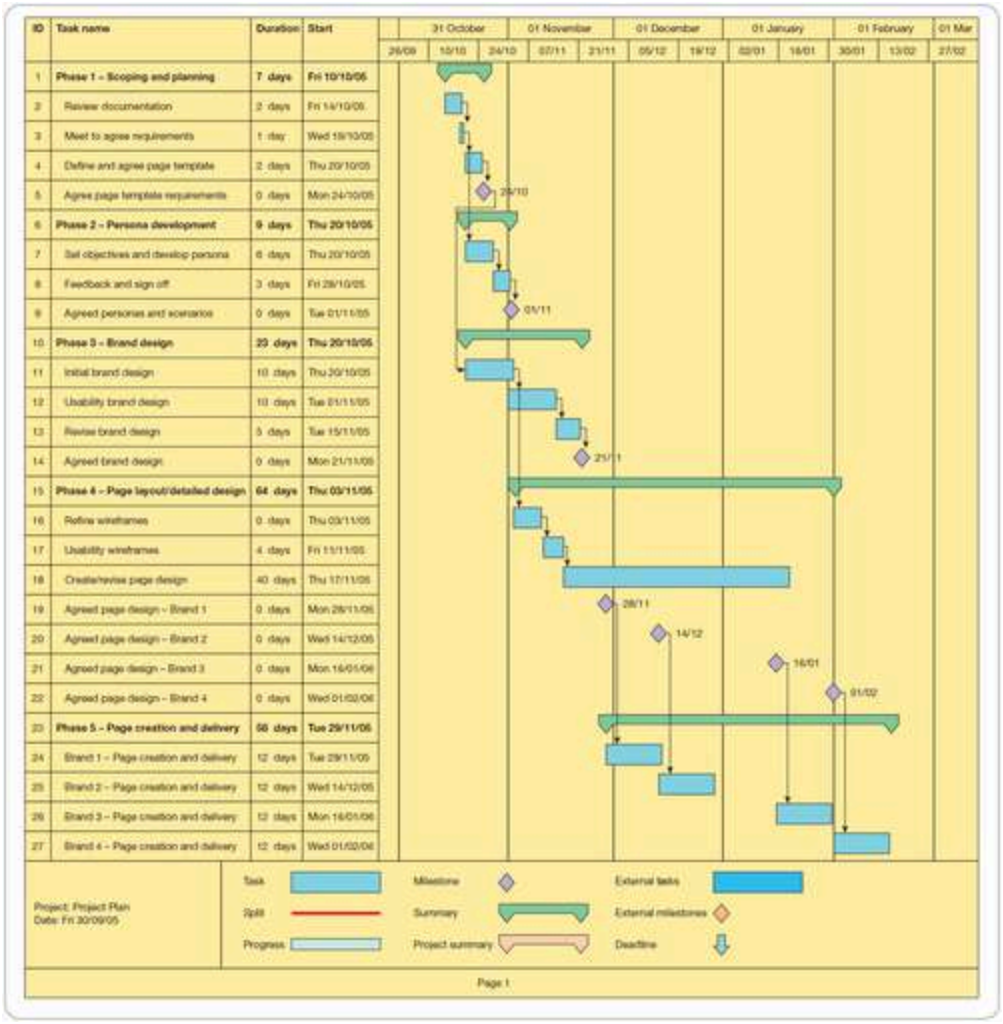


Figure7.8

Example of a website ‘design and build’ project timeline



2. *Discovery, analysis and design.* This is a research phase involving detailed analysis and design of the site, and includes clarification of business objectives, market research to identify the audience and typical customer personas and user journeys and their needs, defining the information architecture of different content types and prototyping different functional and visual designs to support the brand.

3. *Content creation, coding or development and testing.* Developing the site to create prototypes including integration of content

management systems, database integration, usability and performance testing.

4. *Publishing or launching the site or improvement.* This is a relatively short stage, involving releases of different versions of an application or website update. Often a **soft launch** is used, where the site is updated but the version is not widely communicated until the owners are sure the site is stable. Some site owners test features with a limited number of users to assess their impact before the features are rolled out more widely.

5. *Pre-launch promotion or communications.* Search engine registration and optimisation is most important for new sites. Although search engines can readily index a new site, they don't give the same level of visibility to new sites (sometimes known as 'the Google sandbox effect'), where the site is effectively on trial until it is established with links from other sites indicating its credibility. Briefing the PR company to publicise the launch is another example of pre-launch promotion.

6. *Ongoing promotion.* The schedule should also allow for promotion after site launch. This might involve structured discount promotions on the site, or competitions that are planned in advance. Many now consider search engine optimisation, content marketing and pay-per-click marketing (**Chapter 9**) as a continuous, 'always-on' process, and will often employ a third party to help achieve this.

7. *Ongoing development.* It used to be commonplace for there to be a time gap of several years between major website redesigns involving new layout and typography. Although content relating to products, services and promotions would be updated, the layout of page templates remained static. Increased adoption of CRO, which we described at the start of the chapter, means that the process of tasks 1 to 5 is repeated between major updates using an agile development process, as explored further in the next section.

Who should be involved in a digital experience project?

The success of a website is dependent on the range of people involved in its development, and how well they work as a team. Typical profiles of team members in a larger organisation are as follows:

- *Site sponsors.* These will be senior managers who will effectively be paying for the system from their budgets. They will understand the strategic benefits of the system and will be keen that the site is implemented successfully to achieve the business objectives they have set.
- *Site owner.* 'Ownership' will typically be the responsibility of a marketing manager or e-commerce manager who may be devoted full-time to overseeing the site in a large company or it may be part of a marketing manager's remit in a smaller company.
- *Project manager.* This person is responsible for the planning and coordination of the website project. They will aim to ensure that the site is developed within the budget and time constraints that have been agreed at the start of the project, and that the site delivers the planned-for benefits for the company and its customers.
- *Site designer.* The site designer will define the 'look and feel' of the site, including its styling through cascading style sheets (CSS), layout and how company brand values are transferred to the web.

- *Content developer.* The content developer will write the copy for the website and convert it to a form suitable for the site. In medium or large companies this role may be split between marketing staff or staff from elsewhere in the organisation who write the copy.
- *Web developer and webmaster.* These are technical roles. The web developer implements the site design using the application development language used for delivering the content. The webmaster is responsible for ensuring the quality of the site. This means achieving suitable availability, speed, working links between pages and connections to company databases. In small companies these roles may also take on graphic design and content developer roles.
- *Digital experience analyst or CRO expert.* Familiar with business needs and customer journey, and can also analyse digital analytics to identify site effectiveness and how to run conversion rate optimisation experiments (as explained further in **Chapter 10**).
- *Stakeholders.* The impact of the website on other members of the organisation such as marketing, product and brand managers should not be underestimated since they will also be involved with content updates.

While the site sponsor and site owner will work within the company, many organisations outsource the other resources since full-time staff cannot be justified in these roles. There are a range of different choices

for outsourcing, which are summarised in Activity 7.2. There is a trend towards ‘in-housing’ where more marketing activities including web design and CRO are mainly completed by in-house staff rather than agency specialists. The adoption of AI which enables non-specialists to complete technical tasks has accelerated the trend of in-housing for design and media activities too.

We are seeing a gradual blurring between these different types of suppliers as they recruit expertise so as to deliver a ‘one-stop shop’ or ‘full-service agency’, but they still tend to be strongest in particular areas. Companies need to decide whether to partner with the ‘best of breed’ in each, or to perhaps compromise and choose the one-stop shop that gives the best balance and is most likely to achieve integration across different marketing activities.

Activity 7.2

Options for outsourcing different digital marketing activities

Purpose

To highlight the outsourcing available for digital marketing and to gain an appreciation of how to choose suppliers.

Activity

A B2C company is trying to decide which of its digital-experience-related activities it should outsource. Select a single supplier that you think can best deliver each of the services indicated in Table 7.4. Justify your decision.

Table7.4

Options for outsourcing different digital marketing activities

Digital marketing function	Traditional marketing agency	Digital marketing agency	Traditional IT supplier	Mar con
1 Strategy				
2 Design				
3 Content and service development				
4 Online promotion				
5 Offline promotion				
6 Infrastructure				

Prototyping

Figure 7.7 is a simplification of real-world development and optimisation approaches. In reality, iteration of designs using agile development or prototyping is required. Then, once a working version is finalised, it should be tested through user testing and then live testing using CRO including the AB/multivariate testing approaches described in **Chapter 10**.

prototypes are trial versions of an entire website or a part of the site being refined that are gradually refined through an iterative process to become closer to the final version. Initial prototypes or 'mockups' may simply be paper prototypes or storyboards, perhaps of a '**wireframe**' or screen layout. These may then be extended to include visuals of key static pages. Finally, working prototypes will be produced as a website is developed. The intention of an iterative approach is that the design agency or development team and the marketing staff who commissioned the work can review and comment on prototypes, and changes can then be made to the site to incorporate these comments. Prototyping should result in a more effective final site or mobile app that can be developed more rapidly than a more traditional approach with a long period of requirements determination.

Each iteration of the prototype typically passes through these stages:

1. *Discovery or analysis.* Understanding the requirements of the audience of the site and the requirements of the business, defined by business and marketing strategy (and comments input from previous prototypes).
2. *Design.* Specifying different features of the site that will fulfil the requirements of the users and the business as identified during analysis.
3. *Develop.* The creation of the web pages and the dynamic content of the website.
4. *Test and review.* Structured checks conducted to ensure that different aspects of the site meet the original requirements and work correctly.

Digital marketing insight 7.1

Success factors for delivery

The UK Government 'Service Manual' (www.gov.uk/service-manual) describes the process for developing online services using an agile approach. The latest service manual (www.gov.uk/service-manual/service-standard) defines 14 criteria for an effective digital experience project, the majority of which also apply to commercial projects. More detail is available on the site for each.

1. Understand users and their needs
2. Solve a whole problem for users
3. Provide a joined-up experience across all channels

4. Make the service simple to use
5. Make sure everyone can use the service
6. Have a multidisciplinary team
7. Use agile ways of working
8. Iterate and improve frequently
9. Create a secure service which protects users' privacy
10. Define what success looks like and publish performance data
11. Choose the right tools and technology
12. Make new source code open
13. Use and contribute to open standards, common components and patterns
14. Operate a reliable service

Agile software development

Today, the concept of prototyping has been extended across the whole lifecycle for developing website functionality or software applications, where it is known as **agile software development**. The goal of agile development is to be able to create stable releases more frequently than traditional development methodologies, i.e. new functionality will be introduced through several releases each month rather than a more significant release every few weeks, months or even years. The approach is sometimes known as ‘permanent beta’. Another difference with agile development is the emphasis on face-to-face communication to define requirements rather than detailed requirements specifications.

Closely related to the agile approach is **DevOps**, a widely used term that highlights the benefits of development and IT operations teams working and using tools to support testing and collaboration in large organisations.

Growth hacking

Prototyping using agile, scrum and DevOps approaches are technical approaches to development and quality assurance of digital services. The concept of **growth hacking** has been developed to apply similar thinking to the management for the profitable growth of startup businesses through using an agile approach. However, it can be applied to established businesses that want to encourage the ideate, test and refine innovation in business and revenue models.

Initiation of a digital experience project

Before the analysis, design and creation of the website, all major projects will have an initial phase in which the aims and objectives of the website are reviewed, to assess whether it is worthwhile investing in the website and to decide on the amount to invest. The **initiation of the website project** provides a framework for the project that ensures:

- there is management and staff commitment to the project;
- objectives are clearly defined;
- the costs and benefits are reviewed in order that the appropriate amount of investment in the site occurs;
- the project will follow a structured path, with clearly identified responsibilities for different aspects such as project management, analysis, promotion and maintenance;
- initial activities such as domain name registration and website hosting are completed (typically only relevant for campaign microsites since these are typically fixed for all but startup businesses);

- the implementation phase will ensure that important aspects of the project, such as website performance, availability, testing and promotion, are planned.

Domain name registration

If a project or campaign involves a new site rather than simply an upgrade, it will be necessary to **register a new domain name**, more usually referred to as a ‘web address’ or ‘uniform (or universal) resource locator’ (URL).

During initiation, setting targets for acceptable website performance has become more important with the increased adoption of smartphones, which typically have lower bandwidth connections than desktops. Research by Google (Karnowski, 2017) has shown that the recommended average user perception of acceptable download time is two seconds, while for the average European website it is around eight seconds. To encourage businesses to improve site performance, Google has created tools such as Lighthouse and PageSpeed Insights to provide benchmarking data and identify bottlenecks restricting performance. Google (2021) noted that longer page load times have a severe effect on bounce rates (which measure the proportion of visitors to a page who stay on the page/site or leave). For example:

- If page load time increases from 1 second to 3 seconds, bounce rate increases 32 per cent.
- If page load time increases from 1 second to 6 seconds, bounce rate increases by 106 per cent.

Google (2021) also explains why new **Core Web Vitals** measures were introduced for webmasters to review their page performance in Google Search Console, which should be monitored for every business, since poor experience for users may be penalised in organic search engine rankings.

Another tactic that can help performance is applying **content distribution networks (CDNs)** such as Akamai and Cloudflare that help deliver content more rapidly. Cloudflare is free and also offers protection against distributed denial-of-service (DDoS) attacks.

The availability of the website

The availability of a website is an indication of how easy it is for a user to connect to it. In theory, this figure should be 100 per cent, but sometimes, for technical reasons such as failures in the server hardware or upgrades to software, the figure can drop substantially below this.

Defining site or app requirements

The **discovery or analysis phase** involves using different marketing research techniques to find out the needs of the business and audience, whether it's a website, mobile site, app or company social page. These needs can then be used to drive the design and content of the website.

Analysis is not a 'one-off' exercise, but is likely to be repeated for each iteration of the prototype since we need to research requirements against the prototype. Although analysis and design are separate activities, there tends to be considerable overlap between the two phases. In analysis we are seeking to answer the following types of 'who, what, why, how, when, where' questions, each of which has an associated analysis technique:

- Who are the key audiences for the site or app? (See personas explanation in **Chapter 2**.)
- In which context, i.e. when, where and on which devices, is the experience primarily accessed: at home, at work or while mobile?
- Why should they use the site or app (what will appeal to them)?
- What should the content be? Which services will be provided (value proposition)?
- How will the content be structured and labelled (information architecture)?

- How will navigation occur (findability)?
- What are the ‘top tasks’ that users will want to complete? What will the main ‘customer journeys’ be?
- What are the main marketing outcomes we want the experience to deliver, such as registration, leads and sales, and how will we increase them (persuasion and CRO)?

To help answer these questions, web designers commonly use a research-based approach known as **user-centred design**, which uses a range of techniques such as surveys and focus groups to ensure the site meets user needs. This often involves ethnographic research used to build the website design or customer personas (as described in **Chapter 3**, where there are more details on creating personas that summarise different customer journeys).

We will now explore the key requirements for an online presence: business requirements and user requirements, which comprise usability, accessibility and information needs.

Mini case study 7.3 illustrates how research can inform user-centred design and improve the digital experience.

Mini case study 7.3

Beachbody On Demand’s app rating improved by over two points

Beachbody on Demand (BOD) started as a simple DVD offering fitness advice combined with a supplement company. It was founded in 1998 by Carl Daikeler and Jon Congdon in Santa Monica, California. Beachbody On Demand, a video on demand (VOD) streaming subscription service was launched in 2015 and is used by a global audience. Workouts are available on Beachbody on Demand accessible by signing into the company website or via mobile apps available on the Apple App Store and Google Play. The brand describes its value proposition as follows: “*Beachbody On Demand (BOD) is the only streaming platform that combines fitness, nutrition, and support all in one place. Members get access to a library of over 1,500 fitness workouts & meditations, nutrition plans, recipes, and community support – everything they need to help them get results fast and achieve their health and fitness goals*”.



Source: Studio Romantic/Shutterstock

Due to lockdowns related to the COVID-19 pandemic, Beachbody On Demand experienced growth of more than 300 percent in new subscribers, passing 2 million overall by April 2020. The company streamed free classes for children on Vimeo during the pandemic. 93.2 million hours of fitness & nutrition content were streamed on Beachbody On Demand in 2020.

To improve its user experience, the company has used voice of the customer (VoC) tools, including Usabilla to gain feedback from its customer base. This tool, like other digital analytics tools, gives insight on the platform and device used to access the service. For example, browser type, screen resolution, device and page load time can be reviewed to

investigate whether usability problems are specific to some digital devices or browsers.

From insight gained from surveys enabled by VoC tools, BOD was able to improve customer journeys by the brand recommending smartphone users access the platform using mobile apps rather than through the website web platform. This was achieved simply by using recommendation panels on their website with links to download the mobile app, directing web traffic to the relevant app store.

Before adopting VoC research, BOD had 158 ratings with an overall App Store rating of 2.8 out of 5. As a result of improvements based on customer insight gained, it received over 6,000 more ratings. Its score has since increased to 4.9 (up 2+ points) and it now has over 17,000 app store ratings.

VoC tools are also used to deliver customer service since for feedback where the customer leaves their contact information, BOD's customer service team contacts the customer to discuss and resolve feedback. Common problems experienced by customers are added to an online knowledge base for the application containing categorised and searchable frequently asked questions (FAQ).

Source: The Beachbody Company (**https://www.teambeachbody.com/shop/gb/corporate/aboutus**)

Business requirements

With a focus on user-centred design, there is a risk that business requirements to achieve marketing outcomes may be marginalised. A **marketing-led site design** is informed by marketing objectives and tactics. A common approach is to base the design on achieving the performance drivers of successful digital marketing (referred to in **Chapter 4**) and the loyalty drivers referred to at the start of this chapter. Design will be led by the following performance drivers:

- *Customer acquisition.* The online value proposition must be clear. Appropriate incentives for customer acquisition and permission marketing such as those described in **Chapter 6** must be devised.
- *Customer conversion.* The site must engage first-time visitors. Call to action for customer acquisition, lead generation and retention offers must be prominent, with benefits clearly explained. The fulfilment of the offer or purchase must be as simple as possible to avoid attrition during this process.
- *Customer retention.* Appropriate incentives, content and customer service information to encourage repeat visits and business must be available (see Chapter 6).
- *Service quality.* This has been covered in this chapter. Service quality is affected by site navigation, performance, availability and responsiveness to enquiries.

- *Branding.* The brand offer must be clearly explained and interaction with the brand must be possible.

Marketing-led site design is also known as **persuasion marketing**. Consultant Bryan Eisenberg (www.bryaneisenberg.com) was an early advocate of persuasion marketing alongside other design principles such as usability and accessibility. He says this type of focus on marketing outcome is required:

> During the wireframe and storyboard phase we ask three critical questions of every page a visitor will see:

1. What action needs to be taken?
2. Who needs to take that action?
3. How do we persuade that person to take the action we desire?

Fogg (2009) developed a model at the Behavior Design Lab at Stanford University to inform persuasive design. The Fogg Behavior Model (www.behaviormodel.org) asserts that for a person to perform a target behaviour, they must 1) be sufficiently motivated, 2) have the ability to perform the behaviour and 3) be triggered to perform the behaviour. These three factors must occur at the same moment; otherwise the behaviour will not happen. It applies to human behaviour for people of all ages and in all cultures.

Before we review user-centred design processes, consider Mini case study 7.4, which shows how one company has developed a site that blends marketing-led and user-centric design.

Note that there is a risk that a focus on persuasion marketing and conversion rate optimisation using AB testing may result in unethical approaches, which aren't illegal but many would consider misleading. These are sometimes known as **dark patterns** since they aim to use subtle design techniques to make an offer more compelling or add additional fees in order to increase conversion and revenue.

Usability requirements

usability is a concept that can be applied to the analysis and design of a range of products that defines how easy they are to use. The British Standard (BSI)/ISO Standard (1999) 'Human-centred design processes for interactive systems' defines usability as:

> the extent to which a product can be used by specified users to achieve specified goals with effectiveness, efficiency and satisfaction in a specified context of use.

You can see how the concept can be readily applied to website design – web visitors often have defined *goals*, such as finding particular information or completing an action such as booking a flight or viewing an account balance.

For a site to be successful, the user tasks or actions need to be completed:

- *effectively:* ISO 9241-210 defines effectiveness as *'accuracy and completeness with which users achieve specified goals'*. Digital experience usability specialists measure task completion; for example, only three out of ten visitors to a website may be able to find a telephone number or other piece of information.

- *efficiently:* ISO 9241-210 defines efficiency as '*resources expended in relation to the accuracy and completeness with which users achieve goals*'. Digital experience usability specialists also measure how long it takes to complete a task on site, or the number of clicks it takes.

Jakob Nielsen explained well the imperative for usability in his 'Usability 101' (Nielsen, 2012). He said:

> On the web, usability is a necessary condition for survival. If a website is difficult to use, people leave. If the homepage fails to clearly state what a company offers and what users can do on the site, people leave. If users get lost on a website, they leave. If a website's information is hard to read or doesn't answer users' key questions, they leave. Note a pattern here?

Nielsen (2012) advises that usability is defined by five *quality components* that add more detail to what is required for a website or app to be effective and efficient:

- *Learnability:* How easy is it for users to accomplish basic tasks the first time they encounter the design?
- *Efficiency:* Once users have learned the design, how quickly can they perform tasks?

- *Memorability:* When users return to the design after a period of not using it, how easily can they re-establish proficiency?
- *Errors:* How many errors do users make, how severe are these errors, and how easily can they recover from the errors?
- *Satisfaction:* How pleasant is it to use the design?

For these reasons, Nielsen suggested that around 10 per cent of a design project budget should be spent on usability, but often actual spend is significantly less.

In practice, usability involves two key project activities. **expert reviews** are often performed at the beginning of a redesign project as a way of identifying problems with a previous design. **usability testing** involves:

1. identifying representative users of the site and identifying typical tasks;
2. asking them to perform specific tasks such as finding a product or completing an order;
3. observing what they do and how they succeed.

Traditionally, usability tests were mainly in-person in usability lab, sometimes followed by a focus group. Increasingly usability tests may involve remote testing using tools such as usertesting.com or Userlytics which have lower cost, so more relevant people can be recruited.

Identifying users' top tasks

You can see that the concept of user 'tasks' is common within usability. In his paper 'Serving the customer better by understanding their top tasks', McGovern (2018) explains his 'top tasks' research methodology that he has applied to improve the usability of many corporate sites by simplifying the number of options available. He explains the value of this technique in the introduction:

> It has never been more important to understand what matters most to customers. Trust is at a premium and people are sceptical, indeed, often cynical towards brands and organisations. When they visit a website or app and do not see what they want immediately, their first impulse is to hit the back button. Impatience rules. . . It is not about inventing and designing customer journeys. What is important is discovering and supporting the journeys that customers are already on.

He explains how to develop a task list using customer surveys, business needs, search analysis, website analytics of top section and competitor review. He gives an example of how voting occurs, suggesting that, typically, for a survey with 100 tasks on a website or app, the top four or five tasks get 25 per cent of the vote, the next 10–14 get the next 25 per cent, the next 20–30 get the next 25 per cent, and the remaining 50–60 get

the bottom 25 per cent of the vote. He suggests that in most cases 400 voters are enough to identify and rank the top five tasks.

exit intent surveys are also often used to assess top tasks and voice-of-the-customer (VoC) website satisfaction. A sample of visitors is typically asked four questions after they have used the site to determine the gap between what they were looking for and whether they were successful. The four questions, which can be applied in a customer intent–satisfaction survey to review customer journey effectiveness, are:

1. What is the purpose of your visit to our website today?
2. Were you able to complete your task today?
3. If you were, how would you rate your satisfaction?
4. If not satisfied, why not?

Closed questions are used for 2 and 3 to assess percentage task completion and satisfaction and can be used to benchmark different services depending on where the survey is served.

Mini case study 7.4 gives an example of how usability and persuasion marketing principles can be applied to a website to identify improvements.

Mini case study 7.4

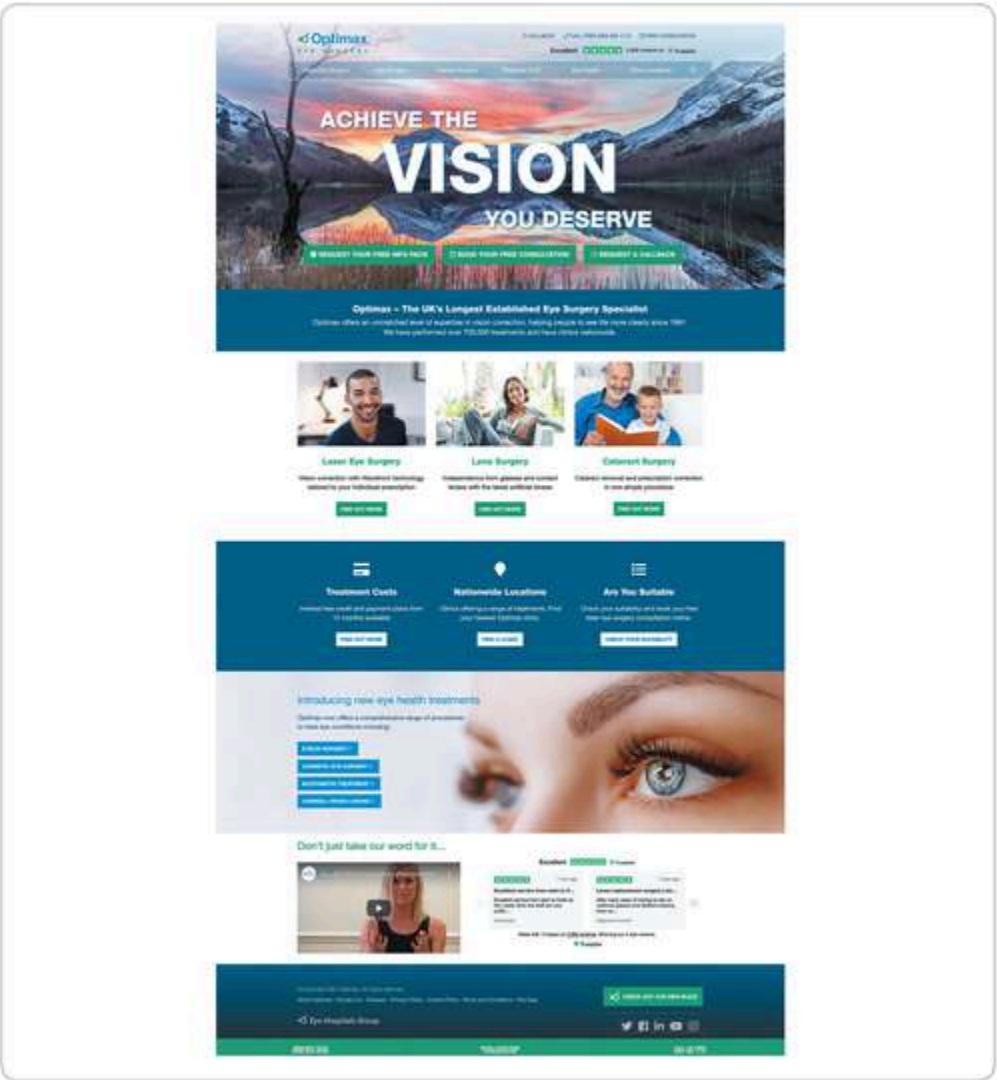
Optimax

Optimax (www.optimax.co.uk) is one of the United Kingdom's largest laser eye treatment companies. The first Optimax clinic was opened in 1991 and there are now 20 locations in the United Kingdom. Its growth has been supported through its website and digital media since the content available online is a key part of the consumer decision-making process and for the company lead generation.

Figure 7.9 shows how Optimax combines persuasion, usability and accessibility within its home page to help meet business needs.

Figure7.9

Optimax website



Source: www.optimax.com

These are some of the design elements used by Optimax to help it achieve its goals:

1. *Carousel area (centre top of page).* Use to deliver key brand messages and position the brand through imagery to appeal to different age groups.

2. *Customer journey highlighted (buttons below carousel).* The ‘call-to-action’ buttons for ‘treatment costs’, ‘clinic locations’ and ‘are you suitable?’ help highlight common customer concerns based on research, which will help visitors easily find answers to their questions on the ‘path to purchase’.
3. *Incentivised response form (right top).* This ‘lead generation form’ uses multiple incentives and has a prominent position so the company can use email and phone communications to nurture interest in the product.
4. *Intro text (below the screen capture).* This helps show relevance for users, communicates key brand messages and is used for search engine optimisation to target the keyphrases ‘laser eye surgery’ and ‘laser vision correction treatment’.
5. *Clear calls-to-action for key business outcomes.* Again, prominent at the top of the screen, these are likely to be set up as conversion goals in Google Analytics. Containers blend image and text to avoid banner blindness. These containers all highlight the site’s online value proposition.
6. *Common questions answered (centre panel).* These ‘points of resolution’ are often hidden in FAQ, but it is interesting that Optimax highlights them on the home page. Key concerns are also highlighted in the main navigation.

7. *Prominent phone response (top right).* Vital for high-value, complex products since conversion tends to be higher via the phone channel. A unique web number can be used for tracking online influence.

Digital accessibility requirements

digital accessibility is another core requirement for websites and apps. It is about allowing all users of a website to interact with it regardless of disabilities they may have, or the web browser or platform they are using to access the site. The visually impaired are the main audience that designing an accessible website can help. However, increased usage of mobile devices also makes consideration of accessibility important.

The following quote shows the importance of accessibility to a visually impaired user who uses a screen-reader that reads out the navigation options and content on a website:

> For me being online is everything. It's my hi-fi, it's my source of income, it's my supermarket, it's my telephone. It's my way in. (Lynn Holdsworth, screen-reader user, web developer and programmer)
>
> *Source: RNIB*

Remember, as we explained in **Chapter 3**, that many countries now have specific **accessibility legislation** to which website owners are subject. This is often contained within disability and discrimination acts enacted

as law in many countries. In the United Kingdom, the relevant act is the Equality Act 2010, but in Northern Ireland the Disability and Discrimination Act 1995 still applies. Such legislation makes it unlawful to discriminate against disabled people in the way in which a company recruits and employs people, provides services or provides education. Providing services is the part of the law that applies to website design.

Guidelines for creating accessible websites are produced by the governments of different countries and non-government organisations such as charities. Internet standards organisations, such as the World Wide Web Consortium, have been active in promoting guidelines for web accessibility through the Web Accessibility Initiative (www.w3.org/WAI). This describes common accessibility problems, such as:

> images without alternative text; lack of alternative text for imagemap hot-spots; misleading use of structural elements on pages; uncaptioned audio or undescribed video; lack of alternative information for users who cannot access frames or scripts; tables that are difficult to decipher when linearised; or sites with poor colour contrast. A fuller checklist for accessibility compliance for website design and coding using HTML is available from the World Wide Web Consortium (http://www.w3.org/WAI/). The W3C notes in its mobile guidelines (https://www.w3.org/WAI/standards-guidelines/mobile/) that '*Mobile accessibility is covered in*

> *existing W3C WAI accessibility standards/guidelines'*, however more mobile-specific guidance is being developed.

Personalisation

As prospects and customers use business websites and apps, companies can use technology to learn a lot about their behaviours, preferences and characteristics. This includes both implicit data based on behaviour and explicit data collected through profiling forms, surveys and quizzes, either by the business or through linking to third-party data sources.

Personalisation aims to deliver more relevant experiences through customised recommendations that improve conversion to lead or sale, or improve engagement with a brand.

Although many of us will have experienced personalisation through retail product recommendations like those from Amazon, the definition shows the relevance of personalisation to all types of businesses. For example, B2B companies that don’t sell online can use personalisation to recommend relevant content to sustain prospects’ interest in a business and so nurture them towards sale.

Localisation and cultural customisation

One in three, one in five, one in seven? Do you know what proportion of our global population speaks English as their primary language? In fact, it's one in seven, meaning that this leaves six billion people worldwide who don't. This simple fact alone shows the potential of translation, both in serving new international audiences and reaching non-English speakers in majority English-speaking markets. At the same time, many businesses that originated in a non-English speaking country have the opportunity to reach English speakers in other countries.

A further aspect of customer-centricity for website design is the decision whether to include specific content for particular countries. This is referred to as **localisation**.

A site may need to support customers from a range of countries with:

- different product needs;
- language differences;
- cultural differences – this approach is also referred to as 'cultural adaptation'.

Localisation will address all these issues. It may be that products will be similar in different countries and localisation will simply involve converting the website to suit another country. However, in order to be

effective this often needs more than translation, since different promotion concepts may be needed for different countries. Note that each company prioritises different countries according to the size of the market, and this priority then governs the amount of work it puts into localisation.

Singh and Pereira (2005) provide an evaluation framework for the level of localisation:

- *Standardised websites (not localised).* A single site serves all customer segments (domestic and international).
- *Semi-localised websites.* A single site serves all customers; however, contact information about foreign subsidiaries is available for international customers. Many sites fall into this category.
- *Localised websites.* Country-specific websites with language translation for international customers, wherever relevant. 3M (www.3m.com) has adapted its websites for many countries to local-language versions. It initially focused on the major websites.
- *Highly localised websites.* Country-specific websites with language translation; they also include other localisation efforts in terms of time, date, postcode, currency formats, etc.
- *Culturally customised websites.* Websites reflecting complete ‘immersion’ in the culture of target customer segments; as such, targeting a particular country may mean providing multiple websites for that country depending on the dominant cultures

present. Durex (www.durex.com) is a good example of a culturally customised website.

The imperative for improving translation is clear from the demand of non-English speakers around the world. At the same time, today's businesses are continuously creating more content, in more systems, in more languages, and with more rapid development cycles.

Deciding on the degree of localisation is a difficult challenge for managers, since while it has been established that local preferences are significant, it is often difficult to balance localisation costs against the likely increase or conversion rate through localisation.

Different international markets will vary in scale and product revenue, so a 'one size fits all' model of translation will not be cost effective for most businesses. Instead, a localisation strategy is about prioritising what types of content to translate and which translation methods to use to get the business outcomes needed most cost-effectively.

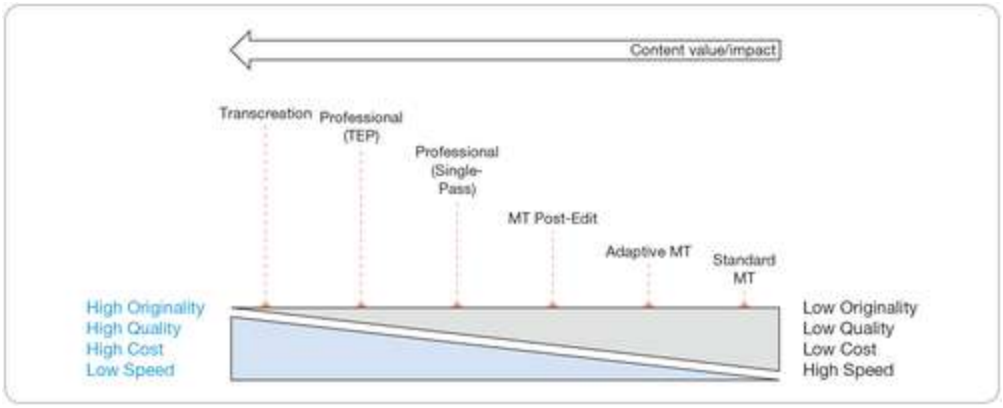
These are five core translation techniques businesses have to prioritise for different content types. They are summarised in Figure 7.10 in terms of how they compare in terms of quality, speed and cost. Options to the left tend to be higher quality, higher cost and lower speed. The techniques listed in order of decreasing cost are:

1. *Transcreation.* This is one-part creative copywriting and one-part traditional translation. Practitioners still transfer a message from one language to another, but they have more freedom to modify the details along the way. As a result, the final product usually looks more like a creative interpretation than an exact replication of its source content.

2. *Professional translation.* This is the model most people picture when they first consider translating a business website. Customers send their source content to translation agencies or freelance professionals, and expert linguists produce the most accurate adaptation possible. In many cases, businesses will also elect to have an editor and proofreader review the translator's work. This quality-conscious workflow is commonly known as TEP (translate-edit-proofread), and it has become the default strategy for customers who prioritise precise communication over affordability or speed.

Figure7.10

The continuum of translation types



Source: Chaffey (2017)

3. *Machine translation.* Computers will never fully replicate the endless subtleties of human communication, but with the latest generation of AI they're certainly getting close. Statistical models, rule-based systems and neural networks are generating vast reserves of artificial intelligence that customers can leverage to produce credible linguistic translations without any human intervention. No other translation type can rival the speed of this automated approach. And machine translation (MT) engines offer dramatic cost savings over human professionals. But, computers are not known for their creativity. And despite the promise of future improvements, MT cannot consistently match the quality of human professionals.
4. *Machine translation post-editing.* If machine translation is the automated counterpart to single-pass professional translation, then machine translation post-editing is the computer-aided cousin of professional TEP. An MT engine takes the place of a human translator, but human reviewers are still there to elevate its output to a more acceptable standard of quality.
5. *Adaptive machine translation.* What would happen if humans and machines acted less like rivals and more like complementary partners? Well, adaptive MT is one of several innovative ideas currently pushing the translation industry in that direction. Adaptive MT engines study the linguistic decisions of human translators and

post-editors, continuously learning correct terminology that can be used in their next MT output. As a result, each new translation request assigned to the MT engine is completed with a progressively higher standard of proficiency.

Table 7.5 summarises how these different translation options compare based on resource constraints.

A further aspect of localisation to be considered is search engine optimisation (see **Chapter 9**), since sites that have local-language versions tend to be listed more prominently within the search engine results pages for local versions of the search engines. Google has specified an **hreflang attribute** for HTML pages so that companies can inform Google which country and language a page is targeting.

Reviewing competitors' websites

Benchmarking of competitors' websites is useful to position a website to compete effectively with its rivals. Given the importance of this activity, criteria for performing benchmarking have been described in **Chapters 2** and **4**.

Table7.5

Scalable translation drivers and challenges

Opportunity: scalable translation drivers	Challenges of scalable transla
Reduced time to market enabling more selling time for new markets and new products	Prioritising translation for greatest impa
Higher conversion rates via more persuasive and compelling localised messaging	Achieving cost and efficiency savings
Demand generation through organic search and content marketing	Maintaining precision and minimising c paste mistakes
Increased smartphone adoption worldwide	Measuring and reporting translation effe
Automated workflows reduce time spent on managing localisation	Updating content sufficiently and quickl

Benchmarking should not only be based on the obvious tangible features of a website, such as its ease of use and the impact of its design. Benchmarking criteria (see Table 2.3) should include those that define the companies' marketing performance in the industry and those that are specific to digital marketing, as follows:

- *Reach and visibility.* How do visitor levels compare for different channels including search marketing based on rankings for target keywords (using tools recommended in Table 2.1)?
- *Conversion efficiency.* Sites can be compared to published results of average conversion rates (see, for example, SmartInsights.com).
- *Marketplace performance.* Market share and sales trends and, significantly, the proportion of sales achieved online. This may not be available directly on the website, but may need the use of other online sources.
- *Business and revenue models* (see **Chapter 1**). Do these differ from other marketplace players?
- *Marketplace positioning.* The elements of the marketing mix covered in **Chapter 5**, including product, pricing and place.
- *Marketing communications techniques.* Is the customer value proposition of the site clear? Does the site support all stages of the buying decision from customers who are unfamiliar with the company through to existing customers? Are special promotions used on a monthly or periodic basis? Beyond the competitor's site, how do they promote their site? How do they make thorough use of intermediary sites to promote and deliver their services?
- *Services offered.* What online services are offered beyond content? Is online purchase possible? What is the level of online customer support and how much technical information is available?

- *Implementation of services.* These are the practical features of site design that are described in this chapter, such as aesthetics, ease of use, personalisation, navigation, availability and speed.

A review of corporate websites suggests that, for most companies, the type of information that can be included on a website will be fairly similar. Many commentators make the point that some sites miss out the basic information that someone who is unfamiliar with a company may want to know, such as:

- *Who are you?* 'About Us' is now a standard menu option.
- *What do you do?* What products or services are available?
- *Where do you do it?* Are the products and services available internationally?
- *What makes you different?* Why should I use your site/services compared to your competitors'? This includes communicating the online value proposition (OVP) (see **Chapter 4**).

Designing the information architecture

In their book, which is still the basis for good practice in web design, Rosenfeld and Morville (2002) give these alternative definitions of information architecture:

1. the combination of organisation, labelling and navigation schemes within an information system;
2. the structural design of an information space to facilitate task completion and intuitive access to content;
3. the art and science of structuring and classifying websites and intranets to help people find and manage information;
4. an emerging discipline and community of practice focused on bringing principles of design and architecture to the digital landscape.

In practice, information architecture involves creating a plan to group information logically – it involves creating a site structure that is often represented as a **site map**. A well-developed information architecture is very important to usability since it determines navigation options and **findability** (Morville, 2005).

A planned information architecture is essential to large-scale websites such as transactional e-commerce sites, media owner sites and relationship-building sites that include a large volume of product or support documentation. Information architectures are less important to small-scale websites and brand sites, but even here the principles can be readily applied and can help make the site more visible to search engines and more usable. It is also important for search engine optimisation (**Chapter 9**), since it determines how different types of content that users may search for are labelled and grouped.

There are a number of benefits in creating an information architecture:

- A defined structure and categorisation of information will support user and organisation goals, i.e. it is a vital aspect of usability.
- It helps increase ‘flow’ on the site – a user’s mental model of where to find content should mirror that of the content on the website.
- Search engine optimisation – a higher listing in the search rankings can often be used through organising and labelling information in a structured way.
- Applicable for integrating offline communications – offline communications such as ads or direct mail can link to a product or campaign landing page to help achieve direct response, sometimes known as ‘web response’. A sound URL strategy (as explained in **Chapter 8**) can help this.

- Related content can be grouped to measure the effectiveness of a website as part of design for analysis.

Card sorting

Card sorting is a way in which users can become actively involved in the development process of information architecture.

Card sorting is a useful approach, since websites are frequently designed from the perspective of the designer rather than the information user, leading to labels, subject grouping and categories that are not intuitive to the user. **card sorting or web classification** should categorise web objects (e.g. documents) in order to facilitate information task completion or information goals the user has set.

Selected groups of users or representatives will be given index cards with the following written on them, depending on the aim of the card sorting process:

- types of documents;
- organisational keywords and concepts;
- document titles;
- descriptions of documents;
- navigation labels.

The user groups may then be asked to:

- group together cards that they feel relate to each other;
- select cards that accurately reflect a given topic or area;
- organise cards in terms of hierarchy – high-level terms (broad) to low-level terms.

At the end of the session the analyst must take the cards away and map the results into a spreadsheet to find out the most popular terms, descriptions and relationships. If two or more different groups are used, the results should be compared and reasons for differences should be analysed.

Blueprints

According to Rosenfeld and Morville (2002), **blueprints**:

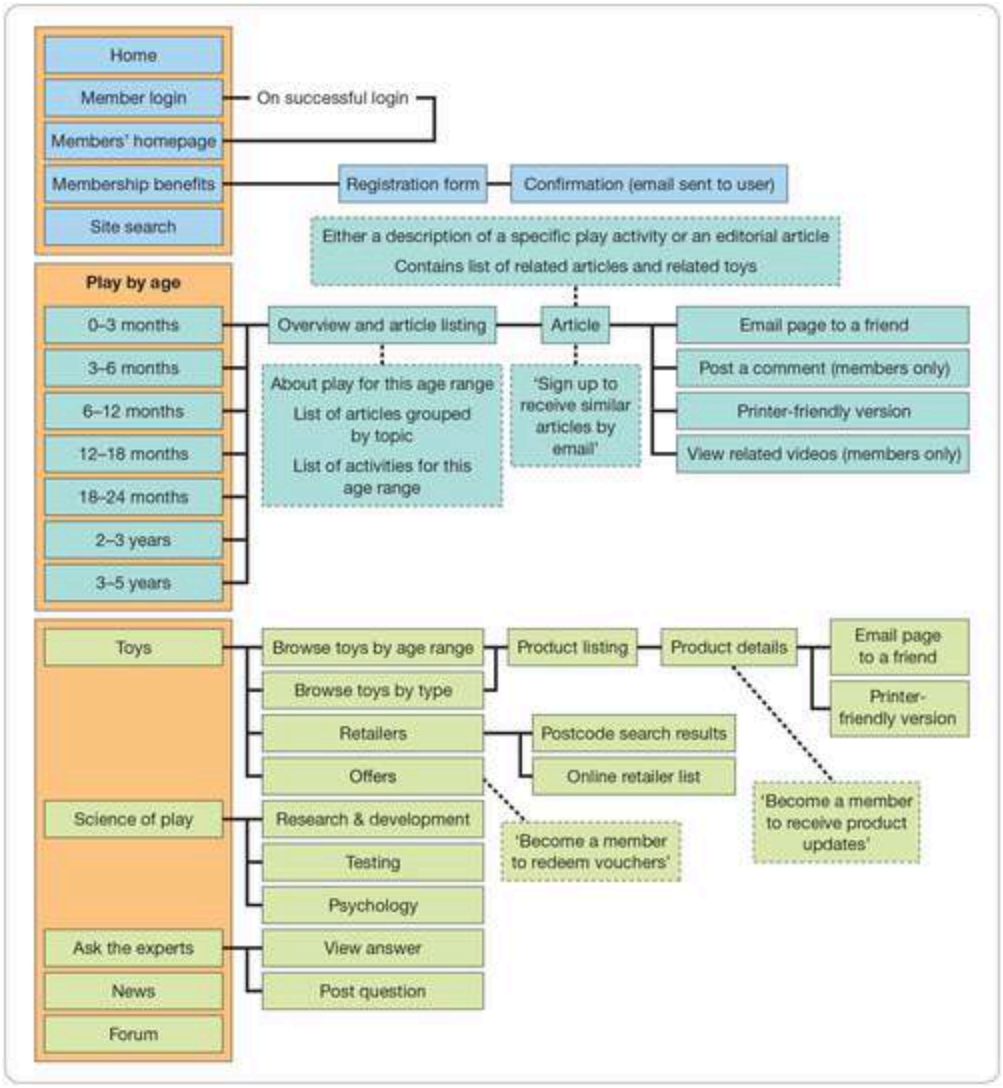
> show the relationships between pages and other content components, and can be used to portray organisation, navigation and labelling systems.

They are often thought of, and referred to, as ‘site maps’ or ‘site structure diagrams’ and have much in common with these, except that they are used as a design device clearly showing groupings of information and linkages between pages, rather than a page on the website to assist navigation.

Refer to Figure 7.11 for an example of a site structure diagram for a toy manufacturer website, which shows the groupings of content and also an indication of the process of task completion.

Figure7.11

Site structure diagram (blueprint) showing layout and relationships between pages

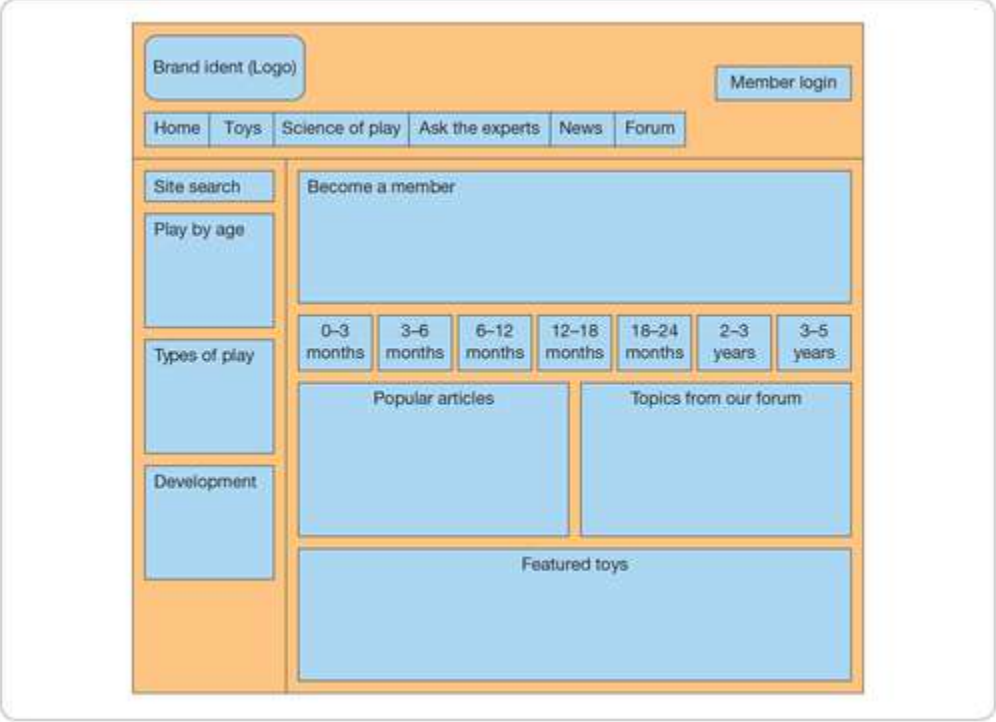

Home
Member login
Members' homepage
Membership benefits
Site search
On successful login
Registration form
Confirmation (email sent to user)
Either a description of a specific play activity or an editorial article
Contains list of related articles and related toys
Play by age
0–3 months
3–6 months
6–12 months
12–18 months
18–24 months
2–3 years
3–5 years
Overview and article listing
Article
Email page to a friend
Post a comment (members only)
Printer-friendly version
View related videos (members only)
About play for this age range
List of articles grouped by topic
List of activities for this age range
'Sign up to receive similar articles by email'
Toys
Science of play
Ask the experts
News
Forum
Browse toys by age range
Browse toys by type
Retailers
Offers
Research & development
Testing
Psychology
View answer
Post question
Product listing
Product details
Email page to a friend
Printer-friendly version
Postcode search results
Online retailer list
'Become a member to redeem vouchers'
'Become a member to receive product updates'

Wireframes

A related technique to blueprints is the **wireframes** that are used by web designers to indicate the eventual layout of a web page. They can also be readily used by students to suggest top-level changes to websites as part of assignments. Figure 7.12 shows that the wireframe is so called because it consists of just an outline of the page with the ‘wires’ of content separating different areas of content or navigation shown by white space.

Figure7.12

Example of a wireframe for a children’s toy site



Wodtke (2002) describes a wireframe (sometimes known as a ‘schematic’) as:

> a basic outline of an individual page, drawn to indicate the elements of a page, their relationships and their relative importance.

A wireframe will be created for all types of similar page groups, identified at the blueprint (site map) stage of creating the information architecture.

Wireframes are then transformed into physical **site design templates**, which are now traditionally created using standardised **cascading style sheets (CSS)** that enable a standard look and feel to be enforced across different sections of the site.

The standards body W3C (www.w3.org) defines cascading style sheets as:

> a simple mechanism for adding style (e.g. fonts, colours, spacing) to Web documents.

CSS enable different style elements to be controlled across an entire site or section of site. Style elements that are commonly controlled include:

- typography;
- background colour and images;

- borders and margins.

For example, CSS will use this syntax to enforce the standard appearance of body copy on a site:

```
body {
   margin:0;
   padding:0;
   color:#666666;
   background-color:#f3f3f3;
   font-family: Arial, ‘Trebuchet MS’, Verdana;
   font-size: 70%;
   background-repeat:repeat-x;
   background-position:top;
   }
```

The benefits of CSS are:

- *Bandwidth.* Pages download faster after initial page load since style definitions only need to be downloaded once as a separate file, not for each page.
- *More efficient development.* Through agreeing site style and implementing in CSS as part of page templates, it is more efficient to design a site.
- *Reduces updating and maintenance time.* Presentational markup is stored in one place separate from the content, making it quicker to

update the site globally with less scope for errors.

- *Increased interoperability.* By adhering to W3C recommendations, it helps with the support of multiple browsers.
- *Increases accessibility.* Users can more readily configure the way a site looks or sounds using browsers and other accessibility support tools. The site is more likely to render on a range of access platforms such as smartphones and tablets.

To understand the power of using CSS to separate site content from design, visit CSS Zen Garden (www.csszengarden.com), which shows how CSS can be used to separate content from how it is presented. You can select different designs to see how the new design changes radically as different styles are applied.

Landing pages

Deciding on the page template design for different forms of **landing pages** is particularly important for site owners seeking to maximise conversion rate, since many first-time visitors don't arrive on the home page, they arrive deeper in the site from search engines or links from other sites. Chaffey and Smith (2023) suggest the following are typical aims and corresponding questions to consider for increasing landing page conversion rates:

- *Aim 1 – Generate response (online lead or sale and offline call-back).* Does the page have a prominent call to action, such as a prominent button above the fold; and repeated in text and image form?
- *Aim 2 – Engage different audience types (reduce bounce rate, increase value events, increase return rate).* Does the page have a prominent headline and subheads showing the visitor is in the right place? Does the page have scent-trail trigger messages, offers or images to appeal to different audiences? For example, Dell has links on its site to appeal to consumers and different types of businesses. A landing page containing form fields to fill in is often more effective than an additional click, since it starts committed visitors on their journey.

- *Aim 3 – Communicate key brand messages (increase brand familiarity and favourability).* Does the page clearly explain who you are, what you do, where you operate and what makes you different? Is your online value proposition compelling? Do you use customer testimonials or ratings to show independent credibility? To help with this, use run-of-site messages (on all pages) across the top of the screen or in the left or right sidebars.
- *Aim 4 – Answer the visitor's questions (reduce bounce rates, increase conversion rates).* Different audiences will want to know different things. Have you identified personas (**Chapter 2**) and do you seek to answer their questions? Do you use FAQ or messages that say 'New to company'?
- *Aim 5 – Showcase range of offers (cross-sell).* Do you have recommendations on related or best-selling products and do you show the full range of your offering through navigation?
- *Aim 6 – Attract visitors through search engine optimisation (SEO).* How well do you rank for relevant search terms compared to competitors? Do your navigation, copy and page templates indicate relevance to search engines through on-page optimisation?

Blueprints illustrate how the content of a website is related and navigated, while a wireframe focuses on individual pages; with a wireframe the navigation focus becomes where it will be placed on the page. Wireframes are useful for agencies and clients to discuss the way a website will be

laid out without getting distracted by colour, style or messaging issues, which should be covered separately as a creative planning activity.

The process of reviewing wireframes is sometimes referred to as **storyboarding**, although the term is often applied to reviewing creative ideas rather than formal design alternatives. Early designs are drawn on large pieces of paper, or mock-ups are produced using a drawing or paint program.

At the wireframe stage, emphasis is not placed on use of colour or graphics, which will be developed in conjunction with branding or marketing teams and graphic designers and integrated into the site after the wireframe process.

According to Chaffey and White (2010), the aim of a wireframe will be to:

- integrate consistently available components on the web page (e.g. navigation, search boxes);
- order and group key types of components together;
- develop a design that will focus the user onto core messages and content;
- make correct use of white space to structure the page;

- develop a page structure that can be easily reused by other web designers.

Common wireframe or template features you may encounter are:

- navigation in columns on left or right and at top or bottom;
- header areas and footer areas;
- containers, ‘slots’ or ‘portlets’ – these are areas of content such as an article or list of articles placed in boxes on the screen; often slots will be dynamically populated from a content management system;
- containers on the homepage may be used to:
    - summarise the online value proposition;
    - show promotions;
    - recommend related products;
    - feature news, etc.;
    - contain ads.

Designing the user experience

Once analysis has determined the business and user needs for a site, the site can be designed. The **design phase** is critical to a successful website or app since it will determine the quality of experience users have of a site; if they have a good experience they will return, if not they will not! A ‘good experience’ is determined by a number of factors such as those that affect how easy it is to find information – for example, the structure of the site, menu choices and searching facilities. It is also affected by less tangible factors such as the graphical design and layout of the site.

As mentioned at the start of the chapter, design is not solely a paper-based exercise, but needs to be integrated into the prototyping process. The design should be tested by review with the client and customer to ensure it is appropriate. Since the main reason given for returning to a website is high-quality content, and content affects conversion too, it is important to determine, through analysis, that the content is correct. However, the quality of content is determined by more than the text copy. It is important to achieve high-quality content through design. Nigel Bevan (1999) says:

> Unless a website meets the needs of the intended users it will not meet the needs of the organisation providing the website. Website development should be user-centred, evaluating the evolving design against user requirements.

How can this customer-oriented or user-centred content be achieved? **User-centred design** starts with understanding the nature and variation within the user groups. According to Bevan (1999), key issues to consider that are still fundamental for digital experiences, whether desktop or mobile site, app or social network company page, include:

- Who are the important users?
- What is their purpose for accessing the site?
- How frequently will they visit the site?
- What experience and expertise do they have?
- What nationality are they? Can they read your language?
- What type of information are they looking for?
- How will they want to use the information: read it on the screen, print it or download it?
- What types of browsers will they use? How fast will their communication links be?
- How large a screen or window will they use, with how many colours?

Rosenfeld and Morville (2002) suggest four stages of site design that also have a user-centred basis:

1. Identify different audiences.

2. Rank importance of each to the business.
3. List the three most important information needs of audience.
4. Ask representatives of each audience type to develop their own wish lists.

We noted in **Chapter 2** that customer persona analysis is a powerful technique of understanding different audiences, which can be used to inform and test website design that looks at additional factors to those in the lists above, such as device usage, location and context of usage, and integration with other online services including social media.

Elements of digital experience design

Once the requirements of the user and marketer are established, we turn our attention to the design of the human–computer interface. Nielsen (2000) structured his book on web usability according to three main areas, which can be interpreted as follows:

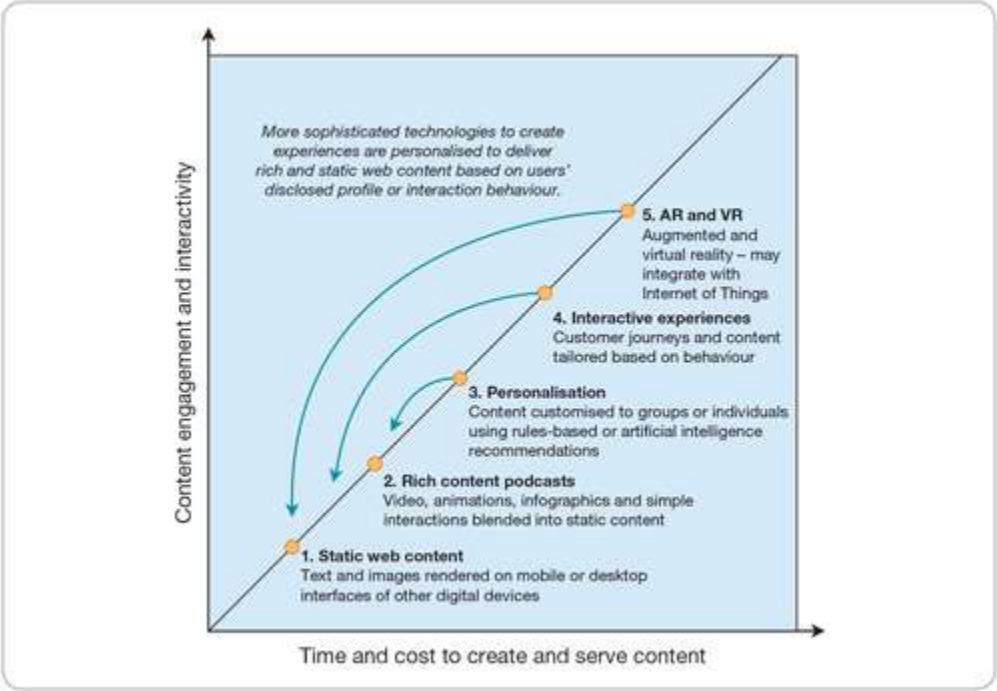
1. *Site design and structure* – the overall structure of the site.
2. *Page design* – the layout of individual pages.
3. *Content design* – how the text and graphic content on each page is designed.

There is also the additional area of branding and messaging, which is a key part of persuasion, as explained earlier in this chapter.

Digital technology has evolved to give more opportunities for designers to build in interactivity to help make the experiences they create more engaging. Brinker (2014) uses a similar format for explaining the evolution of content marketing to become more interactive. There are also constraints in that more sophisticated experiences take longer to learn, take longer to engage the users or require more sophisticated hardware.

Figure7.13

The continuum of sophistication in digital experiences



In this section we consider success factors for creating websites and mobile apps with static and rich web content. We then go on to consider the options for creating more personalised and interactive experiences such as augmented and virtual reality.

Site design and structure

The structures created by designers for websites will vary greatly according to their audience and the site's purpose, but we can make some general observations about common approaches to site design and structure and their influence on consumers. These are often known as 'best-practice principles of website design' and in this section we will summarise some of the main factors. Of course, there are exceptions to such rules of thumb or 'heuristics', but often a design approach that works on one type of site will work on another, particularly if it is a common feature across the majority of sites.

In the following coverage, we will review the general factors that designers consider when designing the style, organisation and navigation schemes for the site.

Site navigation schemes

Devising a site that is easy to use is critically dependent on the design of the **site navigation scheme**. Hoffman and Novak (1997) and many subsequent studies (e.g. Rettie, 2001; Smith and Sivakumar, 2004) have stressed the importance of the concept of **flow** in governing site usability. The concept of 'flow' was first brought to prominence by Mihaly Csikszentmihalyi, a psychology professor at the University of Chicago. In his book, *Flow: The Psychology of Optimal Experience* (1990), he explains his theory that people are most happy when they are in a state of flow – a Zen-like state of total oneness with the activity at hand. Research into the relationship between flow and usability has subsequently been extended to be assessed in mobile apps (e.g. Nayebi *et al*., 2012) and virtual reality (Fang and Huang, 2021).

In an online marketing context, 'flow' essentially describes how easy it is for users to find the information or experiences they need as they move from one page of the site to the next, but it also includes other interactions such as filling in on-screen forms.

It can be suggested that there are three important aspects within a site or app that is easy to navigate. These are:

- *Consistency.* A site will be easier to navigate if the user is presented with a consistent user interface when viewing the different parts of

the site. For example, if the menu options in the support section of the site are on the left side of the screen, then they should also be on the left when the user moves to the ‘news section’ of the site.

- *Simplicity.* Sites are easier to navigate if there are a limited number of options. It is usually suggested that two or possibly three levels of menu are the most that are desirable. For example, there may be main menu options at the left of the screen that take the user to the different parts of the site, and at the bottom of the screen there will be specific menu options that refer to that part of the site (menus in this form are often referred to as ‘nested’).
- *Context.* Context is the use of ‘signposts’ to indicate to users where they are located within the site – in other words, to reassure users that they are not ‘lost’. To help with this, the website designer should use particular text or colour to indicate to users which part of the site they are currently using. Context can be provided by the use of JavaScript ‘rollovers’, where the colour of the menu option changes when the user positions the mouse over the menu option, and then changes again when the menu option is selected. Many sites used to have a site map option that showed the layout and content of the whole site so the user could understand its structure. Modern sites often use large, interactive mega-menus and footer menus meaning that it is now less common for businesses to include a site map.

These three requirements for navigation need to be delivered across both smartphone and larger devices with responsive web design (RWD) supporting menus accessed on smartphones by the familiar ‘hamburger menu icon’ consisting of three horizontal lines.

Nielsen (2000) pointed out what many people designing sites still forget – that many users will not arrive on the home page, but may be referred from another site or according to a print or TV advert to a particular page. He calls this process **deep linking** and site designers should ensure that navigation and context are appropriate for users arriving on these pages.

As well as compromises on depth of links within a site, it is also necessary to compromise on the amount of space devoted to menus. Nielsen (1999) points out that some sites devote so much space to navigation bars that the space available for content is limited. Nielsen suggests that the designer of navigation systems should consider the following information that a site user wants to know:

- *Where am I?* The user needs to know where they are on the site and this can be indicated by highlighting the current location and clear titling of pages. This can be considered as *context. Consistency* of menu locations on different pages is also required to aid cognition. Users also need to know where they are on the web. This can be indicated by a logo, which by convention is at the top or top-left of a site.

- *Where have I been?* This is difficult to indicate on a site, but for task-oriented activities such as purchasing a product it can show the user that they are at the *n*th stage of an operation, such as making a purchase.
- *Where do I want to go?* This is the main navigation system, which gives options for future operations.

To answer these questions, clear succinct labelling is required. Widely used standards such as Home, Main page, Search, Find, Browse, FAQ, Help and About us are preferable.

Since using the navigation system may not enable the user to find the information they want rapidly, alternatives have to be provided by the site designers. These alternatives include Search, Advanced search, Browse and Site map (a simplified site map in the footer is common today).

Menu options

Designing and creating the menus to support navigation presents several options. A combination of text-based menus, graphical buttons or images is usually preferred in modern sites to meet the requirements of accessibility, persuasion, SEO and usability. Most large retail sites now use ‘mega-menus’, where there are a wide range of products and promotions to communicate.

Page design

The page design involves creating an appropriate layout of page elements to meet the goals of findability and usability. The main elements of a particular page layout are the title, navigation and content. Standard content, such as copyright information, may be added to every page as a footer. Common page templates will be created for pages that share similar characteristics, such as home page, category/sub-category page, product page, search results page and checkout pages for a retail site. Through use of common templates, improvements can be implemented more efficiently.

Issues in page design include:

- *Page elements.* We have to consider the proportion of a page devoted to content compared to all other material such as headers, footers and navigation elements. The location of these elements also needs to be considered. It is conventional for the main menu to be at the top or on the left. The use of a menu system at the top of the browser window allows more space for content below.
- *Resizing.* A good page layout design should allow for the user to change the size of text or work with different monitor resolutions.
- *Consistency.* Page layout should be similar for all areas of the site unless more space is required – for example for a discussion forum

or product demonstration. Standards of colour and typography can be enforced through cascading style sheets.

- *Printing.* Layout should allow for printing or provide an alternative printing format.

Site style

An effective website design will have a style that is communicated through use of colour, images, typography and layout. This should support the way a product is positioned or its brand.

When sites are first designed or restyled this should be based on research to ensure the style resonates with the audience. Designers should use appropriate complementary colours based on colour theory for website design, including colour wheels and the psychological associations of colour (e.g. Khazanova, 2020).

Site personality

The style elements can be combined to develop a personality for a site. We could describe a site's personality in the same way we can describe people, such as 'formal' or 'fun'. This personality has to be consistent with the needs of the target audience. A business audience often requires detailed information and prefers an information-intensive style, such as that of the Cisco™ site (www.cisco.com). A consumer site is usually more graphically intensive. Before the designers pass on their creative designs

to developers, they also need to consider the constraints on the user experience, such as screen resolution and colour depth, browser used and download speed.

Visual design constraints

Despite modern browsers and broadband access, graphic design of websites still represents a challenge since designers of websites are severely constrained by a number of factors:

- *The speed to download graphics:* designers still need to consider technical solutions to increase page download speed, as we explained earlier in the chapter.
- *The screen resolution of the computer:* designing to target different screen resolutions is particularly important today with the range of resolutions from smartphone to tablet to desktop. Common resolutions indicated by website analytics data should inform the testing of different target resolutions.
- *The number of colours on screen:* the colour palettes available on web browsers.
- *The type of web browser used:* different browsers, such as Google Chrome, Microsoft Edge™ and Apple Safari™, and different versions of browsers may display graphics or text slightly differently or may support different plug-ins.

- *Different access devices:* with the increase in popularity of mobile and tablet browsers it has become very important to support users of these sites using techniques that we will consider in the next section.

As a result of these constraints, the design of websites is a constant compromise between what looks visually appealing and modern on the most advanced hardware platforms and highest-speed network connections and what works for other systems. This is referred to as the ‘lowest common denominator problem’, since this is what the designer has traditionally had to do – design for the old browsers, using slower internet access and lower screen resolutions.

Mobile design requirements and techniques

Smartphone access has become the dominant mode of accessing websites apart from business-to-business sectors where people research solutions at work. So, designing websites such that they are effective across mobile and desktop devices is now a key consideration for all businesses. Given the proportion of mobile users, marketers need to know the technical options available for mobile design to check that the most appropriate is being used.

Speaking at Mobile World Congress in 2010, Eric Schmidt, the CEO of Google suggested that **mobile-first design** should be used in future given the rapidly growing importance of mobile phones (Lomas, 2010). The term is still used at present and its aims of simplicity and minimalism are laudable, but it can be misleading since it doesn't describe an agreed methodology or a design technique. It doesn't recognise that in some sectors, such as B2B, more users may use larger-screen desktop platforms, so it may be desirable to tailor the experience to the space available. However, as Design Rush (2020), which advocates mobile-first design, points out, it is still possible to progress from a simple mobile-first design outline and functionality to then design more complex desktop solutions.

The initial rapid adoption of smartphones gave rise to some pragmatic solutions such as creating mobile-only sites using a completely different content management system and design to the desktop site, with a domain such as https://mobile.company-name.com. However, maintaining separate sites was inefficient, so today the majority of companies use similar technology to serve smartphone and desktop content using the **responsive web design (RWD)** approach. There are also other emerging approaches, which we will also review. Note that these techniques are not mutually exclusive, so media sites with large audiences, such as *The Guardian*, may use all of these techniques since it's important to give the best solution for their many users and advertisers. However, most small and medium businesses use RWD solely, since it is most cost-effective. Let's now look at the techniques in more detail.

The main options for mobile design are:

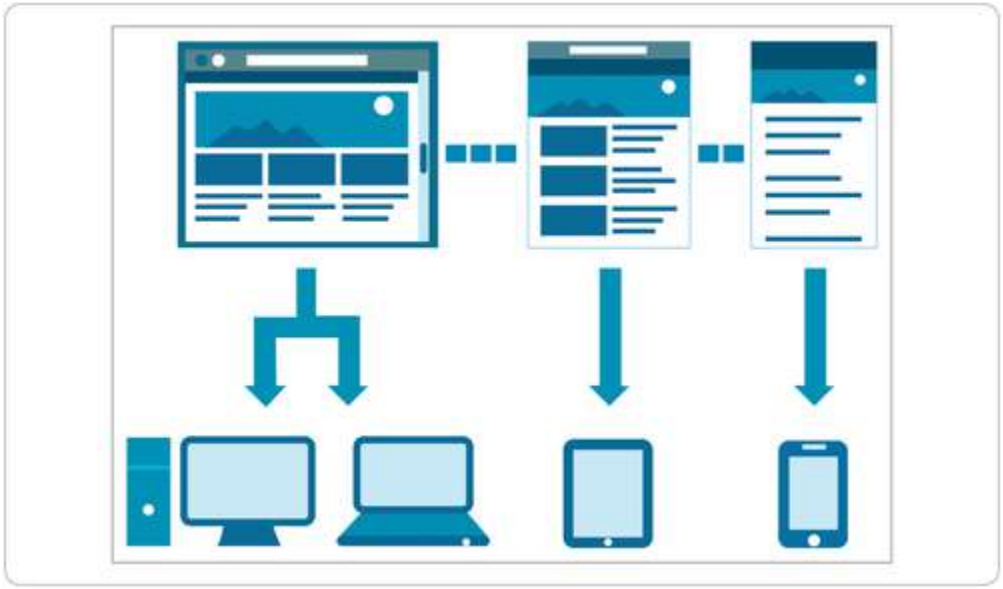
A. Responsive web design (RWD)

Responsive web design (RWD) enables a single version of the site and content to be maintained, which adapts for different resolutions. It was formerly called a ‘fluid design’, since the layout ‘flows’ as resolution is changed (as you change the size of a browser viewport window for instance). Blocks of content are moved and rescaled based on screen resolution, as shown in Figure 7.14. Contrast this to what we often see when browsing using a smartphone on a non-responsive site: tiny text and difficult-to-select buttons and navigation, which require us to zoom in.

First introduced as a concept in 2010, responsive design is a preferred technique for web developers to design website styling that changes the display layout to suit users of a range of mobile and desktop devices, using modern web development methods such as CSS, **media queries** and image scaling. This will produce an improved experience for users across a range of devices, but there are limitations since breakpoints for less common devices may not be supported or sites that aren’t ‘upwardly responsive’ (i.e. high-resolution displays) may be less well supported than lower resolution.

Figure7.14

Responsive design showing updated layout for different content blocks



Responsive design disadvantages include its being more technically complex to implement and test, which leads to higher costs and a larger codebase (particularly of stylesheets) to load, which can harm page load times. Despite these, it is now implemented for many sites.

B. Adaptive design

Adaptive mobile web design is a hybrid approach combining different client- and server-based logic to give the best performance with the best experience on priority devices with fewer speed limitations than the responsive approach. The approach is contrasted with responsive web design in Table 7.6. You can see that by only serving code and styling needed for a specific mobile device, the approach can result in a faster experience, although development times and costs can be higher, so it is an approach best suited to larger businesses.

C. Accelerated Mobile Pages (AMP)

In August 2016, Google announced that these faster-loading page formats would appear in all search results, not just news results, and so they have become more relevant for all businesses – beyond publishers, for which they were most relevant. **Accelerated Mobile Pages (AMP)** load fast since they have less styling and are loaded directly from Google's servers rather than the publisher's servers. They are still used by major media sites, but not typically by other types of business.

Table7.6

A summary of the advantages and disadvantages of different options for mobile-optimised websites

	Approach	Advantages	Disadva
Responsive web design (RWD)	CSS media queries modify presentation for device resolution	Single template for all devices gives speed and cost benefits	Bigger page Compromise for higher res
Client-side adaptive	JavaScript on the user's device loads different templates based on device resolution	Complete rebuild of CSS not needed Only resources needed loaded onto client Experience customised for devices	Maintenance additional co

Server-side adaptive	Dynamic serving of styles based on device detection	Smaller mobile pages than other approaches	Multiple tem be maintaine

D. Progressive Web Apps (PWAs)

Progressive Web Apps (PWAs) are a relatively recent innovation that has also been supported by Google and, like AMP, use open source as described by Web Dev (Richard and LePage, 2020). Google champions the use of PWAs explaining that they use ‘modern APIs to deliver enhanced capabilities, reliability, and installability while reaching *anyone*, *anywhere*, *on any device* with a single codebase’. That is, they offer many of the benefits of apps, but do not have to be created separately for different app stores and the website.

Google (Spero, 2017) explains the benefits of PWAs and contrasts them to mobile apps like this:

> It’s not hard to see why leading brands would embrace PWAs. They realize the need to provide the best mobile experience for users – regardless of platform. PWAs eliminate friction by using the web to deliver app-level experiences. There’s no need for consumers to find apps in the app store and install them – they can just navigate to the site on any browser, including Chrome and Safari. PWA techniques focus on reliably loading faster (even working offline) and using less data.

PWAs were first introduced in 2015 and they were often used in countries that suffer from poor internet connectivity, such as China and India. Alibaba.com, the world's largest online business-to-business trading platform, saw a 76 per cent rise in conversions and four-times-higher interaction rate after it upgraded its mobile site to a PWA. Beauty brand Lancôme™ saw a 53 per cent increase in session length and its bounce rates have dropped by a full 10 per cent among iPhone users. Despite these examples of the benefits, PWAs still haven't entered the mainstream for small and medium businesses. The most common use cases will be brands such as Starbucks that want to create a great mobile experience in the browser (see app.starbucks.com), but also offer apps for ordering and loyalty programmes in the app store. Despite this, PWAs have not gained the widespread traction that many expected and most businesses who take the decision that if an app is required, native apps are a better solution.

Note that all of the design approaches above may make use of the latest version of HTML – HTML5. This enables more options for form interactions and interactivity than previous versions. It has been used for app development, but PWAs and native mobile apps have found more favour.

E. Native mobile apps

Native mobile apps installed onto smartphones or tablets from the Google Play Store for Android or the Apple App store for iOS are a further option that can be considered separately for creating more engaging, more personalised mobile experiences. While most would agree that a website available via a mobile browser is essential, it's not clear whether a dedicated **mobile app** is essential for all but the larger organisations, particularly with the development of responsive and adaptive website design.

Are mobile apps relevant for all businesses?

Arguments for the creation of mobile apps are persuasive, in that, for many B2C sites, in most countries there are more mobile site visitors than desktop visitors. Furthermore, more than 90 per cent of consumers' mobile time is spent using apps, yet often this is spent in activities such as checking social media, email or news rather than using shopping or brand apps.

For new startup businesses without an existing site or user base it may be the case that the new business centres on a mobile app, and that a desktop app may not be necessary. Some sectors, such as financial services, are well suited to a mobile-app-only-centred experience, which reduces the cost of creating and maintaining the platform.

Through reviewing the types of apps that have proved popular, businesses can assess the potential for them to develop applications for their audiences.

The key questions to ask are:

1. *Are apps a strategic priority for us?* The goal of apps for most organisations will be to increase awareness and sales, or publisher's revenue from advertising or subscriptions. Apps are only likely to be a priority for businesses that have the scale to gain incremental revenue because they have an app that improves loyalty compared to other channels. For many companies, it will be difficult to demonstrate the incremental revenue that they will achieve compared to other mobile interactions such as a mobile-responsive website. In these cases, apps won't be a priority because they will have to put budget into higher-priority areas such as improving the experience on their desktop and mobile sites, or in their media investments. Owing to volume of users reached through these other platforms, incremental improvements here are likely to give better returns.
2. *Do we build our own app and/or leverage existing apps?* Creating an app is only one of the marketing options – advertising and sponsorship options may be a more cost-effective method to build reach and awareness of a brand.

3. *Free or paid apps?* Retailers will generally offer free apps offering choice and convenience in return for loyalty. Brands offering entertainment will likely also go the free route to increase customer engagement. But for publishers or software houses, a freemium approach of free app showcasing the service and paid in-app purchases for improved features and content is the standard approach.

4. *Which category of application to target?* As you would expect, accessing social networks and music via apps is popular.

5. *How to best promote mobile apps?* The options for marketing apps were also researched by Nielsen (2010), who found that the most popular methods of app discovery are:

- searching the app store – this is so important that the niche activity of App Store Optimisation (ASO) is offered by some consultants;
- recommendations from friends and family;
- mention on device or network carrier page;
- email promotion;
- offline mention in TV and print.

6. *How to refine apps in line with feedback?* The success of apps is very dependent on feedback in the app stores and the need to fix bugs and add enhancements to compete shows the need for an ongoing development cycle with frequent updates. Careful review

of hurdle rates for percentage of user base who are using the app or its different functions is going to be a KPI here.

Differences between mobile app design and development

The sequence of stages for app development is similar to that for website design shown at the start of the chapter. Yet, there are some key differences to consider:

- Context of use is different, with mobile apps often accessed ‘on the go’ in expectation that using the app will be quick.
- Separate versions need to be created for the two main alternative device operating systems, which have their own store (Google Play for Android OS and Apple App Store for Apple iOS).
- Each operating system has standard design elements, for example for form fields and buttons, which means that less creativity is possible within the interface.
- Mobile notifications can be integrated, for which permission is required.
- Other device-specific functionality may be exploited by the app, for example location or movement of the device.
- Mobile operating systems tend to be updated more frequently than desktop operating systems, meaning that more updates are required.

App makers receive reviews for each version, thus creating more of a challenge of keeping up to date.

Mobile apps featuring personalisation share many of the features of personalised websites. A personalised mobile app site has the benefit that specific features can be developed for mobile users based on their context and behaviour, such as location. Back-end integration enabling linkage to individual customer records can be used to build bespoke sites that match the profile of each user.

The Internet of Things

The **Internet of things (IoT)**, coupled with **machine-to-machine (M2M)** interactions, promises to bring the connectivity of the internet into every facet of our lives. These systems should make our devices and homes smarter and more efficient. Tariq *et al*. (2020) summarise different marketing outcomes that are possible using IoT technology, including new product development, customer support and CRM. As customers become more concerned about ethical sourcing and supply for products, IoT-enabled labels on consumer items can address their concerns and help develop loyalty. David Quass, *adidas* Director Brand Sustainability Innovation and Business Models, explains (Avery Dennison, 2020):

> adidas sells around 1.3m trainers a day. Each one represents a product sold. . . that then vanishes into a global void. There are billions of adidas trainers out there. But at present, there's no such thing as an individual product lifecycle that can be traced. Consider then how patterns of consumption may change. The need for ever-greater self-expression. Increasingly conscious shopping behaviors. The attraction of upcycling and recycling. The idea of viewing a product as a resource. . . for the next product. Meaning a running shoe becomes an asset, with a residual value; an investment that could be traded. Like a car.

More products will become IoT enabled through collaboration between partners; for example, an agreement between IoT provider EVRYTHING and label provider Avery Dennison will see at least 10 billion apparel and footwear products to market over 36 months as web-ready #BornDigital physical products (Murphy, 2017). See Mini case study 7.5 for a brand example.

Porter and Heppelmann (2015) explain that all connected products, from home appliances to industrial equipment, share three core elements: *physical* components (such as mechanical and electrical parts); *smart* components (sensors, microprocessors, data storage, controls, software, an embedded operating system and a digital user interface); and *connectivity* components (ports, antennae, protocols and networks that enable communication between the product and the product cloud, which runs on remote servers and contains the product's external operating system). Together with their infrastructure, this gives connected products new product capabilities. First, products can *monitor* and report on their own condition and environment, to generate insights into their performance and use; second, the users can control and customise products remotely; and third, optimisation algorithms can substantially improve product performance, utilisation and uptime, and how products work with related products in broader systems.

Mini case study 7.5

Diageo Brasil send personalised messages via IoT-enabled whisky

Diageo Brasil decided to position itself as the drink to celebrate fatherhood, by connecting 100,000 bottles to the internet so they could be used to send a personalised, one-to-one digital video message to fathers on Father's Day. The givers (of the whisky) were able to personalise the message with their own content. By doing so it called upon the giver to create what was, in effect, the advertising message to augment the product, making this an example of participative (and, at scale, crowdsourced) creative.

Diageo saw a 72 per cent sales uplift on the lead-up to Father's Day, and the cost of the campaign was repaid five times over. It also helped portray the brand as innovative and positioned whisky as the perfect Father's Day gift in a way that will pay off for years to come. The campaign also won the International Advertising Association's top award.

Source: **http://thedigitals.storystream.it/the-digitals-2013/items/67934/evrythng-for-diageo** (accessed July 2021)

What about the marketing applications of connected products? These are commonly talked about in these ways:

1. *Products as media.* Some connected products that have screens can potentially be used for ads, which will be more valuable if they are personalised. Devices don't necessarily need screens, since IoT-enabled tags on product packs can be used to connect to information, entertainment and offers, as shown in Mini case study 7.5 on Diageo. In another example (Olsen, 2017), Rebecca Minkoff bags announced that all its future bags would be smart bags. A code would unlock exclusive offers and experiences with Rebecca Minkoff and automatically qualify the customer for a loyalty programme. It also provided e-commerce services, private styling sessions with Rebecca, style recommendations, video content and an invitation to the next fashion show. There were also elite experiences to enjoy with lifestyle partners. Mini case study 7.5 on Diageo Brasil™ explores another example.
2. *Products as a service.* The 'smart home' control products are examples of this. These services are often administered via mobile or desktop apps. This gives opportunities to keep audiences engaged through notifications when they are timely, rather than the previous system of monthly bills.
3. *Products as connected ecosystems.* Within the home context, there are a growing number of popular smart-home IoT clouds on the market, such as HomeKit™, Nest™, SmartThings™ and Wink Hub™. New products for the home will have to support

interoperation with these and other products that are integrated with them.

Virtual reality and augmented reality

The immersive experiences of **virtual reality (VR)**, **augmented reality (AR)** and Metaverses offer the greatest level of immersive digital interaction. VR and AR have been available for several years, so there are many examples of how brands and their agencies have devised campaigns to trial these techniques, hoping to achieve higher engagement and brand recall than web experiences.

Jonathan Steuer (1992) was one of the first to recognise the potential of VR when he reviewed the technological variables influencing what he described as telepresence. These included interactivity factors such as speed, range and mapping, and vividness factors such as breadth and depth.

Although VR technology has developed hugely since this time, limitations in VR have stopped mass adoption of the technique for marketing, although mass adoption for gaming has occurred. In previous editions we have featured examples of using VR, such as a trial by Virgin Atlantic using headsets in-store to help with holiday selection. However, the use of VR in marketing has been limited despite the growing popularity of VR headsets such as those from Oculus and lower-cost options such as Google Cardboard, Google Daydream and YouTube 360

(arvr.google.com). This is partly due to the limited adoption of devices by consumers.

Augmented reality marketing applications are an example of **mixed reality**, which was defined by Milgram and Kishino (1994). AR has the benefit that it can be experienced on smartphones, triggered by the camera scanning a code or photograph, without the need for more sophisticated technology. There are a number of examples of brands deploying AR for marketing to engage consumers, as shown in Activity 7.3.

Activity 7.3

How do brands engage audiences with AR applications?

This activity uses examples from brands using the Zappar platform to explore applications of AR.

Activity

Review the examples described by Zappar and write a summary of how brands can integrate AR into campaigns with different types of audiences and goals.

About Zappar

Zappar's team is made up of 12 nationalities and 18 languages based in Chiswick, London, but operating a 'work where you work best' policy, offering remote work.

Zappar says that the origin of the name is that it offers an app using AR that lets audiences ZAP stuff. Zappar provides a platform for agencies and brands to turn almost anything (print ad or brochure, point of sale, product packaging or place) into an interactive delivery channel serving video, animation, games, competitions, additional information, data capture mechanics, social shares and more. Zappar adds a new visual dimension to the world seen through your device as a digital discovery channel, making every touchpoint an engaging, measurable, accountable and delightful short-form experience.

Zappar offers solutions in four main markets. Some examples from different sectors are described below and can be viewed on Zappar's website at www.zappar.com/showcase.

Visualise Creative: AXA x Liverpool FC #TogetherWeWin

To celebrate winning the Premier League, we continued our work with Liverpool FC by bringing their fans a chance to join in the celebrations with their favourite team. The #TogetherWeWin campaign allowed fans to scan a QR code, which unlocked a photo opportunity with some of the team's best-known players. They were then encouraged to save and share the photo online with the campaign hashtag.

Purina ONE 28-Day Challenge

Teaming up with Purina, we gave their customers a chance to take part in the 28-Day Challenge. By launching the WebAR experience, customers were given an interactive way to see the benefits of changing their pet's diet to Purina ONE and what improvements to expect throughout the 28-day period. By completing the challenge, they were then sent a $5 coupon to use online or in-store.

Beiersdorf: NIVEA SUN

Working with Beiersdorf (NIVEA SUN), we created this retail experience to promote the health and sustainability benefits of NIVEA SUN. The experience is launched via WebAR and includes a 360 tour of their products, providing information to customers at the point

of sale. When customers scan the code they are granted access to videos and information on a range of summer products, from how they keep you safe in the sun to their commitment to sustainability.

Nestle Minions 70s Photo Filters

Designed for at home use, this AR enabled young customers to interact with their favourite characters from the popular franchise *Minions*. By scanning the box, Nestle's customers can unlock a variety of different 70s-themed face filters, with a fun Minions-inspired Polaroid photo border. Photos could be taken and shared on social media, the perfect opportunity for brand engagement.

Sources: **zappar.com/about/** and **zappar.com/showcase**

Content design and auditing

It’s evident that a compelling customer experience demands exceptional, compelling content and a well-planned **content marketing** strategy, which we introduced in **Chapter 6**. Today, by ‘content’ we refer to the combination of static content forming web pages, but also dynamic rich media content that encourages interaction. Videos, podcasts, user-generated content and interactive product selectors should also be considered as content, which should be refined to engage issues.

To create such resources requires a content strategy, since there is a challenge of delivering so many different types of content in different forms to different places on different access platforms.

In **Chapter 1** we introduced the importance of content marketing in modern marketing and the definition suggests certain elements of content marketing strategy that need to be planned and managed: defining goals for content engagement value; content formats and media; content distribution; content participation; and content management platform. Halvorson and Rach (2012) describe the importance of these activities in terms of content management of a website. It can be seen that managing the creation and distribution of quality content is part of a broader customer engagement strategy that looks at delivering effective content across the whole customer lifecycle shown in Figure 2.1. As such it is an integral part of the CRM strategy development, which we covered in

Chapter 6. It is also an important marketing activity affecting conversion optimisation, social media engagement and SEO. Increasing attention is directed at content marketing strategy today since it fuels much of digital marketing. Content marketers such as Kieran Flanagan (2012) of HubSpot™ now talk about ‘top, middle and bottom’ of funnel (ToFu, MoFu and BoFu) content to suggest how content needs to be researched and audited to see how effective it is at engaging audiences. **Content mapping** is a powerful practical technique to review the current use of content hosted on a website and distributed through different channels against customer needs to meet lifecycle aims of demand generation, nurture and customer retention. Table 7.7 summarises typical content that can be used at different stages of the RACE customer lifecycle in B2B marketing. A similar approach can be used in high-value B2C marketing – for example, financial services or laser eye surgery.

To implement a content marketing strategy requires a change of mindset for many companies (Pulizzi and Barrett, 2010). They need to think more like a publisher and so invest in quality content that’s superior to that of their competitors. This requires:

- quality, compelling content – content is still king;
- quality writers to create quality content, who may be internal staff or external freelance writers;
- an editorial calendar and appropriate process to schedule and deliver the content;

- investment in software tools to facilitate the process;
- investment in customer research to determine the content that different audiences will engage with to support business goals;
- careful tracking of which content engages and is effective for SEO and which isn't.

Pulizzi and Barrett (2010) recommend creating a content marketing roadmap that is underpinned by the BEST principles. BEST stands for:

- *Behavioural.* Does everything you communicate with customers have a purpose? What do you want them to do as a result of interacting with content?
- *Essential.* Deliver information that your best prospects need if they are to succeed at work or in life.
- *Strategic.* Your content marketing efforts must be an integral part of your overall business strategy.
- *Targeted.* You must target your content precisely so that it's truly relevant to your buyers. Different forms of content will need to be delivered through different social platforms.

Table7.7

Content mapping summarising different content options and distribution techniques that can be used to support lifecycle marketing goals

Lifecycle	REACH	ACT	CONVERT	EN

Content type and aim	TOFU Awareness engagement	MOFU Evaluation engagement	BOFU Purchase engagement	ROFU Retentior engagem
B2B examples	• 'Hero' lead-gen for cut-through Infographics • 10X content • Webinars – education	• Case studies • Datasheets • Independent reviews • Webinars – demos	• ROI calculators • Business case download	• Caree devel • E-nev
Distribution	• Cross-site or section targeted • Pop-ups and Inline content • SEO • Social media • Paid ads • Influencers	• Site resource section • Email welcome • Email nurture • E-newsletter personal	• Web personali-sation • Live chat • Assisted selling • Emails from sales (automa-ted) • Webinars	• E-nev • Web perso • Targe

Three specific techniques that marketers can use to improve their content effectiveness are content mapping for different audience personas (see Chapter 2), content audits and copywriting for the web.

Content audits

Before a business can decide where to prioritise content improvements across its digital assets, it needs to evaluate what needs improving, and why, using a **content audit**, which can include the content mapping techniques shown in Table 7.7.

Halvorson and Rach (2012) note that there are two basic types of audit: quantitative audits and qualitative assessments. They remind us of their purpose by quoting Christina Wodtke, an expert on information architecture, who says the first asks ‘what’s there?’, and the second, ‘is it any damn good?’. The ‘is the content any good?’ question can be answered through website analytics, as well as by asking through surveys and interviews. For example, measures from analytics such as revenue, or goal value per visit, page value or conversion rates to lead or sale for landing pages should be used as part of a content audit.

Online copywriting

As you would expect, effective copywriting for digital media is quite different from print. Jakob Nielsen of Nielsen Norman Group has been researching how we read online since the mid-1990s. He shows that on the average web page, users have time to read, at most, 28 per cent of the words during an average visit; 20 per cent is more likely Nielsen (2008). This shows the importance of achieving scannability of articles through headlines, and the ‘scent trails’ of links and buttons to other content and actions.

With the increase in smartphones, the need for scannability increases. Biedert *et al*. (2012) found that three different reading modes exist on smartphone – full screen, linewise and blockwise – and scannability and skimmability are important to support each of these.

Scannability and skimmability

Scannability is the use of writing and formatting techniques that compensate for the fact that most people don't fully read content on the web. These techniques help give online readers an overview to navigate the page. *Skimmability* is using shorter copy and formatting techniques to make it easier to read text once the reader has found context through scanning.

Other common errors we see on websites are too much knowledge assumed of the visitor about the company, its products and services, and using internal jargon about products, services or departments – or using undecipherable acronyms.

Web copywriters also need to take account of the user reading the content on screen. Approaches to dealing with the limitations imposed by the customer using a monitor include:

- writing more concisely than in brochures;

- chunking, or breaking text into units of five to six lines at most, which allows users to scan rather than read information on web pages;
- use of lists with headline text in larger font to aid scannability;
- never including too much on a single page, except when presenting lengthy information such as a report, which may be easier to read on a single page;
- using hyperlinks to decrease page sizes or help achieve flow within copy, either by linking to sections further down a page or linking to another page.

Hofacker (2000) described five stages of human information processing when a website is being used. These can be applied to both page design and content design to improve usability and help companies get their message across to consumers. Each of the five stages summarised in Table 7.8 acts as a hurdle, since if the site design or content is too difficult to process then the customer cannot progress to the next stage. It is useful to consider the stages in order to minimise these potential difficulties.

Table7.8

A summary of the characteristics of the five stages of information processing described by Hofacker (2000)

Stage	Description	Applications
1 Exposure	Content must be present for long enough to be processed	Content on banner ads may not screen long enough for process

		cognition
2 Attention	User’s eyes will be drawn towards headings and content, not graphics and moving items on a web page (Nielsen, 2000)	Emphasis and accurate labellin headings is vital to gain a user’ evidence suggests that users do banner adverts, suffering from blindness’
3 Comprehension and perception	The user’s interpretation of content	Designs that use common stand metaphors and are kept simple more readily comprehended
4 Yielding and acceptance	Is the information (copy) presented accepted by customers?	Copy should refer to credible s present counter arguments as n
5 Retention	As for traditional advertising, this describes the extent to which the information is remembered	An unusual style or high degre interaction leading to flow and satisfaction is more likely to be

Managing and testing content

It is not practical to provide details of the methods of managing content since marketers do not need an in-depth understanding of development technologies – they will use specialists for this. What marketers do have to know are the aspects of customer experience that can be affected by the tools and development methodologies used. Then, when selecting suppliers, they can ask questions so that the type of constraints on the customer experience described in Activity 7.1 are accounted for. They can also test to make sure the systems have been built successfully. Selecting the right **content management system (CMS)** is important to provide a good user experience and is also important for an efficient method of publishing content since the facility can be made available to people throughout the company. Today there are two main forms of CMS, both of which are delivered as web services that can be accessed through a web browser. Enterprise CMSs can be used for large, complex sites (and other corporate documents); as well as the standard page creation and editing facilities these offer version control and review of documents through workflow systems that notify reviewers when new documents are ready for editing. CMSs for smaller companies traditionally lack workflow or multi-author facilities, but offer many of the other features to create content. However, blogging platforms such as WordPress and Movable Type™ are increasingly used by smaller businesses for managing their entire site since they have enterprise features.

Criteria for selecting a content management system

A professional content management system should provide these facilities:

- *Easy authoring system.* Editing of new and existing documents should be possible through a WYSIWYG (what you see is what you get) facility similar to a word processor, which makes it easy to embed images and supports a range of markups necessary for SEO.
- *Search engine robot crawling.* The content must be stored and linked such that it can be indexed by search engine crawlers to add it to their index. Sometimes URL rewriting to a search-engine-friendly format without many parameters is required. The Google Search Central pages describe the requirements: www.google.com/webmasters.
- *Search-engine-optimisation-friendly markup.* Some bespoke content management systems created by design agencies do not enable easy editing of the key fields, such as <title>, <h1> and <meta name = ‘description’ content = ‘page description’>.
- *Different page templates.* In the design and maintenance of content structure (sub-components, templates, etc.), web page structure and website structure it should be possible to create different layouts and designs for different site sections or categories of pages.

- *Link management.* The maintenance of internal and external links through content change and the elimination of dead links.
- *Input and syndication.* The loading (spidering) of externally originated content and the aggregation and dissemination of content from a variety of sources.
- *Versioning.* The crucial task of controlling which edition of a page, page element or the whole site is published. Typically this will be the most recent, but previous editions should be archived and it should be possible to roll back to a previous version.
- *Security and access control.* Different permissions can be assigned to different roles of users and some content may only be available through log-in details. In these cases, the CMS maintains a list of users.
- *Use of plug-ins and widgets.* Mashups are possible through embedding widgets such as links to social networks or third-party applications. But a content management system may not readily support embedding within the main content or sidebars.
- *Publication workflow.* Content destined for a website needs to pass through a publication process to move it from the management environment to the live delivery environment. The process may involve tasks such as editorial authorisation and the construction of composite documents in real time (personalisation and selective dissemination).

- *Tracking and monitoring.* Providing logs and statistical analysis of use to provide performance measures, tune the content according to demand and protect against misuse. It should also be possible to rapidly add tags to the page templates for web analytics tools such as Google Analytics.
- *Navigation and visualisation.* Providing an intuitive, clear and attractive representation of the nature and location of content using colour, texture, 3D rendering or even virtual reality. It should be possible to make changes to the navigation and containers holding content within the page template.
- *Personalisation.* Recommending relevant content or offers based on audience profile or interaction behaviour.
- *Flexibility to test new approaches.* It should be possible to test alternative designs and messaging using techniques such as AB and multivariate testing.

As mentioned earlier in the chapter, open-source options such as WordPress, Joomla or Drupal now deliver many of these features either within their core installation or via plug-ins. Some larger organisations use paid CMS such as those from Adobe, Optimizely CMS, Kentico, Sitecore or Umbraco, since they may offer superior features for some functions such as personalisation or tracking, or have better support from agencies.

Case study 7.1 shows an international e-commerce brand seeks to improve customer retention and loyalty by improving the customer experience by deploying the latest technologies.

Case study 7.1

How fashion retailer Zalando has used a strategic approach to AI to improve marketing communications

Zalando is a European E-Commerce fashion and lifestyle retailer founded by business school friends Robert Gentz and David Schneider. Launched in Berlin in 2008, they have around 50 million active customers in 25 markets, offering clothing, footwear, accessories, and beauty. The assortment of international brands ranges from world famous names to local labels.

This case study gives examples of how Zalando has adopted AI to support its growth. Zalando states that it has adopted a customer-centric approach to implementing AI, with the primary aims of improving the user experience and boosting sales by increasing conversion rate to sale, basket sizes and developing loyalty. More accurate size recommendations can also help increase customer satisfaction and reduce returns.

Although AI arguably first came to public prominence in 2022–2023 with the launch of ChatGPT by OpenAI, Zalando has been

active in exploiting AI for many years, due to its strategic approach to technology and insight. This is indicated by reporting of the impact of AI on the marketing team by Drapers (2018) when Zalando cut around 250 marketing and communications roles, replacing staff with algorithms and artificial intelligence (AI). The business context for this change was that Zalando was aiming for sales growth of 20–25 per cent in 2018, and expected to create around 2,000 jobs overall, adding to an existing staff count of 15,000. This was part of a new strategy to “integrate marketing functions into the Zalando fashion store teams” and drive a “personalised customer approach and AI driven marketing solution". At the same time it created a dedicated personalised marketing department comprising product managers, marketing domain experts, software engineers, data and AI scientists. The scope of activity of this department included on-site recommendations such as personalisation of different content containers on the home page based on searches, products viewed and previous visits and optimisation of media investment described at the end of this case study.

Strategic agility is indicated by the launch of a ChatGPT-based shopping assistant described by Zalando (2023), just a few months after the launch of ChatGPT at the end of 2022. The first version of the assistant was built using a sprint of just 5 weeks, with the first version iterated and refined based on customer feedback. This

can help findability of fashion products which is important since over 400,000 products may be available depending on season. For example, if a customer asks “What should I wear for a wedding in Santorini in July?”, Zalando’s fashion assistant is able to understand that this is a formal event, what the weather is in Santorini in July, and therefore, provide a written explanation with recommendations for clothing based on that input. The dialogue is adjusted by the Chatbot based on customer interactions, so if the Chatbot recommended shoes with heels for dancing and the customer said they would be next to/on a beach, then something more appropriate is recommended. The aim is to potentially combine this in the future with customer preferences, such as brands they follow and products available in their sizes, to provide a more personalised selection of products.

Another earlier example of customer-facing AI described by AI Network (2023) is the Algorithmic Fashion Companion (AFC). This is a digital outfit recommendation tool based on a customer’s wish list or prior purchases. Adjustments by human stylists ensured that the algorithm remained aligned with current fashion trends. The AFC has been a driver in increasing basket sizes by 40 per cent.

Despite these successes, Zalando has faced challenges in leveraging AI. One limitation is the AI’s inability to account for

the influence of external factors like celebrities and social trends on customer preferences. However, innovation has increased collaboration with brands such as lululemon and Lancôme. There are also data privacy concerns as the company collects more personalized information from consumers.

TechwireAsia (2019) summarises the approach Zalando has taken to make its marketing strategy more dynamic using cutting-edge technologies in an interview with Senior VP Moritz Hahn. Hahn explains that the senior management team considered it risky not to change the marketing department, and that they needed to disrupt marketing to effectively combine technology and marketing. The reason behind placing the embedded tech teams into marketing was because it wanted algorithms to help what he described as the millions of day-to-day decisions it made when investing in marketing communications. He explained: “We first had to automate all the marketing processes. Our second step was to rigorously A/B test. With a randomized control group and a test group, we were able to isolate the impact of each euro invested in marketing. This brought the magic of machine learning to the game, once time was taken to train the algorithms as it let us see causal inferences on a day-to-day basis in millions of decisions.” He gives the example of how this can increase marketing sophistication and improve results since, in the past, they had a few thousand creative assets on Facebook and Instagram.

Nowadays, they have millions of creative assets which they can use to test and target. He says this is possible because they can automate not just content creation and uploading but also the routing and media bidding for the placement of the different creative assets as well. This enables them to deliver what is almost a personalized marketing experience to individual customers.

However, in the short term when first implementing these types of machine learning algorithms, the limited return on investments could be quite challenging to explain. Hahn says, "this makes leadership and a commitment from the top of the organization extremely important."

Its central teams include 120 researchers, and Zalando invests in technology to deepen its understanding of customer preferences and the wider fashion landscape. Zalando has been open in sharing some of its technology innovation in an engineers' blog (https://engineering.zalando.com/) where researchers and technologists share their approaches. Although this could be seen as a risk in sharing its approach, it's likely that Zalando sees this as worthwhile, on balance, to help attract and retain tech talent.

Questions

1. What are the reasons behind Zalando's innovative use of AI?

2. What evidence is there that AI adoption is based on a strategic approach?

Summary

An effective online customer experience is dependent on many factors, including the visual elements of the site design and how it has been designed for persuasion, usability, accessibility and performance.

Careful planning and execution of website and mobile app implementation is important, in order to avoid the need for extensive reworking at a later stage if the design proves to be ineffective.

Analysis, design and implementation should form an iterative, prototyping approach based on usability testing that meets business and user requirements.

The choice of host for a website, performance and availability should be considered carefully since this will govern the quality of service of the website.

Options for analysis of users' requirements for a website include:

- interviews with marketing staff;

- questionnaire sent to companies;
- usability and accessibility testing;
- informal interviews with key accounts;
- focus groups;
- reviewing competitors' websites.

The design phase of developing a website includes specification of:

- the information architecture, or structure, of the website using techniques such as site maps, blueprints and wireframes;
- usability, digital accessibility, mobile requirements and personalisation;
- the flow, controlled by the navigation and menu options;
- the graphic design and brand identity;
- content strategy;
- country-specific localisation;
- the service quality of online forms and email messages.

For websites in the retail sector there are specific considerations we have reviewed including mobile apps, personalisation, web merchandising and the Internet of Things.

Exercises

Self-assessment exercises

1. Explain the term ‘prototyping’ in relation to website creation.
2. What tasks should managers undertake during initiation of a web page?
3. What factors should be considered for domain name registration?
4. List the factors that determine website ‘flow’.
5. Which requirements are important for an effective website?
6. List the options for assessing online service quality.
7. Which issues should be considered when developing a content strategy?
8. What are the factors that control the performance of a website?

Exam and discussion questions

1. Discuss the relative effectiveness of the different methods of assessing the customer’s needs from a website.
2. Select three websites of your choice and compare their design effectiveness. You should describe design features such as navigation, structure and graphics.
3. Explain how strategy, analysis, design and implementation of a website or mobile app should be integrated through a prototyping approach. Describe the merits and problems of the prototyping approach.
4. When designing the interactive services of a website, what steps should the designer take to provide a quality service to customers?

5. How can customer analysis be used to develop a more effective online service?
6. Name, and briefly explain, the characteristics of an online service or brand that will govern whether a user recommends it.
7. What are the constraints on web service design depending on the technology platform the service is accessed on?

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Weblinks

A directory of recommended website links, including recommended videos, analysis tools and sources for statistics, is maintained by Dave Chaffey at https://www.davechaffey.com/book-support. The sites for this chapter cover recommended sites to learn more about the principles of usability, information architecture, personalisation and conversion rate optimisation.

Chapter 8

Campaign planning for digital media

Learning objectives and topics

After reading this chapter, you should be able to:

- Articulate the differences between digital and traditional media and the implications for planning and implementing campaigns of:
    - The characteristics of digital media
    - The use of Generative AI (Gen AI)
- Use forecasting, evaluation and marketing insight to inform campaigns
    - Step 1. Goal setting and tracking for interactive marketing communications
    - Step 2. Campaign insight
- Review the options for segmentation and targeting and campaign engagement provided in different channels
    - Step 3. Segmentation and targeting

        - Step 4. Big idea, offer, message development and creative
- Consider how to select the most effective digital media and plan them as part of an integrated campaign
        - Step 5. Budgeting and selecting the digital media mix
        - Step 6. Integration into overall media schedule or plan

Case study

Case study 8.1 Global Action Plan; campaigning for a better world

Links to other chapters

This chapter is related to other chapters as follows:

- **Chapter 1** describes the 6Is, a framework that introduces the characteristics of internet marketing communications.
- **Chapter 2** introduces portals and search engines – one of the methods of online traffic building discussed in this chapter.
- **Chapter 3** introduces some of the legal and ethical constraints on online marketing communications.
- **Chapter 4** provides the strategic basis for digital marketing communications.

- **Chapter 7** describes on-site communications.
- **Chapter 9** reviews the different digital media channels in detail.
- **Chapter 10** considers the measurement of communications effectiveness.

Introduction

Planning marketing campaigns to achieve targets for leads and sales is a regular, essential activity for all types of organisations as they launch new products, offer promotions and seek to generate demand for their brand propositions. The need for campaigns is usually identified in annual plans and then each campaign is planned and executed individually. The advent of digital marketing has offered many new options for campaigns to achieve their goals, for example: reaching audiences through relatively new channels such as search and social media marketing; using rich interactive media to engage audiences and communicate messages; and using technology and data to analyse and follow-up on response through personalisation.

To take advantage of digital innovation demands that businesses update their process for planning, managing and optimising campaigns and this is the focus of this chapter, which is structured based on the steps of planning an integrated marketing campaign.

Practical issues we will cover related to the 7Ds of digital marketing that we introduced in **Chapter 1** are:

- *Digital goals* – how to create forecasts, and track and report on campaign effectiveness. We explore the difference between

campaigns with a brand-building, direct response or brand response focus and how integrating digital media can support these goals.

- *Digital audiences* – how to use digital media to target online audiences cost-effectively.
- *Digital devices* – how to reduce media wastage by more precise targeting based on behaviour.
- *Digital platforms and digital media* – where and how to reach our audiences online, which is mainly covered in **Chapter 9** where we cover best practices for different media channels.
- *Digital data and digital technology* – how insight about audiences can be collected through technology and then used for personalisation, as described in **Chapters 6** and **7**.

Traditionally, marketing campaigns have been short-term 'burst activities' where ad budget has limited the time that specific campaigns could run, from weeks to months depending on the type of campaign and budget available. The availability of low-cost, organic inbound marketing activities such as search, social media and email has meant that some campaigns can be considered continuous. Today, when we launch a new product or run a campaign for demand generation, campaign duration can be extended and this means that more optimisation should be applied during the campaign to improve the return on media investment.

These continuous or ‘always-on’ digital communications activities for promoting brand value proposition, which we introduced in Chapter 1, also have similar considerations to the campaign steps we cover in this chapter. In these cases, we need to plan customer acquisition and retention activities across the whole year, where similar issues of forecasting, targeting, message selection, tracking and reporting are required.

Chaffey and Smith (2017) refer to the relevance of timing for traffic building. They say:

> Some marketers may consider traffic building to be a continuous process, but others may view it as a specific campaign, perhaps to launch a site or a major enhancement. Some methods tend to work best continuously; others are short term.

An example of the benefits that can accrue through a continuous focus on improving results is explored in Mini case study 8.1. This is an example

of the approach of growth hacking introduced in the previous chapter, which blends improvements to communications with experience.

The structure of this chapter

We begin by reviewing the unique characteristics of digital media that should be applied for success in modern integrated campaigns. We then look at the different practical aspects of communications, which must be reviewed as part of planning always-on communications or managing a campaign and integrating it with traditional media. These are the sections of this chapter and the main questions we answer:

1. *Goal setting and tracking*. Which specific goals should be set for online campaigns and how do we measure success? What response mechanisms will be most effective?
2. *Campaign insight.* Which data about customer and competitor behaviour are available to inform our decision?
3. *Segmentation and targeting***.** How can we target and reach our different audiences?
4. *Big idea, offer and message development.* How do we specify our offer and key messages?
5. *Budgeting and selecting the digital media mix.* How should we set the budget and invest in different forms of digital media?
6. *Integration into overall media schedule or plan.* How should we plan the media schedule, which incorporates different waves of online and offline communications?

Essential digital skills

Campaign planning for digital media

The practical skills of managing paid, owned and earned media channels, which we will cover in **Chapter 9**, are much sought after in businesses. Yet creating integrated plans to coordinate these activities is even more sought after. These skills include:

- *Setting a brief for agency or internal teams.* Outline the goals and target audience for a campaign.
- *Reviewing insight and analytics.* Today's campaigns must be data-driven, so knowledge of insight sources (**Chapter 2**) and campaign effectiveness measures are useful.
- *Campaign integration tactics.* Campaigns are more effective when integrated, so understanding how to achieve this is useful.

Practical ideas to boost employability by showcasing your interests and experiences include:

- reviewing campaigns by brands and writing up the success factors on a blog;
- gain relevant experience in using Generative AI such as ChatGPT or Google Gemini for campaign planning (such as creating a campaign brief) and execution (for example, ad, copy or image creation)
- using the Google Analytics Demo account to understand full referrer mix;
- completing free online Google Ads or Analytics training.

To audit your digital marketing skills across the RACE planning framework, use the Smart Insights Skills Assessment tool available at http://bit.ly/smartdigiskills.

Building on this, in Chapter 9 we review the success factors for the main **digital media channels**, such as affiliate, search and social media marketing (shown in Figure 1.11), which make up the tactics of digital marketing campaigns. When a visitor is directed to a site from another third-party site via a digital media channel, the origin is known as a **referrer or referring site**.

The characteristics of digital media

By understanding the key interactive communications characteristics enabled through digital media we can exploit these media while guarding against their weaknesses. In this section, we will describe nine key changes in the media characteristics between traditional and digital media. Note that the 6Is in **Chapter 1** provide an alternative framework that is useful for evaluating the differences between traditional media and new media.

1 From push to pull

Traditional media such as print, TV and radio are **push media** – one-way streets where information is mainly unidirectional, from company to customer, unless direct response or sales activation elements such as use of coupon codes are built in. In contrast, many digital marketing activities such as content, search and social media marketing involve **pull media and inbound marketing**. Inbound marketing is powerful since advertising wastage is reduced. It involves applying content and search marketing to target prospects with a defined need – they are proactive and self-selecting. But this can also be a weakness since marketers may have less control than in traditional communications where the message is pushed out to a defined audience and can help generate awareness and demand.

2 Interactive dialogues

Creating a dialogue through **interactivity** is the next important feature of the web and digital media, which provide the opportunity for two-way interactions with the customer. A recent example of a digital interactive dialogue is shown in Mini case study 8.1, which also illustrates the risks of replacing humans for delivering customer service. This distinguishing feature of the digital medium was proclaimed in the early days to be a significant benefit of the internet and digital channels (Deighton, 1996; Peters, 1998) and also as a means of developing long-term relationships with customers through what would later be defined as permission marketing by Godin (1999)

Mini case study 8.1

McDonalds withdraws AI-based customer interaction tool

Generative AI can seem like a magical technology, the first time you use it, but this does not mean that it is risk free for businesses. This is illustrated by McDonalds being forced to withdraw a voice interaction AOT (Automated Order Taking) system at over 100 drive-through restaurants where it was trialing it.

The withdrawal followed negative stories shared by customers on TikTok such as receiving bacon-topped ice cream and orders amended to hundreds of dollars' worth of chicken nuggets.

Note that this system was withdrawn in 2024, but the contract was originally signed in 2019, so it’s not known whether it was using the latest Large Language Models. Regardless of the model, it illustrates the negativity publicity that can be generated by AI systems.

Sources: https://www.bbc.co.uk/news/articles/c722gne7qngo, https://www.techmarketview.com/ukhotviews/archive/2024/06/19/mcdonalds-to-ditch-ibm-drive-thru-ai

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Walmsley (2007) believed the main impact of digital media has not been to find new ways to connect brands to consumers as originally anticipated, but in connecting those consumers to each other. This unexpected shift in the direction has led to new communication paradigms.

3 From one-to-many to one-to-some and one-to-one

Traditional push communications are one-to-many (from one company to many customers), often the same message to different segments and often poorly targeted. With digital media ‘one-to-some’ communications, reaching a niche or micro-segment becomes more practical – digital marketers can afford to tailor and target their message to different segments through providing different site content or email for different audiences through **mass customisation** and **personalisation** (Chapter 6).

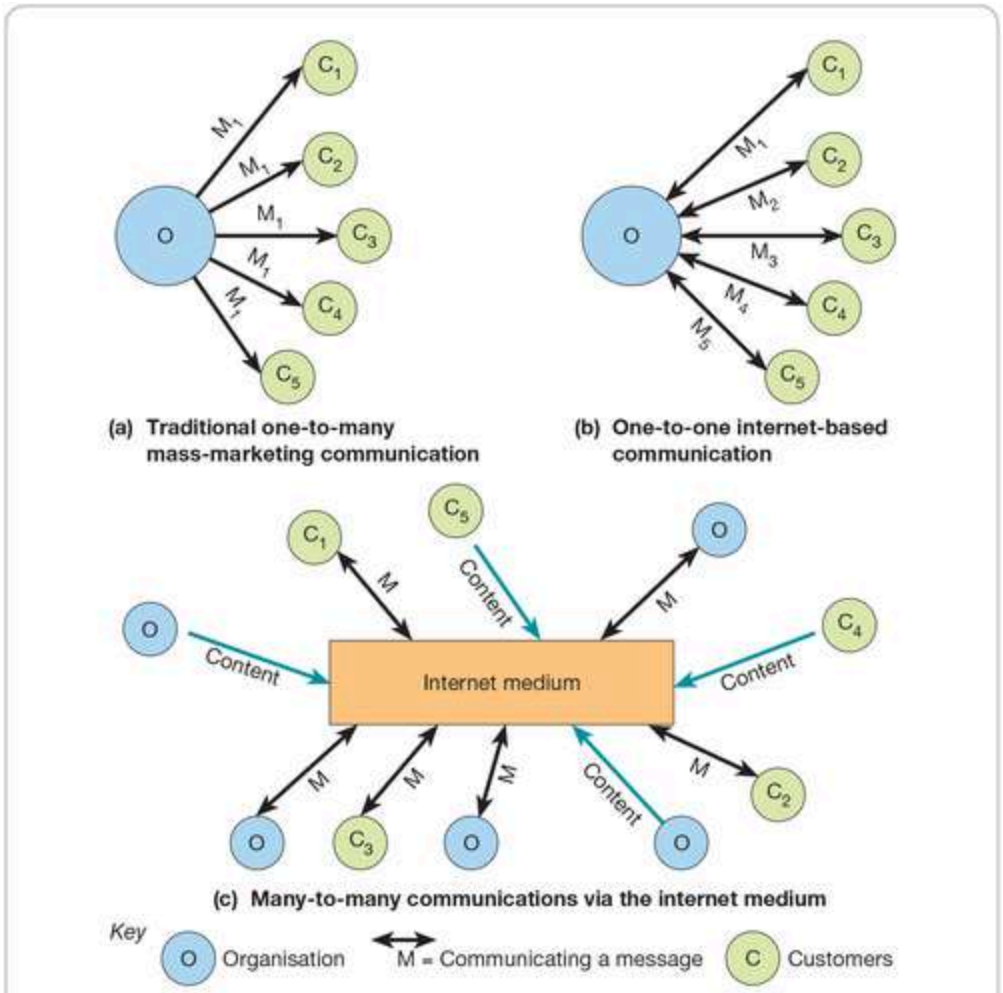
Figure 8.1 illustrates the opportunities for mass customisation as interaction occurs between an organisation (O) communicating a message (M) to customers (C) for a single-step flow of communication. It is apparent that for traditional mass marketing in (a), a single message (M_1) is communicated to all customers (C_1 to C_5).

Hoffman and Novak (1997) believed that this change was significant enough to represent a new model for marketing, or a new ‘marketing paradigm’ (Figure 8.1(c)). They suggest that the facilities of the internet, including the web, represent a computer-mediated environment in which the interactions are not between the sender and receiver of information, but with the medium itself. Their vision of the future is now apparent in the popularity of social networks, user-generated content and specialist communities:

> consumers can interact with the medium, firms can provide content to the medium, and in the most radical departure from traditional marketing environments, consumers can provide commercially-orientated content to the media.

Figure8.1

The differences between one-to-many and one-to-one communication using the internet (organisation (O) communicating a message (M) to customers (C))


O
C1
C2
C3
C4
C5
M1
M2
M3
M4
M5
(a) Traditional one-to-many mass-marketing communication
(b) One-to-one internet-based communication
Internet medium
M
Content
(c) Many-to-many communications via the internet medium
Key
Organisation
M = Communicating a message
Customers

4 From one-to-many to many-to-many communications

Digital media also enable many-to-many communications. Hoffman and Novak (1996) noted that new media are many-to-many media. Here customers can interact with other customers via a website, in independent communities or on their personal websites and blogs. We will see in the section on online PR (**Chapter 9**) that the implications of many-to-many communications are a loss of control of communications requiring monitoring of information sources, but an opening up of more opportunities to reach out to influencers to expand reach.

5 From ‘lean-back’ to ‘lean-forward’

Digital media are also intense media – they are interactive, lean-forward media where the customer wants to be in control and wants to experience flow and responsiveness to their needs. First impressions and devices to encourage the visitor to interact are important. If the visitor to your site does not find what they are looking for immediately, whether through poor design or slow speed, they will move on, probably never to return.

6 The medium changes the nature of standard marketing communications tools such as advertising

In addition to offering the opportunity for one-to-one marketing, the internet can be, and widely still is, used for one-to-many advertising. The website or social media site can be considered as similar in function to an advertisement (since it can inform, persuade and remind customers about the offering, although it is not paid for in the same way as a traditional advertisement). Berthon *et al*. (1996) considered a website as a mix between advertising and direct selling since it can also be used to engage the visitor in a dialogue. In pay-per-click (PPC) advertising, display of ads can be controlled according to user need based on what searchers are looking for, and cost is only incurred where interest is indicated by a click. Affiliate marketing is also a **pay-for-performance communications** technique where cost is only incurred where there is a response.

Peters (1998) suggested that communication via the new medium was differentiated from traditional media in four ways:

1. *Communication style*, which is changed with *immediate*, or synchronous, transfer of information through online customer service; asynchronous communication, where there is a time delay

between sending and receiving information, as through email, also occurs.

2. *Social presence*, or the feeling that a communications exchange is sociable, warm, personal and active, may be lower if a standard web page is delivered but can be enhanced, perhaps by personalisation.
3. *Control of contact* has shifted towards the consumer.
4. The user controls the *content* – for example, through personalisation facilities or posting their own user-generated content.

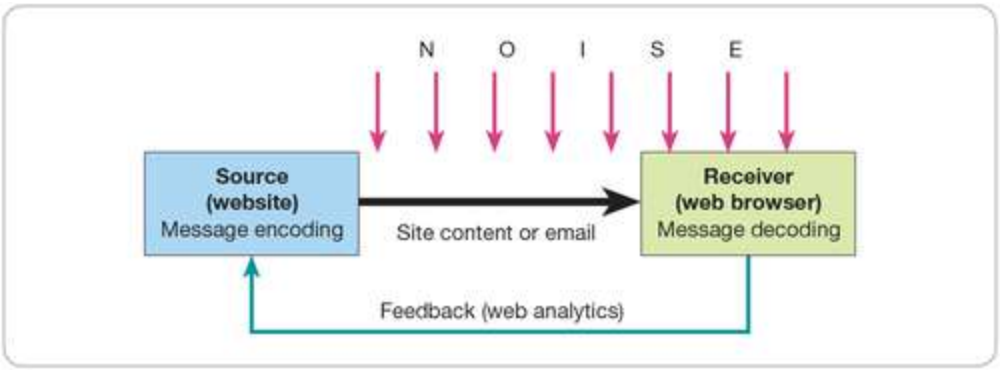
These ideas are still very relevant today and act as a foundation for digital communications.

Hoffman and Novak (1996) had also pointed out that the main relationships in digital channels are not *directly* between sender and receiver of information but with the web-based environment, but the classic communications model of Schramm (1955) can still be used to help understand the effectiveness of marketing communication using the internet. Figure 8.2 shows the model applied to the internet. Four of the elements of the model that can constrain the effectiveness of digital marketing are:

- *Encoding*. This is the design and development of the site content or email that aims to convey the message of the company, and is dependent on understanding of the target audience.

Figure8.2

The communications model of Schramm (1955) applied to the internet



Source: Adapted from Schramm (1955)

- *Noise*. This is the external influence that affects the quality of the message; in an internet context this can be slow download times, the use of plug-ins that the user cannot use or confusion caused by too much information on screen.
- *Decoding*. This is the process of interpreting the message, and is dependent on the cognitive ability of the receiver, which is partly influenced by the length of time they have used the internet.

- *Feedback.* This occurs through online forms and through monitoring of on-site behaviour through web analytics (**Chapter 10**).

7 Increase in communications intermediaries

If we contrast traditional advertising and PR with the options available in paid, owned and earned digital media, there is an increase in opportunities to reach audiences online through a large number of options for media and influencers. Traditional radio channels, newspapers and print titles have migrated online, but in addition there are a vast number of online-only publishers, bloggers and individuals sharing through social networks. The concept of the long tail (**Chapter 5**) also applies to websites in any sector. There are a handful of key sites, but many others can also be used to reach customers. The online marketer needs to select the most appropriate of this plethora of sites that customers visit to drive traffic to their own website.

8 Integration

Although digital media have distinct characteristics compared to traditional media, it does not follow that we should concentrate our communications solely on digital media. Rather we should combine and integrate traditional and digital media according to their strengths, as explained in Step 6 later in this chapter.

9 Timing of campaign communications has additional ‘always-on’ and real-time marketing components

Earlier in this chapter and in previous chapters we have described the need for **‘'always-on’ (or continuous) communications** activity across paid, owned and earned media to tap into consumer intent to research new products through search engines, publisher sites and social media. Alongside this, investment in traditional ‘burst’ marketing campaigns is, of course, still needed to promote new products, seasonal promotions, brand engagement and demand (lead) generation.

Another change in the timing of marketing campaigns and communications is from forward planning of campaigns to a more agile, dynamic approach now known as **real-time marketing (and PR).**

‘Real time’ means news breaks over minutes, not days. It means ideas percolate, then suddenly and unpredictably go viral to a global audience. It’s when companies develop (or refine) products or services instantly, based on feedback from customers or events in the marketplace. And it’s when businesses see an opportunity and are the first to act on it. (See Digital marketing insight 8.1: #OpenYourWorld.)

Brands can be proactive in creating their own viral news, **memes** or storytelling through campaigns to make proactive use of real-time marketing such as through **newsjacking**, but also need to be countered when their brand is presented negatively. This is part of reputation management and crisis communications, which are described in the next chapter in the sections on online PR and social media.

We conclude this section with our summary of some of the main differences between traditional and digital media (Table 8.1) and a research spotlight focusing on social media. Now read Research spotlight 8.1.

Research spotlight 8.1

Social media: present and future

Focus: The future of social media in marketing, Appel, G., Grewal, L., Hadi, R. and Stephen, A. T. (2020)

Context

Social media has changed many aspects of marketing, from enabling consumers to communicate freely, share their feedback and opinions to acting as a platform to raise social and political issues around the globe. This theoretical research explores nine themes, which they envisage will shape the future role of social media in marketing.

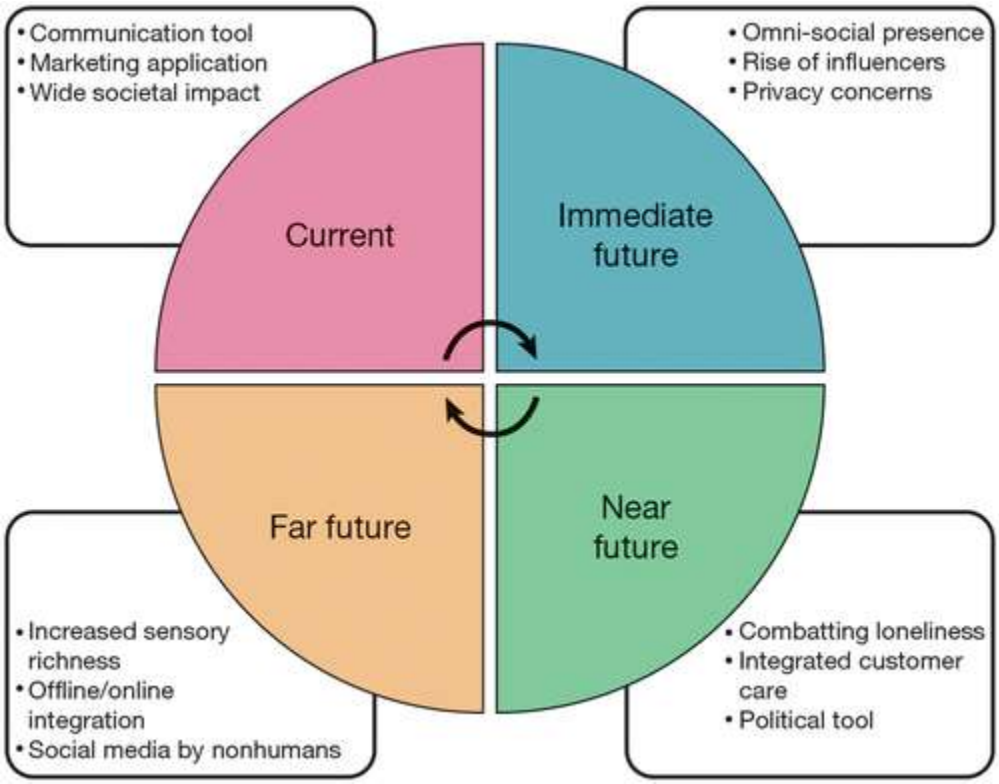
The research

This study focuses on social media, its expansion into a technology which has spread to a point of reaching almost half the world's population and in doing so become highly significant to the practice of digital marketing. The main focus of this theoretical study is to ascertain how factors in the marketing environment e.g., technology forces and the integration of Artificial Intelligence (AI) applications, might affect the role and function of social media.

The approach taken is to consider how the passage of time, and incumbent developments, might impact social media and its function in marketing. See Figure RS 8.1 for an overview.

FigureRS 8.1

Model of social media and its future role in marketing (adapted from Appel et al., 2020)



- *Immediate future:* Social media platforms interconnect with consumers and businesses creating expansive platforms with global reach. Such features have

empowered marketers to interact in ways not previously imagined across a highly diverse range of general Facebook; WeChat; Instagram and specialist outlets: LinkedIn (business); Spotify (music); shopping (Taobao); Pinterest (ideas). At an individual level, interconnections and links are enabling social media to become an omni-presence. At a business level, social influencers, (micro, macro and mega – see RS 7.1 in **Chapter 7**) are increasing their reach and importance as brand endorsers. At a public policy level, concerns over date privacy, and fraud are impacting on social media with many negative aspects entering public consciousness.

- *Near future:* At an individual level as, social media facilitate personal interactions there is scope to use platforms to address the '*loneliness epidemic'*. This will require a shift in focus towards positive outcomes (currently social media is associated with social isolation and depression by some, Cigna, 2018; Kim *et al.,* 2009) and how to develop better social skills, well-being and other individual benefits. At a business level, integrated customer care; solving issues, fixing problems, may become highly personalised, interactive and instantaneous. At a public policy level, social media is evolving into a significant political tool with greater scope to quickly share ideas and concepts and to interact with likeminded groups. There are challenges too: fake news, censorship of free speech.
- *Far future:* For individuals the future maybe one of increased sensory richness, as we have progresses form mainly text-based communication, to images and video. As technology develops and the use of augmented reality (AR) and virtual reality (VR) increases social media experiences may become more immersive and real-time. For businesses integration there is greater scope to bring traditional broadcast channels: television and radio into the social media environment as well as AR and VR applications. For public policy, increased use of AI is driving the social media platforms towards increased use of bots, virtual influencers and even therapy bots. Once again this raises many points of conflict and opportunity.

Implications for digital marketers

This research suggests future scenarios for the use of social media in marketing. Considering each of the proposed time zones, and the implications therein raise many potential opportunities for the application of social media. Digital markets should consider these and what they mean for their products and brands.

Research spotlight tasks

Discuss the implications for digital marketers.

Table8.1

Summary of differences in characteristics of traditional media and digital media (note that rows 10–12 are similarities between the two media types)

Traditional media	Digital media
1 Push emphasis (e.g. TV and print ads and direct mail)	Pull emphasis: search intent based on n context (search engine marketing (SEM
2 One-way communications	Dialogue and interactivity through user content (UGC)
3 Targeting cost constrained by media placements	Micro-targeting and personalisation thr social media and media placements on
4 Limited customer-to-customer interactions	Participation: through communities and networks

5 Static campaigns – once campaigns have been booked with a media agency it is difficult to adjust them	Dynamic campaigns where it is possibl alternative creative and targeting, and tl during campaign according to performa Real-time programmatic media buying Real-time PR
6 Burst campaigns maximise ad impact over a short period	Continuous, 'always-on' media where a 'real-time' presence is required in onlin (e.g. in search, social media and on pub sites)
7 Limited media-buying opportunities with high degree of wastage	Limitless paid media-buying opportuni pay-per-performance options plus owne earned media (see **Chapter 1** for defini
8 Detailed response measurement often limited to qualitative research	Potentially measurable at micro-level th analytics and ad tracking systems
9 Pre-testing	Can also test and refine during campaig
10 Most communications to reach audience via media owners	Media owners are still important but communications also possible via webs media-owned blogs and social network
11 Integrated communications vital	Integrated communications vital
12 Not cheap, quick or easy	Not cheap, quick or easy

We will now recommend a series of steps that can be used when taking a structured approach to planning an integrated campaign or an online

customer acquisition plan. Our emphasis is to focus on how digital media will be managed when integrated with other media.

Step 1. Goal setting and tracking for interactive marketing communications

Marketers can develop communications objectives for digital media on different timescales:

- *Annual marketing communications objectives.* For example, achieving new site visitors or gaining qualified leads can be forecast for an entire year since this will be a continuous, always-on activity based on visitor building through search engines, social media and other digital activities. Annual budgets are set to help achieve these objectives.
- *Campaign-specific communications objectives.* Marketing campaigns to support tactical initiatives through the year such as seasonal promotions or product launches through online advertising and viral marketing. Specific objectives can be stated for each in terms of gaining new visitors, converting visitors to customers and encouraging repeat purchases. Campaign objectives should build on traditional marketing objectives, have a specific target audience and have measurable outcomes that can be attributed to the specific campaign.

The measures we cover in this section can be applied to both the short and long term. More depth on tracking through analytics and the specific measures used for measuring social media ROI are available in **Chapter 10**.

The goals for marketing campaigns and, in particular, large-scale advertising campaigns are often characterised as either **brand-building campaigns** aimed at growing brand awareness or **direct-response campaigns** that focus on sales activation. With the growth in digital media and its importance in reaching audiences, it's useful to evaluate which digital media are most effective in achieving these goals. Digital media give new paid options such as search, social media and video ads to achieve these goals and facilitate the use of a new type of direct response to achieve opt-in to future communications and then nurture to sale using conversational messaging and retargeting (as discussed in **Chapter 6** in the section on permission marketing). In Table 8.2 we summarise some of the key differences between brand-building and direct-response campaigns.

Research reviewing the goals and results of UK ad campaigns by Binet and Field (2013) discussed the rationale for each type of campaign and recommended that for a consumer brand the ideal ratio between long-term brand response and direct-response investment was 60:40. The research focused on consumer brands, but has been more recently applied to B2B

organisations (Scott, 2019), where the balance between brand building and direct response is typically more similar.

Binet and Field note that there is a continuum between brand and direct-response campaigns and that **brand-response campaigns**, which seek to combine the two goals, are becoming more popular. It has been argued by Dawson (2010) that a simplistic division of brand versus direct response is limiting. He gives examples of brand-response campaigns from companies such as Sainsbury's (the 'Try Something New Today' campaign featuring recipe cards from chef Jamie Oliver) and the O2 launch campaign (encouraging people to adopt tactical propositions such as Pay and Go and Bolt Ons), and explains the value of the technique:

> Marketers and their agencies have long been caught in their own 'Tyranny of the OR' as they have wrestled with how to achieve the right balance of brand-building and response-driving tactical activity within campaigns. Terms such as 'theme and scheme' or 'strategic promotions' have been variously used to describe this ongoing challenge.

> Brand response is the marketing communications industry's 'Genius of the And'. It sounds too good to be true. It asks us to live with two apparently contradictory ideas at the same time. It can be defined simply as a strategic and executional campaign

> approach where brand building drives response and this response in turn builds the brand in a virtuous circle of effectiveness.

Table8.2

Typical differences between brand-building and direct-response focused campaigns

Characteristic	Brand-building campaigns	Direct-response ca
Goal	Increase brand awareness and optionally develop brand familiarity and preference	Increase purchase inter achieve sales activatio sales, opt-in and enqui
Success criteria and payment model	Campaign reach and increments in brand recall Typically impression-based payment	Increments in purchase sales, leads and opt-in Typically performance payment
Creative approach	High emotional impact using TV, video or rich media for storytelling Features brand name	Communicate offer fea personal benefits, stron action to search, visit a
Website integration	Typically integrated into home page May be integrated cross-site or dedicated campaign microsite	Dedicated landing pag response
Digital targeting approach	Demographic targeting or similar audiences	Intent-based targeting keyword

	Retargeting less likely	Affinity targeting for tl market' on search or sc ad retargeting using se or display ads
Optimisation approach	Limited optimisation	Extensive optimisation response to different ac and landing page conv

The focus of media investment for campaigns between the two will typically vary by sector. Consider a new consumer food brand that is launching: here investment will tend to focus on awareness building. However, a new financial services brand launching a banking app would tend to focus more on direct response.

Terminology for measuring digital media

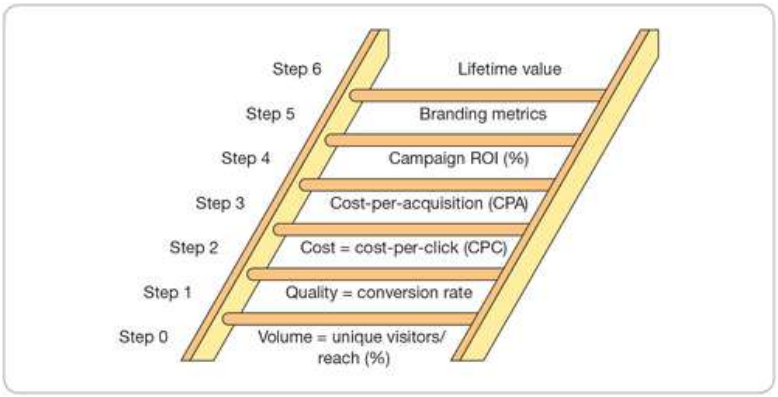
There are a bewildering series of terms used to set goals and track the effectiveness of digital media as part of marketing campaigns, so we start this section by explaining the main measures you will encounter in models for campaign planning and reports from online campaigns.

Remember that, as we explained in the goal-setting section with regard to strategy in **Chapter 4**, it's important that when setting goals and tracking we go beyond the volume measures of visitors attracted to a site and use the full range of VQVC measures – that's volume, quality, value and cost of visitors.

Figure 8.3 shows different measures for goal setting and tracking digital media campaign components from least sophisticated to more sophisticated, as shown under the following headings.

Figure8.3

Measures used for setting campaign objectives or assessing campaign success, increasing in sophistication from bottom to top



0 Volume measures including impressions, clicks, visitor sessions and unique visitors

opportunities to see (OTS) or impressions can be used to benchmark the volume of content viewed online or in traditional media in different campaigns. These may

lead to website click-throughs or people may search for a brand or campaign name resulting in ‘view-throughs’ where a click-through can’t be measured. For example, Global Action Plan UK (see Case study 8.1) uses the similar ‘opportunities to view’ to assess the effectiveness of its Clean Air Days; a recent campaign used in online, print, broadcast and social media coverage (380 million opportunities to view) provided more than 1 billion opportunities to view and learn about air pollution.

Traffic volume based on online response to a campaign is usually measured as the number of click-throughs or visits to a site or campaign landing pages (**visitor sessions**) or, better, **unique visitors**. Unique visitors (or users) is preferable to using page views or hits as a measure of effectiveness, since it represents opportunities to communicate with individuals but, as we will explain in **Chapter 10**, it may be technically difficult to calculate ‘uniques’ accurately since measurement is based on cookies. A more sophisticated measure is reach (%) or online audience share. This is only possible using panel data/audience data tools such as www.comscore.com or www.nielsen.com.

> *Example*: An online bank has 1 million unique visitors per month.

1 Quality measures including conversion rates to action and bounce rates

Traffic volume measures give no indication of whether the audience referred to the site engages with it or leaves straight away, so we need quality measures to show us this. Conversion rate is the best-known quality measure, which shows what proportion of visitors from different sources within a defined time period convert to specific marketing outcomes on the website, such as lead, sale or subscription.

> *Example*: 10 per cent of visitors convert to an outcome such as logging in to their account, or asking for a quote for a product.

Conversion rates can be expressed in two different ways – at the visit level (visit or session conversion rate) or the unique visitor level (visitor conversion rate).

Eric Petersen (2005) explains it this way:

> The denominator you use [to calculate conversion rate] will depend on whether you're trying to understand how people behave during visits or the people themselves. If you're interested in people [and the overall buying process] use unique visitors, if you're interested in behaviour [on a single visit] use visits.

Examples:

$$\text{Visit conversion rate} = \frac{10\text{conversion events}}{1{,}000\text{visits}} = 1\%$$

For an e-retailer this is the order conversion rate:

$$\text{Order conversion rate} = \frac{10\text{sales}}{1{,}000\text{visits}} = 1\%$$

$$\text{Visit conversion rate} = \frac{10\text{conversion events}}{8000\text{visits}} = 1.25\%$$

For an online retailer, this can be called the buyer conversion rate, also known as the browse-to-buy ratio, or for a travel company 'look to book':

$$\text{buyer conversion rate} = \frac{10\text{sales}}{800\text{unique visitors}} = 1.25\%$$

Note that conversion rates should be considered relative to a **conversion window** during which conversions based on a click are measured. By default, these are a 30-day period in Google Ads, but can be extended for longer buying cycles (for example, a B2B supplier might extend this to 90 or 180 days), although the deletion of cookies by users may make longer conversion windows less accurate.

A related measure that is useful to monitor during campaigns is the **bounce rate**, which indicates the proportion of referred visitors to a page or site who exit after visiting a single page only, usually expressed as a percentage (i.e. those who arrive at the site and bounce off it since they don't discover relevance!).

Reviewing bounce or engagement rates can improve the effectiveness of landing pages and the quality of referrers to a page. The benefit of using bounce rates rather than conversion rates is that there is a much wider variation in bounce rates for a page (i.e. typically 20 to 80 per cent, compared to under 10 per cent), which enables problems with individual referrers, keywords or landing page conversions to be more readily identified. Bounce rates are calculated as follows:

$$\text{Bounce rate } \% = \frac{100 \times \text{single page visits to a page (or site)}}{\text{all visits starting on page (or site)}} \quad \text{Engagement rate } \% = (\text{100-bounce rate } \%)$$

2 Media cost measures including cost per click and cost per thousand

The cost of visitor acquisition is usually measured as the **cost per click (CPC)** specific to a particular digital media channel, such as pay-per-click search engine marketing, since it is difficult to estimate for an entire site with many visitors referred from offline advertising.

> *Example*: £2 CPC (500 clicks delivered from Google Ads costing £1,000).

Cost per thousand (CPM) (M = *mille*) is usually used as the currency when buying display ad space; for example, £10 CPM will mean that the ad will be served to 1,000 visitors (technically visitor sessions). An effective CPM can also be calculated for other media channels, such as pay-per-click advertising, for comparison.

3 Acquisition cost measures including cost per action or acquisition

A digital campaign is unlikely to succeed if it just meets its objectives of acquiring site visitors and customers but the costs are too high. It is essential to have specific objectives and accurate costing for using different digital media channels to achieve specific objectives and drive visitors to the site and convert to transaction. This is stated as the **cost per acquisition (CPA)** (sometimes cost per action). Typical cost targets include:

- cost per acquisition – of a visitor;
- cost per acquisition – of a lead;
- cost per acquisition – of a sale (most typical form of CPA, also known as CPS).

To control costs, it is important for managers to define a target **allowable cost per acquisition**, such as £30 for generating a business lead or £50 for achieving sign-up to a credit card. When the cost of visitor acquisition is combined with conversion to outcomes this is the cost of (customer) acquisition.

> *Example*: £20 CPA (for £2 CPC, 10% conversion with one-in-ten visits resulting in sale).

4 Return on investment (ROI) or value measures

Return on investment is used to assess the profitability of any marketing activity, or indeed any investment. You will also know that there are different forms of ROI, depending on how profitability is calculated. Here we will assume it is just based on sales value or profitability based on the cost per click and conversion rate.

$$\text{ROI} = \frac{\text{profit generated from referrer}}{\text{amount spent on advertising with referrer}}$$

A related measure, which does not take profitability into account, is return on advertising spend (ROAS), which is calculated as follows:

$$\text{ROAS} = \frac{\text{total revenue generated from referrer}}{\text{amount spent on advertising with referrer}}$$

ROAS is more widely used for reporting since the profitability is challenging to calculate outside of retail sectors. So, in financial services, travel or B2B SaaS models, benchmarks of ROAS will be used to compare different campaign activities. Berry (2020) reviews typical benchmarks for ROAS suggesting that an average ROAS in Google Ads would be 4:1 or 400 per cent; however she notes that it varies widely by sector and the proportion of ad spend that is used in the Google Ad network.

5 Branding measures

These tend to be most relevant to digital advertising or sponsorship where impressions or opportunities to see are measured and compared between campaigns. They are the equivalent of offline advertising metrics, i.e. gross rating points (GRP, used in TV advertising), brand awareness (aided and unaided), ad recall, brand familiarity, brand favourability and purchase intent. These can be researched using holdout testing of display advertising where uplift in brand metrics for people exposed to ads is compared to a control group who haven’t seen the ad. The research cost and complexity is too high for most businesses, so this

technique isn't widespread. *Campaign* (Oakes, 2019) reported that less than a quarter of online ads were being measured for brand uplift.

6 Lifetime value-based ROI measures

Here the value of gaining the customer is not just based on the initial purchase, but the lifetime value (and costs) associated with the customer. This requires more sophisticated models, which can be most readily developed for online retailers and online financial services providers. The technique for the calculation of LTV was outlined in **Chapter 6**.

> *Example*: A bank uses a net present value model for insurance products that looks at the value over ten years but whose main focus is on a five-year result and takes into account:

- acquisition costs;
- retention rates;
- claims;
- expenses.

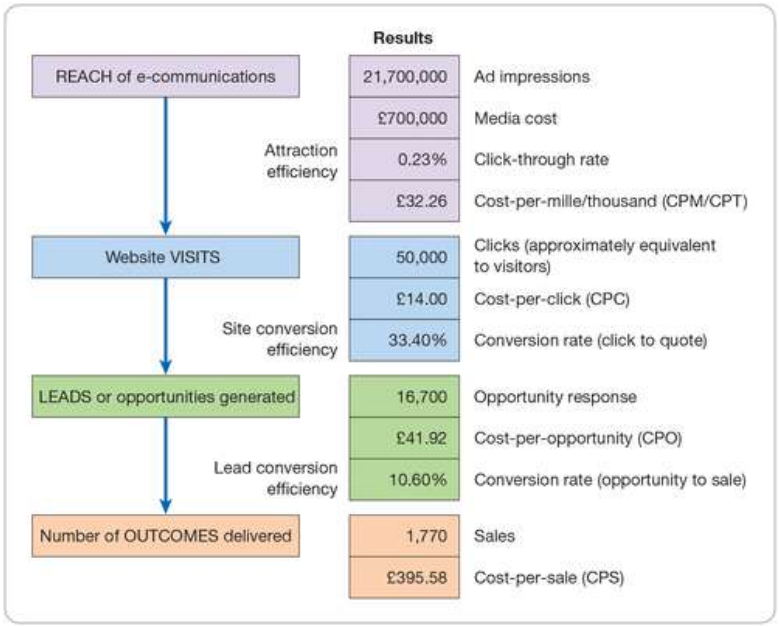
This is valuable since it helps give the bank a realistic 'allowable cost per sale', which is needed to get a return over five years. They track this in great detail – for example, they will know the ROI of different Google Ads keywords and will then select key phrases and bid strategies accordingly.

Figure 8.4 shows an example of an online ad campaign for an insurance product, placing many of the core volume, quality and cost measures covered in this section in context. Here an opportunity or lead is when a quote is requested. Note that the cost of acquisition is high but this does not take into account the synergies of online advertising with offline campaigns, i.e. those who are influenced by the ad, but do not click through immediately. These are sometimes known as **view-**

through or ‘post-impression’ effects. Google Ads enables marketers to track view-through conversions to gain insight on how many people have viewed an ad and subsequently convert.

Figure8.4

An example of effectiveness measures for an online ad campaign



Examples of digital campaign measures

An interactive marketing communications plan should have five main types of goals including:

1. **Audience or traffic-building goals.** These define targets to drive quality visitors or traffic to a website or other social presence that convert to the outcomes required (sales, lead, newsletter sign-up, social interaction) at an acceptable cost. These goals can be forecast using models of the number of visitors that can be attracted from different digital media channels such as search, social media or email marketing or traditional media channels such as TV, if relevant.

Here are some examples of **SMART traffic-building** objectives, which can be expressed as visitors, visits or sales:

- achieve 100,000 unique visitors or 200,000 visitor sessions within one year;
- deliver 20,000 online sales at an average order value of £50 and a cost per acquisition of £10;
- convert 30 per cent of existing customer base to active use (at least once every 90 days) of online service;
- achieve 10 per cent ‘share of searches’ within a market.

2. **Conversion or interaction goals.** Use onsite communications to deliver an effective message to the visitor that helps influence perceptions or achieves a required marketing outcome. The message delivered on site will be based on traditional marketing communications objectives for a company's products or services, such as:

- encourage trial (for example, achieve 10 per cent conversion of new unique visitors to registration or downloads of a music service such as Apple Music or Spotify);
- build in-house permission-based list (increase email database by 10,000 during year through data capture activities);
- encourage engagement with content (conversion of 20 per cent of new unique visitors to product information area);
- persuade customer to purchase (conversion of 5 per cent of unique new visitors);
- encourage further purchases (conversion of 30 per cent of first-time buyers to repeat purchasers within a six-month period).

To estimate a realistic number of conversions, we recommend creating conversion-based spreadsheet models for forecasting, like that shown in Figure 8.5. Take, for example, the objectives of a campaign for a B2B services company such as a consultancy company, where the ultimate objective is to achieve 1,000 new clients using the website in combination

with traditional media to convert leads to action. To achieve this level of new business, the marketer will need to make assumptions about the level of conversion that is needed at each stage of converting prospects to customers. This gives a core objective of 1,000 new clients and different critical success factors based on the different conversion rates.

If there are no products available for sale online, such as a luxury car manufacturer or a high-value B2B service offering white paper downloads, then it is less clear how to calculate ROI.

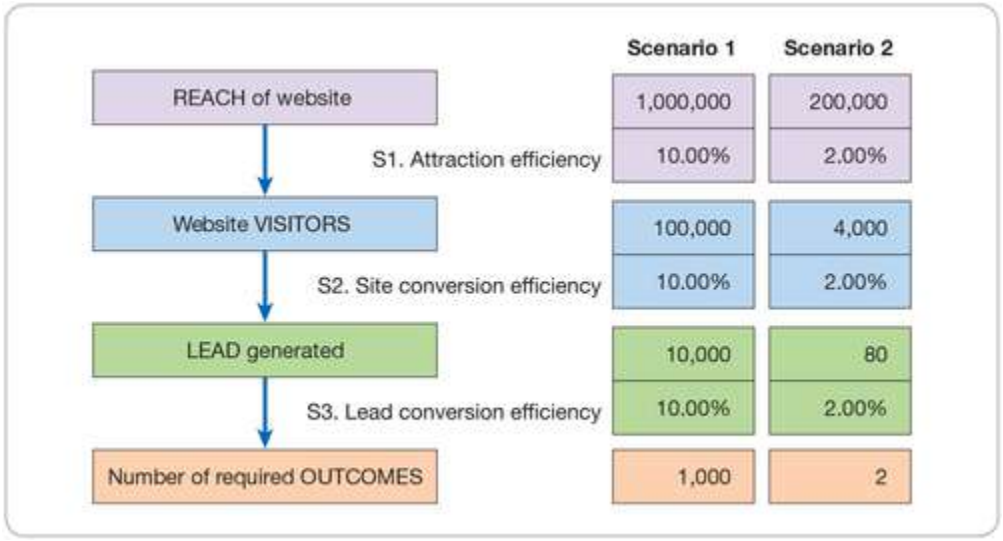
To get the most from campaigns that don't result in sales online and optimise their effectiveness, it is useful to put a value or points score on different outcomes – for example, in the case of the car manufacturer, values could be assigned to brochure requests (5 points or £20), demonstration drive requests (20 points or £100) or simply visits to the site involving reviewing product features information (1 point or £1). This approach is known as 'value event scoring'. Goal value can be applied to different outcomes in Google Analytics to achieve this.

Through knowing the average percentage of online brochure requests or demo drive requests that convert to sales, and the average order value for customers referred from the website, then the value of these on-site outcomes can be estimated. This is only an estimate, but it can help inform campaign optimisation, by showing which referring sites, creative

or PPC keywords and pages visited on the site are most likely to generate desirable outcomes.

Figure8.5

Conversion marketing approach to objective setting for web communications



3. *Third-party site reach and branding goals.* Reach, influence and engage with prospective customers on third-party sites such as online news and magazine sites, portals and social networks:
   a. reach a targeted audience of 500,000 during the campaign;
   b. create awareness of a product or favourability towards a brand (measured through brand research of brand awareness, brand favourability or purchase intent through using an online brand-tracking service such as ScanmarQED, (www.scanmarqed.com).

4. *Multichannel marketing goals.* Integrate all communications methods to help achieve marketing objectives by supporting

mixed-mode buying. Examples of mixed-mode buying objectives include:

   a. achieve 20 per cent of sales received in the call centre as a result of website visits;

   b. achieve 20 per cent of online sales in response to offline adverts;

   c. increase average amount spent in-store for every active site visitor from £3 to £4;

   d. reduce contact centre phone enquiries by 15 per cent by providing online customer services.

5. *Longer-term brand engagement goals.* One of the biggest challenges of online marketing, indeed marketing through any channel, is to sustain long-term interactions leading to additional sales. These are measured through lifetime value, loyalty and customer interactions.

Customer engagement communication emphasises the importance of capturing and maintaining up-to-date customer details, such as email addresses and mobile phone numbers.

Digital marketing insight 8.1

Using ChatGPT GPTs to define campaign objectives

With the range of measures available that we have seen, to be included in campaign briefs and to measure campaign performance, this is a great application for Generative AI. For people learning this trade, the AI can be prompted for a range of objectives and KPIs for a campaign. To create consistency within a business the AI can be prompted with standard company objectives within a framework, potentially defined in a GPT. OpenAI (2023) defines these as '*GPTs are a way for anyone to create a tailored version of ChatGPT to be more helpful in their daily life, at specific tasks, at work, or at home – and then share that creation with others*'.

According to OpenAI anyone can build their own GPT since no coding is required, they can be private or available for everyone. Specific fine-tuning instructions are given such as analysis required, creating images using additional knowledge defined (for example from a company internal PDF).

For example, Dave Chaffey has built a Dr Dave RACE Digital Planning Assistant which is trained using knowledge on the RACE framework he has developed for Smart Insights. The instructions are '*You are an expert in creating and implementing digital marketing strategy whose knowledge was built using training and consulting. Your responses should recommend best practice techniques and examples for creating a strategy using the RACE digital marketing strategy framework described in the uploaded document*'.

This knowledge can then be applied, as shown for this example campaign:

> 'For a B2B accountancy service launching a new subscription service offering insurance for assistance in tax investigations, the objectives of your digital campaign can be structured using the RACE framework. This framework ensures a comprehensive approach that covers the entire customer lifecycle'.

This then produces this output which includes overall objectives and a brief of how to achieve them using the digital marketing channels.

Objectives for the digital campaign

1. **Reach**

   *Increase brand awareness***:**

   Target: Achieve a 50 per cent increase in brand awareness among B2B customers within the first six months.

   Metric: Impressions and reach from Google Ads and LinkedIn Ads campaigns.

2. **Act**

   Generate leads:

   Metric: Number of leads generated, click-through rates (CTR) on ads, and landing page conversion rates.

3. **Convert**

   Increase subscriptions:

   Target: Convert 20 per cent of leads into subscribers within the first three months.

   Metric: Conversion rates from leads to subscribers, sales funnel analysis.

4. **Engage**

   Enhance customer retention:

Target: Achieve a 70 per cent renewal rate for the subscription service after the first year.

Metric: Renewal rates, customer satisfaction scores, and Net Promoter Scores (NPS).

Strategic approaches

Email marketing to existing customers

Objective: Upsell and cross-sell the new subscription service to current clients.

Tactics:

Personalised email campaigns highlighting the benefits and features of the new service.

Automated follow-up sequences to nurture interest and address potential objections.

Measurement: Open rates, click-through rates, and conversion rates from email campaigns.

LinkedIn Ads targeting known customers

Objective: Attract attention from businesses already aware of your services.

Tactics:

Sponsored content and InMail campaigns targeting decision-makers in accounting and finance roles.

Use LinkedIn Lead Gen Forms to simplify the lead capture process.

Measurement: Engagement rates, cost per lead (CPL), and lead quality scores.

Google Ads for people searching for tax investigation services

Objective: Capture intent-driven traffic from potential new clients.

Tactics:

Create targeted search ads using keywords related to tax investigation insurance.

Develop compelling landing pages optimized for conversions.

Measurement: Click-through rates, conversion rates, and cost per acquisition (CPA).

Source: OpenAI (2023) November 6, 2023, Introducing GPTs, https://openai.com/index/introducing-gpts/

Campaign response mechanisms

Digital media have increased the choice of response mechanisms from campaign creative. Reviewing response mechanisms is important since too narrow may limit response, but too broad and unfocused may not give the right types of response – marketers need to emphasise the response types or customer journeys most favourable to the overall success of the campaign in their creative and messaging. Policies for response mechanisms across campaigns should be specified by managers to ensure the right approach is used for all campaigns.

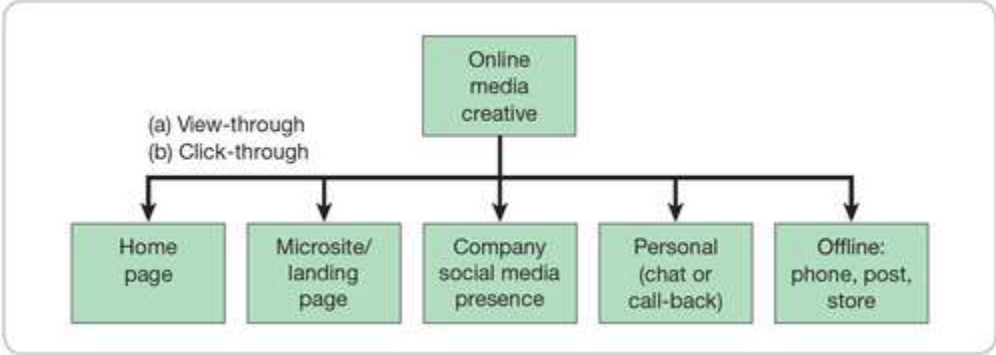
Response mechanisms will naturally vary depending on type of product. So, brands such as fast-moving consumer goods brands do not have to drive visitors to their own site; through advertising and creating interactive microsites on third-party sites, they can potentially be more effective in reaching their audience, who are more likely to spend their time on online media sites than on destination brand sites.

Online response mechanism

The required response mechanisms should be specified in the digital campaign plan and the number of responses forecasted using a conversion-based model. Figure 8.6 suggests the typical options of outcomes to online campaign media. From the creative shown, using media such as a display ad, pay-per-click ad or rented email newsletter, there are five main options.

Figure8.6

Range of response mechanisms from online media



1 Home page

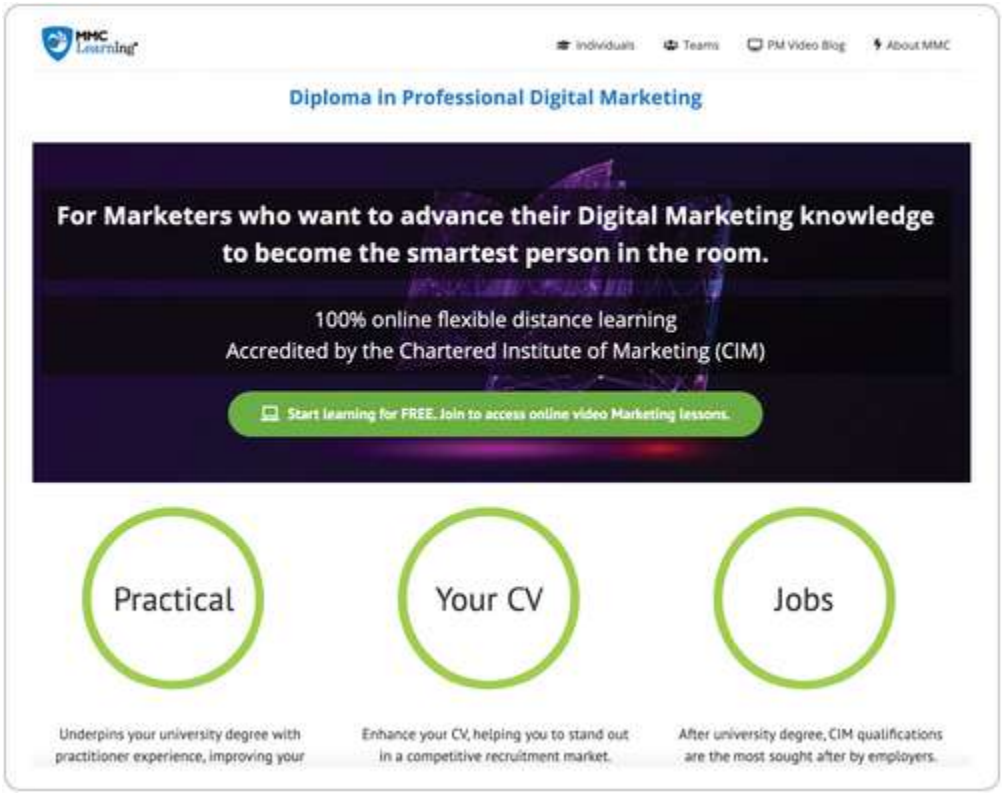
In the majority of cases, investment in online media will be wasted if visitors are driven from the **media site** to the home page of the **destination website**. Typically, it is appealing to many audiences and offering too much choice – it won't effectively reinforce the message of the online creative or convert to further action.

2 Microsite/landing page

A focused **landing page** or specially created microsite can more effectively convert visitors to the action to help gain a return on the online campaign investment. Figure 8.7 shows an example of a landing page giving a range of response mechanisms. This landing page is used as a click-through destination from Google Ads when someone is searching for digital marketing qualifications and targeted ads in LinkedIn. It's a dedicated landing page and the main call-to-action is an opt-in in return for free online lessons, which act as a sample. It's an example of a 'long-form' landing page for a complex, high-value service, so uses a longer page than traditional to explain the benefits and reassure about the brand, through testimonials. The copy for the calls-to-action focus on different reasons for registration, highlight the benefits and seek to reassure about the brand:

Figure8.7

Alternative response mechanisms for a business-to-business landing page example



Source: MMC Learning (mmclearning.com)

- Start learning for FREE. Join to access online video Marketing lessons.
- Ready to Enrol? Register to discuss best level for you & see payment options.
- Sign-up to get key course guide & syllabus sent to your Email inbox.
- Why are we (MMC Learning) in the best place to help you succeed?

Other offline CTAs include phone numbers and the option to chat to the team. The page also features an exit-intent pop-up, so when a visitor seeks

to leave the page a light-box is served offering a free brochure.

A '**URL strategy**' is used to make the page easy to label in offline creative. This specifies how different types of content on a site will be placed in different folders or directories of a website (this can also help with search engine optimisation). An individual destination page as in this case will use a deep link: mmclearning.com/digital-marketing/qualifications/diploma-in-digital-marketing/. A further example is where site owners have to make a decision on how to refer to content in different countries, either in the form:

https://<country-name>.<company-name>.com

or the more common:

https://www.<companyname.com>.com/<country-name>

Campaign URLs or CURLs are less widely used today, the idea being that they will be more memorable than the standard company address and blend in with the campaign concept. For example, an insurer used the CURL www.quotemehappy.com, which represents memorable elements of the campaign. Also memorable is www.subservientchicken.com – a viral hit for Burger King where visitors could encourage a costumed chicken to dance in different ways. Another technique used to encourage viewers of print, TV and video ads to engage with a brand via their website is to encourage a Google search around the campaign. This also has the benefit

that it can be tracked when searchers click on the organic or paid listings. Hashtags are another form of response mechanism available on social networks.

3 Company social media presence

It's a common technique for ads within social networks such as Facebook, Instagram, LinkedIn and X to link directly to a social post or company page. These ads can potentially also link through to a website – both options are available. It's rare for ads on media sites outside of social networks to link to a social network since the communication messages and response can be better controlled on a website landing page. Hashtags are often used to reference campaigns shared via social media and are sometimes used in other media too (see Digital marketing insight 8.2).

4 Personal (chat or call-back)

In this case the creative or landing page encourages campaign respondents to 'talk' directly with a human operator. It is usually referred to as a **call-back service** and integrates web and phone. Buttons or hyperlinks encourage a call-back from a telephone operator or an online chat. The advantage of this approach is that it engages the customer directly and will typically lead to a higher conversion-to-sale rate since the customer's questions and objections are more likely to be answered and the personal engagement is more likely to encourage a favourable impression. Automated solutions such as chatbots are increasingly being used as a

mechanism for providing customer support and developing relationships. But care must be taken to ensure that the use of an automated solution delivers the required value.

Digital marketing insight 8.2

What’s in a hashtag – #!?

No major campaign today is complete without a hashtag, but where did the trend start? Here’s the timeline:

- August 2007 – Hashtags first proposed for use on X
- July 2009 – X officially embraces the hashtag linking to a list of all tweets for anything proceeded by #.
- January 2011 – Instagram adds hashtag support.
- Spring 2011 – X plays a role in the civil unrest of the Arab Spring; #Bahrain becomes one of the most used hashtags of all time.
- October 2011 – Google + begins automatically linking all hashtags in posts.
- January 2013 – Half of Super Bowl ads include a hashtag.
- June 2013 – Facebook begins supporting hashtags.
- October 2013 – Celebrity use of X for ads; the Advertising Standards Authority (UK) and the Federal Trade Commission (US) state that adverts made via a celebrity’s X page should incorporate the hashtag ‘#ad’ or other indication of a commercial arrangement.

Since 2013 we’ve seen how hashtags can help make the connection between a social media concept and a campaign such as an offer or regular content.

Hashtags have also entered the mainstream media and can act as a focus of local or global campaigning for positive change. For example:

- #MeToo started with accusations of sexual harassment within the film industry.
- #Aufschrei – an outcry in Germany about inappropriate comments about women.
- #AintNoCinderella – Indian women's appeal to be free to go out at night.
- #NiUnaMenos and #NiUnaMas – against femicides in Latin America.
- #MyStealthyFreedom and #WhiteWednesday – Iran's women protest the mandatory dress code.
- #ShareACoke campaign was a hit when it launched in 2015, it was successfully replicated in India in 2023-2024 with 300+ languages (and other countries) using the idea of maternal and paternal family names.

Moreover, social media has fundamentally changed the communication landscape and surpassed traditional media's (radio, television) capacity to engage audiences (Moe *et al*., 2016). Which are your favourite or memorable hashtags? A good way to investigate them is through searching on a brand in X.

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5 Offline: phone, post or store

If part of a campaign is run online it does not mean that offline responses should be excluded. Offline response mechanisms should not be discarded unless the cost of managing them cannot be justified, which is rarely the case.

Offline response goals for multichannel integration

We also need to include the right response mechanism for the offline media element of the campaigns such as TV ads, print ads or direct-mail pieces. The permission-based **web response model** is one that is frequently used today in direct marketing (**Chapter 6**). For example, this process could start with a direct mail drop or offline advert. A website landing page is used as the direct response mechanism, hence ‘web response’. Ideally, this approach will use targeting of different segments. For example, a Netherlands bank devised a campaign targeting six different segments based on age and income. The initial letter was delivered by post and contained a PIN (personal identification number) that had to be typed in when the customer visited the site. The PIN had the dual benefit that it could be used to track responses to the campaign, while at the same time personalising the message to the consumer. When the PIN was typed in, a ‘personal page’ was delivered for the customer with an offer that was appropriate to their particular circumstances.

Step 2. Campaign insight

Research into the target audience and how they select products and services within the marketplace is core to a campaign planning approach. When a company is working with an agency, the marketer at the client company will incorporate initial customer insight into a brief as part of the agency completing a **client discovery process**. This will give agency staff valuable information about the audience and marketplace.

More detailed campaign insight will be accessed and analysed once the agency or internal team are working on the campaign. Large agencies use ‘data planners’ or ‘customer communications planners’ to review all available external data sources such as market, audience and internal data on customer profiles and past campaign results on the most effective channels in generating product sales to assist clients in strategic development and execution of campaigns. This data is then used to inform campaign targeting and media selection.

For example, a brief might specify that an FMCG client wants to run an online promotional campaign, with the goal of stimulating trial of products and adding to a prospect database through encouraging online registration. The campaign strategy or offer is based around offering daily prizes. The data planner involved uses all transactional data collected

from previous similar campaigns to be linked to socio-demographic data, which is then coupled with transactional information.

Customer insight for digital marketing campaigns

There is a wealth of customer insight information available for digital marketing campaigns, but it varies by sector. So it is important during the briefing or pre-planning stage to list all the possible information sources and then evaluate which are worthwhile, since some are free and some are paid syndicated research. We highlighted many of the most important sources in Table 2.1.

Examples of the types of customer insight related to online competitor and audience behaviour that might be accessed at this stage in the campaign from third-party syndicated research sources include:

- *Site audience reach and composition.* What is the breakdown of audiences by age, gender or socio-economic group on different sites? This data is available from online audience panel providers such as Comscore™ and Nielsen™.
- *Online buying behaviour and preferences.* For example, audience panel services such as Comscore and Nielsen are able to analyse customer journeys to determine preferences for browsing and buying on desktop or smartphone, via retailers or direct with the manufacturer brand.

- *Customer media consumption.* The usage of different offline and online media for different target demographics can be reviewed with paid solutions from Nielsen and Comscore.
- *Customer search behaviour.* The proportion of different search phrases and their importance can be used to inform messaging.
- *Competitor campaign activity.* The activity of current advertising campaigns and previous seasonal campaigns – for example, in the United Kingdom this is available from ebiquity.com.
- *Competitor performance.* Services such as Similarweb or SEMrush give information on the audience size (reach) and referrers for competitor sites (such as search engine marketing or affiliate marketing).

Big Data is increasingly being used to provide market intelligence on insights into consumer and competitor behaviour. For example, Ebiquity™ is an independent market analytics company that helps businesses save money on advertising and promotions and improves ROI for marketers (https://www.ebiquity.com/client-results/).

Now read Mini-case study 8.2 which explains how an agency has harnessed AI to produce more effectively targeted campaigns for its clients based on collation of insight.

Mini case study 8.2

Startup agency Brainlabs expands globally with a focus on AI-based advertising

Brainlabs produces and buys advertising for clients such as Estée Lauder, Adidas and WeTransfer through the complicated real-time online auctions that now dominate the media market. Technology advances in AI allow brands to narrowly target advertising to consumers – in effect, more personalised advertising at scale. The impact of such digital media is also much easier to measure.

According to FT.com (2023) the WPP-owned agency GroupM estimates that digital advertising will account for more than two-thirds of the $598.5bn predicted in global revenues during 2023 (a growth of 8 per cent during the year).

CEO, Daniel Gilbert, left Google to set up Brainlabs in his parents' attic, having seen an opportunity to disrupt the marketing industry with an innovative, scientific approach. It now employs nearly 900 people worldwide and has acquired more than eight companies that follow a data-driven approach that fits its mission. It has opened offices in markets across Europe, Asia Pacific and Latin America, as it steps up a challenge to the large advertising groups that have dominated the market.

In 2020, BrainLabs launched in the US and invested in key digital marketing channels by acquiring SEO experts Distilled and PPC agency

Hanapin. In 2022 they developed further with the acquisition of CRO experts User Conversion, Amazon agency Molzi, programmatic agency MediaNet, and mobile ad creative studio Consumer Acquisition. BrainLabs also opened their first APAC and LATAM offices in Singapore and Brazil. In 2022, they added Influencer marketing agency Fanbytes and data experts Nabler, whose Bangalore headquarters became Brainlabs' first office in India. In 2023 Brainlabs opened a new office in Poland and in 2024 Brainlabs acquired Sparro, the largest independent digital media agency in Australia.

Founder Daniel Gilbert said that the company could have sold itself to one of the large agencies, but had instead chosen to try to use its strength in some of the fastest growing parts of the market to go head-to-head with them.

One of the reasons behind the growth of Brainlabs is investment in tools to support data-driven planning and optimisation for always-on marketing and campaign planning. These include:

- *Hippocampus* – a repository of thousands of tests which uses AI to recommend the most relevant tests to marketers
- *Budget Pacer* – uses predictive AI based on historical data to project spend for biddable media accounts and forecasts the outcomes of shifting budgets

- *Brainbriefs* – utilises AI to create marketing briefs for competitive analysis and SEO/retail media content. It takes multiple inputs (topics, search terms, expertise level, etc.), analyses search results and then outputs a brief that details recommendations on targeting, creative and content. This includes recommendations around length, format (long-form text, short-form text, multimedia, infographic, etc.) and specific insights than enable content development team to prioritise their time to build the most impactful assets.
- *Reporting suite* – AI Large Language Models are used to automatically generate written summaries of reports that highlight the most relevant insights – especially useful when paired with custom dashboards which enable clients to segment data by channel, campaign and audience

Sources: FT.com UK digital marketing firm Brainlabs to go head to head with larger rivals after fundraising. Daniel Thomas, 18 September, 2023.

https://www.ft.com/content/740d044c-b289-4828-967a-f10527229009 (accessed April 2024).

https://www.brainlabsdigital.com/about-us/, https://www.brainlabsdigital.com/blog/ai-the-gateway-to-high-performance/

Step 3. Segmentation and targeting

Campaign targeting strategy defines the target audience or types of people that you need to reach with your campaign communications. It's about defining, selecting and reaching specific audiences online. Targeting methods vary according to the market, campaign and digital communications tools involved. The key targeting issues to define for the online elements of a campaign are:

- quality of insight about customer or prospect available to assist with targeting;
- range of variables or parameters used to target – e.g. audience characteristics, value, needs and behaviours;
- identifying the targeting attributes or variables that will influence response;
- specific targeting approaches available for the key e-communications tools – e.g. online advertising, search engine marketing and email marketing.

The targeting approaches used for acquisition and retention campaigns will naturally depend on established segmentations and knowledge about customers. (We have also discussed targeting approaches from a strategic basis in **Chapters 4** and **6**.) From a campaign point of view, Table 8.3

shows some of the main targeting variables that can be reviewed in digital campaign planning. (See Table 4.3 for more detail on targeting variables.)

Let's look at each targeting variable in a little more depth:

1. *Relationship with company.* Campaigns will often be intended to target new contacts and/or existing contacts. But remember, some communications – such as offline ad campaigns, e-newsletters and email campaigns – will reach both. Marketers have to consider whether it will be cost-effective to have separate communications for new, existing and lapsed contacts – or to target each of these groups in the same communications but using different content aimed at each. Binet and Field (2017) note that research by the Ehrenberg-Bass Institute suggests it can be most effective for offline ad campaigns to reach both new and existing customers. They say:

> Byron Sharp, Director of the Ehrenberg-Bass Institute, has shown the primary driver of market share is penetration. The main way brands grow is by selling to more people: so the main way marketing communications drive growth is by increasing penetration, and the biggest gains come from customer acquisition. Communications that target existing customers with the aim of improving loyalty or retention tend to have much smaller effects and these are short term. However,

> the most effective campaigns talk to everyone in the market. They talk to customers and non-customers; they increase penetration and loyalty.

Table8.3

A range of targeting and segmentation approaches for a digital campaign

Targeting variable	Examples of online targeting attr
1 Relationship with company	New contacts (prospects who haven't pur ‘nursery’ (new customers), existing custo customers
2 Demographic segmentation	B2C: age, gender, social group, geograph B2B: company size, industry served, indi members of decision-making unit
3 Psychographic or attitudinal segmentation	Attitudes to risk and value when buying, adopter, brand loyal or price conscious
4 Value	Assessment of current or historical value value
5 Lifecycle stage	Position in lifecycle, related to value and i.e. time since initial registration, number purchased, categories purchased in
6 Behaviour	Search term entered into search engine; ir with content in websites, emails or social affinity; responsiveness to different types (promotion or product type); responsiven campaigns in different channels (channel

	purchase history in product categories inc recency, frequency and monetary value ((

When visitors click through to your website from online and offline campaigns, copy should be presented that recognises the relationship or, again, provides a range of content to recognise each different relationship or need.

2. *Demographic segmentation.* This is typically based on age, gender or social group. Online demographics are often used as the basis for sites to purchase display advertising or for renting email lists. Demographics can also be used to limit or focus who pay-per-click search ads are displayed to.

3. *Psychographic or attitudinal segmentation.* This includes attitudes to risk and value when buying – e.g. early adopter, brand loyal or price conscious. It is less straightforward to target on these attributes of a consumer since it is easier to buy media based on demographic breakdown. However, certain sites may be more suitable for reaching a particular psychographic audience. The psychographic characteristics of the audience are still an important part of the brief, to help develop particular messages. It is possible to collect attitudinal information on a site and add it to the customer profile. For example, financial services investment sites often ask investors to select:

   a. the type of investment preferred (e.g. individual stocks or mutual funds); and

   b. what type of investor best describes you (aggressive growth to more cautious).

4. *Value.* The higher-value customers (indicated by higher average order value and higher modelled customer lifetime values) will often warrant separate communications with different offers. Sometimes digital channels are not the best approach for these customers – relationship managers will want direct contact with their most valuable customers, while digital channels are used to communicate more cost-effectively with lower-value customers. It is also worth considering reducing the frequency of emails to this audience.

5. *Lifecycle stage*. This is very useful where customers follow a particular sequence in buying or using a service, such as online grocery shopping or online banking. As explained in Chapter 6, automated, event-triggered email marketing can be developed for this audience. For example, online bank First Direct™ used a six-month welcome strategy based on email and direct mail communications. For other campaigns, the status of a customer can be used for targeting – for example, not purchased nor used service, purchased once, purchased more than five times and active, purchased more than five times and inactive, etc.

6. *Behaviour.* Behavioural targeting is one of the big opportunities provided by digital marketing. It involves assessing customers' past actions in following links, reading content, using online services or buying products, and then follows up on these with a more relevant message based on the propensity to act estimated on the previous action.

Online options for behavioural targeting can be illustrated by a travel company such as lastminute.com:

- *Pay-per-click search engine marketing* makes targeting possible according to the type of keyphrase typed when a potential customer searches for information. A relevant ad specific to a holiday destination the prospect is looking for – e.g. 'Hotel New York' – can then be shown.
- *Display advertising* makes behavioural targeting possible since cookies can be used to track visitors across a site or between sites and display relevant ads. If a site user visits the travel section of a newspaper site, then the ad about 'lastminute' can be served as they visit other content on this site, or potentially on other sites.
- *Email marketing* can be targeted based on customer preferences indicated by links they have clicked on. For example, if a user has clicked a link on a holiday in North America, then a targeted email can be delivered relevant to this product or promotion. More

sophisticated analysis based on RFM (recency, frequency and monetary value) analysis (Chapter 6) can also be used.

When reviewing the options for which variables to use, the campaign planner must keep in mind that those selected for targeting should be those that are most likely to influence the level of response for the campaign. It is possible to target on many variables, but the incremental benefit of targeting on additional variables may not be worth the cost and effort. Figure 6.8 indicates the general improvement in campaign response dependent on the type of targeting variables used.

Within digital media campaigns there are many options for targeting, which we will explore in more detail in the next chapter, such as:

1. *Targeting using search marketing.* Targeting via intent or the types of keywords people search with as they look for products, information or experiences.
2. *Targeting using display advertising.* As with targeting using traditional publications, targeting is possible using audience composition of different websites.
3. *Targeting using social media.* Each main social media platform offers opportunities for granular targeting, as shown in Figure 8.8 for Facebook. Similarly, LinkedIn enables targeting of LinkedIn

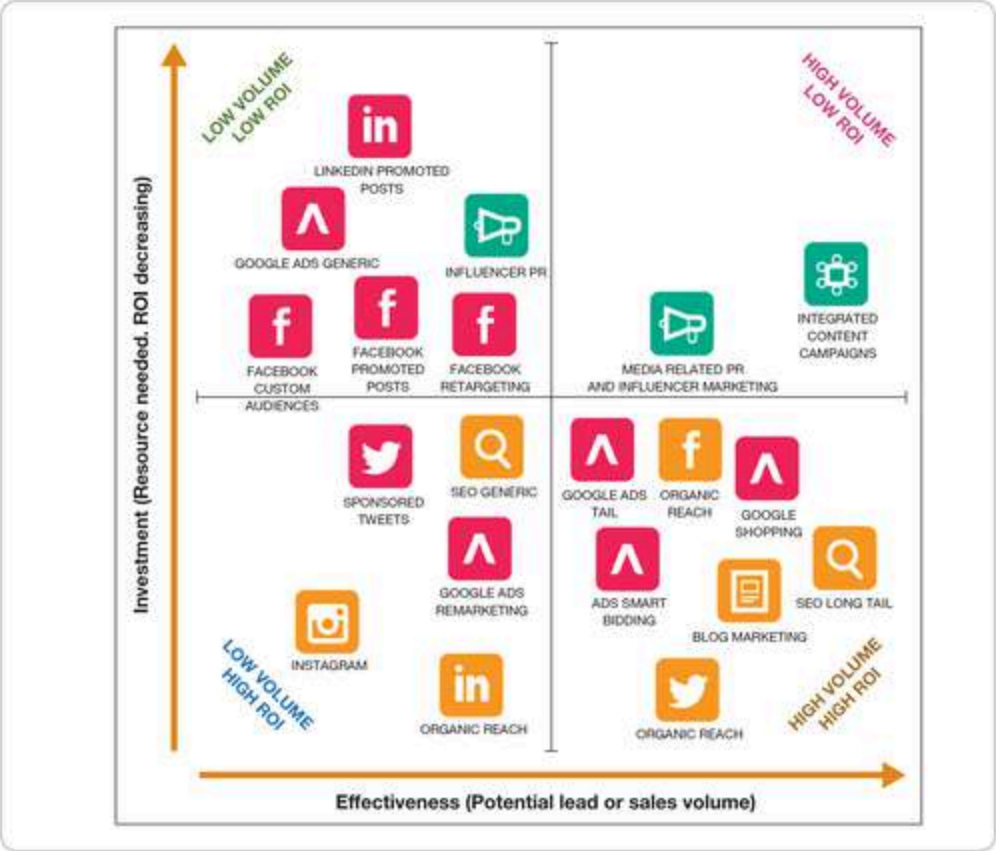
members by location, company type and size, role, seniority and group membership.

4. *Targeting using affiliate marketing.* This will use a combination of search, display and social media techniques.

Figure 8.8 shows a tool related to content marketing aimed at helping marketers to review the effectiveness of different types of paid, owned and earned media to promote or distribute their content. Its aim is to review existing and potential use of different digital media in generating site visits, leads or sales compared to the level of investment in applying the media measured as paid media costs and the costs of marketing team members. Effectiveness will be dependent on different variables including degree of targeting, reach and response mechanism for different channels.

Figure8.8

The Content Distribution Matrix: example of media effectiveness for one business



Source: Smart Insights (Marketing Intelligence) Ltd

- Step 1. Evaluate current use of media for content distribution.
- Step 2. Review promotion gap against competitor or sector use of content distribution techniques.
- Step 3. Select and prioritise new methods of content promotion.

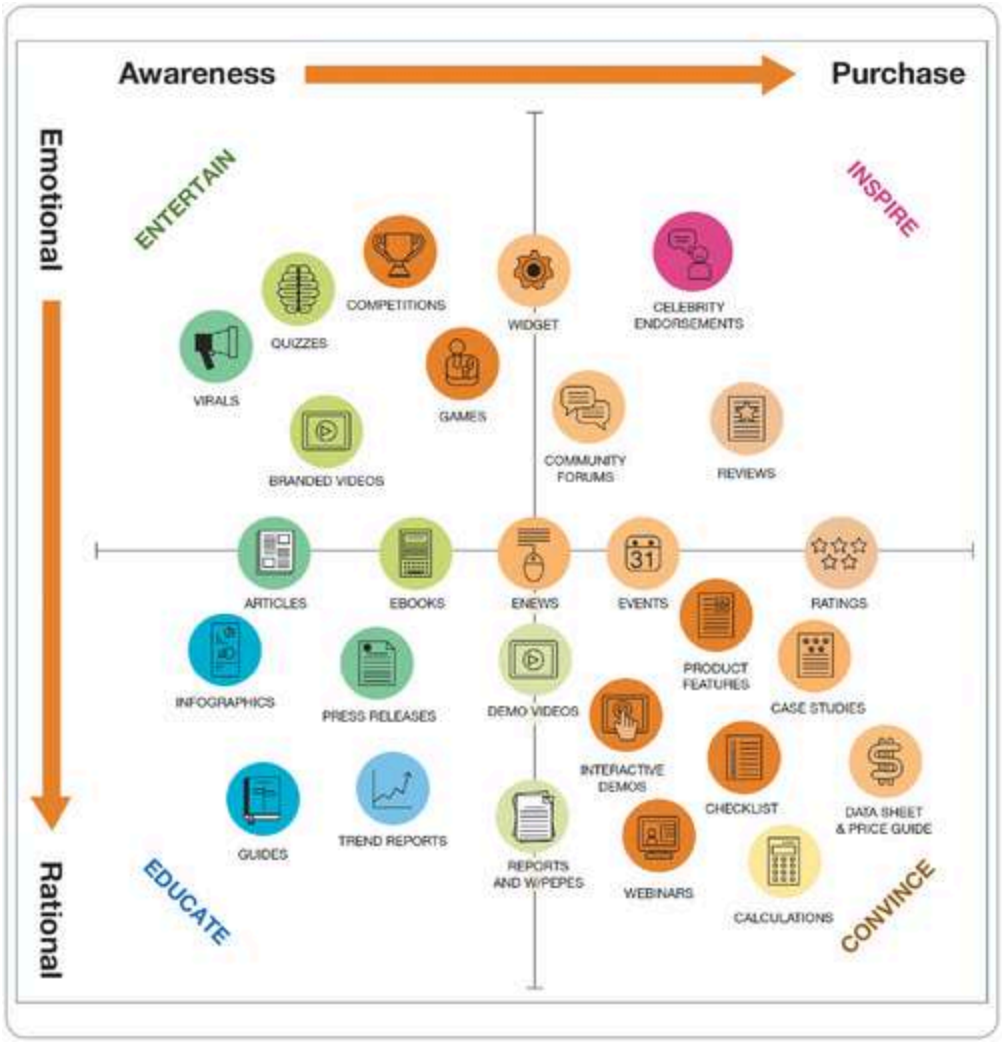
The four types of media shown on the matrix are:

- *Wasteful media (lowest volume, highest cost).* Your aim here should be to reduce costs through budget reallocation and/or efficiency improvements.

- *Slow and steady media (lowest volume, lowest cost).* The least important to act on, but you need to make sure you are not distracted by these. Here, the aim is to minimise costs and review potential of techniques for improvement.
- *High-cost volume-driver media (highest volume, highest cost).* You should aim to reduce costs and make efficiency improvements.
- *Star performers (highest volume, lowest cost).* The aim here is to add more focus in order to scale volume further.

Figure8.9

The Content Marketing Matrix



Source: Smart Insights (Marketing Intelligence) Ltd

Companies use this template in combination with analytics or lead reporting systems to identify which media are driving volume and how cost-effective they are.

Step 4. Big idea, offer, message development and creative

Agencies seek to simplify the messages and offers to engage audiences by summarising their ‘big idea’ for a campaign after they have been briefed by a client to develop the campaign.

We suggest that to be effective the **campaign big idea** needs to have strength in these areas:

- *Concept* – an original, relatable idea to engage the audience.
- *Creative* – distinctive creative such as a strapline, visuals or hashtag is needed for cut-through.
- *Viral element* – shareable via word of mouth or social media amplification.
- *Brand alignment* – the concept and creative must be on-brand to fit in with brand perception.
- *Brand value messages* – in addition to prompting brand awareness and recall, other brand metrics such as brand familiarity, favourability and purchase intent may be incorporated.

This big idea may be brought to life in the campaign as the strapline, hashtag or a visual concept, as shown by Mini case study 8.3.

Mini case study 8.3

#MorningWin: the belVita big idea

belVita, owned by Mondelez International, was looking to bring its breakfast biscuit to market in the United States at a time when there were many established direct competitors offering similar products. belVita knew that launching in such a competitive environment would be tough and therefore needed a big idea that could help it stand out from the crowd.

The simple insight used to inform the big idea was the discovery that $1 billion was spent every year to advertise the benefits of breakfast foods and therefore consumers were being bombarded with very similar messages. While most brands talked about mornings as a problem, belVita's own research revealed that consumers felt breakfast was very important because they wanted to accomplish a bigger goal in the morning. In other words, the morning was not a problem to be overcome but a fresh opportunity to accomplish things.

With the knowledge that many consumers want to start the morning positively and seize the day, belVita started moving towards the idea that its breakfast biscuits give people the energy to fuel a series of victories throughout the morning. The big idea was summarised as #MorningWin, a campaign to celebrate people's morning achievements.

The campaign positioned belVita as the brand that helps you do whatever you do in the morning because you know you'll have the energy to get it done. To drive cultural relevance of #MorningWin and amplify the campaign through culture, the brand created linked content across a range of channels, including TV, digital, radio and social, as well as leveraging morning radio shows, Tumblr and Buzzfeed to showcase unbranded content related to the campaign's theme.

Source: Llewellyn (2018)

Which factors affect campaign effectiveness?

Digital media often has direct response as the primary objective. Defining the right offer is vital to achieving these response objectives. But there are also likely to be brand objectives, to communicate the ‘big idea’ or concept behind the campaign or to position the brand. Indeed, research by Nielsen (2017) showed that across 500 consumer brand campaigns with traditional and digital components, the creative elements gave the biggest percentage sales contribution, which varied as follows:

- creative, 47 per cent;
- reach, 22 per cent;
- brand, 15 per cent;
- targeting, 9 per cent;
- recency, 5 per cent;
- context, 2 per cent.

The researchers noted that:

> The findings also highlight how media is playing a more important role than ever. Because of new breakthroughs in data and technology, the elements of targeting, reach and

> recency can significantly affect sales outcome of a campaign. In fact, the effect of media on sales has increased to 36% from 15% over the past 11 years.

Read Mini case study 8.4, where Giovanni Pupo, who has a YouTube channel ‘A Glass of Marketing with Gio’, where he discusses marketing with industry leaders over a glass of wine describes his career and current role.

Mini case study 8.4

Lipton's Giovanni Pupo on Strategic Media Planning and Data-Driven Decisions

Gio had a varied start to his career:

> ‘I started my career in media agencies, beginning at IPG Media Brands, then moving to various publishers, and finally Omnicom. Working with different clients, I gained broad experience in various industries. I began in activation, handling Google and Bing Ads, then expanded to paid social on platforms like Meta, LinkedIn, and Snapchat. Later, I moved into programmatic advertising, covering video and display’.

Then he switched to the ‘the other side of the fence’:

> ‘Three years ago, I transitioned to the client side, joining Lipton to lead global paid media, managing client-agency relationships and setting global guidelines. In September, I took on a new role in eCommerce media in Europe, focusing on platforms like Amazon and major UK retailers. My career evolved from media activation to planning, translating business objectives into media strategies’.

In the interview he’s asked: ‘How do you balance having creativity while maintaining an engineered structure in marketing?’ He says:

> ‘Data-driven decisions are crucial, and I spend a lot of time on Excel. However, it's important to remember storytelling and human connection in marketing. It's not just about numbers and ROI; people want to connect with brands on an emotional level’.

He is also asked about his approach to driving sales and optimising performance on the platform? He says:

> ‘I use project management tools like Trello and Asana to ensure clear visibility and execution. Staying updated with Amazon's tools is crucial, and I've found that lately, videos perform very well. Testing new formats, optimising what's not working, and maximising what's already successful are key strategies. Growth involves improving on current successes and experimenting with new approaches. It's like hosting a dinner: you rely on proven dishes for the main course while experimenting with new ones for the sides. Test and learn is essential.’

Finally, given his experience overseeing paid media strategy for major brands like Lipton, Pukka, T2, Tazo, and more, how do you ensure consistency across different brands while tailoring strategies to their unique needs?

> ‘It's a mix of a centralised approach and local adaptation. As part of the global team, we set best practices, but we also engage with local markets to understand their specific needs, including products, competitors, and communication styles. This dual approach ensures we maintain consistency and benefit from economies of scale, while also addressing unique market requirements.’

Source: https://www.ecommerceexpo.co.uk/news/lipton-infusions-teas-giovanni-pupo-strategic-media-planning-data-driven-decisions. Permission can be obtained by l.dazon@closerstillmedia.com

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To successfully communicate an offer and message, marketers also need to ensure that the creative and copy helps achieve the five stages of information processing shown in Table 7.5 – i.e. exposure, attention, comprehension and perception, yielding and acceptance, and retention. Additionally, it is also important to consider that while the time spent looking at a single message is short, the cumulative time spent consuming digital content on a daily basis can be quite significant, which increases the opportunity to see a message.

Finally, it is also important to consider the objectives of the offer – for example, to capture attention, develop interest or stimulate action. This may involve a primary offer and message; the creative needs to stimulate desire and action with the secondary offer and message, which:

- reassures prospects by giving a little more evidence of the offer or product benefits;
- convinces the sceptic and encourages them to click;
- can appeal to different types of people from the primary offer;

- again, should have a clear call to action.

Content marketing

We introduced the growing role of content marketing within digital marketing communications in **Chapter 1**. We believe that content marketing should be at the heart of digital marketing for all types of brands, because content fuels all the main digital marketing channels we use to communicate with our audiences. Search, social media, conversion rate optimisation and email marketing all require content that helps a brand increase its visibility, engage its audience and drives leads and sales. Within a campaign, selecting the right types of relevant and creative content is vital as the method of engaging the audience and generating demand, whether this is educational content as part of a business-to-business campaign or video content as part of a consumer campaign. The only case where the role of content is diminished is where the main campaign offer is a price cut, discount or sale.

Given the importance of content marketing, many businesses now look to develop a content marketing strategy as part of their digital marketing campaigns or always-on activities. As with all strategies, this will involve review of the current approach, setting specific objectives and developing strategies to create and share content. To review how content can best support digital marketing, Dave Chaffey (2021) developed the Content Marketing Matrix with Dan Bosomworth of Smart Insights. Activity 8.1 explains how this can be used to identify the right content types.

Activity 8.1

Using the Content Marketing Matrix to audit and improve content effectiveness

We recommend the Content Marketing Matrix (Figure 8.9) as a key technique to review current use of different content formats and to identify new types of content that could be useful for a business.

The matrix is structured to help you think through the dimensions of different content based on how an audience could find content valuable and what you're trying to achieve as a business. Content is plotted on the horizontal axis according to its approximate position from top to bottom of funnel (see Table 7.4) for an alternative visualisation. On the vertical axis, content is shown from more emotional creative at the top to more rational at the bottom.

Activity

Complete this process to review a company's use of different types of content to support marketing:

1. Review current use of content within the company through plotting different content types on the grid.
2. Repeat this review for two to three competitors (direct or indirect), again plotting on the grid.
3. Brainstorm future possible content types.
4. Define criteria for investing in content (e.g. generating reach, helping conversion, existing customers).

5. Use your criteria from Step 4 to prioritise the two or three types of content needed to trial in content campaigns.

Selecting content or editorial themes for social media posting

With the advent of social media pages, companies now regularly post social media updates to engage their audience for goals of brand building and direct response. Socialbakers (2020) catalogues the dynamic between consumer brand interactions on Facebook versus Instagram. It notes that the total audience size of the 50 biggest brand profiles was 39 per cent bigger on Instagram than on Facebook, with much higher levels of interaction on Instagram (21.4 times higher for these brands). Regardless of the social network, defining a content or editorial calendar is useful to maintain engagement with followers and to meet communications objectives. Key messages and types of content to be shared can then be planned and scheduled in advance.

Table 8.4 shows a format devised by Dave Chaffey to set communication themes, which was used by Bonchou, a NYC gourmet éclairerie specialising in tasteful, creative éclairs. It has also been applied to B2B sectors, where themes include: thought leadership, trends and innovation, industry statistics, trade event summaries, case studies and featured customer stories. For each theme shown on the left, the goal of the theme is specified along with frequency, creative, and whether these integrate

with a blog or could be featured in paid media or an e-newsletter. This format helps plan consistent social media activity and can be informed by reviewing competitor post updates using a similar format.

Table8.4

An example of social media editorial calendar themes

Theme/update type	Goal of update type?	Frequency	Paid boost?	Blog integration	Creative and imagery	
Brand message: Lightning Moments	Posts showing experience of the brand	Bi-weekly	No	No	Eating/pack shots	#Li #In
Quotes	These posts will consist of highly shareable quotes that are in line with the brand voice and message	Weekly	No	No – but single post curating these	Quotes about food indulgence!	#In
Company owner	Post showing the passion and	Monthly	No	Founders' story Video interview	Pictures of founder	#O

	creativity of owner					
Locations	Celebrate iconic places where we live and link to brand	Bi-weekly	No	No, unless there was a prize draw around these?	Make interactive with Guess where? Maybe Google Street View and a Wikipedia pic	#ny
Seasons and days	Link enjoying pastries to different times of year/days	Monthly	No	N/A	Seasonal pictures	#Se #Da
Competitions	Increase reach and show availability in-store	Campaign	Paid	Embed into site and encourage email sign up	See right Get local partners to share	#co
Product shots	Encourage purchase Show where to buy	Monthly	Paid	N/A	Use standard copy linking to where to buy	#In
Recipes	These posts will show the audience	Occasional	No	Link to details on blog post	Food shots	#he #Li

	how to make eclairs and other pastries (mostly French) at home					
Healthy indulgence	Show natural/pure ingredients product and link to indulgence	Monthly	No	N/A	Stock images of raw ingredients/growing? With/without eclairs	#Na #He #Li #Na #Cl
We love France	Show link to French culture and food	Monthly	No	N/A	Places, people, share other examples from #lovefrance and similar	#Lo #Li
Video – brand	Add a personal touch	Occasional	No	N/A	Vox-pops – interview people on the street about when/where they had lightning moment Cooking demos	N/A

					FB Live and similar videos for cut-through	
Events	Encourage attendance	2x before event	No	N/A	Show location and pop-ups	#M

Using GenAI to implement messaging

With the advent of Generative AI tools such as ChatGPT, many marketers have enthusiastically adopted them for copywriting. Common applications are:

- *Web blog content.* Using ChatGPT as a collaborative tool to structure the skeleton of new blog content, such as headings and titles and then once the structure is defined to generate copy and potentially images for each section.
- *Email marketing*. Using ChatGPT to review alternative headlines on headlines and copy for the body of the email. There are also specialist predictive analytics tools such as Persado and Phrasee to help marketers create better email copy to improve results.
- *Social media updates.* Using ChatGPT to generate alternative headlines and copy for social media.

Although businesses can use generic GenAI tools such as ChatGPT from OpenAI and Gemini from Google, there are benefits of using dedicated

tools for marketers we introduced in Chapter 1. These tools have become popular given the need for customisations for specific channels and tailoring the copy to a brand and its audience. Mini case study 8.5 shows how one marketing dedicated GenAI service has prospered.

Although these GenAI tools are used for these types of copywriting in many businesses, and this is likely to increase in future, there are risks that businesses need to manage to ensure their use isn't a backwards step. To explore these risks and how they can be managed, complete Activity 8.2.

Activity 8.2

Managing the risks of GenAI tools.

Purpose

To highlight the risks of using GenAI for creating copy and these can be managed.

Instructions

Review Table 8.5 to consider the risks of GenAI being adopted in businesses. Then for a business you're familiar with, review the risk and scenarios and then assess impact, probability and how the risks could be managed.

Table8.5

An assessment of selected risks of Generative AI

Risk	Scenario	Risk Impact (Scale of 1 to 5)	Risk probability (Scale of 1 to 5)	Risk r
Will the quality of our published content fall?	ChatGPT is used to write copy by an untrained user without checking			
Content published doesn't follow brand guidance	ChatGPT is used without customising it sufficiently to our market and customers			
Is there a risk of our Intellectual Property being shared?	PDFs of company insight are used for domain training and are then published			
Will our organic search rankings fall due to AI-generated content?	A user doesn't customise ChatGPT output to follow SEO best practices			

Will our customer service ratings fall if we use an AI-based Chatbot	An AI chatbot isn’t trained to answer users’ questions well.			

Step 5. Budgeting and selecting the digital media mix

Digital marketing campaign plans require three important decisions to be made about investment for the online promotion or the online communications mix. These are:

1. Level of investment in digital media as opposed to traditional media.
2. Mix of investment in digital media channels or communications tools.
3. Level of investment in creative for digital assets.

1 Level of investment in digital media techniques in comparison to offline promotion

A balance must be struck between online and offline communications techniques based on the strengths and weaknesses of the different media options. Figure 8.10 summarises the range of investment options from (a) dominant digital media spend, (b) similar traditional and digital media spend, to (c) traditional media dominant.

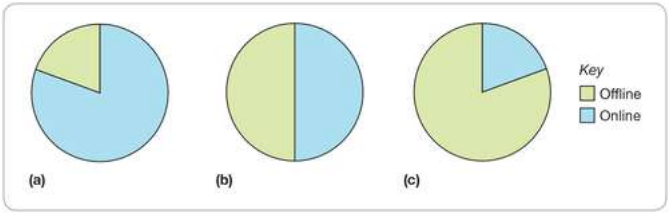
A framework for considering media characteristics that influence decisions on which to invest in has been developed by Coulter and Starkis (2005) and remains popular (see Activity 8.2). Offline media are often superior in generating attention, stimulating attention and gaining credibility. Online media tend to be better at engagement due to personalisation, interaction and support of word of mouth. The offer can also often be fulfilled online for products that can be bought online. However, there are limits to the number of people that can be reached through online media (a limit to the number searching on particular terms) and the cost is not necessarily always lower in competitive markets.

Econometric modelling

Econometrics or **econometric modelling** is an established approach to understanding the contribution of different media in influencing consumers and ultimately generating sales and profit. It can also be used in a predictive way to plan for future campaigns. It is increasingly used in integrated campaigns to assess the appropriate media mix.

One of its main benefits is its ability to separate the effects of a range of influences, such as offline or online media usage or other variables such as price or promotions used, and to quantify these individual effects. A simple example might be for the sales of a drinks brand:

Figure8.10
Options for the online vs offline communications mix: (a) online>offline, (b) similar online and offline, (c) offline>online



Activity 8.3

Frameworks for selecting media

Coulter and Starkis (2005) identified various factors when selecting media. Read this paper to understand what is meant by factors within each component and then suggest how each factor can be applied when selecting digital media and what key considerations you should make.

Quality

1. Attention-getting capability (Attention)
2. Stimulating emotions (Stimulation)
3. Information content and detail (Content)
4. Credibility/prestige/image (Credibility)
5. Clutter

Time

1. Short lead time
2. Long exposure time

Flexibility

1. Appeal to multiple senses (Appeal)
2. Personalisation
3. Interactivity

Coverage

1. Selectivity
2. Pass-along audience (Pass-along)
3. Frequency/repeat exposure (Frequency)
4. Average media reach (Reach)

Cost

1. Ad development/production cost (Development cost)

2. Average media delivery cost (Delivery cost)

The relative importance of these characteristics and the investment in different digital media will be dependent on the product and the type of campaign – whether it is direct-response-oriented or brand-oriented – and the scale of budget.

More recently, the research outlined by Nielsen (2017) of US consumer brand campaigns and by Binet and Field (2017) covering UK consumer brand campaigns have reviewed the variables that affect marketing effectiveness considering both digital and tradtional media.

Review these papers and summarise their findings for investment decisions in digital media integrated with traditional media.

Binet and Field (2017) summarise their findings as:

1. Broad-reach marketing campaigns that target new customers are still the best way to drive market share, which is in turn a key driver of profit. Campaigns act to remind previous purchasers about a brand, so encouraging repeat purchase, but aren't able to change perceptions based on experiencing a brand.
2. The inclusion of digital media in a campaign has increased the potential effectiveness of most forms of marketing, including traditional media.
3. For consumer brands that invest at the right level and in the right way, mass marketing remains effective, but with new options available to improve targeting.
4. Balancing long-term brand building and short-term activation is crucial. For consumer brands, around 60 per cent investment brand and 40 per cent activation is still the best combination. Brand-building advertising is most effective at creating awareness and brand favourability, leading to long-term benefits. Sales activation uses media directly to increase purchase intent by couponing. The Drum (Scott, 2019) reports in similar research from the same authors covering the B2B sector that a more balanced combination is appropriate.
5. Video advertising, both on- and offline, is the most effective brand-building form. TV is still the most effective medium, but online video makes it work even harder when integrated.
6. Paid search and email emerge as the most effective activation channels.

These relationships are typically identified using multiple linear regression models where a single dependent variable (typically sales) is a function of one or more explanatory or independent variables such as price, temperature or level of promotion.

Econometric models are developed from historic time-series data that record fluctuations dependent on different variables including seasonal variables, but, most importantly, variations in media spend levels and the mix of media. In

econometrics, sales fluctuations are expressed in terms of the factors causing them.

2 Selecting the right mix of digital media communications tools

When selecting the mix of digital media for a campaign or longer-term investments, marketers will need to determine the most appropriate mix and they may make this decision based on their knowledge built up through experience of previous campaigns, and taking input from their advisers such as experienced colleagues or digital agency partners.

But digital media gives opportunities for structured evaluation including factors such as the ability of each medium to influence perceptions, drive a response, the cost of response and the quality of response – are respondents more likely to convert to the ultimate action such as sale? Lifetime value of different channels should also be considered. For example, some digital media channels such as affiliates are more likely to attract customers with a lower lifetime value who are more likely to switch suppliers.

If a business owner unfamiliar with digital media options asks ‘where should I focus my investments in media for a campaign or always-on marketing?’, the answer is, of course, ‘it depends’. The ideal mix of media for a business to use will vary for different types of sectors, and the size of business, which will determine their budget for paid digital media. Regardless of sector or size, the advice of Binet and Field (2017) to

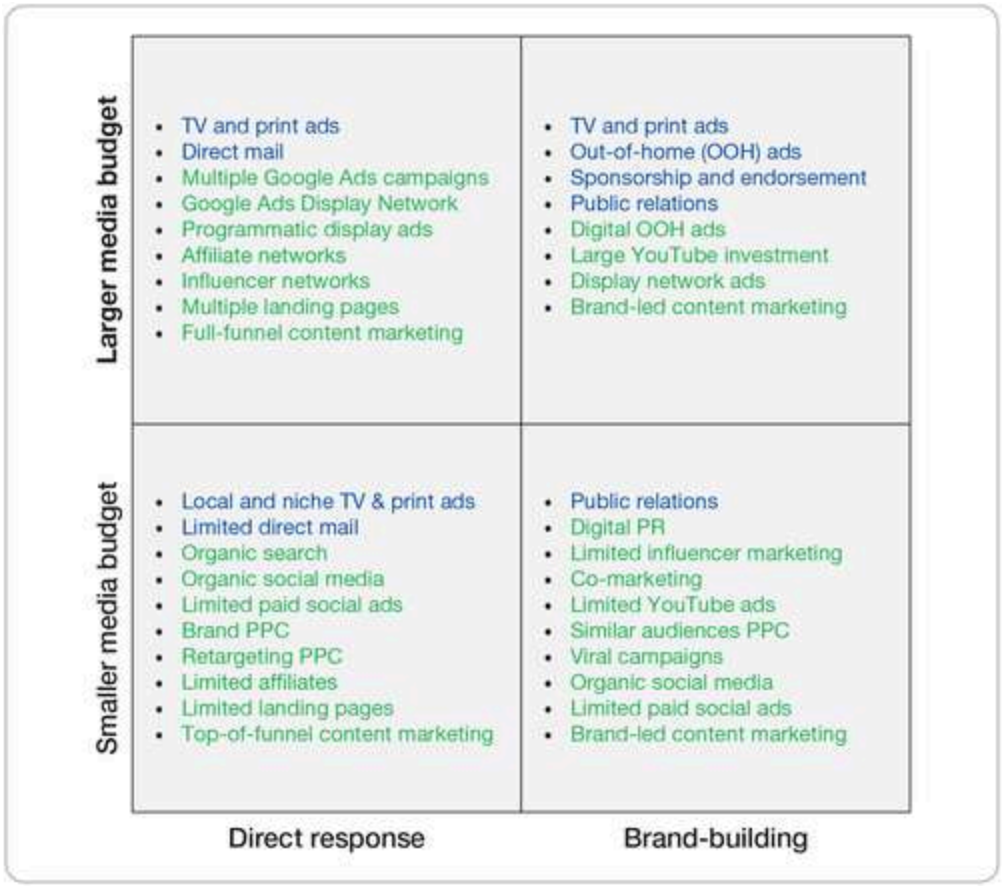
balance long-term brand building with direct response or sales activation goals, as discussed at the start of this chapter, needs to be considered.

Digital media introduces many lower-cost options to complement or replace offline advertising, as indicated by Figure 8.11. The most suitable options for smaller businesses and startups focusing on earned and owned media are shown in the bottom two quadrants, with the top two quadrants focusing on paid media investment to drive reach.

Deciding on the optimal expenditure on different communication techniques will be an iterative approach since past results should be analysed by comparing effectiveness against costs (as shown in Figure 8.8) and adjusted accordingly. Marketers can analyse the proportion of the promotional budget that is spent on different channels and then compare this with the contribution from purchasing customers who originated using the original channel. First, **tagging** of customers can be used. Here, using specifically coded URLs or cookies, we monitor the numbers of customers who are referred to a website through different online techniques such as search ads, affiliate or banner ads, and then track the money they spend on purchases. Digital marketing insight 8.3 gives more details of how the Google Analytics tagging system should be used by marketers to review the effectiveness of digital media.

Figure8.11

Recommendations for different types of offline media (blue) and digital media (green) suitable to achieve goals of direct-response and brand-awareness campaign goals for different budget size



Digital marketing insight 8.3

Campaign tracking in Google Analytics

Defining a standard set of online marketing source codes is essential to determining the value of different referral sources such as ad campaigns or email campaigns.

Many companies track Google Ads because of its automated integration enabled from Google Ads, but they may not track other codes or have a standard notation that needs to be defined and then added to all links involving media placements.

Google Analytics uses five standard dimensions for a campaign, which need to be incorporated into the query string of the URL for each ad placement as this example

shows: http://www.domain.com/landing_page.php?utm_campaign=spring-sale&utm_medium=banner&utm_source=<mediasitename>.com.
The campaigns report in Google Analytics will then enable you to compare the value generated by different campaigns and media within them.

The meaning of each of the five dimensions is:

- *utm_campaign (Required).* The name of the marketing campaign, e.g. Spring Campaign.
- *utm_medium (Required).* Media channel (i.e. email, banner, CPC, etc.).
- *utm_source (Required).* Who are you partnering with to push your message, for example a partner site.
- *utm_content (Optional).* The version of the ad (used for AB testing) or in Ads. You can identify two versions of the same ad using this variable. This is not always used and is NOT included in the above example.
- *utm_term (Optional).* The search term purchased (if the link refers to keywords). This is not always used and is NOT included in the above example.

Many email and social media marketing tools now set these up automatically, but you can set them up manually – search for ‘The Google URL builder’ to see how to create these links.

Digital attribution modelling to assess the influence on sales by digital media channel

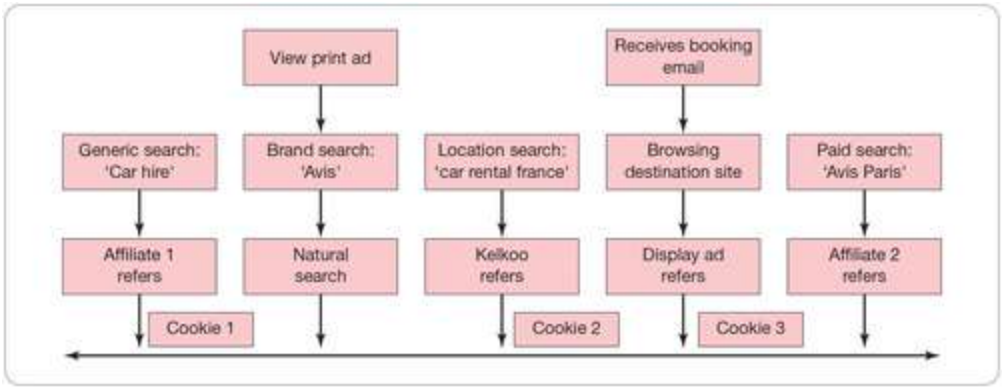
With increasing investment in digital media, it becomes more important for marketers to understand the sequence of media touchpoints across multiple channels that influence purchase. It is seldom the case that a customer will go straight to a site and purchase, or that they will perform

a single search and then purchase. Instead, they will commonly perform multiple searches and will be referred to the ultimate purchase site by different types of sites. An example of the multi-touchpoint customer journey is shown in Figure 8.12. This shows that someone looking to purchase a car may be referred to a site several times via different digital communications channels. The increase in individual behavioural data means greater measurability and ultimately more efficient digital advertising spend. According to Ghose and Todri-Adamopoulos (2016), based on analysis of mass consumer data sets ‘mere exposure to display advertising increases users’ propensity to search for the brand and the corresponding product’, and their work also revealed that display advertising increased a shopper’s likelihood of direct searching for the products and services they require (i.e., a visit to a particular website). In a multichannel trading environment, it is critically important to understand the efficiency and cost effectiveness of channels in order to maximise the effectiveness of a digital marketing strategy.

A common approach to attributing the influence of different online media a customer consumes before purchase has been the **last-click method of digital media channel attribution**, which is the primary method of reporting on campaign effectiveness by tools such as Google Analytics and Adobe Analytics. For example, Adobe (2021) reported that during the US holiday season 2020 (the Black Friday and Cyber Monday period in November), the most effective channels influencing revenue according to the last-click method were:

Figure8.12

Example of different referrers contributing to a sale for a car rental company



- paid search, c. 25 per cent;
- direct traffic, c. 22 per cent;
- natural search, c. 20 per cent;
- email/newsletter, c.15 per cent;
- affiliates, c. 14 per cent;
- social networks, c. 3 per cent;
- display, c. 1 per cent.

These values are typical in the retail sector, showing that search, email and affiliate marketing are the most effective, with display and social network accounting for a surprisingly small proportion of conversions. Adobe (2021) notes that social networks and display are often considered awareness generators – combined they account for less than 5 per cent of revenue and only 1 in 10 visits.

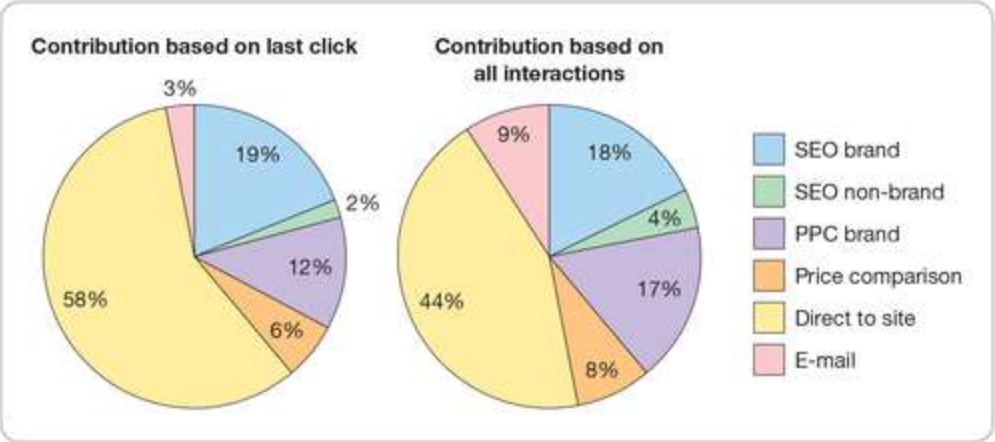
While it can give useful insight on which channels are most effective, the last-click method has limitations as a method of determining the value of digital media. If you refer to Figure 8.13 you will see that the last-click approach would only assign credit for the sale to Affiliate 2. It wouldn't count the benefit of display advertising or the other channels, so it's not a realistic credit.

However, Lee explains that this can give a misleading picture of which marketing channels are effective. In an analysis of visitors to an airline site (Figure 8.14), he shows that although the overall patterns of referrers to the site at first appear similar, there are some major differences. If you refer to Figure 8.13 you can see that email marketing, SEO for non-brand terms and PPC for brand terms are more significant when looking at the contribution of all sources.

Referring to Figure 8.12, you can see this has the benefit that we don't credit multiple affiliates with sale for affiliate marketing – only Affiliate 2 is credited with the sale, a process known as **digital media de-duplication**. But it has the disadvantage that it simplifies the reality of previous influence or **digital media 'assists'** and previous referrals influenced by other customer touchpoints on other sites are ignored, such as the natural search or display ad.

Figure8.13

Examples of the referring mix for an airline



Source: Lee (2010)

So, for the most accurate interpretation of the contribution of different media, the online marketer needs to use tagging and analysis tools to try to build the best picture of which channels are influencing sales and then weight the media accordingly. For example, in the context of Figure 8.13, a more sophisticated approach is to weight the responsibility for sale across several different referrers according to a model – so, just considering the affiliates, Affiliate 1 might be credited with 30 per cent of the sales value and Affiliate 2 with 70 per cent, for example. This approach is useful since it indicates the value of display advertising – a common phenomenon is the halo effect, where display ads indirectly influence sales by creating awareness and stimulating sale at a later point in time. These are sometimes known as ‘viewthrough’ or ‘post-impression’ effects.

These allocation approaches won’t be possible if agencies are using different tracking tools and reporting separately on different media

channels – for example, the ad agency reports on display advertising, the search agency on pay-per-click, the affiliate manager on affiliate sales. Instead it is important to use a unified tracking system that typically uses common tags across all media channels. Common unified tracking solutions that consider all media are available (e.g., from DoubleClick™ and some of the larger media agencies).

Further sophistication of tracking will be worthwhile for companies investing millions in digital media, in order to understand the customer journey and the contribution of media. A useful analysis to perform is in the form shown in Figure 8.14. This anonymised example shows the importance of display ads, for example, and how different channels support each other.

For some promotional techniques, tagging of links on third-party sites will not be practical. These will be grouped together as direct referrers. For word-of-mouth referrals, we have to estimate the amount of spend for these customers through traditional market research techniques such as questionnaires or asking at point of sale. The use of tagging enables much better insights on the effectiveness of promotional techniques than is possible in traditional media, but due to its complexity it requires a large investment in staff time and tracking software to achieve it. It is also very dependent on cookie deletion rates.

Figure8.14

Example of the sequence of visits to a site in generating conversions where two or more digital media channels were involved (codes for channels: D = Display, S = Search, X = Aggregator)

Channels	Sequence	% Conversions	Channel allocation
2	DS	34.01%	74.75%
	SD	20.98%	
	XS	8.35%	
	SX	7.33%	
	DX	2.24%	
	XD	1.83%	
3	DDS	7.74%	18.53%
	SDS	5.30%	
	SXS	3.05%	
	DXD	1.02%	
	DXS	0.81%	
	XSX	0.41%	
	SDX	0.20%	
4	SDSD	1.63%	4.48%
	DSDS	1.43%	
	DXDX	0.41%	
	DSDX	0.20%	
	DSXD	0.20%	
	DXDS	0.20%	
	DXSD	0.20%	
	SDSX	0.20%	
5	DSDSD	1.02%	1.43%
	SDSDS	0.41%	
6	DSDSDS	0.20%	0.61%
	SDSDSD	0.20%	
	SDSDXS	0.20%	
7	DSDSDSD	0.20%	0.20%

To see how a budget can be created for a digital campaign, complete Activity 8.3.

Activity 8.3

Creating a digital campaign budget

Purpose

To illustrate the type of budget created internally or by digital marketing agencies. Figure 8.15 shows an extract.

Activity

Download the spreadsheet from www.davechaffey.com/spreadsheet to understand how the different calculations relate to each other. Try changing the cost of media (blue cells) and different click-through rates (blue cells), for which typical values are shown for a competitive retail product. View the formulas to see how the calculations are made.

How would you make this model more accurate (i.e. how would you break down each digital media channel further)?

Figure8.15

Spreadsheet template for digital campaign budgeting

Input parameter table			
	Overall budget	£10,000	Blue cells = input variables – vary these for 'what-if' analysis
	Average order value	£50	Orange cells = output variables (calculated – do not overtype)
	Gross profit margin	30.0%	

		Advertising		Search		Partners	
		Ad buys (CPM)	Ad network (CPM)	Paid search (CPC)	Natural search	Affiliates (CPA)	Aggregators
Media cost	Setup / creative / Mgt costs	£0	£0	£0	£0	£0	£0
	CPM	£10.0	£10.0	£4.0	£0.4	£10.0	£20.0
	CPC	£5.0	£5.0	£0.20	£0.20	£5.0	£10.0
	Media costs	£10,000	£10,000	£30,000	£10,000	£10,000	£10,000
	Total cost setup and media	£10,000	£10,000	£30,000	£10,000	£10,000	£10,000
	Budget %	10%	10%	30%	10%	10%	10%
Media impressions and response	Impressions or names	1,000,000	1,000,000	7,500,000	25,000,000	1,000,000	500,000
	CTR	0.2%	0.2%	2.0%	0.2%	0.2%	0.2%
	Clicks or site visits	2,000	2,000	150,000	50,000	2,000	1,000
Conversion to opportunity (lead)	Conversion rate to opportunity	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
	Number of opportunities	2,000	2,000	150,000	50,000	2,000	1,000
	Cost per opportunity	£5.0	£5.0	£0.2	£0.2	£5.0	£10.0
Conversion to sales	Conversion rate to sale	100.0%	100.0%	100.0%	100.0%	50.0%	100.0%
	Number of sales	2,000	2,000	150,000	50,000	1,000	1,000
	% of sales	1.0%	1.0%	72.7%	24.2%	0.5%	0.5%
	Cost per sale (CPA)	£5.0	£5.0	£0.2	£0.2	£10.0	£10.0
Revenue	Total revenue	£100,000	£100,000	£7,500,000	£2,500,000	£50,000	£50,000
Costs	Cost of goods sold	£70,000	£70,000	£5,250,000	£1,750,000	£35,000	£35,000
	Media costs	£10,000	£10,000	£30,000	£10,000	£10,000	£10,000
	Total costs (inc media)	£80,000	£80,000	£5,280,000	£1,760,000	£45,000	£45,000
Profitability	Profit	£20,000	£20,000	£2,220,000	£740,000	£5,000	£5,000
	Return on investment	25.0%	25.0%	42.0%	42.0%	11.1%	11.1%

Source: Smart Insights (Marketing Intelligence) Ltd (www.smartinsights.com/conversion-model-spreadsheets)

3 Level of investment in digital assets

The **digital assets** are the creative that support a campaign. They include:

- display ad or affiliate marketing creative such as banners and skyscrapers;
- microsites;
- email templates;
- video, audio and other interactive media, games or screensavers, which form campaign landing pages or microsites.

As with traditional media, there is a tension between spend on the advertising creative and the media space purchased to run the executions. There is a danger that if spend on media is too high, then the quality of the execution and the volume of digital assets produced will be too low.

Step 6. Integration into overall media schedule or plan

In common with other communications media, digital media are most effective when they are deployed as part of an **integrated marketing** approach, which in the digital age is far removed from the traditional definitions of integrated marketing communications (IMC) that sought to coordinate broadcast and print media channels and eventually digital media, to deliver a clear and consistent message to achieve communication goals (Kotler *et al*., 2001).

Digital media campaigns should be integrated to reach target markets, where individuals consume message content across multiple platforms (e.g. mobile, web, social media and combinations of all three), but also taking into consideration paid media (e.g. offline advertising, direct marketing), earned media (organic search, content marketing, PR) and owned media (social media, specific websites, email marketing). Figure 2.1 shows how different media types can be integrated to develop a coherent integrated marketing campaign.

The complex challenge of integrating this digital tapestry can be simplified by focusing on the characteristics of each channel, and identifying its strengths, weaknesses and communication potential in relation to the message.

For example, X has extensive reach, and is good for ‘short, witty and pithy messages, while Pinterest is great for content related to design, and aspirational content works best on Instagram’ (Allen, 2021).

Key activities in media selection and planning

The starting point for media planning, selection and implementation is to have clearly defined campaign objectives:

- For direct-response campaigns, the most important objectives are response volume, quality and cost.
- For campaigns where awareness and branding are the main outcomes, branding metrics become important.

Pickton and Broderick (2001) identify six activities in media implementation: target audience selection, media objectives, media selection, media scheduling, media buying and media evaluation.

A particularly important aspect for online media is that this evaluation and adjustment can – and should – occur during the campaign, in order to identify the best placements and creatives and to refine the ongoing media plan.

We recommend planning integration of activities through time by creating a campaign timeline, as shown in Figure 8.16. The main milestones for specifying, managing and reviewing the campaign are shown below the timeline. Defining a campaign live date should be the starting point, and it’s useful to work back from this date to check there is sufficient time for

the planning, creation and testing of campaign assets before the live date. A Gantt chart can help ‘sense-check’ that it’s realistic to achieve the milestones shown. Next, work forward from the live date so different campaign ‘waves’ can be scheduled; these communications are the vertical arrows used in the owned media section to denote different email and social media updates being used to engage the audience and explain the offer. Paid and earned media activities can also be scheduled. For each separate campaign wave, it’s useful to highlight the aim of the communication, plus the engagement hook and or content asset to be used and how insight will be used to improve targeting.

Figure8.16

A sample timeline of integration of different communications tools through time

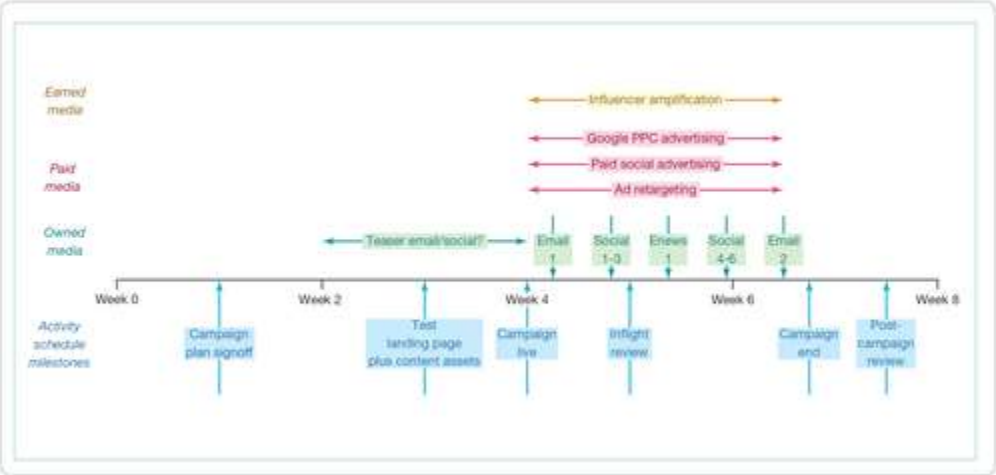


Figure 8.16 shows how communications can be planned around a particular event. This planning will help provide a continuous message to customers. It also ensures a maximum number of customers are reached using different media over the period.

Finally, here are five questions about integration you must ask when creating a campaign:

1. *Consistent branding and messaging.* Is the branding and messaging sufficiently similar (coherent) throughout the campaign?
2. *Varying the offer, messaging and creative through the campaign.* Is offer and messaging varied sufficiently through the campaign? With each different medium and wave of the campaign, it can improve results to subtly vary the offer, message and creative. This might appear to conflict with the first guideline, but the two can be compatible, since:
    a. different treatments and offers will appeal to different people and achieve different results;
    b. if each communication in a campaign is identical, then future campaign waves will be ignored;
    c. escalating or improving offers during a campaign can achieve better response.
3. *Frequency (number) and interval of communications.* Are you exposing the audience sufficiently or too much to your messages? This is a difficult balance to strike. In our view, some marketers often undercommunicate for fear of overcommunicating!

With online media buys, it’s also important to think about frequency as well as reach. Increases in frequency will usually increase awareness, as for any medium – though direct response will usually peak quite quickly before ebbing away.

If you have defined touch strategies that mandate a minimum or maximum number of communications within a period – and the interval between them – you should check that your plans fit in with these or that they do not constrain your campaign.

4. *Sequencing of communications.* Of the options available, should you:

- launch your campaigns online first;
- launch your campaigns offline first;
- launch your campaigns simultaneously online and offline?

Here are some examples where your online and offline activities might not launch simultaneously:

- a campaign for an event promotion starts with a direct mail or an email;
- digital communications are reserved as contingency – in case offline response volumes are not high enough;

- a promotion is launched online first (notified by email) to appeal to loyal customers;
- an unusual ad execution is launched online first to create a buzz;
- a press release is announced online first so that it can be transmitted by particular advocates;
- a timed or limited offer is launched online, because timing of receipt can be more accurately assured.

5. *Optimising timing.* Do communications get delivered and received at the optimal time? For online display advertising, PPC and email marketing there are specific times of the day, days of the week or times of the month that your message will work best.

Case study 8.1

Global Action Plan: campaigning for a better world

Global Action Plan UK (GAP, Globalactionplan.org.uk) is a charity formed in 1993 that aims to help people live more sustainable lives by connecting what is good for individuals (health and well-being) with what is good for the planet (environmental action). They have a simply stated Vision and Mission to communicate their aims:

- *Vision*: A green and thriving planet where people enjoy their lives within the earth's resources.
- *Mission*: Inspiring change by making connections between what is good for us and what is good for the planet.

GAP recognises that to achieve change requires radical change in society and business beyond actions consumers may take. It also requires policy makers in governments to change their approach, and that businesses will need to take action too:

> The climate and ecological crisis calls for a radical rethink about how we live our lives. Conversations about plastic straws aren't going to crack it. To see response at the required scale we need to mobilise government, business, the media and the public to all step up to play their part.

> We bring people together to inspire each other to go further and exert their voice to ensure policy makers and organisations play their part. We tackle issues which require the mobilisation of mass movements in order to see change. And which demand fundamental conversations about how we live our lives. These issues are united in their need for radical change and solving them would be good not only for our planet but also for us.

GAP UK has four principles that govern how it operates, which are featured in its Trustees report:

- *We challenge the norm* – Radical change is needed – not incremental tweaks. We dare to think big and re-imagine

how we live and work; to bring about real shifts in human behaviour and tackle systemic issues not symptoms.

- *We get stuff done* – We work hard to have a real impact in everything we do. We aren't happy with talk, we want action, today.
- *We share openly* – We are honest, straight talking and open. Whether data, ideas, projects or tools we seek to share and collaborate for bigger impact.
- *We look out for employees* – We believe that what is good for us is good for the planet, and vice versa. We advocate for change to benefit the most vulnerable and avoid scaremongering whenever we make the case for action.

Campaigning activities

To help support change, GAP has defined two building blocks around which campaigning activities are devised, the Compassion not Consumerism Movement and the Clean Air Movement. Consistency in communications is controlled through brand guidelines, which are flexible enough to work across print and online communications (social media and email). Tone-of-voice guidance isn't used, however.

Within the Compassion not Consumerism Movement campaigns have included:

- *Dirt is Good* – Working with Unilever as the thought leadership partner for Persil's Dirt is Good project.
- *Transform our World* – an online, centralised, quality-rated resource hub to help teachers to bring environmental action into the classroom, supported by the #iwill campaign.
- *#Idontbuyit* – the campaign calls out the forces that drive hyper-consumption and exposes the marketing techniques that are harmful to young people and the planet. #Idontbuyit supports young people and parents to challenge the pressure to consume and aims to help individuals 'build a resilience to our toxic culture of looks, likes and shopping'. In 2010 an Instagram campaign created 5,000,000 impressions or opportunities for teenagers to see content related to the campaign.

Within the Clean Air Movement campaign activities include:

- *Clean Air Day* – the United Kingdom's largest air pollution campaign, engaging thousands of people at hundreds of events, and reaching millions more through the media. It is promoted via a microsite (org.uk). In 2014, Clean Air Action Day aimed at motivating drivers to switch their engines off, resulting in #noidling trending on Twitter. In 2019, 400,000 participants got involved in Clean Air Day and 600 events were held around the country. 250 official supporter

organisations and 3,700 participating organisations came together to work on air pollution. 20,000 news and broadcast items carried Clean Air Day stories, with an equivalent advertising value of £11 million. Media coverage included live interviews on Sky and BBC Radio, articles in *The Times* and *Daily Express* and a raft of local stories. Online, print, broadcast and social media coverage (380 million opportunities to view) provided more than 1 billion opportunities to view and learn about air pollution.

- *Air Pollution Calculator* – encourages people to work out their individual contribution to air pollution in the United Kingdom and find out what they can do to reduce emissions and protect their health.
- *Business for Clean Air* – developed by the Business for Clean Air Taskforce, Business for Clean Air (BfCA) is a voluntary initiative that companies can join to signal their commitment to addressing air pollution.
- **C***ycle21* – The campaign hook was that it takes 21 days to build a habit, according to Phillipa Lally, a health psychology researcher at UCL. The Youth Panel at Global Action Plan created the challenge and campaign with this in mind.

The Cycle 21 campaign plan

Additional details on the campaign plan developed by the GAP UK Youth Panel are structured around the campaign planning structure recommended in this chapter.

1. **Campaign aims and objectives**

Vision:

- Develop a community of young cyclists who do their part for themselves and the planet.

Mission:

Provide young people with the tools and resources to adopt a cycling-based lifestyle.

SMART goals for the campaign include:

- *Specific:* Aim to encourage more 18–35-year-olds to adopt a cycling-based mindset through a 21-day challenge.
- *Measurable:* Number of PDF (toolkit) downloads, social media & Strava engagement, follow-up survey, potential giveaway.
- *Achievable:* Developing content over extensive time frame, launching in April 2021 (plenty of time to plan). Gantt chart

for responsibilities.

- *Relevant:* Current climate of COVID-19, survey results suggest there is a lack of knowledge around cycling and an interest.
- *Time bound:* Main campaign aims to take place in 21 days in May, with pre-launch of toolkits/social promo in month prior.

2. **Audience insight and targeting**

SMART goals to engage and involve the audience to take action include:

- *Specific:* To get into cycling and adopt a cycling-based mindset through a 21-day challenge.
- *Measurable:* An increase in confidence (cycling), how far you progress through the challenge (even getting a bike!).
- *Achievable*: Taking on bitesize challenges and prompts through the calendar of challenges.
- *Relevant*: Current climate of COVID-19, survey results suggest there is a lack of knowledge around cycling and an interest.
- *Time bound:* Main campaign aims to take place in 21 days in May, with pre-launch of toolkits/social promo in month

prior.

3. **Segmentation and targeting**

The main target audience are students and young professionals.

To achieve campaign reach at relatively low cost, partners to be used include: bike-related businesses, and universities and student unions, including cycling clubs, to display posters and encourage involvement.

4. **Offer and message development**

The campaign ‘big idea’ was to link 2021 to a 21-day challenge to get young professionals and students cycling to work or university.

The content marketing to support this was a 21-day calendar with ride prompts, tips and resources for beginner cyclists.

The calendar finished on 21 May, Cycle to Work Day, with participants having gained the experience and skills to commute to work or university on their bike.

Interactive social media challenge was used through the '#Cycle21challenge' with a Strava group (Strava is an app used by cyclists and runners to track their training) to log collective distance of all involved.

5. **Budgeting and selecting the media mix**

The campaign was developed by the Youth Panel of GAP so didn't have the budget of larger campaigns. Much of the offline and online media was generated by the partners. A press release was developed to gain exposure in media outlets.

A small budget was available for targeted advertising on Instagram to encourage participation.

Note: Global Action Plan is a separate organisation to GAP International Globalactionplan.com.

Sources: Charity Commission (n.d.); GAP (n.d.)

Questions

1. Which techniques does GAP use to ensure the consistency and effectiveness of its campaign communications?

2. How does GAP encourage change through seeking to influence different types of stakeholders?
3. Using the example of the Clean Air Day, #Idontbuyit, Cycle 21 or other campaigns, assess the media mix used to reach and influence audiences and how their effectiveness is assessed.

Summary

1. Key characteristics of interactive communications are the combination of push and pull media, user-generated content, personalisation, flexibility and, of course, interactivity to create a dialogue with consumers.
2. We reviewed these elements of a digital marketing communications plan:
    a. *Step 1. Goal setting and tracking.* These can include goals for campaign volume (impressions, unique visitors and visits), quality (conversion to value events), cost (including cost per acquisition) and profitability.
    b. *Step 2. Campaign insight.* Information to feed into the campaign plan includes potential site audience reach and composition, online buying behaviour and preferences, customer search behaviour and competitor campaign activity.
    c. *Step 3. Segmentation and targeting.* Key segmentation approaches are relationship with company, demographic segmentation, psychographic or attitudinal segmentation, value, lifecycle stage and behaviour.

d. *Step 4. Big idea, offer and message development.* Includes identification of ‘big idea’, primary and secondary offers, and supporting content and editorial themes shared through social media updates.

e. *Step 5. Budgeting and selecting the digital media mix.* Should be based on forecasts based on conversion models, reviewing all the digital media channels.

f. *Step 6. Integration into overall media schedule or plan.* The campaign activities should be summarised on a timeline.

Exercises

Self-assessment exercises

1. Review the reasons why continuous marketing activity involving certain digital media channels is preferable to more traditional burst or campaign-based activity.
2. Describe the unique characteristics of digital media in contrast to traditional media.
3. Review the options for targeting particular audience groups online with different digital media.
4. How should a company decide on the relative investment between digital media and traditional media in a marketing campaign?

5. What are the options for integrating different types of digital media channels with traditional media?
6. What are the issues that a marketer should consider when defining their offer and message for an online campaign?

Exam and discussion questions

1. Outline the range of goals that should be used to define success criteria for modern marketing campaigns.
2. Discuss the options a business-to-business company could use for targeting an audience through social media.
3. Assess why integration between online and traditional media might make a campaign more effective overall.
4. Describe different options for testing the effectiveness of competing offers online.
5. Evaluate the potential value of incorporating a mobile ‘text-to-win’ promotion into an offline campaign.
6. How should businesses gain the correct balance of investment in always-on customer lifecycle communications and campaign-based communications?

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Weblinks

A directory of recommended website links, including recommended videos, analysis tools and sources for statistics, is maintained by Dave Chaffey at www.davechaffey.com/book-support. The sites for this chapter cover sites focusing on planning, analysis and examples of campaign activities.

Chapter 9

Marketing communications using digital media channels

Learning objectives and topics

After reading this chapter, you should be able to:

- Distinguish between the different types of digital media channels and understand practical success factors to make them effective
- Evaluate the advantages and disadvantages of each digital media channel for marketing communications including appropriate use of AI
- Assess the suitability of different types of digital media for different purposes

These learning objectives are covered for each of these channels:

- Search engine marketing (organic search and paid search)
- Digital public relations and influencer relationship management

- Digital partnerships including affiliate marketing
- Digital display advertising
- Digital messaging including email marketing and mobile messaging
- Social media and viral marketing
- Offline promotion techniques

Case study

Case study 9.1 Smart Insights: how content strategy fuels inbound marketing to grow an online B2B service

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Links to other chapters

This chapter is related to other chapters as follows:

- **Chapter 1** introduces the main options for communications across paid, owned and earned digital media types.
- **Chapter 8** reviews how to plan campaigns that use digital media channels. The section towards the end of the chapter on ‘Selecting the right mix of digital media communications tools’, in ‘Step 5. Budgeting and selecting the digital media mix’, is particularly relevant.

- **Chapter 10** also considers the measurement of communications effectiveness.

Introduction

With the increased adoption of digital devices by consumers and businesses, **digital media channels** have become more important for communications, both for campaigns and always-on communications. Digital media channels can be used both for direct response and brand building, as discussed in **Chapter 8**. The use of digital media for direct response is sometimes known as ‘traffic building’ since communications techniques are selected to increase website visitors to achieve the marketing outcomes that are important for a business.

Collectively, digital media channels now account for the majority of media investment by businesses in most countries. Datareportal (2024) have summarised digital’s share of total advertising spend in different countries, showing a wide range of variation, for example the top three countries for digital advertising revenues compared with total advertising revenues are:

- China: 85.3%
- United Kingdom: 79.7%
- Sweden: 74.6%

Note that these figures focus on paid media such as advertising in search engines, social networks and on publisher sites. They don’t include earned

and owned media (where digital also rates highly).

Countries with median levels of digital investment include:

- Germany: 59.7%
- Philippines: 59.1%
- France: 58.8%

In the lower quartile are:

- South Africa: 34%
- Nigeria: 33.9%
- Kenya: 24.6%

These figures show the potential for digital media to grow in importance further in many countries.

Given this, choosing the most cost-effective digital communications techniques and refining them to attract visitors and new customers is now a major marketing activity, for both online and multichannel businesses. In this chapter we explain the differences between the different digital channels and review the strengths, weaknesses and practical success factors for using the communications techniques.

Taking search marketing as an example, there are many technical ‘best practices’ for both organic and paid search marketing, which will make a business’s use of Google more or less successful. We introduce these, so that marketers who may not be digital marketing specialists understand the principles in order to discuss implementation with digital marketing specialists they are working with, or to find more information from specialist sites focusing on these topics.

How is this chapter structured?

This chapter is structured around the six main digital media channels we recommend businesses should consider, which we have summarised in Table 9.1 (Figure 1.11 gives a graphical introduction). As emphasised in previous chapters and highlighted by Case study 9.1, a content marketing strategy is an important success factor for effective use of these channels. This involves specifying and creating the right types and formats of content to engage different audiences at different points in the buying process. Quality content is the ‘fuel’ that powers many of these channels and enables an organisation to gain cut-through compared to competitors.

For easy comparison of the different techniques and to assist with assignments and revision, we have structured each section the same way:

- *What is it?* A description of the digital media channel.
- *Advantages and disadvantages.* A structured review of the benefits and drawbacks of each channel.
- *Best practice in planning and management.* A summary of the issues such as targeting, measurement and creative that need to be considered when running a campaign using each digital channel. This expands on the coverage given in the previous chapter on these issues.

As you read each section, you should compare the relative strengths and weaknesses of the different techniques and how consumers perceive different options in terms of trust. In the final section, we summarise their strengths and weaknesses for different applications.

The importance of each of these digital media channels in driving visitors will vary from company to company, but to give you an indication of how important they are on average see Digital marketing insight 9.1. You can see why search engine marketing is an important channel, and this is why we start our coverage in this chapter with SEM. You can also see that direct traffic is high, reflecting the importance of visits driven by traditional channels or visits from email or social networks that are not being tracked separately. You can also see that links or referrals from other sites are also quite significant.

Table9.1

Summary of different digital media channels

Digital media channel	Description	Different communications techniques
Search engine marketing (SEM)	Gaining listings for target keywords in the search engine results pages of the major search engines, Google, Bing, YouTube and popular country-specific engines; also includes advertising on third-party publisher sites, which are part of the search display networks, to	Organic search or search engine optimisation (SEO) is aimed at gaining visibility on page 1 of th organic listings, which do not att fee per click; based on on-page optimisation and link building

	generate awareness and for remarketing. SERPS now include AI-generated content which makes it harder for marketers to gain visibility for their content	Paid search or pay-per-click (PP involves advertising using Goog Ads, for example
Digital public relations (PR) and influencer relationship management	Using influencer outreach to maximise favourable mentions of your company, brands, products or websites on third-party sites such as media sites, social networks or blogs that are likely to be visited by your target audience; also includes monitoring and, where necessary, responding to negative mentions and conducting public relations via a site through a press centre or blog, for example	Influencer outreach to co-create content and press releases to gai positive mentions, managing reputation on third-party sites, particularly forums and social networks Use of owned media – own-com feeds, blogs Blogger and influencer outreach earned media
Digital partnerships including affiliate marketing and co-marketing	Creating and managing long-term arrangements to promote your online services on third-party websites or through email communications; different forms of partnership include co-marketing, link building, affiliate or performance marketing, aggregators such as price comparison sites, online sponsorship and co-branding	Commission-based affiliate mar for transactional e-commerce sit Creating long-term partnership relationships such as sponsorshi link building or joint editorial
Digital display advertising	Use of online display ads such as banners and video ads on publisher and social network sites to achieve	Programmatic advertising Site-specific media buys

	brand awareness and encourage click-through to destination sites	Use of ad networks Behavioural retargeting or remarketing based on action
Digital messaging including email marketing and mobile messaging	Using legal, permission-based emailing to prospects or customers who have agreed to receive emails from an organisation; Solus emails can be booked, where a publisher sends an email on behalf of a brand or the brand can be featured in an e-newsletter; companies can build up their own 'house list' containing customer or prospect details, and company emails encourage purchase	Acquisition email activity includ list rental (rarely permitted by la today), co-branded publisher campaigns, advertising in e-newsletters Retention and growth activity, e. house list for e-newsletters and customer email campaigns Marketing automation of event-triggered email lifecycle activity
Social media marketing including viral and electronic word-of-mouth marketing	Organic social media marketing (covered at the end of **Chapter 6**) is online word of mouth – compelling brand-related content is shared, forwarded or discussed electronically or discussed offline to help achieve awareness and, in some cases, drive response; paid social advertising involves paid ads for awareness or retargeting to support conversion goals	Branded presence of company p or advertising on social network Creating 'viral agents' or compe interactive content Encouraging amplification of vi messages Use of social ads as explained in chapter Using customer advocacy effect Widget marketing

Digital marketing insight 9.1

How balanced is your referrer mix?

One approach to determining the most appropriate mix of digital media channels is to compare the mix of digital site referrers in a digital analytics service.

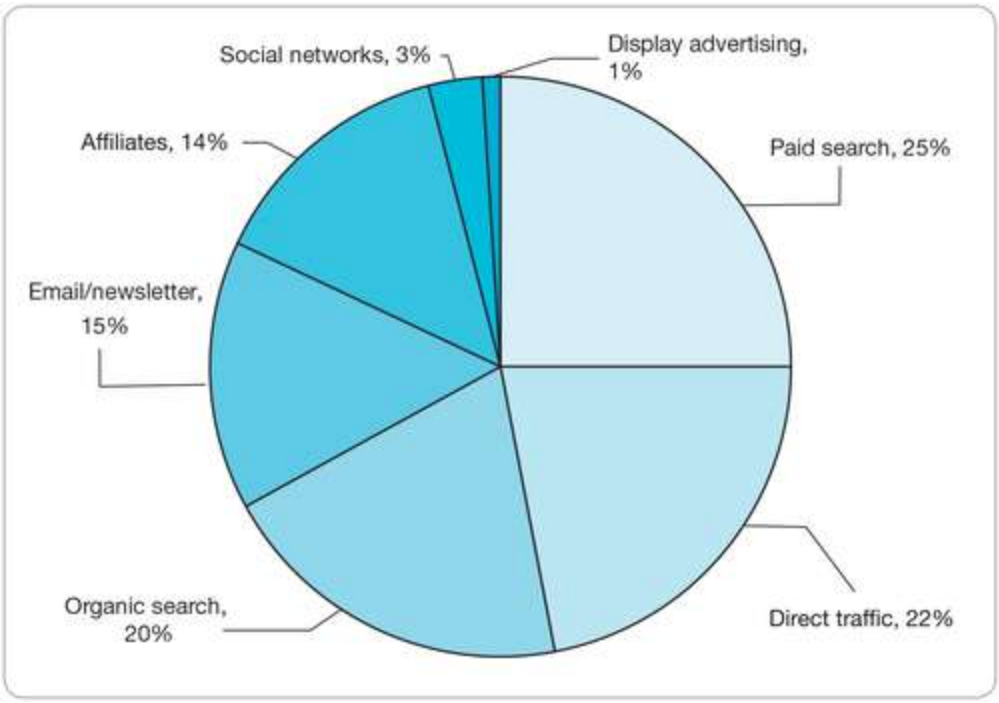
Within Google Analytics, a benchmarking option can be used to compare the relative importance of different referrers to others in a sector. As an example of a channel referrer mix, see Figure 9.1. This shows the relative proportion of digital channels resulting in sales by Adobe (2021) for the US holiday season 2020 (the Black Friday and Cyber Monday period in November) measured by value generated in sales when channels are assessed by the last-click method (explained at the end of **Chapter 8**).

Other labels for channels that are recorded in Google or Adobe Analytics that are not shown in the figure (but users of these tools will be familiar with) include:

- *Referral*. This is traffic from other sites that have direct links to a site. This can include social media sites, but Google and other analytics services now separate out ‘social traffic’.
- *Direct*. Direct traffic results from URL type-ins, bookmarks or when email marketing isn’t tracked by marketers adding specific link tracking to their email so that they show up in analytics. These days, direct traffic will also include non-browser traffic from visitors clicking on apps for reading social media updates such as Hootsuite or Buffer, or other mobile apps linking to a site. This traffic is sometimes called ‘dark social’ since it is difficult to attribute to social media updates.

Figure9.1

Example of traffic mix showing average percentage of traffic from different digital channel sources referred to retail websites



Source: Data from Adobe (2021)

Essential digital skills

Digital media

Many of the practical skills sought after by businesses in digital marketing involve the techniques covered in this chapter. These include:

- *SEO:* Perform a gap analysis, content audit and backlink analysis to define the opportunities for organic search traffic and then achieve them through content creation and influencer outreach. Complete the free Semrush training or exams.
- *Paid search:* Become a Google Ads professional or complete the free Google Ads certification or training using skillshop.withgoogle.com/.

Practical ideas to boost employability by showcasing your interests and experiences include:

- Create a blog using a free option from WordPress, Wix or Squarespace and set up Google Analytics tracking so you understand site referrers. You can also use the Google Analytics Demo account to understand a full referrer mix.
- Complete free online Google Ads or Analytics training.
- Understand the purpose of the most popular search marketing tools, including Google Search Console, Semrush, Moz and Ahrefs.
- Follow different marketing influencers on Facebook, X or LinkedIn and understand the content they share and how they interact with companies and other influencers.
- Create a marketing-focused blog or X or LinkedIn profile and share content from your course and the influencers you follow. Focus on the areas of marketing that interest you most.
- Understand practical techniques to improve social media engagement on different social networks and understand the latest marketing and user features. See *Digital marketing insight 9.4 ‘Understanding what engages consumers on “their socials”’* in the social media section of this chapter to learn more.

Search engine marketing

search engine marketing (SEM) is a key technique for generating quality visitors to a website, as suggested by Figure 9.1. We all now naturally turn to a search engine when we are seeking a new product, service or entertainment. The main options include Google, Bing, the Google-owned YouTube, which is the second largest search engine by volumes of searches in many countries, or other regional search engines. We also turn to search engines when we are familiar with a brand, shortcutting site navigation by searching for a brand, appending a brand name to a product or typing a URL into Google. This is known as **navigational (or brand) search**. Given the obvious importance of reaching an audience during their consideration process for a product or when they are locating a brand, SEM has become a fiercely competitive area of digital marketing.

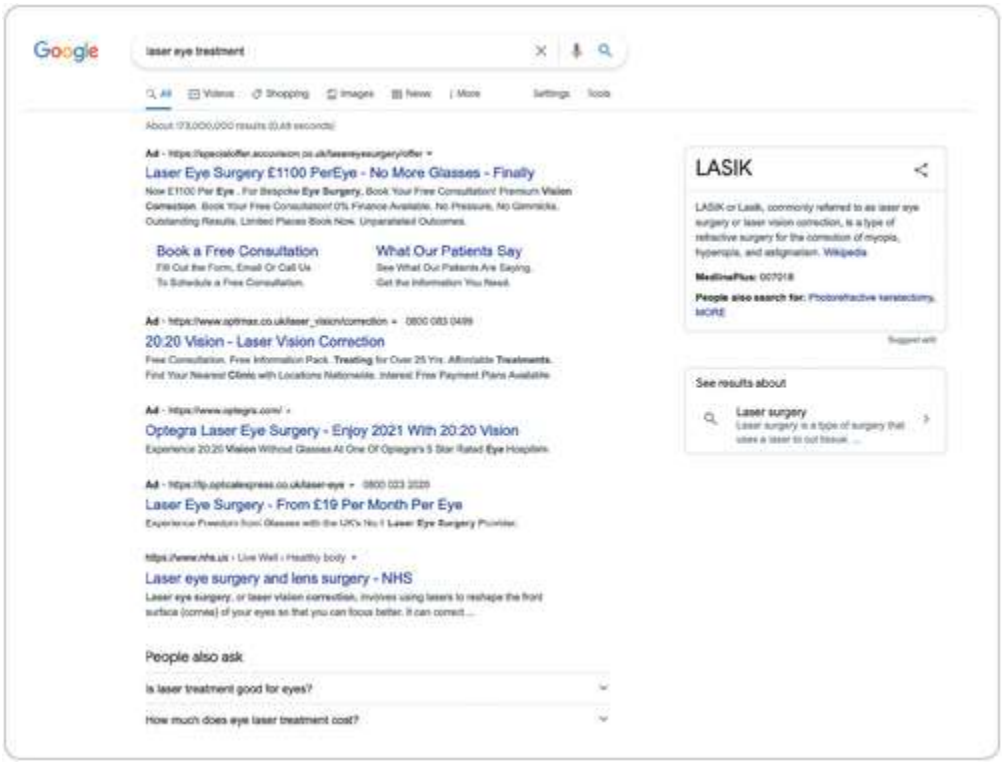
There are two main types of SEM that are quite distinct in the marketing activities needed to manage them, so we will study them separately, although in practice they should be integrated:

1. ***Search engine optimisation (SEO)*** or 'organic search' involves achieving the highest position or ranking practical in the **natural or organic listings**, below the ads on the **search engine results pages (SERPs)** across a range of specific combinations of keywords (or keyphrases) entered by search engine users. You can see from

Figure 9.2 that there are a limited number of organic search results compared to the four ads at the top of the SERPs. Today, some searches in Google also have an ‘AI overview’ which reduces screen ‘real estate’ for a brand to gain visibility and clicks. This challenge is suggested by research by Spark Toro (2024) that revealed that around 60 per cent of US and EU Google searches result in zero clicks, with around c360 clicks per 1,000 searches leading on to **destination websites** such as publisher and brand sites.

Figure9.2

Search engine results page in Google (www.google.com) illustrating the paid and organic listings



Source: Google LLC

As well as listing pages that the search engine determines as relevant for the search performed, based on the text it contains and other factors, such as links to the page, the SERPs also contain other tools that searchers may find useful. When these were first introduced, Google labelled these ‘universal search’ or ‘blended search’. Today, we simply talk about specific **SERPs features** with different labels. Complete Activity 9.1 to review these in more detail. You can see that since SERPS features like Related Questions, Reviews and Videos are prominent prompts for searchers, it’s now a key part of organic search to attempt to gain visibility within these by reverse engineering what has helped competitors. See Ahrefs (2024) for more detail on different types of features.

Consider using questions as the main heading or sub-sections since this type of content features well within Google’s featured snippets such as ‘People also ask’ and ‘Things to know’.

2. ***paid search (pay-per-click) marketing (PPC)*** is similar to conventional advertising; here, a relevant text ad with a link to a company page is displayed when the user of a search engine types in a specific phrase. A series of text ads, formerly labelled as ‘sponsored links’, are displayed above or below the natural listings, as in Figure 9.2. Although many searchers prefer to click on the natural listings, a sufficient number do click on the paid listings such that they are highly profitable for companies such as Google,

and a well-designed paid search campaign can drive a significant amount of business for companies.

The Spark Toro (2024) research also showed that just 1per cent of clicks are from a paid ad in Google. The author, Rand Fishkin explains that the 1 per cent of all clicks figure includes billions of Google searches in which no paid ad was present. He says that in 2023, Google stated that less than 20 per cent of search queries contain a paid ad. He asserts that it can be estimated that paid search ad clickthrough rate is at least 5 per cent, on average, when paid/sponsored ads are visible.

There are also opportunities to create awareness and response from pay-per-click ads on other Google properties such as Google Maps and YouTube displayed on third-party sites, as we will see in the section on paid search marketing.

Activity 9.1

The changing faces of the SERPs features

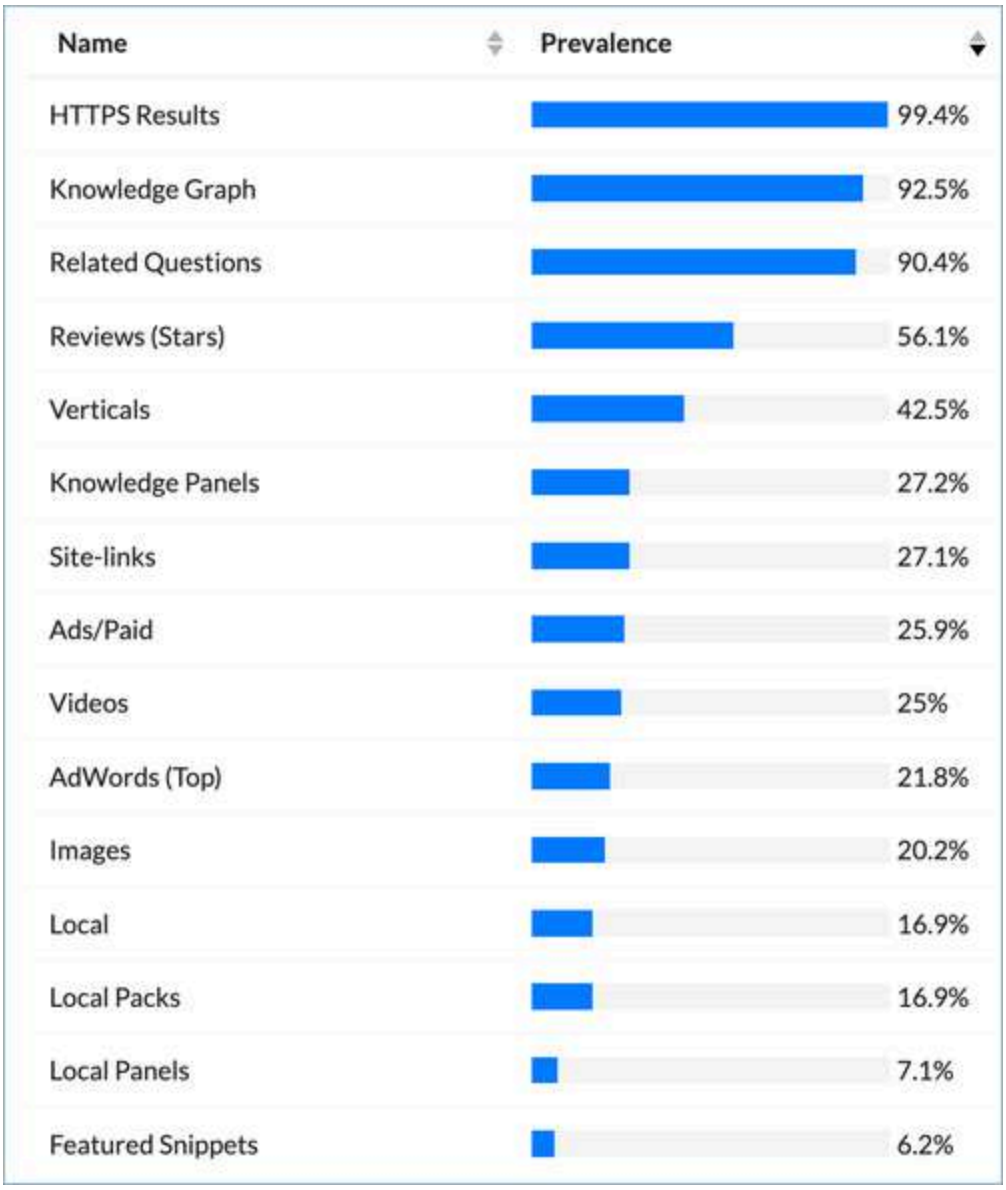
Search engine marketing tools service Moz has regularly updated research called MozCast, which shows the popularity of different types of features within the search results pages for the most popular queries. An example of SERPs features is the ‘Related questions’ under a heading ‘People also ask’.

Activity

Visit MozCast and review the latest SERPs features (Figure 9.3) so that you understand the difference between them. Complete different navigational, generic (for example, google.com/search?q=laser+eye+treatment) and specific searches for products in a sector of your choice and see how many of these you can identify for different types of queries. Are some companies better at achieving visibility than others?

Figure9.3

Popularity of different Google Search features for a selection of 10,000 keywords



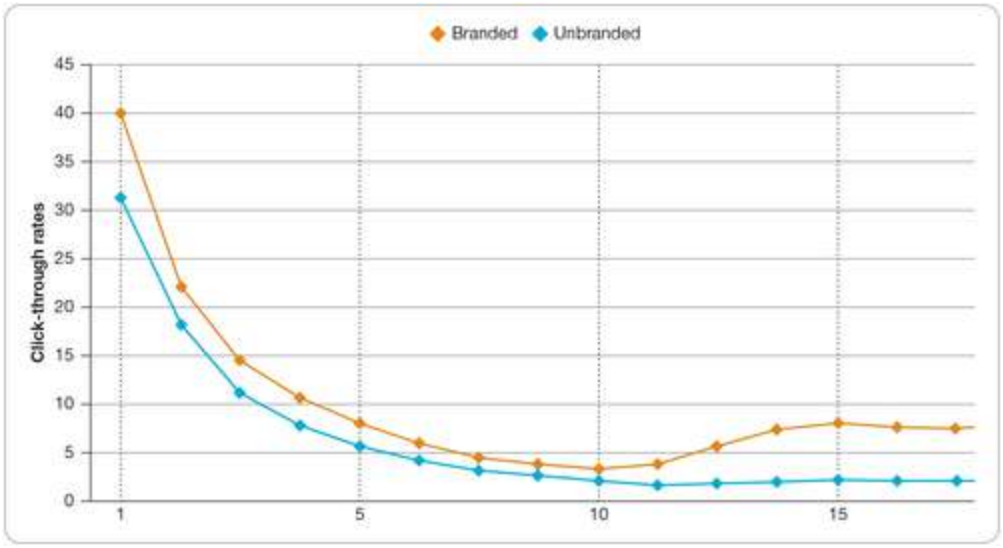
Source: MozCast (http://mozcast.com/features)

The importance of effective search engine marketing is suggested by Figure 9.4, which shows that generating the highest rankings for a company in the search engine results pages (SERPs) can generate many more visits because of a higher click-through rate. Note that click-through

rate according to position will vary dramatically by type of keyword, such as brand or generic keyword, but this research is based on 10,000 keywords across 250 B2C and B2B companies.

Figure9.4

Click-through rates depending on position in the natural search results



Source: Advanced Web Ranking (2018)

What is SEO?

Improving positions in the natural listings is dependent on marketers understanding the process whereby search engines compile an index by sending out spiders or robots to crawl around sites that are registered with that search engine (Figure 9.5). The figure shows that the technology harnessed to create the natural listings involves these main processes:

1. *Crawling*. The purpose of the crawl is to identify relevant pages for indexing and assess whether they have changed. Crawling is performed by **robots** (bots, sometimes known as **spiders**). These access web pages and retrieve a reference URL of the page for later analysis and indexing.

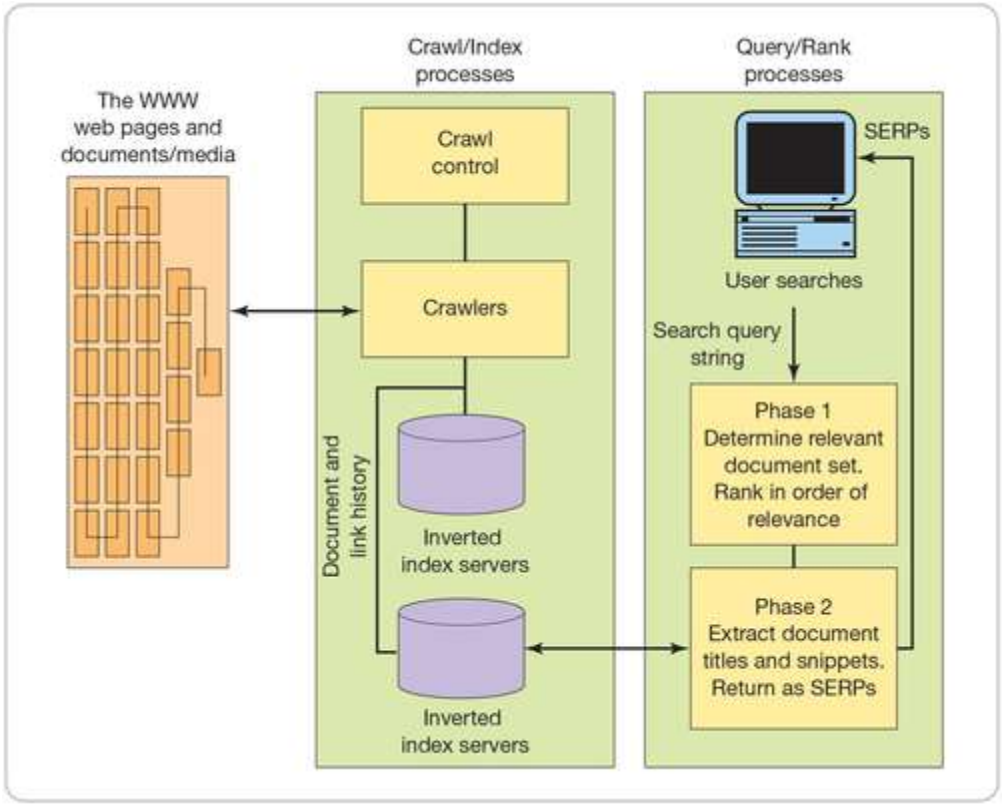
Although the terms ‘bot’ and ‘spider’ give the impression of something physical visiting a site, the bots are simply software processes running on a search engine’s server that request pages, follow the links contained on that page and create a series of page references with associated URLs. This is a recursive process, so each link followed will find additional links that then need to be crawled.

2. *Indexing*. An index is created to enable the search engine to rapidly find the most relevant pages containing the query typed by the searcher. Rather than searching each page for a query phrase, a search engine ‘inverts’ the index to produce a lookup table of

documents containing particular words. Marketers can use Google's Search Console (formerly Webmaster Tools) to understand which pages are indexed and get recommendations about potential duplicate content.

Figure9.5

Stages involved in producing a search engine listing for the natural listings



The index information consists of phrases stored within a document and also other information characterising a page such as the document's title, meta description, PageRank, trust or authority, spam rating, etc. For the keywords in the document, additional attributes will be stored, such as semantic markup (<h1>, <h2> headings denoted within HTML),

occurrence in **link anchor text**, proximity, frequency or density and position in document, etc. The words contained in link anchor text 'pointing' to a page are particularly important in determining search rankings.

3. *Ranking or scoring.* The indexing process has produced a lookup of all the pages that contain particular words in a query, but they are not sorted in terms of relevance. Ranking of the document to assess the most relevant set of documents to return in the SERPs occurs in real time for the search query entered. First, relevant documents will be retrieved from a runtime version of the index at a particular data centre, then a rank in the SERPs for each document will be computed based on parsing many ranking factors, of which we highlight the main ones in later sections.
4. *Query request and results serving.* The familiar search engine interface accepts the searcher's query. The user's location is assessed through their IP address and the query is then passed to a relevant data centre for processing. Ranking then occurs in real time for a particular query to return a sorted list of relevant documents and these are displayed on the search results page.

Search engine ranking factors

Google has stated that it uses more than 200 factors or signals within its search ranking algorithms. These include positive ranking factors that help boost position, and negative factors or filters that are used to remove

search engine spam (also known as webspam) from the index when SEO companies have used unethical approaches such as automatically creating links to mislead the Google algorithms. The importance of ranking factors is much disputed by SEOs, since with so many factors it is difficult to isolate their impact to prove a correlation or, more importantly, a causative relationship between them. The interested should read the balanced article by Fiorelli (2014) discussing ‘The myth of Google’s 200 ranking factors’ and Brian Dean’s updated compilation of 200 Google ranking factors (Dean, 2020). In this coverage we will summarise the current thinking based on Dave Chaffey’s more than 20 years of experience as an SEO consultant and publisher.

Can Generative AI support SEO by supporting ranking factors?

With the growth of Generative AI discussed in other chapters, it is no surprise that many businesses are using GenAI to support content creation aimed at improving their organic search results. Goodey (2023) gives an example of how B2B Finance business Causal used AI-based programmatic SEO tool Byword (byword.ai) to boost organic site traffic by creating many more pages. Causal (https://causal.app/) a finance platform for startups offering financial statements, ARR reporting, forecasts, budgets, and scenario plans. It wanted Byword to raise awareness. The strategy involved creating 5,000 pages around technical questions people working in this financial sector were searching for. Intent focused on glossaries, question frameworks, formulas. The content

was created using a proprietary GPT-3 model to create pages with a standard structure (known as templating or boilerplating). Byword shared these results, where the pages collectively contribute over a million organic sessions a month for Causal this grew from: 0 to 750,000 per month with AI content within 6 months and within a further 6 months reached per million per month.

Note that this example relates to using the Byword Tool before it was publicly launched. Google has changed its algorithms since this time and Causal has updated its SEO strategy.

Since AI content generation has become more common, Google has clarified its approach to assessing this content. They don't say GenAI should never be used, rather that it is subject to the same quality checks as other content for E-E-A-T as explained in Digital marketing insight 9.2. Essentially, Google use their algorithms to assess quality and if the AI generated content is the best quality compared to other content it will serve it, it is not specifically discouraged or penalized. So it's important content editors understand the need for website pages which will rank competitively to feature high quality, audience-relevant content that support business goals and also meet the E-E-A-T guidelines.

In 2024 Google started including its own AI-generated content '*AI Overview*' feature at the top of the SERPS for many queries to help searchers. This content is automatically generated by the AI, so it is not

from a specific site, meaning that site owners have lost an opportunity to use SEO to get their site featured (although some relevant sites are highlighted next to this).

At a top level, the two most important factors for good ranking positions in all the main search engines are:

- *Matching between web page copy and the key phrases searched.* The main factors to optimise on are 'related keywords used on page', keyword formatting, keywords in anchor text and the document metadata including page title tags. The SEO process to improve results in this area is known as **on-page optimisation**. We will cover some of the details of best practice for this process in a topic later in this section.
- *Links into the page (inbound or **backlinks**).* Google counts each link to a page from another page or another site as a vote for this page. So pages and sites with more external links from other sites will be ranked more highly. The quality of the link is also important, so if links are from a site with a good reputation and relevant context for the keyphrase, then this is more valuable. Internal links are also assessed in a similar way. Link quality tends to be higher for links with relevant anchor text from within a relevant article. The processes to improve this aspect of SEO are **external link building** and **internal link architecture**. To reduce the impact of webspam, search engines introduced **nofollow tags**,

which means that links added to comments in blogs and social network updates have a limited impact, although it seems that many search spammers aren't aware of this.

When we first wrote about SEO in the first edition of this text, the concept of content marketing didn't exist. Today, among practising marketers, it is now recognised that the best, scalable way to gain quality backlinks is through content marketing described in the 'Content marketing' section in **Chapter 8**. This involves developing quality content and then working with partner sites through a process of 'outreach'. Some have suggested that SEO has become less important, but the reality is that SEO has always involved a combination of technical SEO to ensure pages are indexed, development of content and working with other site owners. This hasn't changed.

With the growing importance of sharing of links through social media, the search engines can potentially use the number of social mentions to a page and across a site to determine ranking positions. However, Google's search engineers have never officially confirmed that social signals are used when asked. Although analysis has shown there is a correlation between number of social shares and articles that rank more highly, this doesn't indicate causation. There may be other known ranking factors in play, e.g. pages with more social shares tend to be more popular, have higher user engagement and are more likely to attract backlinks from

other sites as more people become aware of them. Certainly, it is positive for many reasons to create articles that encourage social sharing.

The implications of this are that if companies can get influencers to recommend their content or offers through social networks, this can have the dual effect of reaching more people through their **social graph** and improving rankings.

Advantages and disadvantages of SEO

Advantages of SEO

Advantages of SEO

The main benefits of SEO are:

- *Significant traffic driver.* Figure 9.1 showed that search marketing can attract a significant proportion of visitors to the site *if* companies are successful in implementing it.
- *Highly targeted.* Visitors are searching for particular products or services so will often have a high intent to purchase – they are qualified visitors. Registering with Google My Business enables businesses with a physical presence to gain visibility in Google Maps SERPs features.
- *Potentially low-cost visitors.* There are no media costs for ad display or click-through. Costs arise solely from the optimisation process where in-house staff or agencies are paid to improve positions in the search results.
- *Dynamic*. The search engine robots will crawl the home page of popular sites daily, so new content is included relatively quickly for the most popular pages of a site (less so for deep links).

Disadvantages of SEO

Despite the targeted reach and low cost of SEO, it is not straightforward as these disadvantages indicate:

- *Lack of predictability.* Compared with other media, SEO is very unreliable in terms of the return on investment – it is difficult to predict results for a given investment and is highly competitive. Now that AI-generated results are featured within the SERPs, this uncertainty has increased. Indeed, some have (again) proclaimed the 'death of SEO' and it's likely we will see fewer people using Google and Bing. Now that we have Generative AI such as ChatGPT that can provide a more specific answer when prompted. See Activity 2.2 Using ChatGPT and generative AI tools to support search engine optimisation in different sectors for more discussion.
- *Time for results to be implemented.* The results from SEO may take months to be achieved, especially for new sites.
- *Complexity and dynamic nature.* The search engines take hundreds of factors into account, yet the relative weightings are not published, so there is not a direct correlation between marketing action and results – 'it is more of an art than a science'. Furthermore, the ranking factors change through time.
- *Ongoing investment.* Investment is needed to continue to develop new content and generate new links.
- *Poor for developing awareness in comparison with other media channels.* Searchers already have to be familiar with a brand or

service to find it. However, it offers the opportunity for less well-known brands to ‘punch above their weight’ and to develop awareness following click-through.

For these reasons, investment in paid search may also be worthwhile.

Best practice in planning and managing SEO

In this section we will review six of the main approaches used to improve the results from SEO covering different search engine ranking factors. We describe these in some detail since it is one of the most cost-effective digital marketing techniques, so it’s important to understand that SEO is a technical discipline and that the techniques used change through time. For this reason, SEO is often outsourced to a specialist SEO agency, although some companies believe they can gain an edge through having an internal specialist who understands the company’s customers and markets well. You will see that some of the on-page optimisation techniques recommended in this section are relatively straightforward and it is important to control brand and proposition messages. Content editors and reviewers within a company therefore need to be trained to understand these factors and incorporate them into their copywriting.

1 Search engine registration

When a new site is launched, its pages need to be crawled for it to be included within the search engine index and potentially get visibility. Google advises new sites should be registered by submitting new and updated URLs to verify site ownership on Search Console. Most existing companies and startups will be included automatically in the search index since the search engine robots will follow links from other sites that link

to them and do not require submission services. New sites should seek to gain relevant backlinks to boost their authority in Google's eyes. Google has allegedly placed new sites in a review status sometimes referred to as the *Google sandbox effect.* However, Google search engineers deny the existence of this and explain it is a natural artefact produced by new sites having limited links from other sites, history and thus reputation. However, it is important to remember this constraint when creating startup companies or separate unlinked **microsites** for a campaign since you may have to rely on paid search to gain SERPs visibility.

It is useful for business owners with a physical presence to register with Google Business Profile (formerly Google My Business) so their business may be displayed prominently in a Google Maps SERPs feature or within local searches. Local search engine optimisation involves increasing visibility for geographically constrained searches by improving the quality of images, product listings, reviews and backlinks for retail locations.

2 Index inclusion

Although a search engine robot may visit the home page of a site, it will not necessarily crawl all pages or assign them equal weight in terms or relevance. So, when auditing sites as part of an SEO initiative, SEO agencies will check how many pages are included within the search engine index for different search engines. This is known as **index inclusion**.

Among the potential reasons for not gaining complete index inclusion are:

- Technical reasons why the search robots do not crawl all the pages, such as the use of SEO-unfriendly content management systems with complex URLs.
- Pages identified as webspam or of less importance, or considered to be **duplicate content**, which are then contained in what used to be known as the supplemental index in Google and don't rank so highly. In these cases, it is sometimes best to use a specific 'canonical' meta tag, which tells the search engine which is the primary page. If you are a multinational company with different content sites for different countries, then it can be challenging to deliver the relevant content for local audiences, with use of regional domains tending to work best, but there are specialist techniques such as hreflang code markup, which can be used to tell Google which country and language a page is intended for.

Companies can check the index inclusion by means of:

- using web analytics referrer information to find out which search engines a site's visitors originate from, and the most popular landing pages;
- checking the number of pages that have been successfully indexed on a site – for example, in Google the search 'site:

www.smartinsights.com' lists all the pages of Dave's site indexed by Google and gives the total number in the top-right of the SERPs;

- using Google Search Console – a free service that site owners can register with that shows pages indexed and potential webspam problems, such as the penalties that may result in reduced search rankings (described in Digital marketing insight 9.2).

Digital marketing insight 9.2

Is SEO a zoo of Pandas and Penguins?

Since it was launched, Google has named many of the major updates to its algorithm. The best source to review the latest changes is the Moz Google Algorithm Update History (moz.com/google-algorithm-change). Some of the earlier updates, such as Florida in 2003 and Jagger in 2005, marked the start of Google proactively combating webspam. In the entry for Florida, Moz explains:

> This was the update that put updates (and probably the SEO industry) on the map. Many sites lost ranking, and business owners were furious. Florida sounded the death knell for low-value late '90s SEO tactics, like keyword stuffing, and made the game a whole lot more interesting.

Each year sees hundreds of minor changes, which recently have been grouped into 'core updates', which SEO specialists have to assess the importance of and review the impact

on their sites using analytics. This is one reason that so many people work within SEO. Google Developers (2019) explains the importance of core updates like this:

> Each day, Google usually releases one or more changes designed to improve our search results. Most aren't noticeable but help us incrementally continue to improve. Several times a year, we make significant, broad changes to our search algorithms and systems. We refer to these as 'core updates'. They're designed to ensure that overall, we're delivering on our mission to present relevant and authoritative content to searchers.

Google Developers (2022) emphasises the importance of Experience, *Expertise, Authoritativeness, and Trustworthiness (E-E-A-T)* within its algorithms, which are documented in its search quality rater guidelines. Raters perform manual checks on sites to confirm algorithms are working effectively, based on reviews of the quality of the content and also the authoritativeness of the author and site.

The **Panda and Penguin algorithm updates** have had a large impact on organic search for many businesses, reducing the visits to many companies, and are still major factors affecting rankings.

Panda involves a series of major algorithm updates by Google dating from 2011 that are still in place today, aimed at reducing the visibility of low-quality sites with 'thin' content. It was originally known as 'Farmer' since it was aimed at reducing the visibility, i.e. ranking positions, of 'article farm' sites where webmasters could submit low-quality keyword-stuffed articles to sites targeting specific anchor text.

Penguin was another series of major algorithm updates by Google dating from April 2012 onwards aimed at reducing the visibility of sites involved in aggressive link building. Specific techniques to avoid, which could result in penalties such as removal of pages from the search results or reduced rankings, include:

1. a backlink profile with too many links with similar exact-match anchor text, i.e. the same keyphrases from multiple sites;
2. keyword stuffing in inbound and outbound links;
3. use of keywords in 'exact-match domains (EMD)' where the domain name targeted a specific phrase;
4. related on-page factors where Google penalised poor-quality pages violating its guidelines.

In addition to changes intended to combat spam, there are also algorithm updates related to infrastructure, such as Caffeine and Hummingbird, which developed a concept called the **Knowledge Graph**.

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3 Keyphrase analysis

The key to successful search engine marketing is achieving **keyphrase** relevance, since this is what the search engines strive for – to match the combination of keywords typed into the search box to the most relevant destination content pages. Notice that we say 'keyphrase' (short for 'keyword phrase') rather than 'keyword', since search engines such as Google attribute more relevance when there is a phrase match between the keywords that the user types and a phrase on a page.

Key sources for identifying the keyphrases your customers are likely to type when searching for your products include your market knowledge, competitors' sites, keyphrases from visitors who arrive at your site (from web analytics), the internal site search tool and the keyphrase analysis tools such as the Google Keyword Planner. When completing keyphrase analysis we need to understand different qualifiers that users type in. Here are examples of common types of qualifiers for 'car insurance':

- *comparison/quality* – compare car insurance;
- *adjective (price/product qualifiers)* – cheap car insurance, women's car insurance;
- *intended use* – high-mileage car insurance;
- *product type* – holiday car insurance;
- *vendor* – Churchill car insurance;
- *location* – car insurance UK;
- *action request* – buy car insurance.

According to the Google Keyword Planner tool, for a single month in 2021, for searches completed in the United Kingdom, the most popular phrases related to car insurance were:

- car insurance: 550,000;
- car insurance quotes: 246,000;

- cheap car insurance: 165,000;
- compare car insurance: 165,000;
- classic car insurance: 18,000;
- young drivers car insurance: 6,000.

Note these volumes aren’t for exact match phrases, but may contain related phrases.

These volumes suggest the importance of ranking well for high-volume ‘generic’ keyphrases such as ‘car insurance quotes’ and to consider products and services that target a need such as ‘classic car insurance’ or ‘young drivers insurance’.

4 On-page optimisation

Although each search engine has its own algorithm with many weighting factors that change through time, fortunately there are common factors in the match between search terms entered and the occurrence of the words on the page that influence search engine rankings.

Occurrence of search term in body copy

The number of times the keyphrase is repeated in the text of the web page is a factor in determining the position for a keyphrase, but it is less important than when search engines were first developed, as discussed by

Fiorelli (2014). Copy can be written to increase the number of times a word or phrase is used (formerly known as keyword density) and this can have a limited impact to boost position in the search engine. Note, though, that search engines carry out checks that a phrase is not repeated too many times (such as ‘cheap flights ... cheap flights ... cheap flights ... cheap flights ... cheap flights ... cheap flights ... cheap flights ... ’ or the keyword is hidden using the same colour text and background) and will not list the page if this keyphrase density is too high or it believes ‘keyword stuffing’ or ‘search engine spamming’ has occurred. Today, other ranking factors such as anchor text of backlinks pointing to the page from other pages and other sites, and the natural occurrence of synonyms within the page body copy, headings and title are more important. User behaviour signals are also important, so Google favours pages that engage visitors for longer and so have longer dwell times or lower bounce rates compared to other pages.

In its guidance for webmasters, Google (2018) states:

> Google goes far beyond the number of times a term appears on a page and examines all aspects of the page’s content (and the content of the pages linking to it) to determine if it’s a good match for your query.

These other factors include:

- frequency (which must be not too excessive, i.e. less than 2–4 per cent);
- occurrence in page title and headings, marked in HTML code as <title>, <h1>, <h2>;
- occurrence in anchor text of hyperlinks;
- markup such as bold;
- proximity of phrase to start of document and the gap between individual keywords;
- links out to other related sites;
- alternative image text (explained below);
- document metadata (explained below).

Alternative image text

Graphical images can have hidden text associated with them that is not seen by the user (unless graphical images are turned off or the mouse is rolled over the image) but will be seen and indexed by the search engine and is a minor ranking factor, particularly in images linking to other pages. For example, text about a company name and products can be assigned to a company logo using the ‘ALT’ tag or attribute of the image tag as follows:

> <img src=“car-insurance-photo.png” alt=“Car insurance”>

In some sectors, where the images that SERPs feature are commonly displayed or people are using image search, it may be useful to optimise images, by uploading quality images that are well captioned and have relevant backlinks.

Document metadata

‘Meta’ refers to information ‘about’ the page that characterises it. The three most important types of metadata are the document <title> tag, the document ‘descriptions’ meta tag and the document ‘keywords’ meta tag. These need to be unique for each page on a site, otherwise the search engine may assess the content as duplicate and some pages may be downweighted in importance. Let’s look at it in a little more detail:

1. *The document title.* The <title> tag is arguably the most important type of metadata since each search engine places significant weighting on the key phrases contained within it *and* was the call-to-action hyperlink until 2021, when it was replaced by headings (Google, 2021). If it contains powerful, relevant copy, you will get more clicks and the search engine will assess relevance relative to other pages that are getting fewer clicks.

2. *The ‘description’ meta tag.* A meta tag is an attribute of the page within the HTML <head> section, which can be set by the content owner. It doesn’t directly affect ranking, but a compelling description explaining an offer can boost click-through rate, so is good practice. If it is absent or not relevant, Google will display relevant ‘snippets’ from within the body copy, but it is best to control messages and this can help identify the page as unique to prevent duplicate content problems. So, the page creator can modify this to make a stronger call to action in the search engine listings, as in this example:

> <meta name=“description” content=“Direct Line offers you great value car insurance by cutting out the middleman and passing the savings directly on to you. To find out if you could save, why not get a car insurance quote? Breakdown Cover Insurance also available.”>

To see how relevant and unique your <headings> and meta descriptions are, use the Google ‘site’: syntax with a keyphrase – this will return all the pages on your site about a particular topic. For example:

> <digital marketing strategy site:smartinsights.com>

To view meta tags for a site, select View, Source or Page Source in your browser.

3. *The 'keywords' meta tag*. The keywords meta tag is used to summarise the content of a document based on keywords. Some unscrupulous SEOs can still be heard to say to potential clients 'we will optimise your meta tags'. But this is not significant today since the keywords meta tag is relatively unimportant as a ranking factor (Google has never used them), although these keywords may be important to internal search engines. For example:

> <meta name="keywords" content="Car insurance, Home insurance, Travel insurance, Direct line, Breakdown cover, Mortgages personal loans, Pet insurance, Annual holiday insurance, Car loans, UK mortgages, Life insurance, Critical illness cover">

4. *Semantic markup.* In order to better manage the interrelationships between different data on the web, the W3C has introduced specific HTML markup in a format defined by Schema.org known as **microformats**, which can be used to reinforce the semantics, or meaning, of the information on web pages so that it can be better understood and managed by search engines. These are particularly important in some markets since they give more prominence to

businesses in the search results, as described by Bhana (2014), and include:

- local business information such as names and addresses;
- product details such as pricing, size;
- reviews and ratings awarded for articles, products or service quality.

5 External linking

Boosting external links from other sites is vital to SEO in competitive markets – on-page optimisation is insufficient. However, link-building is less easy to control and often neglected. The founders of Google realised that the number of links into a page and their quality was a great way of determining the relevance of a page to searchers, especially when combined with the keyphrases on that page (Brin and Page, 1998). Although the Google algorithm has been upgraded and refined continuously since then, the number and quality of external links is still recognised as an important ranking factor and this is similar for other search engines. As we mentioned previously, links shared through social media are now also used as ranking factors.

Generally, the more links a page has from good-quality sites, the better its ranking will be. **PageRank** is one factor that helped Google deliver relevant results since it counted each link from another site as a vote. However, not all votes are equal – Google gives greater weight to links

from pages that themselves have a high PageRank and where the link anchor text or adjacent text contains text relevant to the keyphrase. Google no longer publishes PageRank data, although its thought that the concept is still relevant for ranking.

While natural links will be generated if content is useful, a proactive approach to link building is required in competitive markets. Chaffey and Smith (2017) recommend these steps to help boost your external links:

1. *Identify and create popular content and services.* By creating more valuable 'cornerstone content' and then showcasing it within your navigation, or grouping it within a few pages such as 'Useful Resources' or a more extensive 'Resource Centre', you can encourage more people to link to your content naturally, or approach them and suggest they link or bookmark not only to the home page, but directly to the useful tools that have been created. This is part of the content marketing approach described in **Chapter 8**.
2. *Identify potential partner sites.* There are several options to find partner sites as part of a process of 'outreach' to support SEO. It is helpful to try to identify the types of sites that you may be able to link with, such as:

- directories of links (typically less valuable today);
- traditional media sites;

- niche online-only media sites;
- trade associations;
- manufacturers, suppliers and other business partners;
- press release distribution sites (typically less valuable today);
- bloggers including customers and partners;
- social networks.

Note: The section on online PR later in this chapter has more guidance on approaches for link building and influencer outreach, which is the technical term for this activity and is one method of ‘content distribution’ described in the ‘Content marketing’ section in Chapter 8.

3. *Contact partner sites as part of link building/outreach.* A typical sequence is:

- Step 0 – develop relevant content or offer to encourage linking as part of content marketing.
- Step 1 – write email encouraging link (or a phone call to discuss with someone inside the company will often work best).
- Step 2 – follow up link.
- Step 3 – set up links.

Google suggests that site owners should rely on organic linking to their content because of its value, and has criticised many approaches to proactive link-building that marketers have found effective. For example, Google has cautioned that ‘guest blogging’, where a writer creates an article for another site linking back to their own site, shouldn’t be used. Yet it is a common, effective practice and is essentially a form of PR, so it is no surprise that marketers persist with this practice. However, Google has put filters such as the Penguin algorithm in place to reduce the impact of links from other sites that are clearly used to ‘game’ the system. So if an ignorant link-builder has created many identical links to a site from different sites with the same anchor text, such as ‘car insurance quotes’ for example, then Google will see this as an unnatural ‘backlink profile’ for the site. Google has put tools in place to ‘undo the damage’ created by link-building, such as a Disavow link tool in Google Search Console.

Given that the quality (and quantity) of inbound or backlinks is one of the main factors that determines SEO success, it is important that an in-house or agency specialist uses the types of tools shown in Digital marketing insight 9.3 to review their approach.

Many of the principles of external link-building can also be applied to links within sites. The most important principle is to include keyphrases used by searchers within the anchor text of a hyperlink to point to relevant content. It’s also important to consider how to increase the number of

internal links to pages that you want to rank well. A meshed structure with lots of interlinks can work better than a simple hierarchy.

6 SEO for mobile devices

Since smartphone use has increased substantially, Google has taken many steps to ensure users of its search engine have a good experience on mobile. These are some of the key initiatives that marketers have to be aware of since they may lose visibility or miss out on opportunities:

1. *Page download speed.* With much of the world still not using 4G, 5G or broadband, Google assesses page download speeds, publishes benchmarks of the Core Web Vitals measures we outlined in **Chapter 7** and may penalise particularly slow sites.
2. *Mobile rendering.* Google provides developers with testing tools to ensure all sites render so they are usable on smartphones and tablets as well as desktops. Google has recommended the mobile-responsive design approach we covered in Chapter 7. Pages that don't follow mobile design standards may lose visibility.
3. *Pop-ups and interstitials***.** Pop-ups and interstitial promotions are displayed on some sites when a page loads – for example, retailers and publishers encourage site visitors to sign up to an e-newsletter. Google has advised site owners that these shouldn't be used on smartphones and that it may penalise sites that display these.

4. *Accelerated Mobile Pages (AMPs)***.** In Chapter 7 we explained that these faster-loading page formats, which are served from Google's servers rather than a company's server, are used by publishers and in some other sectors. A related technology we reference in Chapter 7 is Progressive Web Apps (PWAs), which can be used alongside AMPs and are designed for rapid serving of content without the need for a native mobile app from an app store.

Paid search marketing

Although SEO has proved a popular form of digital marketing, paid search marketing is still of great relevance since it gives much more control on the appearance in the listings, subject to the amount bid and the relevance of the ad. Figure 9.1 suggests the importance of paid search within the retail sector and it is also a significant site visitor driver in other sectors where there is a high level of search intent for products.

Each of the main Western search engines has its own paid advertising programme:

- Google Ads (ads.google.com), which display on Google Search and partner sites including the Google Display Network;
- Microsoft Ads (https://ads.microsoft.com), which display on the Bing search engine and partner sites.

What is paid search marketing?

We explained the principles of paid search marketing or sponsored links in the introduction to the section on search engine marketing. Although we said that the main model for paying for ads in the search engines is pay-per-click marketing, we have called this section paid search marketing since there are other options for payment such as serving ads on YouTube Ads or media sites. Retailers have an additional option for

paid search, available as part of Google Shopping ads. These are ads showing product images and prices that you may have seen when searching for retail products. Google Shopping ads account for around 60 per cent of paid search ad spend in retail in the United States according to Merkle (2020).

Paid search marketing is an example of **biddable media**, where businesses have to bid against other businesses to achieve visibility for their adverts. Note that, as we will see in the section on quality score, the amount bid isn't the only factor that affects the prominence of the ad, since relevance of the ad is also important.

Paid search content network

Paid listings are also available through the **display network** of the search engines such as Google AdSense and Yahoo! Bing Contextual Ads. These **contextual ads** are automatically displayed according to the page content. They can be paid for on a CPC or CPM basis and include not only text ads but also options for graphical display ads or video ads. Google generates around one-fifth of its revenue from the Google Display Network, so there is a significant amount of expenditure on the network.

What controls position in paid search?

In early pay-per-click programmes, the relative ranking of sponsored listings was simply based on the highest-bidded cost-per-click (CPC) for

each keyword phrase. So, it was a pure auction arrangement, with the cost-per-click dependent on the balance of the extent of competition in the marketplace against the revenue or profit that can be generated dependent on conversion rates to sale and retention. The high CPCs (Table 9.2) at the time of writing in different B2C and B2B product sectors show how competitive Google Ads is. Since only a small proportion of visitors to a site clicking from the ad will convert, it can be difficult to generate a positive return on investment for these generic terms. If 10 per cent of people who click through to a site convert to sale, this gives a cost-per-acquisition of 10 times the CPCs shown in Table 9.2.

Contrary to what many web users may believe, today it is not necessarily the company that is prepared to pay the most per click that will get top spot. The search engines also take the relative click-through rates of the ads dependent on their position (lower positions naturally have lower click-through rates) into account when ranking the sponsored links, so ads that do not appear relevant, because fewer people are clicking on them, will drop down or may even disappear off the listing. The analysis of CTR to determine position is part of the **quality score**, a concept originally developed by Google but now integrated as part of the Microsoft search.

Table9.2

Example variation in cost-per-click for different keywords in UK campaigns

Category	CPC (£)

Broadband	1.88
Car insurance	2.62
Digital marketing agency	4.34
Laser eye treatment	1.03
Marketing automation	7.75

Source: Suggested top-of-page bid (low range) from the Google Keyword Planner in 2021

Google quality score

Understanding quality score is the key to successful paid search marketing. You should consider its implications when you structure the account and write copy or review performance with an agency. Google developed the quality score because it understood that delivering *relevance* through the sponsored links was essential to its users' experience, and the company's profits. Google Ads' help system explains:

> The Ads system works best for everybody; advertisers, users, publishers and Google too when the ads we display match our users' needs as closely as possible. We call this idea 'relevance'.

> We measure relevance in a simple way: Typically, the higher an ad's quality score, the more relevant it is for the keywords to which it is tied. When your ads are highly relevant, they tend to earn more clicks, move higher in Ad Rank and bring you the most success.

A summary formula for the Google quality score is:

> Quality score = (keyword's click-through rate, ad text relevance, keyword relevance, landing page relevance, speed and other methods of assessing relevance)

So, higher click-through rates achieved through better-targeted creative copy are rewarded, as is relevance of the landing page (Google now sends out AdsBot-Google to check them out). More relevant ads are also rewarded through ad text relevance, which is an assessment of the match

of headline and description to the search term. Finally, the keyword relevance is the match of the triggering keyword to the search term entered.

If you have ever wondered why the number of paid ads above the natural listings varies from none to four, then it’s down to the quality score as well as amount bid – you can only get the coveted positions for keywords that have a sufficiently high-quality score – you can’t solely ‘buy your way to the top’, as many think.

Advantages and disadvantages of paid search marketing

Paid search ad listings (previously known as sponsored links) are very important to achieve visibility in search engines when an organisation is in a competitive market with high levels of search intent, given the competition to appear on the first page of the natural listing for target keyphrases.

As a result, many companies with an established paid search programme may generate more visits from paid search than SEO, although this wouldn’t be true for companies that are class leaders in SEO.

Advantages of paid search marketing

The main benefits of paid search marketing are:

- *The advertiser is not paying for the ad to be displayed.* As we explained at the start of **Chapter 8**, wastage is much lower with paid search compared to traditional advertising. Cost is only incurred when an ad is clicked on and a visitor is directed to the advertiser's website. Hence it's a cost-per-click (CPC) model! However, there are increasingly options for paid search marketing using other techniques – Google also offers CPM (site targeting) options on the **Google Display Network (GDN)**, where contextual ads are displayed on third-party sites relevant to the content on a page.
- *PPC advertising is highly targeted.* The relevant ad with a link to a destination web page is only displayed when the user of a search engine types in a specific phrase (or the ad appears on the content network, triggered by relevant content on a publisher's page), so there is limited wastage compared to other media. YouTube users can also be targeted through Google's 'promoted video' PPC option. Users responding to a particular keyphrase or reading related content have high intent or interest and so tend to be good-quality leads.
- *Good accountability.* With the right tracking system, the ROI for individual keywords can be calculated.

- *Predictable:* Traffic, rankings and results are generally stable and predictable in comparison to SEO. If budget is available to compete, it will be possible to attract relevant traffic. Merkle (2020) reports that for smartphones, the average percentage of search clicks on ads in the United States is around 70 per cent while for desktop it is significantly lower at 30 per cent.
- *Technically simpler than SEO.* Position is based on combination of bid amount and quality score, whereas SEO requires long-term, technically complex work on page optimisation, site restructuring and link building.
- *Remarketing:* Google offers a remarketing option for retargeting through cookies placed on the searcher's computer to display ads on the content network after someone has clicked on a paid search ad or visited a specific page on a site as a reminder to act. RLSA (remarketing lists for search ads) is a retargeting option where ads are displayed in the SERPs where someone has previously interacted with a brand. These can be effective in boosting the conversion rate to lead or sale.
- *Prospecting with Customer Match.* By uploading a list of email addresses of prospects or customers, i.e. similar audiences, Google can serve ads to people who are similar in terms of their profile and behaviour.
- *Speed:* PPC listings get posted quickly, usually in a few days (following editor review). SEO results can take weeks or months to

be achieved. Moreover, when a website is revised for SEO, rankings will initially drop while the site is re-indexed by the search engines.

- *Branding.* Tests have shown that there is a branding effect with PPC, even if users do not click on the ad. This can be useful for the launch of products or major campaigns.
- *Artificial intelligence tools.* Provided by Google and other providers, these can be used to automate the targeting and bidding process. Google provides ‘Smart campaigns’, which use machine learning from historical search data to select target keywords and bids to achieve goals; however, it provides granular analysis and control. ‘Smart Shopping’ provides automation for retailer product feeds aiming to maximise conversion value.

Disadvantages of paid search marketing

There are disadvantages to be managed, some of which are reduced by the new AI-based tools:

- *Competitive and expensive.* Since pay-per-click has become popular, some companies may get involved in bidding wars that drive bids up to an unacceptable level. Some phrases such as ‘car insurance’ can exceed £10 per click.
- *Inappropriate.* For companies with a lower budget or a narrower range of products on which to generate lifetime value, it might not

be cost-effective to compete.

- *Requires specialist knowledge*: PPC requires a knowledge of configuration, bidding options and of the reporting facilities of different ad networks. Internal staff can be trained, but they will need to keep up to date with changes to the paid search services.
- *Time-consuming.* To manage a PPC account can require daily or even hourly checks on the bidding in order to stay competitive. This can amount to a lot of time. The tools and best practice vary frequently, so keeping up to date is difficult.
- *Irrelevant.* Sponsored listings are only part of the search engine marketing mix. Many search users do not click on these because they don’t trust advertisers, although these are mainly people involved in marketing!

The complexity of Paid search is one of the disadvantages of Google Ads, but Google has sought to decrease this using automation and AI. For example, Performance Max (Pmax) now offers a goal-based campaign type that allows performance advertisers to access all of their Google Ads inventory from a single campaign. It's designed to complement keyword-based search campaigns to help find more converting customers across all of Google's channels like YouTube, Display, Search, Discover, Gmail and Maps. Pmax uses Google AI across bidding, budget optimisation, audiences, creatives, attribution based on specific advertising objectives, for example, if you have a CPA or ROAS target, and the creative assets,

audience signals and optional data feeds you provide. Although these tools use AI to deliver simplicity and are directed to targets, they do have disadvantages such as a lack of transparency through less granular reporting. Google provide ‘Experiments’ as a tool to compare different of targeting, bidding and AI on different campaigns. The Mini case study 9.1 explains the optimisation approach to improve ad effectiveness from one retailer.

Mini case study 9.1

How B&Q built a new creative framework for cross-platform campaign success

B&Q is a British DIY retailer B&Q with an online marketplace of more than 1.2 million products. Creating effective ad creative for this many products is a challenge.

One of B&Q’s primary advertising channels is Search, where AI-based Smart Shopping campaigns have delivered strong results for many years. Recently, though, platforms such as YouTube have gained importance for both brand activity and driving sales at the lower end of the funnel

They decided to test performance max (Pmax) across their campaigns for increased efficiency.

However, going from manually producing a handful of high-quality ad visuals and videos to hundreds simply wasn’t practical so AI-based auto-generated assets were used. We used Google’s ABCD principles to make these as effective as possible (Attention, Branding, Connection, Direction).

Through running tests, B&Q and Google created a playbook of specific ways to improve retail video ads for their sector:

- Put the brand logo up
- Use a voiceover
- Introduce the product early on, close-up and in real-world settings
- Optimise for all screens including mobile
- Highlight offers

As B&Q have scaled their AI activity and fed in our creative sprint insights, they have seen a 14 per cent increase in return on ad spend (ROAS) in under a year.

Source: How B&Q built a new creative framework for cross-platform campaign success Tara West, Tom Rohner April 2024.

Best practice in planning and managing paid search marketing

With PPC, as for any other media, media buyers carefully evaluate the advertising costs in relation to the initial purchase value or lifetime value they feel they will achieve from the average customer. As well as considering the cost-per-click (CPC), you need to think about the conversion rate when the visitor arrives at your site. Clearly, an ad could be effective in generating click-throughs or traffic, but not achieve the outcome required on the website such as generating a lead or online sale. This could be because there is a poor-incentive call-to-action, or the profile of the visitors is simply wrong. One implication of this is that it will often be more cost-effective if targeted microsites or landing pages are created specifically for certain keyphrases, to convert users to making an enquiry or sale. These can be part of the site structure, so clicking on a ‘car insurance’ ad will take the visitor through to the car insurance destination page on a site rather than a home page.

Table 9.3 shows how cost-per-click can differ between different generic (e.g. ‘car insurance’) and specific (e.g. ‘women’s car insurance’) keywords, as well as the impact of different conversion rates on the overall CPA. The table also shows the cost of PPC search in competitive categories and why companies will strive to maximise their quality score to help reduce costs.

The cost-per-customer acquisition (CPA) can be calculated as follows:

Given the range in costs, two types of strategy can be pursued in PPC search engine advertising. If budget permits, a premium strategy can be followed to compete with the major competitors who are bidding the highest amounts on popular keywords. Such a strategy is based on being able to achieve an acceptable conversion rate once the customer arrives on the website. A lower-cost strategy involves lower bids or bidding on lower-cost, less-popular phrases. These will generate less traffic, so it will be necessary to devise a lot of these phrases to match the traffic from premium keywords.

Table9.3

Examples of cost-per-click and CPA figures

Keywords	Clicks/day	Avg. CPC	Cost/day	CPA @ 25% conversion	CPA @ 1 convers
‘car insurance’	1,323	€15.6	€20,640	€62	€156
‘cheap car insurance’	199	€14.6	€2905	€58	€146

‘women’s car insurance’	4	€11.6	€46	€46	€116

Optimising pay-per-click

Each PPC keyphrase ideally needs to be managed individually in order to make sure that the bid (amount per click) remains competitive in order to show up in the top of the results. Experienced PPC marketers broaden the range of keyphrases grouped into ad groups to target lower-volume phrases. Since large retail advertisers will typically manage thousands of keywords to generate click-throughs, manual bidding soon becomes impractical.

Some search engines include their own AI-based management tools including Google’s Smart campaigns and Smart Shopping, but if an organisation is using different pay-per-click schemes or has complex accounts, it may make sense to use a single tool such as Skai, Acquisio or Marin to compete. Some of these tools have the advantage that they can also be used for managing social media and display ad campaigns.

The current CPC is regularly reviewed and your bid is reduced or increased to maintain the position you want according to different strategies and ROI limits, with amounts capped such that advertisers do not pay more than the maximum they have deposited.

Although pay-per-click marketing does not initially appear as complex as search engine optimisation, in reality there are many issues to consider. In the next section we explain some of the main techniques and questions for the digital marketer to ask.

1 Targeting

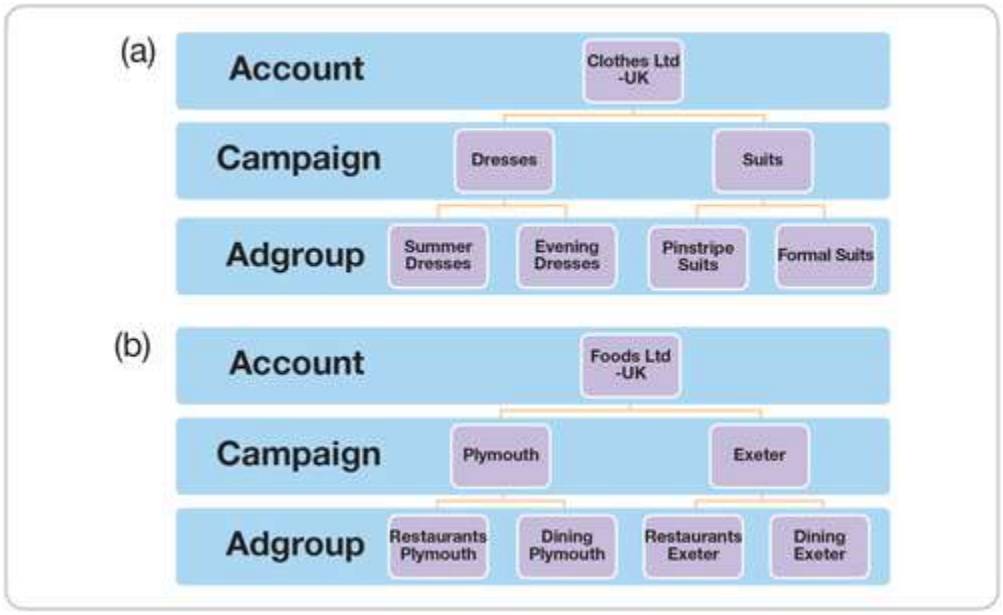
- *Search ad network strategy*. Which of the search networks mentioned above do you use? Which are used in different countries?
- *Display network strategy.* How do you treat the Google Display Network? Do you disable it? Create separate campaigns? Target specific sites using the Placement tool? Develop different creative? Use placement targeting to target specific sites in Google?
- *Campaign structure strategy***.** Campaign structure is important to ensure that searches using a specific search term trigger the relevant ad creative. Are ad groups small enough to deliver a message relevant for the keyphrase entered? To understand the type of targeting that is possible, look at these two examples. First, in Figure 9.6(a) we have a campaign structure for an online clothes retailer. It monitors spend and budget by product type, so structures its campaigns accordingly and targets them nationally. Keywords related to each product will trigger ads defined within each ad group. In Figure 9.6(b) is an example of a campaign for a restaurant

chain. It monitors spend and budget by outlet, so structures its campaigns accordingly and targets them to local areas.

- *Keyword matching strategy.* How is creative targeted using the combination of broad match, modified broad match and negative match, phrase match and exact match? Google Ads reports on click volumes for search terms or queries entered by users; these should be reviewed regularly to exclude irrelevant terms that have a low probability of conversion by using negative matches.
- *Search-term targeting strategy.* What are the strategies for targeting different types of keyphrases such as brand, generic, product-specific and different qualifiers (cheap, compare, etc.)?

Figure9.6

Google Ads campaign structures: (a) clothing retailer; (b) restaurant chain



2 Budget and bid management

- *Budgeting strategy.* Is budget set as maximum cost-per-click (CPC) at the appropriate level to deliver satisfactory return on investment? Is daily budget sufficient that ads are served at full delivery (always present)? Should we use Google’s machine learning bid management tools, which can, for example, optimise on conversions?
- *Listing position strategy.* Which positions are targeted for different keywords? The effectiveness of this can be reviewed using a measure in Google Ads reports called Impression Share, which enables relative reach compared to competitors to be evaluated. Less control is available for this through smart bidding.
- *Bidding strategies.* What is the appropriate maximum cost-per-click for different target keywords and campaigns to maximise effectiveness? Google offers *Smart Bidding* strategies that use Google's AI to optimise for conversions or conversion value in each auction – a feature known as 'auction-time bidding'. Target CPA, target ROAS, Maximise conversions and Maximise conversion value are all Smart Bidding strategies.
- *Dayparting strategy.* Are ads delivered continuously through the day and week or are certain days and times targeted (e.g. office hours, evening after ad breaks)?

- ***bid adjustments***. This is a tool to simplify the complexity of advertising when different types of mobile devices can be targeted in different locations at different times. If a business isn't seeing such a high return on mobile devices then it can reduce bids.
- *Bid management tool strategy***.** Is a tool used to automate bidding? Which?
- *Importance of fake clicks.* Whenever the principle of PPC marketing is described to marketers, very soon a light bulb switches on and they ask, 'So we can click on competitors and bankrupt them?'. Well, actually, no. The PPC ad networks detect multiple clicks from the same computer (IP address) and filter them out.

3 Creative testing and campaign optimisation

- *Ad creative and copy strategy.* How are the 95 characters forming ad headlines, description and creative used to encourage click-through (and reduce click-through from unqualified visitors if necessary)? Is alternative copy tested? How are ads tested?
- *Destination or landing page strategy.* How are landing pages improved?
- *Campaign review and optimisation strategy.* What is the workflow for reviewing and improving success? Which reports are used? How often are they reviewed? By whom? Which tests are used? What are the follow-ups?

- *Specialist and innovative paid search techniques.* These include ad extensions, local, international and pay-per-call.

4 Communications integration

- *SEO integration strategy.* How is SEO integrated with paid search to maximise ROI by reducing PPC spend where relevant if target keyphrases rank highly within organic search?
- *Affiliate integration strategy.* How is affiliate marketing integrated with paid search to maximise ROI?
- *Marketing campaign integration strategy.* How are budget and creative changed during offline campaigns?

Each communication technique discussed in the chapter has the potential to be an important online touchpoint in a digital marketing campaign. Now read Research spotlight 9.1 to find out more about how consumers shape their attitudes towards online touchpoints and how these determinants can be used when planning campaigns.

Research spotlight 9.1

Identifying online touchpoints and key determinants

Focus: *Determinants of consumers' attitudes towards digital advertising – Ameta-analytic comparison across time and touchpoints*. Lutens, H., Eisenbeiss, M., Fielder, M., Bijmolt,

T. (2022)

Context: Online touch points, digital and online advertising

Touchpoints are many and varied in an online customer journey, from banner ads to websites. For online success it is vital for digital marketers to engineer touchpoints that have a positive impact on the consumer.

The research: Meta-analysis literature review

This study draws on research done over two decades to identify consumers attitudes towards key touchpoints. Over 80 research papers were identified and analysed.

According to advertising research attitudes towards are shaped by an individual's evaluation of an object idea, behaviour and can be positive or negative or somewhere in-between. Various established determinants are part of the advertising value model: informativeness (e.g., amount of useful information), entertainment (e.g., level of fun, enjoyment), irritation (e.g., extent of annoyance) and credibility (e.g., believability, trustworthiness) which is the underpins this study (Brackett & Carr, 2001; Ducoffe, 1996). Additionally, attitudes towards online touchpoints are also influenced by characteristics of each e.g., colour, animations, position. From this start point the analysis sought to identify any developments which should be considered in relation to online touchpoints.

Key findings

The analysis revealed new attitude determinants, which have resulted from various digital technology developments and widespread deployment of the internet, web, social media, digital advertising, email marketing during the last two decades. The increase in the opportunities to interact with online touchpoints has led new determinants becoming important. Furthermore, Lutens *et al*. (2022) suggest these determinants are shaping attitudes in the digital age: personalisation (e.g., the extent to which a touch point is

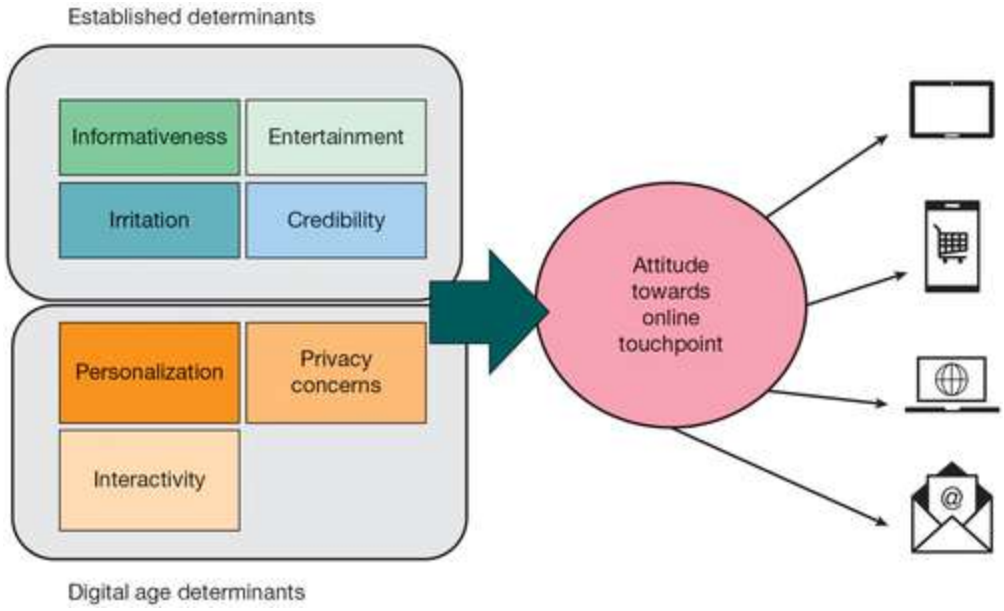
tailored to the individual), privacy concerns (e.g., fears of personal data loss data) and Interactivity (e.g., degree to which two or more parties share messages and communications) and should be used to extend the advertising value model. See Figure RS 9.1.

Implications for digital marketers

- Established and digital age determinants should be considered when designing and managing online touchpoints.
- Personal privacy should be protected to reassure consumers when interacting with online touchpoints.
- Consider the touchpoint; its characteristics and the scope to maximise certain determinants e.g. email marketing advertising, could focus on informativeness and entertainment; Apps; could focus on credibility, personalization and privacy concerns.

FigureRS 9.1

Determinants of attitude towards touch points (adapted from Lutens et al., 2022)



Research spotlight tasks

Imagine you are planning a consumer-facing advertising campaign for a new car.

a. Choose a car brand to focus on and then decide three online touchpoints to use in your campaign.

b. Then consider, the objectives of your campaign using the RACE framework (see **Chapter 1**): Reach; Act; Convert; Engage.

c. Finally decide which determinants could be the most important in shaping positive attitudes towards you chosen online touchpoints.

Digital public relations and influencer relationship management

What is digital or online public relations?

Digital media have become a very important element of **public relations (PR)** and the internet has influenced PR practices (Ye and Ki, 2012). More funds have been allocated to online PR projects, especially through corporate and social blogs, and its contribution to branding strategies has increased significantly (Bush, 2010). Online PR is relevant for businesses of all sizes, since improving reputation, trust and awareness is so important. It is also relatively cost-effective and so appeals to small businesses and startups that can potentially make a big impact with online PR, coupled with content marketing if they harness it effectively.

Digital PR activity is closely associated with improving results from many of the other communications techniques described in this chapter, in particular SEO (link-building), partnership marketing and social media marketing. It is also closely related to content marketing since a core activity in content marketing is ‘content distribution’, which can involve working with influencers to feature content that has been developed.

But let’s start with an understanding of traditional public relations. On its website, the Chartered Institute of Public Relations defines PR as follows:

> Public relations is about reputation – the result of what you do, what you say and what others say about you. Public relations is the discipline which looks after reputation, with the aim of earning understanding and support and influencing opinion and behaviour. It is the planned and sustained effort to establish and maintain goodwill and mutual understanding between an organisation and its publics [its target audience including potential customers and stakeholders].

From a practical marketing communications and traffic-building perspective, the main PR activities are media relations or managing influencer outreach with different types of **online influencers or key opinion leaders (KOLs)**, which can be used to reach and influence potential customers. For an example of how agencies recruit and use online influencers see Mini case study 2.1: How social media influencers can shape our opinions: from meat eater to vegan. Some influencer networks have developed to enable brands to use micro-influencers to reach their audiences. For example, intellifluence.com is the largest warm influencer marketing network in existence, with over 100,000 verified creators, meaning that brands don't need to approach influencers directly and payment and tracking is handled by a platform. Each will provide categories of influencers to review – for example, influence.co lists influencers and number of followers in categories such as Mom, Pets, Photography or Travel.

While websites are important tools for promoting investor relations and CSR (corporate social responsibility), this is not our main focus here.

Digital public relations (online PR) leverages the network effect of the internet and social networks. Remember that 'internet' is a contraction of 'interconnected networks'! Mentions of a brand or site on other sites are powerful in shaping opinions and driving visitors to your site. The main element of online PR is maximising favourable mentions of an organisation, its brands, products or websites, on third-party websites that are likely to be visited by its target audience. Furthermore, as we noted in the section on search engine optimisation, the more links there are from other sites to your site, the higher your site will be ranked in the natural or organic listings of the search engines. **Online influencer outreach** is now an important activity to identify companies or individuals with a strong online following and then use these contacts to influence their audience. Minimising unfavourable mentions, for example monitoring and influencing conversations in blogs and social networks, through **online reputation management** is also an aspect of online PR.

Today, online PR and influencer outreach are often managed as a continuous, year-round process of **influencer relationship management (IRM)**. We think the reason for this change is two-fold. First, an emerging category of software services to identify and communicate with influencers has evolved. This category has been labelled IRM by service vendors since this shows the value of their products. Second, savvy

companies are using influencer outreach on a more structured, more continuous basis to fit with an ‘always-on’ inbound or content marketing strategy.

Differences between online PR and traditional PR

Researchers suggest that digital media tends to bolster stakeholders’ strength and increase organisations’ ability to collect information, monitor public opinion and engage in direct dialogue with their publics regarding key issues (McAllister and Taylor, 2007). Ranchhod *et al.* (2002) identify four key differences between online PR and traditional PR that are fundamentals of online PR that remain true today:

1. *The audience is connected to organisations.* Previously, there was detachment – PR people issued press releases that were distributed over the newswires, picked up by the media and then published. These authors say:

> The communication channel was unidirectional. The institutions communicated and the audiences consumed the information. Even when the communication was considered a two-way process, the institutions had the resources to send information to audiences through a very wide pipeline, while the audiences

> had only a minuscule pipeline for communicating back to the institutions.

2. *The members of the audience are connected to each other.* Through publishing their own blogs, social profiles or e-newsletters or contributing to reviews or discussions on others, information can be rapidly distributed from person to person and group to group. Consumers will also have their own conversations about their needs and brands, which will shape brand perception and purchase intent. The authors say:

> Today, a company's activity can be discussed and debated over the Internet, with or without the knowledge of that organisation. In the new environment everybody is a communicator, and the institution is just part of the network.

3. *The audience has access to other information.* Often in the past, the communicator was able to make a statement that it would be difficult for the average audience member to challenge – the internet facilitates rapid comparison of statements. The authors say:

> It takes a matter of minutes to access multiple sources of information over the Internet. Any statement made can be

> dissected, analysed, discussed and challenged within hours by interested individuals. In the connected world, information does not exist in a vacuum.

4. *Audiences pull information.* Today this is often known as inbound marketing. Previously there were limited channels in terms of television and press. Today there are many sources and channels of information – this makes it more difficult for the message to be seen. The authors say:

> Until recently, television offered only a few channels. People communicated with one another by post and by phone. In these conditions, it was easy for a public relations practitioner to make a message stand out.

For the marketer or PR professional managing PR, the main differences are:

- *Less easy to control.* There are many more places a brand can be discussed online, such as in blogs and forums, compared to traditional media where there are a smaller number of media outlets with news filtered through journalists and other editorial staff.
- *More options to create their own stories.* Since a company will have its own site, press centre, feeds and blogs, it is possible to

bypass other media owners to some extent. Many companies have now created a ‘social media newsroom’.

- *Need for faster response.* It is often said that ‘bad news travels fast’. This has been facilitated online and a ‘social media storm’ can soon arise where many are critical of a brand’s action. Rapid-response ‘crisis communications’ teams are needed. Some brands have created a social media command centre as part of a **social media governance** process based on **social media listening**.
- *Opportunities for proactive real-time campaigns*. Businesses can take advantage of current public interest in breaking news to gain awareness, sometimes known as ‘newsjacking’.
- *Easier to monitor.* Since Google and online reputation management tools index many pages, it is arguably easier to identify when a brand is discussed online.

Advantages and disadvantages of online public relations

Advantages of online public relations

The advantages of the proactive online public relations techniques that seek to build a buzz around a campaign or to gain favourable mentions and links on third-party sites are:

- *Reach.* Online PR can be a relatively low-cost method of directly reaching a niche audience, or a mass audience if the brand is amenable to stories that are of interest to publishers. This is often the case for new online brands and startups. For example, Dollar Shave Club™ (www.dollarshaveclub.com) gained initial awareness of its subscription service through a humorous, self-deprecating video from its founder (https://www.youtube.com/watch?v=ZUG9qYTJMsI). If buzz around an online campaign orchestrated through online PR is successful, then additional reach and impact may also be generated by traditional media such as TV, print and radio.
- *Cost.* The costs for online PR are the agency or internal staff fees for developing the online PR plan, concepts and content. Since there are no media placement costs, this can be cost-effective. Organic sharing of content has no costs and can successfully amplify a message.

- *Credibility.* Comments that are made by a person independent from a company are considered more authentic and so can help raise trust about an online provider such as a retailer. You can see that personal recommendations are particularly important and seem to be trusted more than content sites giving reviews and opinions (although these are still given credence by many web users).
- *Search engine optimisation.* Online PR can help generate backlinks to a site that are favourable for SEO, often from large sites such as online newspapers or magazines that have good link equity.
- *Brand enhancement and protection.* Favourable stories can enhance the reputation of a brand among its target audience and amplification through influencers can help reach a new audience. But since unfavourable media mentions may damage a brand, so monitoring and response to these is a necessity for most brands.

Disadvantages of online public relations

The main disadvantage of online PR is that it is not a controlled discipline like online advertising techniques such as pay-per-click marketing or display advertising, where the returns generated will be known for a given expenditure. The proliferation of media such as social media pages and blogs has also made it more difficult to reach potential outlets. At the same time the reach of traditional ‘news outlets’ has declined as preferences for digital channels have increased. In other words, it could be considered a high-risk investment.

Many marketers are also wary of creating blogs or forums on their sites that may solicit negative comments. However, there are counter-arguments to this, namely that it is best to control and be involved with conversations about a brand on the site rather than when it is less controlled on third-party sites. For example, car brands such as Honda and Volvo enable web users to make comments about their cars, which are published on the site; this shows they are transparent, listening to customer comments and gaining valuable sentiment that can feed into new product development ideas.

Best practice for online public relations and IRM

In this section we will review the different types of online PR activities and techniques to improve results from these activities. Onalytica (2017) have created this useful framework, which suggests how you can measure your influencer programme at a top level.

It is effectively an ‘influencer pipeline’, where the top of the funnel is on the left and specific activity to outreach to and engage influencers is measured to the right. At a programme level, a number of invited influencers are compared against influencers who have accepted and are active and what they have shared. This can be measured through social media updates or, ideally, in B2B articles and blog posts on their sites. The activity of an IRM programme is also indicated by influencer involvement in online and real-world event attendance. If a business has multiple sectors and audiences that will require different specialist influencers, then you may need different measures for different sectors for each row. This is alluded to in the employee advocate recruitment row, where different subject matter experts in the company will recruit different influencers. As an example of how different influencers can be managed and measured separately, at Smart Insights we use the IRM tool BuzzStream to have a list of influencers tagged for each digital marketing activity, e.g. digital strategy, SEO, email marketing, e-commerce, etc. Influencers are tagged by activity and their influence level. Custom-

shortened links from a service such as Bitly (www.bitly.com) for each influencer can be used with different Google Analytics campaign-tracking parameters.

Segmenting influencers

Influencers come in many ‘shapes and sizes’, and some are potentially more influential than others. Through defining criteria for influence and grouping similar types of influencers, businesses can prioritise their use of resources for managing. Onalytica (2017) defines these types:

- *Everyday influencers.* Typical web and social media users who don’t consider themselves influencers, but can influence friends and colleagues.
- *Brand advocates.* A customer that is highly satisfied with your product/brand, who tends to spread positive word of mouth, content and recommendations without being paid to do so.
- *Micro-influencers.* Have a relatively low reach but are highly relevant, tend to enjoy high engagement rates and create high-quality content on a blog or social media:

> *Example*: Alisha, 21 years old, fashion student. 2,000 followers on Instagram. She loves her camera and creates great content,

but she likes the perks of being able to work with brands to create content and earning money in the process.

Example: Haroon, 30 years old, 10,000 followers on X. He is passionate about the environment, creates great content on his blog, generates high levels of engagement on social and is very well connected to industry experts and fellow influencers.

- *Professional influencers.* These influencers have sufficient reach and potential impact that they are paid, or their content supports their business or personal aims. They typically get referenced by their peer influencers as the authority on certain topics or product categories:

Example: Dave, 40 years old, FinTech expert, 60,000 followers on X. He has written a book, speaks at events across North America, Europe and Asia and consults with brands to help deliver innovation to the financial industry.

Example: Claire, 45 years old, parent and lifestyle blogger, 80,000 followers on Instagram and/or X and has a blog with

1.5 million views per year. She is well known and very influential within the parent forums and community globally, and focuses on health and well-being as well as promoting products for babies and young children.

- *Macro-influencers.* This type of influencer is more established, both in personality and content, and their fame has risen to a level where they are now represented by a manager or a talent agency:

Example: Ahmed has been creating video game YouTube videos since 2012 – has been working steadily with brands for the past few years, has an established audience of 200,000 subscribers and has been approached by talent agencies to help him grow as an influencer.

- *Celebrity influencers.* Also represented by a manager or talent agency, they are perceived as inspiring and consumers often look to celebrity influencers for guidance and inspiration. They are often expensive, you pay a premium for this type of influencer, and engagement rates are significantly lower than those with fewer followers:

Example: Kim Kardashian.

Assessing influence

Assessing the relative value of different influencers is challenging. It's common to start with the size of reach – for example, the number of X followers, but this can be dangerous. Some X users grew their followers rapidly through 'autofollow' bots before X prevented this. You can see this phenomenon with a free tool such as Followerwonk (-followerwonk.com) in place, where the top users are following hundreds of thousands of users. They have clearly not done this manually.

The following 4Rs framework for assessing influencer popularity, recommended by Onalytica (2017), doesn't start with reach, instead it starts with other factors:

- *High relevance* is where influencers are focused/known for discussing a topic that is of interest to an audience and related to a product or service.
- *High resonance* demonstrates that the influencer is creating an impact with their audience, rather than having a large audience that they fail to engage.
- *High reference* is useful for identifying thought leaders or conference speakers who are respected as an authority by their peer influencers. This can emphasise the network effect as their connections may share content.

- *High reach* is simply the size of an influencer's audience and their popularity.

Creating effective content to support influencer outreach

Ultimately, particularly for using influencers in B2B marketing, defining the right types of content for them to create, discuss and share is critical to success. Influencers will be more passionate about a brand and more likely to share content and product recommendations if it is of a high quality. Defining a content marketing strategy is outside the scope of this chapter and we referenced it in **Chapter 8**.

Blogs and blogging

blogs give an effective method for companies to regularly publish articles, images and video to engage their prospects, customers and influencers. Feedback and link trackback comments from other sites are sometimes incorporated, but have become less common due to 'spamming' of comments for purposes of SEO, even though they typically have little influence on organic search because search engines such as Google ignore them.

There are many free or low-cost services that enable any influencers to blog (for example wordpress.com, www.wix.com and www.squarespace.com). The blogging format enables the content on a

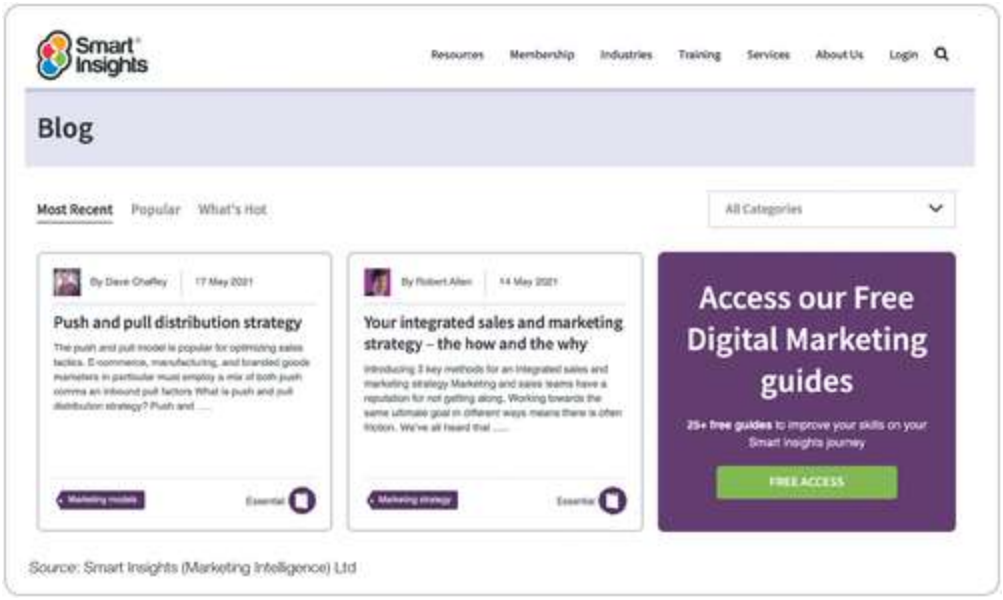
website to be delivered in different ways. For example, the Smart Insights blog has a lot of rich content related to digital marketing, which can be accessed in different ways:

- *By topic* (in categories or topics to browse). For example, ‘marketing model’ category (Figure 9.7).
- *By tag* (more detailed topics – each article will be tagged with several tags to help them appear in searches). For example, ‘B2B’ or ‘case studies’.
- *By author* (features from different columnists who can be internal or external). Guest posting is an effective method for both guest author and blog to increase reach.
- *By time* (all posts broken down by the different methods above are in reverse date order).

Through considering how the site is structured and following best practices for SEO, even a niche marketing blog such as Smart Insights can attract millions of visitors each quarter, the majority (75 per cent) through organic search.

Figure9.7

Smart Insights blog (www.smartinsights.com)



Source: Smart Insights (Marketing Intelligence) Ltd

Although some forecast that blogs would become less important with the publishing of content on social networks, they have remained important in many business and consumer sectors since they enable a more in-depth exploration of interest in topics, and many influencers have their own blog.

podcasts are related to blogs since they can potentially be generated by individuals or media organisations to voice an opinion, either as audio (typically MP3) or video (video podcasts used by video bloggers or vloggers). Although podcasts are not a new concept, they have gradually grown in importance such that they are now offer opportunities to reach large audiences and can be targeted by the type of demographics that they attract. Edison research (2024) highlights their growing importance in the UK:

- Over two-thirds of the United Kingdom age 18+ have ever listened to a podcast; 42 per cent are monthly podcast listeners and 30 per cent are weekly listeners.
- Weekly UK podcast listeners 15+ spend an average of 5 hours and 27 minutes listening to podcasts in a typical week.
- Young UK adults are loyal consumers of podcasts: The majority of 18–34-year-olds are monthly podcast listeners and 41 per cent are weekly listeners; higher than the average UK adult.
- Podcasts are an excellent way to reach the sought-after 35–54-year-old UK segment, many who are in their prime spending years: About half are monthly podcast listeners; 34 per cent are weekly podcast listeners.
- The 55+ UK population are increasingly listening to podcasts: 28 per cent of those age 55+ listen monthly, up from 20 per cent in 2023; 18 per cent of those age 55+ listen weekly.
- Forty-eight percent of Black UK adults listen to podcasts each month, higher than the 42 per cent among the overall UK population; 39 per cent of UK Asian adults listen to podcasts each month.

Reaching journalists online

Feeds such as **Really Simple Syndication (RSS)** are a more modern equivalent of press releases that may be subscribed to by journalists.

Feeds are closely related to blogging, where blog, news or any type of content such as a new podcast is received by subscribers using a feed reader such as Feedly™ (www.feedly.com). Although typically limited to business professionals and journalists, they offer a method of receiving multiple news sources in a feed that uses a different broadcast method from email, so is not subject to the same conflicts with spam or spam filters. Unlike social media, all updates are displayed rather than only some. Many journalists now subscribe to RSS feeds from sites they trust to stay informed and access them through feed readers such as Feedly, which can also be used by marketers for competitor review.

Historically, journalists can be influenced online through: a press-release area or social media newsroom on the website; creating email alerts, social media or RSS updates about news that journalists and other third parties can sign up to; and news stories or releases submitted to online news feeds. Examples of feeds include PR Newswire™ (www.prnewswire.com) and PRWeb™ (www.prweb.com), which are owned by Cision. Press releases can also be written for search engine optimisation (SEO) since they will link back to the site, although most links to sites are now nofollowed, which, as explained in the earlier section on SEO, don’t confer direct SEO benefits, and direct outreach to journalists is usually more effective.

However, an increasing number of journalists now rely on blogs and feeds for finding sources for stories rather than traditional press releases, so

engaging influencers through IRM is now more important given the limited impact of press releases. Charles Arthur (2006), in a posting, 'Why I'm not reading PR emails to get news stories any more', says:

> I'm not going to read things that are obviously press releases because the possibility of it just being annoying or irrelevant is too great; I'm going to go to my aggregator instead, because I've chosen every feed there for its potential interest. I pay more attention to my RSS feeds because they're sources I've chosen, rather than the emails I get from PR companies.

Some other tools are available to connect journalists and people seeking influencers. For example, Help a Reporter Out (now Connectively also owned by Cision) enables journalists to submit queries and subject matter experts (influencers) to pitch a story.

Digital partnerships including affiliate marketing

We showed in **Chapter 5** that partnerships are an important part of today's marketing mix. We have also seen in this chapter that working with partner sites in influencer outreach is a key part of content marketing, SEO and online PR. Resources must be devoted to managing your online partners. Many large organisations have specific staff to manage these relationships. In smaller organisations, partnership management is often neglected, which is a missed opportunity. There are three key types of online partnerships that need to be managed: co-marketing and influencer outreach (covered in the previous section); affiliate marketing; and online sponsorship. The main and most important form of partnership marketing for transactional e-commerce sites that we review in this section is affiliate marketing. Co-marketing involves a formal or informal partnership agreement reached between different businesses to promote each other, typically based on sharing content (and potentially promotions) principally to the audience of owned media channels such as social media, blog and email marketing. **Co-marketing** is a good option to consider for businesses that are not in the retail sector, and may also be known as 'contra-deals'; it has the advantage that it is

low cost, since the main cost is staff time to develop joint campaigns and share content.

Affiliate marketing

Affiliate marketing divides opinion among marketers and agencies as to its value. The discussion revolves around the value of affiliate marketing in generating incremental sales. There is no doubt that affiliates can generate more sales at a controlled cost, the question is whether these sales would have occurred anyway if a brand is well known. For example, Amazon has an affiliate programme but it could be argued that its brand is so well known and it has such a large customer base that it would receive many sales anyway. However, Amazon has run its programme since early in its history and, although it has reduced commissions, it is still running.

What is affiliate marketing?

Affiliate marketing is the ultimate form of marketing communications since it is what is known as a ‘pay-per-performance’ marketing method and it’s a commission-based arrangement where the merchant only pays when they make the sale or get a lead. Compare this to the wastage with traditional advertising or direct mail! It can also drive a volume of business in a range of sectors – banks, travel companies and online retailers may get more than 10 per cent of their sales from a well-run affiliate marketing programme. It’s not so suitable though for business products or lower-priced consumer products since it will not be sufficiently profitable for the affiliates, and it may be difficult to recruit sufficient affiliates. Increasingly, affiliate marketing is known as

performance marketing (PM). The Performance Marketing Association (PMA) describes performance marketing as a:

> comprehensive term that refers to online marketing and advertising programs in which advertisers (a.k.a., 'retailers' or 'merchants') and marketing companies (a.k.a, 'affiliates' or 'publishers') are paid when a specific action is completed; such as a sale, lead or click.

You can see from this definition that performance marketing is similar to affiliate marketing, but it is expanding in scope to include paid media such as pay-per-click advertising, which includes display advertising, programmatic advertising and Google Ads. This reflects the way that paid media is organised in some larger organisations with some people who are responsible for all these types of paid media.

Figure 9.8 summarises the affiliate marketing process. You can see that when a visitor to an affiliate site (who may be an online publisher or aggregator) clicks through to a merchant site, this prospect will be tracked through a cookie placed on the visitor's PC. If the prospect later transacts within an agreed period or 'cookie window', usually 1, 7, 30, 60 or 90 days, the affiliate will be credited with the sale through an agreed amount (percentage of sale or fixed amount).

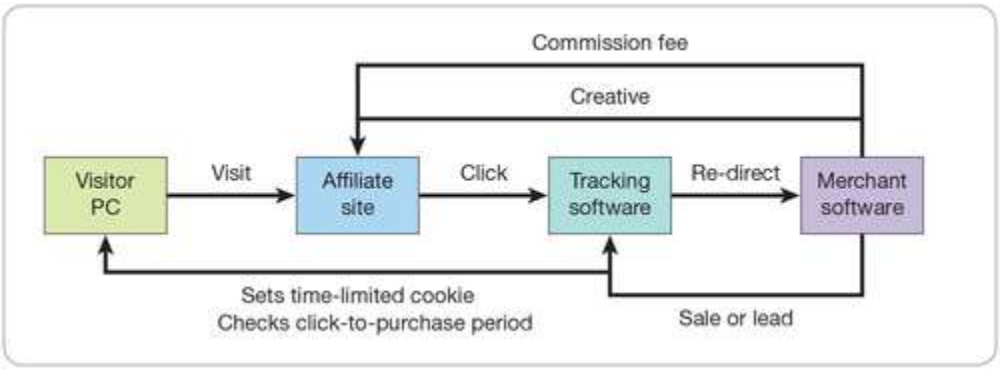
Digital marketers need to be selective in choosing the right forms of affiliate marketing, and not all may be desirable. These are the options of affiliate marketing models for you to consider:

- *Aggregators***.** These are the major comparison sites, such as Kelkoo, uSwitch™ and Moneysupermarket. These aren't strictly affiliates since some, such as Kelkoo and Shopzilla™, charge on a cost-per-click basis, but Uswitch and Moneysupermarket have a CPA model as well. Google Shopping,now part of Google Ads, uses a CPC model.
- *Review sites.* For example, CNET software or hardware reviews, or maybe startups such as Reevoo™ or Review Centre™. These all link to merchants based on cost-per-click or cost-per-acquisition deals.
- *Rewards sites.* These split the commission between the reward site and its visitors. Examples are TopCashback or Quidco™.
- *Voucher code sites***.** MyVoucherCodes or hotukdeals are typical. If you have some great deals to entice first-time shoppers you should generate business, although many search by well-known brand.
- *Über-bloggers.* In the UK, Martin Lewis's MoneySavingExpert™ is an incredibly popular site due to his PR efforts and great content. Although it has no ads, it is an affiliate for many sites he recommends.

- *Everyone else.* They don’t tend to be high-volume super-affiliates like all the above, but they’re collectively important and you can work with them via affiliate networks such as CJ Affiliate™ or Tradedoubler™. They often specialise in SEO or PPC.

Figure9.8

The affiliate marketing model (note that the tracking software and fee payment may be managed through an independent affiliate network manager)



Advantages and disadvantages of affiliate marketing

Advantages of affiliate marketing

Many of the benefits of affiliate marketing are closely related to search engine marketing since affiliates are often expert at deploying SEO or PPC to gain visibility in the search results pages. The main benefits of affiliate marketing are:

- *SERPs visibility.* Gain more visibility in the paid and natural listings of the SERPs (increase ‘share of search’ page).
- *Reach different audiences.* Can use different affiliates to target different audiences, product categories and related phrases.
- *Responsiveness to marketplace changes.* Affiliates may be more responsive than your in-house or agency teams in terms of algorithm changes for SEO or changes in bidding approaches for PPC. They are also great at identifying gaps in your search strategy. For example, they may be quicker at advertising on new products, or may use keyphrase variants that you haven’t considered.
- *Target generic phrases in SERPs.* Enables you to reach customers through generic phrases (e.g. ‘clothing’) at a relatively low cost if the affiliates secure better positions in natural listings.

- *Increase reach in SERPs.* Increase the reach of your brand or campaign since affiliate ads and links featuring you will be displayed on third-party sites.
- *Generate awareness.* Can be used to generate awareness of brand or new products for which a company is not well known.
- *Diversity risk.* Use of affiliates reduces the risk caused by temporary or more fundamental problems with your SEM management or other digital marketing programmes.
- *Pay-per-performance*. The costs of acquisition can be controlled well.

Disadvantages of affiliate marketing

There can be substantial drawbacks to an affiliate marketing programme that arise from the fact that your affiliates are mainly motivated by money. It follows that some of them may use unethical techniques to increase their revenue. Potential disadvantages are:

- *Incremental profit or sales may be limited.* You may be cannibalising business you would have achieved anyway.
- *Affiliates may exploit your brand name.* This is particularly the case where affiliates exploit brand names by bidding on variations of it (for example ‘Dell’, ‘Dell Computers’ or ‘Dell laptop’) or by gaining a presence in the natural listings. Here there is already awareness. It is important to prevent this, and many affiliate

programmes exclude brand bidding, although affiliates can have a role in displacing competitors from the listings for brand terms.

- *May damage brand reputation.* Your ads may be displayed on sites inconsistent with your brand image, such as gambling or pornography sites. Alternatively, creative may be out of date, which could be illegal.
- *Programme management fees.* If using an affiliate network to manage your campaigns they may take up to 30 per cent of each agreed affiliate commission as additional ‘network override’.
- *Programme management time.* Affiliate marketing is founded on forming and maintaining good relationships. This cannot be done through the agency alone and marketers within a company need to speak to their top affiliates.

Best practice in planning and managing affiliate marketing

In this section we will review how affiliate networks can be used to improve the results from affiliate marketing and the main controls on affiliate marketing, i.e. commission, cookie periods and creative. It is important that these parameters are clearly defined in the affiliate agreement to reduce the likelihood of abuse.

Affiliate networks

To manage the process of finding affiliates, updating product information, tracking clicks and making payments, many companies use an **affiliate network** or affiliate manager such as the US/European networks CJ™ (**www.cj.com**), Rakuten Advertising™ (www.rakutenadvertising.com) or Tradedoubler™ (www.tradedoubler.com, mainly European). Since the affiliate network takes a cut on each sale, many merchants also try to set up separate relationships with preferred affiliates, often known as ‘super-affiliates’.

Since many of the important affiliates are members of more than one affiliate network programme, it is usually found that it is not worthwhile for a merchant to join more than two affiliate networks. They also need to be careful that several affiliates are not credited for multiple sales, since this quickly becomes unprofitable for the merchant.

Commission

In affiliate marketing, it is vital that commission is set at such a level that it incentivises affiliates to preferentially promote a merchant's products, while at the same time being profitable.

The affiliates or publishers are naturally obsessive about their **earnings per click (EPC)**. This is average earnings per click and is usually measured across 100 clicks.

EPC is a crucial measure in affiliate marketing since an affiliate will compare merchants on this basis and then usually decide to promote those with the highest EPC, which will be based on the commission levels and the conversion rates to sale for different merchants.

A merchant will set commission levels according to a product's awareness level within a merchant's portfolio of products or how much they feel they need to promote them. It will also be worth increasing commissions when there is a favourable promotion on a product since affiliates will then promote it, knowing that their EPC is more likely to increase. Less-well-known products or newly launched products will often have more favourable commissions. For example, Tesco.com has used affiliates for different products with different commission as follows:

- e-diets commission from £12 on 1–9 sales to £20 on sales;

- wine at 2 per cent on lowest tier to 3 per cent on the Gold tier of sales of ;
- grocery and utilities – flat fee of £5 for first-time purchase only.

Cookie expiry period

Affiliates' EPC has traditionally depended on the cookie expiry period agreed on the time between a visitor clicking on the affiliate link and the sale being accredited to the affiliate. Common times are 7, 30 or 90 days. A longer cookie period will result in a higher EPC. First-party cookies are necessary since Merchants don't want to pay multiple affiliates for a single sale. As discussed in **Chapter 2**, the phasing out of third-party cookies which enable tracking of commission is a threat to affiliate marketing, but affiliate networks have developed alternatives that don't rely on tracking.

Creative and links

Managing the creative that affiliates use to promote a merchant is a challenge since creative needs to be up to date in line with different promotions or it may be misleading, or even illegal. So this needs to be monitored by the affiliate manager. Many merchants now provide live product feeds to affiliate networks in order to keep their promotions and product pricing up to date.

There are risks of brand damage through affiliates displaying creative on content that a merchant might feel was not complementary to their brand (for example, a gambling site). This needs to be specified in the affiliate agreement – sites need to be reviewed carefully before affiliates are permitted to join a specific programme, and additional sites used by each affiliate should be monitored.

Another form of brand or trademark abuse is when an affiliate bids on a merchant's brand name such that they may receive credit for a sale when a prospect was already aware of the merchant (as explained in **Chapter 3** in the legal section). The limits of this should also be specified within the affiliate agreements and monitored carefully.

Online sponsorship

Online sponsorship is not straightforward. It's not just a case of mirroring existing 'real-world' sponsorship arrangements in the 'virtual world', although this is a valid option. There are many additional opportunities for sponsorship online that can be sought out, even if you don't have a big budget at your disposal.

Ryan and Whiteman (2000) define online sponsorship as:

> the linking of a brand with related content or context for the purpose of creating brand awareness and strengthening brand appeal in a form that is clearly distinguishable from a banner, button or other standardised ad unit.

For the advertiser, online sponsorship has the benefit that their name is associated with an online brand that the site visitor is already familiar with. So, for users of a publisher's site, with which they are familiar, sponsorship builds on this existing relationship and trust.

Paid-for sponsorship of another site, or part of it, or a podcast, for an extended period is another way to develop permanent links. **co-branding** is a lower-cost method of sponsorship and can exploit synergies between different companies. Note that sponsorship does not have to drive visitors directly to a brand site – it may be more effective if interaction occurs on the media owner's microsite.

Co-branding and contra-deals

Co-branding of sites or emails are closely related to online sponsorship. These **contra-deals**, as they are sometimes referred to, typically occur where there is an association between two brands and they are complementary but not competitive.

For example, one online publisher may offer subscribers the chance to sign up with newsletters from another company, a process known as ‘co-registration’.

Co-branding can be a cost-effective form of online marketing, but specific resources such as an ‘online partnership manager’ have to be put in place to set up and manage the relationships between partners. This will often be part of an affiliate manager’s role.

Digital display advertising

What is digital display advertising?

Digital display advertising involves an advertiser paying for an advertising placement on third-party sites such as publishers, social networks or within mobile apps. Unlike Ads within search engines where the main goal is to generate a clickthrough to a website and convert people to an action on the site, for richer visual ads and videos, the primary goal is usually to gain awareness or shape opinions.

Today, video ads are a vital technique both since because they tend to be more engaging and also because social media users spend much of their time-consuming videos, although the growth is slowing. Taking the example of US adult social media usage E-marketer (2023) reported that between 2019 and 2022, the share of time watching video compared to all other social network activities rose from 33.0 per cent to 53.3 per cent. Although it is forecast to grow more slowly, it will still reach 61 per cent of social network use by 2025.

Clickthrough rates on ads are typically lower than within Google Ads. However, ads also have a goal of driving traffic to an organisation’s destination website on the media owner’s site. The destination page from a banner ad will usually be designed as a specifically created direct-response page to encourage further action. For example, the nappy supplier Huggies™ placed an advertisement on a childcare site that led

the parents clicking on this link to more detailed information on Huggies contained on the site and encouraged them to opt in to a loyalty programme. Goals and measures for online ads are covered more in Figure 9.10.

The process of advertising typically involves a publisher **ad serving** of a static ‘banner ad’ or video from a different server from that on which the page is hosted. Ad serving uses a specialist SaaS application such as Google Ad Manager (https://admanager.google.com/home/) or Google AdSense, which is typically used by smaller advertisers advertising on the Google Display Network. The aim of the ad server is to help publishers sell, schedule, optimise revenue, serve ads and measure directly sold and network-based inventory. The majority of Facebook advertising revenue is within feeds in Facebook, Instagram and Threads; it also has an audience network, but this serves fewer ads than Google within apps and publisher sites. In many countries, ad expenditure on what has been called the Facebook and Google ‘ad duopoly’ accounts for the majority of ad revenue, such as the United Kingdom where marketing publisher The Drum (Glenday, 2021) presents an estimate by the Competition and Markets Authority (CMA) that approaching 80 per cent of the £14 billion UK ad market is with these two companies. The concentration of ad revenue within these two companies suggests their importance in increasing brand awareness and direct response and since these are biddable media, competition and costs to influence audiences will be

high. However, there are other ad networks and programmatic options that are available, particularly to larger advertisers.

Display advertising is still known colloquially as banner advertising, but practitioners such as trade bodies The Interactive Advertising Bureau (www.iab.net) and the Internet Advertising Bureau (www.iabuk.com), and media owners such as publishers, advertisers and their agencies, now commonly refer to ‘display advertising’. This reflects the increasing range of ad formats we will discuss below.

Purchasing ad placements

When media is purchased, it is either purchased on a specific site such as *The Times* or *The New York Times*, or more typically is purchased across several sites, which are known collectively as an ad network.

Display advertising is purchased for a specific period. It may be purchased for the ad to be served on:

- the **run-of-site** (the entire site);
- a section of site;
- according to keywords entered on a search engine.

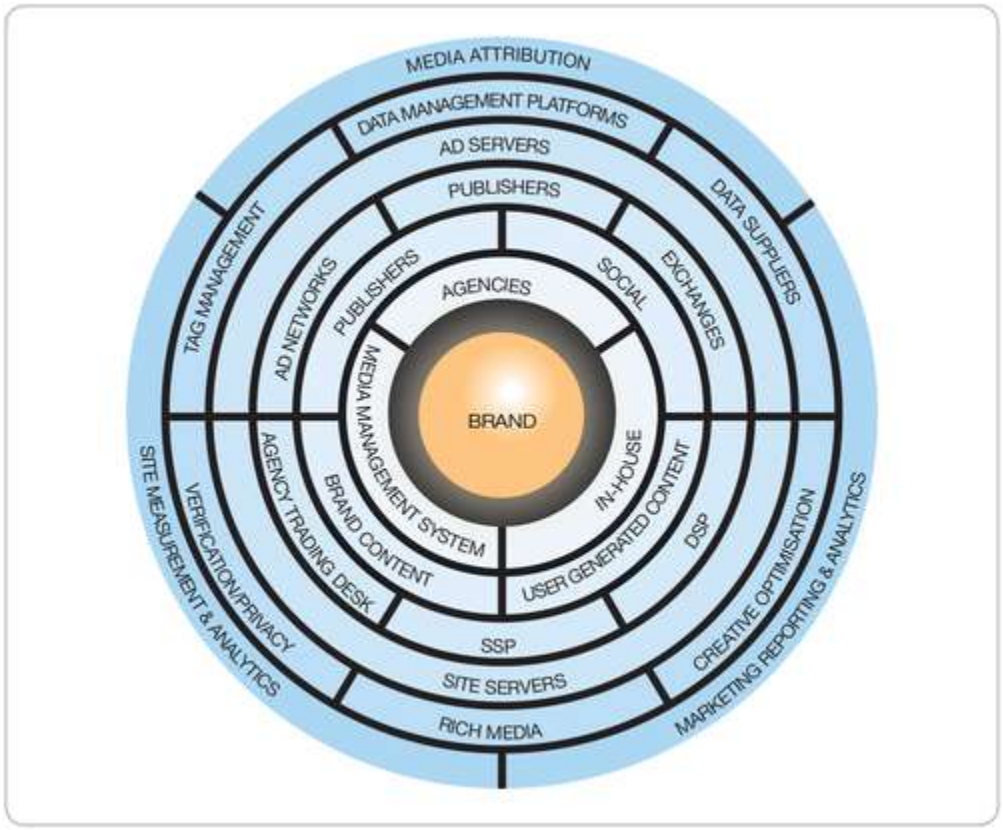
Traditionally, the most common payment is according to the number of customers who view the page as a cost-per-thousand (CPM) ad or page

impressions. Typical CPM is in the range £10–30. Other options that benefit the advertiser if they can be agreed are per click-through or per action, such as a purchase on the destination site. Although initially media owners were able to control charging rates and largely used a per-exposure model, with the increase in unused ad inventory there has also been an increase in **results-based payment** methods, particularly within ad networks.

Programmatic ad buying

The options for purchasing and managing display advertising are now much more complex, as suggested by the summary in Figure 9.9 of the ad buying ecosystem created by the IAB.

Figure9.9
Ad buying ecosystem



Source: Peterson (2013)

A major change in online advertising is through the use of new **programmatic ad buying** techniques, based on **demand-side platforms (DSPs)**, which use an approach called **real-time bidding (RTB)**. Progammatic ads now account for the majority of online display advertising by large companies (excluding spend on search and social network ads), see for example Joseph (2020). Traditionally, display ads have been served to target audiences based on the demographics of the visitors to different publishers or the content on specific sections of those sites. Impressions were purchased in units of thousands from sites that were felt to be a good fit. Programmatic enables purchase of ads served to individuals based on a wide range of information known about individuals

and, in particular, content they have previously interacted with. When a page is loaded on a publisher site by an individual, different businesses have the option to bid in an auction (lasting around 0.1 of a second), whether they want to reach this individual using different ad containers or placements on the page. The purpose of this is to exploit efficiencies through using technology to automatically bid on the most cost-effective ad inventory in an auction. Since individuals are tracked across different sites, these individuals can be targeted according to their interests shown by content viewed, products purchased and profile information. This knowledge of an individual is based on cookies and digital fingerprints used to identify the individual, as discussed in **Chapter 2**, which act as an identifier linking this individual to information on other sites. There are privacy implications, which is one reason for the increase in use of ad blockers.

DoubleVerify (2024) reviews trends in display advertising which can be summarised as increasing use of:

- Programmatic advertising (forecast to reach 84 per cent of digital advertising spend by 2028)
- Video advertising within social media apps and on publisher sites
- Predictive AI to optimise campaigns (Media buyers say they spend nearly a quarter of their time manually optimising digital media campaigns)

- Attention-based metrics which combine exposure (for example, viewable time and share of screen) and interaction metrics (for example user touches, screen orientation, video playback and audio control interactions)
- Made for advertising (MFA) sites where publishers tightly integrate ad units with content to maximise their return
- Ad fraud which involves both publishers and advertisers losing money and has many forms documented by Clearcode (2024)
- Technology platforms that enable tracking alternatives to third-party cookies, which as we saw in Chapter 2 are being phased out due to privacy concerns.

Mini case study 9.2 shows the impact that online video advertising can have, particularly when combined with traditional channels such as TV advertising. This supports the pioneering work of Binet and Field (2017) who showed that scale, particularly reach, is an important determinant of media effectiveness. Broadly speaking, the more people you reach within your target market, the bigger the effects on sales and profit tend to be. This and cross-media optimisation have shown that investing in video on YouTube and Meta platforms can complement TV in increasing reach for brand building, particularly since broadcast TV viewing is falling, particularly in low age groups.

Mini case study 9.2

Aromat South Africa spices up its media mix with a one-video strategy to maximise reach

Lunga Mooi leads digital marketing, media and digital commerce at Unilever South Africa, where he is responsible for the new brand positioning of their seasoning brand, Aromat.

In the article for Google Think, Lunga explains that although TV is a big part of advertising in South Africa, Unilever wanted to make sure that we were reaching consumers across every screen they have access to.

In the past, digital platforms like YouTube were seen as a nice-to-have, but they realised it can be an effective driver of incremental reach i.e. the unique audience you reach through a specific marketing initiative, on top of your already existing efforts. This has moved their team away from planning TV advertising and YouTube advertising in silos, to planning a “one-video strategy” that helps them get the best out of both channels.

Of course, it’s unrealistic to simply upload a TV ad to YouTube and expect the same results since consumers are in a different mindset depending on which screen they’re using. By customising the video for mobile devices they have found that YouTube tends to drive a higher attention span and stronger engagement for Aromat.

They started by determining the right media mix between TV and YouTube. We used Google's Reach Planner and a supplementary TV plus YouTube calculator to understand the gross rating points (GRPs) that we would get from a campaign with a one-video strategy. GRPs measure the effectiveness of an ad based on the consumers' ability to recall it. With a clear sense of the reach each platform could offer us, we were able to set appropriate budgets.

Next, they turned our attention to the video asset itself. As people sit down to watch TV when they have time to relax, TV ads tend to follow story arcs that build over a longer period of time. On digital platforms, like YouTube, people have the choice to skip and move on, so it's important to start big and grab their attention immediately.

Google's South African Creative Works team, helped them adapt their Aromat TV ad for YouTube. The ad was run through YouTube's ABCDs assessment which surfaced some key optimisations:

The TV commercial follows a traditional story arc that TV viewers expect. The first 5 seconds set the scene for the ad. These 5 seconds are critical on YouTube because after this, viewers get the option to skip the ad. So for our updated YouTube ad, they introduced our branding within the first 2 seconds of the video to hook viewers in from the get go.

In order to drive better performance, it’s important to maintain consistent branding throughout any video asset. To ensure branding was consistent, they ensured that the Aromat brand featured prominently and repeatedly during the 20-second YouTube advert.

Familiar faces, like celebrities and influencers, can be used to help establish a connection more quickly in an online ad. However, since they opted for diverse characters in the original TV commercial to connect with audiences, we decided to feature the same people in the YouTube edit for familiarity.

It’s a best practice to include a visual clue and voiceover for the call to action. As the original ad already included this, we didn’t need to create anything new for the online edit.

TV and YouTube are effective mediums on their own, but together they really spice things up.

Using TV and YouTube together in a one-video strategy helped us get the brand where it needed to be. We had not been advertising Aromat on TV for some time, which resulted in declining Brand Power scores.

The launch of this one-video strategy, however, helped us grow Aromat's awareness compare to the previous TV-only approach. The overall campaign – across TV and YouTube – drove 70 per cent reach, with YouTube delivering the highest impact at 48 per cent reach (the percentage of the audience that was exposed to the campaign), compared to the South African average of 23 per cent for digital platforms.

Source: https://www.thinkwithgoogle.com/intl/en-emea/marketing-strategies/video/media-mix-youtube-campaign-aromat/ May 2024. Supporting YouTube videos available.

Advantages and disadvantages of display advertising

Robinson *et al.* (2007) have noted that the two primary goals of online display advertising are: first, using display adverts as a form of marketing communication used to raise brand awareness; and, second, as a direct-response medium focused on generating a response. Cartellieri *et al.* (1997) refer to a wider range of goals for online campaigns, including:

- *Delivering content.* This is the typical case where a click-through on a banner advertisement leads to a destination site giving more detailed information on an offer. This is where a direct response is sought. Today, ads often embed videos or white papers to deliver content directly within the ad.
- *Enabling transaction.* If a click-through leads to a merchant such as a travel site or an online bookstore this may lead directly to a sale. A direct response is also sought here.
- *Shaping attitudes.* An advertisement that is consistent with a company brand can help build brand awareness.
- *Soliciting response*. An advertisement may be intended to identify new leads or as a start for two-way communication. In these cases, an interactive advertisement may encourage a user to type in an email address or other information.

- *Encouraging retention.* The advertisement may be placed as a reminder about the company and its service and may link through to on-site sales promotions such as a prize draw.

These objectives are not mutually exclusive, and more than one can be achieved with a well-designed ad campaign.

Advantages of display advertising

Digital display advertising can be used throughout the marketing funnel to meet different goals of generating awareness and demand and increasing conversion through retargeting, as summarised in Figure 9.10.

- *Reach to drive awareness.* A media mix buying programmatic display from publisher sites, paid social or Google Display Network paid search ads enables companies to reach and influence consumers and business people as they use publisher sites and social networks. This is measured by number of ad impressions served. The visual imagery of a display ad can generate awareness about a brand, product or need.
- *Direct response.* Display advertising can generate an immediate direct response measured as interaction with an ad or click-through to a website, enabling transaction for retail products, for example. Figure 9.10 shows that a common goal will be able to achieve

conversion to a lead on a destination site, which will then be nurtured using retargeting.

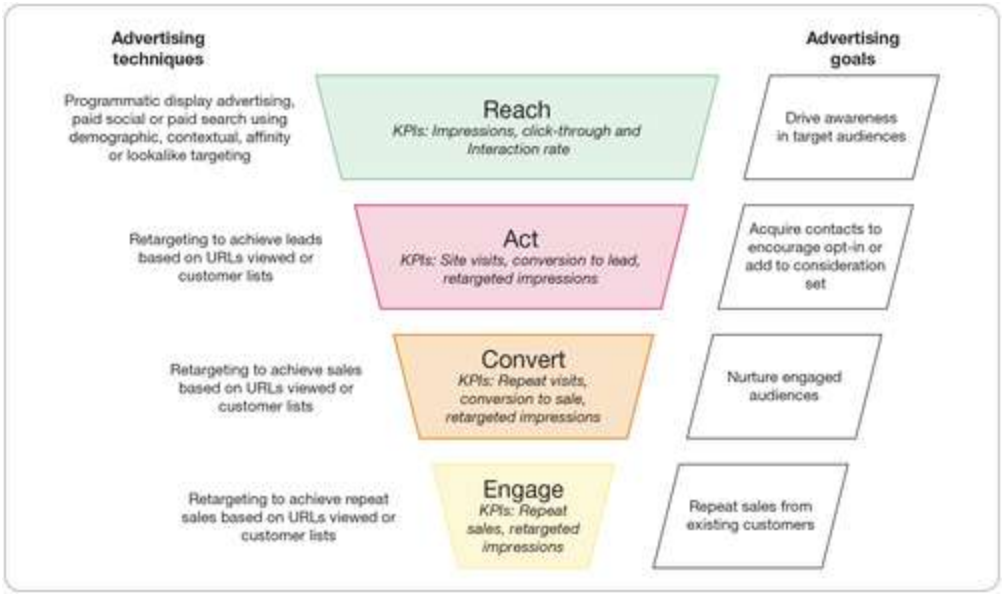
- *Targeting options.* Figure 9.10 summarises the rich range of targeting techniques available in online advertising that we explored in the examples of Facebook advertising in **Chapter 2**. These include demographic targeting (e.g. based on age and gender); contextual targeting (based on content types viewed); affinity (e.g. interest-based behaviour suggests a person is 'in-market' or actively seeking a product); and lookalike targeting (where the ad platform uses a list of existing prospects or customers to identify similar audiences).
- *Retargeting:* As well as raising initial awareness, 'reminder' ads have an important role in reminding people who have already interacted with a brand to nudge them along the path to purchase by encouraging repeat visits, conversion to lead and sale. Retargeted ads are available through the Google Display Network, which covers many publisher sites, on ad networks (e.g. Criteo, which is used by retailers) and social networks including Facebook, LinkedIn and X. Retargeting is available by targeting known audiences in a 'cookie pool' or by uploading lists of known people who have interacted with a site.
- *Advertising now available for smaller advertisers:* Previously, ad buying online was limited to larger advertisers. But now a small business can purchase a small-scale, highly targeted ad campaign

for a few dollars using the Google Display Network options in Google Ads or the advertising programmes available on the social networks such as Facebook, X or LinkedIn. They can now use self-service tools such as AdRoll™ (www.adroll.com) to retarget across all of these to boost conversion.

- *Indirect response.* We will see in the section on the disadvantages of display advertising that click-throughs are so low that it suggests display advertising is not worthwhile. However, the indirect response, where viewers of an ad later visit a website or search on the brand or category, should not be underestimated.
- *Media-multiplier or halo effect.* Repeated exposure to ads online, particularly in association with other media, can increase brand awareness and ultimately purchase intent. Furthermore, practitioners report a **media-multiplier or halo effect** of buying online ads, which can help increase the response rates from other online media. For example, if a web user has been exposed to banner ads, this may increase their response to paid search ads and may also increase their likelihood of converting on a site since brand awareness and trust may be higher. Attribution modelling, which we introduced in **Chapter 8**, can help determine the contribution of display ads, as shown by Figure 8.13 for example.

Figure9.10

Options for display advertising to achieve different goals through the customer lifecycle



This is suggested by research reported by MAD™ (2007) in the travel market, which involved asking respondents what their response would be to an online ad that appealed to them. Surely it would be a click? In fact, the actions respondents took were:

- search for a general term relating to the advertisement (31 per cent);
- go straight to advertiser's site (29 per cent);
- search for the advertiser's name (26 per cent);
- click on banner to respond (26 per cent);
- visit a retail store (4 per cent).

Of course, this methodology shows us reported behaviour rather than actual behaviour, but it is still significant that more than twice as many

people are being driven to a search engine by banner advertising than by clicking directly on the banner! The research concludes that paid search marketing needs to be optimised to work with banner advertising, by anticipating searches that are likely to be prompted by the banner and ensuring a higher rank for search results. For example, a brand featuring a Cyprus holiday offer will generate generic search terms such as ‘package holiday Cyprus’ rather than brand searches.

Abraham (2008) has also shown that online ads can stimulate offline sales. For one retailer with a turnover of $15 billion, research showed that over a three-month period, sales increased (compared to a control group) by 40 per cent online and by 50 per cent offline among people exposed to an online search- and display-ad campaign promoting the entire company. Because its baseline sales volumes are greater in physical stores than on the internet, this retailer derived a great deal more revenue benefit offline than the percentages suggest.

- *Achieving brand interactions.* Many modern display ads comprise two parts – an initial visual encouraging interaction through a rollover, and then another visual or application encouraging interaction with a brand. This enables advertisers to calculate an interaction rate (IR) to assess the extent to which viewers interact with a brand ad.
- *Targeting.* Media buyers can select the right site or channel within a site to reach the audience (e.g. a specialist online car magazine or

review site or the motoring channel within an online newspaper or TV channel site). Audiences can also be targeted via their profile through serving personalised ads, or ads in emails if visitors have registered on a site. Behavioural retargeting options are used in an ad network to preferentially serve an ad to someone who seems to have an interest in a topic from the content they consume. Effectively the ad follows the viewer around the site. For example, if someone visits the car section of a site, then the ad is served to them when they view other sections of the site. Retargeting can work across an ad network too and can even be sequential, where the messages are varied for an individual the more times they are exposed to the ad. Search retargeting offers the option to display an ad after a visitor has searched on a particular term, such as a car marque. Tracking of individuals is achieved through use of cookies.

- *Cost.* There are opportunities to buy online media at a cheaper rate compared to traditional media, although this is less true in focused, competitive markets such as financial services, where there is limited premium inventory for media buyers to purchase. Programmatic advertising and ad networks give advertisers the options of advertising across a network of sites to reach a particular demographic, e.g. female 18–25 with specific interests, but at a lower cost than media buys on a specific site since the actual site used for the ad placement isn't known (hence these are sometimes known as '*blind network buys*'). Lower CPMs are achievable, and in some cases CPC or CPA payment options are available. Site

owners such as publishers use ad networks since it gives them a method of gaining fees from unused ad inventory that has not sold at premium rates.

- *Dynamic updates to ad campaigns.* In comparison with traditional media, where media placements have to be bought weeks or months in advance, online ads are more flexible since it is possible to place an advertisement more rapidly and make changes during the campaign. Experienced online advertisers build in flexibility to change targeting through time. Best practice is to start wide and then narrow to a focus – allow 20 per cent of the budget for high-performing ad placements (high CTR and conversion).
- *Accountability***.** As we will discuss later in the section, it is readily possible to measure reach, interaction and response to ads. However, it is more difficult to measure brand impact.

Disadvantages of online advertising

- *Relatively low click-through rates*. When discussing online ads, many web users will state they ignore ads and find them intrusive. Published click-through rates support this, with most compilations such as Smart Insights (2024) showing response rates of around 0.1 to 0.2 per cent for display ads on publisher sites, but with rich media formats such as video ads and paid social on mobile attracting higher click-through rates (1 to 1.5 per cent, typically). This phenomenon is known among practitioners as ‘banner blindness’. The first pixel banner ad was placed on

Hotwired™ in 1995 and the call-to-action ‘Click here!’ generated a click-through of 25 per cent. Since then, the click-through rate (CTR) has fallen dramatically, with many consumers suffering from banner blindness – they ignore anything on a website that looks like an ad. Remember, though, that for reasons such as awareness generation and the media-multiplier effect, digital marketers should not dismiss online advertising as ineffectual based on click-through rates alone. It should also be remembered that the use of new ad formats such as **native advertising** and widget marketing mean that there are other ways to get cut-through.

- *Relatively high costs or low efficiency.* When the low response rates are combined with relatively high costs of over £10 per thousand, this makes online ads an inefficient medium.
- *Brand reputation.* Brands can potentially be damaged in the consumers’ minds if they are associated with some types of content such as gambling, pornography or racism. It is difficult to monitor precisely which content an ad is served next to when millions of impressions are bought across many sites; this is particularly the case when using ad networks.
- *Managing technology complexity.* Joseph (2020) gives an example of how larger advertisers may have a challenge of integrating with many technology providers to support their advertising. The article explains how the head of programmatic advertising at Diageo is seeking to consolidate the number of programmatic platforms from

more than 10 with the aim of gaining better insights and cost-efficiencies from work with fewer adtech partners.

Best practice in planning and managing display ad campaigns

In this section we will review how measurement, targeting and creative can be used to improve the results from display ad campaigns.

Measurement of display effectiveness

Different terms are used for measuring banner ad effectiveness. Each time an advertisement is viewed it is referred to as an advertisement or **ad impression** – also known as **page impressions** (page views). Since some people may view the advertisement more than once, marketers are also interested in the **reach**, which is the number of unique individuals who view the advertisement. This will naturally be a smaller figure than that for ad impressions. Cost of ads is typically based on **cost-per-thousand (CPM)** ad impressions, as with other media. However, the popularity of CPC search advertising and CPA affiliate deals means that these are options too.

As with other digital media, direct response to ads is measured through click-through rate. **interaction rate (IR)** is a form of measurement that is unique to display ads. It refers to the many ads that encourage the site visitor to interact through a prompt to 'rollover', and additional creative will be loaded that may offer a clear brand message rendered in large font, a response form such as an insurance quote or a request to obtain an SIM

or a game or poll. The engagement of the ad campaign for different placements can then be assessed through the interaction rate, which will typically be ten times higher than the click-through rate if the targeting, offer and creative is right.

When payment is made according to the number of viewers of a site it is important that the number of viewers be measured accurately. To do this, independent publisher **website auditors** are required. The main auditing body in the United Kingdom is the Audit Bureau of Circulations (www.abc.org.uk).

There is much discussion about how many impressions of an advertisement an individual has to see for it to be effective. Novak and Hoffman (1997) note that for traditional media it is thought that fewer than three exposures will not give adequate recall. For new media, because of the greater intensity of viewing a computer screen, recall seems to be better with a smaller number of advertisements compared with old media. The technical term for adequate recall is **effective frequency**.

When a user clicks on the advertisement, he or she will normally be directed to further information, viewing of which will result in a marketing outcome. Usually the user will be directed through to a specific landing page to encourage interaction and response from the advertisement. When a user clicks on an advertisement immediately this

is known as a **click-through**, but adserving systems (using cookies) also measure **view-through**, which indicates when a user views an ad and subsequently visits a website within a defined period, such as 30 days. This increases overall response, but it should be borne in mind that users may have visited the site in response to other stimuli.

Interactive ad formats

As well as the classic rotating GIF banner ad, which is decreasing in popularity, media owners now provide a choice of larger, richer formats that web users are more likely to notice. Research has shown that message association and awareness building are much higher for video ads, rich-media ads and larger-format rectangles (multipurpose units, MPUs) and skyscrapers. Other online ad terms you will hear include **interstitial ads** (intermediate adverts before another page appears) and the more common **overlays** (formerly more often known as *superstitials* or *overts*) that appear above content and, of course, *pop-up windows* that are now less widely used because of their intrusion. Online advertisers face a constant battle with users who deploy pop-up blockers, or, less commonly, ad-blocking software, but despite this they will persist in using rich-media formats where they generate the largest response.

Interactive ad targeting options

We have noted that most display advertising today is programmatic, based on real-time auctions so the ad can be targeted at an individual who is the

best fit for the campaign objectives. Traditional approaches for targeting online ads are through placing ads with the following criteria:

- *On a particular type of site (or part of sit*e). This might be a part that has a specific visitor profile or type of content. So, a car manufacturer of a car preferred by single female drivers can place ads on a publisher site appealing to a young female audience; or a financial services provider can advertise in the money section of the site to target those interested in these products. To reach large mass-market audiences, advertisers can place an ad on a large portal home page such as MSN, which has millions of visitors each day (sometimes known as a 'road-block' if they take all ad inventory).
- *To target a registered user's profile.* A business software provider could advertise on the *FT* to target registrants' profiles such as finance directors or IT managers.
    - *At a particular time of day or week.*
- *To follow users' behaviour.* **behavioural ad targeting** is all about relevance – dynamically serving relevant content, messaging or ads that match the interests of a site visitor according to inferences about their characteristics. These inferences are made by anonymously tracking the different types of pages visited by a site user during a single visit to a site or across multiple sessions. Other aspects of the environment used by the visitor can also be determined, such as their location, browser and operating system. For example, FT.com (using software from AudienceScience) can

identify users in eight segments: Business Education, Institutional Investor, Information Technology, Luxury and Consumer, Management, Personal Finance, Travel and Private Equity. The targeting process is shown in Figure 9.11. First, the ad-serving system detects whether the visitor is in the target audience (media optimisation), then creative optimisation occurs to serve the best ad for the viewer type.

In 2010 behavioural targeting became available through Google's Ads platform as 'Remarketing', which made it available to many more advertisers.

Ad creative

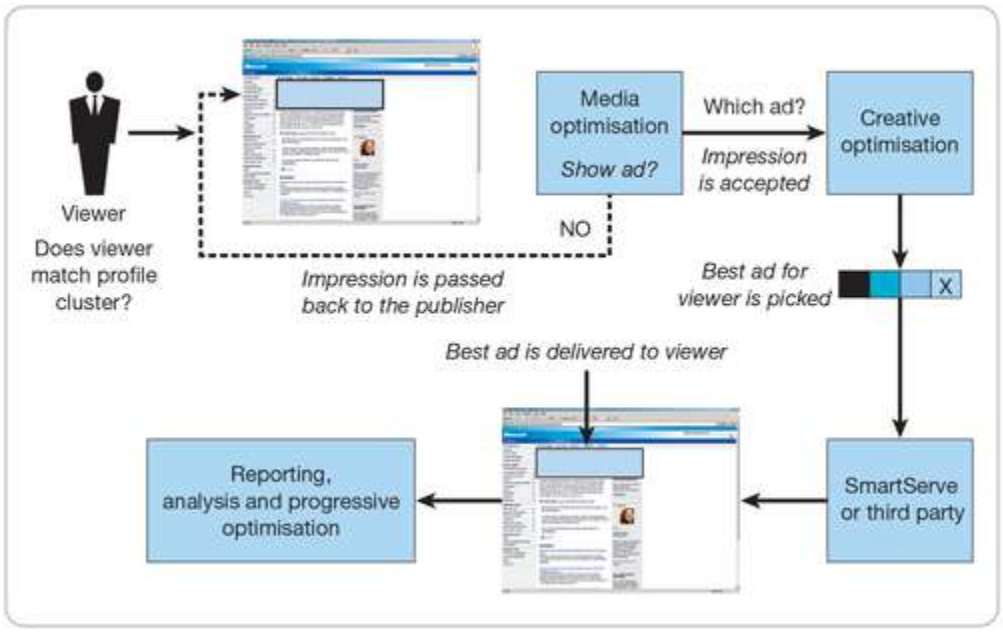
As with any form of advertising, certain techniques will result in a more effective advertisement. Robinson *et al.* (2007) conducted research on the factors that increased click-through response to banner ads. The main variables they (and previous studies they reference) include are:

- banner size;
- message length;
- promotional incentive;
- animation;
- action phrase (commonly referred to as a call-to-action);

- company brand/logo.

Figure9.11

Behavioural ad targeting process



Their research indicated that the design elements that made the most effective banner ads included a larger size, longer message, absence of promotional incentives and the presence of information about casino games. Surprisingly, the inclusion of brand name was not favourable in increasing click-through, although, as we noted, this may be because the ad generates a subsequent search on the brand. Please note that this study was restricted to online gambling ads.

Anecdotal discussions by the authors with marketers who have advertised online indicate the following are also important and worth considering:

- *Appropriate incentives are needed to achieve click-through.* Banner advertisements with offers such as prizes or reductions can achieve higher click-through rates by perhaps as much as 10 per cent.
- *Creative design needs to be tested extensively.* Alternative designs for the advertisement need to be tested on representatives of a target audience. Anecdotal evidence suggests that the click-through rate can vary greatly according to the design of the advertisement, in much the same way that recall of a television advertisement will vary in line with its concept and design.
- *Placement of advertisement and timing need to be considered carefully.* The different types of placement options available have been discussed earlier in the chapter, but it should be remembered that audience volume and composition will vary through the day and the week.

Different styles of ad creative can be viewed by visiting the ad gallery of an ad-serving company such as Google's creative showcase (www.richmediagallery.com).

Digital messaging including email marketing and mobile messaging

We have grouped email marketing with mobile messaging since these are both ‘push media’ that share much in terms of their applications for prospect and customer communications. We also explored these techniques in **Chapter 6**, for prospect and customer communications using in-house lists since permission-based emails are effective in supporting relationship building with prospects and customers since they have opted-in to receive communications and they work alongside automated communication. This coverage of email marketing is briefer since it focuses more on acquisition where audiences are reached when other businesses, typically publishers, make their in-house lists available for sponsorship or advertising placements.

What is email marketing?

When devising plans for email marketing communications, marketers need to plan for:

- **outbound email marketing**, where email campaigns are used as a form of direct marketing to encourage trial and purchases and as part of a CRM dialogue (**Chapter 6**); and
- **inbound email marketing**, where emails from customers, such as service enquiries, are managed (this was discussed in **Chapters 3** and **5** and isn't discussed further in this chapter)

The applications of outbound email marketing communications depend on the type of business. According to the DMA (2020), marketers in the United Kingdom say the primary objective for email marketing is sales (31 per cent chose this), followed by brand awareness (16 per cent), building relationships and loyalty (16 per cent), audience engagement (14 per cent), lead generation (10 per cent) and customer service (9 per cent). The same report showed that the average ROI for respondents was over

£30 revenue for every £1 spent, showing the cost-effectiveness of email marketing as a technique.

Opt-in email options for customer acquisition

For acquiring new visitors and customers to a site, there are three main options for email marketing. From the point of view of the recipient, these are:

- *Cold email campaign.* In this case, the recipient receives an opt-in email from an organisation that has rented an email list from a consumer email list or trade publisher and event provider. List rental is not practical today under privacy laws since permission hasn’t been sought. Instead, co-branded emails and newsletters are used.
- *Co-branded email.* Here, the recipient receives an email with an offer from a company they have an affinity with and from whom they have agreed to receive ads, for example a publisher or retailer. Digital marketing insight 9.3 gives an example of where email marketing is used to increase awareness as part of an integrated campaign combined with display advertising.
- *Third-party e-newsletter.* In this visitor acquisition option, a company publicises itself in a third-party e-newsletter. This could be in the form of an ad, sponsorship or PR (editorial) in a publisher newsletter, which links through to a destination site. These placements may be set up as part of an interactive advertising ad

buy since many e-newsletters also have permanent versions on the website. Since e-newsletter recipients tend to engage with them by scanning the headlines or reading them if they have time, e-newsletter placements can be relatively cost-effective. Viral marketing, which is discussed in the next main section, also uses email as the mechanism for transferring messages.

Opt-in email options for prospect conversion and customer retention (house list)

Email is most widely used as a prospect conversion and customer retention tool using an **opt-in house list** of prospects and customers who have given permission to an organisation to contact them. Successful email marketers adopt a strategic approach to email and develop a contact or touch strategy that plans the frequency and content of email communications (as explained in **Chapter 6**). Some options for in-house email marketing include:

Digital marketing insight 9.3

SEAT combines email with display advertising to increase awareness

This study by email vendor eCircle (2011) analysed the advertising effectiveness of email marketing and display advertising, and looked at responses from over 1,000 consumers to SEAT's Ibiza ST campaigns. It used a classic 'hold out' approach where different respondents were reached through different combinations of media:

- contact through an email campaign;
- contact with display advertising;
- contact with both campaign channels.

The main results from the campaign, which showed the integrated benefits of the campaign, were as follows:

1. The combination of display and email advertising improved advertising recall by 13 per cent compared with just display advertising.
2. Email increased disposition to buy in 47 per cent of cases and is therefore ideal for increasing conversions.
3. Spending power as a target group was emphasised – by using email you can precisely reach your target group.
4. Email allowed the required reach of advertising to be achieved three times more quickly than display advertising.

- *Conversion email.* Someone visits a website and expresses interest in a product or service by registering and providing their email address, although they do not buy. Automated follow-up emails can be sent out to persuade the recipient to trial the service or buy a product. For example, betting company William Hill™ found that automated follow-up emails converted twice as many registrants to place their first bet compared to registrants who did not receive an email. Similarly, retailers will follow-up with ‘abandoned basket’ emails to encourage purchase where consumers have added a product to a basket and not yet purchased.
- *Regular e-newsletter.* Options are reviewed for different frequencies such as weekly, monthly or quarterly, with different content for different audiences and segments. These are commonly used to

update consumers on the latest products or promotions, or business customers on developments within a market.

- *House-list campaign.* These are periodic emails to a list of contacts to support different objectives such as encouraging trial of a service or newly launched product, repeat purchases or reactivation of customers who no longer use a service.
- *Event-triggered or behavioural emails and sequences*. The marketing automation services explained in Chapter 6 send out a series of emails, with the interval between emails and messages determined by the marketer. Examples include welcome or onboarding sequences, nurture sequences or reactivation sequences when a subscriber has become less active.

Advantages and disadvantages of email marketing

Advantages of email marketing

We saw in **Chapter 6** that permission-based email is an effective tool for building relationships with customers online. Despite the increase in spam, email can still drive good response levels, particularly for house lists (retention email marketing). Opt-in email communications provide a controlled push message that encourages response.

Owing to these advantages, in many countries the volume of email marketing exceeds direct mail volumes. However, no one is suggesting direct mail will disappear immediately, since it will typically have a higher impact than email marketing and the two work best when integrated.

The main advantages of email marketing are:

- *Relatively low cost of fulfilment.* The physical costs of email are substantially less than direct mail.
- *Direct-response medium encourages immediate action.* Email marketing encourages click-through to a website where the offer can be redeemed immediately – this increases the likelihood of an immediate, impulsive response. For this reason, it is one of the best

methods of attracting existing customers to return to a site (it’s a push media).

- *Faster campaign deployment.* Lead times for producing creative and the whole campaign lifecycle tend to be shorter than traditional media.
- *Ease of personalisation.* It is easier and cheaper to personalise email than for physical media, and also than for a website.
- *Options for testing.* It is relatively easy and cost-effective to test different email creative and messaging.
- *Integration.* Through combining email marketing with other direct media that can be personalised, such as direct mail, mobile messaging or web personalisation, campaign response can be increased as the message is reinforced by different media.

Disadvantages of email marketing

Some of the disadvantages of email marketing that marketers need to manage as they run their campaigns, so that they are closely related to best practice, are:

- *Deliverability.* Difficulty of getting messages delivered through different internet service providers (ISPs), corporate firewalls and webmail systems.
- *Renderability.* Difficulty of displaying the creative as intended within the inbox of different email reading systems.

- *Email response decay.* Email recipients are most responsive when they first subscribe to an email but it is difficult to keep them engaged.
- *Communications preferences.* Recipients will have different preferences for email offers, content and frequency that affect engagement and response. These have to be managed through communications preferences.
- *Resource intensive.* Although email offers great opportunities for targeting, personalisation and more frequent communications, additional people and technology resources are required to deliver these.

Best practice in planning and managing email marketing

In this section we will review how measurement, targeting and creative can be used to improve the results from email marketing.

Email service providers

email service providers (ESPs), or marketing automation services, are a popular method companies use to manage their email marketing. ESPs provide a web-based service used by marketers to manage their email activities with less recourse to an agency. Rather than buying software that you host and manage on your server, the software is effectively used on a subscription basis, with a cost based on number of emails sent and runs on another company's server. The ESP manages three key capabilities including hosting of forms for managing email subscriptions and landing pages, the broadcast tools for dispatching the emails and a database containing the prospect or customer profiles.

Measuring email marketing

The key measures for email marketing are:

- *Delivery rate* (here indicated by 'non-bounce rate'). Emails will bounce if the email address is no longer valid or a spam filter

blocks the email.

- *Open rate.* This is measured for HTML messages through downloaded images. It is an indication of how many customers open an email, but is not accurate since some users have preview panes in their email readers that load the message even if it is deleted without reading, and some email readers such as Outlook now block images by default (this has resulted in a decline in open rates through time). The open rate for particular types of email address, e.g. Outlook, is also an indication of deliverability problems.
- *Click-through or click rate.* This is the number of people who click through on the email of those delivered (strictly unique clicks rather than total clicks). You can see that response rates are quite high at around 10 per cent.
- *List engagement.* In **Chapter 6** we saw that open reach and click reach are measures used to understand what proportion of subscribers are active over a longer time period than a single broadcast.

Additionally, and most important, are the marketing outcomes or value events (**Chapter 8**), such as sales and leads achieved when an email recipient clicks through to the website. Retailers will also have additional methods of comparing email campaigns such as revenue/profit per email or thousand emails and average order value (AOV).

Email marketing success factors

Effective email marketing shares much in common with effective direct email copy. Chaffey (2006) uses the mnemonic CRITICAL for a checklist of questions that can be used to improve the response of email campaigns. It stands for:

- *Creative.* This assesses the design of the email including its layout, use of colour and image, and the copy (see below).
- *Relevance.* Does the offer and creative of the email meet the needs of the recipients? This is dependent on the list quality and targeting variables used.
- *Incentive (or offer).* The WIFM (‘What’s in it for me?’) factor for the recipient. What benefit does the recipient gain from clicking on the hyperlink(s) in the email? For example, a prize draw is a common offer for B2C brands.
- *Targeting and timing.* Targeting is related to the relevance. Is a single message sent to all prospects or customers on the list or are emails with tailored creative, incentive and copy sent to the different segments on the list? Timing refers to when the email is received: the time of day, day of the week, point in the month and even the year; does it relate to any particular events? There is also the relative timing – when it is received compared to other marketing communications – this depends on the integration.

- *Integration.* Are the email campaigns part of your integrated marketing communications? Questions to ask include: are the creative and copy consistent with my brand? Does the message reinforce other communications? Does the timing of the email campaign fit with offline communications?
- *Conversation.* This is to remind us that email shouldn't just be considered as a broadcast medium and opportunities should be taken to encourage response, for example through social media.
- *Attributes (of the email).* Assess the message characteristics such as the subject line, from address, to address, date/time of receipt and format (HTML or text). Send out multipart/MIME messages that can display HTML or text according to the capability of the email reader. Offer choice of HTML or text to match users' preferences.
- *Landing page (or microsite).* These are terms given to the page(s) reached after the recipient clicks on a link in the email. Typically, on click-through the recipient will be presented with an online form to profile or learn more about them. Designing the page so the form is easy to complete can affect the overall success of the campaign.

A relevant incentive, such as free information or a discount, is offered in exchange for a prospect providing their email address by filling in an online form. Careful management of email lists is required since, as the list ages, the addresses of customers and their profiles will change, resulting in many bounced messages and lower response rates. Data

protection laws also require the facility for customers to update their details.

Practical issues in managing email marketing

Two of the main practical challenges for email marketers or their agencies to manage are **deliverability** and **renderability**.

Email marketers have to ensure their emails are delivered into the main inbox, given the increase in efforts by ISPs and web-email companies to reduce spam into their end users' inboxes. Email marketers do not want to be identified as a 'false positive', where permission-based emails may be bounced or placed into junk-mail boxes or simply deleted if the receiving system assesses that they are spam.

Web-based email providers such as Gmail, Microsoft and Yahoo Mail have introduced standard authentication techniques known as Sender ID and Domain Keys, which email marketers should use to make sure the email broadcaster is who they say they are and doesn't spoof their address as many spammers do. Email providers also assess the reputation of the email broadcasters using services such as Sender Score™ (www.senderscore.org), based on the number of complaints and quality of emails sent.

It is now less important that email marketers do not use keywords in their emails that may identify them as spam since spam assessment is mainly

based on sender reputation. Although the word ‘free’ in a subject could be a problem, this is only one part of the signature of a spam, so it may still be possible to use this word if the reputation of the sender is good.

Renderability refers to how the email appears in different email readers. Often images are blocked by readers in an effort to defeat spammers who use the fact that images are downloaded as the user views the email to detect that the email is a valid address. So emails that are made up only of images with no text are less likely to be effective than hybrid messages combining text and images. Formatting can also differ in different readers, so designers of emails have to test how emails render in common email readers such as Outlook and Yahoo Mail.

A further challenge is trying to achieve ongoing engagement with list members. Some approaches that are commonly used include:

- Developing a welcome programme where, over the first three to six months targeted, automatically triggered emails educate subscribers about your brand, and products and deliver targeted offers.
- Using offers to reactivate list members as they become less responsive.
- Segmenting list members by activity (responsiveness) and age on list and treating them differently, either by reducing frequency or using more offline media.

- Follow-up on bounces using other media to reduce problems of dropping deliverability.
- Best practice when renting lists is to request only emails where the opt-in is within the most recent six to nine months when subscribers are most active.

List management

Email marketers need to work hard to improve the quality of their list (as explained in **Chapter 6**). Respondents believe that the data and its selection accounted for over half of a campaign's success. The creative and offer are still considered significant, while timing is viewed as having the least impact, accounting for just 10 per cent of the success of an email campaign. The report noted that the majority of respondents gather new email addresses through organic website traffic, with offline (paper-based) activity accounting for 40 per cent and telemarketing for 31 per cent.

Mobile text messaging and mobile push notifications

We have concentrated our coverage on email marketing in this section since the amount of marketing investment and levels of activity in email marketing is far higher than in mobile text messaging, because it seems that receiving permission-based emails is more acceptable than receiving what may be perceived as an intrusive text message on a mobile device. Additionally, it enables more complex, visual messages to be delivered. However, where a mobile app is the primary platform for interacting with consumers, mobile push notifications can be more engaging than emails, particularly for audiences whose smartphone is their primary device. Airship (2021) publishes benchmarks of engagement rates with mobile app push notifications. The median opt-in to push notifications is surprisingly high at 81 per cent for Android and 51 per cent for iOS. The figure is lower in iOS since phone users have to proactively opt-in. Open rates are also provided by sector, with a median open rate of 4.6 per cent on Android or 3.4 per cent on iOS. The average number of push notifications an app sends to its users per month is around eight.

Social media and viral marketing

Social media marketing is an important category of digital marketing that, as explained in the social media section at the end of **Chapter 6**, involves encouraging customer communications on a company's own site, or social presences such as Facebook, Instagram or LinkedIn, or in specialist publisher sites, blogs and forums. Generating awareness through organic and paid social media marketing is based on how businesses can use consumer-to-consumer (C2C) interactions to increase awareness of their brand through **social media amplification** while minimising negative mentions.

Organic social media marketing can be applied as a traditional broadcast medium – for example, can use Instagram, Facebook or X to send messages to the feeds of customers or partners who have followed them. However, to take advantage of the benefits of social media it is important to start to participate in customer conversations. These can be related to products, promotions or customer service and are aimed at learning more about customers and providing support, thus improving the way a brand is perceived.

In this chapter we review the potential for developing viral campaigns, as introduced through the examples in Activity 9.2. (Chapter 6 focused on developing a social media communications strategy.)

Activity 9.2

The essential ingredients of a viral social media campaign

With Facebook and Instagram approaching 3 billion users worldwide according to their quarterly reports (Facebook, n.d.) and TikTok growing rapidly, there is good potential for viral marketing for different types of organisations. This activity considers three examples from Facebook for very different organisation types.

Questions

1. Which success factors do the three campaigns below share in common?
2. Discuss current campaigns that share similar success factors or use others.
3. What are the risks to different organisations like these that should be considered when planning and executing these types of campaigns?

The charity – MQ: It's time to give a xxxx about mental illness campaign

This campaign from MQ Transforming Mental Health Through Research (Figure 9.12) focused on mental illness in young people and the wider population.

It had a high-impact creative based on different 'It's time to change the facts' messages, which encouraged sharing by showing how this is a neglected illness, with 23 per cent of the population affected but less than 6 per cent of health research spent here, or how four-in-ten people feel that mental illness is 'an inevitable part of life'. The simple visuals and messages worked well, but this campaign was integrated with powerful videos and commentary from indie bands.

The brand – KFC Clean Eating Burger

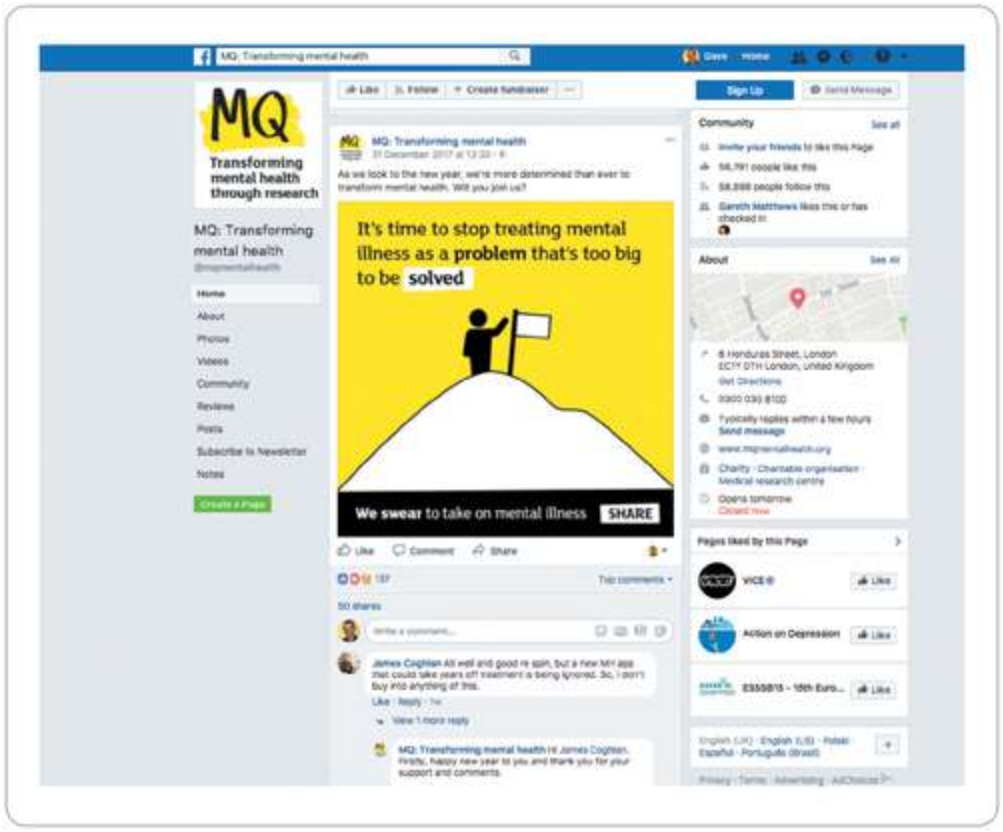
The impact of this video campaign, created primarily for Facebook, was significant. It's a spoof that sends up health-food vloggers, featuring Figgy Poppleton-Rice – a fictional food vlogger who 'would literally marry kale'. She's explaining a video recipe for the 'Clean Eating Burger': a combination of raw cauliflower, pulsed ice, kale and boiled chicken, which is crushed by the not-so-healthy Dirty Louisiana burger that KFC launched in the United Kingdom. Over 16 million views shows the power of viral videos that poke fun. Branded virals don't always link so well to a product, but this pulls it off.

The retailer – AO.com Bloodthirsty Gin Punch campaign

AO.com is a UK-based online retailer that sells white goods and other home electrical equipment. AO gets a lot of engagement through simple ploys such as asking the audience to get involved, whether it's counting rubber ducks in a dishwasher, how many beers are in a fridge-freezer or how many clothes fit into a washing machine. The Bloodthirsty Gin Punch campaign piggybacked on Halloween and integrated nicely with its AO.Life blog. It's been widely shared since it's just a bit edgy – the video features an eyeball-bearing punch and spooky sounds, so not for the squeamish.

Figure9.12

MQ charity Facebook page



Source: MQ: Transforming Mental Health

Viral marketing

Social media marketing is closely related to **viral marketing** since social media naturally involves ‘social media amplification’, where content is shared. Viral marketing is a specific approach that involves harnessing the network effect of the internet and can be effective in reaching a large number of people rapidly, as a marketing message is quickly transmitted to many people in the same way as a natural virus or a computer virus. It is effectively an online form of word-of-mouth communications, which is sometimes also known as ‘buzz marketing’. When planning integrated campaigns, it is important to note that the online viral affect can be amplified through offline media mentions or advertising, either on TV and radio or in print. See Mini case study 9.3 for a discussion of viral marketing techniques.

Mini case study 9.3

Research reveals which emotions make content ‘go viral’

The ‘holy grail’ for many marketers today is ‘viral content’. Marketers talk about wanting a ‘goes viral!’. Academic research into types of emotion has yielded evidence into the types of emotions that content must leverage to create a successful viral campaign. For example, two University of Pennsylvania marketing professors, Jonah Berger and

Katherine L. Milkman, published an article ‘What makes content viral?’ (2012), describing how they had used a web crawler to analyse three months of articles written on *The New York Times* news website. Examining results from nearly 7,000 articles, they found that *emotional arousal* was the single biggest factor in determining whether a campaign ‘went viral’. Articles that inspired, or caused anger or awe-inspiring emotions, were all far more likely to end up on the ‘most emailed list’ on the site. Although negative articles actually evoked slightly more email responses than positive ones, both emotional groupings were dependent on the intensity of arousal resulting from the expressed emotions. In other words, those articles that were either *really positive* or *really negative* were more likely to evoke email responses than those that were *less* positive or *less* negative – i.e. by extension, less emotive and therefore more aligned to the neutral middle line.

Similar findings resulted from a 2013 study led by Associate Professor of Emerging Media and Communication, Rosanna E. Guadagno (Guadagno *et al.*, 2013), which looked at the factors that caused YouTube videos to go viral. This research team also concluded that a video was far more likely to be shared in cases where it aroused emotions – either positive or negative – in participants. This study also found that videos that resulted in high levels of human emotion had a tendency to be shared. Whether participants viewed them positively or negatively mattered little in this regard; what mattered was that they had an overwhelming emotional attachment to the content, one way or the other.

Writing in the *Harvard Business Review,* Kelsey Libert and Kristin Tynski of Fractl (2013) explored the emotions that make marketing campaigns go viral. To understand the best emotional drivers to use in the content, they reviewed 30 of the top 100 images of the year from imgur.com, as voted on social sharing site Reddit.com. They then surveyed 60 viewers to find out which emotions each image activated for them, classified using Robert Plutchik's comprehensive Wheel of Emotion. They found that certain specific emotions were common in highly viral content, while others were less common. Emotions that fit into the surprise and anticipation segments of Plutchik's wheel were overwhelmingly represented.

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word-of-mouth (WOM) marketing is an established concept closely related to viral marketing, but broader in context. The Word-of-Mouth Marketing Association explains how WOM can be harnessed:

> Word-of-mouth can be encouraged and facilitated. Companies can work hard to make people happier, they can listen to consumers, they can make it easier for them to tell their friends, and they can make certain that influential individuals know about the good qualities of a product or service.

They go on to explain that all word-of-mouth marketing techniques are based on the concepts of customer satisfaction, two-way dialogue and transparent communications. The basic elements are:

- educating people about your products and services;
- identifying people most likely to share their opinions;
- providing tools that make it easier to share information;
- studying how, where and when opinions are being shared;
- listening and responding to supporters, detractors and neutrals.

WOMMA identifies different approaches for facilitating WOM. The ones that are most relevant to online marketing are:

- *Buzz marketing.* Using high-profile entertainment or news to get people to talk about your brand.
- *Viral marketing.* Creating entertaining or informative messages that are designed to be passed along in an exponential fashion, often electronically or by email.
- *Community marketing.* Forming or supporting niche communities that are likely to share interests about the brand (such as user groups, fan clubs and discussion forums); providing tools, content and information to support those communities.

- *Influencer marketing.* Identifying key communities and opinion leaders who are likely to talk about products and have the ability to influence the opinions of others.
- *Conversation creation.* Using interesting or fun advertising, emails, catchphrases, entertainment or promotions designed to start word-of-mouth activity.
- *Brand blogging.* Creating blogs and participating in comments, in the spirit of open, transparent communications.
- *Referral programmes.* Creating tools that enable satisfied customers to refer their friends.

Positive WOM is believed to increase purchase intent. For example, Marsden *et al.* (2005) found that brands such as HSBC, Honda and O_2 with a greater proportion of advocates measured through Net Promoter Score (NPS) (see **Chapter 6**) tended to be more successful. They recommend eight ways to encourage word of mouth, most of which can be facilitated online:

- *Implement and optimise referral programmes***.** Reward customers for referring new customers, and reward the referee as well as the referrer.
- *Set up brand ambassador schemes. Recruit* brand fans as ambassadors, who receive exclusive merchandise/offers to share with their contacts.

- *Use tryvertising.* A combination of ‘try’ or ‘trial’ and ‘advertising’, this is a twist on product sampling. The idea is that rather than provide free samples or trials to anyone in a target market, tryvertising involves sampling on a selective and exclusive basis to lead
  users – ideally with new products or services before they become widely available.
- *Use causal marketing.* Associate your brand with a good cause that builds on brand values (e.g. Nike and anti-racism in sport).
- *Measure your Net Promoter Score (NPS).* Track your NPS at all brand touchpoints to find out what you are doing right, and what needs to be improved.
- *Start an influencer outreach programme.* Reach out to the 10 per cent who tell the other 90 per cent what to try and buy with special offers and programmes.
- *Harness the power of empowered involvement.* Create advocacy – let your lead clients, customers or consumers call the shots on your innovation and marketing with VIP votes and polls.
- *Focus innovation on doing something worth talking about.* Do something new that delivers an experience that exceeds expectations.

In an online context, word-of-mouth marketing is important since there is great potential for facilitating electronic word of mouth. It is very

important for online marketers to understand how WOM can be generated and influenced since research, such as that conducted by Forrester (2007), shows that recommendations from friends, family or even other online consumers are trusted and are a major consideration in product and supplier selection.

Social network-related viral marketing

Allsop *et al.* (2007) note the importance of social networks in influencing perceptions about brands, products and suppliers. Their research shows large differences in gender and age for the types of products discussed, but recommendations on restaurants, computers, movies and vehicles are popular in all categories.

Advantages and disadvantages of social media and viral marketing

The advantages and disadvantages of viral marketing are shared with those of online PR, as covered earlier in the chapter. However, it can be argued that the risk in investment in viral marketing is higher since it is difficult to predict the success of a particular viral agent.

Advantages of social media and viral marketing

The main advantage of social media and viral marketing is that an effective viral agent can reach a large audience in a cost-effective way. We have also seen how consumers rate the opinions of their peers, friends and family highly, so they can be highly influential. Kumar *et al.* (2007) have discussed the potential value that can be generated through customer referrals in several case studies. Within social networks, major influencers can help spread the message more widely.

Since so many consumers and business people use social media, they are an effective reach channel that is also effective for advertising. Facebook-sponsored ads are now a major ad investment channel since they can provide different formats such as video and can also be used for retargeting following website visits.

Within Facebook, retargeting is achieved through defining a Custom Audience. You can retarget existing contacts (by uploading a file of prospects or customers) and website traffic (where you install the 'Facebook' pixel onto sections of your site, e.g. product pages where you want visitors to follow up). You can also retarget if you have app users, or follow up on people who have interacted with you in Facebook. New prospects can be found through interest-based targeting and 'Lookalike' audiences, where Facebook ads are displayed to people who possess similarities to existing prospects and customers.

The advantages of viral marketing on the TikTok platform seeded by advertising are shown in Mini case study 9.4.

Mini case study 9.4

TikTok gets creative with its video ad offerings

With its characteristic short-video format TikTok has had to innovate in its advertising and its core platform to engage users and monetise its use through advertising. Initially, TikToks were just 15 seconds long, but the app later enabled four segments to be joined to give a minute, with options for longer videos and shorter ads. These are some of the options developed for brands:

In-Feed video ads

For self-service advertisers TikTok offers In-Feed ads, which are short-form videos that appear in users' news feed on the 'For You' page that look similar to native TikToks, so they blend organically into the feed.

Branded Hashtag Challenge

For larger budgets TikTok offers a branded Hashtag Challenge, where brands prompt people to perform a certain task and tag them using a specific hashtag.

Brand Takeover

These are full-screen, three-to-five-second video ads that show up in the 'For You' as soon as the app opens. Ads can include a clickable hashtag or website link as well.

TopView ads

These are similar to brand takeovers. TopView ads display on the full screen, but ads can be 60 seconds long, and they are on a delayed play, so they don't start with app startup.

Branded Effects

Branded Effects are custom stickers, AR filters and lenses that users can add to their own videos. Gamified Branded Effects enable consumers to

use facial expressions, body postures or other motions, to control and interact with branded elements. They're similar to Instagram's AR Filters. Each new Branded Effect is available for 10 days.

Here are some outlines of campaigns that have deployed the interactive advertising techniques available on TikTok:

Clean & Clear India face wash campaign

The aim was to drive brand awareness and ad recall among teens, prompted by new lim-ited-edition bottles in India.

The Hashtag Challenge (#UnbottleApnaSwag) featured five bottle packaging styles corresponding to five personality types: Fun, Carefree (Bindaas), Studious (Padhaku), Talkative (Bakbak), and Foodie. Girls were invited to identify with a personality type and showcase unique content online.

To personalise the five personalities on 'My Swag' bottles, Clean & Clear released five rap songs and enlisted five top female influencers (each with 1+ million followers) to spearhead the challenge and inspire users to get started. Users could then choose a song and share their own content.

With nearly 2 billion video views, 172 million likes/comments/shares and 2.62 million user-generated videos from the Hashtag Challenge, and

Clean & Clear’s official account following increasing by more than 10,000, this was one of the most successful branded Hashtag Challenges in India.

Guess Denim Fit Collection

Guess wanted to promote a fall edition of its Denim Fit Collection to drive awareness during the back-to-school shopping season for millennials and Gen Z consumers.

Guess launched the #InMyDenim Hashtag Challenge on TikTok and called for con-sumers to show their fashion style in denim. To make it fun and memorable, Guess lev-eraged the idea of ‘transforming your looks’ with the slogan ‘Transform your outfit from a mess to best-dressed! All you need is denim!’.

Guess posted several official videos accompanied by Bebe Rexha’s ‘I’m a Mess’, an appropriate song that fitted the TikTok style.

On the first day, Guess launched a Brand Takeover on the splash screen to in-crease awareness of the challenge campaign. Concurrently, Guess released four influ-encer-performed videos to demo the idea. Letting content creators do their work, the dramatic yet easy-to-imitate video stories instantly garnered enormous attention and in-spired 1,629 user-generated videos.

During the six-day 2018 campaign period, #InMyDenim realised over 5,550 user-generated videos, 10.5 million video views, 14.3 per cent engagement rate and over 12,000 additional followers for Guess's business account on TikTok.



Source: paffy/Shutterstock

Virgin Media 'Stay in love, stay connected'

Virgin Media's campaign features different snapshots of dating on a video call, set to a soundtrack including cat selfies and virtual musical duets, and people falling asleep, to the upbeat soundtrack of Carly Rae Jepsen's 'I Really Like You'.

According to *Campaign* (Oakes, 2020) the ads were effective on TopView, the first video that every person sees when they open the TikTok app and, when it first ran, it garnered 21.9 million impressions in a single day, with an ‘engagement rate’ of 16 per cent, which includes likes, shares and comments on the ad.

TikTok ‘#MyRoots/Black History, Black Present and Black Future’

This was a month-long, grass-roots campaign from TikTok to educate people on black history in the United Kingdom, using TikTok. Content featured black creators and artists. There was also a Hashtag Challenge, which resulted in nearly 288 million views and a se-ries of ‘TikTok Live’ educational events.

ASOS ‘#AySauceChallenge’

The first ASOS brand campaign on TikTok used the Branded Hashtag Challenge Plus. With a bespoke track and an augmented-reality Branded Effect, ASOS sought to make it easy for fans to share content showing off their slickest new looks.

More than 25 content creators collaborated on the work across the United Kingdom and United States, helping to drive more than 1.2 billion video

views in six days, and an-other 488,000 videos created by users for the campaign.

Sources: TikTok (2021) and Oakes (2020)

Disadvantages of social media and viral marketing

The main disadvantage of viral marketing is that this is a high-risk marketing communications technique, since it requires significant initial investment in the viral agent and seeding. However, there is no guarantee that the campaign will ‘go viral’, in which case the investment will be wasted.

With marketing within social networks it is challenging to engage audiences when they are socialising with their contacts and may not wish to interact with brands. It is also difficult to find the right types of content that will engage audiences and that they will share with their contacts. Seeding to key influencers can help with distributing content, but seeding is a time-consuming specialist activity.

Of course, although positive viral marketing can spread rapidly, so can negative sentiments about a company, which we referred to in the section on online PR.

As with Google Ads advertising, Facebook advertising operates on a cost-per-click-based auction, so it can be expensive to reach sought-after audiences.

Now social media is established and we have experienced a lot of ‘hype’ about its benefits for marketing we would expect to see its impact evaluated and it criticised. This has indeed happened, with some strong viewpoints on both sides as described in Digital marketing insight 9.4. What do you readers think of social media?

Best practice in planning and managing viral marketing

To make a viral campaign effective, viral marketing specialist Justin Kirby suggested these three things are needed (Kirby, 2003):

- *Creative material – the 'viral agent'.* This includes the creative message or offer and how it is spread (text, image, video).
- *Seeding.* Identifying websites, blogs or people to send email to, to start the virus spreading. Seeding can also be completed by email to members of a house list or renting a list with the likely audience.
- *Tracking.* To monitor the effect and to assess the return from the cost of developing the viral agent and seeding.

Today, these factors are still relevant within online PR campaigns, although we talk about 'shareable social objects' rather than 'viral agents', and 'influencer outreach' rather than 'seeding'.

The usage of social media platforms and their features change rapidly, to help you stay up-to-date.

Digital marketing insight 9.4

Understanding what engages consumers on 'their socials'

Introduction

Scrolling through social media feeds on mobile apps is now such an everyday activity that many talk about 'doing their socials'. To understand consumer adoption and behaviour on these networks, Global Web Index (GWI) is a great source since it has created a global panel of consumers who share their online usage and perceptions of online activities through regular research.

Their core survey is the world’s biggest ongoing study of online consumers, refreshed every quarter using like-for-like questions across a sample of 950,000 across many markets. Their research is available to businesses as a paid service, but students can access their blog and annual social media trends reports to find out the latest trends.

For example, GWI (2023) revealed this insight about how social media usage and how it impacts purchase:

On average, consumers are spending almost 2.5 hours a day on social media.

- 28 per cent of social media users are worried they’re spending too much time on social media.
- 27 per cent of consumers discover new brands/products through social media advertising.
- 22 per cent discover them through recommendations or comments on social media.
- 16 per cent discover them through updates on brands’ social media pages.

Purpose

All the social networks offer both opportunity for achieving communications goals through owned, earned and paid media. So, to be effective in these key channels requires marketers to keep up-to-date with the latest adoption figures, new features offered by the social platforms and change their approach in line with trends.

This activity reviews some of the questions social media marketers should be asking to understand the latest trends and covers some of the best sources of information to answer them.

Instructions

Divide these key questions between a group or work through them yourself and then summarise the answers.

Q1 What is the overall popularity of social media compared to internet use globally?

Q2 Which are the most popular social networks by demographics (age and gender)?

Q3 Which are the fastest-growing social networks?

Q4 How do social users interact with brands when selecting products and services?

Q5 What are the different engagement metrics based on consumer behavior when using social media?

Q6 How do consumers interact with different post formats in social media?

Q7 What are the most popular times for consumers to use social media suggesting the best times to post?

Q8 What are the latest developments on the top 3 or top 5 social networks in your country (select these based on your answers to Q2–4)

Sources

We recommend these sources:

- Global Web Index (paid service, but with free blog and annual social media trends reports)
- Data Reportal (often features compilations from GWI and other sources)
- Smart Insights (Search Social Media Statistics to find an article: Global social media statistics research summary which is regularly updated with answers to these questions (URL bit.ly/smartsocialstats))
- Social Media Today and the platforms for the best choices

Offline promotion techniques

The importance of offline communications in driving visitors to a website is well known by site owners, who find that greater levels of investment in offline advertising using TV, print or radio results in a greater number of direct visitors to websites. Multiscreening enhances this effect, since simultaneous use of devices such as TV, smartphone and tablet is so common. If someone sees an ad on TV, they can easily search via their mobile device for a brand or the category. The influence of TV can be tracked by web analytics, which shows an increase in searches containing the brand or campaign name or the web address, or direct visitors who enter the site URL into the address bar. Freid (2017) notes that he has seen mature brands receive a 20–30 per cent uplift in search visits when a TV campaign starts. He also explains the impact of TV on social media:

> Not every TV ad is meant for social media, but in some cases, TV creative can be inspirational, funny or bring out other emotions that resonate with your target audience. In these cases, it may make sense for your social profiles to share your TV creative or even promote it through advertising.

Research has identified that there is a clear correlation between investment in offline advertising and visits to a website. For example,

Hitwise (Hopkins, 2006) found in a study of brands including Sky, Orange and the AA that searches on brand terms and URLs increased when offline media investment was combined with online.

offline promotion refers to using communications tools such as advertising and PR delivered by traditional media such as TV, radio and print in order to direct visitors to an online presence.

Despite the range of opportunities for using new online communications tools, traditional communications using offline media such as TV, print and direct mail remain a significant form of investment in marketing communications for most businesses.

When the web analytics data about referring visitors are assessed, for most companies that are not online-only businesses we find that over half the visitors are typically marked as ‘No referrer’. This means that they visited the site direct by typing the web address into the address bar in response to awareness of the brand generated through real-world communications (others may have bookmarked the site or clicked through

from a search engine following a brand or navigational search since they are aware of the brand).

Advantages and disadvantages of using offline communications to support e-commerce

Offline communications work; they are effective in achieving four critical things:

- *Reach:* since newspaper, TV and postal communications are used by virtually all consumers.
- *Brand awareness:* through using high-impact visuals.
- *Emotional connection:* with brand, again through visuals and sounds.
- *Explanation:* of the online value proposition for a brand.

A further benefit is that for any given objective, integrated marketing communications received through different media are more effective in achieving that objective. Having said this, the disadvantages of using offline communications to encourage online channel usage compared to many online communications tools are obvious. In general, the disadvantages of offline communications are:

- *Higher cost.* Return on investment tends to be higher for online communications such as search engine optimisation, pay-per-click marketing or affiliate marketing.

- *Higher wastage.* The well-known expression, ‘half my advertising is wasted, but I don’t know which half’, may be true about offline marketing, but it isn’t true online if the right tracking processes are in place.
- *Poorer targeting.* Targeting by behaviour, location, time, search keyword, site and site content is readily possible online. This tends to be more targeted compared to most offline media (apart from direct marketing).
- *Poorer accountability.* It is straightforward to track response online – offline it is expensive and error-prone.
- *Less detailed information.* The detailed information to support a decision can only be delivered cost-effectively online.
- *Less personalised***.** Although direct mail can be personalised, personalisation is more straightforward online.
- *Less interactive experience.* Most offline communications are one-way traffic, whereas interaction is possible online with the right creative.

Incidental and specific advertising of the online presence

Two types of offline advertising can be identified: incidental and specific. Reference to the website is **incidental offline advertising** if the main aim of the advert is to advertise a particular product or promotion and the website is available as an ancillary source of information if required by the viewer. Traditionally, much promotion of the website in the offline media by traditional companies has been incidental – simply consisting of highlighting the existence of the website by including the URL at the bottom of an advertisement. Reference to the website is **specific offline advertising** if it is an objective of the advert to explain the proposition of the website in order to drive traffic to the site to achieve direct response. Here the advert will highlight the offers or services available at the website, such as sales promotions or online customer service. Many state 'Visit our website!', but clearly a more specific strapline can be developed that describes the overall proposition of the site ('detailed information and product guides to help you select the best product for you') or is specific to the campaign ('we will give you an instant quote online, showing how much you save with us').

Offline response mechanisms

The different response mechanics such as web response and URL strategy that we discussed in **Chapter 8** in the section on campaign response

mechanisms have to be used to maximise response, since this helps to direct potential customers to the most appropriate content on the website. Different URLs are also useful for measuring the response of offline media campaigns since we can measure the number of visitors arriving directly at the URL by entering the domain name.

Case study 9 shows how earned and owned media can be applied to grow a business using inbound marketing with limited tactical use of paid media. It presents data from Google Analytics to suggest how communications effectiveness can be reviewed, a topic that is explored further in the next chapter.

Case study 9.1

Smart Insights: how content strategy fuels inbound marketing to grow an online B2B service

Smart Insights is an online marketing training platform based in Leeds, United Kingdom. It launched in 2010 with the aim of supporting marketers to make better use of digital marketing using a planned approach to data-driven marketing techniques. To help engage its target audience of marketing practitioners and to position its advice, Smart Insights ran a launch campaign around its manifesto for future success in marketing, including these five calls to action:

- Digital marketing is marketing.
- You need a strategy.
- Measurement and optimisation are your foundation.
- Joined-up, customer-centred marketing is essential.
- Be agile.

The market opportunity arose since, while there were many blogs discussing individual digital media tactics such as search, social or email marketing, there were few publishers or training solutions offering practical guidance on strategy and planning to integrate these tactics as part of all marketing communications using a data-driven approach. Research suggested that deciding the best way to integrate communications, along with proving and optimising return on media investment, was a key challenge for marketers and many businesses didn't have a dedicated plan to achieve this.

Value proposition, business and revenue model

Smart Insights is an online training platform to help marketers develop practical skills to improve results from their marketing with a focus on digital transformation and data-driven marketing. Interactive e-learning is offered through learning paths integrated with templates to create action plans. Learning paths are toolkits based on different skills development needs, from digital marketing strategy, digital transformation and campaign planning through to improving results from individual channels such as organic search, social media marketing and developing skills in Google Analytics and website conversion-rate optimisation.

Smart Insights offers a freemium subscription model where people can sign-up as a free member to learn how to improve their approach or develop their skills while sampling training advice and planning templates. Each month Smart Insights gains 4,000 to 5,000 new free subscribers who are potential leads for the paid memberships.

To supplement its main online training subscription-based proposition, Smart Insights developed a hybrid revenue model similar to other training platforms and B2B publishers by also offering advertising for marketing vendors who are looking to develop awareness and generate leads. Free members who are not interested in the training proposition may be interested in services from B2B vendors, which include B2B martech suppliers such as email, marketing automation and digital experience SaaS providers, and also agencies. Because of the limited number of page impressions involved with B2B publishing it was found not to be effective to use a simple ad-funded model displaying banner ads on an ad network such as Google AdSense/Google Display Network to generate revenue on a cost-per-click basis. Instead, a content marketing partnership offering was developed, where B2B vendors can select from a package of options to generate leads, including featuring their white papers in e-newsletters or dedicated ‘solus’ emails to an email list of around 200,000 active opted-in subscribers to generate leads via landing pages on their sites where

they can then nurture interest in their services. Other options include co-branded content including webinars and reports. Higher fees can be attracted through this model compared to a simple impression-based ad model. However, this requires investment to develop quality content plus a dedicated sales team to explain the options and manage customer accounts.

The team and technology

Co-founders Stuart Miller, Danyl Bosomworth and Dave Chaffey pooled their experience across marketing technology, brand marketing, digital marketing and analytics, developed through their work in marketing for businesses as consultants and for agencies working with businesses from different sectors.

Blog content with topics in line with the manifesto was initially created by the co-founders. Outreach to marketing contacts was used to invite different specialist ‘expert commentators’ to take part in contributing high-quality guest posts to the blog, who freely shared their experiences about their specialist area of digital marketing, from marketing strategy and analytics to channels such as SEO, social and email marketing. This had the advantage that these influencers would share the articles with their followers, and they would benefit from reaching a larger audience through contributing to a respected publisher. Following launch of paid subscription in 2012, by which time the website had 100,000 visits

per month, budget was available to expand the member resources and frequency of blog updates available through part-time virtual team members via what became Upwork.com.

As subscription and content partnership revenue grew and the company was profitable, a team was established in an office in Leeds with key marketing roles including a marketing manager, blog and social media editor, email marketing and CRM manager plus web development and design. A sales and marketing director also manages a business development team with sales people and account or customer success managers responsible for demonstrating the benefits of the platform to larger businesses and onboarding customers.

Since external investment wasn't sought, low-cost SaaS technology was used as the marketing technology for the business, with the site using the open-source CMS WordPress. Google Analytics is used to track effectiveness, plus Google Optimize and OptinMonster for AB testing. For CRM, managing leads and email marketing, Salesforce and Pardot are used to develop understanding of customers.

Audience

Smart Insights attracts around 500,000–600,000 visits each month with 1 million page views (or page impressions). There is a

seasonality to traffic since many university students studying professional qualifications use Smart Insights to support their studies, leading to higher traffic in the autumn, new year and spring. Many business managers are also preoccupied with planning for marketing during these times and are looking for advice on improving their planning.

Smart Insights has a global audience, with a focus on customers in English-speaking countries. Since this is a B2B site, the majority of the audience use desktop (75 per cent) with 23 per cent on smartphone and 2 per cent on tablet. The top countries by volume of visitors are as below, showing how inbound marketing can be used to attract a global audience:

1. United States: 22 per cent.
2. India: 14 per cent.
3. United Kingdom: 13 per cent.
4. Australia: 4 per cent.
5. Canada: 4 per cent.
6. Philippines: 3 per cent.
7. Malaysia: 2 per cent.
8. Singapore: 2 per cent.
9. Germany: 2 per cent.

10. South Africa: 2 per cent.

To develop its proposition and communications to focus on customers with different needs, Smart Insights has developed personas and content maps for the main roles that are interested in paid services. These include people who are responsible for marketing overall, digital activities (e.g. digital marketing managers, e-commerce managers and channel specialists), small business owners, agency owners or managers and those responsible for marketing technology companies. Since specific insights and marketing techniques apply to different sectors, Smart Insights has also developed content to help people working in different sectors including retail, financial services, travel, healthcare and different business-to-business sectors.

Smart Insights uses profiling on registration and based on content viewed in order to understand audience characteristics and needs. A segmented navigation is used to appeal to these roles and different business sectors with specific content. Figure 4.11 shows a ‘segmented customer journey’ which gives three choices, with the next page tailored for each audience, who self-segment based on their needs. This segmented approach helps to increase relevance and so conversion, but also gives insights from analytics on how many share an interest. Here, the business has shared with us that the relative proportion of clicks on buttons is 40 per cent

Improve my skills (mainly individuals), 40 per cent Grow my business (mainly leaders in companies) and 20 per cent Upskill my team (team leaders in companies with a training need).

Marketing communications mix

Google Analytics traffic reports show the relative importance of owned and earned media. The main channels and conversions achieved measured by the last-click model are:

- *Organic search:* 82 per cent of visits, 70 per cent of free member conversions, 44 per cent paid individual conversions.
- *Direct visits:* 11 per cent of visits, 15 per cent of free member conversions, 20 per cent paid individual conversions.
- *Referrals from other sites:* 3 per cent of visits, 7 per cent of free conversions, 5 per cent paid individual conversions.
- *Social media:* 1 per cent of visits, 2 per cent of free conversions, 3 per cent paid individual conversions.
- *Email marketing:* 1 per cent of visits, 3 per cent of conversions, 16 per cent paid individual conversions.
- *Paid search* (Google Ads): < 1 per cent of visits, 1.5 per cent of free conversions, 2 per cent paid individual conversions.

- *Display advertising:* < 1 per cent of visits, 1.5 per cent of free conversions, < 1 per cent paid individual conversions.

It’s clear that organic search is a major contributor, attracting visits and conversions. However, other channels are effective in supporting nurture where people don’t convert immediately. In particular, email marketing and to a lesser extent social media, display and paid search have a higher proportion of conversions compared to visits.

Social media would appear to have an insignificant impact on revenue based on the volume of visits and conversions. But with over 100,000 followers across different social networks, it’s still seen as a significant channel to support brand development by developing awareness, familiarity, favourability and purchase intent. The relative importance of social networks by visits are:

- Facebook: 41 per cent.
- LinkedIn: 23 per cent.
- X: 16 per cent.
- Pinterest: 9 per cent.
- YouTube: 3 per cent.
- Instagram: < 1 per cent.

Success factors: organic search and social media

The volume of visits achieved through an ‘always-on’ focus on organic search and conversion-rate optimisation has been achieved within a competitive marketplace, with many specialist, publishers, training and marketing technology vendors seeking to grow awareness and leads within a similar target audience. In the last part of this case, we will review communications techniques that have been used to help achieve success.

Google Keyword Planner revealed that although digital marketing is only part of marketing communications, search intent is much higher for people looking to develop their digital skills. A detailed keyword gap analysis was developed to understand search behaviour and target specific ‘long-tail’ terms such as ‘digital marketing strategy and planning’, plus qualifiers describing specific needs such as templates, guides and training courses.

A content strategy defining what is published on the blog is important to define the range of topics, content and formats used on the blog, and to achieve a suitable cadence to engage people via social media. The strategy is based on what marketers will find practically useful to develop their skills and knowledge and inform their decisions, including topics such as:

- alerts on platform developments from Google and the social networks to show new marketing techniques;
- trends in digital marketing based on research conducted with members and published in free reports;
- statistics of consumer digital adoption and benchmarking;
- best practices on using different channels and analytics to gain better results.

High-quality articles, reports and infographics on those topics that have been most successful to support lead generation and subscription also tend to attract backlinks from other bloggers who are looking to inform their articles, through the latest statistics for example. This is part of a ‘virtuous circle’ where successful articles can be kept up to date and republished, which keeps them engaging and so rank well in Google. Investment in design to visualise frameworks developed by Smart Insights, such as the RACE planning framework, is thought to be worthwhile since this content highlights thought leadership and gains good levels of social media amplification.

The content marketing strategy was implemented through a guest blogging model using in-house authors and selected expert commentators. As noted in this chapter, this is not an approach endorsed by Google, but with authoritative writers and use of a

blog-style guide to ensure quality articles this has proved effective. However, the growth in popularity of content marketing and guest blogging means that Smart Insights now only uses invited authors since it receives hundreds of requests to contribute each month and experience has shown that it's difficult to achieve the quality needed for Google's E-A-T guidelines even with a blogging style guide. The digital experience isn't the focus of this case, but investment in interactive tools to help marketers benchmark their marketing capabilities and digital marketing skills also form part of the content strategy.

Once free members or paid subscribers are signed up, it's important to engage them through relevant, valuable content. Email automation is an important tactic to send automated emails targeted to prospects and customer interests after they subscribe. This is an automated 'always-on' process, but it needs to be optimised and updated with the latest advice fitting audience concerns. This is also achieved by a regular weekly newsletter, which seeks to get the balance of inform–sell–entertain right by featuring both useful information and promotions.

Regular campaigns are planned throughout the year focusing on the interests and concerns of marketers. These are then linked to free reports and relevant training to achieve commercial goals. Themes for these 'thought leadership' campaigns have included

digital transformation, actionable analytics and how to drive growth in different sectors. Social media, email marketing, paid search, on-site panels and webinars are the most important channels for highlighting these.

Developing credibility as a trusted source of information has been supported by activities such as Dave Chaffey presenting research and advice at hundreds of industry conferences and professional meetings. Online this is achieved through regular webinars on Smart Insights or webinars and podcasts with related brands. An additional benefit of the hybrid revenue model is that joint reports and webinars have been delivered through co-marketing with very large businesses such as Adobe, Oracle, Episerver, HubSpot and Salesforce and many other smaller martech vendors, which have their own audience so can be used to develop awareness. Credibility is also shown by the ‘Excellent’ TrustPilot rating, with customer user-generated content important in helping validate the value of the proposition. It’s also recognised that authoring texts such as the one you are reading has also played a role in developing credibility and awareness of Smart Insights!

Source: Smart Insights (Marketing Intelligence) Ltd

Questions

1. How do different measures of effectiveness show the most effective digital communications channels for Smart Insights?
2. How does Smart Insights differentiate its proposition within a crowded marketplace focusing on digital marketing skills development?
3. Organic search is the most important channel by volume – which factors have been important in achieving and maintaining visibility for Smart Insights within Google?

Summary

1. Online promotion techniques include:

- *Search engine marketing* – search engine optimisation (SEO) and content marketing improves position in the natural listings and pay-per-click ads feature a company in the listings of a search engine or on the display network of third-party sites.
- *Digital PR* – including techniques such as influencer outreach, link-building, blogging and reputation management.
- *Digital partnerships* – including affiliate marketing (commission-based referral), co-marketing and sponsorship.
- *Digital advertising* – using a range of formats including banners, skyscrapers and video across publisher and social network sites. Programmatic is the main form of display investment. Retargeting is an important tactic to remind people about brands they have interacted with.
- *Digital messaging* – including text messaging, mobile push notifications, co-branded emails, event-triggered emails and

ads in third-party e-newsletters for acquisition, and e-newsletters and campaign emails to house lists.

- *Social media marketing* – engaging audiences on different social networks and on a company's own site through sharing content and developing great creative concepts that are transmitted by online word-of-mouth or viral marketing.

2. Offline promotion involves promoting the website address, highlighting the value proposition of the website and achieving web response through traditional media advertisements in print or on television.
3. Interactive marketing communications must be developed as part of integrated marketing communications for maximum cost-effectiveness.
4. Key characteristics of interactive communications are the combination of push and pull media, user-submitted content, personalisation, flexibility and, of course, interactivity to create a dialogue with consumers.
5. Objectives for interactive communications include direct sales for transactional sites, but they also indirectly support brand awareness, favourability and purchase intent.
6. Important decisions in the communications mix introduced by digital media include:

- the balance between spend on media and creative for digital assets and ad executions;
- the balance between spend in traditional and online communications;
- the balance between investment in continuous and campaign-based digital activity;
- the balance of investment in different interactive communications tools.

Table 9.4 provides a summary of the strengths and weaknesses of the tools discussed in this chapter.

Table9.4

Summary of the strengths and weaknesses of different communications tools for promoting an online presence

Promotion technique	Main strengths	Main w
Search engine optimisation (SEO)	Highly targeted, relatively low cost compared to PPC. High traffic volumes if high volume of search intent and is SEO effective. Considered credible by searchers	Requires signi investment in marketing and competition, c changes to ran Investment wo guarantee retu three position i needed for vol

Pay-per-click (PPC) marketing	Highly targeted to reach audience when searching for products or solutions. Controlled cost of acquisition. Can extend reach and remarket using the display network	Relatively cost competitive se particularly wh paying 'over th volumes comp organic visits
Digital PR and influencer marketing	Relatively low cost and good targeting. Can assist with SEO through creation of backlinks	Identifying onl and setting up can be time-co to invest in cor to encourage sh
Affiliate marketing	Performance marketing approach of payment is by results (e.g. 5 per cent of sale or leads goes to referring site)	Only relevant f with online sal payments to af for setup and m fees. Changes algorithm have volume from a search
Online sponsorship	Most effective if low-cost, long-term co-branding arrangement with synergistic site	May increase a does not neces directly to sale

Digital display advertising	Reach audience through publishers and social networks to gain awareness and encourage click-through, including through retargeting. But also has a role in branding through media-multiplier effect. New ‘native advertising’ formats based on content can be more effective	Response rates historically bec ‘banner blindn
Email marketing	Push medium – can’t be ignored in user’s inbox (compared to social updates). Can be used for direct-response link to website	Requires opt-i effectiveness. I customer comr than for acquis can’t buy prosp cut-through – r among other e deliverability
Social media marketing, viral and word-of-mouth marketing	With an effective viral agent, possible to reach a large number at relatively low cost. Influencers in social networks can be significant and existing customers can be used for advocacy. Paid advertising options may be effective	Difficult to cre viral concepts targeting. Redu reach means th requires payme audiences. Risk brand since un messages may

Traditional offline advertising (TV, print, etc.)	Larger reach than most online techniques and sometimes more cost-effective. Greater creativity possible, leading to greater impact	Targeting argu than online. Ty of acquisition, effective local available

Exercises

Self-assessment exercises

1. Briefly explain and give examples of the main online promotion techniques.
2. Explain the factors that control the position of a company's products and services in the organic and paid listings of a results page of a search engine such as Google.
3. Compare the effectiveness of different methods of online advertising, including programmatic display advertisements, paid search marketing, paid social and affiliate marketing.
4. Explain how different forms of paid digital media can support advertiser goals.
5. Explain the value of different forms of social media marketing.
6. What are the options for using online PR to promote a new product?
7. How should companies evaluate the relevance and effectiveness of the digital media channels discussed in this chapter for their organisation?
8. How can email marketing be used to support lifecycle marketing objectives?

Exam and discussion questions

1. Give three examples of digital media channels and briefly explain their communications benefits.
2. Describe four different types of sites on which online display advertising for a car manufacturer's site could be placed.
3. Click-through is one measure of the effectiveness of display advertising.

   a. What is 'click-through'?

   b. Which factors are important in determining the click-through rate of a display advertisement?

   c. Is click-through a good measure of the effectiveness of display advertising?

4. What is meant by co-branding and co-marketing? Explain their relevance to different types of business.
5. Facebook and Google dominate digital media investment in many countries and are highly competitive. Discuss how businesses can plan media investment to achieve their goals.
6. How can conversational and digital messaging be used to improve customer acquisition and retention?
7. Briefly evaluate the strengths and weaknesses of affiliate marketing for a retailer.
8. How should a business decide on its social media investment priorities for organic and paid social activities using different social networks?

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Weblinks

A directory of recommended website links, including recommended videos, analysis tools and sources for statistics, is

maintained by Dave Chaffey at www.davechaffey.com/book-support. The sites for this chapter are selected to cover the best advice and news on developments in digital media channels, in particular search and social media marketing.

Chapter 10

Evaluation and improvement of digital channel performance

Learning objectives and topics

After reading this chapter, you should be able to:

- Understand the process, KPIs and tools used to measure and improve digital marketing effectiveness
    - Performance management for digital channels
- Review data within Google Analytics to identify performance and improvements
    - Using Google Analytics to evaluate and improve digital marketing
- Identify the activities necessary when researching and managing digital activities and content
    - Marketing research using the internet and digital media
    - Content management process

Case study

Case study 10.1 Airbnb’s agile monitoring of its marketing offer

Links to other chapters

This chapter is related to other chapters as follows:

- **Chapter 4** describes the development of a digital marketing strategy. The aim of measurement and evaluation is to quantify whether the objectives of this strategy have been achieved.
- **Chapter 7** describes issues involved in creating an effective digital experience including websites and mobile platforms, and should be read before this chapter to introduce the reader to the concepts of website management.
- **Chapter 8** describes methods of increasing brand awareness online. It should be read before this chapter since one aspect of measuring the effectiveness of digital marketing is aimed at assessing the different online communications methods.

Introduction

Companies that have a successful approach to digital marketing often seem to share common characteristics. They attach great importance and devote resources to monitoring the success of their online marketing, putting in place the processes to continuously improve the performance of their digital channels. The importance of defining an appropriate approach to measurement and improvement is such that the term **web or digital analytics** has developed to describe this key digital marketing activity.

Effectively using the insights available from digital analytics is widely known as ‘data-driven marketing’ and is favoured by many senior leaders in larger businesses who encourage marketers in their teams to follow this approach. In smaller businesses too, a data-driven approach can help ‘punch above their weight’ by agile use of insights from the free tools for analysis and reporting provided by Google, Meta and other digital platforms. For these reasons, understanding and experience of data-driven marketing will be important to all future careers and it’s why we have a chapter focusing on developing these skills.

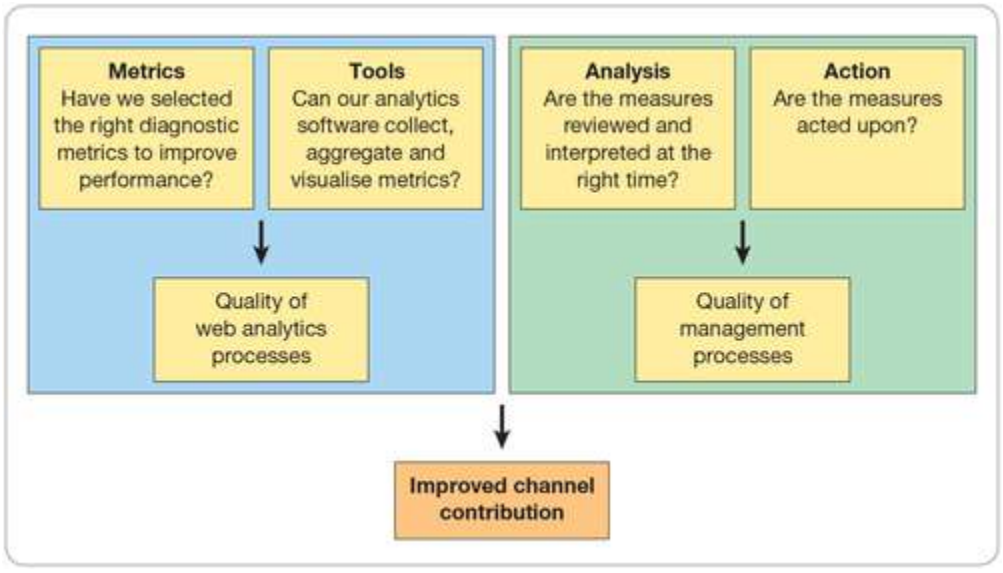
To succeed in a data-driven approach to improving results from digital marketing we suggest that there are four main organisational prerequisites, which are broken down as shown in Figure 10.1 into the quality of the web analytics processes, including defining the right improvement measures and purchasing the right tools, and the

management processes – such as putting in place a process where staff review results and then modify their marketing activities accordingly.

This chapter is in two parts – the first part is about performance management, where we review the approach to improving the results from digital marketing through assessing appropriate measures, tools and the right process to apply them, as suggested by Figure 10.1. We show how these relate to using Google Analytics, which is the most widely used digital analytics tool. In the second part, we review some of the issues involved with maintaining an online presence, looking at the tools and processes for improving different company web presences.

Figure10.1

Key questions in evaluating process, metrics and tools for improving the contribution of digital marketing within an organisation



Essential digital skills

Evaluating digital marketing effectiveness

Evaluation skills to review and improve digital marketing using analytics are in high demand since digital marketing has great potential to be data-driven and employers are looking for data analysis skills.

We recommend you develop the following skills:

- Analysing digital marketing effectiveness using relevant measures, particularly for digital media, website customer journeys and content effectiveness.
- Understanding how to use digital marketing analytics systems such as Google Analytics and Adobe Analytics, and data visualisation tools such as Google Looker Studio, Tableau or open-source statistical analysis tool ‘R’.
- Knowing how to run structured experiments such as AB testing to improve site effectiveness.
- Understanding how different types of marketing technology can be used for measuring and improving customer engagement.

Practical ideas to boost employability by showcasing your interests and experiences include:

- Accessing the latest Google Analytics 4 demo account to understand how Google Analytics is structured.
- Creating simple dashboards from Google Analytics 4 Data in Google Looker Studio to demonstrate that you understand the essential measures needed on a digital marketing dashboard.

- Showing how you have used Google Analytics or AB testing to improve marketing effectiveness.
- Knowing how to use ChatGPT and Gemini data analysis tools to produce charts and analyse data.
- Setting up and running a blog as an example of using a web-hosted content management system, e.g. WordPress.com. Set up Google Tag Manager and Google Analytics on this blog.

To audit your digital marketing skills across the RACE planning framework, use the Smart Insights Skills Assessment tool available at: http://bit.ly/smartdigiskills.

Performance management for digital channels

To improve results for any aspect of any business, performance management is vital. As Bob Napier, Chief Information Officer at Hewlett-Packard, was reported to have said back in the 1960s, ‘You can’t manage what you can’t measure’. The processes and systems intended to monitor and improve the performance of an organisation are known by business operations researchers as **performance management systems** and are based on the study of **performance measurement systems**.

Today, nearly all organisations have some form of online presence, but the questions highlighted in Figure 10.1 often aren’t answered adequately. So, a good starting point is to understand the current improvement process and the organisational barriers that prevent a suitable improvement process.

In this section, we will review approaches to performance management by examining three key elements of a digital marketing measurement system. These are, first, the *process* for improvement, second, the measurement framework that specifies groups of relevant **digital marketing metrics** and, finally, an assessment of the suitability of tools and techniques for collecting, analysing, disseminating and actioning results. We will review

these three stages of creating and implementing a performance management system.

Creating a performance management process

The essence of *performance management* is suggested by the definition for performance *measurement* used by Andy Neely and co-workers of Cranfield School of Management's Centre for Business Performance. They defined performance measurement as (Neely *et al*., 2002):

> the process of quantifying the efficiency and effectiveness of past actions through acquisition, collation, sorting, analysis, interpretation and dissemination of appropriate data.

Performance management extends this definition to the process of analysis and actioning change in order to drive business performance and returns. Online marketers can apply many of the approaches of business performance management to digital marketing by using digital analytics tools such as Google Analytics or Adobe Analytics. Yet, although most businesses have set up these services on their websites, in particular the free version of Google Analytics, a process is still needed to utilise the data and tools for performance management. As you can see from the definition, performance is measured primarily through information on process effectiveness and efficiency, as introduced in **Chapter 4** in the

section on objective setting, where we noted that it is important to include both effectiveness and efficiency measures.

The growing role of AI in data-driven marketing

Given the complexity of data available in analytics systems such as GA4 and ad platforms for Google Ads, Facebook, Instagram and LinkedIn, one of the key challenges for businesses is heightened by the questions in the green box in Figure 10.1. Machine learning has been built into tools such as Google Analytics for some time, for example, the Analytics Intelligence provides two types of insights:

- *Automated insights*. Analytics Intelligence detects unusual changes or emerging trends in your data and notifies users automatically of potential problems or opportunities.
- *Custom insights.* You create conditions that detect changes in your data that are important to you. When the conditions are triggered, users see the insights on the Insights dashboard, and can optionally receive email alerts.

Generative AI also has the potential to support non-analytics specialists so that reports are analysed, interpreted and acted upon as described in Digital marketing insight 10.1.

Digital marketing insight 10.1

OpenAI launches new tool to support marketing analysis and reporting

You will know that ChatGPT excels at text-to-text prompting where it will answer questions and generate copy, but did you know that the Plus and Enterprise versions can also support business users to perform analysis to summarise trends or create charts when you upload a dataset from a file such as a spreadsheet or a cloud stored version.

When you add a dataset, ChatGPT will create an interactive table that you can expand to a full-screen view so you can follow along as it updates during your prompts and analysis. Users can click on specific areas to ask follow-up questions, or choose from one of ChatGPT's suggested prompts to go deeper into your analysis.

This is a significant development because of the amount of reporting and presentation work done within business for different timescales of reporting: Daily, Weekly, Monthly, Quarterly and Yearly! Saving time on the process and enhancing the analysis so that insights are generated should release times for managers to focus on more value-adding activities.

The Google Gemini also has analysis and reporting capabilities built in. Gemini can help users create and customise data visualisations by generating charts, graphs, tables and dashboards based on connected data sources or uploading spreadsheet or cloud data. Users can also use natural language to describe the desired visualisation and receive options and recommendations from Gemini.

Source: https://openai.com/index/improvements-to-data-analysis-in-chatgpt/, https://www.analyticsinsight.net/artificial-intelligence/google-gemini-for-data-analysis-a-beginners-guide

Defining the performance metrics framework

For effective data-driven marketing, teams and individuals need a framework which defines the types of measure and reporting they will use for different activities. They also need to think through the process for setting targets and then measuring, reporting, reviewing and improving performance.

Figure 10.2 indicates four key stages in a measurement process. These were defined as key aspects of annual marketing plan control by Kotler (1997). Stage 1 is a goal-setting stage where the aims of the measurement system are defined – this will usually take the strategic digital marketing objectives as an input to the measurement system. Stage 2, performance measurement, involves collecting data to determine the different metrics that are part of a measurement framework, as discussed in the next section. Stage 3, performance diagnosis, is the analysis of results to understand the reasons for variance from objectives and selection of marketing solutions to reduce variance.

Figure10.2

A summary of the performance measurement process



In a digital marketing context, Stage 4, corrective action, is the implementation of these solutions as regular updates to content, design, ongoing marketing communications and CRO. After this stage the continuous cycle repeats, possibly with modified goals.

Measurement for assessing the effectiveness of digital marketing should assess the contribution of digital marketing at different levels from commercial, strategic issues to communications tactics:

1. Are business objectives defined in the digital marketing strategy being met?
2. Are marketing objectives plans achieved?
3. Are marketing communications objectives achieved?

Figure 10.3 shows a recommended framework of measures for evaluating and reporting on digital marketing, which applies in different sectors. The groupings of measures remain relevant; although they are centred on sites

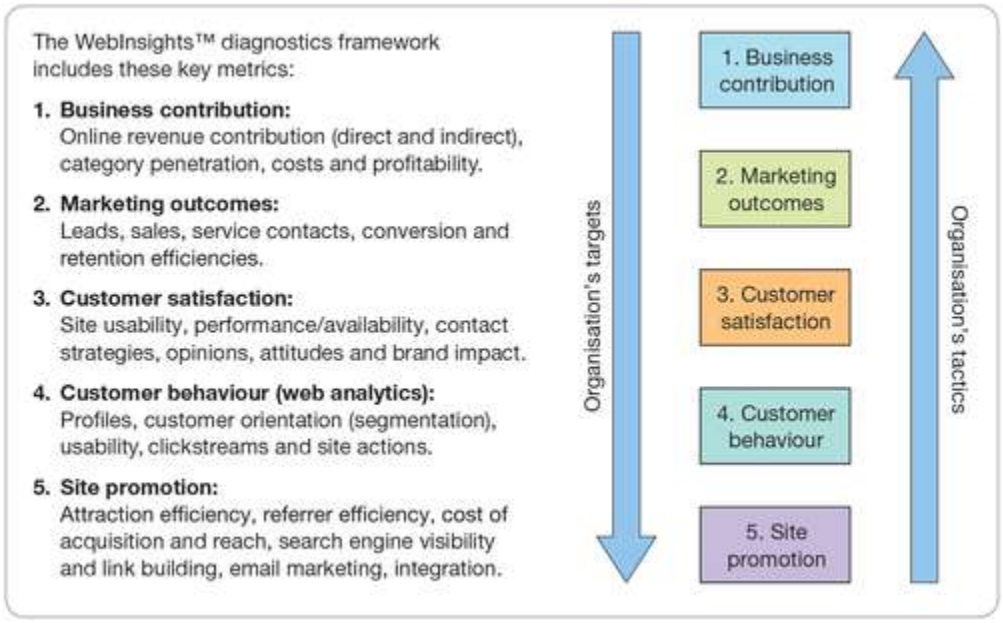
or online presence, measures for engagement with social media should also be considered. In **Chapter 4**, we also reviewed two alternative frameworks (see Tables 4.5 and 4.8) that can be used for creating a performance dashboard.

Chaffey (2000) suggested that organisations should define a measurement framework similar to Figure 10.3 or create a management dashboard that defines groupings of specific metrics used to assess digital marketing performance. He suggested that suitable measurement frameworks will fulfil the following criteria:

- Include macro-level effectiveness metrics that assess whether strategic goals are achieved and indicate to what extent digital marketing contributes to the business (revenue contribution and return on investment).
- Include micro-level metrics that assess the efficiency of digital marketing tactics and implementation. Such measures are often referred to as *performance drivers*, since achieving targets for these measures will assist in achieving strategic objectives.

Figure10.3

The five diagnostic categories for digital marketing measurement



Source: Chaffey (2000)

- Assess the impact of digital marketing on the satisfaction, loyalty and contribution of key stakeholders (customers, investors, employees and partners), as suggested by Adams *et al*. (2000).
- Enable comparison of performance of different digital channels with other channels, as suggested by Friedman and Furey (1999).

When identifying metrics it is common practice to apply the widely used SMART mnemonic, and it is also useful to consider three levels – business measures, marketing measures and specific digital marketing measures (see the objective-setting section in Chapter 4). We will now summarise the measures referenced earlier in the text using the framework shown in Figure 10.3.

Business contribution

A contribution to business goals or profitability is always the ultimate aim of digital marketing and e-commerce. To assess this, leading multichannel companies set an online contribution target of achieving a certain proportion of sales via the channel. Assessing contribution is more difficult for a company that cannot sell products online, but the role of the internet in influencing leads and purchase should be assessed. Discounted cash flow techniques are used to assess the rate of return over time.

Wilson *et al*. (2008) have pointed out there is a need to evaluate how different channels support each other. The implication is that retailers need to measure the impact of digital touchpoints on offline sales, such as those achieved through online branding campaigns or click and collect. Dell Computer (www.dell.com) and other retailers record on-site sales and also orders generated as a result of site visits but placed by phone, using call-tracking software. This is achieved by monitoring calls to a series of unique phone numbers on the site for each country.

Dell reports:

> Traditional metrics have been aligned to channels, measuring resource input or leads in at one end and the value of sales generated by the channel at the other end. For companies that have been operating in a single channel environment, this

> might have been relatively efficient – but it no longer works when the organisation diversifies to a multichannel approach.

Marketing outcomes

channel outcomes are traditional marketing objectives such as number of sales, number of leads, **conversion rates** and targets for customer acquisition and retention, and should be set for digital channels and then compared to other channels.

Key marketing outcomes

Typical marketing outcomes that need to be tracked and reported on using digital analytics and dashboards include:

- registration to site or subscriptions to an email newsletter (a new contact or lead);
- requests for further information such as a brochure or a request for a call-back from a customer service representative (a new contact or lead);
- responding to a promotion such as an online competition;
- an offline (phone or store) lead or sale influenced by a visit to the site;
- a sale on-site.

Key measures

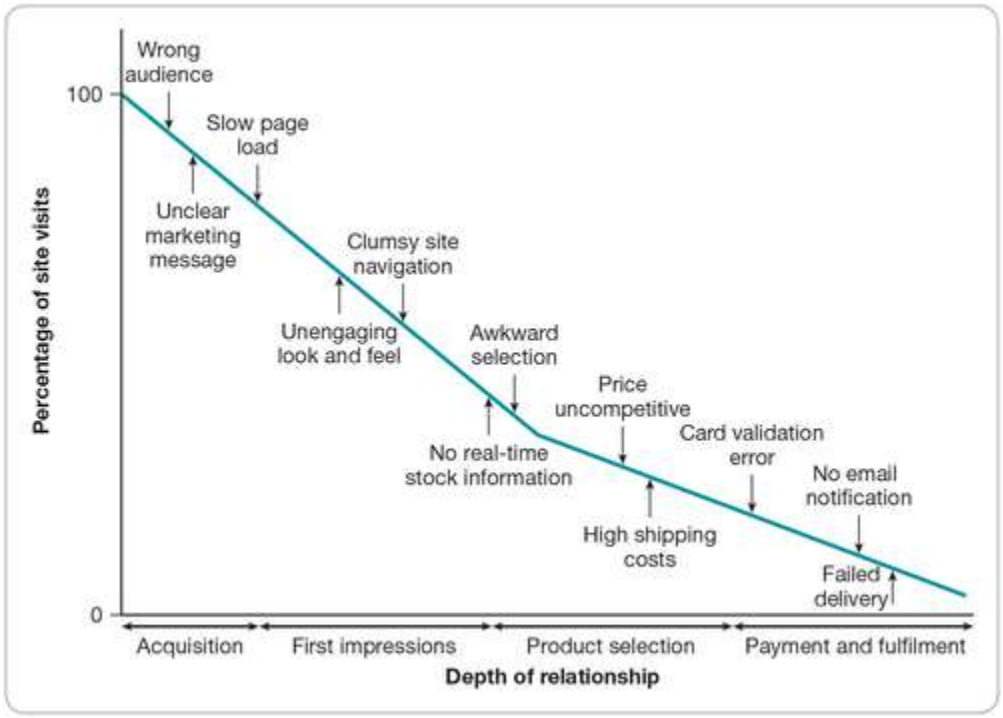
Measures that can be reported include:

- Channel contribution (direct and indirect). A widely used method of assessing channel outcomes is to review the conversion rate, which gives an indication of the percentage of site visitors who take a particular outcome. For example:
    - conversion rate, visitors to purchase = 2 per cent (10,000 visitors, of which 200 make purchases);
    - conversion rate, visitors to registration = 5 per cent (10,000 visitors, of which 500 register).

A related concept is the **attrition rate**, which describes how many visitors are lost at each step of a conversion funnel from landing page to checkout. Figure 10.4 shows that, for a set time period, only a proportion of site visitors will make their way to product information, a small proportion will add an item to a basket and a smaller proportion still will actually make the purchase. A key feature of e-commerce sites is that there is a high attrition rate between a customer adding an item to a basket and subsequently making a purchase. Reasons for this may include usability problems, fears about security or because customers are browsing products with the intention of buying them offline or in another channel.

Figure10.4

Potential reasons for causing attrition on an e-commerce site



Smart Insights (Chaffey, 2021) publishes a compilation of conversion and attrition rates for different sectors showing variation in conversion rates between 1 and 5 per cent for e-commerce sites and lead conversion of rates from 2 to 5 per cent for B2B services. Typically, conversion rates on smartphone are around half those of desktop since many people with both devices will research on smartphone, but purchase on desktop may be more convenient.

Customer satisfaction

Customer **channel satisfaction** with the online experience is vital in achieving the desired channel outcomes and it should be reviewed regularly to identify problems. Online research methods such as online

questionnaires, exit intent surveys (see **Chapter 7**), focus groups and interviews can be used to assess customers' opinions of the website content and customer service and how it has affected overall perception of brand. Benchmarking services such as ForeSee (www.foreseeresults.com), based on the American Customer Satisfaction Index methodology, are published for some industries. These assess scores based on the gap between expectations and actual service.

Key measure

Customer satisfaction measures. These are discussed in Chapter 7 and include net promoter score for the channel and specific measures for ease of use, site availability and performance, and email response. To compare customer satisfaction with other sites, benchmarking services can be used.

Customer behaviour (web analytics)

Once customers have been attracted to the site, tools such as Google Analytics can be used to review **channel buyer behaviour**. Measures used to assess this include content accessed, when they visit and how long they stay, and whether this interaction with content leads to satisfactory marketing outcomes such as new leads or sales. If visitors are incentivised to register on-site it is possible to build up profiles of behaviour for different segments. Segments can also be created according to visitor source and content accessed. It is also useful to recognise return visitors based on cookies set on a previous visit or times of login. In **Chapter 6**

we saw how hurdle rates can be used to assess activity levels for return visits, e.g. 30 per cent of customers return to use the online service within 90 days.

Key measures

Ratios for evaluating behaviour that are available in digital analytics system include:

- Bounce rates for different pages, i.e. proportion of single page visits.
- Home page views/all page views, e.g. 20 per cent = (2,000/10,000).
- **Stickiness**: page views/visitor sessions, e.g. 2 = 10,000/5,000.
- Repeats: visitor sessions/visitors, e.g. 20 per cent = 1,000/5,000.

Channel promotion

Channel promotion measures evaluate the volume, quality and value of traffic referred to digital experiences such as desktop or mobile sites. These include online media channels such as search, email and social media channels and offline channels. Web analytics can be used to assess which intermediary sites customers are referred from (the **referrer**) and which keywords they typed into search engines when trying to locate product information. Similar information on referrer is not typically available for visits to social media sites. Promotion is successful if traffic

meets objectives of volume, quality, value and cost (as explained in **Chapter 8** where we also showed how UTM tracking in Google Analytics is used to distinguish between referrals from different channels such as social media and email marketing). Quality will be determined by whether visitors are in the target market and have a propensity for the service offered (through reviewing conversion (online or offline), attribution models (see Chapter 8), bounce rates and cost-of-acquisition for different referrers).

Key measure

For each referral source, such as paid search or display ads, it should be possible to calculate:

- percentage of all referrals or sales (and attribution to outcome, i.e. last-click model or assists, as described in Chapter 8);
- cost-per-acquisition (CPA) or cost-per-sale (CPS);
- percentage contribution to sales or other marketing outcomes such as leads.

Digital marketing measurement and diagnostic tools have developed rapidly and yet many B2B firms still struggle to identify value in the use of social media. Now read Research spotlight 10.1 to find out more.

Research spotlight 10.1

Social media analytics

Focus: Social media analytics for business-to-business marketing, Agnihorti, R., Bakeshloo, K. A. and Mani, S. (2023)

Context: B2B Marketing and social media analytics

While the use of social media is well understood when communications, collaborations and networking take place in an individual context, less is known about the efficacy of similar interactions in B2B contexts. B2B firms tend to be uncertain about the benefits of using social media and so its use is often limited. This theoretical study explores the use of social media analytics (SMA) to give insight into tracking, and distribution of SMA to improve customer retention.

The research

This study aims to point a spotlight on how B2B marketers utilise SMA. B2B marketing is shaped differently to B2C marketing when it come so to social media, see Table RS 10.1 for a summary of the varying features of these markets.

TableRS 10.1

Features of application of social media in B2C and B2B markets (adapted from Agnihorti *et al., 2023*)

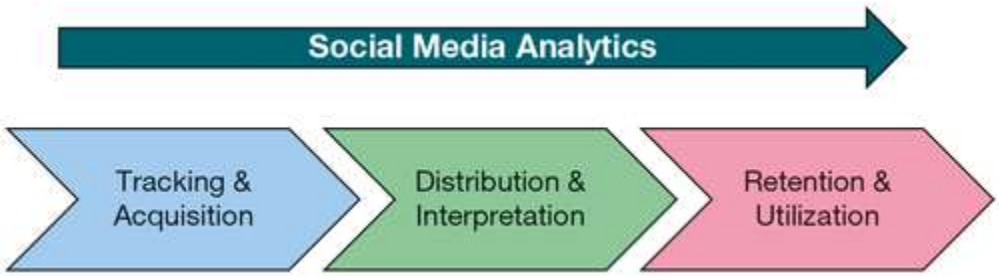
Marketing focus	B2C	B2B
Target audience	End-users, consumers	Businesses, intermediaries
Purpose	Developing connections, emotional	Relationship building, business netw

	transactions, influence purchase decision	
Customer base	Large customer base of individuals,	Small customer base of specific firm
Purchasing behaviour	Short buying cycle, many transactions	Long buying cycle, few transactions

As the features and audiences vary, so does the measurement of social media in a B2B setting. As a result, there are many challenges for B2B firms, which often lack social media marketing strategies. Moreover, lack understanding of data streams available to a firm so using and analysing social media can be fraught with challenges. However, there is a growing realisation in B2B markets of the importance of social media and how to interpret analytics. This study has investigated the rich literature surrounding SMA and proposed a framework for SMA in a B2B context. See Figure RS 10.1.

FigureRS 10.1

A framework for SMA (adapted from Agnihorti *et al., 2023*)



Key findings

Social media is an increasingly important sales, marketing and research channel in consumer and business markets. Agnihorti *et al.* (2023) have found businesses tend to take a less strategic approach towards social media but have recommended the SMA

framework as a solution. Moreover, the framework outlines clear strategies for businesses to acquire, distribute and retain social media data to enable learning and development of the value of social media. The stages of the SMA framework are:

- Stage 1 tracking and acquisition: data sources might be internal e.g. blogs, comments; external e.g. customer reviews, competitor posts, Wikipedia pages.
- Stage 2 distribution and interpretation: social media analysis to determine sentiment and create insights.
- Stage 3 retention and utilisation of social media analytics output in real time and non-real time.

Implications for digital marketers

- Select analytical tools which deliver appropriate social media data insights.
- New tools e.g. generative AI offer scope for training to produce proprietary insights.
- New data tools can support the development and management of sales teams, customer relationships and more.

Research spotlights tasks

a. Carry out desk research to identify a real-world B2B company, its suppliers, its customers and other intermediaries.

b. Suggest sources of social media data, which your chosen company could utilise to generate insights.

c. Discuss the advantages and disadvantages of generative AI as a method of interpreting and distributing social media data.

Tools and techniques for collecting insight, running processes and summarising results

Organisations need to select the most appropriate tools for collecting and reporting metrics that meet requirements, such as reporting of marketing performance, accuracy, analysis and visualisation tools.

Techniques to collect metrics include the collection of site-visitor activity data such as that stored in digital analytics systems such as Google Analytics and Adobe Analytics, and the collection of metrics about outcomes such as online sales or email enquiries and traditional marketing research techniques such as questionnaires and focus groups, which collect information on the customer's experience on the website. Integration of customer data between data sources is a challenge, since often different tools for managing digital marketing such as web analytics, digital advertising, email marketing and customer relationship management (CRM) store data separately. Larger organisations invest in **customer data platforms (CDPs)** and **Marketing Mix Modelling** to unify this data from different sources.

Organisations need to select the most appropriate tools for collecting and reporting metrics that meet requirements, such as reporting of marketing performance, accuracy, analysis and visualisation tools. CDPs should be

compared based on their integration with other marketing information systems (import, export and integration using XML standards), ease of use, configuration (e.g. creation of custom dashboards and email alerts), support quality, cost of purchase, configuration and ongoing support.

Using Google Analytics to evaluate and improve digital marketing

Google Analytics is the most popular tool for measuring digital communications effectiveness. Tools such as Adobe Analytics and Google Analytics 360 are used in larger organisations that need more precise data and support; however, the measures and reports used for evaluation are similar. All these tools collect and report on **site visitor activity data** including the number and location of visitors on a site, the referring source and the paths or **clickstreams** they take through the site as they visit different content.

How is Google Analytics data recorded?

Activity data are collected by JavaScript tracking code or ‘analytics tags’ that are added to the header section of each HTML page on a site. When a page is loaded by a site visitor in their browser, the tracking code is activated and details of the visit are sent to the server of an analytics tool such as Google Analytics, where marketers can sign in to review the summary and aggregated data. Typically, it’s not possible and against Google’s terms of service to find information about an individual. The method for setting up tracking depends on the version of Google Analytics, but most sites currently use the global site tag (gtag.js). There is also an option to tag sites using Google Tag Manager, which has the advantage that a single tool can be used for managing JavaScript codes from different marketing technology, and it can be used for other purposes such as specifying Google Ads remarketing lists, which were outlined in **Chapter 9**.

Applying Google Analytics reports and measures

Before the advent of SaaS analytics, website visitor interaction information was typically collected using log files. A server-based log file is added every time a user downloads a piece of information (a **hit**) such as a page or image within the page. They are not a measure available in Google Analytics and are no longer used by most organisations, although they may be used for technical reviews of server load and search robot crawling. So don't refer to hits!

Despite their usage by some poorly informed commentators, hits are not a useful measure of website effectiveness since if a page consists of ten graphics, plus text, this is recorded as 11 hits.

Google Analytics presents many different reports on data recorded by its tracking codes, however, there are a relatively small number that are useful for marketers to access regularly to report on performance, since some data, such as countries of visitors or proportion of visitors with different devices, don't vary much from one month to the next. Experienced marketers and data analysts know through experience which are most relevant for performance review. Complete Activity 10.1 to learn the structure of reports in Google Analytics.

Activity 10.1

Using Google Analytics reports to review marketing effectiveness

Purpose

To understand how insights are structured in different reports in Google Analytics so that performance can be evaluated by asking the right questions. Examples of 10 different types of questions are covered, with follow-up questions in each of these categories.

Activity

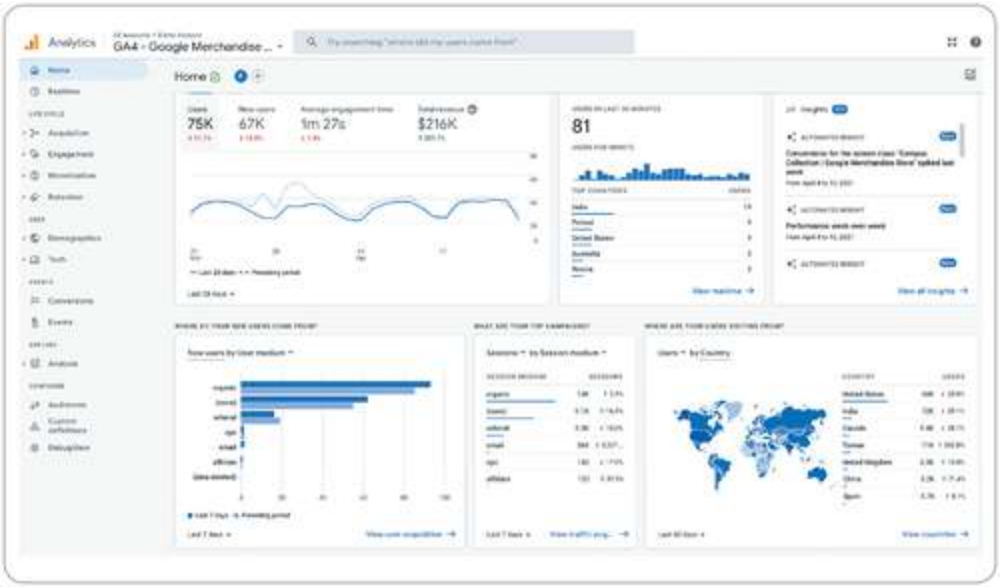
Access the example data from a simple retailer: ‘the Google Merchandise Store’ available in the Google demo account (https://support.google.com/analytics/answer/6367342) for both Universal Analytics (the reports currently used by most businesses) and Google Analytics 4 or GA4 (newer reports, which will eventually replace Universal Analytics). Figure 10.5 shows how the home dashboard of GA4 illustrates how different reports highlight the questions the marketer should be asking.

Use the different reports to answer the questions posed in Table 10.1. This gives an indication of the types of practical questions asked by Dave Chaffey when reviewing clients’ sites as a web analyst and consultant.

As you review the answers to different questions, consider the common scenario where you have to review traffic between a current time period, e.g. a month and a previous time period. How do you do this? Typically, you’re interested in the differences or ‘deltas’ of month-on-month and year-on-year. So, Google Analytics users can compare different time periods using the calendar widget.

Figure10.5

Analyst questions highlighted on Google Analytics 4 dashboard



Source: Google LLC

Table10.1

Key questions to review digital marketing effectiveness using Google Analytics

Analyst question	Typical web analytics report terminology	Diagnosis used by a improve perfor
Q1. What are our marketing activities doing for our business? What is a successful site visit for us? Is our audience getting value? What are the site goals?	Events report: conversions E-commerce (if relevant to site)	Do goals cover market outcomes and audienc engagement measures? Are macro-goals (e.g. sales) and micro-goals conversions) covered?
Q2. Who is visiting our site?	Audience reports:	Where are visitors loca

What is the profile of visitors' demographics and technographics?	demographic details, e.g. country, age and gender (if collection enabled)	Which devices and brc they use? What are common scre resolutions?
Q3. Which marketing activities drive visits and conversions? How do always-on and campaign activities compare?	Acquisition reports comparing channel volume and quality (bounce and conversion events)	How do the volume, q and value of different channels differ? How do number of vis conversion rate for dif compare for different c How do last click and reports compare?
Q4. Which search keywords drive volume and conversion?	Google Search Console integration. Google Ads, queries	How do organic and pa keyword visits compar
Q5. Where do visitors arrive?	Engagement reports such as Pages and Screens and Landing Pages reports	How does the volume, value compare for diff sections and different l pages?
Q6. How engaging is our content and which impacts on conversion?	Top pages Pages and Screens report	Which content is most How does content infl conversion? Conversic

Q7. What are the customer journeys or flows through the site?	Analysis hub reports: behaviour flow path	Which site sections an are most/least importa customer journey? Where do people comı the site? Which are the most im site searches?
Q8. Which calls-to-action are effective? Events can be set up when users click on different calls-to-action	Event reports	Which calls-to-action a and least effective?
Q9. How engaged are our visitors? Cohort reports are used to show what proportion of visitors return	Engagement reports (GA4)	How long do visitors s and how many pages d access? Where do they leave? How often do visitors
Q10. How engaged are our customers? Customer visits aren't set up by default, registered users have to be assessed by a custom dimension	Audience reports (GA4)	What proportion of vis customers? How does customer be differ from other visitc

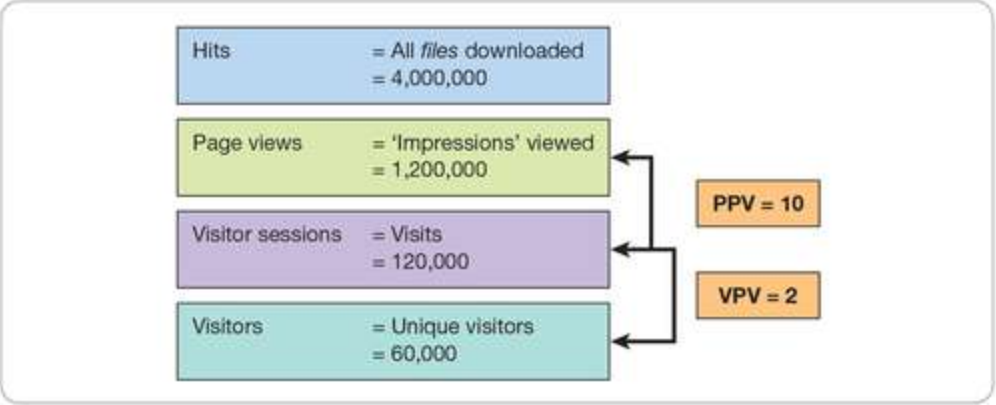
Rather than hits, **page impressions** or page views and **unique visitors** are better measures of site activity.

An example of visitor volume to a website using different measures based on real, representative data for one month is presented in Figure 10.6. You can see how hits are much higher than page views and unique visitors, and are quite misleading in terms of the ‘opportunities to see’ a message. We can also learn from the ratio between some of these measures the figure indicates:

- *Pages per visit (PPV).* This is the average number of pages viewed per visitor to a site (this is indicative of engagement with a site since the longer a visitor stays on a ‘sticky site’, the higher this value will be). PPV is a more accurate indication of stickiness than duration on a site in minutes since the latter figure is skewed upwards by visitors who arrive on a site and are inactive before their session times out at 30 minutes.
- *Visits per (unique) visitor (VPV).* This suggests the frequency of site visits. Readers will realise that this value is dependent on the period over which data are collected. These data are reported for a month, during which time one would not expect many returning visitors. So it is often more relevant to present these data across a quarter or a year.

Figure10.6

Examples of different measures of visitor volume to a website



clickstream analysis becomes more actionable when the analyst reviews clickstreams in the context of a single page – this can be **forward path analysis** or **reverse path analysis**.

The navigation summary for an individual page in Google Analytics can help with path analysis since it shows upstream and downstream paths.

On-site search is another useful part of clickstream analysis on many sites since it is a key way of finding products or content, particularly in retail e-commerce sites, so a detailed search analysis will pay dividends. Key search metrics to consider are:

- number of searches;
- average number of searches per visitor or searcher;
- percentage of searches returning zero results;
- percentage of site exits from search results;

- percentage of returned searches clicked;
- percentage of returned searches resulting in conversion to sale or other outcome;
- most popular search terms – individual keywords and keyphrases.

Visitor segmentation

Segmentation is a fundamental marketing approach, but it is often difficult within web analytics to relate customer segments to web behaviour because the web analytics data aren't integrated with customer or purchase data.

However, all analytics systems have a capability for a different but valuable form of segmentation where it is possible to create specific filters or profiles to help understand one type of site visitor behaviour. Examples of segments include:

- First-time visitors or returning visitors. Visitors from different referrer types, including: strategic search keyphrases, brand keyphrases, etc.; display advertising. Converters against non-converters. Geographic segmentation by country or region (based on IP addresses). Type of content accessed, e.g. are some segments more likely to convert?

Social media insights

Google Analytics groups all social media visits as one channel. It also has a series of dedicated social media reports in Universal Analytics. These are not available in GA4. Reporting on social media is summarised in Digital marketing insight 10.2.

Digital marketing insight 10.1

Focus on measuring social media marketing

Social media marketing has its own range of specialist measures that can appear confusing, but are best understood in the context of a combination of website and PR measures. These show the volume, quality, sentiment and value of interactions. Analyst Altimeter (Owyang, 2010) has created a useful framework (shown in Figure 10.7) that helps map out different social media measures in the context of level of business management.

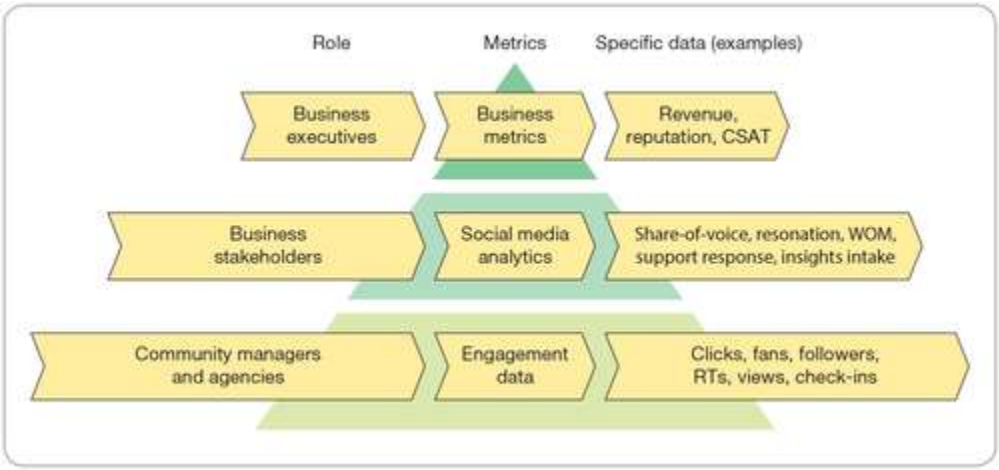
You can see that there are three levels of key performance indicators (KPIs):

- *Business-level KPIs to measure contribution from social media.* These KPIs include contribution to revenue through direct sales attributed to social media. Softer measures include reputation and customer satisfaction (CSAT).
- *Reach and influence KPIs to review reach, share-of-voice and sentiment.* These show the relative comparison of a brand's reach.
- *Engagement KPIs to manage social media.* These are the easiest measures to collect, but the least valuable since they don't directly show contribution to business value. Although easy to collect, data on interaction with social sites is often supplied separately by the owners of the different social presence and tools for managing social interaction.

A new class of social analytics tools has been created to bring this data together. Figure 10.8 shows an example from the social media management tool Hootsuite, where sharing of shortened URLs linking to different social media sites has driven traffic back to a main website. Direct traffic is where visitors click direct through from a social media management application such as Hootsuite™ or Buffer™ to the site.

Figure10.7

A framework for different measures used to evaluate and manage social media marketing



Source: Owyang (2010)

Figure10.8

Example of measure from Hootsuite application for measuring social media marketing



Source: Hootsuite Inc.

A common question within social media is how to assess the value of a consumer connecting with a brand, by liking on Facebook or following on Instagram, for example. Since the tracking of social media can't show what an individual does on the network, specific value is difficult to establish. Instead, what we can assess is the relative purchase rates of visitors from social media sites to websites compared to other channels, using measures such as conversion rate and revenue per visitor.

Structured experiments using AB and multivariate testing

Often, site owners and marketers reviewing the effectiveness of a site will disagree and the only method to be certain of the best-performing design or creative alternatives is through designing and running experiments to evaluate this.

AB testing and multivariate testing are two measurement techniques that are now available to any company through free services such as Google Optimize, which can be used to review website effectiveness to improve results.

AB testing

In its simplest form, A/B or AB testing refers to testing two different versions of a page or a page element such as a heading, image or button. Some members of the site are served alternately, with the visitors to the page randomly split between the two pages. Hence it is sometimes called ‘live split testing’. The goal is to increase page or site effectiveness against key performance indicators including click-through rate, conversion rate and revenue per visit. To review the effectiveness of new variants, knowledge of statistical significance confidence levels is needed since increases in success indicators could be misleading if they are only small variations or a decision is taken too early. There are specialist services for running AB tests such as Optimizely™ (www.optimizely.com), Convert™ (www.convert.com) and Unbounce™ (www.unbounce.com). Alternatively, businesses can use the free Optimize AB testing service available in Google Analytics. These services all advise on statistical significance – for example, reporting a winner at the 95 per cent confidence level.

When completing AB testing, new ‘challenger’ pages are compared to an existing baseline or **control page** (or audience sample). Two new alternatives can be compared to a control page, which is known as an ABC test. Different page elements that can be varied to improve page effectiveness are shown in Table 10.2.

An example of the power of AB testing is an experiment Skype performed on its main topbar navigation, where it found that changing the main menu options ‘Call Phones’ to ‘Skype Credit’ and ‘Shop’ to ‘Accessories’ gave an increase of 18.75 per cent revenue per visit (Skype was speaking at the 2007 e-metrics summit). That’s significant when you have hundreds of millions of visitors! It also shows the importance of being direct with navigation and simply describing the offer available rather than the activity.

Multivariate testing

Multivariate testing is a more sophisticated form of AB testing that enables simultaneous testing of pages for different combinations of page elements that are being tested. This enables selection of the most effective combination of design elements to achieve the desired goal.

An example of a multivariate test is shown in Mini case study 10.1.

Planning and managing structured tests

Candidates for testing should be reviewed regularly and recorded. They should then be evaluated for business impact (i.e. estimated reward from increase in leads and sales, strategic and brand fit) against ease of implementation (i.e. based on costs, resources and technical differences).

Table10.2

AB test example

Test	A (Control)	B (Test page
Test 1	Original page	New headline, existing b existing body copy
Test 2	Original page	Existing headline, new b existing body copy
Test 3	Original page	Existing headline, existi new body copy

Mini case study 10.1

Multivariate testing at National Express Group increases conversion rates

National Express™ is one of the most recognised transport brands in the United Kingdom. The distinctive white coaches are in operation daily, visiting one of the company's 1,000 destinations. The brand is part of the wider National Express Group, which employs 41,000 people worldwide

with coach services in Spain, Morocco, North Africa, Bahrain and North America and train services in the United Kingdom and Germany.

A significant proportion of ticket bookings are made online through the company's website at www.nationalexpress.com/.

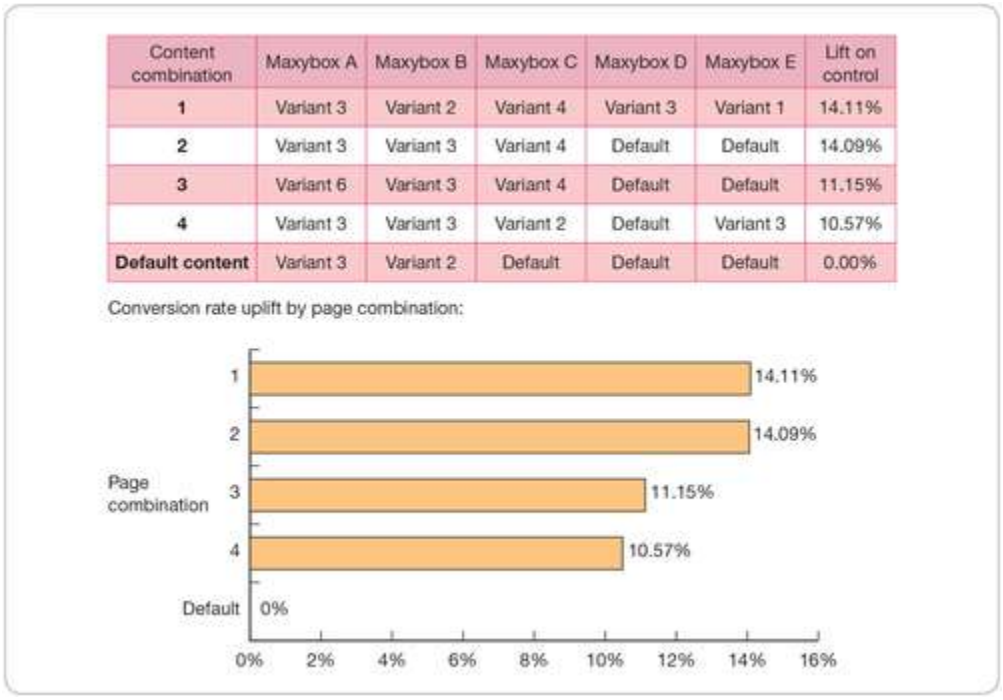
The company used multivariate testing service Maxymiser from Oracle to run an experiment to improve conversion rates of a fare-selection page that was the penultimate step in booking. The analysis team identified a number of subtle alterations to content and calls-to-action on the page with the aim of stimulating visitor engagement and driving a higher percentage of visitors through to successful conversion, without changing the structure of the page or the National Express brand identity. In order to aid more effective up-sell to insurance add-ons, changes to this call-to-action were also proposed.

It was decided that a multivariate test would be the most effective approach to determine the best-performing combination of content. The variants jointly developed by Maxymiser and the client were tested with all live site visitors and the conversion rate of each combination monitored; 3,500 possible page combinations were tried, and during the live test the underperforming combinations were taken out to maximise conversion rates at every stage.

At the end of the testing period, after reaching statistical validity, results gave the best combination of elements, showing a 14.11 per cent increase in conversion rates for the page – i.e. 14.11 per cent more visitors were sent through to the fourth and final step in the registration process, immediately hitting bottom-line revenue for National Express (Figure 10.9).

Figure10.9

Results of multivariate testing for National Express



Content combination	Maxybox A	Maxybox B	Maxybox C	Maxybox D	Maxybox E	Lift on control
1	Variant 3	Variant 2	Variant 4	Variant 3	Variant 1	14.11%
2	Variant 3	Variant 3	Variant 4	Default	Default	14.09%
3	Variant 6	Variant 3	Variant 4	Default	Default	11.15%
4	Variant 3	Variant 3	Variant 2	Default	Variant 3	10.57%
Default content	Variant 3	Variant 2	Default	Default	Default	0.00%

Source: Oracle (n.d.)

Candidates for testing can include different page types and elements within a page. For example, on a landing page you could test the impact of:

- the primary value proposition or campaign message;
- your hero shot – the main photo or product shot;
- the body text that describes the details of your offer;
- your bullet points (features and benefits);
- changing the wording of your primary call to action (CTA);
- changing your lead generation form.

In Google Optimize, as with other similar tools, copy and images can easily be changed using the visual editor.

Every test should have a hypothesis, for example:

> If I do ‘X’ I think it will improve ‘Y’.

Often, improvements will relate to conversion rates, but you may measure other metrics on a page such as bounce rate.

Your analysis should lead you to the areas of the on-site customer journey that you think have the greatest issues and scope to deliver the greatest improvements. So, the process of running structured tests involves

identifying page types and page elements that are most likely to yield improvements.

Marketing research using the internet and digital media

Internet-based marketing research can help determine the influence of a website and related communications on customer perception of the company and its products and services. But it also has wider applications of gaining feedback from customers about a brand and how it could develop in future. **Voice-of-customer (VoC)** research can be enabled by online platforms since customer research panels can be facilitated. For example, tools such as Qualtrics (www.qualtrics.com) and Alida (www.alida.com) can be used to gain insights from customers and company platforms can be rebranded. For example, Alida (formerly Vision Critical) launched a VoC community described in Mini case study 10.2.

Smart Insights (Chaffey, 2018) identifies these five different classes of customer research and online feedback tools:

1. *Website feedback tools*. These provide a permanent facility for customers to give feedback using prompts on every page. They are run continuously to enable continuous feedback, including ratings on page content and also products and services. Structured Net Promoter Score (NPS) surveys can also be used regularly to gain a benchmark score comparing promoters against detractors.

Mini case study 10.2

Prudential Singapore gains VoC feedback from its virtual customer community

Financial services company Prudential launched a voice-of-customer community, PRU for You (PFY), in Singapore to enable greater engagement with customers and to give them a voice in developing new products and services. PFY had 4,500 members: 88 per cent were customers and 12 per cent were agents. The community enabled an increase in frequency in depth of research including new product development.

Prudential launched two products resulting from PFY feedback, PRUman and PRUlady, covering illnesses specific to men and women. Customers diagnosed can receive up to a S$100,000 payout, ensuring they get the treatment they need without financial concerns. PFY was instrumental in structuring these products by identifying customer interest in eliminating 'nice-to-have' benefits, leading to more affordable prices for everyone. Community feedback also showed that simplified health questionnaires made it easier for customers to purchase the products.

Source: Vision Critical (2018)

2. *Site-user intent-satisfaction surveys.* These tools measure the gap between what the user had hoped to do on the site and what they actually achieved. We give an example in **Chapter 7** that covers four questions to assess site effectiveness.
3. *Crowdsourcing voice-of-customer and product-opinion software.* These are broader than web feedback, enabling customers to comment about customer satisfaction and potential new services.
4. *Simple page or concept feedback tools.* A form of crowdsourcing, these tools give feedback from an online panel about page layout, messaging or services. Tools such as UserTesting and UserZoom provide video feedback on site prototypes through representative customers completing common tasks.
5. *General online survey tools.* Freemium tools such as SurveyMonkey™ (www.surveymonkey.com) and Crowdsignal™ (www.crowdsignal.com) enable companies to survey their audience at a low cost.

Typical questions that can be asked for determining the effectiveness of the website or app experience are:

- *Who is visiting the site?* For example, role in buying decision? Online experience? Access location and speed? Demographics segment?

- *Why are they visiting?* How often do they visit? Which information or service? Did they find it? Actions taken? (Can be determined through web analytics.)
- *What do they think?* Overall opinion? Did they achieve their goal? Key areas of satisfaction? Specific likes or dislikes? What was missing that was expected?

We will now briefly review the strengths and weaknesses of the different marketing research techniques and some approaches to best practice.

Questionnaires and surveys

Malhotra (1999) was one of the first to suggest that internet surveys using questionnaires would increase in popularity since the cost is generally lower, they can be less intrusive and they have the ability to target specific populations. This has proved to be the case, with online surveys being dominant. However, there may be challenges in terms of response rates and it can be more difficult to get a representative sample. Questionnaires often take the form of pop-up surveys. The key issues are:

A. **Encouraging participation.** Techniques that can be used are:

- interruption on entry – a common approach where every 100th customer is prompted;
- continuous, for example ‘click on a button to complete survey’;
- on registration on-site the customer can be profiled;
- after an activity such as sale or customer support, the customer can be prompted for their opinion about the service;
- incentives and promotions (this can also be executed on independent sites);
- by email (an email prompt to visit a website to fill in a survey or a simple email survey).

B. **Stages in execution.** It is suggested that there are five stages to a successful questionnaire survey:

1. attract (button, pop-up, email as above);
2. incentivise (prize or offer consistent with required sample and audience);
3. reassure (why the company is doing it – to learn, not too long and that confidentiality is protected);
4. design and execute (brevity, relevance, position);
5. follow-up (feedback).

C. **Design.** Grossnickle and Raskin (2001) suggest the following approach to structuring questionnaires:

- easy, interesting questions first;
- cluster questions on same topic;
- flow topic from general to specific;
- flow topic from easier behavioural to more difficult attitudinal questions;

- easy questions last, e.g. demographics, or any off-putting questions.

Focus groups

Malhotra (1999) noted that the advantage of online focus groups is that they can be used to reach segments that are difficult to access, such as doctors, lawyers and professional people. Traditional focus groups can be conducted where customers are brought together in a room to assess a website; this will typically occur pre-launch as part of the prototyping activity. Increasingly usability tests may involve remote testing using tools such as Usertesting.com or Userlytics.com which have lower cost, so more relevant people can be recruited.

Testing can take the form of random use of the site or, more usefully, the users will be given different scenarios to follow. Focus groups tend to be relatively expensive and time consuming, since rather than simply viewing an advertisement, the customers need to actually interact with the website. Conducting real-world focus groups has the benefit that the reactions of site users can be monitored.

Mystery shoppers

Real-world feedback on online experiences is also important to validate customer feedback. It must work in unison with real-world customer service and fulfilment.

Online mystery shopping involves buyers not only commenting on site usability, but also on the service quality of email and phone responses together with product fulfilment.

Content management process

As part of the process of continuous improvement in online marketing, it is important to have a clearly defined process for making changes to the online presence of a company. If pages remain static, as is the case with some brochureware sites we still see, then the opportunity to engage customers and prospects with a brand is missed. With search engines and social media sites featuring real-time data posted in blogs, companies that have a static site are missing an opportunity to get better visibility.

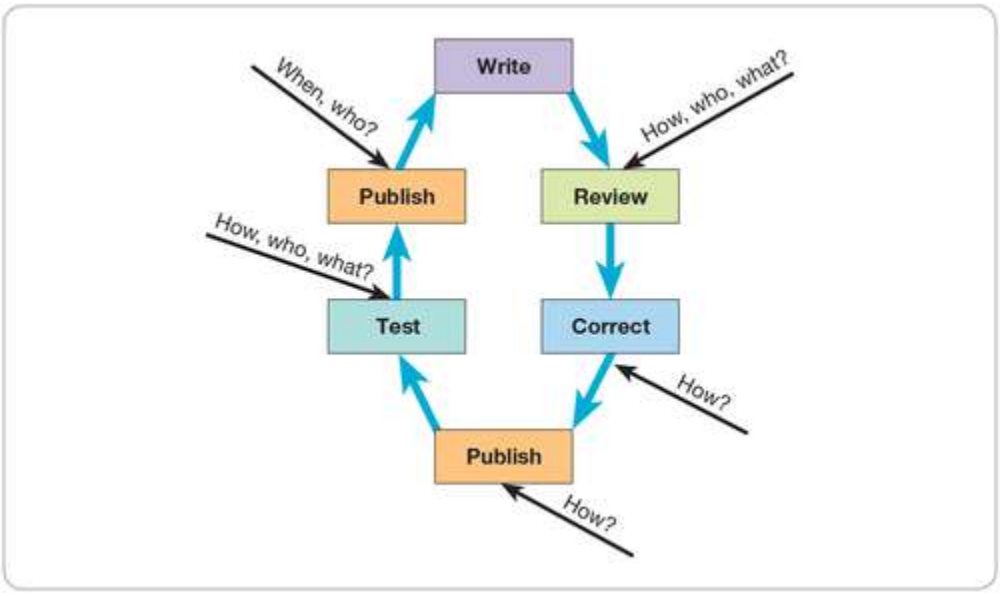
The key to keeping a website dynamic is to have a clear content and communications strategy based on a regularly updated content or social hub, as we have seen in previous chapters. The site and content update process should be understood by all staff contributing content to the site, with their responsibilities clearly identified in their job descriptions. To understand the process, consider the main stages involved in publishing a page. A simple model of the work involved in maintenance is shown in Figure 10.10. The model only applies to minor updates to copy, or perhaps updating product or company information. The different tasks involved in the maintenance process are as follows:

1. Write. This stage involves writing the marketing copy and, if necessary, designing the layout of copy and associated images. We have covered the merits and procedures for using GenAI to generate copy throughout the new edition of this book.

2. Review. An independent review of the copy is necessary to check for errors before a document is published. Depending on the size of organisation, review may be necessary by one person or several people covering different aspects of content quality such as corporate image, copy-editing text to identify grammatical errors, marketing copy, branding and legality.

Figure10.10

A web document review and update process



3. *Correct.* This stage is straightforward and involves updates necessary as a result of stage 2.

4. *Publish (to test environment).* The publication stage involves putting the corrected copy on a web page that can be checked further. This will be in a test environment that can only be viewed from inside the company.

5. *Test.* Before the completed web page is made available over the World Wide Web a final test will be required for technical issues, such as whether the page loads successfully on different browsers.
6. *Publish (to live environment).* Once the material has been reviewed and tested and is signed off as satisfactory, it will be published to the main website and will be accessible to all customers.

How often should content be updated?

Website content needs to be up to date, in line with customer expectations. The web is perceived as a dynamic medium and customers are likely to expect new information to be posted to a site straightaway. If material is inaccurate or ‘stale’ then the customer may not return to the site.

After a time, the information on a web page naturally becomes outdated and will need to be updated or replaced. It is important to have both a content calendar for publishing future content and a mechanism defining what triggers this update process and leads to the cycle of Figure 10.10. Trigger procedures should be developed such that when price changes or product specifications are updated in promotional leaflets or catalogues, these changes are also reflected on the website. Without procedures of this type, it is easy for there to be errors or outdated on the website.

To ensure site content remains ‘fresh’, i.e. relevant for the audience and effective for the business, it is useful to consider different types of content and their purpose.

As part of content marketing, which requires that existing businesses must act more like publishers, an **editorial calendar** can help agree priorities

and schedules for different content types, as discussed previously in **Chapter 8**.

Responsibilities for customer experience and site management

Maintenance is relatively easy in a small company with a single person updating the website. Although they may be working on many tasks, one person is able to ensure that the style of the whole site remains consistent. For a large organisation with many different departments and offices in different countries, site maintenance becomes very difficult, and production of a quality site is only possible when there is strong control to establish a team who all follow the same standards. Sterne (2001) suggests that the essence of successful maintenance is to have clearly identified responsibilities for different aspects of updating the website. The questions to ask are:

- Who owns the process?
- Who owns the content?
- Who owns the format?
- Who owns the technology?

We will now consider these in more detail, reviewing the standards required to produce a good-quality website and the different types of responsibilities involved.

Who owns the process?

One of the first areas to be defined should be the overall process for agreeing new site content and updating the site. But who agrees this process? For the large company, it will be necessary to bring together all the interested parties, such as those within the marketing department and the site developers – which may be an external agency or the IT department. The process will specify responsibilities for different aspects of site management and detail the sequence in which tasks occur for updating the site. A typical update process is outlined in Figure 10.10.

Content management systems with workflow capabilities are now commonly used to help achieve review of page updates. Revised copy for a page can be automatically emailed to all reviewers and then the comments received by email can be collated.

To conclude this section, refer to Activity 10.2, which shows a typical website update process and considers possible improvements.

Activity 10.2

Optimising a content review process

Purpose

To assess how quality control and efficiency can be balanced for revisions to web content.

Activity

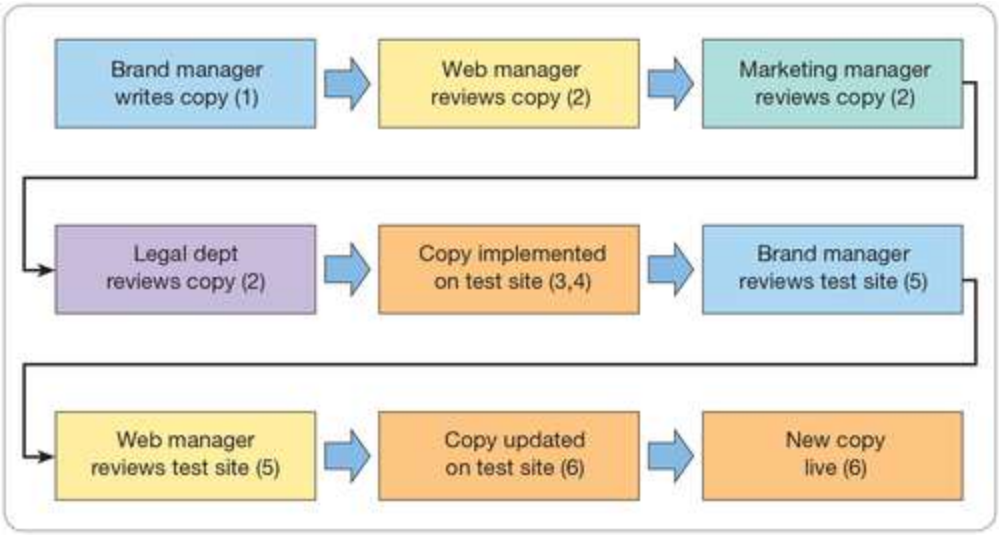
The extract below and Figure 10.11 illustrate a problem of updating encountered by this company. How can they solve this problem?

Problem description

From the moment the brand manager identifies a need to update copy for the product, the update might happen as follows: brand manager writes the copy (half a day); one day later the web manager reviews the copy. Three days later the marketing manager checks the copy, seven days later the legal department checks the copy, two days later the revised copy is implemented on the test site and two days later the brand manager reviews the test site. The next day the web manager reviews the website, followed by updating and final review, before the copy is added to the live site two days later – and over a fortnight from when a relatively minor change to the site was identified!

Figure10.11

An example of a content update review process



Who owns the content?

For a medium-to-large site where the content is updated regularly, as it should be, it will soon become impossible for one person to update all the content. It is logical and practical to distribute the responsibility for owning and developing different sections of the site to the people in an organisation who have the best skills and knowledge to develop that content. For example, in a large financial services company, the part of the business responsible for a certain product area should update the copy referring to their products. One person will update the copy for each of savings accounts, mortgages, travel insurance, health insurance and investments. For a PC supplier, different **content developers** will be required for the product information, financing, delivery information and customer service facilities. Once the ownership of content is distributed throughout an organisation, it becomes crucial to develop guidelines and standards that help ensure that the site has a coherent ‘feel’ and appearance. The nature of these guidelines is described in the sections that follow.

Who owns the format?

The format refers to different aspects of the design and layout of the site, commonly referred to as its ‘look and feel’. The key aim is consistency of messaging and format across the whole website. For a large corporate site, with different staff working on different parts of the site, there is a risk that the different areas of the site will not be consistent. Brand guidelines for large organisations now include web style guidelines about web-safe colour palettes and typography, and tone-of-voice guidelines for writing on the website and in digital communications such as email and social media marketing. Defining a clear format or **site design templates** for the different page or content types means that the quality of the site and customer experience will be better:

- *The site will be easier to use.* A customer who has become familiar with using one area of the site will be able to use another part of the site with confidence.
- *The design elements of the site will be similar.* A user will feel more at home with the site if different parts look similar.
- *The corporate image and branding will be consistent.* It will be both consistent with real-world branding (if this is an objective) and similar across the entire site.

To achieve a site of this quality it is necessary for written standards to be developed. These may include different standards, such as those shown in

Table 10.3. The standards adopted will vary according to the size of the website and company. Typically, larger sites, with more individual content developers, will require more detailed standards.

Who owns the technology?

The technology used to publish a website is important if a company is to utilise fully the power of the internet. Many standards, such as those in Table 10.3, need to be managed in addition to the technology, particularly content management systems.

Content management systems

Content management systems (CMS) refers to when software tools (usually browser-based software running on a server) permit business users to contribute web content, while an administrator keeps control of the format and style of the website and the approval process.

Table10.3

Website standards

Standard	Details	Appli
Site structure	Will specify the main areas of the site, for example products, customer service, press releases, how to place content and who is responsible for each area	Content devel
Navigation	May specify, for instance, that the main menu must always be on the left of the screen, with nested sub-menus at the foot of the screen. The home button should be accessible from every screen at the top-left corner of	Website designer/webı usually achiev through site te

	the screen. See Lynch and Horton (1999) for guidelines on navigation and site design	
Copy tone-of-voice and page structure	General guidelines, for example reminding those writing copy that web copy needs to be briefer than its paper equivalent, and ranking factors related to SEO including GenAI tools (**Chapter 9**). Brand tone-of-voice guidance is essential when many people are updating content, to ensure consistency. MailChimp™ has published its tone-of-voice guidance for different channels (www.mailchimp.com). Where detail is required, perhaps with product specifications, it should be broken up into chunks that are digestible on-screen. Copy and page structure should also be written for search engine optimisation for keyphrases (**Chapter 8**)	Individual co developers
Testing standards	Check site functions for: • different browser types and versions • plug-ins • invalid links • speed of download of graphics • spellchecking each page	Website designer/webı
Brand identity	Specifies the appearance of company logos and the colours and typefaces used to convey the brand message design	Website designer/webı graphic desig
Process	Web page or updating an existing page: who is responsible for reviewing and updating?	Anyone or all

Performance	Availability and download-speed figures	Staff managin

These tools are used to organise, manage, retrieve and archive information content throughout the life of the site.

CMSs provide these facilities:

- *Page creation and editing:* an interface for adding and editing page content.
- *Information architecture:* the design and maintenance of content structure (sub-components, templates, etc.), web page structure and website structure.
- *Link management:* the maintenance of internal and external links through content change and the elimination of dead links.
- *Search engine visibility:* modification of page metadata (described at the start of Chapter 9) so that relevant titles and content snippets are served in search engines.
- *Input and syndication:* the loading (spidering) of externally originated content and the aggregation and dissemination of content from a variety of sources.
- *Versioning:* controlling which edition of a page, page element or the whole site is published. Typically this will be the most recent, but

previous editions should be archived and it should be possible to roll back to a previous version at the page, page element or site level.

- *Security and access control:* different permissions can be assigned to different roles of users and some content may only be available through log-in details. In these cases, the CMS maintains a list of users. This facility is useful when a company needs to use the same CMS for an intranet, extranet or public internet site that may have different levels of permission.
- *Publication workflow:* content destined for a website needs to pass through a publication process to move it from the management environment to the live delivery environment. The process may involve tasks such as format conversion (e.g. to PDF), rendering to HTML, editorial authorisation and the construction of composite documents in real time (personalisation and selective dissemination).
- *Tracking and monitoring:* providing logs and statistical analysis of use to provide performance measures, tune the content according to demand and protect against misuse.

From this list of features you can see that modern CMSs are complex and many CMSs are expensive investments. Some open-source CMSs are available, without the need to purchase a licence fee, which have many of the features explained in this section. The most popular open-source

CMSs are WordPress™, Drupal™ and Django™. While these originated mainly for blogging, they can now be used to create more complex sites.

To conclude this chapter, and the text, review Case study 10, which explores the success factors for a well-known booking application, which are based on a structured approach to reviewing and improving results using relevant measures. Different digital marketing approaches are discussed.

Case study 10.1

Airbnb’s agile monitoring of its marketing offer

Context

Airbnb, founded in 2008, has transformed the hospitality industry by pioneering an online platform that connects travellers with unique, hotel alternative accommodation worldwide. What began with just two hosts welcoming three visitors in San Francisco has prospered into a global phenomenon, encompassing over 4 million hosts who have accommodated an impressive 1.4 billion guests to date. Airbnb's evolution from a niche startup to a dominant player in the travel and accommodation sector is attributed to its innovative digital marketing strategy that proposed on the use of data evaluation. With a market valuation of $97 billion (Yahoo Finance, 2024), Airbnb has strategically leveraged diverse digital tactics to not only meet but exceed customer expectations by effectively adapting its proposition and communications to an evolving client base. Contrary to the traditional hotel experience, Airbnb has tapped into a burgeoning demand for personalised travel experiences, setting itself apart in a competitive landscape.

At the heart of Airbnb's mission is the aspiration '*to create a world where anyone can belong anywhere*.' This mission drives Airbnb to offer a comprehensive travel platform that handles every facet of a traveller's journey, from booking accommodations to experiencing local cultures. At its core, Airbnb values revolve around customer satisfaction and offering reliable, comfortable and affordable short-term rental options globally. Airbnb's marketing strategy lies a carefully executed digital marketing that prioritises customers' satisfaction (both the host & guests) across the booking journey. As a business that values users' trust in the platform, Airbnb pays significant attention to its customer feedback with platform to highlight how the business is doing, areas of improvement, and potential growth strategies.

In this case study, we discuss Airbnb's marketing strategy and its vigilant performance marketing analysis to draw attention to the importance of data evaluation in the success of digital marketing.

Airbnb's digital marketing strategy

As an online platform, Airbnb realised the importance of digital communication channels (such as Google, social media, Email marketing) in drawing consumers' attention to destinations and accommodation alternatives. Building on a combination of owned, paid and earned media, Airbnb utilises each media type to fulfil

different marketing objectives, and carefully evaluate the ability of the channels to fulfil this goal.

Lead generation & evaluation – search engine marketing

Search Engine Optimisation (SEO) plays a pivotal role in Airbnb's comprehensive digital marketing strategy, significantly enhancing its online visibility and driving substantial traffic to its website. Airbnb focuses on the use of relevant keywords and phrases that reflects the accommodation experience each host offers, thereby enhancing the effectiveness of SEO listings and maintain their accessibility to potential travellers searching for short-term rental accommodation. Likewise, each property listing on the platform includes extensive information about the accommodation, amenities, and local attractions. This rich content not only provides valuable information to users but also improves the search engine ranking of the listings, making them more likely to appear in relevant search queries.

In addition to detailed descriptions, Airbnb leverages user-generated content such as reviews and recommendations. These authentic reviews not only build trust with potential customers but also enhance SEO by providing fresh, relevant content that search engines favour. The continuous influx of user-generated reviews ensures that the content remains up-to-date and keyword-rich,

further boosting Airbnb's search engine rankings. Airbnb attracts a steady stream of organic traffic to its website by appearing prominently in search engine results pages (SERPs) for relevant queries related to ‘booking’, ‘hotel’ or ‘accommodation’. This increased visibility was pivotal in lead generation for Airbnb, leading to increased booking through the website over the past few years.

Customer Attraction & Retention – Social Media Marketing

Also supporting its success, Airbnb has effectively utilised social media platforms like Instagram, TikTok, X and YouTube to engage with potential customers and showcase its unique offerings. Their social media strategy emphasises the creation of captivating and genuine content that highlights the personalised experiences available through their platform. Contrary to the traditional form of advertising, Airbnb’s content strategy focuses on authentic storytelling, which emphasises the human aspects of travel rather than promoting its available listings. Airbnb regularly shares stories of hosts and guests, transforming routine travel into extraordinary adventures thereby actively engaging the audience of the page. This engagement is further enhanced through campaigns that encourage user-generated content, inviting customers to share their travel experiences and, in doing so, become brand advocates and collaborators. This approach fosters a

stronger community bond and a deeper connection between Airbnb and its users.

Additionally, Airbnb's social media platforms serve as effective customer service channels. Within its core business, Airbnb values customer support to maintain its trust given that two random parties (a host and a guest) are being connected through an online platform. As a result, Airbnb using its social media platform allow users to directly interact with the company, receive prompt responses to their inquiries, and address any concerns in a multichannel approach. Airbnb is vigilant to the promptness of social media as an instant messaging tool compared to emails and phone calls, thus offering customer support through social media helped to amplify customer satisfaction and builds trust. Through strategic social media use, Airbnb has built a loyal and engaged community, increased brand visibility, and created a stronger emotional connection with its audience. This approach has been crucial to Airbnb's success, helping it stand out in a competitive market and continually attract new users.

Performance marketing approach

Airbnb's success is central to its ability in attracting both new hosts and customers into the platform, more importantly sustaining their engagement with the business in the long run. According to Brodie *et al*. (2011), customer engagement is 'a psychological

state that occurs by virtue of interactive, co-creative customer experiences with a focal agent/object (e.g., a brand) in focal service relationships'. In the services business, customer engagement is a significant driver of sales in the future (Kumar *et al.*, 2019). Thus, Airbnb devoted its marketing strategy towards sustaining customer engagement with the platform and utilised several marketing metrics to identify customers' level of experience with the platform, its services and ultimately their intentions to continue using the services.

Below are the key marketing metrics used by Airbnb to measure the success of its digital marketing strategy:

Lead Generation Metrics

Airbnb carefully examines the success of its campaigns Airbnb monitoring several key metrics to gauge the success of its search engine marketing (SEM) efforts, with a primary focus on click-through rate (CTR), visit ratio, and conversion rate for Google Ads. CTR is crucial as it measures the percentage of users who click on Airbnb's ads (and also its organic search listings) after seeing them in search results. A high CTR indicates that the ads or listings are highly relevant and compelling to the target audience, reflecting the effectiveness of keyword selection and ad copy. Additionally, the visit ratio, which compares the number of clicks to the total impressions, provides insights into how many people

are actually visiting Airbnb's website after viewing the search results. This metric helps Airbnb understand the efficiency of their SEM campaigns in driving traffic to their site. Most importantly, the conversion rate is a critical metric that measures the percentage of visitors who complete a desired action, such as booking a stay, after arriving on Airbnb's website. A high conversion rate signifies that the landing pages and overall user experience are effectively turning search traffic into actual bookings.

As a commission-based platform, Airbnb's success in lead generation is pivotal to its continuity in the hospitality industry. Thus, effective evaluation of the lead generation channels (mainly search engines) is pivotal as an indicator of customers' trust in the platform, importantly its brand performance.

Host/guest review rating

In today's market, online reviews are pivotal to the customer journey, specifically helping customers to making informed decisions about their product/service purchases (Ngramwongnoi *et al*., 2020). Airbnb emphasises the importance of a transparent review system that reflect the experience a customer is likely to get from booking a specific property through the platform. Airbnb recognises that exceeding customer expectations is crucial for delivering high-quality services. To achieve this, Airbnb actively encourages feedback from both customers and hosts after bookings

are completed. This continuous loop of feedback allows the company to make ongoing improvements to the user experience. Airbnb can identify areas for enhancement and ensure that hosts maintain the quality of their listings, as well as ensure that guests are complying with the rules and regulations of the host. This system not only helps in maintaining high standards but also fosters a culture of accountability and excellence among hosts and guests, that ensure a better customer experience for the platform users.

Airbnb goes a step further in maximising customer experience with the platform by offering both hosts and guest the opportunities of development based on the reviewers provided. For instance, Airbnb provides hosts with comprehensive training, essential tools, and robust support systems to help them create welcoming environments for guests that elevates' the guest experience, leading to positive reviews. Additionally, Airbnb collaborates with property owners to ensure that their listings uphold high standards of cleanliness and amenities, which are vital for guest satisfaction. The careful evaluation of reviews not only helps to maintain customers' trust in Airbnb, but also allows them to form emotional connections with the platform where they perceive the company as a significant driver of their success in the hospitality industry.

Customer retention

Customers with positive experiences in the services industry tend to make repeat purchases, leading to steady revenue streams and higher lifetime value, which are essential for long-term profitability and growth (Gao *et al*., 2021). More importantly, satisfied customers are likely to re-engage with the business in the future where positive experiences have been accumulated (Verhoef *et al*., 2009), thereby fostering strong brand loyalty and turning satisfied customers into brand advocates. These loyal customers not only continue to engage with the brand but also spread positive word-of-mouth recommendations, amplifying the brand's reach and attracting new customers organically, thus driving overall digital marketing success.

Monitoring the frequency of bookings is a vital performance metric for Airbnb, providing critical insights into user engagement, market demand, and overall business performance. The frequency of bookings reflects how often users are utilising the platform, indicating the level of customer satisfaction and the effectiveness of Airbnb's service offerings. Chief Financial Office of Airbnb Dave Stephenson believe that the ‘strategic change’ in marketing strategy that focused on customer retention through exceptional experiences with Airbnb has proven to be ‘incredibly effective’ from 2020 through to 2022.

‘The majority of our bookings come from past guests, and it’s actually been the strong guest retention that we’ve had for years since the beginning of Airbnb that’s been a powerful driver of our growth’, Stephenson explained. Monitoring the performance of customer retention was effective for Airbnb considering the tight margins they make from their services. Thus, Airbnb centres its marketing campaigns towards retaining its customers through maximising their experiences with the platform, as well as providing personalised marketing messages that fit the customer based on their previous booking experience through the platform.

Customer referrals

Building on its customer experience, Airbnb realised the power of an engaged and satisfied customer in driving business growth. As a result, they developed a customer referral scheme that encourages existing customers to attract new users to the platform, but more importantly capture their loyalty and satisfaction with Airbnb as a whole. Recognising the value of word-of-mouth marketing, Airbnb has developed a competitive referral programme that incentivises community members to invite new users to the platform. This approach not only helps the business to broaden its client pool but also significantly reduces client acquisition costs. Airbnb's referral programme is strategically designed to leverage the existing user base to drive new sign-ups. By offering rewards in the form of

travel credits, Airbnb motivates current users to refer friends and family to the platform. This referral system operates seamlessly through both the company's website and mobile application, ensuring ease of use and effective tracking of referrals. For every successful conversion – meaning when a referred user installs the Airbnb app or books a stay – the referrer receives travel credits as a reward.

Users who join Airbnb through referrals often feel a sense of connection to the community, as they are introduced by someone they trust. This sense of belonging can enhance user retention and encourage repeat bookings, further strengthening Airbnb's market position. Thus, Airbnb carefully monitors the effectiveness of this referral programme through key metrics such as the number of new users acquired via referrals, the conversion rate of referred users, and the overall increase in bookings attributed to referrals. These metrics provide valuable insights into the programme's performance and highlight areas for potential growth in Airbnb's business strategy.

Questions

Q1 Discuss how customer engagement was central to the growth of Airbnb in a cost-effective approach.

Q2 Thinking of Airbnb as a brand that values trust, explore the role of performance monitoring in fulfilling the core value of the business.

Q3 Evaluate the impact of focusing on pure financial metrics compared to customer-centric metrics in the success of Airbnb.

Summary

1. A structured measurement and improvement programme is necessary to collect measures to assess and improve digital marketing effectiveness. Action can then be taken to adjust the website strategy or promotional efforts. A measurement programme involves:

2. Measures of digital marketing effectiveness can be categorised as assessing:

3. The measures of effectiveness referred to above are collected in two main ways – online and offline – or in combination.

4. Online measures are SaaS-based services such as Google Analytics or Adobe Analytics. They indicate the number of visitors to a site, which pages they visit and where they originated from. Due to the multitude of reports and measures in analytics systems it’s important to create dashboards customised to the goals of a business and to consider the questions that should be answered through analysis.

5. Marketing research of customer perceptions including voice-of-customer research should be used to supplement digital analytics and combines surveying customers using traditional market research methods such as questionnaires, interviews and focus groups with their online equivalents and customer panels.

6. Managing website content requires clear responsibilities to be identified for different roles. These include the roles of content owner and site developer, and those ensuring that the content conforms with company and legal requirements.

7. To produce a good-quality website, standards are required to enforce uniformity in terms of:

- site ‘look and feel’;
- brand identity and tone-of-voice;
- quality of content.

Exercises

Self-assessment exercises

1. Why are standards necessary for controlling website management? What aspects of the site do such standards seek to control?
2. Explain the difference between hits and page impressions. How are these measured?
3. How should social media marketing effectiveness be assessed?
4. Why should content development be distributed through a large organisation?
5. Describe the different types of measures that should be used to review and improve digital marketing.
6. What are the main reports in Google Analytics that can be used regularly to report on digital marketing effectiveness?
7. Explain the principles of effectiveness AB testing.
8. Why is it useful to integrate the collection of online and offline metrics?

Exam and discussion questions

1. Why are standards necessary to control the process of updating a website? Give three examples of different aspects of a website that need to be controlled.
2. Explain the following terms concerning measurement of website effectiveness:
   a. unique visitors;
   b. page impressions;
   c. referring pages.
3. Measurement of websites concerns the recording of key events involving customers using a website. Briefly explain five different types of events.
4. Describe and briefly explain the purpose of the different stages involved in updating an existing document on a commercial website.
5. Outline different types of measures for reviewing the effectiveness of social media marketing.

6. Discuss the steps managers in businesses can take to ensure that the insight available from different marketing platforms is actionable.
7. You have been appointed manager of a website and have been asked to develop a metrics programme. Briefly explain the steps you would take to develop this programme.
8. Businesses need customer insight to monitor and improve their marketing effectiveness, but customers want their privacy to be respected by limiting insights available. How can businesses resolve this dilemma?

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Weblinks

A directory of recommended website links, including recommended videos, analysis tools and sources for statistics, is maintained by Dave Chaffey at www.davechaffey.com/book-support. The sites for this chapter cover tools and learning guidance for digital analytics and online market research.

Footnotes

Glossary Terms

'

'always-on’ (or continuous) communications

Continuous investment in paid, owned and earned digital media to engage prospects and customers and meet purchase intent as they research products through search, social media and publisher sites.

A

A/B or AB testing

Comparing the key performance indicators for two different versions of a page or a page element, such as a heading, image or button, for effectiveness.

Accelerated Mobile Pages (AMP)

A standard to increase page download speed on mobile devices, the AMP framework consists of three components: AMP HTML, which is a standard HTML with web components; AMP JavaScript, which manages resource loading; and AMP caches, which can serve and validate AMP pages.

accessibility legislation

Legislation intended to protect website users with disabilities, including visual disability.

account-based marketing (ABM)

The process B2B marketers use to communicate with buyers and users or services within target businesses in a market to generate new accounts and grow penetration into existing accounts.

activation

A prospect or customer takes the first step in actively using an online service after initial registration or purchase.

Adaptive mobile web design

Generally a more sophisticated approach than responsive web design that involves delivering an experience optimised for targeted handsets, and splits the code and processing to render on different devices between the client and the server.

ad retargeting

Ads are served to people who have previously interacted with a brand, for example through visiting a website, social media profile or searching. In Google, retargeting is known as remarketing.

ad serving

The term for displaying an advertisement on a website. Often the advertisement will be served from a web server different from the site on which it is placed.

Affiliate marketing

A commission-based arrangement where referring sites (publishers) receive a commission on sales or leads by merchants (retailers or other transactional sites). Commission is usually based on a percentage of product sale price or a fixed amount for

each sale (CPA, or cost per acquisition), but may also sometimes be based on a per-click basis, for example when an aggregator refers visits to merchants.

affiliate network

Third-party brokers, also known as affiliate managers, that manage recruitment of affiliates and infrastructure to manage a merchant's affiliate programme in the form of links, tracking and payment of a range of affiliates.

affiliates

Companies promoting a merchant, typically through a commission-based arrangement either direct or through an affiliate network.

aggregators

An alternative term to price-comparison sites. Aggregators include product, price and service information, comparing competitors within a sector such as financial services, retail or travel. Their revenue models commonly include affiliate revenues (CPA), pay-per-click advertising (PPC) and display advertising (CPM).

agile software development

An iterative approach to developing software and website functionality with the emphasis on face-to-face communications to elicit, define and test requirements. Each iteration is effectively a mini-software project including stages of planning, requirements analysis, design, coding, testing and documentation.

allowable cost-per-acquisition

A target maximum cost for generating leads or new customers profitably.

always-on lifecycle marketing

A planned approach to scheduling and optimising continuous marketing activities that support customer acquisition and retention. These activities aim to maximise visibility and persuasion throughout the customer lifecycle for all the activities we have covered in this section.

analysis and design

Analysis of system requirements and design for creation of an e-commerce system

application programming interfaces

Method of exchanging data between systems such as website services.

artificial intelligence

Software and services that perform tasks previously requiring human analysis and interaction. Marketing applications of AI typically aim to improve business-to-customer communications including targeting media, personalised messaging and customer service interactions.

attrition rate

Percentage of site visitors lost at each stage in making a purchase.

augmented reality (AR)

In contrast to VR, augmented reality supports and enhances real-world interactions. For example, retailers can enable consumers to try on new clothing or glasses using AR devices.

avatars

A term used in computer-mediated environments to mean a ‘virtual person’. Derived from the word’s original meaning: ‘n. the descendant of a Hindu deity in a visible form; incarnation; supreme glorification of any principle’.

B

backlinks

Hyperlink that links to a particular web page (or website), typically used to mean linking from another site. Also known as an inbound link.

behavioural ad targeting

Enables an advertiser to target ads at a visitor as they move elsewhere on the web or visit other sites on an ad network, aimed at increasing the frequency or number of impressions served to an individual in the target market.

behavioural loyalty

Loyalty to a brand is demonstrated by repeat sales and response to marketing campaigns.

bid

A commitment by a trader to purchase under certain conditions.

bid adjustments

An approach introduced by Google in 2013 as ‘enhanced campaigns’, but later renamed to simplify the management of ads displayed in different locations, different day parts (times of day) and different devices.

biddable media

Businesses have to bid against other businesses in auctions to achieve visibility for their adverts, for example, when using pay-per-click advertising or programmatic advertising.

Big Data for marketing

‘Big Data’ refers to applications to gain value from the increasing volume, velocity and variety of data integrated from different sources. These enhance insight to deliver more relevant communications through techniques such as marketing automation and social CRM.

Blockchain technology

A distributed ledger comprising batches of encrypted transaction records called blocks, which can be secured over a peer-to-peer network such as the internet. The system is secure and transaction history can’t be modified to provide an audit trail.

blogs

Personal online diary, journal or news source regularly updated by one person, an internal team or external guest authors. Postings are usually in different categories. Typically, comments can be added to each blog posting to help create interactivity and feedback.

blueprints

Shows the relationships between pages and other content components, and can be used to portray organisation, navigation and labelling systems

bounce rate

Proportion of visitors to a page or site who exit after visiting a single page only, usually expressed as a percentage.

brand advocates

A customer who has favourable perceptions of a brand who will talk favourably about a brand to their acquaintances to help generate awareness of the brand or influence purchase intent.

brand-building campaigns

Campaign focus is on building brand awareness, brand consideration and brand preference. Typically longer-term campaigns.

brand equity

The assets (or liabilities) linked to a brand's name and symbol that add to (or subtract from) a service.

brand experience

The frequency and depth of interactions with a brand, which can be enhanced through the internet.

brand identity

The totality of brand associations, including name and symbols that must be communicated.

branding

The process by which companies distinguish their product offerings from the competition by the sum of the characteristics of the product or service as perceived by the customer.

brand-response campaigns

Campaign focus is on brand building, blending direct-response components to encourage opt-in, trial, consultation or purchase.

brochureware sites

A simple site with limited interaction with the user that replicates offline marketing literature.

Bundling

Bundling combines several product or service options into a package of services, typically at a discounted price.

business model

A summary of how a company will generate revenue, identifying its product offering, value-added services, revenue sources and target customers.

business-to-business, B2B

Commercial transactions between an organisation and other organisations (inter-organisational marketing).

business-to-consumer, B2C

Commercial transactions between an organisation and consumers.

buy-side e-commerce

E-commerce transactions between a purchasing organisation and its suppliers

C

campaign-based communications

Digital communications that are executed to support a specific marketing campaign such as a product launch, price promotion or website launch.

campaign big idea

The overarching message or ‘hook’ that engages the audience and underpins all elements of a campaign in order to resonate with the target audience. The big idea should ideally be rooted in insight and linked to the campaign’s objectives to ensure it has maximum impact and relevance.

Campaign URLs or CURLs

A web address specific to a particular campaign.

card sorting or web classification

The process of arranging a way of organising objects on the website in a consistent manner.

cascading style sheets (CSS)

A mechanism for adding style (e.g. fonts, backgrounds, colours, spacing) to web documents, which is independent of the content. CSS enable different style elements to be controlled across an entire site or sections of a site. Style elements that are commonly

controlled include typography, background colour and images, and borders and margins. Responsive website design (RWD) for desktop and mobile can also be supported.

channel buyer behaviour

Describes which content is visited and the time and duration.

channel marketing strategy

Defines how a company should set specific objectives for digital channels and how they integrate with traditional channels, including web, mobile and social media, and vary its proposition and communications for this channel.

channel outcomes

Record of customer actions taken as a consequence of a visit to a site.

Channel promotion

Measures that assess why customers visit a site – which adverts they have seen, which sites they have been referred from.

channel satisfaction

Evaluation of the customer's opinion of the service quality on the site and supporting services such as email.

channel structures

The configuration of partners in a distribution channel.

churn rates

The percentage of customers who end their relationship with a company, typically calculated as the number of customers who left a company during a period divided by total customers at the beginning of the period. It is straightforward to calculate for subscription businesses, but requires a definition of ‘active customers’ for other types of business, such as retailing.

clicks-and-mortar

A business combining an online and offline presence. Mixed-mode buying is supported through ‘click and collect’ (a UK term) or BOPIS (buy online pick-up in store, a US term).

clicks-only (internet pureplay)

An organisation with principally an online presence. It does not operate a mail-order operation or promote inbound phone orders.

clickstream analysis

Reviewing the online behaviour of site visitors based on the sequence of pages that they visit, the navigation and promotion they respond to, the ultimate outcomes and where they leave the site.

clickstreams

A record of the path a user takes through a website. Clickstreams enable website designers to assess how their site is being used.

click-through

A user clicks on a text or image-based call-to-action/hyperlink on a website or mobile app, which directs them to a page that contains further information.

client discovery process

An initiative to learn what a client or brand needs from a campaign, their strategic initiatives that it must align with, their goals and their marketing outcomes.

co-branding

An arrangement between two or more companies that agree to jointly display content and perform joint promotion using brand logos, email marketing or banner advertisements. The aim is that the brands are strengthened if they are seen as complementary. Co-branding is often a reciprocal arrangement, which can occur without payment as part of a wider agreement between partners.

cohort analysis

A technique used to assess how the loyalty or engagement of a group of customers changes through time.

cold list

Data about individuals that are rented or sold by a third party.

Collaborative filtering

Recommended content or promotions are automatically created based on reviewing similarities in how customers behave.

Co-marketing

A partnership agreement reached between different businesses to promote each other, typically based on sharing content (and potentially promotions) principally to the audience of owned media channels such as social media, blog and email marketing.

commoditisation

The process whereby product selection becomes more dependent on price than on differentiating features, benefits and value-added services.

Competitor analysis

Identifying the companies that are competing for an organisation’s business and then reviewing what they are good at, what their strengths are, where their weaknesses are, what they are planning, where they want to take the company and how they behave when other companies try to take their market share.

competitor benchmarking

A structured analysis of the online services, capabilities and performance of an organisation within the areas of customer acquisition, conversion, retention and growth.

consumer-to-business, C2B

Consumers approach the business with an offer.

consumer-to-consumer, C2C

Informational or financial transactions between consumers, but usually mediated through a business site

contact or touch strategy

Communications required at different points in the customer lifecycle. Includes event-triggered automated interactions such as an email welcome sequence for a new subscriber.

content audit

A structured review of the effectiveness of different content types and formats to meet the needs of users and the business, using quantitative and qualitative techniques.

content developers

A person responsible for updating web pages within part of an organisation.

content distribution networks (CDNs)

A system of servers distributed globally with copies of data stored locally to enable more rapid download of content. Their use has increased with growth of streaming video and more complex web applications.

content management system (CMS)

An online service or software tool for creating, editing and updating online content assets such as text and visual content forming web or mobile app pages.

Content mapping

Different content types and formats are reviewed for their potential for engaging target audiences through the customer lifecycle. Current content use and distribution can be reviewed against competitors to uncover new options a company can use.

content marketing

The management of text, rich media, audio and video content aimed at engaging customers and prospects to meet business goals, published through print and digital media including web and mobile platforms that are repurposed and syndicated to different forms of web presence such as publisher sites, blogs, social media and comparison sites.

content marketing hub

A central branded location where your audience can access and interact with all your key content marketing assets. In a practical sense, the content hub can be a blog or new section, an online customer magazine or a resource centre.

contextual ads

Ad relevant to page content on third-party sites brokered by search ad networks.

contextual marketing

Relevant communications are delivered consistent with the context of the recipient, which can depend on their location, time or place.

contra-deals

A reciprocal agreement in the form of an exchange where payment doesn't take place. Instead, services or ad space to promote another company as part of co-branding occurs.

control page

The page against which subsequent optimisation will be assessed. Typically a current landing page. When a new page performs better than the existing control page, it becomes the control page in subsequent testing, also known as 'champion-challenger'.

Conversion marketing

Using marketing communications to maximise conversion of potential customers to actual customers.

conversion rate optimisation (CRO)

Improving the commercial returns from a transactional site through increasing conversion to key goals such as sales, quotes, bookings or leads. CRO combines customer and competitor research with evaluation of customer behaviour using web analytics and AB and multivariate testing (see Chapter 10 for details).

conversion rates

Percentage of site visitors who perform a particular action such as making a purchase.

conversion window

The period of time after an interaction with a media channel or ad (such as an ad click or video view) during which an outcome such as a lead or purchase is credited to the media channel.

cookie

Cookies are small text files stored on an enduser's computer to enable websites to identify the user.

core product

The fundamental features of the product that meet the user's needs.

Core Web Vitals

Google-defined measures added to their pre-existing Search signals for page experience, including mobile-friendliness, safe browsing, HTTPS security and intrusive interstitial guidelines that may negatively affect ranking if quality is low. They are: largest contentful paint (LCP), which refers to page loading performance; first input delay (FID), which is the responsiveness of your web page based on when the browser can first respond to an

interaction; and cumulative layout shift (CLS), which refers to the frequency of unexpected layout changes as the page loads.

cost-per-acquisition (CPA)

The cost of acquiring a new customer or achieving a sale. Typically limited to the communications cost and refers to cost-per-sale for new customers. May also refer to other outcomes such as cost-per-quote or enquiry.

cost-per-click

The cost of each click from a referring site to a destination site, typically from a search engine in pay-per-click search marketing.

cost-per-thousand

The cost of placing an ad viewed by 1,000 people.

Customer acquisition

Strategies and techniques used to gain new customers.

customer communications channels

The range of media used to communicate directly with a customer.

customer data platforms (CDPs)

A CDP provides a consolidated view of customer data from marketing, sales and service channels to maintain a consolidated view of customer profiles and interactions, potentially including: personal identifiers; website visits with tracking codes; mobile app sessions;

email responses; chat transcripts; audio recordings of customer service interactions; social media comments; purchase orders.

customer engagement

Repeated interactions through the customer lifecycle prompted by online and offline communications aimed at strengthening the long-term emotional, psychological and physical investment a customer has with a brand.

customer engagement

Repeated interactions through the customer lifecycle prompted by online and offline communications aimed at strengthening the long-term emotional, psychological and physical investment a customer has with a brand.

customer engagement strategy

A strategy to encourage interaction and participation of consumers with a brand through developing content and experiences with the aim of meeting commercial objectives. It is closely related to the development of content marketing and social media strategy.

customer experience management (CXM)

A holistic approach to managing customer experience and customer engagement across digital and non-digital touchpoints including web, mobile and social digital platforms, in-store and by call centres.

Customer extension

Techniques to encourage customers to increase their involvement with an organisation.

customer identity and access management (CIAM)

A category of application for managing user access and consent to online information and services typically known as social log-in or sign-on.

customer insight

Knowledge about customers' needs, profile, preferences and digital experiences from analysis of qualitative and quantitative data. Specific insights can be used to inform marketing tactics directed at groups of customers with shared characteristics.

customer journey

A description of modern multichannel buyer behaviour as consumers use different media to select suppliers, make purchases and gain customer support.

customer journeys

A description of modern multichannel buyer behaviour as customers use different media and touchpoints to achieve their goals, including selecting suppliers, making purchases and gaining customer support as part of the 'path-to-purchase'.

customer lifecycle

The stages each customer will pass through in a long-term relationship with an organisation, including acquisition, retention and extension prompted by digital and non-digital communications touchpoints.

customer lifecycle

The stages each customer will pass through in a long-term relationship with an organisation, including acquisition, retention and extension, prompted by digital and non-

digital communications touchpoints.

customer loyalty

The desire on the part of the customer to continue to do business with a given supplier over time.

customer preferences centre

Profile page(s) that enables customers to tailor the type and frequency of communications they receive.

customer profiling

Using the website to find out a customer's specific interests and characteristics.

customer relationship management (CRM)

Using digital communications technologies to maximise sales to existing customers and encourage continued usage of online services through techniques including a database, personalised web messaging, customer services, chatbots, email and social media marketing.

customer relationship management (CRM)

A marketing-led approach to building and sustaining long-term business with customers.

Customer retention

Techniques to maintain relationships with existing customers.

Customer satisfaction

The extent to which a customer's expectations of product quality, service quality and price are met.

customer segments

Groups of customers sharing similar characteristics, preferences and behaviours that are meaningful in terms of various market propositions, and which are defined as part of *target marketing strategy and planning*.

Customer selection

Identifying key customer segments and targeting them for relationship building

customer touchpoints

Communications channels through which companies interact directly with prospects and customers. Traditional touchpoints include face to face (in-store or with sales representatives), phone and mail. Digital touchpoints include web services, email and mobile phones.

D

dark patterns

A persuasion marketing technique based on misleading people using subtle design and interface messaging to make an offer appear more compelling in order to increase conversion and revenue.

data-driven marketing

Using insight about customer profiles, preferences and interactions with a brand to increase the relevance and effectiveness of marketing communications through research,

data analysis and personalisation of messages to customers and prospects.

data lakes or data warehouses

A data lake is a storage repository that holds a diversity of raw data in its native format where it is available for analysis and reporting by people across a company. This in contrast to a *data warehouse*, which contains structured data

deep linking

Jakob Nielsen's term for a user arriving at a site deep within its structure.

deliverability

Refers to ensuring email messages are delivered and aren't blocked by spam filters because the email content or structure falsely identifies a permission-based email as a spammer, or because the sender's IP address has a poor reputation for spam.

demand analysis

Quantitative determination of the potential use and business value from online customers of an organisation. Qualitative analysis of perceptions of online channels is also assessed.

demand-side platforms (DSPs)

A service that enables ads to be managed across multiple ad networks and ad exchanges through a single interface designed for managing reporting and performance.

design phase

The design phase defines how the site will work in the key areas of website structure, navigation and security.

destination website

Site typically owned by a retailer or manufacturer brand, which users are encouraged to click through to.

DevOps

An approach to development of systems that involves a more collaborative and closer relationship between development and operations teams with the aim of reducing deployment times and frequency of system updates and improving their stability.

differential advantage

A desirable attribute of a product offering that is not currently matched by competitor offerings.

differential pricing

Identical products are priced differently for different types of customers, markets or buying situations.

digital accessibility

An approach to website, app and digital device design intended to accommodate universal usability including that required by the visually impaired and users with other disabilities, including motor control, learning difficulties and deaf users. Users whose first language is not English can also be assisted.

digital analytics

Data analysis techniques used to assess and improve the contribution of digital marketing to a business, including reviewing traffic volume, referrals, clickstreams, online reach data, customer satisfaction research, leads and sales. Formerly known as web analytics when it was limited to website data.

digital assets

The graphical and interactive material that supports a campaign, displayed on third-party sites and on microsites. Includes display ads, email templates, video, audio and other interactive media.

digital branding

Applying digital media and technology to create brand value for target audiences.

digital business

Electronically mediated information exchanges, both within an organisation and with external stakeholders supporting the range of business processes.

digital currency or cryptocurrency

A digital or virtual currency that is secured by cryptography, which makes it extremely difficult to counterfeit or double-spend. Many cryptocurrencies are decentralised networks based on blockchain technology.

digital customer experience

A brand’s total digital experience includes a brand’s presence on different platforms including desktop website, mobile site and apps, ads on gaming platforms and digital in-

store. The quality of digital experience is based on the combination of rational and emotional factors of using a company's online services that influences customers' perceptions of a brand online.

digital disruption

Innovations in digital media, data and marketing technology that enable a change to a new basis for competition in a market or across markets.

digital disruptors

Innovations in digital media, data and marketing technology that enable a change to a new basis for competition in a market or across markets. Disruptors are also used to refer to startup or existing companies that, through their agility, are good examples of impacting competitors through disruption

Digital marketing

The application of digital media, data and technology integrated with traditional marketing communications to achieve marketing objectives

digital marketing dashboard

A visual summary of KPIs showing the contribution of digital marketing to an organisation's goals. It should show month-on-month and year-on-year performance comparisons, and ideally performance against targets for business goals.

digital marketing metrics

Measures that indicate the effectiveness of digital marketing activities integrated across different channels and platforms in meeting customer, business and marketing objectives.

digital marketing strategy

Definition of the capabilities and strategic initiatives to support marketing and business objectives an organisation should deploy to harness digital media, data and marketing technology to increase omnichannel engagement with their audiences using digital devices and platforms. Its scope should include opportunities from both new business and revenue models and always-on and campaign communications.

digital media

Communications and interactive services based on digital content accessible through different technology platforms and devices including the internet, web, mobile phones, computers, TV and digital signage.

digital media attribution

A digital analytics technique for assessing the contribution of different media channels such as advertising, search, social or email marketing to conversions and value generated from website visitors.

digital media channels

Online communications techniques using paid, owned and earned media to achieve goals of brand awareness, familiarity and favourability, and to influence purchase intent by encouraging users of digital media to visit a website or mobile app to engage with the brand or product, and ultimately to purchase online or offline through traditional media channels such as by phone or in-store. The six main channels include search engine marketing, social media marketing, email marketing, display advertising, public relations and partner marketing.

digital media de-duplication

A single referrer of a visit leading to sale is credited with the sale based on the last-click method of digital media channel attribution.

digital media ‘assists’

A referrer of a visit to a site before the ultimate sale is credited with the sale, often through a weighting system.

digital natives

Term used to describe people who have grown up with digital media and technology. Some consider this to include Millennials (Generation ‘Y’, born 1981 to 1996), who started using the web and smartphones in their teenage years, but strictly it starts with Zoomers or Generation Z (born 1997 onwards), who start using tablets or smartphones as soon as they can pick them up.

Digital public relations (online PR)

Maximising favourable mentions of your company, brands, products or websites on third-party websites that are likely to be visited by your target audience. Online or digital PR can extend reach and awareness of a brand within an audience and will also generate backlinks vital to SEO. It can also be used to support viral or word-of-mouth marketing activities in other media.

digital rights management (DRM)

The use of different technologies to protect the distribution of digital services or content such as software, music, movies or other digital data.

digital transformation

A staged programme of organisational improvements to business models, people, process and technologies used for integrated digital marketing in order to maximise the potential business contribution of digital technology, data and media.

direct-response campaigns

Campaign focus is on increasing immediate purchase intent, also known as sales activation. Typically shorter-term campaigns. Digital media increase options to gain immediate opt-in to communications or sampling with the aim of nurturing to sale.

direct-to-customer

A brand that has previously communicated to its customers via intermediaries such as media sites or wholesalers communicates directly via digital media such as social networks, email and websites.

direct-to-customer (D2C or DTC) e-commerce

Established brands and digitally native brands sell direct to customers through e-commerce facilitated by websites, social media and mobile apps.

discovery or analysis phase

The identification of the requirements of an online service. Techniques to achieve this may include quantitative analysis of digital analytics data and qualitative analysis involving focus groups, questionnaires sent to existing customers or interviews with key accounts.

disintermediation

The removal of intermediaries such as distributors or brokers that formerly linked a company to its customers.

Disintermediation

The removal of intermediaries such as distributors or brokers that formerly linked a company to its customers.

display ads

Use of graphical or *rich media ad units* within a web page to achieve goals of delivering brand awareness, familiarity, favourability and purchase intent. Many ads encourage interaction through prompting the viewer to interact or rollover to play videos, complete an online form or to view more details before clicking through to a site.

display network

Sponsored links are displayed by the search engine on third-party sites such as online publishers, aggregators or social networks. Ads can be paid for on a CPC, CPM or a CPA basis. There are also options for graphical or video ads as well as text-based ads.

distance-selling law

Legal requirements for providing information about the contractual agreement entered into between a merchant and customer for providing goods and services, including company information, pricing, additional costs and returns.

distribution channels

The mechanism by which products are directed to customers, either through intermediaries or directly.

duplicate content

Different pages that are evaluated by the search engine to be similar and so don't rank highly, even though they may be for distinct products or services.

dynamic content insertion

Copy, creative and offer, in an email is customised in an automation service based on rules or real-time content to increase its relevance to the recipient with the aim of increasing response.

dynamic pricing

Prices can be updated in real time according to the type of customer or current market

E

early adopters

Companies or departments that invest in new technologies and techniques.

Earned media

The audience is reached through editorial, comments and sharing both online and offline. Sometimes known as organic media.

earnings per click (EPC)

A relative measure of the effectiveness of a site or section of a site in generating revenue for the site owner through affiliate marketing for every 100 outbound clicks generated.

e-commerce conversion funnel

The steps involved from when a visitor first interacts with a site through to if they purchase. Note that conversion may occur over different number of visitor sessions.

econometric modelling

A quantitative technique to evaluate the past influence or predict the future influence on a dependent variable (typically sales in a marketing context) of independent variables, which may include product, price, promotions, and the level and mix of media investments.

editorial calendar

A plan for scheduling the creation of new or updated content for different audiences to support business goals for new visitors or increased conversion as part of content marketing.

effective frequency

The number of exposures of ad impressions (frequency) required for an advertisement to become effective.

effectiveness

Meeting process objectives, delivering the required outputs and outcomes, ‘doing the right thing’.

efficiency

Minimising resources or time needed to complete a process, ‘doing the thing right’.

e-government

The use of internet technologies to provide government services to citizens.

Electronic commerce (e-commerce)

All financial and informational electronically mediated exchanges between an organisation and its external stakeholders.

Electronic word of mouth (eWOM)

An extension of traditional face-to-face word of mouth, whereby communication exchanges between individuals take place in digital environments.

email marketing

Typically applied to outbound communications from a company to prospects or customers to encourage purchase or branding goals. Email marketing is most commonly used for mailing to existing customers on a house list, but can also be used for mailing prospects on a rented or co-branded list. Emails may be sent as part of a one-off campaign or can be automated, event-based, triggered emails, such as a welcome strategy that can be broadcast based on rules about intervals and customer characteristics.

email service providers (ESPs)

Provide a web-based service used by marketers to manage their email activities including hosting email subscription forms, broadcast and tracking.

emergent strategy

Strategic analysis, strategic development and strategy implementation are interrelated and are developed together.

emotional loyalty

Loyalty to a brand is demonstrated by favourable perceptions, opinions and recommendations.

environmental scanning

The process of continuously monitoring and analysing events in an organisation's environment(s) that have implications for planning

ethical standards

Practices and behaviours that are morally acceptable to society.

evoked choice set

Specific brands, which an individual is seriously considered when making a buying decision. A list of product or service options for making a distinction between different levels of involvement implies different evaluation processes.

exit intent surveys

A usability technique to identify website or app users' task completion and satisfaction against their intended tasks.

expert reviews

An analysis of an existing site or prototype by an experienced usability expert who will identify deficiencies and improvements to a site, based on their knowledge of web design principles and best practice.

extended product

Additional features and benefits beyond the core product.

external link building

A proactive approach to gain quality links from third-party sites. It can be considered to be an element of online PR since it involves getting your brand visible on third-party sites and creating backlinks related to your site.

F

faceted navigation

Enables users to rapidly filter results from a product search based on different ways of classifying the product by its attributes or features. For example, by brand, by sub-product category, by price bands.

FAMGA

An acronym standing for Facebook™ (which owns Instagram™ and WhatsApp™), Amazon™, Microsoft™ (which owns LinkedIn™), Google™ (whose parent group Alphabet™ owns YouTube™) and Apple™.

findability

An assessment of how easy it is for a web user to locate a single content object or to use browse navigation and search system to find content. Like usability it is assessed through efficiency – how long it takes to find the content, and effectiveness – how satisfied the user is with the experience and relevance of the content they find.

first-party cookies

Served by the site currently in use – typically for e-commerce sites.

flow

Describes how easy it is for users of a site to move between the different pages of content of the site.

forward

Reviews the popularity of subsequent clicks that occur from a page. This form of analysis is most beneficial from important pages such as the home page, category and resolution pages. Use this technique to identify messaging/navigation combinations that work best to yield the most clicks from a page.

forward auctions

Item purchased by highest bid made in bidding period.

forward path analysis

Reviews the popularity of subsequent clicks that occur from a page. This form of analysis is most beneficial from important pages such as the home page, product and directory pages. Use this technique to identify messaging/navigation combinations that work best to yield the most clicks from a page.

freemium

A business model where some services or content are provided free of charge to enable the service to be trialled while other content or more advanced features must be paid for.

G

Gamification

The process of applying game thinking and mechanics to engage an audience by rewarding them for achievements and sharing.

Generative AI

Artificial Intelligence algorithms are used to create imagery and copy (through Natural Language Generation (NLG) using Large Language Models (LLM)). Chat GPT and similar services such as Google's Gemini are the best know 'Gen AI' tools

globalisation

The increase of international trading and shared social and cultural values.

Google Display Network (GDN)

Different types of online publishers agree for Google to display contextual ads on their sites for a fee, for example as part of the AdSense programme.

growth hacking

A mindset that focuses marketing activities on increasing the scale and profitability of a business through testing and improving techniques for improving the value of audience touchpoints across the customer lifecycle of reach, interactions, conversion and engagement.

H

hit

Recorded for each graphic or text file requested from a web server. It is not a reliable measure for the number of people viewing a page.

hold-out testing

A group within an audience is excluded from communications to compare their behaviour or value to other groups that receive alternative forms of communications such as

different offers or different frequency.

house list

Data about existing customers used to market products to encourage future purchase.

hreflang attribute

Specifies the intended country and language (in ISO 639-1 format) for web content to search engines, for example de: German language content, independent of region; en-GB: English language content, for GB users; and de-ES: German language content, for users in Spain.

hurdle rate

The proportion of customers that fall within a particular level of activity. For example, the percentage of members of an email list that click on the email within a 90-day period, or the number of customers that have made a second purchase.

hype cycle

A graphic representation of the maturity, adoption and business application of specific technologies.

I

identity theft

The misappropriation of the identity of another person, without their knowledge or consent.

inbound digital communications

Customers enquire through web-based forms, social media and email.

inbound email marketing

Management of emails from customers by an organisation.

inbound marketing

The consumer is proactive in seeking out information for their needs, and interactions with brands are attracted through content, search and social media marketing.

incidental offline advertising

Driving traffic to the website is not a primary objective of the advert.

index inclusion

Ensuring that as many of the relevant pages from your domain(s) are included within the search engine indexes you are targeting to be listed in.

influencer relationship management (IRM)

A structured process to continuously manage and measure influencer outreach as a programme of campaigns based on content assets and ‘always-on’ activities against defined goals.

initiation of the website project

This phase of the project should involve a structured review of the costs and benefits of developing a website (or making a major revision to an existing website). A successful outcome to initiation will be a decision to proceed with the site development phase, with an agreed budget and target completion date.

integrated marketing

A planned approach to achieve communications goals by delivering consistent, coherent messaging, creative and branding to audiences across different channels and media placements. Creative treatments and interactivity should be designed to take advantage of specific channels such as social networks, email or websites to make them more effective.

intellectual property rights (IPRs)

These protect the intangible property created by corporations or individuals that is protected under copyright, trade secret and patent laws.

interaction rate (IR)

The proportion of ad viewers who interact with an online ad through rolling over it. Some will be involuntary depending on where the ad is placed on the screen, so it is highly dependent on placement.

interactivity

The digital medium enables a dialogue between company and customer.

internal link architecture

Structuring and labelling links within a site's navigation to improve the results of SEO.

Internet-based marketing research

The use of online questionnaires and focus groups to assess customer perceptions of a website or broader marketing issues.

internet governance

Control of the operation and use of the internet.

Internet of Things (IoT)

A network of objects and devices at home and at work providing sensors and connectivity that enable them to be monitored and exchange data with other systems.

interruption marketing

Marketing communications that disrupt customers' activities.

interruption marketing

Marketing communications that disrupt customers' activities.

interstitial ads

Ads that appear between one page and the next.

K

key online influencers

Celebrities, individuals well known in their niche, or publishers to whom an online target audience listens and interacts with. Online influencer outreach or 'blogger outreach' can help companies reach and engage a wider audience. Recently, video bloggers ('vloggers' or 'YouTubers') have become popular among teenage audiences.

key performance indicators (KPIs)

Metrics used to assess the performance of a process and/or whether set goals are achieved.

keyphrase

The combination of words users of search engines type into a search box that form a search query.

Knowledge Graph

An infrastructure developed by Google to display related information about people, places and objects.

L

lagging performance indicator

A metric that indicates past performance. Corrective action can then be applied to improve performance.

landing page

A destination page when a user clicks on an ad or other form of link from a referring site. It can be a home page, but more typically and desirably, a landing page is a page with the messaging focused on the offer in the ad. This will maximise conversion rates and brand favourability.

landing page

An entrance page to the site when a user clicks on an ad or other form of link from a *referring site*. It can be a home page but more typically, and desirably, a landing page is a

page with the messaging focused on the offer. This will maximise conversion rates and brand favourability.

last-click method of digital media channel attribution

The site that referred a visitor immediately before purchase is credited with the sale. Previous referrals influenced by other customer touchpoints on other sites are ignored.

latency

The average length of time that different customer types take between different activities, e.g. log-ins, paying bills, first and second purchases.

lead generation offers

Offered in return for customers providing their contact details and characteristics. Commonly used in B2B marketing where free information such as a report or a seminar will be offered.

lead grading

A technique to measure fit with an organisation’s services based on profile information such as job title, company size or sector. Typically, leads are graded from A (best fit) to E (poorest fit).

leading performance indicator

A measure that is suggestive of future performance and so can be used to take proactive action to shape future performance.

lead nurture

A communications process aimed at developing purchase intent in a prospect by increasing brand favourability and familiarity.

Lead scoring

A technique to measure interest in a business's services based on a lead's behaviour. Typically based on scoring interaction with different types of content, with points potentially taken away for inactivity. The higher the score, the more interested a lead is and therefore better suited for a sales conversation. Typically, leads are graded from 1 (highest interest) to 5 (lowest interest).

lifetime value (LTV)

Lifetime value is the total net benefit that a customer or group of customers will provide a company over their total relationship with that company.

link anchor text

The text used to form the blue underlined hyperlink viewed in a web browser defined in the HTML source. For example, a link: Visit Dave Chaffey's Digital Marketing site is created by the HTML code: <A href="http://www.smartinsights.com">Visit Dave Chaffey's Digital Marketing site</A>.

localisation

Tailoring of website information for individual countries or regions. Localisation can include simple translation, but also cultural adaptation

long tail concept

A frequency distribution suggesting the relative variation in popularity of items selected by consumers.

M

machine learning

Creating and applying predictive models and algorithms with the ability to learn without being explicitly programmed. The computer models then make predictions of success based on patterns extracted from historical data. These are used to define rules, which are implemented to automate tasks such as targeting media or emails to the most valuable segments with the most relevant creative offer and timing.

machine-to-machine (M2M)

These connections include home and office security and automation, smart metering and utilities, maintenance, building automation, automotive, healthcare and consumer electronics.

macro-environment

Broad forces affecting all organisations in the marketplace, including social, technological, economic, political, legal and ecological influences.

Marketing automation

Enables businesses to automate tasks in the marketing and sales process to profile prospects and customers and deliver more relevant communications, typically delivered as personalised emails and website messages.

marketing intermediaries

Firms that can help a company to promote, sell and distribute its products or services, for example publisher or media sites, comparison sites, search engines, social networks and blogs.

marketing-led site design

Site design elements are developed to achieve customer acquisition, retention and communication of marketing messages.

marketing mix

The series of seven key variables – product, price, place, promotion, people, process and physical evidence – that are varied by marketers as part of the customer offering.

Marketing Mix Modelling

A statistical analysis technique used to measure the impact of different marketing channels on conversions including leads and sales. It helps organizations understand and improve their weighting for different channels and allocate their budget more efficiently.

marketing orchestration

Designing customer contact strategies to deliver the most relevant, most responsive messages integrated across different communications channels based on customer context. Communications strategies are managed by marketing automation systems using rules or artificial intelligence based on Big Data analysis rather than manually created campaigns.

marketing planning

A logical sequence and a series of activities leading to the setting of marketing objectives and the formulation of plans for achieving them.

marketing-qualified leads (MQLs)

A prospect who has indicated interest in what a brand has to offer based on assessment of their interaction with a brand or stated preference.

marketing technology (martech)

Software services and tools used to run marketing operations to support marketing communications goals including customer acquisition, conversion, retention and team communications, and to deliver customer and market insight and reporting

martech stack

A combination of different software services or online tools used to run all marketing operations across multiple channels including customer acquisition, conversion, retention and team communications, and to deliver customer and market insight and reporting.

mass customisation

A form of micro-segmentation, where firms use economies of scale enabled by technology to offer variants of products to individual customers or groups of customers (Pallant et al., 2020).

mass customisation

The creation of tailored marketing messages or products for individual customers or groups of customers typically using technology to retain the economies of scale and the capacity of mass marketing or production.

media fragmentation

Describes a trend towards increasing choice and consumption of a range of media in terms of different channels such as web and mobile and also within channels – for example, more TV channels, radio stations, magazines, more websites. Media fragmentation implies increased difficulty in reaching target audiences.

media-multiplier or halo effect

The role of one media channel in influencing sale or uplift in brand metrics. Commonly applied to online display advertising, where exposure to display ads may increase click-through rates when the consumer is later exposed to a brand through other media, for example sponsored links or affiliate ads. It may also improve conversion rates on destination sites through higher confidence in the brand or familiarity with the offer.

media queries

A styling approach within cascading style sheets (CSS) specifying breakpoints for different screen widths in pixels enabling the layout to change based on type of device.

memes

An idea, theme or trend that engages an audience and spreads through viral communications.

Metaverses

Online worlds where people can game, work and communicate in a virtual environment, typically supported by VR headsets, chat and video.

micro-environment

The *players* (actors) and their interactions, which influence how an organisation responds in its marketplace.

microformats

A semantic definition of a specific information type such as a product, event, recipe or review. Schema.org manages some of the most common definitions.

microsites

A small-scale destination site reached on click-through that is part of the media owner's site.

mixed-mode buying

The customer's purchase decision is influenced by a range of media such as print, TV and internet.

mixed reality

The merging of real and virtual worlds to produce new environments and visualisations, where physical and digital objects co-exist and can interact in real time.

mobile app

Designed to run on smartphones and tablet computers, apps provide users with rich mobile content by deploying the handset's multiple native capabilities. Apps are available for download from app stores hosted by the mobile operating systems (e.g. App Store for iOS or Google Play™ for Android).

mobile-first design

A process that starts from smaller, mobile screens with the aim of creating the best user experience for people using websites via smartphones. The aim is to encourage simple, minimalist designs

multichannel (omnichannel) marketing

Customer communications and product distribution are supported by a combination of digital and traditional channels at different points in the buying cycle or ‘path to purchase’. With the range of mobile and IoT touchpoints, some use the term ‘omnichannel marketing’.

multichannel marketing strategy

Defines how different marketing channels should integrate and support each other in terms of their proposition development and communications based on their relative merits for the customer and the company.

multichannel prioritisation

Assesses the strategic significance of the internet relative to other communications channels and then deploys resources to integrate with marketing channels.

multiscreening

A term used to describe simultaneous use of devices such as digital TV and a smartphone or tablet.

N

native advertising

Online content that is integrated with publisher editorial content to promote or enhance a brand, such as a publisher article or social media update. Such content should be disclosed as advertising by law in many countries, and for this reason publishers refer to it as branded content.

natural or organic listings

The pages listing results from a search engine query, which are displayed, below any ads, in a sequence according to relevance of match between the keyword phrase typed into a search engine and a web page according to a ranking algorithm used by the search engine.

navigational (or brand) search

Searchers use a search engine such as Google to find information deeper within a company site by appending a qualifier such as a product name to the brand or site name. Organisations need to check that relevant pages are available in the search results pages for these situations.

net or network neutrality

‘Net neutrality’ is the principle of provision of equal access to different internet services by telecommunications service providers.

Net Promoter Score (NPS)

A measure of the number of advocates a company (or website) has who would recommend it, compared to the number of detractors.

newsjacking

A publisher or other brand seeks to take advantage of current topical interest in a story and then add to or subvert it to increase their own publicity.

nofollow tags

A nofollow tag is a basic piece of HTML. Appended to a hyperlink, it allows webmasters to control whether search engines follow a link or not. For example, the following URL on a page of another site allows search engines to visit Smart Insights' website and credit the website with the link; each link is scored by the search engines, supporting SEO:Visit Smart InsightsThis normal, natural type of link is sometimes known as 'do-followed'! Here's the same hyperlink, now including a nofollow tag (highlighted in *red*):Visit Smart Insights.

notification

The process whereby companies register with the Information Commissioner to inform about their data holdings.

O

offer

A commitment by a trader to sell under certain conditions.

offline promotion

Using traditional media such as TV, PR, radio and print to achieve communications goals including directing visitors to an online presence.

omnichannel strategy

Planning and optimising always-on and campaign-focused marketing communications tools integrated across different customer lifecycle touchpoints to maximise leads and sales, and delivering a seamless, integrated customer experience to encourage customer loyalty.

one-to-one marketing

A unique dialogue occurs between a company and individual customers (or groups of customers with similar needs) using automation and personalisation to increase relevance

online business models

A summary of how a company will generate a profit – identifying its core product or service value proposition, target customers in different markets, position in the competitive online marketplace or value chain and its projections for revenue and costs.

online company presence

Different forms of online media controlled by a company including its website, blogs, email list and social media presences. Also known as ‘owned media’.

Online influencer outreach

Identifying online influencers such as bloggers, media owners or individuals with a large online following in the social networks and then approaching them to partner together to communicate with their audience.

online influencers or key opinion leaders (KOLs)

Online influencers can include any type of person who publishes online who has a significant following. They can include journalists, bloggers or celebrities.

Online intermediary sites

Websites that facilitate exchanges between consumer and business suppliers.

online market ecosystems

Interactions between different online systems related to a specific hardware or software technology, which may be independent or developed by a particular brand.

online marketplace

Exchanges of information and commercial transactions between consumers, businesses and governments completed through different forms of online presence such as search engines, social networks, comparison sites and destination sites.

online promotion contribution

An assessment of the proportion of customers (new or retained) who are reached and influenced by online communications.

online reputation management

Controlling the reputation of an organisation through monitoring and controlling messages placed about the organisation.

online revenue contribution

An assessment of the direct contribution of the internet or other digital media to sales, usually expressed as a percentage of overall sales revenue.

online service–quality gap

The mismatch between what is expected of and delivered by an online presence.

online tactical marketing segmentation

Tactical segmentation enables targeting based on customer journey behaviour such as search behaviour, content accessed and contribution to social media.

online value proposition (OVP)

A statement of the benefits of online services that reinforces the core proposition and differentiates from an organisation's offline offering and those of competitors.

Online voice of customer (VoC)

Qualitative assessments of the effectiveness of digital presence based on direct customer feedback. They answer 'who and why' questions about how customers interact with brands online.

on-page optimisation

Writing copy and applying markup such as the <title> tag and headings tags <h1>, <h2>, <h3> to highlight relevant keyphrases within a document to search engines.

opportunities to see (OTS) or impressions

A measure of campaign reach based on the number of times an ad or campaign content is viewed during a time period. Its definition varies by channel and it sometimes references the average number of times someone has seen an ad (i.e. frequency). Online impressions are used to measure the number of times an ad is served or displayed or a post appears in a social media feed.

opt-in

An individual gives consent to receive further communications (such as a newsletter) or agrees to a privacy policy (such as enabling personalisation using cookies).

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An individual gives consent to receive further communications (such as a newsletter) or agrees to a privacy policy (such as enabling personalisation using cookies).

opt-out

A customer declines the offer to receive further information.

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organic social media marketing

It’s common practice to distinguish between organic and paid social media marketing activities in a similar way to organic and paid search marketing. Organic social involves using social networks and customer communities to develop relationships, share positive opinions through social media amplification and manage negative social media comments.

outbound digital communications

Website, mobile push notifications or email marketing are used to send personalised communications to customers.

outbound email marketing

Emails are sent to customers and prospects from an organisation.

overlays

Typically an animated ad that moves around the page and is superimposed on the website content.

Owned media

Different forms of media controlled by a company including its website, blogs, email list and social media presence. Sometimes known as organic media.

P

page impressions

One page impression occurs when a member of the audience views a web page. One ad impression occurs when a person views an advertisement placed on the web page.

PageRank

PageRank is a scale between 0 to 10 used by Google's internal algorithms (named after Google founder Larry Page) that was used to assess the importance of web pages according to the number of inbound links or backlinks. It was publicly shown in Google's browser toolbar until 2016. Today, to get an indication of the authority of a site and page, other options are available such as Moz Domain Authority (DA) and Page Authority (PA), which varies between 0 and 100 and can also be accessed from a toolbar, and is useful for benchmarking the relative authority of sites based on the number of unique links to them.

Paid media

Also known as bought media, a direct payment occurs to a site owner or an ad network when they serve an ad, a sponsorship or pay for a click, lead or sale generated.

paid search (pay-per-click) marketing (PPC)

A relevant text ad with a link to a company page is displayed on the SERPs when the user of a search engine types in a specific phrase. A fee is charged for every click of each link, with the amount bid for the click mainly determining its position. Additionally, PPC may involve advertising through a display network of third-party sites (which may be on a CPC, CPM or CPA basis).

Panda and Penguin algorithm updates

Changes to Google's algorithm aimed at reducing the impact of webspam. They caused the rankings of many sites to fall. Panda targeted low-quality sites with 'thin' content. Penguin targeted sites using aggressive link building.

pay-for-performance communications

The wastage from traditional media buys can be reduced online through advertising models where the advertisers only pay for a response (cost per click), as in pay-per-click search marketing, or for a lead or sale, as in affiliate marketing.

pay-per-click (PPC)

PPC refers to when a company pays for text ads to be displayed on the search engine results pages as a sponsored ad (typically above, to the right of or below the natural listings) when a specific key phrase is entered by the search users. It is so called because the marketer pays each time the hypertext link in the ad is clicked on. If a link is clicked repeatedly, then this will be detected by the search engine as click fraud and the marketer will not be charged.

people variable

The element of the marketing mix that involves the delivery of service to customers during interactions with those customers.

performance drivers

Critical success factors that determine whether business and marketing objectives are met.

performance management systems

A process used to evaluate and improve the efficiency and effectiveness of an organisation and its processes.

performance marketing (PM)

Sometimes used as an alternative term for affiliate marketing, which includes payment for lead, sale, but also click, so it is a broader term including other online paid media such as display advertising and biddable media including pay-per-click and programmatic advertising.

performance measurement systems

The process by which metrics are defined, collected, disseminated and actioned.

permission marketing

Customers agree (opt-in) to be involved in an organization's marketing activities, usually as a result of an incentive.

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persistent cookies

Cookies that remain on the computer after a visitor session has ended. Used to recognise returning visitors.

personal data

Any information about an individual stored by companies concerning their customers or employees.

personalisation

Digital experience personalisation is the dynamic serving of customised content, product or promotional offer recommendations to website visitors or app users based on their characteristics and intent behaviour to support conversion and long-term engagement goals.

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Personas

Fictional profiles that represent a particular target audience – a thumbnail summary of the characteristics, needs, motivations and environment of typical website users.

persuasion marketing

Using design elements such as layout, copy and typography together with promotional messages to encourage site users to follow particular paths and specific actions rather than giving them complete choice in their navigation.

physical evidence variable

The element of the marketing mix that involves the tangible expression of a product and how it is purchased and used.

place variable

The element of the marketing mix that involves distributing products to customers in line with demand and minimising cost of inventory, transport and storage.

podcasts

Individuals and organisations post online media (audio and video) that can be viewed in the appropriate players including the iPod, which first sparked the growth in this

technique.

Portfolio analysis

Identification, evaluation and selection of desirable marketing applications.

positioning

Customers' perception of the product and brand offering relative to those of competitors.

predictive analytics

Using analysis, data mining and statistical modelling of historical data about customer interactions and their profile to predict future outcomes, for example by scoring customer propensity to respond to a specific offer. This can be used to inform future personalised communications by tailoring the timing, message or offer.

prescriptive strategy

The three core areas of strategic analysis, strategic development and strategy implementation are linked together sequentially.

price elasticity of demand

Measure of consumer behaviour that indicates the change in demand for a product or service in response to changes in price. Price elasticity of demand is used to assess the extent to which a change in price will influence demand for a product.

price transparency

Customer knowledge about pricing increases, due to increased availability of pricing information.

price variable

The element of the marketing mix that involves defining product prices and pricing models.

pricing models

Describes the form of payment, such as outright purchase, auction, rental, volume purchases and credit terms.

privacy

A moral right of individuals to avoid intrusion into their personal affairs.

privacy statement

Information on a website explaining how and why individuals' data are collected, processed and stored.

process variable

The element of the marketing mix that involves the methods and procedures companies use to achieve all marketing functions.

product variable

The element of the marketing mix that involves researching customers' needs, developing appropriate products and service products, and communicating their features and benefits.

programmatic ad buying

Describes the purchase of online display advertising that is aggregated, booked, flighted, analysed and optimised via demand-side software interfaces and algorithms. It includes RTB and also non-RTB methods and buy types such as Facebook Ads API and the Google Display Network.

Progressive Web Apps (PWAs)

A development technique that combines the benefits of web and mobile apps, to create digital experiences enabling users to install web apps to their home screen, receive push notifications and potentially work offline.

promotion variable

The element of the marketing mix that involves communication with customers and other stakeholders to inform them about the product and the organisation.

propensity modelling

The approach of evaluating customer characteristics and behaviour and then making recommendations for future products.

prototypes

A preliminary version of part, or a framework of all, of a website or app, which can be reviewed by its target audience or the marketing team. Prototyping is an iterative process in which website users suggest modifications before further prototypes and then the final version of the site are developed.

public relations (PR)

The management of the awareness, understanding and reputation of an organisation or brand, primarily achieved through influencing exposure in the media.

pull media and inbound marketing

The consumer is proactive in actively seeking out a solution and interactions with brands and is attracted through content, search and social media marketing.

push media

Communications are broadcast from an advertiser to consumers of the message, who are passive recipients.

Q

quality score

An assessment in paid search by Google Ads (and now other search engines) of an individual ad triggered by a keyword that, in combination with the bid amount, determines the ranking of the ad relative to competitors. The primary factor is the click-through rate for each ad, but quality score also considers the match between the keyword and the occurrence of the keyword in the text, historical click-through rates, the engagement of the searcher when they click through to the site and the speed at which the page loads.

R

reach

Reach defines the number of unique individuals who view an advertisement.

Really Simple Syndication (RSS)

Blog, news or other content is published by an XML standard and syndicated for other sites or read by users in RSS reader software services. Now typically shortened to ‘feed’, e.g. news feed or sports feed.

real-time bidding (RTB)

Bids for buying ads against keywords can be managed in real time in conjunction with a DSP.

real-time marketing (and PR).

Brands develop an agile, proactive approach to PR, content marketing and advertising to participate in current news and trends to help increase their visibility and influence through positive brand mentions. They also develop a reactive approach to respond to negative brand mentions through social media reputation management.

recency–frequency–monetary value (RFM) analysis

RFM is sometimes known as FRAC, which stands for: frequency, recency, amount (obviously equivalent to monetary value), category (types of products purchased – not included within RFM).

referrer

The site that a visitor previously visited before following a link.

referrer or referring site

The source of a visitor to a site delivered via a digital media channel, typically from a click-through on an ad placement on a specific site or an advertising platform, e.g. from Facebook, Google or LinkedIn, or an ad or affiliate network.

register a new domain name

The process of reserving a unique web address that can be used to refer to the company website, in the form of www.<companyname>.com or www.<companyname>.co.uk.

reintermediation

The creation of new intermediaries between customers and suppliers providing services such as supplier search and product evaluation.

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renderability

The capability of an email to display correctly formatted in different email readers on desktop and mobile devices.

request for proposal (RFP)

A formal request sent to potential sellers from a buyer who is looking to procure products or services.

resource analysis

Review of the technological, financial and human resources of an organisation and how they are utilised in business processes.

responsive web design (RWD)

Layout and formatting of website content is modified at the point of rendering to suit different screen resolutions and capabilities, using web development methods such as CSS media queries and image scaling, to produce a better experience to users of a range of desktop, tablet and smartphone devices.

results-based payment

Advertisers pay according to the number of times the ad is clicked on.

retargeting

Ads that are served to people who have previously interacted with a brand, for example through visiting a website, social media profile or searching. In Google Ads, retargeting is known as remarketing. Sometimes also applied to email follow-up based on interaction.

revenue models

Methods of generating income for an organisation.

reverse auctions

Item purchased from lowest-bidding supplier in bidding period.

reverse path analysis

Reverse path analysis indicates the most popular combination of pages and/or calls-to-action that lead to a page. This is particularly useful for transactional pages such as the first checkout page on a consumer site; a lead generation or contact us page on a business-to-business site; an email subscription page or a call-me-back option.

robots

A tool, also known as a spider, that is employed by search engines to index web pages of registered sites on a regular basis. *See* **Spider**.

run-of-site

Where advertisements occur on all pages of a website. Cost-per-1,000 ad impressions (CPM) is usually higher for run-of-site advertisements.

S

sales cadences

Communications between a business development person and prospect aimed at achieving lead nurture and conversion to sale. These can be automated for different channels including email, phone or social media messaging.

sales generation offers

Encourages product trial. A coupon redeemed against a purchase is a classic example.

sales-qualified leads (SQLs)

A prospect who has indicated they are potentially interested in purchase, typically through interaction with a business development person.

satisficing behaviour

Consumers do not behave entirely rationally in product or supplier selection. They will compare alternatives, but then may make their choice given imperfect information.

search engine marketing (SEM)

Promoting an organisation through search engines to meet its objectives by delivering relevant content in the search listings for searchers and encouraging them to click through to a destination site. The two key techniques of SEM are search engine optimisation (SEO) to improve results from the natural listings, and paid search marketing to deliver results from the sponsored listings within the search engines. Note, in the United States and some European countries, the acronym SEM is sometimes used solely to describe paid search advertising. Confusing!

search engine optimisation (SEO)

A structured approach used to increase the position of a company or its products in a search engine's natural or organic results listings (the main body of the search results page) for selected keywords or phrases.

search engine results pages (SERPs)

The page(s) containing the results after a user types a keyphrase into a search engine. SERPs contain both natural or organic listings and paid or sponsored listings.

sell-side e-commerce

E-commerce transactions between a supplier organisation and its customers.

sense-and-respond communications

Delivering timely, relevant communications to customers as part of an automated contact strategy, based on assessment of their position in the customer lifecycle and monitoring specific interactions with a company's website, emails and staff.

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SERPs features

Organic search engine results listings incorporate other relevant results as 'search ' related to a query, such as images, video, related questions, local retailers (in Google My Business) and news.

share of search

An evaluation of the proportion of website visits from organic and paid search that a brand attracts for a defined set of target search terms used by an audience searching for a market category of product, service or other information. A search gap analysis can be performed to assess potential visits from consumer search intent against actual visits achieved through SEO and pay-per-click activities.

single customer view

Customer profile information is kept consistent across systems to maintain customer data quality.

site design templates

A standard page layout format that is applied to each page of a website for particular page types, e.g. category pages, product or blog pages. Also known as themes, where they can be purchased at low cost, e.g. for WordPress sites.

site map

A graphical or text depiction of the relationship between different groups of content on a website.

site navigation scheme

Tools provided to the user to move between different information on a website.

site visitor activity data

Clickstream data on website referrers, content accessed by website visitors and profile information.

situation analysis

Collection and review of information about an organisation’s internal processes and resources and external marketplace factors in order to inform strategy definition.

Skunkworks

A loosely structured group of people who research and develop innovative opportunities and business benefits.

SMART

Specific, Measurable, Actionable, Relevant and Time-related.

social commerce

A subset of e-commerce that encourages participation and interaction of customers in rating, selecting and buying products. This participation can occur on an e-commerce media sites or social networks.

social CRM

The process of managing customer-to-customer conversations to engage existing customers, prospects and other stakeholders with a brand and so enhance customer relationship management.

social exclusion

Part of society is excluded from the facilities available to the remainder.

social graph

A term popularised by Facebook in 2007 when describing its Facebook platform. The social graph describes the relationship between individuals linked through social networks and other connections such as email or personal contact.

social media amplification

A method of increasing awareness of a brand through organic and paid sharing of social media updates via social networks as organic social posts and adverts displayed in the stream of social network users.

social media governance

A definition of how companies should respond to social mentions that may give rise to leads or reputational damage.

social media listening

The process of using monitoring tools to review mentions of a brand and related keywords within social networks and other online sites.

social media listening and social media monitoring (SMM)

ocial media intelligence processes for reviewing brand mentions, market keywords and sentiment for a business and its competitors in social media and online publishers.

social media marketing

Organic sharing and paid advertising using social networks and their messaging services to gain awareness and response from target audiences. Also involves facilitating and monitoring customer-to-customer and customer-to-company interactions and participation on social networks and other online communities where user-generated content is created.

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social media optimisation (SMO)

A process to review and improve the effectiveness of social media marketing through reviewing approaches to enhance content and communications quality to generate more business value.

social media strategy

A definition of the marketing communications used to achieve interaction and amplification with social network users to meet business goals. The scope of social media optimisation

also includes paid social media, customer service and incorporation of social features such as status updates and sharing widgets into company websites.

social proof

Consumer psychology research shows that potential customers trust recommendations from others, so communicating social proof in different formats can increase conversion. Forms of social proof include customer reviews, ratings, testimonials and case studies, and independent validation by an influencer or recognised trustworthy sources. Numbers showing the size of the company and brand idents can also communicate social proof.

social selling

A proactive approach to using social media to generate leads and sales, particularly applied to B2B marketing in LinkedIn where it's possible to identify prospects and connect with them.

soft launch

A trial version of a site, launched with limited publicity.

Software as a Service (SaaS)

Business applications and software services are provided through internet and web protocols with the application managed on a separate server, from where it is accessed through a web browser on an end-user's computer with data stored within 'the cloud'.

spam

Unsolicited email (usually bulk mailed and untargeted). Originally, the best-known spam was tinned meat (a contraction of 'spiced ham').

specific offline advertising

Driving traffic to the website or explaining the online proposition is a primary objective of the advert.

spiders

Software processes, technically known as robots, employed by search engines to index web pages of registered sites on a regular basis. They follow links between pages and record the reference URL of a page for future analysis.

split-testing

Different groups within an audience receive alternative communications with different creative, offer or frequency to determine which is most effective to inform the communications used for future campaigns.

stage models

Models for the development of different levels of digital services.

Stickiness

An indication of how long a visitor stays on-site.

storyboarding

The use of static drawings or screenshots of the different parts of a website to review the design concept with user groups. It can be used to develop the structure – an overall ‘map’ with individual pages shown separately.

strategic agility

The capability to innovate and so gain competitive advantage within a marketplace by monitoring changes within an organisation’s marketplace, and then efficiently evaluating alternative strategies, selecting, reviewing and implementing appropriate candidate strategies.

strategic market segmentation

A grouping of customer types defined by their value to a business, and common characteristics, needs or psychographic profiles.

strategy formulation

Generation, review and selection of strategies to achieve strategic objectives.

strategy process model

A framework for approaching strategy development.

syndication

Content or product information is distributed to third parties. Online this is commonly achieved through standard XML formats such as RSS.

T

tagging

Tracking of origin of customers and their spending patterns.

target marketing strategy

Evaluation and selection of appropriate customer segments and the development of appropriate offers.

temporary or session cookies

Cookies used to manage a single visitor session.

third-party cookies

Served by another site to the one being viewed – typically for portals where an ad network will track remotely or where the web analytics software places a cookie

tipping point

Using the science of social epidemics the tipping point explains principles that underpin the rapid spread of ideas, products and behaviours through a population.

trademarks

A trademark is a unique word or phrase that distinguishes your company. The mark can be registered as plain or designed text, artwork or a combination. In theory, colours, smells and sounds can also be trademarks.

traffic-building

Using online and offline site-promotion techniques to generate visitors to a site.

transactional e-commerce sites

Sites that support online sales.

U

unique visitors

Individual visitor to a site measured through cookies or the IP address on an individual computer.

URL strategy

A defined approach to how content is labelled through placing it in different directories or folders with distinct web addresses.

usability

An approach to website design intended to enable the completion of user tasks.

usability testing

Representative users are observed performing representative tasks using a system.

user-centred design

A design approach that is based on research of user characteristics and needs.

V

value proposition

The benefits or value a brand offers to customers in its products and services.

view-through

Indicates when a user views an ad and subsequently visits a website.

viral marketing

Online viral marketing, or buzz marketing, is a form of electronic word-of-mouth marketing. Brands and promotions are discussed and awareness of them transmitted in two main forms, either as pass-along email or discussion in a social network.

virtualisation

The process whereby a company develops more of the characteristics of a virtual organisation.

virtual organisation

A virtual organisation uses information and communications technology to allow it to operate without clearly defined physical boundaries between different functions. It provides customised services by outsourcing production and other functions to third parties

virtual reality (VR)

Virtual reality headset and software technology creates immersive three-dimensional spaces that simulate a user’s physical presence in a virtual or imaginary environment.

visitor sessions

A series of one or more page impressions, served to one user, which ends when there is a gap of 30 minutes or more between successive page impressions for that user.

Voice-of-customer (VoC)

Research about customer perceptions of a brand including, customer satisfaction with services, customer preferences and new product development.

W

web or digital analytics

Techniques used to assess and improve the contribution of digital marketing to a business, including reviewing traffic volume, referrals, clickstreams, online reach data, customer satisfaction surveys, leads and sales.

web response model

The website is used as a response mechanism for offline campaign elements such as direct mail or advertising.

web self-service

Customers perform information requests and transactions through a web interface rather than by contact with customer support staff.

website auditors

Auditors accurately measure the usage of different sites in terms of the number of ad impressions and click-through rates.

wireframe

Also known as a ‘schematic’, a way of illustrating the layout of an individual web page.

word-of-mouth (WOM) marketing

According to the Word-of-Mouth Marketing Association (WOMMA) it is giving people a reason to talk about your products and services, and making it easier for that conversation to take place. It is the art and science of building active, mutually beneficial consumer-to-consumer and consumer-to-marketer communications.